RAHANDUSMINISTEERIUM

CONSOLIDATED ANNUAL REPORT OF THE STATE FOR 2024

Prepared by: Ministry of Finance
Tallinn 2025

Table of Contents

Table of Contents 2
Preface by the Minister of Finance 4
Introduction 5
Definitions 6
1 Management report 7
1.1 Financial overview of the general government sector 7
1.1.1 Key economic and financial indicators in 2024 7
1.1.2 Important events 8
1.1.3 General macroeconomic development and impact on financial performance 9
1.1.4 Overview and budgetary position of the public sector and general government sector 10
1.1.5 Revenue of the general government sector 13
1.1.6 Expenditure and investments of the general government sector 15
1.1.7 Balance sheet of the general government sector 18
1.1.8 Debt liabilities of the general government sector 22
1.1.9 Contingent liabilities 23
1.1.10 Principles of managing the state's financial risks and liquidity 24
1.2 Overview of activities 26
1.2.1 Long-term development strategy 'Estonia 2035' 26
1.2.2 Welfare 28
1.2.3 Health 30
1.2.4 Educated and active population 32
1.2.5 Estonian language and identity 35
1.2.6 Environment 37
1.2.7 Research and development and entrepreneurship 39
1.2.8 Agriculture and fishery 42
1.2.9 Transport 44
1.2.10 Energy 46
1.2.11 Digital society 48
1.2.12 Effective state 50
1.2.13 State governed by the rule of law 52
1.2.14 Internal security 55
1.2.15 Foreign policy 57
1.2.16 Security and national defence 59
1.2.17 Culture and sports 61
1.2.18 Cohesive society 64
1.2.19 Chancellery of the *Riigikogu* 66
1.2.20 Supreme Court 67
1.2.21 National Audit Office 69
1.2.22 Office of the President of the Republic 70
1.2.23 Office of the Chancellor of Justice 71
1.2.24 Results of internal and external assessments of the internal audit units of ministries 71
2 Consolidated and unconsolidated annual accounts 72
2.1 Balance sheet 72
2.2 Statement of financial performance 74
2.3 Cash flow statement 75
2.4 Statement of changes in net assets 76
2.5 State budget implementation report 78
2.6 Accounting methods and valuation principles 121
2.7 Notes (a1–a31) 127
3 Information on local governments 203
3.1 Balance sheet 203

3.2 Statement of financial performance ... 205
3.3 Cash flow statement ... 206
3.4 Statement of changes in net assets ... 207
3.5 Accounting methods and valuation principles ... 208
3.6 Notes (b1–b21) ... 209
4 Information on the public sector and general government sector ... 242
4.1 Balance sheet ... 242
4.2 Statement of financial performance ... 244
4.3 Cash flow statement ... 245
4.4 Statement of changes in net assets ... 246
4.5 Accounting methods and valuation principles ... 248
4.6 Notes (c1–c27) ... 249
Signature to the consolidated annual report ... 275

Preface by the Minister of Finance

Dear reader of the consolidated annual report of the state for 2024!

A year of recovery and uncertainty

The 2024 financial year was challenging for Estonia, but the prevailing sentiment and perceptions of the reasons behind it were even worse. Estonia's weakest economic indicator, both historically and in international comparison, was confidence, which the actual situation does not justify. Nevertheless, growth resumed, unemployment decreased, real incomes increased, inflation slowed, and the state of public finances improved. The gap between emotion and reality inevitably undermines investment and consumption confidence – and thus the economy itself. In these indicators, stagnation and decline persisted, even though both the rapid growth of real incomes and the sharp fall in the Euribor should have supported a recovery, improving the position of borrowers, investors, and lessees alike.

An even more damaging societal tendency has been to attribute the sudden economic slowdown to domestic decisions while overlooking international causes. We have reverted to a belief that the economy is steered – and citizens' welfare guaranteed – by a political party and government, which in a free world is both misplaced and unsustainable. The increase in the tax burden was a fact, but neither its marginal scale nor the fact that economic growth resumed alongside it supports the narrative that taxes 'destroyed' the economy. That narrative should, in fact, be viewed as aligned with the aggressor's interest in spreading such sentiments in the free world. The dominant reality shaping the economy remains Russia's war and the resulting disruption of economic ties, as well as the weakening of export demand for Estonia. The sharp rise in defence expenditures worsens the fiscal position and exerts pressure to raise taxes, as it cannot be financed simply through debt.

Although the financial year ended with a small overall deficit, quarter-on-quarter growth had already resumed. Inflation fell unexpectedly low, energy prices decreased, employment remained at a historically high level, and real wages and pensions grew rapidly. The budget position was successfully improved.

However, difficult news still lies ahead. The free world is compelled to consolidate its efforts to keep pace with despotism in military spending and production. Relaxation of fiscal rules is not a solution but a temporary relief that carries a cost for the future. Pressure to save will persist across all other areas. At the same time, Estonia must eliminate the budgetary deficit created even before the crises and correct the distortions in the tax system. The first steps have already been taken.

Wishing you insightful reading and thoughtful reflection!

Jürgen Ligi

Minister of Finance

Introduction

The consolidated annual report of the state is an annual report submitted by the Ministry of Finance to the *Riigikogu*, which gives an overview of the achievement of the objectives set out in the state budget, the financial position, financial performance and cash flows of the state, and allows the *Riigikogu* to exercise its control function over the Government of the Republic. Through the consolidated annual report, the Government of the Republic has the opportunity to explain its activities in the accounting year and submit to the *Riigikogu* the information necessary for making new budgetary decisions. The consolidated annual report of the state also ensures the availability of governmental and public sector information necessary for performing the international accounting and financial reporting obligation.

The consolidated annual report is based on the reports of state accounting entities and accounting entities under the dominant influence of the state but also accounting entities of other public sector entities, statements of financial performance of areas of government of ministries, and other reports.

The consolidated annual report of the state includes an audit report prepared by the National Audit Office as a result of auditing the annual accounts. By auditing the consolidated annual report of the state, the National Audit Office provides assurance that the state accounting indicators submitted to the *Riigikogu* and the public provide correct information about the financial position of the state and the economic performance of the concluded year, and the state budget implementation report provides relevant information about state revenue, expenditure, and investments.

The consolidated annual report of the state comprises four parts: management report, annual accounts, information about local governments, and information about the public sector and the general government sector.

The management report is part of the consolidated annual report of the state, which gives an overview of the state's activities and circumstances that are decisive in assessing the state's financial position and economic activity, significant events during the financial year, and expected developments in the next financial year.

The annual accounts of the state provide an overview of the state's consolidated and unconsolidated financial position, financial performance, cash flows and implementation of the state budget, and explain the most important entries.

Information on public sector and general government sector and information on local governments includes a consolidated overview of the financial position, financial performance, and cash flows of these sectors.

The figures in the consolidated annual report have been adjusted until the completion of the audit conducted by the National Audit Office, in accordance with subsection 9 (4) of Regulation No 105 of Minister of Finance of 11 December 2003 'Public sector financial accounting and reporting guidelines'.

The Ministry of Finance shall submit a consolidated annual report of the state to the National Audit Office no later than by 30 June of the year following the accounting year, and the National Audit Office shall complete the audit of the annual accounts of the consolidated annual report of the state and review of the lawfulness of transactions no later than by 31 August.

At the beginning of September, the Ministry of Finance submits the consolidated annual report of the state and the audit report of the National Audit Office to the Government of the Republic for approval.

The Government of the Republic shall submit the approved consolidated annual report of the state to the *Riigikogu* for approval together with the draft decision on the distribution of the state's unconsolidated cash flow surplus. The audit report of the National Audit Office shall be added to the consolidated annual report of the state.

Definitions

Public sector – i.e. the first sector, is engaged in governance and administration. Public sector institutions can be divided into state-owned or local government-owned institutions based on the type of owner. If the state's equity in the business entity is 50 per cent or greater, it is a public sector subtype of 'state'. If the local government's equity in the business entity is 50 per cent or greater, it is a public sector sub-type of 'local government'. The general government sector accounts for the largest share (in terms of staff and budget) of the public sector.

Central government – state-budgetary entities and foundations, non-profit associations and enterprises under their controlling influence that belong to the general government sector, as well as other legal entities governed by public law established under independent law (excluding social security funds).

Consolidated expenditure – expenditure in which the items of all public sector entities have been aggregated item by item and individual balances have been eliminated.

Liquidity reserve – financial reserve for managing the day-to-day cash flow of the state, and its volume also changes on a daily basis. The liquidity reserve is estimated to include the funds of the state, Tervisekassa[1], Eesti Töötukassa[2], foundations that are in the Treasury Single Account (TSA) system [3], and of the other persons (such as the Estonian Funded Pension Registry).

Gross Domestic Product – i.e. GDP, is the total value of goods and services created in a territory of a state during a year. Throughout the consolidated annual report of the state, the abbreviation 'GDP' is used.

Social security funds – Tervisekassa and Eesti Töötukassa. A social security fund is a national or local institutional unit whose main area of activity is the provision of social benefits and which meets the following two conditions: 1) persons or groups of persons designated by law or other legal act have the obligation to participate in social security schemes or to pay contributions; 2) the general government sector is responsible for the management of the institution by establishing or approving contributions and social benefits, independently of its role as supervisory body or employer.

Stabilisation Reserve Fund – financial reserve for crisis situations used, for example, in financial crises, emergency situations and to reduce general economic risks.

Budgetary position (deficit or surplus) – the difference between budget revenue and expenditure calculated in accordance with national accounts statistical rules, adjusted by the acquisition of non-current assets. A deficit arises when expenditure adjusted by the acquisition of non-current assets exceeds revenue and a surplus when revenue exceeds expenditure adjusted by the acquisition of non-current assets. Also referred to as the nominal or statistical budgetary position.

Structural budgetary position – cyclically adjusted budgetary position that does not take into account one-off or temporary transactions.

Performance area – area in line with the action programme of the Government of the Republic and covered by the state budget strategy, which has a long-term objective set by the Government of the Republic together with one or several metrics for assessing the achievement thereof. Performance area conveys the state's policies and area-specific priorities for the achievement of the state's long-term objectives.

General government sector – includes public sector entities not considered market producers that are financed mainly through mandatory payments made by entities belonging to other sectors. In Estonia, the general government sector is divided into three subsectors: central government, local governments, and social security funds.

Foreign funds – funds from the budget of a non-resident, including the European Union, an international organisation, a foreign country or a foreign non-governmental organisation, which the recipient of the funds uses to implement developments, reforms and investments.

Debt burden – the ratio between debt and GDP. (Consolidated) debt of the general government sector known as Maastricht debt in international comparison is used as a metric.

[1] Informative translation: Health Insurance Fund.

[2] Informative translation: Estonian Unemployment Insurance Fund.

[3] Executing payments and settlements, management of cash receipts, and intermediating payment services through the e-State Treasury system.

1 Management report

1.1 Financial overview of the general government sector

1.1.1 Key economic and financial indicators in 2024

Table 1. Key economic and financial indicators

		2024	2023
	Annual growth of real GDP	**–0.3%**	–3.0%
	Unemployment	**7.6%**	6.4%
	Inflation	**3.5%**	9.2%
	Growth in salaries and wages	**8.1%**	11.5%
	Revenue of the general government sector	**15,997 million euros**	14,734 million euros
	Expenditure of the general government sector	**16,042 million euros**	15,130 million euros
	Accounting result of the general government sector	**–46 million euros**	–397 million euros
	Nominal budgetary position of the general government sector	**–1.5% of GDP**	–3.1% of GDP
	Structural budgetary position of the general government sector	**0.6% of GDP**	–1.3% of GDP
	Debt burden of the general government sector	**23.6% of GDP**	20.2% of GDP
	Consolidated financial reserves of the general government sector	**11.3% of GDP**	9.6% of GDP

Source: Statistics Estonia; Consolidated annual report of the state for 2024.[4]

[4] Statistics Estonia regularly reassesses and retroactively adjusts economic and financial indicators, so the details are subject to change.

1.1.2 Important events

IMPORTANT EVENTS IN 2024

War in Ukraine

On 24 February 2022, Russia launched a full-scale invasion of Ukraine, which continues to this day. The war caused mass migration from Ukraine. The number of war refugees residing in Estonia decreased in early 2024 but then gradually increased, reaching 35 thousand by December.

Impact of sanctions related to the war in Ukraine and the increase in defence expenditure

Estonian companies have largely adapted to the economic effects associated with the war in Ukraine, and the economy and exports showed signs of revival from the second half of 2024. In connection with the war in Ukraine, Estonia has significantly increased expenditure on national defence, which has put additional pressure on both the budgetary deficit and interest expense.

Interest expense

The European Central Bank started to raise interest rates in the summer of 2022 and completed the process by September 2023. The underlying Euribor for housing loans rose at a similar pace and to a similar extent. As the vast majority of housing loans in Estonia are linked to the six-month Euribor, the full impact of the increase in interest rates on loan payments could only be felt at the beginning of 2024. This means that the impact of interest rate rises on people's wallets in 2024 was several times greater than in previous years. This partly explains the weakness of private consumption in 2024, when the growth in employment income outpaced price increases. From the second half of 2024, the Euribor began to decline sharply.

Supplementary budget

The spring 2024 economic forecast was more pessimistic concerning economic recovery compared to previous forecasts, and therefore the projected budgetary deficit in the 2024 state budget was higher than expected and exceeded three per cent of GDP. To ensure that the government sector deficit remained below three per cent of GDP in 2024 and Estonia complied with the European Union's budgetary rules, a negative supplementary budget was adopted, with measures intended to improve the budgetary position by 173 million euros. The negative supplementary budget included savings measures of approximately 115 million euros and revenue measures of 68 million euros, for example, an increase in dividends and additional income tax receipts. All ministries, and where possible their agencies and foundations, saved mainly by reducing their operational and administrative expenses.

New government

In the summer of 2024, the Prime Minister of Estonia changed and a new government led by Kristen Michal took office. To continue improving the budgetary position, it was decided to introduce a security tax, which entailed changes in personal and corporate income tax and VAT. It was also decided to further cut operating expenses of both state agencies and state-owned companies. The main impact of these measures began this year, while in 2024 the planned effect remained small.

IMPORTANT EVENTS AFTER 2024

New coalition

In the spring of 2025, the previous coalition collapsed, and under the leadership of Kristen Michal, the government continued with the Reform Party and the Estonia 200 party. According to the coalition agreement, among other objectives, defence expenditure is to be increased to at least five per cent of GDP, and the tax system is to be made more business-friendly and simpler by abolishing the security tax and raising the income tax and VAT rate to 24 per cent.

Supplementary budget

The supplementary budget approved by the Government of the Republic in spring 2025 aims primarily to support the strengthening of comprehensive national defence. The negative impact of comprehensive national defence measures on the nominal budgetary position of the general government sector this year is approximately 39 million euros, i.e. 0.1 per cent of GDP, increasing the budgetary deficit to 1.6 per cent of GDP. The supplementary budget also includes other measures, which overall do not affect the budget balance. The impact of comprehensive national defence measures on the budgetary position is smaller than the total volume of measures because increased expenditures are accompanied by growth in both labour and consumption taxes. The resulting higher tax revenues increase the revenue base of the local government through the personal income tax allocated to local governments. Since the measures increase the budgetary deficit, which must be covered by borrowing, additional interest expenditure is incurred.

Import tariffs and protectionist trade policy of the United States of America

In the United States of America, Trump began his second term as the President and started implementing his election promises. The main steps affecting the economic environment are the protection of domestic businesses and the reduction of the trade deficit. One measure is the imposition of import tariffs on countries whose import restrictions are considered higher by the Trump administration than the corresponding restrictions of the United States of America on imports from those countries. The purpose of imposing import tariffs is to hold direct negotiations with countries to achieve more favourable trade conditions for the United States of America. The increase in import tariffs began on 1 February 2025, when the administration of the United States of America announced 25 per cent tariffs on Canada and Mexico and an additional 10 per cent tariff on goods from China (new rates came into effect in early March). On 2 April, the United States of America introduced a comprehensive package of tariffs, imposing a 20 per cent tariff on European Union goods. A week later, the tariffs were put on a 90-day pause for trade negotiations, during which a 10 per cent tariff applies to goods imported from the European Union. In addition to the direct negative economic impact, the trade policy of the United States of America has caused a sharp increase in uncertainty, which reduces the growth prospects of the global economy.

1.1.3 General macroeconomic development and impact on financial performance

The state of the Estonian economy in 2024 was relatively weak, but from the second half of the year there were several signs of improvement. For example, export revenues in the manufacturing sector returned to growth in autumn, the growth of service volume and sales indices accelerated, and the number of housing transactions increased. GDP fell by 0.3 per cent in 2024 overall, but in the last quarter of the year it grew by 1.2 per cent year-on-year. Real added value declined in 2024 in manufacturing, construction, professional, scientific, and technical activities, trade, as well as transport and warehousing. Real added value increased, however, in sectors such as information and communication and real estate activities. In current prices, GDP grew by 3.5 per cent in 2024 (see Figure 1), which supported tax receipts and budgetary position.

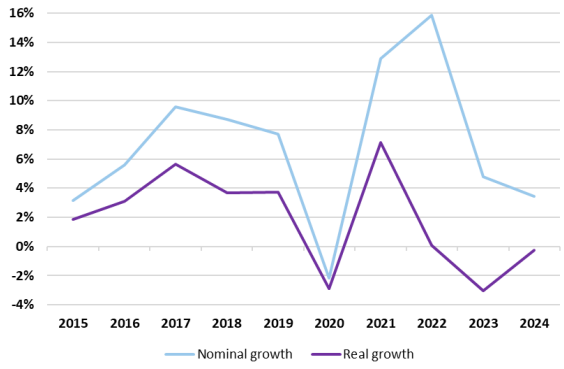


Figure 1. Nominal and real GDP growth by year. Source: Statistics Estonia[5]

Foreign trade with the euro area was relatively weak in 2024. The decline in goods exports was partly offset by the recovery of service exports. **Signs of a turnaround of Estonian export volumes were observed in the second half of the year from a low comparison base.** Overall, exports of goods and services declined by 1.1 per cent for the year. Estonia's export growth remained below the weighted import demand of trading partners, meaning the export footprint decreased for the third consecutive year. While exports to traditional Nordic markets declined, Estonian exporting companies were able to find growth opportunities somewhat further afield. As in previous years, the growth of service exports was supported by the high value-added IT sector. Sales of IT services abroad increased by 17 per cent, close to the long-term average growth rate. The recovery of travel service exports continued.

Production volumes in the manufacturing sector remained relatively low in 2024 compared with a longer-term perspective. By the end of 2024, producer prices in Estonian manufacturing had increased more than in the manufacturing sectors of several of our major trading partners compared to early 2022. This weakened the cost competitiveness of Estonian manufacturing. At the same time, industrial confidence improved in the second half of 2024.

The peak of unemployment occurred at the beginning of 2024. Both the labour force survey and the Töötukassa data showed a slight decline in unemployment from the approximately eight per cent level in the first quarter of 2024, reaching 7.4 per cent in the fourth quarter (labour force survey) and 7.0 per cent at the end of 2024 (registered unemployment). Job losses were largest in industry and transport. In construction, the decline in the number of employees slowed over the course of the year. Industry, transport and construction were affected by the decline in the Nordic real estate market and rising interest rates. On a positive note, the accommodation and catering sector saw gradual recovery, and since the middle of last year, the number of people employed in this sector was at least at the pre-COVID-19 level.

Moderate price increases kept wage pressures in check. Overall wage growth slowed slightly in early 2024 along with a moderation in inflation but remained moderately high throughout the year, around eight per

[5] Statistics Estonia regularly reassesses and retroactively adjusts economic and financial indicators, so the details are subject to change.

cent. While wage growth in 2023 was driven by government sector spending decisions ahead of parliamentary elections, by the end of last year, wage growth in the public and private sectors equalised. Although wage growth in the central government slowed below that of the private sector due to cuts, the public sector wage growth was still supported by increases in medical and teacher salaries. Private sector wage growth remained around seven per cent throughout 2024.

Private consumption declined slightly in 2024 (–0.4 percent) despite improvements in household purchasing power. Compared with 2023, households retained more disposable income throughout the year due to the significant decline in the Euribor, which reduced interest expenses. Against a backdrop of negative economic news, consumer confidence remained low and the fear of unemployment was high. This constrained willingness to consume. In the second half of the year, consumption was supported by increased vehicle purchases in anticipation of the motor vehicle registration tax entering into force at the beginning of 2025. In addition, Estonian households' spending abroad increased sharply, though it did not reach pre-pandemic levels in terms of volume or value. This was likely supported by slower price growth abroad compared with Estonia in recent years.

Uncertain times did not favour investment and in 2024, only the financial sector increased investment. The real volume of investment in the non-financial sector remained at the 2019 level. Housing investments were slightly higher, although lower than in 2023. Over the course of the year, the housing market nevertheless showed signs of recovery. Housing loans were issued at an increasing pace, although the growth in activity came mainly from the secondary market.

2024 was characterised by a slowdown in inflation both in Estonia and more broadly in Europe. The low inflation rate (2.5 per cent) persisted until mid-year, as energy prices declined and the increase in food prices slowed down. Meanwhile, service price growth accelerated last year due to continued pressure on salaries and wages, tax measures, and improved economic conditions. Falling energy prices were supported by lower oil and gas prices on international markets. Despite the increase in VAT rate, food price growth in 2024 remained moderate. Overall, consumer price growth was the slowest in four years. Without tax measures, last year's inflation was comparable to the European Union average. A more detailed overview of the key economic indicators is presented in the spring economic forecast of the Ministry of Finance.[6]

1.1.4 Overview and budgetary position of the public sector and general government sector

COMPOSITION OF THE PUBLIC SECTOR AND THE GENERAL GOVERNMENT SECTOR

The public sector is composed of entities which are publicly owned on the basis of ownership. The public sector is divided into two: the general government sector and other public sector entities. Most of the budgetary and statistical analyses are done for the general government sector. The budgetary rules of Estonian state budget are also based on the general government sector[7]. Also internationally, the assessment of the budgetary position and fiscal sustainability of countries is based on the revenue, expenditure, assets, and liabilities of the general government sector.

The general government sector is composed of public sector entities which are not considered market producers, and which are mostly financed through mandatory taxes. These include state budget institutions, local governments, social security funds (Tervisekassa and Eesti Töötukassa), and other institutions. Other institutions are legal entities governed by public law (for example, universities, the Guarantee Fund, the Estonian National Opera), foundations (for example, hospitals), non-profit associations, and companies (for example, AS Riigi Kinnisvara). The general government sector does not include other public sector institutions such as Eesti Pank (together with Finantsinspektsioon)[8] and foundations, non-profit associations, and companies that produce goods and provide services in which the state and other members of the general government sector have holdings (for example, AS Eesti Energia, AS Elering, AS Tallinna Sadam).

In 2024, the consolidated expenditure of the public sector amounted to 19.08 billion euros[9] (18.81 billion euros in 2023), of which expenditure of the general government sector accounted for 84.1 per cent and the expenditure of other public sector entities for 15.9 per cent (see Figure 2).

[6] Economic forecast of the Ministry of Finance | Ministry of Finance
[7] https://www.riigiteataja.ee/akt/121062016019?leiaKehtiv
[8] Informative translation: the Bank of Estonia (together with the Estonian Financial Supervision and Resolution Authority).
[9] In the consolidated expenditure, the rows of all public sector units are added line by line and balances between them are eliminated.

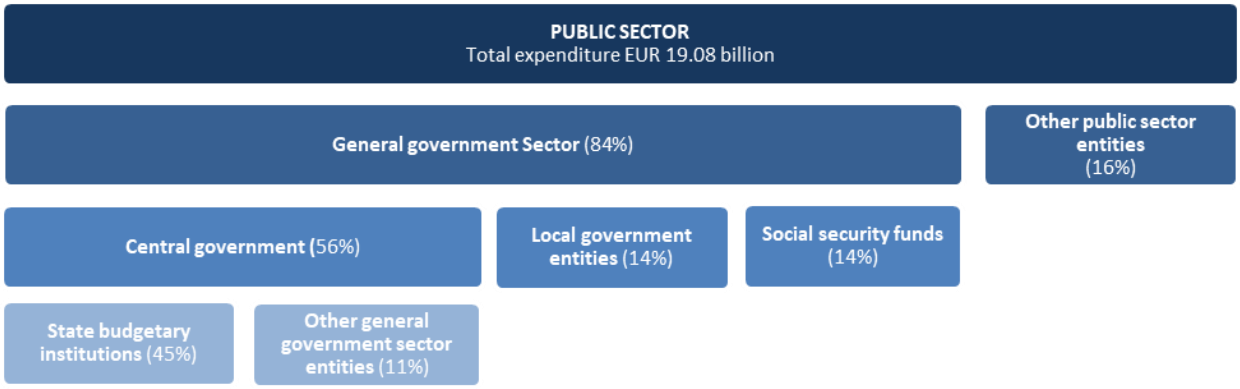


Figure 2. Total volume of public sector expenditure in 2024

NUMBER OF PUBLIC AND GENERAL GOVERNMENT SECTOR ENTITIES

In 2024, the public sector included 715 entities, of which 589 entities (82 per cent) belonged to the general government sector. There were a total of 126 other public sector entities, 111 of those were companies, 14 foundations and non-profit associations, and one legal entity governed by public law (Eesti Pank and Finantsinspektsioon). Of the 589 general government sector entities, 170 were state agencies, 79 local governments, 21 legal persons in public law, 70 companies, and 249 foundations and non-profit associations, 177 of which are owned by local governments.

STATISTICAL BUDGETARY POSITION OF THE GENERAL GOVERNMENT SECTOR

In 2024, the statistical deficit of the general government sector amounted to 601 billion euros (1.5 per cent of GDP, see Figure 3), according to preliminary data from Statistics Estonia. The budgetary deficit for the previous year turned out smaller than expected due to strong tax and other revenue collection. Savings achieved at all levels of the general government sector also contributed to the reduction of the deficit. For **Tervisekassa**, 2024 was a financially successful year and despite the negative forecast, the year ended with a small surplus. On the revenue side, social tax receipts were broadly in line with both the budget and subsequent forecasts. In addition, substantial income was generated from reserves built up from previous years' as a result of the increase in the base interest rate. On the expenditure side, the volume of temporary incapacity for work benefits and other expenses was lower than planned. Slightly more was spent on reimbursement for medicines. Overall, the year proved better than expected in the latest forecast and Tervisekassa achieved a surplus of almost 20 million euros. The financial situation of **Töötukassa** has stabilised over the last three years. The year 2022 ended with a surplus of 31 million euros, while the surplus in 2023 and 2024 was 28 million euros and 22 million euros, respectively. The budgetary deficit of **local governments** reached almost 0.4 per cent of GDP in 2024. The large deficit was caused by a decline in real local government revenue from 2021 onwards and a rapid increase in expenditure (including higher Euribor).

Compared to 2023, the deficit of the general government sector was 597 million euros (1.6 per cent of GDP) lower, mainly due to a better budgetary position of the central government. Despite the challenging economic environment of the previous year, wage growth remained faster than expected, which increased the receipt of labour taxes. Accelerated consumption (mainly in the motor vehicle sector) and the distribution of profits, supported by forthcoming tax reforms, boosted both VAT and corporate income tax receipts. In addition to tax revenue, financial income and own revenue of state institutions increased significantly compared with the previous year. General government sector expenditures grew at half the pace of revenue last year (4.2 per cent). By function of government (COFOG), national defence expenditure grew the most last year (10.5 per cent), taking its proportion of GDP to 3.4 per cent. The increase in defence expenditure was due to the worsening security situation caused by Russia's war of aggression against Ukraine.

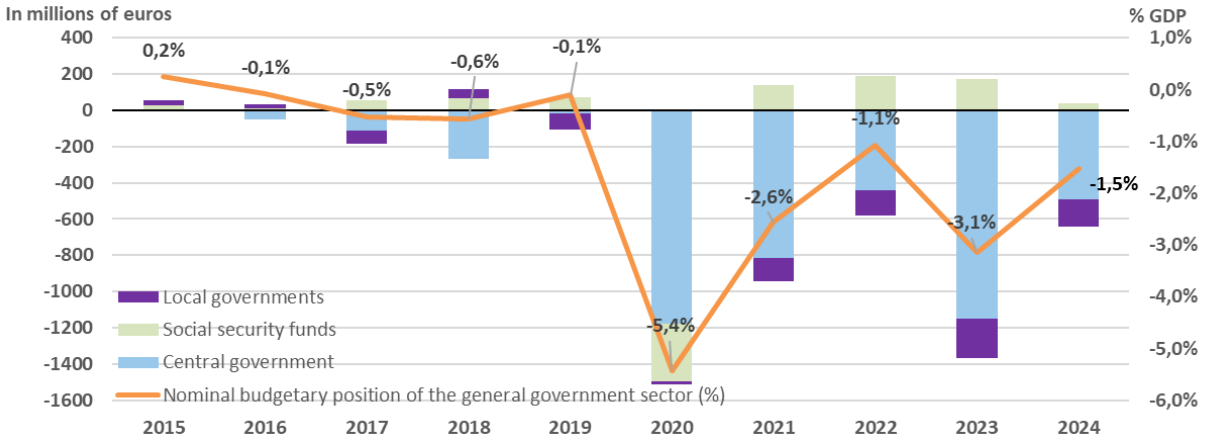


Figure 3. Budgetary surplus or deficit of the general government sector by subsector as a proportion of GDP[10]

SURPLUS/DEFICIT AND STATISTICAL BUDGETARY POSITION OF THE GENERAL GOVERNMENT SECTOR

The state budget is the government's main financial planning and control measure, which establishes expenditure limits for state agencies and allocates funds to other general government sector entities. The annual accounts of the state are the government's report which serves to present the financial status and results of the state and to improve financial planning and control. The data provided in the annual accounts are accrual-based. The state budget is in line with the accounting methodology of statistical indicators, which is also primarily accrual-based and is largely based on accounting data but also includes cash-based elements, such as tax revenue, incl. three types of tax with a one-month shift.

The statistical budgetary position (surplus or deficit) is not immediately comparable to the operating result used in accounting. Operating result is the difference between revenue and expenditure. Surplus or deficit of the budgetary position, in the most general terms, is the operating result adjusted by the acquisition of non-current assets. As the acquisition of non-current assets is fully recorded in the year of acquisition, the subsequent accounting depreciation and other write-offs are not included in surplus/deficit anymore. In practice, the method for calculating the surplus or deficit of the budgetary position is even more complex and includes many other differences compared to the accounting principles.

In 2024, the negative accounting surplus/deficit of the general government sector was 45.7 million euros and the statistical budgetary position –601.3 million euros (see Table 2 and Figure 4). The Statistics Estonia revises the budgetary position in the autumn of each following year, taking into account audited data from the annual accounts of the state.

Table 2. Development of the general government sector position, EUR million

	2024	2023
Surplus/deficit according to the annual accounts	**–45.7**	**–396.8**
Depreciation and change in value are eliminated	836.4	850.8
Change in fair value of biological assets is eliminated	22.9	–0.5
Acquisition of non-current assets (non-financial assets) is added, excl. prepayments	–1,688.3	–1,518.5
Derecognition of carrying amount of non-current assets (non-financial assets) sold is eliminated	26.0	13.7
Super dividends, profit/loss from the sale of holdings, write-down and reversal of write-down are eliminated	27.5	–35.5
Acquisition of holdings not estimated to yield dividend income in the future is recorded as expenditure	-	0.0
Contributions to dedicated funds from EU funds are recorded as expenditure	–10.5	–119.0
Impact of the change in provisions is eliminated (except for guarantees and the second pillar state liability)	372.6	248.4
Impact of the sale of allowance is adjusted to one year later	105.4	–26.0
Tax revenue is adjusted according to receipts (with a one-month shift)	–291.3	–18.7

[10] Statistics Estonia regularly reassesses and retroactively adjusts economic and financial indicators, so the details are subject to change.

	2024	2023
Change in inventories is added, excl. prepayments and reclassifications	–29.5	–10.6
Other adjustments	73.2	–185.9
General government sector deficit according to Statistics Estonia	**–601.3**	**–1,198.6**
General government sector deficit to GDP (%)	**–1.5%**	**–3.1%**

Source: Public Sector Financial Statements system of the Ministry of Finance, Tax and Customs Board, and Statistics Estonia.[11]

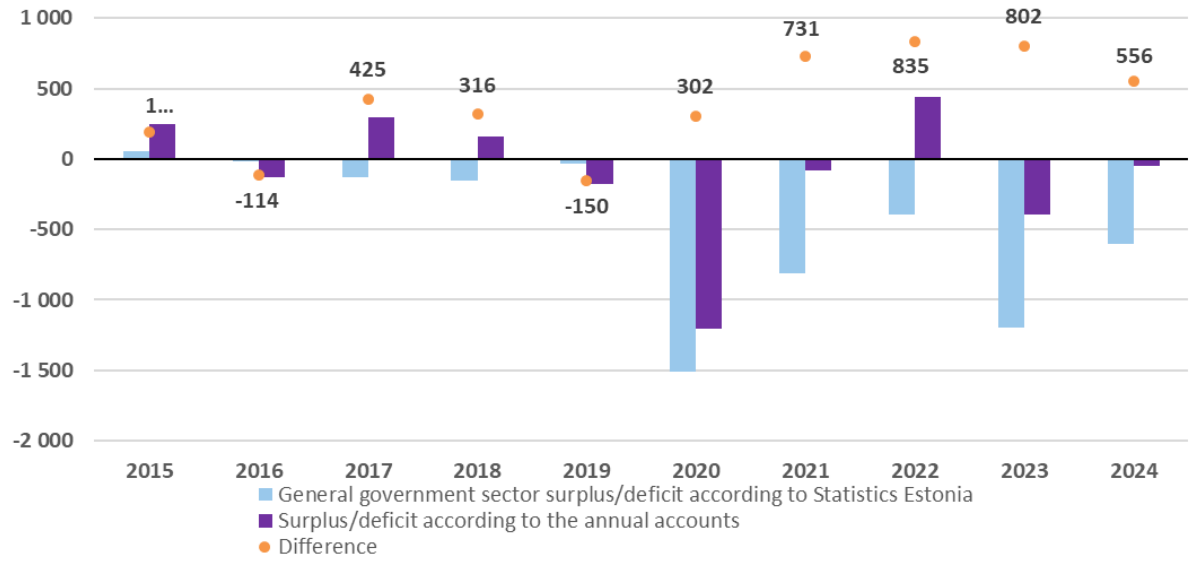


Figure 4. Comparison of the accounting result and statistical budgetary position of the general government sector, in millions of euros

1.1.5 Revenue of the general government sector

Overview of the revenue of 2024

According to the annual accounts of the state, the revenue of the general government sector in 2024 amounted to 16.0 billion euros, i.e. 40.5 per cent of GDP. In 2024, revenue increased by 8.6 per cent (by 1.26 billion euros).

Tax revenue increased by 11.5 per cent (by 1.35 billion euros). In terms of volume and percentage, corporate income tax drove the growth (increasing by 420 million euros, i.e. 55.9 per cent), influenced by the distribution of profits by private-sector companies, including credit institutions, at a lower rate prior to the rise in the corporate income tax rate.

Personal income tax receipts increased by 306 million euros, i.e. 12.8 per cent. Although the uniform basic exemption for pensioners increased to 776 euros in 2024, the regressive basic exemption for working-age individuals remained 654 euros, and wage growth pushed incomes beyond the basic exemption. Due to the rise in the Euribor, income from deposits also increased, resulting in higher personal income tax from interest earned.

Non-tax revenue decreased by 2.8 per cent (i.e. 83.8 billion euros) (see Figure 7). This was mainly due to a decline in the sale of emission allowances sales (105.4 million euros) and a decrease in received grants (42.1 million euros). Financial income increased by 63.2 million euros, of which dividend income growth amounted to 42.9 million euros. Compared with 2023, dividends grew primarily due to higher distributions from the State Forest Management Centre and Elering AS.

Long-term trend: taxes, other income, foreign grants

During the period 2015–2024, tax revenue accounted for an average of 81 per cent of the general government sector revenue. Their share increased to 82 per cent in 2024. The rest is non-tax revenue (see Figure 5).

From 2015–2024, social tax accounted for an average of 35 per cent of tax revenue, income tax a quarter, and VAT 24 per cent. The share of these three taxes has increased compared to the beginning of the period (83 per cent in 2015), reaching 89 per cent of tax revenue by the end of the period due to an increase in the share of social tax and income tax (see Figure 6). The share of corporate income tax in tax revenues reached a record high for 2015–2024 in 2024, at nine per cent, related to the distribution of profits by private-sector companies, including credit institutions, prior to the corporate tax rate increase. The share of personal income tax at the end of the period was

[11] Statistics Estonia regularly reassesses and retroactively adjusts economic and financial indicators, so the details are subject to change.

higher than at the beginning, partly due to wage growth pushing incomes beyond the basic exemption rate. The growth rate of social tax slowed nearly twofold compared with 2023 to 6.5 per cent, due to slower wage growth, and its share of tax revenues fell to the period's average level.

Grants received accounted for the largest share of non-tax revenue over the period of 2015–2024, averaging 47 per cent (see Figure 7). Therefore, the use of foreign funds is described in detail below.

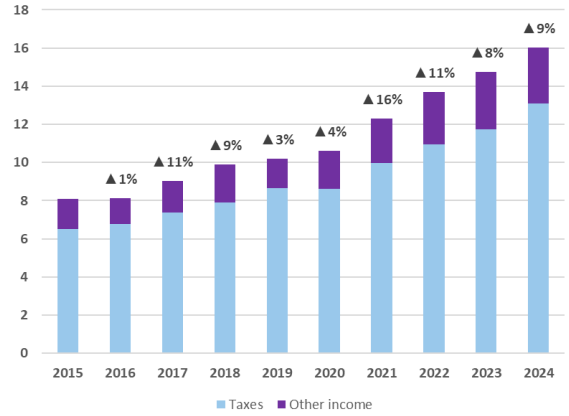


Figure 5. Structure of the revenue of the general government sector, in billions of euros

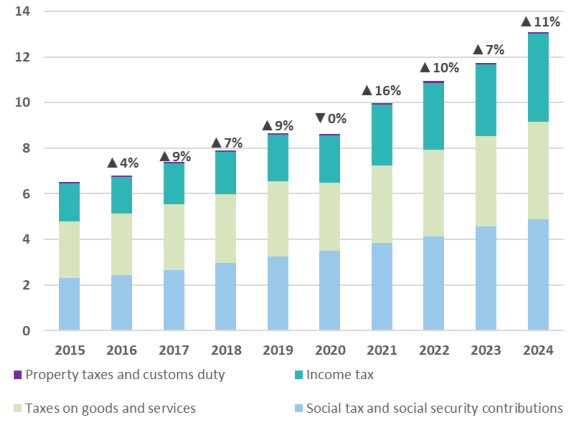


Figure 6. Tax revenue of the general government sector, in billions of euros

USE OF FOREIGN FUNDS

In the state budget planning, foreign funds accounts for about 10 per cent of the total budget. In the 2024 state budget revenue (general government sector share), foreign grants amounted to 1.26 billion euros (see 14.6 Note c15 A2, excluding domestic grants). Foreign funds accounted for 1.16 billion euros of the 2024 state budget execution.

The largest share of foreign funds consists of the European Structural and Investment Funds, which are implemented under the Operational Programme for Cohesion Policy Funds[12], the Estonian Rural Development Plan, the European Union Common Agricultural Policy Strategic Plan[13], and the Operational Programme for the European Maritime and Fisheries Fund.

The amount of foreign funds from 2015–2024 depended on the grant implementation cycle. This period is affected by the European Union budget periods of 2014–2020 and 2021–2027. At the beginning of the European Union budget period, the speed of implementation of structural support is usually lower, increasing by the end of the period. The average share of foreign grants in other revenue was 45 per cent between 2015 and 2024, rising from 41 per cent in 2022 to 57 per cent in 2019 (see Figure 8).

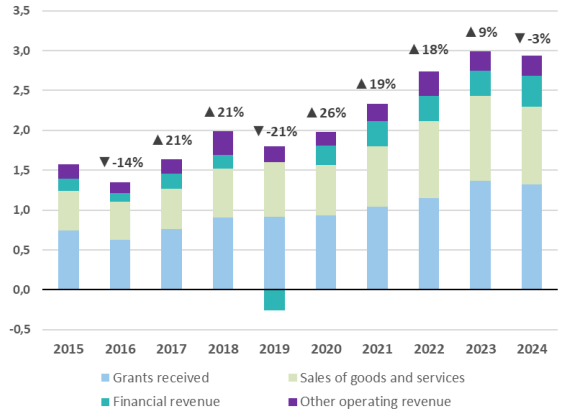


Figure 7. Other income of the general government sector, in billions of euros

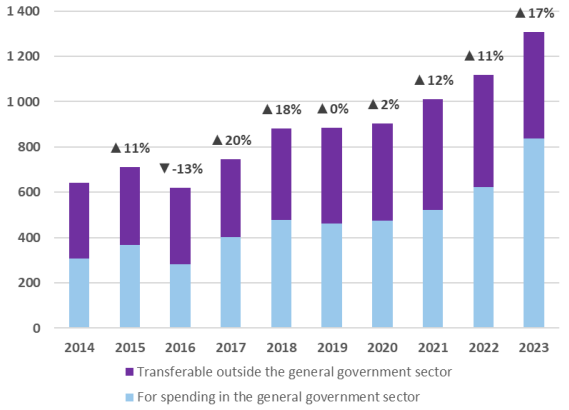


Figure 8. Foreign aid, in millions of euros

[12] Includes the European Social Fund, the European Regional Development Fund, the Cohesion Fund, and the Just Transition Fund.
[13] Covers the European Agricultural Fund for Rural Development and the European Agricultural Guarantee Fund.

approximately 355 million euros (10.5 per cent) had been cumulatively disbursed.

In addition to the European Union long-term budget, in 2024 active work was carried out under Estonia's Recovery and Resilience Plan to implement grants (953 million euros) through various investments and reforms to achieve agreed objectives, which are essential for long-term economic recovery, increasing member states' economic and social resilience, and supporting the green and digital transitions.

From the 2014–2020 funding period, support under the Estonian Rural Development Plan is still in use, benefiting from a transition period allowed as an exception to other previous-period funds, meaning that this fund can be used together with the transition period and the Recovery and Resilience Facility contribution until 2025. **The 2014–2020 Estonian Rural Development Plan** focuses on six European Union priorities in rural development. As of the end of 2024, liabilities to the European Union amounted to 1.17 billion euros, of which 1.1 billion euros had been disbursed.

Implementation of the 2021–2027 European Agricultural Fund for Rural Development has also actively commenced. As of the end of 2024, liabilities to the European Union amounted to 61 million euros (14.8 per cent), and 27.9 million euros had been disbursed.

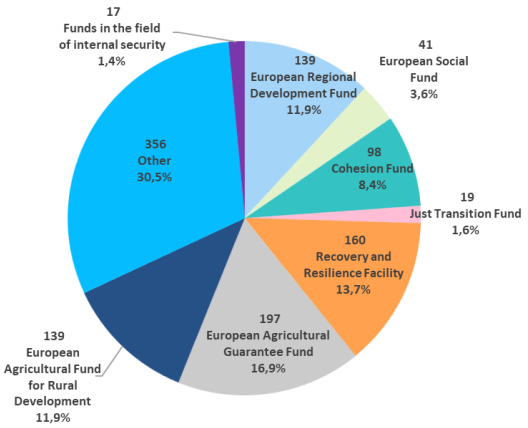


Figure 9. Distribution of foreign aid by fund in 2024 (in millions of euros, % of total volume)

The 2021–2027 Operational Programme of the European Maritime, Fisheries, and Aquaculture Fund aims to ensure economically competitive and environmentally sustainable fisheries and aquaculture through the following sub-objectives: ensuring good status of fish stocks, increasing competitiveness of the fisheries and aquaculture sector, and enhancing the quality and added value of fishery and aquaculture products. As of the end of 2024, liabilities from the EU support amounted to 37.6 million euros, of which 2 million euros had been disbursed.

As part of **the internal security policy**, foreign funds will be channelled through the Internal Security Fund, the Border Management and Visa Instrument, and the Asylum, Migration and Integration Fund for the 2021–2027 budget period. These European Union grants amount to a total of 87.8 million euros, plus national co-financing. As of the end of 2024, liabilities to the European Union amounted to nearly 83 million euros (90 per cent on average), of which 9.6 million euros had been disbursed.

As a new programme, activities under the Swiss-Estonian Cooperation Programme were added to the budget. The programme has two focus areas: social inclusion topics, involving the administrative domains of four ministries, and the promotion of biological diversity, which is handled by the Ministry of Climate together with its agencies. As of the end of 2024, liabilities to the European Union had already been made for the entire programme volume, and less than one per cent had been disbursed in the first year of implementation.

In addition, the budget includes **direct grants**, which public authorities can apply for directly from several European Union funds for various activities, exchange of experiences, promotion of transnational cooperation, harmonisation of national systems, and many other purposes.

1.1.6 Expenditure and investments of the general government sector

Overview of expenditure and investments of the general government sector

The total unconsolidated expenditure of sectors within the general government sector in 2024 amounted to 19.68 billion euros, equivalent to 50 per cent of GDP, of which state (unconsolidated) expenditure accounted for 10.48 billion, i.e. 53.2 per cent (see Figure 10).

(Unconsolidated) expenditure of local governments amounted to 3.19 billion euros, expenditure of social security funds to 3.27 billion euros, and expenditure of other entities to 2.73 billion euros.

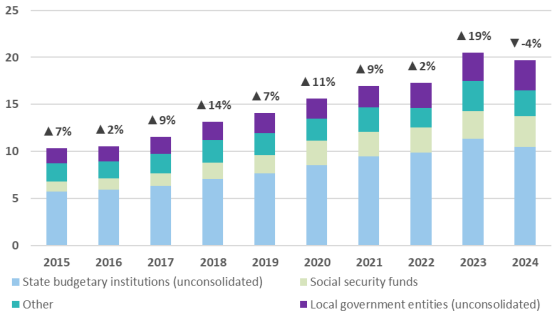


Figure 10. Unconsolidated expenditure of subsectors of the general government sector, in billions of euros

Overview of the expenditure of 2024

Expenditure of the general government sector accounted for 84.1 per cent (80.5 per cent in 2023) of the consolidated expenditure of the public sector in 2024. Of the consolidated expenditure of the general government sector, 74.0 per cent consisted of expenditure by public authorities and 19.9 per cent of expenditure by local governments. The share of consolidated expenditure of state budget institutions and local governments in total general government sector expenditure remained unchanged from the previous year.

In 2024, the growth rate of expenditure of state budget institutions decreased significantly compared with the previous year, mainly due to slower growth in labour costs and grants awarded. The growth rate of local government expenditure decreased in 2024 as a result of slower growth in labour costs and a reduction in management expenses.

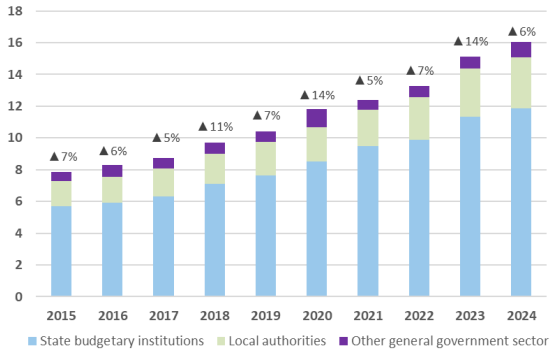


Figure 11. Expenditure of the general government sector without investments, in billions of euros

Consolidated expenditure of the general government sector without investments amounted to 16.04 billion euros in 2024 (15.13 billion euros in 2023), i.e. 6.0 per cent (912 million euros) more than the year before (see Figure 11). Compared to 2023, the largest increases in the general government sector expenditure were in grants (403.2 million euros, 5.8 per cent) and labour costs (314.5 million euros, 7.1 per cent).

Largest expenditure, i.e. grants and subsidies

The volume of grants and subsidies in the general government sector, which amounted to 7.35 billion euros at the end of 2024 (compared with 6.95 billion euros in 2023), increased by 403.2 million euros over the year, mainly due to the rise in pensions resulting from regular indexation in 2024. Pensions increased by 300.3 million euros (11.8 per cent) over the year, other health insurance benefits by 61.4 million euros (13.0 per cent), unemployment and work ability allowances by 41.4 million euros (8.5 per cent), and benefits for disabled persons by 30.6 million euros (36.2 per cent). Within the social benefits group, the chart of accounts was reorganised, and grants under the Social Welfare Act (50.4 million euros) began to be presented separately, whereas they had previously been included in other social benefit categories.

In 2024, the structure of the general government sector expenditure was, similarly to 2023, comparable to the pre-crisis year of 2019, when the share of grants awarded remained below 50 per cent of total expenditure and the share of operating expenses accounted for approximately 45 per cent of total expenditure (see Figure 12).

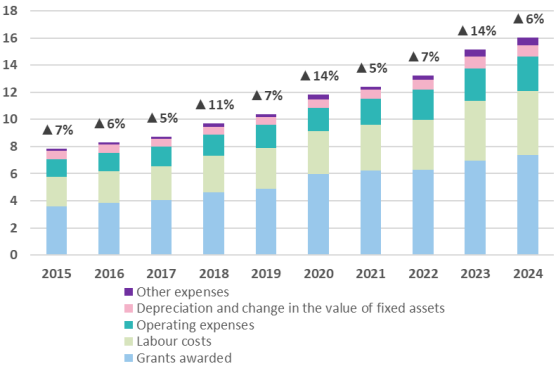


Figure 12. Structure of the expenditure of the general government sector, in billions of euros

In 2024, the shares of grants awarded and operating expenses in total general government sector expenditure each decreased by 0.1 percentage points compared with the previous year, while the shares of labour costs and other expenditure each increased by 0.3 percentage points.

Although the growth rate of labour costs slowed in 2024 compared with the previous year, the increase in labour costs was faster than the growth of total general government sector expenditure, unlike operating expenses and grants awarded. The rise in the general government sector labour costs in 2024 was driven by labour costs in other general government sector entities, whereas in the state budget institutions the increase remained significantly smaller due to cost-saving measures. By functional area, the general government sector labour costs increased the most in education (139.4 million euros) and health care (109.8 million euros). The share of other expenditure rose in 2024 due to the continued increase in interest expense.

This affected, for example, the reduction of family allowances in 2024 by 75.9 million euros, although this decrease was also influenced by the new family allowance rates that came into force on 1 January 2024 – for a large family with three to six children, the allowance was set at 450 euros per month, and for seven or more children, at 650 euros per month. From February 2023 to January 2024, the large-family allowance was 650 euros per month for three to six children and 850 euros per month for seven or more children.

An overview of grants and subsidies received and awarded, including the distribution by area of activity, can be found in section 4.6 of the annual accounts in Note c15.

EXPENDITURE OF THE GENERAL GOVERNMENT SECTOR[14] BY AREA OF ACTIVITY

Labour costs

Labour costs of the general government sector[15] amounted to 4.76 billion euros in 2024 (see Figure 13) and accounted for 12.3 per cent[16] of GDP. Compared to the previous year, the proportion of GDP has increased by 0.6 percentage points. In 2024, labour costs increased the most in social security funds (11.5 per cent), followed by local governments[17] (8.1 per cent) and the central government (6.2 per cent).

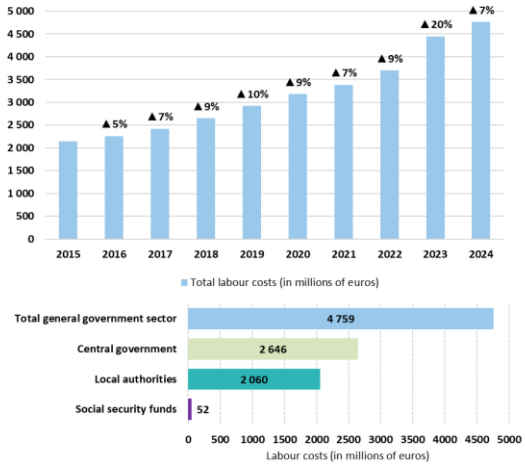


Figure 13. Change in the labour costs of the general government sector over the years. Source: Public Sector Financial Statements system of the Ministry of Finance

In 2024, the average gross monthly salaries and wages in the general government sector increased by 7.7 per cent, slightly below the national average gross salaries and wages growth of 8.1 per cent. Within the general government sector, the fastest growth was in social security funds (11.6 per cent). Increase in the average gross salaries and wages of local governments was 7.7 per cent and 7.3 per cent in the central government.

The gross monthly salaries and wages of the general government sector have increased by 107 per cent over a decade, while the Estonian average gross monthly salaries and wages have increased by 86 per cent. The average gross monthly salaries and wages of the general government sector have increased from 1,081 euros to 2,235 euros during this period (see Figure 14).

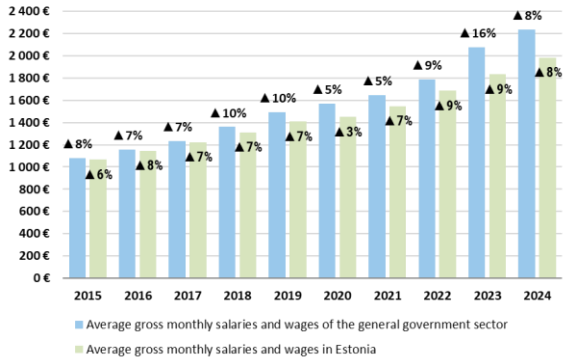


Figure 14. Change in the Estonian average gross monthly salaries and wages and average gross monthly salaries and wages of the general government sector over the years. Source: Public Sector Financial Statements system of the Ministry of Finance

In 2024, the Estonian average gross monthly salaries and wages was 1,981 euros. The gap between the average gross monthly salaries and wages in the general government sector and the average gross monthly salaries and wages in Estonia has narrowed. There are more employees with higher education in the general government sector, which is why the salaries and wages are higher than the Estonian average gross monthly salaries and wages.

The number of employees in the general government sector in 2024 was 125,557[18], a statistical increase of 1,583 employees, i.e. 1.3 per cent. The employees of the general government sector were divided between the central government, local governments, and social security funds.

Local governments employed 52 per cent of total general government sector employees, central government 47 per cent and social security funds one per cent of total general government sector employees.

More detailed information on the general government sector employment numbers and average salaries and wages can be found on the Ministry of Finance website (Public sector statistics | Ministry of Finance).

Management expenses

In 2024, the general government sector management expenses amounted to 2.51 billion euros (2.38 billion euros in 2023), an increase of 5.4 per cent over the year. In 2024, the largest increases in the general government sector expenditure were in defence-related supplies and materials (179.8 million euros, 85.3 per cent), educational materials and training (32.2 million euros, 36.0 per cent), medical supplies and services (21.6 million euros, 7.7 per cent), and information and communication technology (21.5 million euros, 13.2 per cent). In 2024, the largest decrease, i.e. 87.8 million euros (72.1 per cent), was in social service expenditure, since many social services, including care, rehabilitation, and restorative services, were reclassified under the social benefits group starting in 2024. Management expenses also

[14] Excl. grants and subsidies.
[15] Labour costs comprise the following parts: basic wage of permanent staff, additional remuneration, compensation, bonuses and performance pay, holiday pay, taxes and social security contributions related to labour costs, fringe benefits, wages of other persons, wages arising from contracts under the law of obligations, special pensions, pension increased, capitalised labour cost.
[16] Source: Eurostat (*Compensation of employees, expenditure,* last updated on 22 April 2025).
[17] Includes entities under the dominant influence of entities in the general government sector.
[18] The average number of employees reduced to full-time working hours per year has been taken as the number of employees throughout the chapter.

decreased for other specialised supplies and materials (19.9 million euros, 52.2 per cent) and for machinery, equipment, and inventory (14.8 million euros, 11.9 per cent). In 2024, management expenses increased most significantly in the area of national defence (185.8 million euros). An overview of the management expenses of the general government sector can be found in section 4.6 in Note c21.

INVESTMENTS OF THE GENERAL GOVERNMENT SECTOR BY SECTOR

When comparing 2024 with 2023, the share of investment by state budget institutions increased to 48 per cent of the general government sector investments (see Figure 15). Investments of the general government sector increased by 77.7 million euros (4.6 per cent) in 2024 compared to the previous year. In 2024, a total of 1.76 billion euros were invested (1.68 billion euros in 2023). Of this, 840.2 million euros (745.4 million euros in 2023) were invested by public authorities and 348.4 million euros (422.2 million euros in 2023) by local governments.

The general government sector investments increased most in the fields of national defence (146 million euros, 38.6 per cent) and transport (114 million euros, 26.6 per cent), and decreased most in health care (75.0 million euros, 48.0 per cent). An overview of the investments of the general government sector by area of activity can be found in the annual accounts section 4.6 in Note c10.

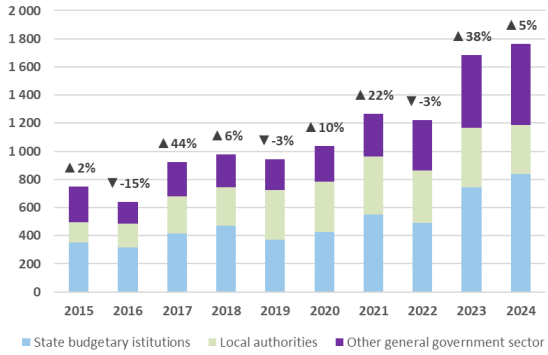


Figure 15. Investments of general government entities, in millions of euros

1.1.7 Balance sheet of the general government sector

STRUCTURE OF THE BALANCE SHEET

At the end of 2024, the consolidated assets of the general government sector amounted to 27.54 billion euros (70 per cent of GDP), increasing by 3.17 billion, i.e. 8.0 per cent, in a year (13 per cent of GDP (see Figure 16)). The largest share of assets was in illiquid non-financial assets (hereinafter 'other assets'), which accounted for 50.8 of total assets and amounted to 14 billion euros (35 per cent of GDP) at the end of 2024, with property, plant and equipment accounting for the largest share, i.e. 97.7 per cent.

Other assets increased by 1.65 billion euros over the year, equivalent to 13.3 per cent. This growth is similar to last year's increase of 12.3 per cent, but represents a significantly faster pace than in previous years. The average growth over the preceding five years was 5.9 per cent. The main increase in 2024 was due to national defence investments (see Figure 21).

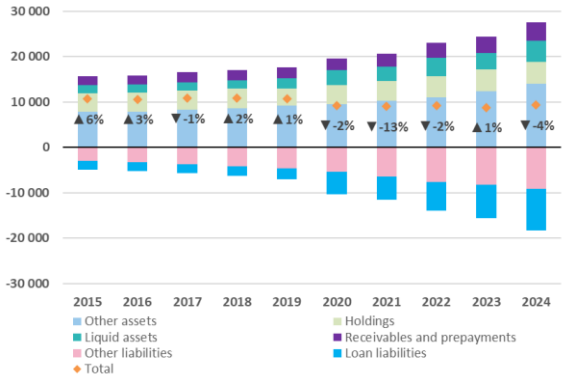


Figure 16. Balance sheet of the general government sector, in millions of euros

Holdings with a proportion of 17 per cent accounted for the second largest share — 4.77 billion euros (12 per cent of GDP) at the end of 2024. This was followed by liquid assets (17 per cent of total assets, i.e. 4.78 billion euros) and receivables and prepayments (15 per cent of total assets, i.e. four billion euros). Liquid assets grew 29,8 per cent, driven by short-term financial investments.

At the end of 2024, the general government sector liabilities amounted to 18.24 billion euros (46 per cent of GDP), having increased by 2.65 billion euros, i.e. 17 per cent (seven per cent of GDP) over the year.

Liabilities are divided into two: loan liabilities (49 per cent of liabilities) and other liabilities (51 per cent of liabilities). Borrowing or loan liabilities stood at 9.02 billion euros at the end of 2024 (23 per cent of GDP), and their growth has accelerated since 2020. Over the past year, they increased by 1.01 billion euros, i.e. 12 per cent (see Subchapter 'Debt liabilities of the general government sector'). Other liabilities amounted to 9.21 billion euros (23 per cent of GDP) at the end of 2024. Other liabilities include provisions, prepayments received, trade payables, and payables to employees. Their growth is influenced by broader price and increase in salaries and wages.

Net assets of the general government sector amounted to 9.29 billion euros (24 per cent of GDP) at the end of 2024 (see Figure 17).

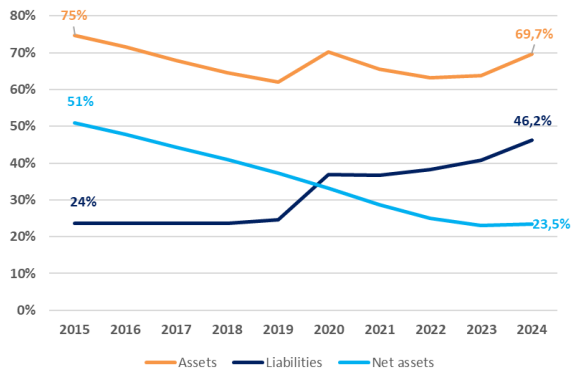


Figure 17. Proportion of assets, liabilities and net assets of the general government sector of GDP[19]

The net assets of the general government sector increased by 515.5 million euros over the year, i.e. 5.9 per cent. The increase in net assets reflects, as of the end of 2024, the first-time recognition of defence-related stocks amounting to 707.8 million euros (previously recorded as acquisition costs in expenses), which also increased the net assets of the general government sector. At the end of previous years, it was not possible to estimate the volume of these stocks (see Section 4.4, 'Part B' of the general government sector statement of changes in net assets).

CURRENT ASSETS AND LIQUID ASSETS

Liquid assets accounted for 4.78 billion euros, i.e. 52 per cent, of the current assets of the general government sector (9.19 billion euros) at the end of 2024. The State Treasury Department of the Ministry of Finance managed 71 per cent of the liquid assets of the general government sector, being in charge of state financial reserves in the amount of 3.39 billion euros (see Figure 18). The State Treasury Department is responsible for the consolidated cash flow management of state agencies, social security funds and state-owned foundations and manages the Liquidity Reserve and the Stabilisation Reserve Fund (see Subchapter 'Principles for consolidated cash flow and financial risk management of the state').

At the end of 2024, the current assets of the general government sector exceeded current liabilities by 3.63 billion euros, i.e. 1.7 times[20]. This indicates the generally good short-term financial capacity of the general government sector, as current assets exceed current liabilities. At the end of 2023, the current ratio was 1.6, indicating an improvement in the indicator. Over the past ten years, the ratio has remained at an average level of 2.0, and it fell below this level since 2020.

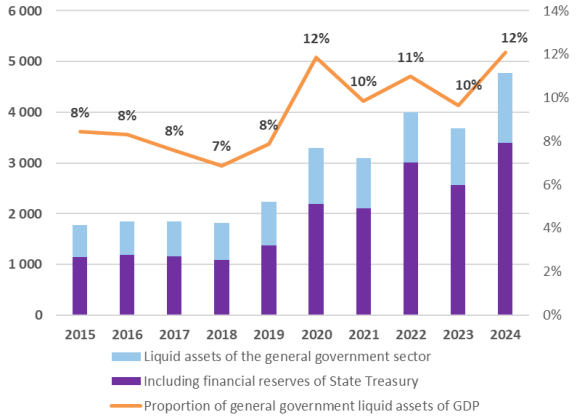


Figure 18. Liquid assets of the general government sector, including financial reserves held by the State Treasury, in millions of euros[21]

RECEIVABLES AND PREPAYMENTS

The current and non-current receivables and prepayments of the general government sector increased by 412.9 million euros, i.e. 11.5 per cent, to four billion euros (10.1 per cent of GDP, see Figure 19) over the year.

Tax, state fee, and fine receivables accounted for 1.77 billion euros, i.e. 44 per cent, of all receivables and prepayments, other current receivables and prepayments for 1.46 billion euros (37 per cent), and other non-current receivables and prepayments for 0.77 billion euros (19 per cent). Among the current receivables and prepayments, the largest share of 54 per cent is represented by outstanding targeted financing of 782.2 million euros, and among the long-term receivables and prepayments, the largest share is represented by loans granted of 606.4 million euros, accounting for 79 per cent of the total (see 4.6 Note c4). Loans include the amount of 442.3 million euros reflecting Estonia's share of the obligations under the EFSF[22] framework agreement (447.1 million euros at the end of 2023), which was granted under the European Union support programme. This mainly includes loans from the Estonian state to Greece, Ireland, and Portugal, issued through the European Stability Mechanism (see 2.7 Note a6). This amount is also recognised under government debt liabilities (see 2.7 Note a17). In addition to the loan liabilities, long-term interest payables amounting to 39.8 million euros (34.1 million euros at the of 2023) are included (see 2.7 Note a15).

[19] Statistics Estonia regularly reassesses and retroactively adjusts economic and financial indicators, so the details are subject to change.
[20] Current ratio (current assets / current liabilities)
[21] Statistics Estonia regularly reassesses and retroactively adjusts economic and financial indicators, so the details are subject to change.
[22] The European Financial Stability Facility (EFSF) is an institution jointly established by the euro zone countries in June 2010 to ensure the financial stability of the euro area. The European Financial Stability Facility issued long-term loans to Ireland, Greece and Portugal, for the financing of which long-term bonds guaranteed by euro zone countries were issued. The European Financial Stability Facility will not be issuing new loans to the members of the euro zone as this function was taken over by the European Stability Mechanism founded in 2021.

The largest lenders in the general government sector include the Ettevõtluse ja Innovatsiooni SA[23], Maaelu Edendamise SA[24] , and the Environmental Investment Centre. The loan receivable of Ettevõtluse ja Innovatsiooni SA from the bankrupt Nordic Aviation Group AS amounted to 7 million euros as of 31 December 2024. At the end of 2024, this was recognised as doubtful expenditure unlikely to be recovered (see 2.7 Note a26). Due to the termination of the consolidation of Nordic Aviation Group AS, the loan receivable was recognised in the state consolidated balance sheet in an amount equal to the previously written down doubtful receivable.

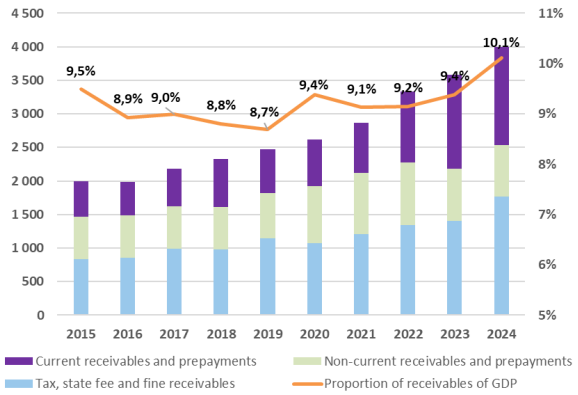


Figure 19. Receivables and prepayments of the general government sector, in millions of euros[25]

HOLDINGS

At the end of 2024, the general government sector had holdings in the amount of 4.77 billion euros (12 per cent of GDP), which is 11.7 million euros, i.e. 0.2 per cent, more than the previous year (see Figure 20).

State-owned subsidiaries and associates in the value of 3.58 billion euros accounted for the largest share (75 per cent) of the general government sector holdings. State holdings in them decreased by 26.3 million euros over the year (see 4.6 Note c6 and 2.7 Note a9).

Holdings of local governments in subsidiaries and associates amounted to 392.2 million euros, increasing by 4.2 million euros in 2024 (see 4.6 Note c6 and 3.6 Note b5).



Figure 20. Holdings and dividends of the general government sector in millions of euros

State holdings in international organisations amounted to a total of 278.1 million euros (277.4 million euros in 2023). The largest was the holding in the European Stability Mechanism in the amount of 204.7 million euros (see 2.7 Note a3). In 2024, dividend income in the amount of 245.4 million euros, which was 42.9 million euros more than a year earlier, was received from subsidiaries and associates.

At the end of 2024, the state owned 28 subsidiaries and associates (30 companies at the end of 2023). During 2024, the number of these companies decreased by two, as Eesti Loots AS and Eesti Vanglatööstus AS were liquidated.

Of the state subsidiaries and associates, nine are included in the general government sector, the largest of which were AS Riigi Kinnisvara, Eesti Raudtee AS, and Eesti Varude Keskus OÜ (see 2.7 Note a1 B2). In 2023, Estonian Raudtee AS and Eesti Keskkonnauuringute Keskus OÜ were added to the general government sector.

The general government sector did not include 19 state subsidiaries and associates, the largest of which were Eesti Energia AS (group), State Forest Management Centre, and Elering AS (group).

Consolidated overviews of holdings[26] are published annually, providing more detailed information about the principal activities and financial position of state-owned foundations and companies.

OTHER ASSETS

Approximately half of the total general government sector assets consisted of other assets, which include, in addition to property, plant and equipment and intangible non-current assets, biological assets, investment property, and inventories. The volume of other assets increased by 1.65 billion euros over the year and amounted to a total of 14 billion euros (35 per cent of GDP) at the end of 2024. Property, plant and equipment increased by 0.90 billion euros to 12.28 billion euros over the year and accounted for 87.7 per cent of other assets.

The volume of inventories nearly tripled compared to 2023, increasing by 738.4 million euros and reaching a total of 1.18 billion euros by year-end. Of this increase, 707.8 million euros consisted of defence-related inventories recorded for the first time on the balance sheet (previously recognised as an expense upon acquisition).

23 Informative translation: Estonian Business and Innovation Agency

24 Informative translation: Estonian Rural Development Foundation

25 Statistics Estonia regularly reassesses and retroactively adjusts economic and financial indicators, so the details are subject to change.

26 Overview of the state holding policy principles: https://www.fin.ee/riigihanked-riigiabi-osalused/riigi-osalused.

Buildings and facilities accounted for the largest share, i.e. 68.0 per cent, of the non-current assets of the general government sector, worth 8.35 billion euros.

Land amounted to 861.8 million euros and plant and equipment to 929.6 million euros (see 4.6 Notes c7, c8, and c9).

In 2024, the general government sector agencies acquired non-current assets for 1.76 billion euros. This was 77.7 million euros more than in 2023.

In 2024, the largest investments were made in transport (540.4 million euros) and national defence (525.4 million euros), where the volume of acquisitions grew most rapidly, by 39 per cent (see 4.6 Note c10 and Figure 21).

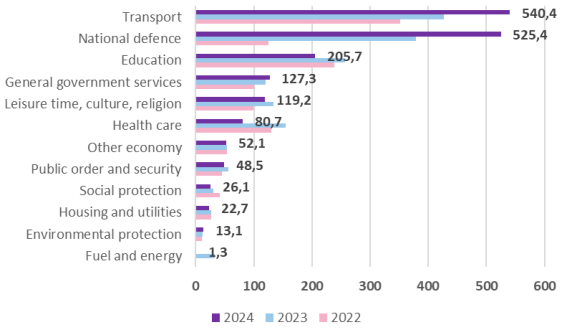


Figure 21. Acquisition by the general government sector of property, plant and equipment and intangible non-current assets and investment property by areas of activity in millions of euros in the last three years

OTHER LIABILITIES

The general government sector liabilities are divided into two: loan liabilities[27] and other liabilities. Other liabilities include provisions, prepayments received, and liabilities to suppliers and employees. Other liabilities increased by 1.01 billion euros, i.e. 12,3 per cent, over the year, amounting to 9.21 billion euros at the end of 2024 (see 4.6 Note c12 and c13). Provisions accounted for 55.4 per cent and other payables 44.6 per cent of other liabilities (see Figure 22).

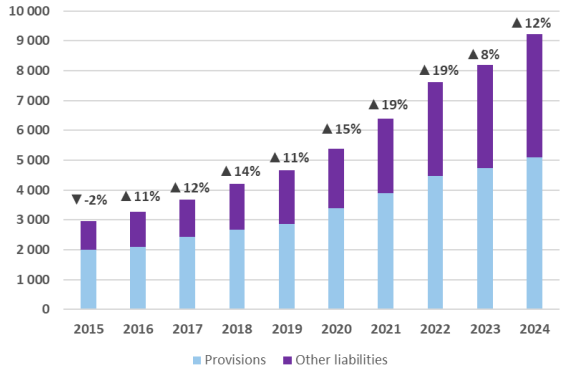


Figure 22. Structure of liabilities (excluding loan liabilities), in millions of euros

At the end of 2024, the general government sector provisions amounted to 5.10 billion euros, which was 7.8 per cent more than in 2023 (see 4.6 Note c13). Of the provisions, 98.4 per cent were public sector pension liabilities (5.02 billion euros) (see Figure 23). Other provisions (83.2 million euros) consisted of guaranteed liabilities, loan securities, legal costs, and environmental protection provisions.

Pension provisions are calculated for the former and current employees of the state and their family members who have a statutory right for special pensions or a pension increase which exceeds the ordinary state pension. These include police and rescue officers, servicemen, prosecutors, judges and the Chancellor of Justice, Members of Parliament, and other officials (see 2.7 Note a16 A). As of the end of 2024, public sector pension provisions were accounted for a total of 32,612 individuals (32,400 at the end of 2023) amounting to 5.01 billion euros (4.65 billion euros in 2023). Of the recipients of pension provisions, 15,597 were retired (15,093 at the end of 2023). Factors affecting the size of provisions for special pensions include life expectancy, interest rates, the number of pensioners, and their accumulated pension rights.

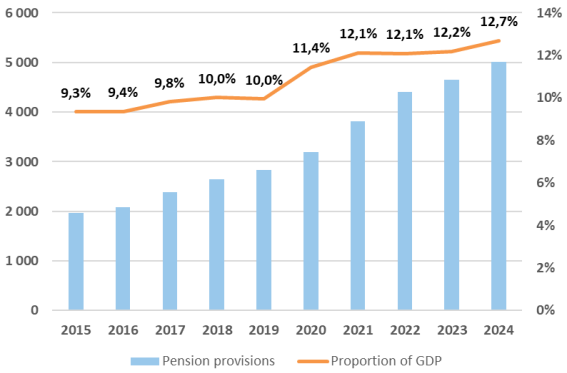


Figure 23. Pension provisions in millions of euros and proportion of GDP[28]

Since actuarial gains and losses on pension provisions may fluctuate significantly year by year, they are recognised directly as changes in net assets. In 2024, these amounted to a total loss of 168.0 million euros (237.3 million euros in 2023). Actuarial loss is affected by the change in long-term forecast of the average salaries and wages and the pension index. The amounts accrued for the current period are recognised under labour costs (see 2.7 Note a23).

Of other provisions, the largest, 51.5 million euros, relates to provisions for guarantee obligations and loan guarantees, which are reported in the consolidated accounts of Ettevõtluse ja Innovatsiooni SA, Maaelu Edendamise SA, and AS KredEx Krediidikindlustus. In 2024, the corresponding provisions were reduced by 2.3 million euros (increased by 4.7 million euros in 2023), and payments of 1.7 million euros were made (4.1 million euros in 2023).

[27] Loan liabilities are explained in more detail in Subchapter 'Debt liabilities of the general government sector'.
[28] Statistics Estonia regularly reassesses and retroactively adjusts economic and financial indicators, so the details are subject to change.

The financial statements of the state do not recognise the first pillar pension contributions earned by Estonian employees to be charged (state pension) as liabilities, therefore, no dedicated provision has been formed for this liability. According to International Public Sector Accounting Standards, the first pillar pension contributions are recognised in financial statements in the period for which they are due. At the same time, the Ministry of Finance prepares long-term forecasts of state pension revenue and expenditure and assesses the difference between projected social tax received and projected state pension expenditure, which must be funded by other income of the state budget.

1.1.8 Debt liabilities of the general government sector

Debt liabilities of the general government sector by entity

The statistical debt burden of the general government sector at the end of 2024 was 9.33 billion euros (23.6 per cent of GDP), having increased by 1.62 million euros, i.e. 21 per cent, compared to the previous year (see Figure 24).

The largest increase, 1.49 billion euros, i.e. 28 per cent, occurred in 2024 in debt liabilities for the state due to the ongoing war in Ukraine and rising defence expenditure. At the end of 2024, the 6.84 billion euro debt portfolio of the Ministry of Finance accounted for 73 per cent of the debt burden of the general government sector.

Debt liabilities of the state also include the state guarantee for the loans granted by the European Financial Stability Facility in the amount of 482 million euros, which accounted for five per cent of the total general government sector debt in 2024. Compared to 2023, the liability related to the European Financial Stability Facility decreased by one million euros. To date, Estonia has not made any payments related to the state guarantee for debt liabilities of the European Financial Stability Facility.

At the end of 2024, the debt liabilities of other central government entities in the general government sector amounted to 480 million euros. These debt liabilities account for five per cent of the total general government sector debt.

Debt liabilities of local governments increased by 165 million euros, i.e. 12 per cent, over the year and amounted to 1.53 million euros at the end of 2024, accounting for 16 per cent of the total general government sector debt.

The social security funds had no debt liabilities.

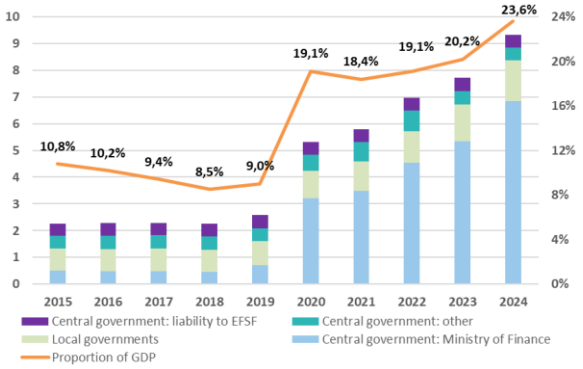


Figure 24. Breakdown of general government sector debt liabilities by entities, in billions of euros. Source: Statistics Estonia[29]

Structure of debt liabilities of the general government sector

Bonds accounted for 58 per cent of the general government sector debt liabilities, loans 41 per cent, and finance leases one per cent at the end of 2024 (see 4.6 Note c14).

The proportions of the instruments of debt liabilities changed significantly in 2020, when the Ministry of Finance returned to the international capital markets. The share of long-term bonds has increased. As of the end of 2024, three government bonds with a total value of 4 billion euros had been issued on international capital markets. In addition, in the autumn of 2024, a domestic bond issuance of 200 million euros took place (see Figure 25).

For cash flow management, the Ministry of Finance also uses T-bills and commercial papers (the balance at the end of 2024 is 984 million euros) and long-term loans from the Nordic Investment Bank, the European Investment Bank, the Council of Europe Development Bank, and the European Commission (balance 1.65 billion euros at the end of 2024 (see 2.7 Note a17 and Table 3)). All debt liabilities of the general government sector are in euros.

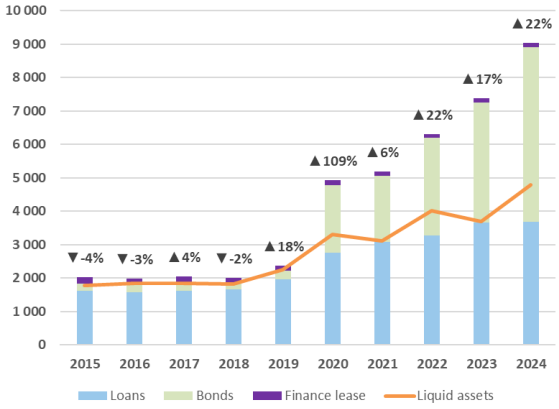


Figure 25. Debt liabilities of the general government sector on the basis of instruments in millions of euros

The refinancing risk of the debt portfolio of the Ministry of Finance as the biggest borrower in the general government sector is low. Repayments of the principal amount of debt liabilities are evenly distributed over the years. Major principal repayments of debt liabilities start from

[29] Statistics Estonia regularly reassesses and retroactively adjusts economic and financial indicators, so the details are subject to change.

2030, when the issued long-term bonds will be redeemed (see Figure 26).

The weighted average maturity of the state's debt obligations was 5.8 years (see Figure 27), which has decreased compared to the previous year due to an increased proportion of short-term debt instruments. For comparison: According to the European Commission data, the average repayment period of debt liabilities of European Union countries at the end of 2024 was 8.3 years.

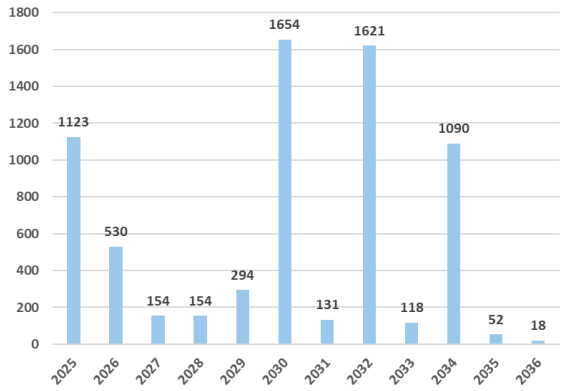


Figure 26. Debt liabilities' repayment profile of the Ministry of Finance, in millions of euros

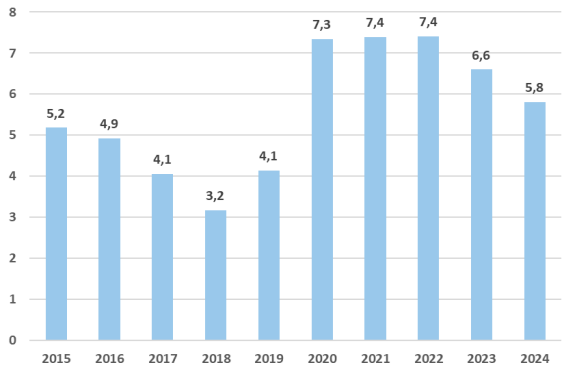


Figure 27. Weighted average repayment period of debt liabilities of the Ministry of Finance, in years

Table 3. Comparison of the structure of debt liabilities of the Ministry of Finance in 2022, 2023, and 2024, in millions of euros

	31/12/2022	Proportion	31/12/2023	Proportion	31/12/2024	Proportion	Net change 2024/2023
Total debt liabilities	**4,528**	**100%**	**5,341**	**100%**	**6,836**	**100%**	**1,495**
Long-term loans	1,678	37%	1,820	34%	1,652	24%	–168
Short-term debt instruments	350	8%	521	10%	984	14%	463
Long-term bonds	2,500	55%	3,000	56%	4,200	61%	1,200
Weighted average interest rate	**1.62%**		**2.85%**		**2.67%**		
Average term to maturity	**7.4 years**		**6.6 years**		**5.8 years**		

1.1.9 Contingent liabilities

The main contingent liabilities of the general government sector (see 4.6 Note c27) have remained between 4.61 and 8.04 billion euros in the last decade, increasing by 1.14 billion euros during 2024. The proportion of these liabilities of GDP accounts for 21 per cent of GDP at the end of 2024 (see Figure 28).

The two largest liabilities – delivery contracts and investment liabilities (2.77 billion euros, 34 per cent of contingent liabilities) and callable capital in international financial institutions (2.04 billion euros, 26 per cent of contingent liabilities) – accounted for 60 per cent of the contingent liabilities of the general government sector in 2024. Compared to 2023, these contingent liabilities increased by 941 million euros.

At the request of international financial institutions, the state must pay a total of 2.04 billion euros for its callable capital, the largest liability of which (1.59 billion euros) is to the European Stability Mechanism. The callable capital of other financial institutions are significantly lower: for example, the European Investment Bank 188 million euros, the World Bank 150 million euros, the Nordic Investment Bank 69 million euros (see 2.7 Note a30 A). The remaining contingent liabilities are related to state guarantees (1.98 billion euros, 25 per cent of contingent liabilities), liabilities arising from grants awarded and mediated (845 million euros, 10 per cent of contingent liabilities), and liabilities arising from pending court cases, other contracts, and securities (totalling 401 million euros, five per cent of contingent liabilities) (see Figure 29).

Guarantee for debt liabilities of the European Financial Stability Facility[30] accounts for 1.55 billion euros, i.e. 76 per cent, and Ettevõtluse ja Innovatsiooni Sihtasutus guarantees for business and housing loans and export guarantees account for 272.0 million euros, i.e. 13 per cent, of the state guarantees. Other smaller guarantees have been given to international financial institutions to guarantee loans or various projects (see 2.7 Note a30 B).

[30] From 2011 onwards, Estonia provides guarantees for each bond issue of the European Financial Stability Facility according to its holding capacity to the extent of up to 1.99 billion euros.

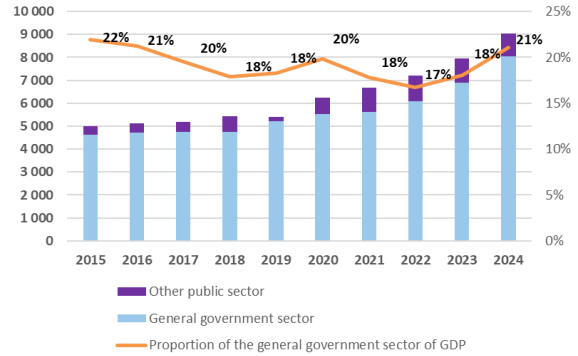


Figure 28. Total contingent liabilities of the public sector and the general government sector, in millions of euros[31]

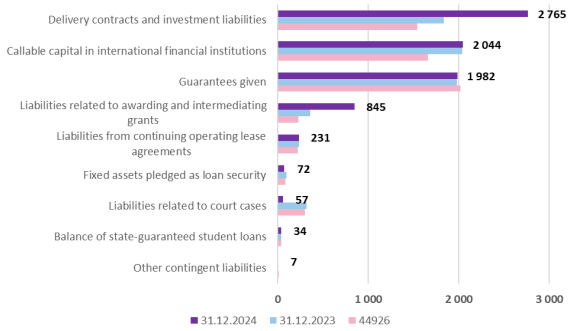


Figure 29. Contingent liabilities of the general government sector by type, in millions of euros

1.1.10 Principles of managing the state's financial risks and liquidity

CONSOLIDATED CASH FLOW MANAGEMENT OF THE STATE

Within the general government sector, the state has brought 220 institutions under consolidated cash flow management: all 164 state agencies, 52 foundations, Tervisekassa, Töötukassa, AS Pensionikeskus, and the European Commission (see 2.7 Notes a2 and a15). The Treasury Department of the Ministry of Finance is responsible for the management of settlements, payment services, and cash flow through the e-State Treasury system and bank accounts in the name of Ministry of Finance in credit institutions linked to the Treasury Single Account (TSA) system. The large institutions of the general government sector that are outside the consolidated cash flow management of the State Treasury Department are the Guarantee Fund, local governments and their entities, universities, and state companies.

Consolidated cash flow management allows achieving better synergies within the group. The state is therefore able to postpone borrowing and to use the available funds of the general government sector flexibly and efficiently. Tervisekassa, Eesti Töötukassa and foundations do not have to manage financial assets or cash flow. In addition, the State Treasury Department pays them interest on the balance of cash at a rate equal to the yield of the liquidity reserve.

PRINCIPLES OF THE STATE'S FINANCIAL RISK MANAGEMENT

The State Treasury Department of the Ministry of Finance manages two investment portfolios: the liquidity reserve for managing daily cash flow and the Stabilisation Reserve Fund for crisis situations. Financial instruments are invested in bonds and deposits of high credit rating and liquidity on international financial markets. From 2024 onwards, the Stabilisation Reserve Fund is also invested in exchange-traded funds.

The State Treasury Department follows a conservative investment strategy in managing the liquidity reserve in order to ensure the preservation of the value and liquidity of funds and the earning of revenue within the approved risk limits. The objective of managing the Stabilisation Reserve Fund is, within the established limits, to increase the long-term value of the Stabilisation Reserve Fund and maintain sufficient liquidity so that, if necessary, the objectives named in the State Budget Act can be met (see Figure 30).

Financial risk management of the liquidity reserve is based on the principles of asset-liability management[32], according to which the financial risks of financial assets and liabilities are as neutral as possible, meaning that risks are naturally hedged (see Table 4). The ratio of financial risks and expenditure related to the assumption of the state's debt liabilities must be in line with the state's ability to meet its debt liabilities.

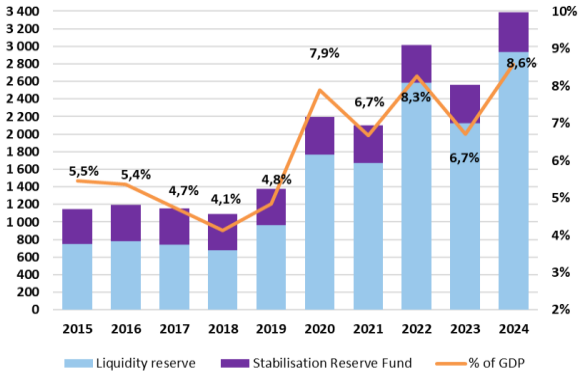


Figure 30. Size of state financial reserves in millions of euros and their proportion of GDP. Source: Ministry of Finance, Statistics Estonia[33]

In order to ensure the timely fulfilment of the state's payment obligations, the minimum level of the liquidity reserve and current debt liabilities (overdraft, short-term

[31] Statistics Estonia regularly reassesses and retroactively adjusts economic and financial indicators, so the details are subject to change.
[32] ALM – *asset-liability management.*
[33] Statistics Estonia regularly reassesses and retroactively adjusts economic and financial indicators, so the details are subject to change.

credit limit and other similar contracts) are monitored. In order to ensure liquidity, funds of the liquidity reserve can only be invested in deposits with a maturity of up to three months and liquid bonds.

Investments made in euros are considered free of currency risk. It is not permitted to assume currency risk in managing the Stabilisation Reserve Fund. Currency risk may be assumed up to one per cent of the market value of the liquidity reserve.

Interest risk and market risk of the Stabilisation Reserve Fund are measured against benchmark compiled quarterly. The benchmark is composed of government bonds, money market instruments, and exchange-traded funds of at least A–rated countries of the euro area . Investments of the Stabilisation Reserve Fund in exchange-traded funds market risk is not taken relative to the benchmark portfolio. For the purposes of managing the interest rate risk of loans granted by the liquidity reserve and the State Treasury, their average modified maturity may not exceed 0.45 years. The benchmark of liquidity reserve is the one month €STR swap rate. The interest rate risk of debt liabilities is measured using the average interest refixing period method. As of the end of 2024, the average interest refixing period for debt liabilities was 4.75 years and 4.99 years at the end of 2023.

In managing credit risk, the State Treasury uses the credit ratings assigned to issuers and credit institutions by the international rating agencies Moody's, Standard & Poor's (S&P) and Fitch. Financial assets of the liquidity reserve may be invested in long-term (maturity over one year) securities with a credit rating of at least Aa3 (Moody's) or AA– (Standard & Poor's and Fitch). For the Stabilisation Reserve Fund, the limits are A3 (Moody's) or A– (Standard & Poor's and Fitch), accordingly. The credit rating of short-term (maturity under one year) investments must be at least Prime-1 (Moody's), A-1 (Standard & Poor's) or F-1 (Fitch) for both the liquidity reserve and Stabilisation Reserve Fund. There are additional restrictions on investments in credit institutions through which national settlements are conducted.

The funds of the liquidity reserve and Stabilisation Reserve Fund may not be invested in the European Financial Stability Facility or the European Stability Mechanism bonds. Furthermore, the funds of the Stabilisation Reserve Fund may not be placed in credit institutions where deposits are secured in accordance with the Guarantee Fund Act. The proportion of transactions related to one credit institution or issuer and its group may constitute up to 20 per cent of the market value of the respective investment portfolio. At least 65 per cent of the market value of the Stabilisation Reserve Fund must be placed in the bonds of general government sector issuers.

Refinancing risk is also taken into account when managing financial risks related to debt liabilities. In order to avoid an excessive payment burden on the state budget, a limit has been established on the balance of outstanding current debt liabilities. This may not exceed 25 per cent of the total amount of state budget expenditure and investments for the respective year. Repayments of long-term debt should, as far as possible, be spread over the years in such a way that the long-term debt liabilities to be repaid in one year do not exceed five per cent of the forecasted gross domestic product for a given year.

Table 4. Main risk indicators of liquidity reserve, Stabilisation Reserve Fund, and debt liabilities assumed by the Ministry of Finance

	Debt liabilities assumed		Liquidity reserve		Stabilisation Reserve Fund	
	31/12/2023	**31/12/2024**	**31/12/2023**	**31/12/2024**	**31/12/2023**	**31/12/2024**
Market value	5,341 million euros	6,836 million euros	2,123 million euros	2,938 million euros	440 million euros	453 million euros
Modified duration	4.41 years	4.21 years	0.09 years	0.19 years	1.85 years	3.39 years
Average term to maturity	6.62 years	5.82 years	-	-	-	-
Average interest refixing period	4.99 years	4.75 years	-	-	-	-
Currency	100% euro	100% euro	99.94% euro and 0.06% other currency	100% euro	100% euro	100% euro

1.2 Overview of activities

Since 2020, the Estonian state budget has been performance-based, meaning that the strategic objectives of the state are linked to the resources available.

Overview of progress toward long-term goals is provided in the implementation review of the long-term development strategy 'Estonia 2035'[34]. Activities of the ministries are covered in brief overviews of performance areas. For a more detailed overview, the topics are accompanied by a link to a more detailed report.

At the end of the chapter, an overview of the activities of constitutional institutions in 2024 and the results of internal and external assessments of internal audit units of ministries is presented.

1.2.1 Long-term development strategy 'Estonia 2035'

On 12 May 2021, the *Riigikogu* adopted the long-term development strategy of the state 'Estonia 2035'. Its targets are the following:

- Estonian people are smart, active and care about their health;
- Estonian society is caring, cooperative, and open-minded;
- Estonian economy is strong, innovative and responsible;
- Estonia offers a safe and high-quality living environment that takes into account the needs of all its inhabitants;
- Estonia is an innovative, reliable and people-centred country.

The adherence to the principles of 'Estonia 2035', the achievement of strategic objectives, and the implementation of necessary changes are monitored through interlinked metrics, the current status of which can be viewed in Statistics Estonia's web application *Tõetamm*. All of Estonia's strategic development documents[35] contribute to the implementation of the strategy, meaning that it is carried out through sectoral development plans and programmes. More detailed information on the activities implemented in 2024 can be found in the overviews of performance areas. Each year, an overview of the progress made towards achieving the 'Estonia 2035' goals is presented both to the *Riigikogu* (through the speeches of the Prime Minister and ministers, along with accompanying briefing materials[36]) and to the Government of the Republic[37].

According to Statistics Estonia, as of 12 March 2025, 62 per cent of the metrics set out in the 'Estonia 2035' strategy were either achieved or moving towards their targets (13 achieved, 24 moving towards achievement, 23 moving away from the target).

NATIONAL LONG-TERM DEVELOPMENT STRATEGY 'ESTONIA 2035'

Metrics of the 'Estonia 2035' core principles

- In 2024, the **population** was 1,374,687, and compared to 2023, it did not decrease, which aligns with the goal set in the 'Estonia 2035' strategy. As of 1 January 2025, the population had, however, decreased compared to 2024 – to 1,369,285. The decline in population was primarily due to a deepening negative birth rate, which was no longer offset by positive net migration. In recent years, population growth has been largely driven by immigration, and the January 2025 figure represents the first decrease since 2016.
- **The cohort fertility rate**, which indicates the average number of children born per woman over their reproductive lifespan of 40-year-old women, was 1.83 in 2024, which was 0.01 higher than in 2023 ('Estonia 2035' target: 1.86). Low fertility is a challenge across Europe. The century's lowest fertility is likely influenced by the coronavirus crisis, the war in Ukraine, and the resulting rise in prices and cost of living, which has reduced families' confidence in having children. Fertility and the well-being of families with children are also affected by other factors, including the size of the reproductive-age population, geographic distribution of young men and women, insecurity, and so on. Detailed information on government activities in 2024 in social, education, and health care sectors is available in the chapters on specific performance areas.
- **The share of people living outside Harju County and Tartu County** slightly decreased in 2024 (41.4 per cent in 2023 compared to 41 per cent in 2024). The current decline in population outside the Tallinn urban region reflects long-term changes in Estonia's regional population development, resulting in rapid population aging.
- **The proportion of Estonian native speakers in the population** has slightly decreased (64.3 per cent in 2024, 0.5 per cent less than in 2023), which may be due to the positive migration balance in recent years. Nevertheless, the share of people using Estonian remains high (91.5 per cent in 2024) and aligns with the target for 2035 (over 91 per cent). These indicators are supported and likely further improved by the transition to Estonian-language education and various activities in the Cohesive Estonia performance area.
- **The proportion of residents considering Estonia a safe country** remains high (88 per cent in 2024) and, although slightly lower than in 2022 (by 2 percentage points), the change falls within a 3.1 per cent

[34] Overview of the implementation of the 'Estonia 2035' action plan: Materials | Government of the Republic of Estonia; Implementation | Government of the Republic of Estonia. Metrics with time series: *Tõetamm* – benchmark for key metrics of the state.
[35] State Budget Act (section 19)
[36] Implementation | Government of the Republic
[37] Implementation | Government of the Republic

margin of error. Safety is a complex measure with no single influencing event, but recent geopolitical and security developments have had a certain impact. Additionally, **91 per cent of Estonians consider their local area safe**, and in 2024, Estonia ranked first among OECD countries in terms of domestic safety indicators[38].

- **OECD perceived risk indicators**[39] have decreased since 2018 concerning illness or disability (latest available statistics: 54.8 per cent in 2022, meeting the 'Estonia 2035' strategy target). Meanwhile, perceived risk related to inability to cover all expenses and job loss has increased compared to 2018. In 2022, the perceived risk of being unable to cover all expenses was 66.3 per cent, compared to the target set in the 'Estonia 2035' strategy (48.4 per cent or less); the perceived risk of job loss was 56.1 per cent in 2022, exceeding the target in the 'Estonia 2035' strategy (47.6 per cent or less).
- **The Gender Equality Index** was 60.8 out of 100 in 2024 – the 'Estonia 2035' target is 70.7. This value remains below the average of European Union of 71 points. The main factor affecting Estonia's lower score is the limited participation of women in decision-making processes.
- **Net greenhouse gas emissions** (including LULUCF – Land Use, Land-Use Change, and Forestry) have decreased over the past two years, with 14.4 million tonnes of CO_2 equivalent in 2022 and 13 million tonnes of CO_2 equivalent in 2023.
- The 2035 target set in the strategy is 8 million tonnes of CO_2 equivalent. Based on the 2022 data, net greenhouse gas emissions in Estonia have decreased by 59 per cent compared to the 1990 levels, while the average of European Union decrease is 30 per cent. Although emissions have increased over the past two years, it should be noted that economic activities causing greenhouse gas emissions in 2020 were affected by the coronavirus pandemic. Therefore, a better comparison is given by the 2019 levels, which were 17.8 million tonnes of CO_2 equivalent. The increase in emissions over the past two years is due to the rapid post-pandemic economic recovery and Russia's full-scale invasion of Ukraine, which disrupted existing European gas supplies and created a market distortion in which higher-emission oil shale electricity became more competitive than gas-based electricity in the European market. When comparing the 2021 emissions and the estimated 2022 level with pre-pandemic and crisis levels in 2019, the level has not been exceeded, and the overall trend in energy and industry sector greenhouse gas emissions remains downward.
- **Estonia ranked** 15th **in the global Sustainable Development Goals Index** in 2024, five places away from the 2035 target (10th or higher). Meanwhile, Estonia's result was practically unchanged from 2023. The main decline in the index relates to Goal 12 (ensure sustainable consumption and production), likely due to oil shale mining and use, which produces large amounts of waste, waste rock, and ash. This has negatively affected several indicators for this goal.

Below are the government's main initiatives and actions in 2024 to advance the 'Estonia 2035' strategy targets.

ESTONIAN PEOPLE ARE SMART, ACTIVE AND CARE ABOUT THEIR HEALTH

Main events in 2024

- Since 1 September 2024, all preschool children, as well as first and fourth grade students, have been studying in Estonian.
- The *Riigikogu* passed legislation enabling reforms in vocational education and compulsory learning, so that young people acquire at least secondary or vocational education and enter the workforce successfully.
- The *Riigikogu* passed amendments to the Public Health Act, emphasising prevention and reducing undesirable health impacts.

ESTONIAN SOCIETY IS CARING, COOPERATIVE, AND OPEN-MINDED

Main events in 2024

- The Government of the Republic approved amendments to the Social Welfare Act, including creating a new day-care and week-care service for people with intellectual disabilities to reduce the burden on family caregivers.
- The Government of the Republic approved a reform of the unemployment benefits system, establishing a new and more flexible support for the unemployed.
- A wage gap application was created for employers to monitor and prevent wage disparities within their organisations.

ESTONIAN ECONOMY IS STRONG, INNOVATIVE, AND RESPONSIBLE

Main events in 2024

- The Government of the Republic launched the Economic Cabinet format and approved the Growth Plan.
- The implementation of support measures for military aid to Ukraine began, with an annual purchase of approximately 100 million euros worth of Estonian defence industry products and services, donated to Ukraine.
- The Government of the Republic approved the draft law on the organisation of research, development, and innovation, improving state management of these areas and clarifying stakeholders' responsibilities.
- The Government of the Republic increased the budget for export support measures by 2 million euros.
- A 100-million-euro defence industry fund was established to invest in defence and dual-use technologies.
- The Government of the Republic approved the draft Electricity Market Act amendments, removing double taxation on electricity storage, expediting connection of electricity producers and large consumers to

[38] https://www.oecd.org/en/data/datasets/oecd-trust-survey-data.html
[39] The percentage indicates the share of respondents who perceive the risk of becoming ill, becoming disabled, being unable to cover all expenses or losing their job as a threat.

the transmission grid, and making connection costs more uniform and predictable.

ESTONIA HAS A SAFE, SECURE AND HIGH-QUALITY LIVING ENVIRONMENT THAT MEETS THE NEEDS OF ALL

Main events in 2024

- To improve crisis readiness and civil protection, training, advisory, and awareness systems were developed, local governments received support to increase preparedness, and crisis exercises were conducted.
- The *Riigikogu* passed amendments to the Emergency Act to ensure continuity of essential service providers.
- The Government of the Republic approved the health care stock concept, with an additional 24 million euros allocated to create trauma reserves across Estonia.
- Financial autonomy of local governments was increased (changes in the calculation of the share of income tax collected locally).
- The Government of the Republic approved the construction of wind farms on state land and submitted draft laws to the *Riigikogu* for establishing electricity storage and consumption management systems.

ESTONIA IS AN INNOVATIVE, RELIABLE, AND PEOPLE-CENTRED COUNTRY

Main events in 2024

- To ensure Estonia's defence capability, the State Budget Strategy for 2025–2028 allocates 5.6 billion euros, with the government adding 1.6 billion euros for long-range weapon systems and ammunition procurement.
- To strengthen NATO's eastern flank, a defence cooperation action plan was signed with the United Kingdom.
- Estonia continued support for Ukraine: the EU initiated accession negotiations with Ukraine; an Ovruch kindergarten was built and a family centre opened.
- The Government of the Republic approved a broad state defence investment plan to enhance crisis readiness.

1.2.2 Welfare

Objective of the performance area

Estonia is a country where people are nurtured, inequalities and poverty are reduced, and a long and high-quality working life for all is supported

Development plan of the area

Welfare Development Plan 2023–2030

Programmes of the performance area

Programme for children and families

Labour market programme

Programme for the elderly

Social welfare programme

Gender equality and equal treatment programme

Area of government related to the performance area

Area of government of the Ministry of Social Affairs

Area of government of the Ministry of Economic Affairs and Communications

OVERVIEW OF THE PERFORMANCE AREA

Positive developments

- **To enhance child protection and support children with high needs for assistance and care**, amendments to the Child Protection Act and other laws were adopted. These increase the role of specialists working with children in identifying those in need, strengthen the support system for children and families requiring intensive care, and improve assistance for foster, guardianship, and adoptive families.
- **To modernise the support system for single-parent families**, the Government of the Republic approved amendments to the Family Benefits Act and other laws, replacing the previous loss-of-provider pension with a loss-of-provider allowance from 2026, providing a uniform benefit amount for children.
- Despite past and ongoing crises, the Estonian labour market remained stable in 2024 due to high labour demand and the implementation of employment measures. **Estonia continues to rank high in the European Union in terms of employment rate**, although the rise in unemployment partly reflects economic cooling.
- A draft amendment to the Unemployment Insurance Act was submitted to the *Riigikogu*. **As a result of the reform, the unemployment benefit system will become simpler and fairer.** The amendments are expected to take effect on 1 January 2026.
- **Preparations began for proposals to extend unemployment insurance to self-employed individuals**, expanding coverage for new forms of employment and improving support during periods of unemployment.
- Under the 'Employment Programme 2024–2029', Töötukassa began offering labour market services to **long-term sick leave recipients** as a new target group.
- Five open calls for proposals were held to support the labour market competitiveness of youth not in employment, education, or training (NEETs), women, Roma, beneficiaries of international protection, and other target groups requiring intensive support.
- **From 1 April 2024, pensions and daily rates of work ability allowance increased on average by 10.6 per cent, and the average pension increased to 774 euros.**
- From 2024, individuals can apply to increase contributions to their second pension pillar from two per cent to four or six per cent to secure a higher future pension.
- **To support disabled persons**, amendments were adopted that, from June 2025, **increase disability benefits** and, from September 2025, **improve access to**

assistive devices. Additionally, in the first quarter of 2025, recipients of disability benefits will receive an additional one-time payment of 60–250 euros.

- **To support the implementation of the care reform and to improve the availability of long-term care**, local governments were allocated 59.9 million euros from the state budget in 2024 and 66.8 million euros in 2025.
- **The *Palgapeegel*[40]**, a digital solution based on registry data for monitoring pay gaps between organisations, **was completed**. It helps employers analyse and track gender pay gaps, average and median salaries and wages, employee gender composition, and the distribution of roles within the organisation.
- **The process of adopting EU directives for equality bodies was initiated.** The directives establish common minimum requirements in the European Union, including ensuring independence and adequate resources for implementing responsibilities. Estonian equality body is the Gender Equality and Equal Treatment Commissioner.

Challenges

- **The past three years have been characterised by very low birth rates.** In 2023, there were 10,949 births, i.e. six per cent fewer than the previous year, and in 2024, only 9,690 children were born, an 11.5 per cent decline year-on-year. This is the lowest birth rate in the past hundred years. Measures are still needed to support fertility, promote attitudes that value family and child-rearing, and improve access to parental education, family relationships, and support services.
- **It is necessary to continue updating the child protection system** to make child protection work child and family-centred, increase efficiency, and ensure a professional and motivated workforce in the sector.
- **A significant care burden affects 59,700 Estonians**, with one in three experiencing a very high burden. Continued implementation of long-term care reforms is needed to improve the quality and availability of social care services. This requires ensuring sustainable financing of services, reducing waiting lists for service places, and increasing focus on the development of community-based services.
- **The unemployment benefit system requires further reform**, including completing the unemployment insurance reform and extending coverage to new employment forms. Employment levels must remain high, and access to the labour market should be improved for individuals with lower competitiveness.
- To provide a clear and effective support system for working-age persons with special needs, **the system for determining disability severity and work capacity will be reorganised**, consolidating identification, assessment, and benefit administration into a single institution.
- To prevent poverty, **the subsistence benefit system needs to be modernised**, allowing for more automatic benefit determination and improving the implementation of debt counselling to enhance financial independence for those in difficult situations.
- **To reduce duplication and fragmentation of services, health care and social services must be integrated and provided in a coordinated manner**, which includes implementing principles of joint case management, introducing preventive measures, adopting modern information technology solutions, and improving data exchange.
- **The rehabilitation system is fragmented and requires reorganisation** to ensure that individuals needing rehabilitation receive services appropriate to their needs, with simple and supported access.
- **Assistive devices and medical equipment need to be integrated into a single comprehensive system.** For persons in need of assistance, medical devices and assistive equipment are classified by purpose and by managing authority (Tervisekassa, the Social Insurance Board), although in nature and substance they are similar or complementary products. The current system is also fragmented for doctors, health care professionals, and enterprises.
- **Continuous technological development and changing work conditions** require adaptation from both employers and employees. The state can support workplace development by adjusting the legal framework to reflect the changed circumstances.
- **Gender gap and lack of equal opportunities for minorities remain concerns in Estonia.** To improve the situation, it is necessary to modernise and more effectively implement the legal framework, ensure reliable data, and enhance awareness and readiness for action among policymakers, employers, and other stakeholders to promote gender equality and equal opportunities, improve accessibility, and support sectoral advocacy. Gender segregation in education and the labour market should be reduced.
- **Due to the security situation, it is necessary to strengthen the continuity of social sector services in crisis situations.**

Detailed information on the implementation of the performance area can be found on the websites at:

Development plans and work plans | Ministry of Social Affairs (sm.ee)

Performance-based state budget | Ministry of Economic Affairs and Communications (mkm.ee)

Table 5. Target levels of metrics in the performance area 'Welfare' and the actual performance

Metric	Performance in 2022	Performance in 2023	Performance in 2024	Target level in 2024	Target level in 2025	Target level for 'Estonia 2035'
Employment rate among 20–64-year-olds - men	83.3%	83.3%	82.6%	82.0%	82.1%	-

[40] Informative translation: Pay Mirror.

Metric	Performance in 2022	Performance in 2023	Performance in 2024	Target level in 2024	Target level in 2025	Target level for 'Estonia 2035'
- women	80.4%	80.9%	80.9%	78.6%	78.8%	-
- total	81.9%	82.1%	81.8%	80.1%	80.3%	-
Source: Statistics Estonia						
Absolute poverty rate						
- men	4.0%	3.0%[41]	To be published in November 2025	≤ 2.7%	≤ 2.7%	-
- women	3.1%	2.4%		≤ 1.8%	≤ 1.8%	-
- total	3.5%	2.7%		≤ 2.2%	≤ 2.2%	-
Source: Statistics Estonia						
Rate of relative poverty and social exclusion						
- men	23.2%	21.4%[42]	19.7%	≤ 19.1%	≤ 19.0%	-
- women	27.0%	26.7%	24.5%	≤ 24.0%	≤ 23.9%	-
- total	25.2%	24.2%	22.2%	≤ 21.6%	≤ 21.5%	-
Source: Eurostat						
Cohort fertility rate	1.87	1.82	1.83	1.86	1.86	1.86
Source: Statistics Estonia						
Caring and cooperation index	-	-	59.2%	> 61%	> 61%	> 61%
Source: University of Tartu, Statistics Estonia, Ministry of Social Affairs, European Social Survey						
Gender Equality Index (EIGE Index)	61	60.2	60.8	63.6	64.2	70.7
Source: European Institute for Gender Equality (EIGE)						

Table 6. Implementation of the budget of the welfare performance area (in thousands of euros)

	Implementation of the budget 2023	Initial budget for 2024	Final budget for 2024	Implementation of the budget 2024	Initial budget for 2025	STATE BUDGET STRATEGY 2026
Expenditure	–5,503,214	–5,672,251	–5,679,001	–5,510,267	–6,002,131	–6,296,022

Source: State budget implementation report 2024, State Budget Act 2025, State Budget Strategy 2025–2028

1.2.3 Health

Objective of the performance area

Average life expectancy and the average number of healthy years of life in Estonia are increasing and health inequalities are decreasing.

Development plan of the area

Public Health Development Plan 2020–2030

Programmes of the performance area

Health supportive environment programme

Healthy choices programme

Human-centred health care programme

Area of government related to the performance area

Area of government of the Ministry of Social Affairs

OVERVIEW OF THE PERFORMANCE AREA

Positive developments

- **To reduce individuals' own contribution burden**, decisions were adopted stipulating that from 2025, the own contribution for inpatient nursing care will decrease from 15 per cent to 10 per cent, and the regulation on additional medicinal benefits was extended to medical devices.
- **To enhance crisis preparedness**, a new national health care reserves concept was approved, and it was decided that 24 million euros will be invested in establishing trauma reserves in hospitals across Estonia. Amendments to the Emergency Act designate the supply of medicines and provision of family doctor care as essential services.

[41] The 2023 result is included for the first time.
[42] The 2023 result is also included for the first time.

- The Government approved the 'Hospital Network Development Directions for 2040', in which the main change planned is **the consolidation of hospitals in Tallinn**. In cooperation with the Estonian Association of Family Doctors, the 'Primary Health Care Development Plan 2035' was completed.
- **Amendments to the Health Insurance Act were adopted**, allowing individuals on long-term sick leave to work under health-adapted conditions and enabling parents to receive care allowance for up to 60 days, regardless of the child's diagnosis. Social tax exemptions were extended to cover benefits paid by employers to employees for the difference between lost salaries and wages during sick or care leave and the state-provided benefit for temporary incapacity for work.
- **A new Public Health Act was adopted**, clarifying and updating the roles, requirements, and principles in disease prevention and health protection, and modernising local governments' responsibilities in the field of public health.
- **To promote mental health**, permanent funding was established under the Social Welfare Act for mental health services provided by local governments. Additionally, the 'Estonian Suicide Prevention Action Plan 2025–2028' was completed.
- In 2024, amendments were adopted **to regulate tobacco products**, establishing state fees for reviewing notifications required for placing tobacco products and related products on the market, as well as fees for assessing the substances contained in electronic cigarettes and the substances released from such products.
- **To prevent and reduce the harmful effects of alcohol**, the 'Alcohol Consumption Reduction Guidelines 2025–2035' were prepared, serving as a continuation strategy for the Green Paper on Alcohol Policy.
- To assist children with rare diseases and adults with childhood-onset rare diseases, 4.2 million euros from the state budget **were allocated to charitable foundations** in 2024.
- With the support of the government's four-year research and development funding (2.6 million euros), **the Estonian Cancer Network (ESTCAN) was established within the Faculty of Medicine at the University of Tartu**. **To ensure the availability and capability of health care professionals, the minimum hourly wage for health care workers was increased by 10 per cent from 1 April 2024, according to the collective agreement**.
- To promote more person-centred healthcare, in 2024, **a draft initiative for a 'living will'** was prepared, aimed at providing a clear option for both the physician and patient in cases where achieving an acceptable quality of life for the patient is unlikely.
- Amendments were adopted **to improve round-the-clock specialised care services** by creating uniform rules for nursing in specialised care institutions, improving service quality, and ensuring standardised practices for all service providers. From 2025, Tervisekassa will organise and fund nursing services instead of the Social Insurance Board.
- The '**Estonian Antimicrobial Resistance Control Strategy 2025–2030**' was completed, aiming to prevent the spread of drug resistance in humans, animals, and the environment.
- To integrate the social and health sectors, **an initial analysis and proposals for an integrated governance and funding model** were completed and coordinated with a broad-based working group of necessary partners.
- **To support innovative developments, the e-Health Strategy 2025–2030 was prepared**, focusing on data-driven management, improving the quality and accessibility of health data, and adopting new technologies.

Challenges

- **Despite increased life expectancy, inequalities persist** by gender, ethnicity, education, and place of residence. The life expectancy of women is 8.6 years longer than that of men, while the difference in life expectancy between highly educated people and people with basic education is more than 11 years. Regional disparities in health indicators are also a concern. Estonian life expectancy and healthy life years remain below the average of European Union.
- **Estonian public sector health care expenditure as a proportion of GDP** (5.7% in 2023) **remains significantly below the average of European Union** (8.4% in 2022). In 2023, individuals' own contribution to healthcare expenses was 22.1% (average of European Union 14.3 per cent in 2022). Most of the spending as own contribution is on dental care (32.7 per cent), medicines (27.8 per cent), and long-term nursing and nursing care (17.8 per cent).
- **The sustainability of health system financing and health insurance is a growing problem that requires systemic solutions.** Starting from 2025, the budget of Tervisekassa is in a growing deficit (the forecasted deficit for 2025 is 167.6 million euros). It is necessary to improve the efficiency of the health care system internally and to ensure the sustainability of its financing, which requires a review of the funding principles, taking into account an affordable level of own contribution of individuals. The current funding model for health insurance does not ensure sufficient access to care, which affects the provision of timely health care to people and hinders the implementation of the necessary reforms.
- Over the past decade, the number of nurses and doctors in Estonia has increased but remains below the average of European Union (Estonia: 6.5 nurses and 3.5 doctors per 1,000 inhabitants; European Union: 8.5 nurses and 4.1 doctors per 1,000 inhabitants). **The shortage is particularly acute among nurses, family doctors, and psychiatrists.** For doctors, the high average age is a concern, as the inflow of young doctors is insufficient. Measures are needed to re-evaluate the roles in health care, update legislation, residency, and practical training, and to attract doctors and nurses back to the health care sector.
- **Improving accessibility and quality of primary care** is necessary to reduce pressure on emergency medical services, emergency departments, and specialist care. Health centre teams need to be reinforced with additional specialists, more responsibilities assigned to general practitioners and nurses, and

family doctors incentivised to join health centres and networks.

- **Crisis preparedness** remains a priority, encompassing health care system continuity, disaster medicine development, civil protection, and resilience of institutions under the area of government of the Ministry of Social Affairs.
- **Recent crises have led to an increase in mental health issues among both adults and children.** In 2024, 11.7 per cent of 16–64-year-olds were diagnosed with or treated for depression within the past 12 months. The highest risk of anxiety disorders or depression is among young adults (18–24 years).
- In 2024, more than half of adults were overweight or obese (women 44 per cent; men 61 per cent). Alcohol consumption in Estonia remains above the European average. Nearly one-fifth of 16–64-year-olds are classified as heavy drinkers. Use of alternative tobacco and nicotine products, including e-cigarettes, is rising. In 2024, 11.8 per cent of adults were regular e-cigarette users, with widespread adoption among youth posing a growing problem. Consequently, a key priority for the coming years is shifting the healthcare system's focus toward disease prevention, emphasising population health promotion, creating health-supportive environments and choices, and developing and implementing personalised preventive services in health care.

Detailed information on the implementation of the performance area can be found on the website Development and work plans | Ministry of Social Affairs (sm.ee)

Table 7. Target levels of metrics in the health performance area and the actual performance

Metric	Performance in 2022	Performance in 2023[43]	Performance in 2024	Target level in 2024	Target level in 2025	Target level for 'Estonia 2035'
Life expectancy (men) Source: Statistics Estonia	73.6	74.5	75.1	76	76.4	-
Life expectancy (women) Source: Statistics Estonia	82.3	83.1	83.4	83.3	83.4	-
Healthy life expectancy (men) Source: Statistics Estonia	57.9	56.4	56.8	57.7	58.4	63
Healthy life expectancy (women) Source: Statistics Estonia	60.6	59.5	60.8	60.1	60.5	64.5

Table 8. Implementation of the budget of the performance area 'Health' (in thousands of euros)

	Implementation of the budget 2023	Initial budget for 2024	Final budget for 2024	Implementation of the budget 2024	Initial budget for 2025	STATE BUDGET STRATEGY 2026
Expenditure	–2,396,426	–2,499,492	–2,529,232	–2,472,892	–2,444,877	–2,586,131

Source: State budget implementation report 2024, State Budget Act 2025, State Budget Strategy 2025–2028

1.2.4 Educated and active population

Objective of the performance area

Estonian people have the knowledge, skills and attitudes that allow self-actualisation in society, personal life and work life and support promoting life in Estonia and the global sustainable development

A wide range of opportunities for development, sense of security, and strong support create the Estonia that young people want to promote

Development plans of the area

Education Development Plan 2021–2035

Youth Development Plan 2021–2035

Programme of the performance area

Education and youth programme

Area of government related to the performance area

Area of government of the Ministry of Education and Research

OVERVIEW OF THE PERFORMANCE AREA

Positive developments

- **The transition to teaching in Estonian marked the largest education reform in the re-established Republic of Estonia.** As part of the reform, the state provides necessary language training and methodological courses for teachers and supports the

[43] All 2023 results for this performance area are included for the first time.

acquisition of teaching materials. In 2024, additional salaries and wages totalling approximately 15 million euros were paid to teachers instructing in Estonian in Ida-Viru County. Thanks to this, over 400 new teachers and support specialists joined Ida-Viru County educational institutions in the autumn of 2024.

- **An education agreement was concluded** with the aim of ensuring career opportunities, salaries and wages, and workloads for general education teachers while maintaining the flexibility of the Estonian education system and school autonomy. The agreement included a four-level teacher career model and a general framework for teacher working hours and conditions.
- **The compulsory education reform was approved.** The reform aims to support each learner's continuation of education after basic school and to reduce dropout from vocational or general education so that all young people remain in learning at least until reaching adulthood and their further educational paths remain open for future vocational or higher education. Compulsory school attendance is replaced by a learning obligation and is extended from the previous 17th year of age to the 18th year of age. This means that all basic school graduates have the right and the obligation to continue their education until at least their 18th birthday or until completing upper secondary or vocational education.
- **The vocational education reform was launched**, which, in conjunction with the compulsory education reform, aims to make upper secondary vocational education an attractive and competitive alternative to general upper secondary education. As part of the reform, new upper secondary vocational curricula are being developed, linked to the OSKA labour demand forecast, regulations for paid vocational training for adult learners are being drafted, and educational centres consolidating the network (joint institutions based on vocational schools and gymnasiums) are being established.
- **The Early Childhood Education Act was adopted** with the aim of creating a comprehensive preschool system and ensuring high-quality early childhood education for all children in daycare and kindergarten. The amendments include integrating daycare services into the preschool system (previously regulated under the Social Welfare Act) and providing daycare and kindergarten places based on the needs of children and families. Local governments must guarantee a place in daycare for children aged 1.5–3 years and a place in kindergarten for children aged 3–7 years, taking into account the parent's preferred location. The amendment harmonises the requirements for daycare centres and nurseries and reduces bureaucracy related to applying for kindergarten or daycare training permits.
- Amendments to **the Adult Education Act were prepared**, establishing the basis for offering micro-qualifications and clarifying the requirements for adult continuing education. Micro-qualifications are designed for adults who wish to acquire a complete skill by learning in smaller modules, facilitating movement between different educational paths, and increasing learning flexibility. As a result of the amendments, the quality of offered training increases; micro-qualifications simplify adult continuing education and help strengthen the link between education and the labour market.
- **The Ministry of Education and Research continued with the reorganisation of the school network.** Meetings were held with local governments operating small gymnasiums, during which the municipalities' plans for the future were discussed to target state investments for clarifying the responsibilities of local governments.

Challenges

- **Due to the complex situation of the state budget, teacher salaries and wages remain a problem.** Although the minimum teacher salary increased by 4.1 per cent and the calculated average by 6.6 per cent in 2024, it still falls below the target set in the development plan. Dissatisfaction with salaries and wages and working conditions will lead, in the long term, to an ageing teaching workforce and an increase in the proportion of unqualified teachers.
- **The absence of agreements on long-term higher education funding** prevents ensuring access to high-quality higher education and the sustainability of Estonian-language higher education. The goal is to develop a long-term higher education funding plan that defines the principles of funding higher education according to society's and the labour market's needs and the future extent of student co-responsibility.
- **The proportion of teachers in general education schools and kindergartens meeting qualification requirements is decreasing.** Only in the 2024/2025 academic year does the proportion of qualified teachers in vocational institutions show an increase. The decline is partly due to the transition to teaching in Estonian, as proficiency in Estonian is one of the main qualification requirements. Therefore, the issue of meeting language proficiency requirements is particularly acute in Ida-Viru County, where the proportion of teachers meeting the requirements has declined most drastically. In many cases, teachers recruited to replace those who left the position meet the language proficiency requirement but do not meet other qualification requirements.
- **Satisfaction among participants in the learning process (both students and teachers) has declined in recent years**, with particularly high dissatisfaction among 8th-grade students, of whom only one fifth are rather or completely satisfied with school. One reason for dissatisfaction may be the frequent occurrence of bullying in schools. The issue may also be partly reflected in the recently increased dropout rate of girls in the third stage of schooling. Girls in schools also more frequently experience mental health problems than boys. The topic requires further analysis and possible new or expanded support measures.
- **The proportion of graduates in natural, exact, and technical sciences in higher education has remained essentially stable for years** (approximately 27 per cent). Although the number of graduates in information technology has increased, it is not sufficient given actual labour market needs and the target levels of related indicators. To address this bottleneck, the activities of the Engineering Academy

and IT Academy have been launched in higher, vocational, and general education.

- **Problems with the exam information system and the organisation of e-exams persist.** Transitioning to e-exams requires, on the one hand, that the technology functions flawlessly and, on the other hand, that students have sufficient time to familiarise themselves with the new environment and complete sample tasks. It is necessary to develop a new version of the exam information system. The political decision was therefore made to postpone the transition by one year to ensure the system operates without errors.

Detailed information on the implementation of the performance area can be found on the website Strategic framework documents and programmes | Ministry of Education and Research

Table 9. Target levels of metrics in the performance area of educated and active population and the actual performance

Metric	Performance in 2022	Performance in 2023	Performance in 2024	Target level in 2024	Target level in 2025	Target level for 'Estonia 2035'
Proportion of people aged 18–24 with low level of education not in education or training (total) Source: Eurostat	10.8%	9.7%	11.0%	9.3%	9.1	-
Proportion of people aged 18–24 with low level of education not in education or training (men) Source: Eurostat	14.3%	11.4%	13.3%	11.5%	11.1	-
Proportion of people aged 18–24 with low level of education not in education or training (women) Source: Eurostat	7.5%	7.8%	8.6%	6.7%	6.6	-
Proportion of adults (aged 25–64) with professional and vocational education Source: Statistics Estonia	74.7%	74.9%	74.1%	75.2%	75.7	80%
Adult participation rate in lifelong learning in formal and non-formal education Source: Eurostat, Statistics Estonia	21.1%	23.2%	23.3%	21.4%	21.7	25%
Adult participation rate in lifelong learning in non-formal education Source: Statistics Estonia	-	57.9%[44]	59.9%	-	-	growing
Proportion of those employed in smart specialisation growth areas one year after graduation of all employed Source: Survey 'Success in the Labour Market'	26.7%	27.0%[45]	Data will be published during 2025	29.0%	30	-
Self-directed learner[46] **- Academic resilience** **- Agency** **- Perceived support for students' need for autonomy** Source: National satisfaction survey	 - - -	 32.4 27.2 38.7	 32.2 26.7 39.8		growing	
Proportion of students with advanced skills[47]: functional reading skills Source: PISA survey	-	10.6%	-	-	16.3	-
Proportion of students with advanced skills: mathematical literacy	-	13.1%	-	-	18.6	-

[44] The methodology was developed in 2023 and the performance results are published for the first time.
[45] The 2023 results are published for the first time.
[46] New metric, published for the first time in the consolidated annual report of the state.
[47] Levels 5 and 6 in the PISA survey. The proportion of pupils with top-level skills declined in all three measured areas, with the biggest decline in functional reading proficiency. Despite this, Estonian pupils are among the top countries in the world in terms of PISA results. The results of pupils here fell relatively less compared to other countries.

Metric	Performance in 2022	Performance in 2023	Performance in 2024	Target level in 2024	Target level in 2025	Target level for 'Estonia 2035'
Source: PISA survey						
Proportion of students with advanced skills: natural science literacy Source: PISA survey	-	11.6%	-	-	14.9	-
Average salaries and wages of teachers compared to average salaries and wages in Estonia (%), kindergarten teachers Source: Balance sheet, EHIS (Estonian Education Information System), Statistics Estonia	81%	92%	90%	92%	92	-
Average salaries and wages of teachers compared to average salaries and wages in Estonia, teachers of general education school Source: Balance sheet, EHIS (Estonian Education Information System), Statistics Estonia	105%	120%	118%	120%	120	-
Average salaries and wages of teachers compared to average salaries and wages in Estonia, vocational training teachers Source: Balance sheet, EHIS (Estonian Education Information System), Statistics Estonia	102%	117%	115%	120%	120	-
Young people's trust in the state Source: International Civic and Citizenship Education Study ICCS	-	57%	-	-	-	-

Table 10. Implementation of the budget of the performance area of educated and active population (in thousands of euros)

	Implementation of the budget 2023	Initial budget for 2024	Final budget for 2024	Implementation of the budget 2024	Initial budget for 2025	STATE BUDGET STRATEGY 2026
Expenditure	–704,347	–814,900	–946,916	–743,085	–848,215	–884,491

Source: State budget implementation report 2024, State Budget Act 2025, State Budget Strategy 2025–2028

1.2.5 Estonian language and identity

Objective of the performance area

To ensure the vitality and functioning of the Estonian language as the primary language in the Republic of Estonia in every sphere of life, to ensure the right and opportunity for everyone to use the Estonian language in Estonia, to preserve and strengthen the status, reputation, and cultural and information space of the Estonian language, and to value fluency in other languages.

Strategic target of the 'Estonia 2035' strategy relevant to the performance area

Estonian society is caring, cooperative, and open-minded

Development plan of the area

Estonian Language Development Plan 2021–2035

Programmes of the performance area

Language programme

Area of government related to the performance area

Area of government of the Ministry of Education and Research

OVERVIEW OF THE PERFORMANCE AREA

Positive developments

- **The status and reputation of the Estonian language are good** (on a 7-point scale, 5.5 points among native Estonian speakers, and 4.4 points among speakers of other native languages). In 2024, language proficiency requirements were updated, compliance with the Language Act was monitored, and several important activities were implemented to strengthen the reputation and status of the Estonian language. **In this context**, seminars were organised in cooperation with the Estonian Language Council to discuss both Estonian language management and the teaching of Estonian as a native language, and the

action plan for the Estonian orthographic dictionary (ÕS) was updated.

- **Developments in society** (for example, technological progress, migration pressure, and changes in the education system) have highlighted bottlenecks, which in 2024 led to preparation of legislative intent and based on the feedback received, **a draft Language Act**. The draft Act contains several proposals to strengthen the status, use, and proficiency of the Estonian language in public space and society more broadly. Among other things, the analysis of the legislative intent indicated that, according to several stakeholders, supervision is not sufficiently effective to ensure compliance with the requirements set out in the Language Act.
- **Support was provided for the transition to Estonian-language instruction**, which began in autumn 2024. This involved extensive activities to prepare for and initiate the transition. In the language field, language training for education staff was launched at the Estonian Language Institute. Education staff are offered B1, B2, and C1 level language courses preparing participants for the Estonian language proficiency exam (in 2024, a total of 538 education staff members started these courses). In addition, supporting activities such as language secondment (20 teachers participated) are offered and education staff members are supported in preparing for the Estonian language proficiency exam. Effective language learning by education staff is one of the key factors for a successful transition to Estonian-language instruction.
- **In promoting multilingualism, the reform to expand the range of foreign language B instruction bore fruit in 2024.** Schools have significantly expanded foreign language B teaching and several foreign languages have gained more learners (primarily German, Spanish, and Finnish). In 2024, the first-year analysis of the reform's implementation was completed.

Challenges

- **The success of the transition to Estonian-language instruction requires efforts throughout society and the language field**, where language programme activities support strengthening the reputation of Estonian, expanding its domains of use, popularising its use, and ensuring its functioning in the digital world.
- **For the development of language technology, the legal framework needs to be updated**, and a large number of language datasets are required to develop Estonian-language technology. The current legal framework allows the collection of text data and corpora for research and development but restricts the further use of results.
- **The analysis of the legislative intent of the Language Act indicated that, according to several stakeholders, supervision is not sufficiently effective.** Coercive measures need to be made stricter and their implementation intensified.
- **The field of adult Estonian-language learning is fragmented.** In 2024, ministries and other relevant institutions continued discussions on the functioning and coordination of adult Estonian-language learning. The demand for learning Estonian is high and the provision of courses needs to be organised, including prioritising target groups. At the same time, efforts must be made to expand learning opportunities and improve the quality of instruction. The roles and responsibilities of different institutions in the field need to be clarified.

Detailed information on the implementation of the performance area can be found on the website Strategic framework documents and programmes | Ministry of Education and Research

Table 11. Target levels of metrics in the performance area of Estonian language and identity and the actual performance

Metric	Performance in 2022	Performance in 2023	Performance in 2024	Target level in 2024	Target level in 2025	Target level for 'Estonia 2035'
Functional reading skills in Estonian among Estonian residents aged 16–65 Source: PIAAC survey	-	61%	-	-		-
Proportion of people using Estonian in the population[48] Source: Estonian labour force survey (Statistics Estonia)	91.2%	91.7%	91.5%	91		> 91%
Number and referencing of Estonian linguistics publications internationally distributed[49]	157[50]	-	-	167	172	-
Number of multilingual term bases[51]	100[52]	115	139	100	100	-

[48] Information on the self-assessed proficiency in Estonian of people with another mother tongue or native language is collected through the Estonian labour force survey conducted by Statistics Estonia. The metric is included in the country's long-term strategy 'Estonia 2035'.
[49] It measures the quantity and referencing of publications published in international peer-reviewed publications (ETIS classification 1.1, 1.2, 3.1, 2.1), other than set of theses.
[50] The 2022 result is published for the first time.
[51] It measures how many disciplines have their vocabulary developed in the centrally coordinated terminology management environment Ekilex.
[52] The 2022 result is published for the first time.

Metric	Performance in 2022	Performance in 2023	Performance in 2024	Target level in 2024	Target level in 2025	Target level for 'Estonia 2035'
Estonian language technology support	Partial[53]	Partial	Partial	-	-	-
Estonian as a second language learning environment for adult learners	None	None	None	-	-	-
Self-assessed foreign language proficiency of Estonian residents Source: Statistics Estonia, Estonian labour force survey	-	Measured by the Estonian labour force survey	-	-		-

Table 12. Implementation of the budget of the performance area 'Estonian language and identity' (in thousands of euros)

	Implementation of the budget 2023	Initial budget for 2024	Final budget for 2024	Implementation of the budget 2024	Initial budget for 2025	STATE BUDGET STRATEGY 2026
Expenditure	–7,959	–11,235	–13,688	–9,439	–11,314	–11,453

Source: State budget implementation report 2024, State Budget Act 2025, State Budget Strategy 2025–2028

1.2.6 Environment

Objective of the performance area

Estonian people are ensured a clean and diverse living environment, and the attitude towards nature is responsible

Strategic development documents

Estonian Environmental Strategy until 2030

National Development Plan for Oil Shale Use 2016–2030

Climate Change Adaptation Development Plan until 2030

National Radiation Safety Development Plan 2018–2027

Programme of the performance area

Programme for environmental protection and exploitation

Area of government related to the performance area

Area of government of Ministry of Climate

OVERVIEW OF THE PERFORMANCE AREA

Positive developments

- Estonia has agreed with the objectives of the European Union's regulation on the restoration of nature. Although the state of nature in Estonia can be assessed as one of the best-preserved in the EU, the condition of nearly half of endangered species and habitats is still unfavourable in Estonia. Restoring ecosystems and halting biodiversity loss form a cornerstone of the European Green Deal. **One of the performance area metrics is the share of habitats under the Habitats Directive in favourable condition at 57 per cent** (measured every six years), **which is set at the target level.**
- The key to achieving results in the environmental sector lies in aware citizens who consciously change their behaviour. According to the 2024 survey on Estonians' **environmental awareness**, residents' environmental knowledge has **remained at the same level** as in the previous survey. There is an increasing understanding that environmental protection is not only about dealing with consequences but also about preventive actions, such as limiting consumption.
- In accelerating the transition to renewable energy and ensuring energy security, it is important to find ways for the co-existing of natural values and infrastructure and providing environmental information and expertise. One prerequisite for assessing the current situation and measuring the impact of actions is high-quality data. **Several initiatives have been launched to develop the environmental data sector:** increasing monitoring capacity, renewing monitoring equipment, and exploring innovative ways to carry out environmental monitoring.
- One of the metrics of the performance area is the sum of total greenhouse gas emissions. **According to the data of the Estonian greenhouse gas inventory[54] for 2023, the total greenhouse gas emissions totalled 13.0 million tonnes of CO_2 equivalent.** Compared to 1990, Estonia's total greenhouse gas emissions have decreased by 63 per cent. Compared to last year, emissions fell by 9 per cent, mainly due to changes in the energy sector. Emissions from production units covered by the EU Emissions Trading System decreased by nearly 38 per cent compared to 2022.

[53] Compared with the data presented in the 2023 consolidated annual report of the state, the metric has been retrospectively adjusted.
[54] Greenhouse gas inventory of Estonia published in 2023 (Greenhouse gases in Estonia | Ministry of Climate)

- To achieve the goals of the **green transition**, the green transition action plan was implemented and 11 ministries and the Government Office began reducing the environmental footprint and greenhouse gas emissions of the public sector to achieve the **green transition** goals. Sample criteria in the public procurement register have been introduced to simplify environmentally friendly public procurement. Green networks have been established both at the local government and official levels.
- There have been no major changes in **resource productivity** in recent years, but the long-term trend is improving. Due to an uncertain economic situation caused by the COVID-19 pandemic and the ongoing Russia's aggression in Ukraine, confidence in making investments to increase resource productivity has decreased. As a result, project deadlines and supply chains have been extended and interest in support measures has decreased. Over ten years (2013–2023), resource productivity in Estonia has increased by 38 per cent, placing Estonia second in the European Union after Ireland.

Challenges

- The principle of the Ministry of Climate is that the economy must fit within the bounds of nature. The loss of biodiversity has a devastating impact on nature, people, and the economy in general. **The environment is a human right**, therefore, globally and in the European Union, there is an increasing need to address long-term environmental and climate challenges – accelerating green transition, sustainable use of resources, preservation of ecosystems, climate change and adaptation. In Estonia, the main challenge in the environmental sector is finding **a balance between environmental protection and environmental use**.
- **The focus is on the waste sector and its reform.** The waste reform draft was submitted to the government in the first quarter of 2025. For Estonia, new requirements for waste types have been added (for example, textile waste, bio-waste, obligations arising from transposing the Single-Use Plastics Directive and the Packaging and Packaging Waste Regulation). In addition, the aim is to reorganise Estonia's waste management. Alongside legislation and ongoing cooperation with partners, a new waste reporting concept has been developed.
- Waste generation has been declining in recent years, and although there was a decrease in 2023 compared to 2022, **the target for waste reduction was not achieved** in 2023 (2023 level: 3,721 kg per person per year versus the planned 3,460 kg per person per year). Various measures have been implemented to achieve the waste reduction target (including campaigns to raise awareness and promote separate collection, guidance to local governments, and support measures) and legislation has been updated. Raising public awareness and changing habits toward environmentally responsible behaviour is important.
- **Protection of water** is also under attention. 52 per cent of bodies of surface water and 74 per cent of bodies of groundwater are in good condition. Unfortunately, no improvement in condition can be observed. The achievement of targets and implementation of measures to improve water status are still primarily hampered by lack of resources. There is a shortage of both staff and funds for research and investment. To improve the status of rivers, lakes, groundwater, coastal water, and the sea and to combat floods, **water management plans and flood risk mitigation plans** are being implemented. **A water reform** is being planned to ensure necessary investments and service continuity, including drinking water quality, even after EU funding ends, and to control water price increases. **A strategic roadmap for the water service reform** will be prepared in 2025. A **water reuse policy** is being developed to allow the use of treated wastewater from settlements and quarry and mining water to conserve natural water resources. The **flood** risk assessment has been updated (17 new risk areas added). Under the Estonian Marine Strategy, the 2024 **marine area status assessment** was updated across 11 characteristics. Although good environmental status has not been fully achieved, some improvement in eutrophication is noteworthy.
- Existing policies and measures are not sufficient to meet the national commitments under the Land Use, Land-Use Change, and Forestry (LULUCF) regulations by 2030. There is also no clear intersectoral trajectory for **achieving climate neutrality** by 2050. Therefore, in 2023, **work began on developing the Climate Resilient Economy Act**, which aims to define principles and emission reduction targets necessary to achieve the 2030 targets and ensure the transition to climate neutrality by 2050.
- In the coming years, the challenge is to **accelerate the transition to renewable energy** in cooperation with other sectors, where finding additional resources is critically important. The number of ongoing **impact assessments** and planning procedures is increasing and it is expected that procedures will be carried out more quickly and competently. REPowerEU funds are being directed to accelerate renewable energy adoption reforms and grid investments to speed up permitting procedures and bring new renewable energy capacities to the market.
- **Another near-term challenge in Estonia is preparing for the adoption of nuclear energy.** The main activities relate to preparing the legal framework, establishing a nuclear regulator and developing human resources.
- One of the biggest challenges for the Ministry of Climate is **retaining and motivating experts and skilled specialists in the sector, especially considering new initiatives in the field and the interconnection of topics with other ministries**.

Detailed information on the implementation of the performance area can be found on the website [Performance-based budget | Ministry of Climate]

Table 13. Target levels of metrics in the performance area of the environment and the actual performance

Metric	Performance in 2022	Performance in 2023	Performance in 2024	Target level in 2024	Target level in 2025	Target level for 'Estonia 2035'
Proportion of habitat types included in the Habitats Directive in favourable condition Source: Ministry of Climate	57%	57%[55]	57%	≥ 57%	≥ 57%	-
Environmental awareness index Source: Ministry of Climate	41.6%	-	41.1%	45.5%	-	-
Total emissions of greenhouse gases Source: Ministry of Climate	14.4 million t CO_2 eq[56]	13 million t CO_2 eq	-	12.4 million t CO_2 eq	12 million t CO_2 eq	8 million t CO_2 eq
Proportion of water bodies in good condition Source: Ministry of Climate	51%	52%	-	55%	56%	-
Waste generation (excluding oil shale industry) Source: Ministry of Climate	4,585 kg/person	3,721 kg/person	-	3,400 kg/person	3,350 kg/person	-
Resource productivity: ratio of GDP to domestic raw material use Source: Eurostat	0.83 €/kg[57]	0.86 €/kg	-	0.69 €/kg	0.7 €/kg	0.9 €/kg

Table 14. Implementation of the budget of the performance area of the environment (in thousands of euros)

	Implementation of the budget 2023	Initial budget for 2024	Final budget for 2024	Implementation of the budget 2024	Initial budget for 2025	STATE BUDGET STRATEGY 2026
Expenditure	–130,112	–166,686	–491,083	–110,465	-[58]	-

Source: State budget implementation report 2024, State Budget Act 2025, State Budget Strategy 2025–2028

1.2.7 Research and development and entrepreneurship

Objective of the performance area

Estonia's research, development, innovation, and entrepreneurship work together to increase the well-being of Estonian society and the productivity of the economy, providing competitive and sustainable solutions to the development needs of Estonia and the world.

Development plan of the area

Research and Development, Innovation and Entrepreneurship Development Plan 2021–2035 (TAIE)

Programmes of the performance area

Scientific system programme

Knowledge transfer programme

Entrepreneurial environment programme

Construction programme

Areas of government related to the performance area

Area of government of the Ministry of Education and Research

Area of government of the Ministry of Economic Affairs and Communications

Area of government of Ministry of Climate

OVERVIEW OF THE PERFORMANCE AREA

Positive developments

- The draft of the **Organisation of Research and Development and Innovation Act** reached the *Riigikogu* after thorough preparation. As a new foundational act, the Organisation of Research and Development and Innovation Act establishes a more coherent framework, addressing for the first time the research

[55] The remaining 2023 results are published for the first time.
[56] Compared with the 2023 consolidated annual report, the value has been adjusted. Each year, new greenhouse gas inventories are compiled, reviewing the time series data in addition to the most recent year to ensure consistent methodology and comparable results.
[57] Starting from 2024, resource productivity is calculated using chain-linked GDP with the reference year 2020. Previously, the metric was calculated using chain-linked GDP with the reference year 2015. The data for 2013–2022 were adjusted on 30 December 2024; therefore, the values in earlier reports are not comparable.
[58] From 2025 onwards, the performance area has been reorganised.

and innovation system as a whole and also encompassing knowledge transfer, research ethics, and open science.

- **Two support measures aimed at strengthening the knowledge transfer capacity of research and development institutions were launched.** Thematic research and development programmes build research capacity in the Research and Development, Innovation and Entrepreneurship Development Plan 2021–2035 (TAIE) focus areas, which are characterised by high economic potential. Increasing the impact of research and supporting the institutional knowledge transfer capacity of research institutions and universities (ASTRA+) contribute to the development of innovation services and the implementation of projects with *spin-off*[59] potential. Through these two measures, the Ministry of Education and Research directs a significant share of all knowledge transfer resources.
- **The fourth Estonian research infrastructure roadmap was completed**, consolidating 28 key research infrastructure facilities. For the first time, support is planned also for covering their fixed costs, which helps to ensure the stable use of infrastructure and reduces dependence on external funding.
- To increase the competitiveness of the economy and industry, the Government of the Republic approved **an economic growth plan**. In addition, **a format for Government economic cabinet meetings was launched**, within which the focus is on issues related to economic competitiveness and growth.
- **Investment was made in the first business line of the applied research centre operating under AS Metrosert – biorefining.** In total, five business lines will be launched at the centre: biorefinery, medical data, hydrogen technologies, drone technologies, and autonomous vehicles. The aim of the centre is to provide services and cooperation opportunities to increase companies' internal development and innovation capacity.
- To support entrepreneurs' research, development, and innovation activities, **an entrepreneur research and development support** measure was launched and the implementation of development support targeted at companies continued, including through the Applied Research Programme.
- **The Estonian Defence Fund was launched** with a total volume of 100 million euros. The aim of the Defence Fund is to develop the Estonian defence industry and create innovative defence and security capabilities to meet the growing global demand.
- **The Government of the Republic decided to establish a support measure of 160 million euros to promote large-scale investments**, the aim of which is to support investment in the Estonian economy, increase the competitiveness of exporting companies, their export capacity, and added value growth.
- **A long-term vision for Estonian tourism 2025–2035 was completed**, aiming to increase the competitiveness of the tourism sector through growth in visibility and added value.
- The Land and Spatial Development Board was established, consolidating spatial creation competence, together with the position of the state architect responsible for the integrated spatial development of the living environment.
- **For more efficient and transparent processes in the construction sector, the development of the e-construction platform continued.** To shorten procedures, a technical solution for a joint permit for offshore wind farms was completed. A new level in digitalisation is the possibility to apply for the Building Information Modelling (BIM-based) construction permit.
- **The completed construction guide provides a simple and visual overview of construction requirements.** To improve the quality of the living environment, the draft of the Building Code was updated, a draft on accessibility was prepared, research activities were initiated to agree on principles for street space, and the principles of quality space were incorporated into both the draft Building Code and the draft Climate Resilient Economy Act.
- **The development of a methodology for calculating the carbon footprint of buildings lifespan** and the creation of real-time energy labels for buildings began, and building energy efficiency regulations were updated.
- **2.6 million euros were allocated for home support for large families, 185 million euros for the reconstruction of apartment buildings, and 19.5 million euros for small residential buildings.** The regional balance of support was ensured. As part of the LIFE IP BuildEst research and development programme for reconstruction, information materials on renovation solutions and climate resilience were prepared, and area-based renovation was developed.

Challenges

- Expectations for the impact of research and development are increasing, but change requires the renewal of established work culture and economic structures, which is not a quick process. **Although public sector research and development funding has remained at the desired level in recent years (one per cent of GDP), it fell lower in 2024 due to cuts in the state budget.** Achieving the goal is also at risk in the coming years. To ensure the impact of the initiated changes, continued funding at the agreed level – one per cent of GDP – will be necessary.
- **The succession of researchers has stagnated and specialists with doctoral degrees still have limited opportunities outside the academic sphere.** This reflects both low demand for research and development and the need to align doctoral education with societal expectations. Alarmingly, the proportion of doctoral students proficient in Estonian is also decreasing, threatening the future of Estonian-language higher education and knowledge transfer.
- **Applied researchers at universities often lack private sector commissions, making it easy to remain within traditional basic science.** Although

[59] A subsidiary or branch company – a company operating at a research and development institution, including a university, whose task is to contribute to the commercialisation of new high-tech and research-intensive technologies and to promote entrepreneurship developing on the basis of research and development activities and innovation.

several initiatives have been launched to support knowledge transfer, funding is still directed either to research institutions or to companies, not to their co-operation. International experience shows that the greatest impact arises from joint activities, which are purposefully supported by both sides.

- **Funding of the research system remains fragmented and project-based, and the growing administrative burden limits the continuity of research and the flexible response to societal needs.** A comprehensive review and adjustment of funding to changing needs is required.
- **The competitiveness and productivity of the Estonian economy have declined**, and to restore growth it is necessary to continue implementing measures that support the growth of Estonian companies' research, development, and innovation capacity, and to invest in the goal of increasing private sector research and development expenditure to reach two percent of GDP.
- **Export, investment, and tourism volumes have not recovered.** To increase volumes, it is important to provide companies with support for starting exports and diversifying markets. In addition to actively attracting foreign investments, the focus must also be on retaining follow-up investments in Estonia. In tourism development, the focus should remain on growing business tourism as a high value-added service sector to help fill the low season and increase the number of foreign tourists.
- **Entrepreneurs' reporting to the state needs modernisation and reform.** For this, it is necessary to continue creating a unified system of data collected by the state across institutions, invest in the receipt and processing of machine-readable data, and support companies to accelerate the transition.
- **The principles for providing financial instruments also require reform:** the capacity of Ettevõtluse ja Innovatsiooni Sihtasutus to finance large-scale projects must be increased, and the range of financial services and instruments offered to companies must be expanded.
- To achieve the objectives of the long-term strategy for building reconstruction, **funds must be ensured so that renovation occurs at a consistent and steadily increasing pace**.
- To improve productivity and efficiency in the construction sector, digitisation must continue and additional funding must be found due to the expiration of external resources.
- The comprehensive implementation of quality space and the principles of the New European Bauhaus (the aim is to combine design, sustainability, accessibility, affordability, and investment to help achieve the European Green Deal) in cooperation with the established Land and Spatial Development Board, to promote Estonian building culture and the living environment.
- **The integrated design of the living environment** requires a strategic plan that combines land policy, spatial planning, mobility, and construction.
- To improve the quality of the living environment, it is necessary to invest in spatial creation research and development and in the application of its results.

Detailed information on the implementation of the performance area can be found on the websites:

Strategic reference documents and programmes | Ministry of Education and Research

Performance-based budget | Ministry of Climate

Sectoral development plans | Ministry of Economic Affairs and Communications

Table 15. Target levels of metrics in the performance area of research and development and entrepreneurship and the actual performance

Metric	Performance in 2022	Performance in 2023	Performance in 2024	Target level in 2024	Target level in 2025	Target level for 'Estonia 2035'
R&D financing planned in the state budget as a proportion of GDP (%) Source: Explanatory memorandum to the state budget	1	1	-	≥ 1		
Level of private R&D expenditure of GDP (%)[60] Source: Statistics Estonia	1	1.08[61]	-	1.3	1.5	2
Nominal labour productivity of EU-27 average (%) Source: Eurostat	80.7	77.5	-	90	92	110
Ranking in the European Innovation Scoreboard (place in scoring group) Source: European Commission	Moderate innovator (12th place)	Moderate innovator (12th place)	Strong innovator (14th place)	Strong innovator	Strong innovator	Innovation leader

[60] According to the Research and Development, Innovation and Entrepreneurship (TAIE) Methodology, the proportion of research and development expenditure in the business sector (BERD, Statistics Estonia, Table TD052) is measured.
[61] The 2023 results are published for the first time.

Table 16. Implementation of the budget of the performance area 'Research and development and entrepreneurship' (in thousands of euros)

	Implementation of the budget 2023	Initial budget for 2024	Final budget for 2024	Implementation of the budget 2024	Initial budget for 2025	STATE BUDGET STRATEGY 2026
Expenditure	–441,925	–681,403	–526,758	–448,863	–492,421	–525,917

Source: State budget implementation report 2024, State Budget Act 2025, State Budget Strategy 2025–2028

1.2.8 Agriculture and fishery

Objective of the performance area

Consumers prefer Estonian food, the living environment is maintained, food sector companies are successful, and the vitality of rural and coastal communities is growing

Development plan of the area

Estonian Agriculture and Fisheries Development Plan until 2030

Programmes in the performance area

Agriculture, food, and rural affairs

Fisheries

Areas of government related to the performance area

Area of government of the Ministry of Regional Affairs and Agriculture

Area of government of the Ministry of Climate

OVERVIEW OF THE PERFORMANCE AREA

Positive developments

- **Ensuring food supply security is one of the national defence tasks** of the Ministry of Regional Affairs and Agriculture. In 2023, a food supply security strategy and action plan were prepared in cooperation with major food producers and professional associations. The main threats, capability gaps, and the necessary actions of both the state and the private sector were defined. The most important activities of the strategy and action plan that began in 2024 include the development of the so-called crisis stores, increasing distributed fuel reserves at primary production sites, and creating a crisis communication network and model with supply chain participants. In addition, major supply chain companies were added to the list of priority electricity consumers, access to emergency fuel for critical equipment was ensured, and the exemption of critical equipment from national defence obligations was coordinated. Most of these tasks are ongoing and evolving, but a strong start has been made, thereby increasing the ability of the Estonian population to cope better even in severe crises.
- In 2024, **the second year of implementing the Common Agricultural Policy Strategic Plan 2023–2027 passed**, during which all first pillar supports of the Estonian Common Agricultural Policy Strategic Plan, as well as part of the second pillar supports, were implemented. **In 2024, support for agriculture, the food industry, and rural development amounted to 335 million euros.**
- **For the development of the fisheries sector, 2.6 million euros in support was paid out in 2024.** The implementation of the European Maritime, Fisheries and Aquaculture Fund (EMFAF) is important for the development of the Estonian fisheries sector. This contributes to the sustainable development of the fisheries sector, supports environmental protection, promotes local development, and increases the sector's competitiveness. In 2024, additionally eight measures were launched and extensive cooperation with the fisheries sector was carried out to open the majority of measures of the fund in 2025. By 2025, 23 new European Maritime, Fisheries and Aquaculture Fund measures are planned to be opened, some of which were already launched at the beginning of the year.
- **In order to further ensure environmental protection, the introduction and continued use of environmentally friendly management methods in agriculture will be encouraged with the support of the Common Agricultural Policy.** The share of environmentally managed land in the utilised agricultural area was 92.6 per cent in 2023.
- **The food safety barometer, which measures the overall food safety situation in Estonia on an annual basis and compared to the previous year, was 99.34 in 2024.** The goal is for the indicator to be at least 100, i.e. not to fall compared to last year. The Food Safety Barometer showed a slight decrease in the food safety situation in 2024 compared to 2023.
- **An integral part of evidence-based policy-making is the implementation of applied research in strategically important fields.** In 2024, agreements were reached within European Commission working groups on the introduction of new breeding techniques. To implement the newly opened opportunities in Estonia, a targeted grant of 2 million euros was awarded in cooperation with the Estonian Research Council to increase the capacity of research groups engaged in Estonian plant breeding to adopt precision breeding techniques. In addition, applied research in agrometeorology was initiated in cooperation with the Estonian Research Council and the Ministry of Climate, with a total budget of 1.2 million euros. The aim of these studies is to develop services that support businesses in adapting to climate change.

Challenges

- **Ensuring food safety and reliability requires a knowledge-based approach, consistent**

adaptation to society's expectations in mitigating risks, broad-based monitoring, and increased consumer awareness. It is therefore necessary to significantly increase the capacity of the state to effectively monitor food safety, including risk assessment and communication.

- **Antibiotic use in livestock and pets has fallen by 35 per cent over the past decade, but the decline is stalling.** In 2023, the total quantity of active substances sold increased slightly compared with the previous year. The use of antibiotics is associated with microorganisms developing resistance to the effects of antibiotics, i.e. antimicrobial resistance (AMR). The Agriculture and Food Board regularly monitors antimicrobial resistance in pigs and poultry, as well as in their products.
- **In 2024, there were no cases of particularly dangerous animal diseases in Estonian livestock enterprises.** Despite this positive outcome, the situation remained challenging. The overall risk of African swine fever in wild boar populations is increasing.
- **Access to services, lack of attractive jobs and problems with housing are the main problems in settling in rural areas.**
- **Adapting agricultural sector enterprises to the challenges of the green transition, including climate change mitigation, while simultaneously managing risks related to food supply security, constitutes a significant and complex challenge for the sector.** In order to find solutions, the 'Green Transition Roadmap for Four Areas of the Agriculture and Food Sector' has been drawn up and various measures have been implemented to ensure the security of food supply in cooperation with private companies. The renewed 'Green Transition Action Plan 2023–2025' will also support the solution of the challenge of the green transition.
- **Competitiveness and exports in the food sector.** The 2024 survey on Estonian residents' food purchasing preferences and attitudes clearly shows that consumers continue to value domestic food. However, rising living costs have increased price sensitivity, posing new challenges for both consumers and food producers. According to the 2024 survey, 59 per cent of Estonian residents prefer domestic food. It represents a slight decrease compared with 2022, when the survey was last conducted.
- **The share of fish resources in good condition was 45 per cent in 2023**, with the overall resource status classified as poor and below the target level of 61 per cent. In order to improve the condition of fish resources, conservation measures for fish resources must continue to be modernised and fishing efforts in coastal fishing must be reduced.

Detailed information on the implementation of the performance area can be found on the website Strategic framework documents | Ministry of Regional Affairs and Agriculture

Table 17. Target levels of metrics in the performance area of agriculture and fishery and the actual performance[62]

Metric	Performance in 2022	Performance in 2023	Performance in 2024	Target level in 2024	Target level in 2025
Employment rate of rural residents aged 20–64 Source: Statistics Estonia	80.3%[63]	80.5%[64]	80.4%	78.7%	78.7%
Value added in agriculture, forestry, fishery and food and beverage production per person employed, three-year moving average Source: Statistics Estonia	35,762 euros	40,176 euros[65]	41,783 euros	34,700 euros	35,000 euros
Trade balance for agricultural products and foodstuffs: export-import ratio Source: Statistics Estonia	0.89	0.83[66]	0.81	0.80	0.81
Proportion of Estonian consumers who prefer buying local foodstuffs Source: Estonian Institute of Economic Research	61%	-	59%	75%	75%

[62] Performance area metrics are not represented in the 'Estonia 2035' strategy.
[63] The performance of the target level has been adjusted compared with that presented in the consolidated annual report of the state for 2023.
[64] The performance of the target level has been adjusted compared with that presented in the consolidated annual report of the state for 2023.
[65] The performance of the target level has been adjusted compared with that presented in the consolidated annual report of the state for 2023.
[66] The performance of the target level has been adjusted compared with that presented in the consolidated annual report of the state for 2023.

Metric	Performance in 2022	Performance in 2023	Performance in 2024	Target level in 2024	Target level in 2025
Greenhouse gas (GHG) emission per value of agricultural production, tonnes per thousand euros[67] Source: Statistics Estonia, Estonian Environmental Research Centre	2.38[68]	2.60[69]	-	≤ 2.5	≤ 2.5
Food safety barometer Source: Ministry of Regional Affairs and Agriculture	99.63	100.69	99.34	≥ 100	≥ 100

Table 18. Implementation of the budget of the performance area 'Agriculture and fishery' (in thousands of euros)

	Implementation of the budget 2023	Initial budget for 2024	Final budget for 2024	Implementation of the budget 2024	Initial budget for 2025	STATE BUDGET STRATEGY 2026
Expenditure	–429,673	–499,986	–425,445	–403,706	–447,465	–412,684

Source: State budget implementation report 2024, State Budget Act 2025, State Budget Strategy 2025–2028

1.2.9 Transport

Objective of the performance area

The purpose of Estonian transport policy is to ensure safe, accessible, fast, sustainable, and comfortable mobility for residents and businesses in accordance with the objectives established in the legislation of the European Union

Development plan of the area

Transport and Mobility Development Plan 2021–2035

Programme of the performance area

Transport competitiveness and mobility programme

Area of government related to the performance area

Area of government of Ministry of Climate

Area of government of Ministry of Regional Affairs and Agriculture

OVERVIEW OF THE PERFORMANCE AREA

Positive developments

- **In the railway sector**, in 2024, the electrification of the Aegviidu–Tapa–Tartu railway section continued, and at the end of the year, electrification of the Tapa–Narva railway section began. In the southwest direction, on the Rapla–Lelle railway section, reconstruction of the railway embankment and superstructure was carried out in 2024 to increase the maximum speed of passenger trains to 160 kilometres per hour.
- **Compared to the previous two years, collisions at railway crossings decreased.** No collisions occurred on the infrastructure of AS Eesti Raudtee at railway crossings.
- Construction contracts for the main route of **Rail Baltica** had been concluded by the end of 2024 for 74 kilometres of the main route, which ensures the completion of the railway in Estonia by 2030.
- **In the road sector, in 2024, various road maintenance investments were implemented over a total of 1,101 kilometres** (including construction, reconstruction, repair, and dust-free pavement construction). Road sections with 2 + 2 and 2 + 1 cross-sections were built over 15 kilometres. 21 bridges and 19 kilometres of various road sections were reconstructed. Repair works were carried out on 1,067 kilometres of road sections. A total of 14 hazardous areas of traffic were rebuilt.
- **In 2024, pedestrian accidents involving fatalities decreased.** Positively, mobile phone use among motor vehicle drivers decreased and the proportion of children wearing helmets while riding bicycles and using scooters increased. Children's visibility in traffic also improved – more reflective vests were used when riding bicycles.
- Throughout the year, **direct flights** from Tallinn Airport were available **to 60 destinations**, of which 44 were regular lines and 16 regular charter flights. Air traffic in Estonian airspace and overflights are again on an upward trend.
- **The efficiency of aviation in 2024 was mostly affected by conditions in aircraft maintenance** – high demand, problems with certain aircraft engines,

[67] The greenhouse gas emissions inventory will be made for year n–2, i.e. the greenhouse gas emissions value for agriculture in 2023 will be derived from the 2025 inventory. Consequently, the results for 2023 are published for the first time.
[68] The performance of the target level has been adjusted compared with that presented in the consolidated annual report of the state for 2023.
[69] The performance of the target level has been adjusted compared with that presented in the consolidated annual report of the state for 2023.

and a shortage of spare parts hindered sector growth, which in turn affected supply-demand alignment, with geopolitical conditions also playing a role. Increased air traffic and improved notification culture resulted in a nearly 20 per cent increase in registered flight incidents in 2024.

- In 2024, number of gas buses on county routes decreased by 19 per cent. **Gas buses were replaced by buses using biodiesel or HVO (Hydrotreated Vegetable Oil) second-category fuel.** The share of buses using alternative fuels amounted to 44 per cent. The volume of the entire line network increased by 0.9 per cent. Of the total county route transport volume, 25 per cent, i.e. 12.3 million kilometres, is served by gas buses.
- **A pilot project for on-demand transport in Saaremaa was launched.** The goal is to implement on-demand public transport more broadly across multiple public transport hubs.
- **A public procurement for passenger transport on large island ferry lines was conducted, resulting in a new contract with TS Laevad OÜ for the next seven years.** Construction of a new environmentally friendly ferry to serve the large island lines continues. The ferry concept has been completed and the ferry will be ready by 2026.
- **A public procurement for passenger transport** on the Rohuküla–Sviby, Kihnu–Munalaid, and Munalaid–Manilaid, Sõru–Triigi, and Ruhnu–Munalaid, Ruhnu–Pärnu, and Ruhnu–Roomassaare ferry lines was announced. A procurement for the Ruhnu air connection was also carried out.
- The Ministry of Regional Affairs and Agriculture, in cooperation with the state fleet, announced a procurement at the end of the year for a new environmentally sustainable hovercraft for the Laaksaare–Piirissaare line.
- The Government of the Republic approved the concept for the public transport reform, focusing on the development of public transport. The aim is to increase the share of sustainable mobility options and make public transport services more accessible between living, working, and school locations.

Challenges

- **Energy consumption in transport** (TWh) is **not decreasing at the expected rate**, and road traffic continues to grow.
- **The biggest challenges in public transport continue to relate both to the motorisation of urban areas and to the provision of cost-effective public transport service in sparsely populated areas.** In 2024, the share of commuting by public transport, walking, and cycling increased slightly (from 34.9 per cent to 35.1 per cent), but the increase came from a decrease in remote work (from 6.1 per cent to 5.9 per cent), not from a reduction in car use. The share of commuting by car increased by 0.1 per cent, indicating that the trend of car dependence continues, and insufficient investment has been made in developing public transport, sustainable mobility, and changing people's habits. The current trend will not meet the targets set for 2035.
- The aim is **to increase the share of cycling commuters** (only 2.7 per cent in 2024, up from 2.5 per cent the previous year), whose actual potential remains unrealised. The major cities of Estonia lack a core cycling network.
- **Ongoing problems in railway infrastructure include the need to provide infrastructure suitable for freight transport**, create additional opportunities for faster transfer of goods between transport modes, additional passing points on the railway, and **railway safety at crossings**. Although passenger transport continues to grow annually, freight transport forecasts indicate a volume of two to three million tonnes per year, which is clearly insufficient for sustainable railway development. Consequently, state support for railway infrastructure management has increased each year. **Only partial funding exists for the construction of Rail Baltica**; additional resources are crucial to open passenger services by 2030. In addition to infrastructure, agreements for rolling stock availability on the new railway must be concluded.
- **In maritime transport, the main challenge is the unstable global situation**, the aging fleet in the Baltic Sea, damage to underwater infrastructure, and increasingly stringent environmental requirements. Maritime transport is a global business and depends directly on international factors. In Estonia, maritime issues are divided among different ministries, and for the comprehensive development of maritime transport, coordinated cooperation among all stakeholders is essential.
- **Funding of the development and maintenance of road transport infrastructure has been insufficient for years** – in 2024, funding was over 25 per cent lower than in 2021. Due to the reduced volume of funds allocated for road maintenance and the increase in construction costs in recent years, the 2024 workload was approximately 50 per cent smaller than in 2021. **It must be noted that restoring condition is significantly more expensive than maintaining it.**
- From 2022–2024, an average of 59 people died annually in road traffic (compared to 55 from 2021–2023). The traffic safety programme's goal **to reduce the three-year average number of road fatalities** at the pace agreed in road transport sector was not achieved in 2024.
- **In the restructuring of the county line network, a new network is planned based on regular interval schedules** (i.e. **clock-face scheduling**), which is a prerequisite for efficient connection of routes.
- **A sustainable public transport funding model** is planned, as since 2020, the public transport base budget has been frozen, but contracts with operators are long-term and indexed, resulting in actual costs increasing due to inflation.

Detailed information on the implementation of the performance area can be found on the website [Performance-based budget | Ministry of Climate]

Table 19. Target levels of metrics in the transport performance area and the actual performance

Metric	Performance in 2022	Performance in 2023	Performance in 2024	Target level in 2024	Target level in 2025	Target level for 'Estonia 2035'
Decrease in the number of traffic fatalities by a half as an average of three years Source: Transport Administration	55	55	59	42	40	30
Decrease in the number of serious injuries in traffic by a half as an average of three years Source: Transport Administration	367	395[70]	483	309	302	187
Reduction of CO_2 emissions from transport by 700 kt compared to 2018[71] Source: Ministry of Climate	2437.94 kt CO_2 eq	2,437.77 kt CO_2 eq	-	2,291.92 kt CO_2 eq	2,231.18 kt CO_2 eq	1,700 kt CO_2 eq
Number of Estonian flagged cargo and passenger ships (with gross tonnage 500 or more) Source: Ministry of Economic Affairs and Communications	23	31	35	40	75	360
Increasing the proportion of rail freight transport in tonne-kilometres compared to road transport Source: Statistics Estonia	22%	16%	12%	24%	13%	40%
Increasing the number of year-round scheduled flights Source: AS Tallinna Lennujaam	33	44	44	45	50	50

Table 20. Implementation of the budget of the performance area 'Transport' (in thousands of euros)

	Implementation of the budget 2023	Initial budget for 2024	Final budget for 2024	Implementation of the budget 2024	Initial budget for 2025	STATE BUDGET STRATEGY 2026
Expenditure	–602,475	–887,448	–1,048,691	–700,251	-[72]	-

Source: State budget implementation report 2024, State Budget Act 2025, State Budget Strategy 2025–2028

1.2.10 Energy

Objective of the performance area

Ensure that consumers have access to affordable energy supply, which is compliant with the long-term objectives of the EU energy and climate policy, while contributing to the improvement of Estonia's economic climate and environmental condition as well as to the growth of long-term competitiveness.

Development plan of the area

National Energy Sector Development Plan until 2030

Programme of the performance area

Energy and Mineral Resources Programme

Area of government related to the performance area

Area of government of Ministry of Climate

OVERVIEW OF THE PERFORMANCE AREA

Positive developments

- **Electricity and gas supply security.** Gas supply security is ensured by a one terawatt-hour strategic gas reserve at the Inčukalns gas storage facility. In November 2024, Latvia allowed Estonia to maintain its gas reserves at a special tariff until 2030. The Pakrineeme hauling quay was fully completed to service various types of FSRU (Floating Storage

[70] Compared with the data presented in the 2023 consolidated annual report of the state, the metric has been retrospectively adjusted.
[71] The greenhouse gas emissions inventory will be made for year n–2, i.e. the greenhouse gas emissions value for transport in 2023 will be derived from the 2025 inventory. Consequently, the results for 2023 are published for the first time.
[72] From 2025 onwards, the performance area has been reorganised.

Regasification Unit) floating terminals, including the installation of a natural gas loading bucket. Estonia's supply security is further supported by the Klaipėda and Inkoo LNG terminals and the Poland–Lithuania gas interconnector (GIPL).

- **Preparatory measures for synchronisation of the electricity system with the Continental European network.** In 2024, preparations were made for the integration of the Baltic electricity systems into the synchronous area of Continental Europe, which took place on 9 February 2025. In Estonia, a third synchronous compensator was completed and the reconstruction of the third Estonia–Latvia transmission line was finalised. In May, the *Riigikogu* approved the strategic reserve and in December, the Government submitted a supply security draft law to the parliament, enabling the implementation of island operation capacity service from 2026 to ensure up to 1,000 MW of guaranteed production capacity. Critical infrastructure protection was strengthened and development of undersea infrastructure monitoring capabilities was initiated (Project 'Merehunt'[73]).
- **In 2024, the share of renewable energy in electricity generation increased to 63 per cent.** Additional production capacities totalling 720 GWh were added as a result of under-supply. New wind farms were completed: Sopi-Tootsi (255 MW) and Aidu (75 MW). The development of wind farms on suitable state land was promoted and proposals were made to accelerate renewable energy production on exhausted mining areas.
- **Two draft versions** of the Energy Sector Development Plan until 2030 were prepared in 2024. Based on stakeholder feedback, the formulation of the general objective, sub-objectives, indicators, and target levels for 2035 were updated. Planned activities and forecasts for electricity, heat, gas consumption, capacities, production, and energy prices were clarified. Additionally, the draft Climate Resilient Economy Act included requirements for electricity and heat production. In 2024, impact assessments for the development plan were carried out, including strategic environmental assessment.
- A European Commission funded **study on** existing and new **energy efficiency measures** was conducted. It mapped cost-effective policy measures to help Estonia achieve the 2030 cumulative energy savings targets. The study included energy-saving activities and legislative proposals.
- **In 2024, extensive exploration of phosphorite and other critical minerals continued.** A new core sample repository was completed at the Arbavere Research Centre of the Geological Survey of Estonia.

Challenges

- **Insufficient dispatchable capacity for supply security.** Existing dispatchable oil shale power plants are no longer competitive in the market, while the construction of new dispatchable generation capacity requires supporting measures and time. To maintain existing capacities, the strategic reserve and island operation capacity service will be applied. A new capacity mechanism will likely be needed from 2035, but analysis and state aid application should begin in 2025.
- **Obstacles in renewable energy development.** Key issues include finding suitable locations for wind farms, community opposition, and limited state planning capacity. Acceleration of grid connection procedures, network development, and permit processes is needed, along with solutions to local government resistance to wind farm construction.
- **Electricity storage–and consumption management solutions to accommodate larger renewable electricity production.** The unpredictability of renewable electricity leads to moments in the power system when there is either an excess or a shortage of electricity. Storage allows electricity production to be shifted from periods of surplus to periods of shortage, thereby reducing electricity prices and price volatility. In addition, it helps prevent overloading of the electricity grid. Consumption management, in turn, allows electricity consumption to be shifted to periods when production is in surplus or deficit, thereby contributing to the balance of the electricity system. Storage and consumption management contribute to supply security by maintaining the balance between consumption and production – they help ensure the electricity system frequency of 50 hertz (Hz). To maintain frequency, the system operator Elering procures frequency reserves. It is necessary to further develop the market model and data exchange supporting the implementation of storage and consumption management so that storage and consumption management become market-based solutions. The main barrier to storage investments is high operating costs, which result, for example, from paying the network tariff twice, and consumption management is hindered by incomplete electricity market rules, which currently do not allow consumption management to be sold on the electricity market. To address both challenges, the Electricity Market Act is being amended.
- **District heating development.** Challenges include wider use of storage solutions and low-temperature district heating. In 2024, a two-tariff heat price was applied for the first time. A regulatory amendment planned for 2026 will reduce network companies' uncertainty in implementing multi-tariff pricing and ensure a fairer allocation of infrastructure costs.
- **Public sector example.** Renewable energy use in the public sector has been limited. The green procurement system and renewable energy purchases require strategic development and expansion to other energy types.
- **Achievement of energy efficiency targets.** To meet the targets set by new directives, an additional six terawatt-hours of energy savings are required by 2030. Achieving this goal requires cross-sectoral cooperation.
- **Development of subsoil resource use.** Focus areas include exploration of critical minerals and secondary raw materials, as well as establishing a concession mechanism. The sustainable use of construction minerals and the preparation of regional thematic plans must continue. It is necessary to maintain a

[73] Informative translation: Project 'Sea Wolf'

constructive dialogue in society on the use of mineral resources.

Detailed information on the implementation of the performance area can be found on the website Performance-based budget | Ministry of Climate

Table 21. Target levels of metrics in the energy performance area and the actual performance

Metric	Performance in 2022	Performance in 2023	Performance in 2024	Target level in 2024	Target level in 2025
Consumer access to affordable fuels and energy compliant with environmental requirements[74] Source: World Energy Council	ABA	ABA	-	ABA	ABA

Table 22. Implementation of the budget of the performance area 'Energy' (in thousands of euros)

	Implementation of the budget 2023	Initial budget for 2024	Final budget for 2024	Implementation of the budget 2024	Initial budget for 2025	STATE BUDGET STRATEGY 2026
Expenditure	–81,917	–80,658	–77,301	–47,771	-[75]	-

Source: State budget implementation report 2024, State Budget Act 2025, State Budget Strategy 2025–2028

1.2.11 Digital society

Objective of the performance area

The best experience is guaranteed in the digital country, the ultrafast internet is available to all people who want it and our cyberspace is safe and reliable.

Strategic target of the 'Estonia 2035' strategy relevant to the performance area

Estonia is an innovative, reliable, and people-centred country

Development plan of the area

Digital Society Development Plan 2030

Programme of the performance area

Digital society programme

Area of government related to the performance area

Area of government of the Ministry of Economic Affairs and Communications

OVERVIEW OF THE PERFORMANCE AREA

Positive developments

- **The success of the digital state is measured by satisfaction with public digital services.** Satisfaction with services was high in 2024 – at 82 per cent. The goal is to further increase satisfaction through various activities. Since 2022, life-event services have been made available to the public via the state portal eesti.ee, aimed at simplifying the use of public services. By the end of 2024, eight proactive government services were available to individuals: marriage, childbirth, fulfilment of defence obligation, settling in Estonia, death of a loved one, pension, support for a child with a severe health diagnosis, and divorce. Users have received the created proactive government services well.
- **As a significant innovation to improve service quality, the eesti.ee mobile application was published at the end of 2024** to provide users with convenient and simple access to state services via smart devices, regardless of location or time. Through the eesti.ee application, citizens can conveniently use both new and the most popular e-services of the state portal eesti.ee.
- According to **the cyber security metric**, in 2024, public confidence in e-services increased slightly compared to 2023 – from 91.5 per cent to 91.8 per cent – but remained lower than the 2022 result of 95.3 per cent. The biggest drivers of trust include the overall changed security situation in the world, data breach incidents, and the increase in frequency of cyberattacks against Estonian infrastructure and web services. As users become increasingly aware and wary of cyber security threats and risks, some mistrust is also to be expected. The positive thing is to consistently keep trust above 90 per cent. Despite changes in the security situation and cyberattacks, the Estonian e-services functioned without more serious disruptions and the overall continuity of operations was also improved.

[74] World Energy Council Energy Trilemma Index 2021 Country rankings WEC Energy Trilemma Index Tool.
Each letter of the index expresses the grade given to the state in the corresponding category. The first letter describes the state of energy security in the country, the second the availability and affordability of energy, and the third the environmental impact of energy. The letter A describes the result from a position among the top 25 per cent of countries – that is, the best result in all categories would be expressed in the form of AAA. The worst result is expressed by the letter D from the position among the last quarter of countries.
[75] From 2025 onwards, the performance area has been reorganised.

- **In 2024, additional resources were allocated to standardise cyber security levels and ensure resilience.** The budget for duplicating critical information and communication technology (ICT) service connections, reducing risks from backup systems, improving monitoring, and building security testing capability was increased – thereby enhancing the security of information systems and the functioning of the digital society.
- **Strategic cyber security documents were updated in 2024.** In a situation where the global security environment has significantly deteriorated, the focus has been placed primarily on ensuring security and safety. Cyber security development has been addressed as comprehensively as possible, covering aspects from the development of central security solutions and ensuring the operation of proactive government services to broad-based prevention and securing sufficient personnel succession.
- **Against the background of increasing resilience, in 2024, the focus was on state institutions' dependence on data centres, and service continuity in the event of external connection failures was tested.** In cooperation with the Foundation CR14, an IT data centre island operation exercise was conducted, aiming to increase the readiness of state data centres to maintain the operation of services belonging to the state information system under island operation conditions, i.e. in situations where network connections outside Estonia are degraded or completely lost. Among other things, restoration from backups and dependencies on data centres were tested, and use cases for the state cloud were clarified. In addition, a major cyber security exercise was conducted, practising cooperation between state data centres, other institutions, and the cyber reserve in crisis resolution.
- **To standardise cyber security levels, in 2024, local governments and the education sector were supported in mapping and implementing information security measures.** In addition, practical workshops for implementing information security standards were held. During the maturity level mapping, methodology was standardised and a metric was introduced to help institutions assess their compliance and map further actions for implementing information security standards and achieving a baseline level of cyber security. Based on consolidated results, it is possible to decide which sectors need more support and to prioritise measures in security policy that institutions struggle to implement.
- **Connectivity continues to improve.** By the end of 2024, a total of 81 per cent of Estonian businesses and households had the possibility to connect to very high-capacity networks. In 2024, the first projects financed through Recovery and Resilience Facility were completed, and 598 addresses received the opportunity to connect to fibre-optic networks. The pilot project for supporting community broadband networks was also completed, resulting in five villages establishing fibre-optic networks for 100 addresses through their own initiative and state support.

Challenges

- **Achieving resilience for state ICT infrastructure.** Estonia needs a comprehensive ability to operate and provide services even during a digital infrastructure crisis.
- **Nationwide ICT management.** The aim is to ensure effective and sustainable ICT governance in the country, compatible with the current geopolitical situation and economic capabilities.
- **Adoption of data and artificial intelligence.** The goal is to make Estonia a leading country in the world in data economy and public administration quality through data valorisation and smart usage.
- **Cyber security.** The security of Estonia's digital state must be ensured by creating a flexible national cyber security management system that considers all target groups and proactively prevents cyber incidents and crises. The aim is to provide a safe and reliable digital environment for both citizens and businesses.
- **Ensuring digital skills and succession, and increasing the share of women in the ICT sector.** It is necessary to ensure that the prerequisites for the development of a digital society are met, so that digitally capable people live in the country.

Detailed information on the implementation of the performance area can be found on the website Strategic framework documents | Ministry of Justice and Digital Affairs

Table 23. Target levels of metrics in the performance area of digital society and the actual performance

Metric	Performance in 2022	Performance in 2023	Performance in 2024	Target level in 2024	Target level in 2025	Target level for 'Estonia 2035'
Satisfaction with public digital services Source: service catalogue, Ministry of Justice and Digital Affairs	80%	83%	82%	83%	84%	90%
Estonian residents feel safe online and trust the e-state: proportion of those who refrained from communicating electronically with the public sector or a service provider for the purpose of avoiding a security risk Source: Statistics Estonia	4.7%	8.5%	8.2%	8%	7.5%	-

Metric	Performance in 2022	Performance in 2023	Performance in 2024	Target level in 2024	Target level in 2025	Target level for 'Estonia 2035'
Percentage of households and businesses in Estonia with access to at least 100 Mbps internet, which can be increased up to 1 Gbit/s Source: Consumer Protection and Technical Regulatory Authority	74.6%	80%	81%	77%	82%	-

Table 24. Implementation of the budget of the performance area 'Digital society' (in thousands of euros)

	Implementation of the budget 2023	Initial budget for 2024	Final budget for 2024	Implementation of the budget 2024	Initial budget for 2025	STATE BUDGET STRATEGY 2026
Expenditure	–90,795	–150,225	–123,324	–94,878	–159,704	–128,221

Source: State budget implementation report 2024, State Budget Act 2025, State Budget Strategy 2025–2028

1.2.12 Effective state

Objective of the performance area

Unified and effective governance that takes the needs of the population into account

Development plan of the area

No development plan has been prepared for the performance area.

Programmes of the performance area

Programme to support the activities of the Government of the Republic and the Prime Minister

Public finance programme

Administrative policy programme

Regional policy programme

Financial policy programme

Archiving programme

Areas of government related to the performance area

Government Office

Area of government of the Ministry of Finance

Area of government of the Ministry of Education and Research

Area of government of Ministry of Regional Affairs and Agriculture

OVERVIEW OF THE PERFORMANCE AREA

Positive developments

- **In comparison with European countries similar to Estonia, Estonia's sovereign credit rating is slightly higher and the outlook remains stable**. Rating agencies highlight as Estonia's key strengths its long-term stable and proactive fiscal and economic policy, low debt burden, and well-established and robust institutional framework.
- **The banking sector remains strong and has continued to support Estonian businesses and households even during challenging times**. The interest rate environment is constantly changing and the interest rates that rose in 2023 began to decline last year. Despite the difficult economic conditions, the volume of non-performing loans in banks' loan portfolios has not grown excessively.
- Since 2022, the Financial Intelligence Unit has strengthened supervision over **virtual asset service providers** (VASPs) and as a result, the virtual asset service **market** has become significantly more **orderly**.
- The pandemic and changes in the funded pension system have considerably increased public interest in investing and financial literacy. In cooperation with researchers, **financial literacy learning outcomes for all school levels** were developed in the summer of 2023 and integrated into curricula and teaching materials in 2024.
- **Promoting flexible working arrangements increases the attractiveness of the state as an employer**. The number of officials with permanent remote working agreements has grown – in 2024, such agreements were concluded with 1,062 officials (973 in 2023).
- A longer-term goal of the Statistics Estonia is **to significantly reduce the reporting burden on data providers**. In 2024, a project was completed that improved the use of data obtained from other data sources.
- In August 2024, the Ministry of Regional Affairs and Agriculture achieved the 2024 targets of the Cohesion Policy Operational Programme 2021–2027, as agreed by the government, both in terms of commitments and disbursement rates. Of the measures' budget, 96 per cent reaches local and regional partners through open calls for proposals. As of 31 December 2024, 32 per cent of the support under the 'Smarter Estonia' and 54 per cent of the 'Greener

Estonia' policy objective's business measures has been directed outside the Tallinn and Tartu regions.

- **To reduce regional disparities, a reform of municipal income tax entered into force in 2024**. The reform increases the revenue base of less affluent municipalities at the expense of future income tax growth in wealthier ones.
- **Since 2024, local governments have had significantly greater freedom to decide on land tax**. Legislative amendments have enabled municipalities to increase land tax revenues, which had remained unchanged for years. This, in turn, provides municipalities with better opportunities for land-use management, more resources for infrastructure and development investments, and helps ensure efficient functioning of municipalities.
- A new national spatial plan, 'Estonia 2050', is being prepared to support the development of a cross-sectoral strategic vision for spatial development.
- **Efforts to streamline spatial planning procedures have continued** – a draft act amending the Planning Act was prepared and the planning procedure system was further developed.
- The acquisition of spatial data and land operations are moving to a new, innovative level with the purchase of new equipment and the introduction of the portal minu.kataster.ee.
- **In the field of archives management, progress was made in developing requirements for data holders** and the ASTRA submission environment was significantly upgraded. A new draft of the Archive Regulation was completed, which reduces the administrative burden of institutions in archival work and establishes clearer rules for managing digitally-born information.
- **In 2024, the National Archives launched a total of five extensive digitisation projects:** three under partnership agreements within the sectoral digital transformation of the Ministry of Culture and two in cooperation with FamilySearch. A school-oriented educational interface for the film heritage streaming platform Arkaader was launched, which has been adopted by over 600 teachers from more than 250 educational institutions.

Challenges

- **The state's public finances have deteriorated in recent years due to fixed costs incurred during crises.** 2024 ended with an 814 million euro **budgetary deficit** in the general government sector, which accounts for 2.1 per cent of annual GDP. The budgetary deficit was 104 million euros smaller compared to the end of 2023. Reducing the deficit and ensuring fiscal sustainability are important for achieving the state's longer-term objectives.
- According to the state budget and its strategy, **the general government sector debt burden** is expected to grow due to the deficit, from 23.6 per cent of GDP in 2024 to 24.3 per cent in 2025 and to 26.4 per cent by 2028. It is important to keep the debt burden below 30 per cent to ensure the state's capacity to support the economy in new crises and in situations of price pressure caused by inflation. Compared to the European Union, Estonia's general government sector debt burden remains relatively low, which, together with low energy import needs and membership in NATO, the European Union, and the euro area, supports Estonia's creditworthiness and resilience to resist the effects of Russia's war.
- **Using the potential of the performance-based state budget in decision-making** to manage the state more efficiently and effectively. For this, a balance must be found between the transparency of the state budget, the explanation of budget data, and its comprehensibility.
- **To avoid overregulation in the financial services sector**, Estonia must focus in EU negotiations on introducing more liberal requirements, proportionate rules based on company size or leaving some requirements unestablished. This **would diversify the number of financial service providers** in the Estonian financial market.
- **By the end of 2024, the volume of second-pillar pension funds amounted to 5.9 billion euros** (compared to 4.95 billion euros in 2023). To maintain and increase the number of contributors to the second pillar, pension savers must be informed about the importance of focusing on long-term goals. **Limited competition in the pension contract market** is a concern – only one provider remains actively operating. In combination with a low-interest environment, this does not favour the best options for clients interested in long-term insurance products.
- Personnel policy must consider the general decline and aging of the working-age population. According to population forecasts, the working-age population is expected to decrease by about six per cent by 2040. The goal is to keep the proportion of government sector employees in the working-age population stable, but due to recent crises, this target has not been met. In 2023, the government sector constituted 15.8 per cent of the working-age population (the target was 15.2 per cent).
- **The provision of state support services** must become **more efficient** to maintain the proportion of the general government sector employees in the population at the targeted level.
- Organising **public procurements** is considered complex and the process needs simplification. The European Commission has initiated a reform of public procurement directives, aiming among other things at **simplification** and reducing bureaucracy.
- **Financial autonomy of local governments is low**, which negatively affects the efficiency, quality, and accessibility of local services.
- **Local governments' capacity to cope with challenges arising from societal and state development is low.** As a result, in certain areas tax revenues are lower, basic service provision is unequal and more difficult, environmental pressure from sprawl is higher, and per capita costs for service provision and infrastructure maintenance are also higher.
- **Increasing local governments' decision-making power** and transferring additional responsibilities from the state to the local level.
- Considering Estonia's small territory, domestic regional differences within Estonia are large in comparison with the rest of the European Union and OECD countries. Monitoring of metrics for regional

disparities shows that the 'Estonia 2035' goals for regional balance are not being realised.

- **In the field of spatial creation, a strategic vision must be developed and implementation mechanisms created** across sectoral policies. In addition, strategic vision is required for the use and maintenance of the state land portfolio.
- **In the land and spatial creation sector, it is critically important to carry out a resource-intensive digital transformation.**
- **The focus is on simplifying planning procedures to streamline development activities** and preparing national special spatial plans for the development of renewable energy and ensuring energy security.
- One of the challenges of the National Archives is **the integration and consolidation of archival systems, which has progressed somewhat more slowly than planned**.

Detailed information on the implementation of the performance area can be found on the websites at:

About the ministry | Ministry of Finance (fin.ee)

Strategic reference documents and programmes | Ministry of Education and Research (hm.ee)

Economic and staff information | Government Office

Strategic reference documents | Ministry of Regional Affairs and Agriculture (agri.ee)

Table 25. Target levels of metrics in the performance area of effective state and the actual performance

Metric	Performance in 2022	Performance in 2023	Performance in 2024	Target level in 2024	Target level in 2025	Target level for 'Estonia 2035'
Proportion of the general government sector expenditure of GDP (not increasing)* Source: Eurostat	40.0%	43.7%	44.5%	44.9%	44.9%	39%
Proportion of the general government sector employees in the working-age population aged 20–64 Source: Ministry of Finance	15.7%	15.8%	-	15.2%	15.2%	15.2%
GDP per capita generated outside Harju County of the European Union average[76] Source: Statistics Estonia	-	56.4%	-	> 67%	> 68%	≥ 67%

*Statistics Estonia regularly reassesses and retroactively adjusts economic and financial indicators; the details are subject to change.

Table 26. Implementation of the budget of the performance area 'Effective state' (in thousands of euros)

	Implementation of the budget 2023	Initial budget for 2024	Final budget for 2024	Implementation of the budget 2024	Initial budget for 2025	STATE BUDGET STRATEGY 2026
Expenditure	–452,383	–574,544	–612,968	–578,827	–508,449[77]	–533,644

Source: State budget implementation report 2024, State Budget Act 2025, State Budget Strategy 2025–2028

1.2.13 State governed by the rule of law

Objective of the performance area

Legally certain, well-functioning country with a low crime rate and a high-quality justice system

Strategic development documents

Basic Principles for Legislative Policy until 2030

General Principles for Criminal Policy until 2030

Programme of the performance area

Reliable and effective judicial area

Area of government related to the performance area

Area of government of the Ministry of Justice and Digital Affairs

OVERVIEW OF THE PERFORMANCE AREA

Positive developments

- The digitisation of the legal system continued with the aim of making **policy-making data-driven and access to digital legal services and proceedings user-friendly**. High-quality legislation improves the competitiveness of the state and supports the general

[76] Data based on the Purchasing Power Standard (*PPS*) will be available later. Excluding the Purchasing Power Standard, the indicator in current prices was 56.4 per cent in 2023.

[77] From 2025, the new name of the performance area is 'Public administration'.

functioning of society. Rules that take account of innovation and ensure flexibility reduce bureaucracy, save time and money, and promote economic activities.

- In 2024, one of the main keywords in legislative policy was simplification, in other words, **how to reduce bureaucracy and administrative burden** to ensure a free and competitive business environment. Specific actions were defined to reduce administrative burden and bureaucracy through legislative measures. One of the key principles is that whenever a new requirement imposing an administrative burden on businesses, non-profit organisations or citizens is introduced, an existing requirement must be repealed. This rule is planned to be implemented in 2025.
- Amendments to election laws **clarified the rules for electronic voting** to make them more understandable and transparent for citizens. Additionally, a provision was introduced to allow **voting via smart devices** in the future and to enable voter identification using Smart-ID.
- **The legal deadline for responding to memoranda and requests for explanations was shortened from 30 days to 15 days**, making communication and administrative processes with the state faster.
- In cooperation with stakeholders, an analysis was conducted on issues related to the implementation of the Public Information Act (for example, the obligation to disclose information, the grounds and duration of access restrictions). The resulting analysis aimed **to improve the accessibility and transparency of public information** and to propose appropriate legal solutions to achieve this.
- **To enhance the security of personal data related to people's homes**, access in the Land Register query system was restricted – ordinary users can no longer search for information in the e-Land Register by a natural person's name or personal identification code in an individual query. However, the public nature of the Land Register remains in place.
- Activities to **improve the quality of legal education** continued, including the succession programme for legislative lawyers, which aims to support the development of new professionals in the field of legislative drafting.
- **Continued modernisation and improvement of the judiciary system** is essential. High-quality justice must be available in the whole country, but to ensure this, the administration of justice must become more flexible and less burdensome for litigants.
- To enhance the efficiency of court operations, **efforts focused on simplifying procedures and transferring routine judicial tasks outside the courts** (for example, divorce proceedings and extending order for payment procedures to maintenance cases). Other key developments included the continued implementation of centralised support services, the improvement of high-quality data environments, and the further development of digital solutions. In 2024, draft acts were prepared to streamline civil, administrative, and criminal court proceedings. The outdated static statistics environment was completely replaced with the unified Data and Analytics Environment for the Justice System (JAAK), and Estonia transposed the EU Directive on Representative Actions for the Protection of Collective Interests of Consumers. Efforts were also made to develop liberal professions. This included the preparation of a concept for revising enforcement agents' fees and addressing profession-related issues, as well as a draft amendment to the Notary Fees Act, which, among other things, establishes the basis for creating a register of powers of attorney.
- In prisons and probation services, paper-based case files were **completely replaced with digital solutions**, supported by the development and implementation of several new e-services. Prisoners were provided access to an e-shop for purchases and the ability to use the e-file system for communication with the courts. A video conferencing portal was introduced to help prisoners maintain contact with their families and secure mobile phones were deployed to enable communication with prisoners in open prisons while they are outside the facility.
- To support probation services, a **probation portal** was launched, allowing individuals under supervision to communicate directly with their probation officers and to track the conditions and obligations of their probation period.
- **The declining trend in the number of prisoners and probationers continued** (an annual decrease of about 10 per cent). Prison infrastructure was optimised and the Building E of Tartu Prison was closed. This resulted in the elimination of approximately 90 positions and the redundancy of 60 employees. Most inmates were relocated to Tallinn Prison. To reduce costs, the Prison Department vacated the building at Jaama 7 in Jõhvi and will henceforth operate from Viru Prison. Additionally, an analysis of renting out vacant prison capacity was initiated in 2024.
- Work continued to **make the criminal justice system efficient, including digital, fast, independent, and victim-friendly**. A pilot project was conducted with the long-term goal of making criminal proceedings fully digital, and in parallel, a new initiative was launched to further strengthen support services for victims of crime. Several important analyses were carried out to inform legislative and practical reforms, including an analysis of elderly crime victims, a study on the feasibility of differentiating penalties within criminal provisions related to the illegal handling of narcotic and psychotropic substances, a review of law enforcement practices concerning shop thefts, and a user survey among prisoners. Draft laws were submitted to the *Riigikogu* to improve criminal procedure efficiency, to regulate the handling of sanctionable misdemeanours, and to amend the Anti-Corruption Act.
- In 2023, a single digital environment for pre-trial criminal proceedings was implemented, and in 2024, a pilot project for digital criminal proceedings was launched. This is a key step toward **the transition to a fully digital criminal justice process**.
- The work will continue on **the digitisation of the judicial chain**, with the improvement and deployment of new working environments that will ensure digital access to the necessary information and exchange of data. In designing citizen-centred services, it is necessary to make access to digital legal services and procedures more user-friendly and to create more simple and accessible ways to help. In addition to digitisation and citizen-centred services, the priority is

the creation of a competitive business environment, the reduction of bureaucracy, and the improvement of judicial efficiency.

Challenges

- **The transposition of European Union Directives and the handling of new European Union initiatives bring additional workload.** In addition, several European Union regulations must also be implemented, most of which require amendments to national legislation.
- To reduce bureaucracy and administrative burden, a 'one-in, one-out' rule will be introduced – **for every new regulation that imposes an administrative requirement on businesses or citizens, one existing requirement will be repealed**.
- A key challenge for the coming years is adapting to the declining number of prisoners and probationers while **continuing to improve the efficiency of the prison service**, including through the further development of digital solutions. If current trends continue, the prison service will need to further consolidate its activities.
- Negotiations are underway with Sweden and the Netherlands concerning **the prison lease**, both to meet cost-reduction targets and to explore opportunities for increasing state revenue. If the prison lease is implemented, one prison (Tartu) will be allocated for the use of foreign inmates and approximately 200 additional staff will be recruited.
- Other ongoing initiatives include **reforming the fields of execution proceedings and insolvency** and implementing **the court system reform**, as well as launching an updated, **more user-friendly *Riigi Teataja***.
- **Continuing the development of digital criminal proceedings and data-driven criminal policy**, which allows information to be entered and accessed digitally during proceedings. The goal is to ensure that penal policy is truly evidence-based, not merely manually analysed. This allows policy decisions affecting public safety to be made on a solid data-driven foundation.

Detailed information on the implementation of the performance area can be found on the website Strategic framework documents | Ministry of Justice and Digital Affairs

Table 27. Target levels of metrics in the performance area of state governed by the rule of law and the actual performance

Metric	Performance in 2022	Performance in 2023	Performance in 2024	Target level in 2024	Target level in 2025	Target level for 'Estonia 2035'
Rank in the Freedom in the World ranking Source: Estonia: Freedom in the World 2023 Country Report | Freedom House	Status 'free'	Status 'free'	Status 'free'	Status 'free'	Status 'free'	-
Position of Estonia's competitiveness Source: World Economic Forum	22	26	33	22	-	Change in economic target C
Number of people who feel safe in their neighbourhood after dark Source: Ministry of Justice	71%	70%	70%	> 76%	> 70%	Change in population sustainability, health, and social protection (people) target C
World Justice Project Rule of Law Index	0.82	0.82	0.82	0.81	0.81	Change in the target B for governance concerning 'Estonia 2035'
Estonian position in the international rule of law index in the subcategory of the criminal justice system	10	9	9	< 15	< 15	Change in the (human) target C for public sustainability, health, and social protection concerning 'Estonia 2035'

Table 28. Implementation of the budget of the performance area 'State governed by the rule of law' (in thousands of euros)

	Implementation of the budget 2023	Initial budget for 2024	Final budget for 2024	Implementation of the budget 2024	Initial budget for 2025	STATE BUDGET STRATEGY 2026
Expenditure	–212,311	–218,265	–235,791	–215,422	–207,535	–200,650

Source: State budget implementation report 2024, State Budget Act 2025, State Budget Strategy 2025–2028

1.2.14 Internal security

Objective of the performance area

Estonian people feel that they live in a free and safe society where everyone's value, involvement and contribution to the security of the community build one of the safest countries in Europe. The living environment is being improved, threat to life, health, property and the constitutional order is being reduced, and prompt and expert assistance is being ensured

Development plan of the area

Internal Security Development Plan 2020–2030

Programme of the performance area

Internal security programme

Area of government related to the performance area

Area of government of the Ministry of the Interior

OVERVIEW OF THE PERFORMANCE AREA

Positive developments

- **In 2024, a total of 88 per cent of people considered Estonia a safe country.** People's confidence in Estonian security according to the 2024 data is demonstrated by a relatively small proportion of the population who consider crime (two per cent), terrorism (one per cent) or immigration (eight per cent) to be the state's main concerns.
- **Confidence in the internal security authorities remains high.** The Police and Border Guard Board was trusted by 85 per cent, the Rescue Board by 96 per cent, and the Emergency Response Centre by 95 per cent of people. To ensure that internal security and law enforcement institutions can respond effectively to threats, accidents, and crises, and prevent them, there is a need for sufficient staff, worthy remuneration, and appropriate training. To this end, the personnel strategy of the Ministry of the Interior was updated for the next four years. The Estonian Academy of Security Sciences increased the number of police training positions. In the 2024/2025 academic year, the number of police training positions rose to 365. This is an increase of 140 positions compared to the previous year.
- **Population protection and crisis preparedness were improved.** In 2024, the Civil Protection Research and Development Center was established at the Estonian Academy of Security Sciences to improve training for civil protection personnel. The SitRep crisis communication platform was enhanced to ensure continuous operation and expanded functionality. To improve planning for large-scale evacuations, a Pan-Baltic working group was established. The safety alert system was expanded with new channels: the first phase of the siren network was completed and the system was integrated with the eesti.ee mobile application. The crisis management capacity at the local government level was strengthened, and work began on amendments to the Emergency Act and other laws regulating the organisation of safety alerts and sheltering, as well as civil protection training. An online civil protection training course was completed.
- **On the eastern border, construction work continued.** At the land border, 80 per cent of the physical fence and border infrastructure was completed and 23.5 kilometres are covered by technical surveillance. Five new monitoring positions were established along the Narva river border, the Narva cordon was renovated, and a new command post was built adjacent to the Narva cordon.
- To cope with increased migration pressure, **migration procedures were streamlined and migration control capacity was strengthened**. An Estonian implementation plan for the European Union asylum and migration management legal framework reform was prepared.
- **In order to increase internal security, regulations were strengthened to limit the Russian war propaganda**, disinformation, and hostile influence activities in Estonia and the European Union in general. **Several foreign citizens were expelled from Estonia who posed a threat to Estonian security.** In cooperation with online entrepreneurs, extremist content was removed and online security was increased. The situation of radicalisation prevention in the Estonian public sector was also mapped. Security crisis response capacities, and cross-agency and international cooperation were strengthened.

Challenges

- **Ensuring internal security requires a sufficient number of motivated, skilled, and committed personnel.** Although several internal security indicators improved in 2024, the main challenge for the coming years is to secure the succession of qualified personnel, competitive remuneration, and suitable working conditions in the security sector.
- **Improving crisis preparedness, including enhancing civil protection.** In the coming years, crisis management will be improved at the national, municipal, community, and people level. Each has a role to play in a crisis, and each institution must be prepared to manage crises in its own area.
- **In order to be prepared for crises, it is important to develop the field of situational awareness.** The crisis information exchange platform SitRep is being developed, and its resilience is being enhanced to ensure usability in any crisis situation, taking into account the significantly increased number of users. In addition, analytical capabilities are being developed to produce forecasts and a unified threat picture.
- **The continuity of the area of government of the Ministry of the Interior in providing critical services in a crisis situation will be increased.** In order to solve crises, volunteers are involved in civil protection and volunteers with a crisis role are dealt with.
- **In order to develop civil protection, it is important to increase crisis awareness and independent preparedness of the population.** Prerequisites are created so that every resident can do better in a crisis, know their role and know how to make their home more crisis-proof. For this purpose, information activities, training, risk communication, and exercises are organised as well as citizens' initiatives and apartment associations are supported. **To increase the crisis management capacity of local governments**, local

governments are supported financially, advised, trained, and included in crisis exercises.

- **A nationwide rapid and comprehensive threat notification system for residents will be developed, including sirens, SMS notifications, and other channels.** The operational continuity of the Rescue Board's services is being strengthened so that the Rescue Board is able to handle rescue and demining operations, safety alerts and crisis communication, large-scale evacuation, sheltering, and support for local governments in crisis situations.
- **Completing the construction of the eastern border in full.** A better protected border helps to increase security and prevent illegal migration, human trafficking, cross-border crime, and smuggling. This is a landmark and important step for Europe's security, as it will make the entire Schengen area even safer than it has been so far. Based on the decisions of the Government of the Republic and external funding, up to 170.1 million euros are planned for the development, construction, and maintenance of the eastern border and border infrastructure until 2029. In addition to the land border infrastructure, it is necessary to equip the entire eastern border with modern technical surveillance systems, including the development of drone surveillance and control capabilities.
- **Strengthening internal security and implementing a migration policy that both support Estonia's development and mitigates security threats.** The challenging security situation, including Russia's aggressive foreign policy ambitions and the non-military and military, as well as overt and covert means used to achieve them, require higher expectations to strengthen internal security. This involves focusing on the prevention and counteraction of hostile intelligence activities in Estonia and on monitoring and enforcing sanctions. The prevention and deterrence of the misuse of migration will also be enhanced and the necessary information systems will be developed.
- **The extent of harm to life, health, and property remains concerning.** To improve the situation, local governments are encouraged to take a more active role in creating a safe living environment. A scientific approach is applied to violence prevention, targeted shaping of minors' attitudes, and prevention of domestic violence.

Detailed information on the implementation of the performance area can be found on the website Internal Security Development Plan 2020–2030 | Ministry of the Interior

Table 29. Target levels of metrics in the performance area of internal security and the actual performance

Metric	Performance in 2022	Performance in 2023	Performance in 2024	Target level in 2024	Target level in 2025	Target level in 2030
Proportion of people who consider Estonia to be a safe country Source: Ministry of the Interior, public poll on internal security	90%	90%	88%	≥ 94%	≥ 94%	≥ 94%
Share of residents involved in ensuring internal security Source: Ministry of the Interior, public poll on internal security	27%	-	27%	≥ 25%	≥ 25%	30%
Number of deaths from injury Source: Statistics Estonia	825	806[78]	-[79]	< 640	< 630	< 630
Proportion of residents who consider the main concern of the state to be:						
- crime	1%	1%	2%	≤ 3%	≤ 3%	≤ 3%
- immigration	10%	9%	8%	≤ 12%	≤ 12%	≤ 12%
- terrorism Source: Standard Eurobarometer	1%	1%	1%	≤ 1%	≤ 1%	≤ 1%
Reliability of internal security authorities:						
- Police and Border Guard Board	84%	88%	85%	≥ 89%	≥ 89%	≥ 89%
- Rescue Board	93%	97%	96%	≥ 97%	≥ 97%	≥ 97%
- Emergency Response Centre Source: Reliability study of market research institutions	93%	96%	95%	≥ 94%	≥ 94%	≥ 94%

[78] The 2023 data is published for the first time.
[79] Data is available in June 2025.

Table 30. Implementation of the budget of the performance area of internal security (in thousands of euros)

	Implementation of the budget 2023	Initial budget for 2024	Final budget for 2024	Implementation of the budget 2024	Initial budget for 2025	STATE BUDGET STRATEGY 2026
Expenditure	–512,029	–492,365	–555,098	–511,278	–505,313	–499,459

Source: State budget implementation report 2024, State Budget Act 2025, State Budget Strategy 2025–2028

1.2.15 Foreign policy

Objective of the performance area

Preservation of the Estonian nationality, language and culture through the ages, the security of the independence and autonomy of the Republic of Estonia in international relations; growth of welfare in Estonia and protection of the Estonian community abroad; Estonia's growing contribution to global sustainable development

Development plan of the area

Foreign Policy Development Plan 2030

Programme of the performance area

Foreign policy programme

Area of government related to the performance area

Area of government of the Ministry of Foreign Affairs

OVERVIEW OF THE PERFORMANCE AREA

Positive developments

- **Supporting Ukraine in resisting Russian aggression.** Russia continued its campaign to exhaust Ukraine and break its will to resist in the third year of the war. Although Russia gradually but steadily seized more territory in Ukraine and still believed that time was on its side, it is crucial to provide Ukraine with assurance that allied support and assistance are sustainable, continuous, and long-term. In 2024, progress was made in Ukraine's European Union accession process: in June, the negotiation framework was adopted and the first intergovernmental conferences were held. At the NATO summit in Washington, the alliance took the lead in coordinating military aid and training for Ukrainian soldiers, as well as in developing and integrating the Ukrainian armed forces with NATO. Projects worth 11.3 million euros were implemented to support Ukraine's reconstruction, accession to the European Union, and national development. Nearly 1.2 million euros were directed as humanitarian aid to the most vulnerable people. In 2024, work began on establishing a commission to handle claims for war damages caused to Ukraine, to which Estonia actively contributed.
- **Strengthening deterrence and defence posture, as well as bilateral relations with Estonia's closest allies, remained a priority.** The year 2024 was marked by the systematic targeting of critical Baltic Sea infrastructure and the broader awareness and publicisation in Western countries of hybrid attacks carried out by Russia against democratic states. The resolve of allies in taking responsive measures increased, with Estonia being one of the leaders in the process. At the NATO Washington summit in July 2024, the idea initiated by Estonia to accelerate the development of critical capabilities and the procurement of ammunition needed for the implementation of defence plans in the coming years was supported. Estonia responded to the targeting of critical Baltic Sea infrastructure in close cooperation with allies and partners.
- **There was a deepening of Nordic-Baltic and broader regional cooperation.** The cooperation among Nordic-Baltic (NB8) countries has historically been strong, but in recent years, especially following Russia's large-scale aggression in Ukraine, it has reached a completely new level. The accession of Finland and Sweden to NATO has helped create an integrated regional security space. The Nordic-Baltic group has become the primary forum for coordinating Estonia's international activities. Nordic-Baltic heads of state and foreign ministers have issued joint statements on key political issues. In 2024, Estonia assumed the Presidency of the Council of the Baltic Sea States. The Arctic Action Plan was also approved.
- **Support was provided to entrepreneurs for identifying new export markets, along with activities related to the European Union's trade policy.** The Ministry of Foreign Affairs contributed to increasing the market awareness of Estonian enterprises by introducing new export markets where Estonia could have stronger potential. Target market seminars for the United States of America and Denmark were held in cooperation with Ettevõtluse ja Innovatsiooni Sihtasutus; a business centre was opened in Washington and centres in London and Paris were completed. 12 new honorary consulates were opened. In total, 400 different enterprises participated in events organised by the Ministry of Foreign Affairs in 2024.
- **Reliable connectivity, climate change, and cyber and digital diplomacy.** The Ministry of Foreign Affairs contributed to Estonia's electricity grid desynchronisation from the Russian network. Reliable connections are linked to the objectives of the Three Seas Initiative. In 2024, the European Commission, which had just begun its term, brought new momentum to the implementation of the Global Gateway strategy. The Ministry of Foreign Affairs also co-organised the influential Tallinn Digital Summit. Estonia and its allies launched a cyber support platform for Ukraine called the Tallinn Mechanism. A key event in climate diplomacy was the UN Climate Conference (COP29) in Baku.
- **Better consular services, the preservation of global Estonian identity, and cultural and public diplomacy.** In 2024, a total of 61,747 consular actions were carried out, which is 13 per cent less than in 2023. The share of digital solutions in consular

services increased. Key areas for preserving global Estonian identity included more systematic organisation of Estonian language instruction abroad, engaging young people of Estonian origin living abroad, and developing the Global Estonian portal.

Challenges

- **Russia's war of aggression against Ukraine continued**. Existentially important issues are at stake for Estonia, as the outcome of the war will determine European security arrangements for many years. Support for Ukraine and countering aggression remained Estonia's number one foreign policy priority. With the exception of Hungary, the European Union, the United States, and other Western countries remained united in supporting Ukraine, although important decisions were often delayed. The war in Ukraine has clearly highlighted the strategic deficiencies in European defence. The increase in defence spending must be faster so that its level corresponds to the changed security situation. Estonia's own defence expenditure exceeded 3 per cent of GDP for the first time in 2024.
- **Deterring Russia and its allies in the aggression against Ukraine.** The priority in 2024 remained raising the cost of aggression for Russia through the imposition of additional sanctions. To this end, we worked closely with like-minded countries, mainly the Nordic and Baltic countries. The 15th sanctions package approved in December was largely realised thanks to Estonia's pressure and major substantive contribution – nearly half of the individual sanctions were proposals submitted by Estonia. A new issue that emerged was the suppression of Russia's shadow fleet activities. Significant decisions were made concerning the use of Russia's frozen assets to support Ukraine. In October, the European Union and the G7 countries agreed to provide Ukraine with a loan of approximately 50 billion US dollars, secured by Russia's frozen state assets.
- **The validity of international rules and the interest-driven policies of power centres.** The year 2024 confirmed that international policy based on the UN Charter, international norms, and institutions does not function effectively. Increasingly, various regional power centres became prominent, and the confrontation between democratic Western countries and Russia, China, Iran, and North Korea intensified. For Estonia, the most negative trend was North Korea's involvement as Russia's ally in the war in Ukraine. In 2024, we continued work with our African focus countries (Kenya, Uganda, Namibia, and Botswana). Estonia remained actively engaged, particularly in the UN, the Council of Europe, the Organization for Security and Co-operation in Europe (OSCE), and other organisations.
- **EU enlargement and the rule-of-law agenda.** Estonia has a strong strategic interest in EU enlargement, where in 2024 progress was made concerning several countries – Ukraine, Moldova, Albania, and Montenegro. It is very important that candidate countries share common values with the European Union, including alignment with the common foreign and security policy and adherence to sanctions against Russia. Estonia strongly supported Moldova in continuing its democratic course. A significant setback occurred when Georgia's Eurointegration stalled due to the domestic political choices of the national leadership. The procedure based on Article 7 of the European Union Treaty (addressing the respect of the EU's fundamental values) concerning Hungary continued.

Detailed information on the implementation of the performance area can be found on the website Foreign Policy Development Plan 2030 of the Government of the Republic of Estonia | Ministry of Foreign Affairs

Table 31. Target levels of metrics in the performance area of foreign policy and the actual performance

Metric	Performance in 2022	Performance in 2023	Performance in 2024	Target level in 2024	Target level in 2025	Target level for 'Estonia 2035'
Regional security Source: Ministry of Foreign Affairs	Unstable	Unstable	Unstable	Stable	Stable	-
EU Cohesion[80] Source: European Council on Foreign Relations	6.7	6.7	-	6.8	6.8	-
Estonia's position in the competitiveness ranking (67 countries)[81] Source: IMD/Competitiveness	22	26	33	25	25	-
Estonian presence and influence in the world Source: Elcano data from Statistics Estonia; detailed data: Elcano.	84	84	-	≤ 89	≤ 89	≤ 89
Estonia's presence and influence in the world (position among countries with up to five million inhabitants) Source: Elcano Global Presence Report	11	11	-	≤ 11	≤ 11	-

[80] EU Cohesion Monitor EU Cohesion Monitor | ECFR. The Cohesion Monitor was last updated in 2020 and will not be updated further.
[81] Compared with the 2023 consolidated annual report of the state, the metric has been replaced.

Metric	Performance in 2022	Performance in 2023	Performance in 2024	Target level in 2024	Target level in 2025	Target level for 'Estonia 2035'
Proportion of development cooperation in GNP Source: OECD	0.54%	0.28%	0.20%	0.23%	0.26%	-

Table 32. Implementation of the budget of the performance area 'Foreign policy' (in thousands of euros)

	Implementation of the budget 2023	Initial budget for 2024	Final budget for 2024	Implementation of the budget 2024	Initial budget for 2025	STATE BUDGET STRATEGY 2026
Expenditure	–113,306	–127,524	–130,562	–116,781	–117,710	–110,247

Source: State budget implementation report 2024, State Budget Act 2025, State Budget Strategy 2025–2028

1.2.16 Security and national defence

Objective of the performance area

Plausible deterrence against a military aggressor. Ability to resist an attack with the actions of the entire society. Rapid and effective implementation of collective defence and international crisis management, if necessary.

Development plans of the area

National Defence Development Plan 2022–2031

Programmes of the performance area

Military national defence and deterrence

Area of government related to the performance area

Area of government of the Ministry of Defence

OVERVIEW OF THE PERFORMANCE AREA

Positive developments

- Russia's ongoing aggression against Ukraine and the general deterioration of the global security environment have placed Estonia in a highly challenging security situation. As a result, the rapid development of military national defence is indispensable for the survival of the Estonian state, both today and in the near future. **Support for the development of national defence is strong at both the political level and among the population.**
- **In 2024, Estonia's defence expenditure amounted to 1.31 billion euros** (3.3 per cent of the projected GDP), and over the next four years, national defence spending is expected to exceed three per cent of GDP. Given the critical nature of the security situation, it is important to find opportunities in the coming years to increase defence spending significantly above three per cent of GDP.
- **Defence capability development** focuses on creating new capabilities, maintaining existing ones, procuring equipment and stocks, including ammunition, training, increasing defence readiness, ensuring a sufficient number of active servicemen, and establishing defence-related infrastructure. **In 2024, 74.5 per cent of all defence expenditure was directed to core military activities.** Projects for the development of new capabilities have been outlined and their implementation has largely proceeded according to plan.
- **In recent years, over 4 billion euros worth of ammunition has been either procured or is currently in the procurement process.** In 2024, the Government of the Republic decided to allocate additionally 1.6 billion euros for the procurement of ammunition until 2031.
- **The state's preparatory work related to the creation of a defence industrial park in Estonia and the start of ammunition production has proceeded as planned.** The state special spatial plan is scheduled to be adopted in August 2025, with ammunition production set to begin in 2027.
- To increase readiness for military operations, **the establishment of a Baltic defence line along the border with Russia and Belarus** was initiated together with Latvia and Lithuania. At the beginning of 2024, the defence ministers of the three countries signed a corresponding agreement.
- In 2024, a major exercise (Spring Storm) and two additional training gatherings were conducted. **A total of 14,115 reservists were called up for reserve service in 2024.**
- **A total of 3,867 conscripts entered military service in 2024, including 49 women.** The target for the growth of active servicemen, as set out in the national defence development plan, was achieved.
- Efforts to develop the population's willingness to defend are aimed at implementing activities that influence the defence motivation of different societal groups. Since Russia's invasion of Ukraine, the willingness of Estonian residents to defend the country has remained consistently high, although signs of fatigue have begun to appear. **Public support for armed resistance has remained above 80 per cent over the past three years.**
- According to their abilities and skills, nearly 61 per cent of the population would certainly or rather be willing to participate in defence activities individually. **In the coming years, efforts must be made to ensure that the will to defend of the Estonian population does not decline.** Particular attention must be paid to activities that strengthen and increase the will to defend of different population groups (youth, employers, reservists, and their family members).

- **In developing defence cooperation**, the focus is on concluding agreements with allied countries to ensure Estonia's defence solution and on activities necessary to guarantee the allied military presence and rapid deployment capability. In 2024, the following bilateral agreements were concluded: a Memorandum of Understanding on strengthening military cooperation between Estonia and the United States of America and a bilateral Defence Cooperation Roadmap between Estonia and the United Kingdom.
- In 2024, **the expansion of the Nursipalu training area continued**. **The Reedo military camp was commissioned**, which is suitable for receiving and accommodating units of any allied country as well as, if necessary, units of the Estonian Defence Forces, both permanently and temporarily. **Development of the Ämari Air Base continued** and the repair of the movement area was carried out – a task of critical importance for securing Estonian airspace on a 365/24/7 basis within the NATO air policing mission.
- As part of **NATO's** rotational **air defence** model, in August 2024, an air defence unit of the Spanish Armed Forces arrived in Estonia with the medium-range air defence system NASAMS (National Advanced Surface-to-Air Missile System). This contributes to strengthening the eastern flank of the defence alliance and protecting strategic objects.
- In 2024, the international exercise 'Pikne' took place, during which **the rapid deployment of additional allied units to Estonia was practised** in support of the NATO multinational battlegroup stationed here and the Estonian Defence Forces in a wartime situation.
- **Assisting Ukraine in its fight against the Russian aggressor represents a direct security interest for both Estonia and NATO allies.** The continuation of the war in Ukraine destabilises the global security situation and may create new security threats for Estonia and the Baltic region as a whole.
- **Estonia provides Ukraine with defence assistance equivalent to 0.25 per cent of GDP**, with the aim of continuing support at the same level in the future. As part of aid packages, Estonia donated weapons, equipment, and ammunition to Ukraine in 2024. Since the beginning of the war, Estonia has organised training for over 1,500 Ukrainian servicemen both in Estonia and abroad.
- In 2024, initiatives begun in 2023 to support Ukraine were continued together with allies. **By the end of 2024, over one million shells had been delivered to Ukraine.** With the support of the IT coalition, Ukraine received ICT assistance equivalent to approximately 103 million euros, of which Estonia contributed 2.5 million euros in 2024.

Challenges

- **Russia's strategic objectives have not changed** – they continue to pose a threat to NATO. After the war in Ukraine, Russia could quickly regain its military capabilities, potentially within a few years in priority Western areas. Russian forces are currently larger than at the start of the war, and according to various public sources, their defence expenditures this year have risen to nearly nine per cent of GDP, making the security situation critical, with no signs of stabilisation in the near future. **For Estonia, it is of critical importance to rapidly implement the NATO defence plans and capability targets relevant to the country.** This requires, on one hand, allocating additional financial resources to develop defence capabilities and, on the other hand, enhancing the administrative capacity of defence sector institutions.
- **Helping Ukraine to achieve victory** – the war in Ukraine will determine transatlantic security for the coming decades. The survival of a free Ukraine depends on the help of the free world, including the contribution by Estonia. Estonia will continue to support Ukraine both internationally and by allocating 0.25 per cent of GDP from defence expenditure.
- Considering the changed security environment, the Russia-Ukraine war, and the enormous expenditure of ammunition in this conflict, **the development of the defence industry** based in Estonia is of key importance for Estonia's defence capability – both in terms of the production of ammunition and the development of innovative defence and security products. In addition, an internationally competitive and highly developed defence industry contributes to Estonia's economic growth and strengthens allied relations through export transactions and international cooperation projects.

Detailed information on the implementation of the performance area can be found on the website Framework documents and legislation | Ministry of Defence

Table 33. Target levels of metrics in the performance area 'Security and national defence' and the actual performance'[82]

Metric	Performance in 2022	Performance in 2023	Performance in 2024	Target level in 2024	Target level in 2025
The number of combat-ready units (manned, equipped, and trained) is determined according to the implementation plan of the National Defence Development Plan 2022–2031[83] Source: Ministry of Defence	Yes	Yes	Yes	Yes	Yes
Allied troops are permanently stationed in Estonia Source: Ministry of Defence	Yes	Yes	Yes	Yes	Yes

[82] No targets have been set for the performance area in the 'Estonia 2035' strategy.
[83] The specific target levels of the metric are classified as state secrets and public documents refer to the compliance of the implementation plan of the National Defence Development Plan 2022–2031.

Metric	Performance in 2022	Performance in 2023	Performance in 2024	Target level in 2024	Target level in 2025
Level of military defence spending of GDP according to the NATO method Source: Ministry of Defence	2.15%	3.04%[84]	3.32%	> 3.0%	> 3.0%
Readiness of the residents to participate in defence activities if Estonia is attacked[85] Source: Public poll survey	66%	64%	61%	> 55%	> 66%
Number of active servicemen at the end of the year (minimum)[86] Source: Ministry of Defence	3,335	3,514	3,687	3,656	3,766

Table 34. Implementation of the budget of the performance area of security and national defence (in thousands of euros)

	Implementation of the budget 2023	Initial budget for 2024	Final budget for 2024	Implementation of the budget 2024	Initial budget for 2025	STATE BUDGET STRATEGY 2026
Expenditure	–918,459	–1,016,578	–1,163,163	–931,745	–1,113,051	–1,311,856

Source: State budget implementation report 2024, State Budget Act 2025, State Budget Strategy 2025–2028

1.2.17 Culture and sports

Objective of the performance area

To shape a society that values creativity by preserving and promoting the Estonian national identity, researching, preserving and carrying cultural memory, and creating favourable conditions for the development of a viable, open and diverse cultural space and participation in culture

Physical activity and sports have an important and growing role in promoting the vitality of Estonians, creating a rich living environment, and shaping the good reputation of the Estonian state.

Strategic development documents

Cultural Development Plan 2021–2030

General Principles of Estonian Sports Policy until 2030

Programmes of the performance area

Cultural programme

Sports programme

Areas of government related to the performance area

Ministry of Culture

OVERVIEW OF THE PERFORMANCE AREA

Positive developments

- After years affected by various crises, **a significant increase in participation in cultural life was observed in 2023 – 79 per cent of the population of Estonia** participated in cultural life in 2023. This follows the decline in 2020 caused by the COVID-19 pandemic, returning to the very strong level of 2017.
- To increase regional accessibility of participation in culture and both the new generation of professionals and informed audience, **the Culture Backpacks** support measure has been implemented since 2022 aimed at enabling children and young people to visit theatrical performances, movie screenings, and museums as part of the study programme.
- **In 2024, preparations continued for the amendment of the Creative Persons and Artistic Associations Act**, including a proposal by the Ministry of Culture to the Cultural Affairs Committee of the *Riigikogu* to initiate a broad cultural-policy discussion on policy choices. In cooperation with the Ministry of Social Affairs, discussions were held on arranging rolling calculation of social tax.

[84] Statistics Estonia regularly reassesses and retroactively adjusts economic and financial indicators, so the details are subject to change.
[85] In 2023, the target levels of the metric 'Residents' readiness to participate in defence activities if Estonia is attacked' were changed from 2024. The previous target level of > 55 per cent was replaced by a target level of > 66 per cent from 2024, as the previous target level was not ambitious enough. The target level of > 55 per cent was already reached in 2020, and in 2022 and 2023 the actual level of the metric has been above 60 per cent.
[86] In 2023, the target levels of the metric 'Number of active servicemen at the end of the year (minimum)' were changed from 2024. The target level of the metric was adjusted based on the achieved level achieved so far and the predicted ability to increase the number of active servicemen and the ambition to reach the target level planned in the National Defence Development Plan by the end of 2027.

- **To safeguard the rights of creative individuals and improve their livelihood, the Copyright Compensation Fund was increased by one million euros in 2024**. Equally important is the system of providing support for creative activity and scholarships through professional associations from the state budget.
- **The 'Film Estonia' cash rebate fund has been successful**, aiming to encourage international film production and co-production projects coming to Estonia by refunding up to 30 per cent of eligible production costs incurred in Estonia. In 2023, the net impact of the Film Estonia measure on the Estonian economy was 8.7 million euros.
- **A legislative intent for amending the Estonian Public Broadcasting Act was prepared**, on the basis of which a draft Act is under development. The goal is to update the regulation concerning Estonian Public Broadcasting so that it can fulfil its role as a public media service provider in accordance with internationally agreed principles, offering content for a wide range of informational, educational, and entertainment purposes at any time, place, and platform.
- Further support for private media and the Estonian Public Broadcasting continued to bring Russian residents in Estonia to the common communication and information space.
- **In 2024, the implementation of the support measure for public library development projects, the 'Library Accelerator', continued.** The measure aims to improve the quality and accessibility of public library services in local governments, support the adaptation of spaces for community activities, and enhance the professionalism of library staff.
- In 2024, preparations for the public library reform continued, including the development of the relevant legislation. The goal of the reform is to create a fully functional library network for readers, both physically and digitally.
- **In 2024, the implementation of the 'Digital Cultural Heritage Action Plan 2024–2029' began**, aiming to make Estonia's cultural heritage digitally accessible and user-friendly to all interested parties while ensuring its secure preservation.
- **Estonia has cultural representatives in seven countries** to create opportunities for Estonian cultural organisations and creative persons to internationalise and to support the fulfilment of Estonian foreign policy goals.
- **In 2024, the European Capital of Culture programme was successfully carried out in cooperation with the City of Tartu**. The idea of the European Capital of Culture is to showcase Europe's cultural diversity and bring Europeans closer together. Holding the title provides the local government with numerous opportunities to promote both itself and its country.
- Important cultural and sports projects for the Ukrainian creative sector have been implemented with the support of the Emergency Ukraine Support Fund. Participation in Ukrainian reconstruction projects continues together with the Estonian Centre for International Development Cooperation and the Union of Estonian Architects.
- In 2024, the crisis management capacity of the ministry was strengthened, including taking over the functions of a vital service organiser, as from 2024 **there are two proactive government service organisers** within the ministry's administrative area – **Estonian Public Broadcasting and AS Levira**.
- In December 2024, two Estonian-related cultural elements were added to the **UNESCO Representative List of the Intangible Cultural Heritage**: **the eating** and preparation **of *mulgipuder*** in the Mulgimaa region and **the decoration of Pysanka Easter eggs** based on a joint Estonian-Ukrainian nomination.
- The implementation of the European Union funding period 2023–2027 measure for the development of the creative industries took place. Support continued for projects aimed at enhancing the export capacity and implementing the development plans of creative entrepreneurs with ambitious goals and growth potential. **The interim targets of the 2021–2027 European Union budgetary period performance framework have been achieved for the creative industries development measure** and the targets for the number of start-up entrepreneurs receiving non-financial assistance as well as the total number of beneficiaries have been exceeded.
- To ensure the sustainability of Estonian cultural life and to bring new innovative ideas into the cultural and creative sectors, support for creative research continued – the total budget for the 2024 call for proposals was 405,000 euros.
- The Estonian Cultural Research and Development Programme was implemented with a volume of one million euros, totalling 6.4 million euros for the years 2023–2026. 11 projects received support, including, for example, the Estonian Academy of Music and Theatre project 'Analysis of the data necessary for compiling the thematic-bibliographic catalogue of Heino Eller's works and creation of methodological foundations'; Tallinn University's project '(Audio)visual traces of the past in the Estonian Film Archive 1940–1965'; and the University of Tartu's project 'Young voices in the digital age of poetry: poetics, attitudes and identities'.
- To promote physical activity, **an action plan for the promotion of physical activity**[87] has been prepared in cooperation between the Ministry of Culture, the Ministry of Social Affairs, and the Ministry of Education and Research, which has been publicly available online since 2024.
- The Foundation of Sports Education and Information carried out a study[88] in 2024, the aim of which was to map the sports conditions in basic and upper secondary schools.
- In 2024, Estonian athletes **won a total of 273 medals in 42 fields of sports at international championships – 80 gold, 73 silver, and 120 bronze**. Although no medals were won at the Paris Olympic Games, Estonian athletes achieved top-three finishes in Olympic disciplines seven times at the World and European Championships.
- In 2024, for the first time, a call for proposals was implemented **to support the organisation of major sporting events**. Among the supported

[87] Action plan – Competence Centre for Physical Activity
[88] Koolide-sportimistingimuste-kaardistamise-aruanne-1.pdf

competitions, the European Rally Championship round took place in 2024. The state's support amounted to 1.1 million euros, and according to an economic impact analysis, the event brought 2.4 million euros of foreign revenue into South Estonia, generating at least 0.4 million euros in VAT for the state. The media coverage value of the event is estimated at 2.9 million euros.

- In 2024, the Estonian Olympic Committee adopted **the Estonian Sports Ethics Rules**, establishing a unified approach across the entire Estonian sports sector.
- In 2024, the Ministry of Culture prepared **an analysis and recommendations for developing a nationwide network of outdoor fitness and wellness centres to provide opportunities for physical activity in open air**. Feedback collected during the analysis indicates that supporting and developing regional wellness centres has proven effective and should continue in the future.
- In 2024, the tenth year of the coach labour expense support measure was celebrated, and **the state allocated the largest support amount under the measure – 12.2 million euros – for labour expenses of coaches**. Nevertheless, coach salaries and wages remained 1,400 euros both last year and this year.

Challenges

- **Improving the working conditions of creative and cultural workers, including those in hobby education.** Considering developments in the economic environment, including inflation, improving working conditions is particularly important. The goal is to raise the average gross salary of cultural workers to 90 per cent of the Estonian national average.
- Improving the accessibility of culture across different target groups and fields, and regionally. Currently, there are significant regional disparities in cultural participation, which have somewhat evened out, but certain regions are lagging behind, requiring additional activities and the design of targeted initiatives.
- **Increasing access for people with special needs to participation in cultural activities and consumption of cultural services**. Raising awareness on accessibility has been an important activity throughout 2024 but continues to require attention, including through the adoption of innovative solutions and changes in attitudes.
- **Ensuring the long-term physical and digital preservation of cultural heritage**, including the creation of heritage repositories. The establishment of heritage repositories is critically important for the preservation of cultural heritage, enhances the efficiency of the sector, and reduces the environmental footprint; however, funding is currently lacking to initiate an investment project. The preservation of digital heritage outside the territory of Estonia requires solutions through European Union-wide cooperation.
- The greatest challenges associated with **the transition to physical education** are the lack of sports equipment in schools and the implementation of the curriculum.
- **Recognition of the value of coaches**, promotion of physical activity and competitive sports, and the streamlining of support mechanisms for sports and sports facilities remain key priorities.

Detailed information on the implementation of the performance area can be found on the website Strategic framework documents | Ministry of Culture

Table 35. Target levels of metrics in the performance area of 'culture and sports' and the actual performance

Metric	Performance in 2022	Performance in 2023	Performance in 2024	Target level in 2024	Target level in 2025	Target level for 'Estonia 2035'
Participation of residents in cultural life Source: Statistics Estonia	-	79%[89]	-	-	-	80%
Proportion of people engaged in physical activity on a regular basis (twice a week for 30 minutes) of the 16–64 age group Source: Tervise Arengu Instituut[90]	45.2%	-	-	50%	Not measured	

Table 36. Implementation of the budget of the performance area 'Culture and sports' (in thousands of euros)

	Implementation of the budget 2023	Initial budget for 2024	Final budget for 2024	Implementation of the budget 2024	Initial budget for 2025	STATE BUDGET STRATEGY 2026
Expenditure	–350,364	–342,803	–451,405	–360,725	–317,647	–315,654

Source: State budget implementation report 2024, State Budget Act 2025, State Budget Strategy 2025–2028

[89] The 2023 result is published for the first time.

[90] Informative translation: National Institute for Health Development

1.2.18 Cohesive society

Objective of the performance area

Estonia is a cohesive and inclusive society

Development plan of the area

Cohesive Estonia Development Plan 2030

Programmes of the performance area

Integration, incl. adaptation programme

Estonian community programme

Smart census programme

Programme for funding political parties

Areas of government related to the performance area

Area of government of the Ministry of Culture

Area of government of the Ministry of the Interior

OVERVIEW OF THE PERFORMANCE AREA

Positive developments

- **In 2024, the Ministry of Culture's thematic year was the Year of Cultural Wealth**, during which attention was paid to the diverse cultures and traditions of different nationalities living in Estonia, as well as Estonia's unique cultural spaces and communities.
- **The Estonian Integration Monitoring conducted in 2023 and published in 2024** showed that Estonian residents share a strong common ground: we all care about a society without interethnic conflicts, where there is mutual trust and everyone contributes to the economy. These attitudes are key factors that should be supported through increased social contacts and fostering a sense of community, with culture playing a central role.
- The implementation of the European Social Fund+ project began in cooperation with the Integration Foundation, the Estonian Centre of Folk Culture, and the National Foundation of Civil Society. The activities aim **to support and increase the participation of new immigrants, people of different linguistic and cultural backgrounds, and returnees in community life**.
- **In 2024, the Integration Foundation offered** 12,743 study places for **Estonian language learning**, including 1,378 places at the Integration Foundation's Estonian Language House and 11,365 places at language schools with partner institutions. Of these, 1,760 places were intended for permanent residents and returnees, 9,154 places for the 'Settle in Estonia' courses within the adaptation programme, and 451 places under the civic integration contract. Language learning activities were attended 3,485 times.
- Participation in the basic and thematic modules of the adaptation programme totalled 5,422 occasions. **The adaptation programme 'Settle in Estonia' is a free educational programme through which the Estonian state helps recently arrived foreigners to adapt more quickly to local life** and integrate into Estonian society. The programme consists of several training modules that provide the knowledge and skills necessary for adaptation, including a comprehensive overview of living arrangements in Estonia and basic proficiency in the Estonian language. The activities to be implemented are planned by the Ministry of Culture and developed by the Integration Foundation.
- During the year, the Integration Foundation provided advice on language learning and adaptation over 27,000 times.
- Opportunities for personalising the information service 'Adaptation in Estonia' were mapped, and an additional sub-service – opening a bank account and declaring income – was added.
- In cooperation with Statistics Estonia, the dashboard 'Development Plan Cohesive Estonia' was completed, providing an overview of the current state of societal cohesion and future goals. The dashboard currently includes both development plan metrics and relevant background data.
- **A common information flow with Estonians living abroad.** The Global Estonian portal was developed in cooperation with the Integration Foundation and the Ministry of Culture. New sections and a training programme were added.
- **Promoting and preserving Estonian identity abroad:** language learning, scholarships for young people, support for foreign-Estonian media, and self-initiated activities.
- **Preserving and interpreting Estonia's memory.** In collaboration with Estonian memory institutions and communities, the 'Year of Fate 1944' was interpreted both in Estonia and abroad (various exhibitions, seminars, a refugee database, radio and television programs, short films).
- **In 2024, the Swiss-Estonian Cooperation Programme was launched, aiming to improve opportunities for people of different linguistic and cultural backgrounds to participate more actively in Estonian society.** The focus is on introducing the Estonian cultural space, improving access to (language learning) counselling services, involving volunteers, supporting the digital transformation, and increasing media literacy.
- **The amendment of the Churches and Congregations Act was initiated** to ensure the independence of religious associations from foreign influence and to support peaceful religious practice.
- With the support of the European Social Fund, **a measure was launched to increase the impact of civil society** and to support its development through promoting the activity of children and young people.
- **The four-year partnership period ended, which raised awareness of participation in social life, developed social entrepreneurship, and strengthened local-level cooperation.** The Ministry of the Interior uses the strategic partnership format to shape and implement civil society policy together with non-governmental organisations.
- A research project was launched to assess and study the health of Estonian civil society.

- As of 1 January 2024, a population register data warehouse was introduced, ensuring local governments' access to reports and dashboards.
- **Automatic decision-making was launched in the e-population register portal** based on submitted notices of residence and birth registration applications (decisions without an official).
- **The notification system in the e-services environment was upgraded** to send people messages about changes in their data and procedures. **The e-population register was supplemented with the option to order certificates** and extracts **in multilingual standard forms**, available for collection at foreign representations.
- On 1 December 2024, **the e-service for submitting divorce applications was launched**.
- **The agreement** between the Government of the Republic of Estonia and the Government of the Republic of Finland **on population registration** entered into force and the initial sets of data were exchanged.

Challenges

- **Making the adaptation programme more personalised and accessible**, including developing the information service 'Adaptation in Estonia' into a personalised proactive government service.
- **Empowering local governments in the development of integration, including adaptation services**, and enhancing the sectoral competence of local government officials and employees.
- Creating opportunities for people with different linguistic and cultural backgrounds to participate in community life.
- Promoting the socio-economic integration of the Roma population.
- **Preparing the Global Estonian Action Plan 2026–2029** in cooperation with Estonian authorities and communities abroad.
- **Promoting and preserving Estonian identity abroad.** The existing toolkit will be mapped and updated in cooperation with various authorities.
- **Returning Estonians will be more broadly involved in the integration into Estonian civil society**, in addition to the existing model, with the support of the European Social Fund.
- Analysing and creating a new approach to the current tax incentives and regulatory framework **for charitable donations**.
- **Strengthening the cohesion, resilience, and crisis preparedness of Estonian civil society** by promoting community-based and inclusive governance.
- **Identifying opportunities to adapt to new trends in the field of volunteering** to increase the purposeful, safe, and cohesive participation of the population in society.
- **Through strategic partnership, supporting open governance with the active participation of civil society** and strengthening the capacity of civil society to systematically represent its interests.
- **Streamlining the legal environment supporting the activities of non-profit organisations.** The legal acts regulating the activities of non-profit associations will be updated to increase their operational flexibility.
- **Developing Estonia's discussion culture as a whole**, as well as people's skills to participate in and conduct debates.
- **To ensure freedom of religion**, the Churches and Congregations Act will be amended and religious peace within the Orthodox community will be restored.
- **The population register software** will be upgraded to provide users with a convenient service experience.
- **The quality of contact data in the population register will be improved**, thereby creating preconditions for providing proactive services and communicating with individuals.
- Providing services to persons without an Estonian personal identification code. Estonian personal identification codes will be adopted in all state authorities for the identification of foreigners, enabling their search and linkage across different registers.

Detailed information on the implementation of the performance area can be found on the websites at:

Cohesive Estonia Development Plan 2021-2030 | Ministry of the Interior

2023. tulemusaruanne_TUV Sidus ühiskond.pdf

Table 37. Target levels of metrics in the performance area of 'cohesive society' and the actual performance[91]

Metric	Performance in 2022	Performance in 2023	Performance in 2024	Target level in 2024	Target level in 2025
Proportion of people carrying strong or moderate national identity, Estonians Source: Estonian Integration Monitoring	-	73%	-	≥ 79%	≥ 79%
Proportion of people carrying strong or moderate national identity, other nationalities Source: Estonian Integration Monitoring	-	89%	-	≥ 86%	≥ 86%
Sense of unity with Estonia among Estonians living abroad	-	-	-	≥ 85%	≥ 87%

[91] No targets have been set for the performance area in the 'Estonia 2035' strategy.

Metric	Performance in 2022	Performance in 2023	Performance in 2024	Target level in 2024	Target level in 2025
Source: Study on Estonian expatriate communities and return flows					
Satisfaction with the engagement of residents in the local government[92] Source: Satisfaction survey commissioned by the Ministry of Finance	-	-	-	> 38%	> 38%
Recommended satisfaction index with the e-services of the population register Source: Recommy, population register	75	77	78	> 72	> 72

Table 38. Implementation of the budget of the performance area 'Cohesive society' (in thousands of euros)

	Implementation of the budget 2023	Initial budget for 2024	Final budget for 2024	Implementation of the budget 2024	Initial budget for 2025	STATE BUDGET STRATEGY 2026
Expenditure	–28,340	–34,294	–39,517	–30,807	–33,948	–33,464

Source: State budget implementation report 2024, State Budget Act 2025, State Budget Strategy 2025–2028

1.2.19 Chancellery of the *Riigikogu*

The objective of the Chancellery of the *Riigikogu* is to create conditions necessary for the *Riigikogu* to fulfil its constitutional functions. The tasks of the Chancellery include advising the *Riigikogu*, its management board, committees, parliamentary groups and members of the *Riigikogu*, ensuring administration and organisational, economic and technical conditions for their work, to support the *Riigikogu* in its communication with other institutions both domestically and internationally, and to organise matters related to the benefits of members of the *Riigikogu*.

The *Riigikogu* has 101 members. The work of the *Riigikogu* takes place in plenary meetings, committees, parliamentary groups, and international delegations.

In addition, the Chancellery of the *Riigikogu* serves the State Electoral Office, the Foresight Centre, the National Electoral Committee, and the Political Parties Financing Surveillance Committee.

The task of the State Electoral Office is to prepare and conduct referendums and elections of the *Riigikogu*, President of the Republic, European Parliament, local government councils, President and Vice-Presidents of the *Riigikogu*.

The task of the Foresight Centre is to analyse the long-term developments of society and the economy, to contribute to forward-looking policy-making, and to highlight new development trends.

The task of the National Electoral Committee is to ensure compliance with the principles set out in the first paragraph of the *Riigikogu* Election Act, to determine the nationwide voting and election results, to supervise the activities of election organisers, to resolve complaints, and to perform other duties arising from the law.

The task of the Political Parties Financing Surveillance Committee is to verify the compliance of the activities of the political parties, election coalitions and independent candidates with the requirements provided for in the Political Parties Act.

Adoption of laws and parliamentary scrutiny

- The 15th *Riigikogu* adopted 123 legislative acts during the two sessions of 2024.
- During the reporting period, 127 sessions were held, including two additional sessions.
- There were six extraordinary sessions.
- A total of 22 collective appeals were accepted.
- Ten important national issues were discussed.
- Members of the Government and other officials appeared before the *Riigikogu* 22 times.
- Political statements were made to the *Riigikogu* on eight occasions.
- The motion of censure and decision-making took place on four occasions.
- A total of 87 inquiries and 160 written questions were submitted to the Government of the Republic and its members.
- The Chancellor of Justice submitted four proposals to the *Riigikogu*.

Parliamentary activities at committees of the *Riigikogu*

There are 11 standing committees and three select committees of the *Riigikogu*.

[92] In 2020, the measured level was 38 per cent.

The committees held 822 meetings during the reporting period:

- 687 meetings of the standing committees;
- 135 meetings of the select committees.

Cooperation on parliamentarianism at international level

The main topic in foreign relations in 2024 was the continued support for Ukraine in the war of aggression unleashed by Russia.

In 2024, several high-level Ukrainian state officials visited Estonia, including the President of Ukraine, Volodymyr Zelenskyy. The President of the *Riigikogu* participated in several international meetings of parliamentary leaders.

The presiding country of the Baltic Assembly, Lithuania, emphasised security, democratic values, and support for Eastern partners. The 35th anniversary of the Baltic Way was celebrated.

As part of the cooperation between the European Centre for Parliamentary Research and Documentation, 196 inquiries on different areas were answered.

Information to the public and citizen engagement

There were 543 visitor groups visiting the *Riigikogu* during the year, with 26,718 visitors. In addition, excursions were organised for almost 750 participants in the educational programme of the *Riigikogu*. More than 6,000 people visited the *Riigikogu* during the open doors day in April.

Simulation games of various youth parliaments continued to take place. In January, the Youth Parliament convened, and in September, the Model European Parliament session was held for the 19th time.

State Electoral Office

In the first half of 2024, the main focus was on preparing for and conducting the European Parliament elections held in June.

In cooperation with the State Information System Authority, the necessary developments were carried out to enable the use of the election information system for the European Parliament elections.

The State Electoral Office organised an observation programme for international observers. The programme included seminars, visits to polling stations, and observation of the electronic vote counting process.

Among the future developments of the e-voting system, the development of mobile voting continued. Smart-ID support for the voter application was completed.

Foresight Centre

In 2024, the Foresight Centre worked on five lines of research: active consumers in the future energy system, the future of the personalised state, the future of economic competitiveness, the future of private funding in the fields of culture and sports, and the spatiotemporal accessibility of local public services. In addition, follow-up monitoring was conducted on three earlier topics: green transition scenarios in Estonia, the future of teacher succession, and the long-term impacts of the Russia-Ukraine war on Estonia.

Three reports on research areas were published, along with four studies and 16 short reports. In addition, the trend report 'Spyglass' was issued and two new research directions were approved for 2025.

Political Parties Financing Surveillance Committee

In addition to the regular review of political parties' reports, several proceedings concerning violations of the Political Parties Act were initiated during the reporting period and they participated in a number of court cases related to the Committee's injunctions. Most of the violations were related to the financing of the *Riigikogu* 2023 and European Parliament 2024 election campaigns.

Notably, the Committee's online reporting environment was updated, with the process completed in April 2024.

A full-length overview of the activities of the Chancellery of the *Riigikogu* in 2024 can be found on the website Budget and activity report – *Riigikogu*.

1.2.20 Supreme Court

The Supreme Court is the highest court of the Republic of Estonia, whose jurisdiction and functions are set out in the Constitution, the Courts Act, and acts and codes on judicial procedure. According to the Constitution, the Supreme Court is the court of cassation and the court of constitutional review. The role of the Supreme Court is to contribute to the proper administration of justice in the judiciary, in particular by organising the work of self-governing councils of judges, and developing judicial practice.

The Supreme Court organises training for judges and external communication in the judiciary. The Chief Justice of the Supreme Court chairs the Council for the Administration of Courts.

Staff

As of 31 December 2024, the Supreme Court had 96 service positions (one of them fixed-term), of which 20 for the justices of the Supreme Court, 50 for the office, and 26 for the workplace. Total annual labour turnover was 14.38 per cent (16.3 per cent in 2023), voluntary turnover 11.06 per cent (11.95 per cent in 2023). During the year, 13 employees left the Supreme Court (15 in 2023) and ten employees joined it (11 in 2023).

Budget

The initial budget of the Supreme Court for 2024 was 6,901,990 euros (excluding expenditure covered by income and foreign funds). An amount of 186,951 euros was carried over from 2023. Under the 2024 supplementary state budget, the Supreme Court's expenditure budget was reduced by 35,940 euros. From the reserve of earmarked funds, 7,258 euros were allocated to the Supreme Court to cover IT-related needs. Of the final budget of the Supreme Court (7,060,259 euros), the funds without a limit amounted to 33.1 per cent, i.e. 2,335,279 euros (32.1 per cent, i.e. 2,175,352 euros in 2023), with a limit of 66.9 per cent, i.e. 4,724,980 euros (67.9 per cent, i.e. 4,601,979 euros in 2023).

Administration of justice

In 2024, a total of 2,661 procedural applications were submitted – 920 in civil cases, 872 in criminal and misdemeanour cases, and 869 in administrative cases. Together with previous ones, 2,988 applications were pending (one per cent more than in 2023). A total of 2,613 applications were reviewed. The decision to carry out proceedings was taken in respect of 2,064 applications, of which 241 applications (12 per cent) were accepted. In the area of constitutional review, 27 cases were reviewed. The performance of the Supreme Court in reviewing 2024 procedural applications was 98 per cent. The average net duration of proceedings was 54 days for preliminary proceedings and 150 days for main proceedings. A more detailed overview is available on the Microsoft Power BI platform.

Organisation of the work of the municipal councils of judges

Court en banc

Court en banc is comprised of all the judges of the state. The Supreme Court prepared and conducted the 23rd *en banc* session of judges, where, in addition to briefings by the Chief Justice of the Supreme Court and the Minister of Justice on the development of the legal and judicial system, the central topic of the discussion was the development directions of courts. Two panel discussions were held on the topics 'What kind of court do we want for Estonia?' and 'How can the court better meet the expectations of people approaching the court?'

Judicial examination committee

A total of 13 applications for admission to the examination were received in 2024; no candidates passed the exam. Three judge competitions were held to fill ten positions, for which 25 candidates applied. As of the end of 2024, there were 59 judges with less than three years' length of service.

Training Council

The Training Council approved the judges' training strategy for 2025–2027, the 2025 judges' training programme, and the training programme and completion procedure for judges with less than three years of experience. Recommendations for the drafting of judgments in all procedural types were also confirmed.

Judiciary Disciplinary Chamber

In 2024, the Disciplinary Chamber reviewed two cases of charges, both resulting in convictions against judges, including one case of dismissal from office.

Judiciary Ethics Council

In 2024, the Judiciary Ethics Council was addressed on two occasions.

Training activities

During the year, 62 training sessions were held for judges (73 training days; a total of 3,213 participations; 94.3 per cent of judges participated, including 100 per cent of newly appointed judges). Nine training sessions were organised for court staff (in cooperation with Harju District Court). In cooperation with the Prosecutor's Office and the Estonian Bar Association, eight training sessions were conducted (145 prosecutor participations in judges' training; 507 lawyer participations). Of the foreign funded training sessions, the Norwegian programme training sessions ended. Funding from the European Social Fund+ was initiated to cover training on youth crime prevention for 2025–2027. Cooperation continued within the Academy of European Law (ERA) project 'Baltic Network of EU Law Experts'. Training sessions and study visits (to the Netherlands, United States of America) funded by the Internal Security Fund (ISF) project 'Training for Court Staff and Prosecutors' were carried out. The Supreme Court continues to participate actively in the work of the European Judicial Training Network (EJTN). Through the Supreme Court, first and second-instance judges participated in foreign training sessions a total of 66 times in 2024. The training council considered the implementation of the judicial training strategy in 2024 to be successful and effective.

International communication

The Supreme Court is a member of ten international organisations, including on the governing boards of two. In addition to regular communication through member organisations (missions abroad, questionnaires, and other data exchange), several meetings and joint seminars were held in 2024. The Supreme Court, in cooperation with the Estonian Centre for International Development Cooperation (ESTDEV), organised a one-week study visit to Estonia for a 15-member Ukrainian delegation. The Supreme Court also hosted a ten-member delegation of judges from the Supreme Court of Latvia. Representatives of the Supreme Court participated in the annual meeting of the Supreme Courts of the Baltic States in Vilnius and a 17-member delegation from the Supreme Court took part in a joint seminar organised by the Supreme Administrative Court of Finland.

Yearbook of Estonian Courts

In 2024, the Supreme Court issued the 'Yearbook of Courts 2023' in electronic form. The main theme of the Yearbook was the court administration model and the development plan of courts. The Yearbook also includes summaries of the activities of judges' self-governing bodies and statistics.

Council for Administration of Courts

The Council for Administration of Courts met four times in 2024. They discussed the budget of the courts, changes to the court administration model, the streamlining of court proceedings, legislation regulating court activities and the administration of justice, and approved the 'Court Development Plan 2024–2030'.

Important data sources for Supreme Court activities

Detailed annual reporting of case reviews: Statistics | Supreme Court; training: Training is part of the judicial profession | Supreme Court; work of the self-governing assemblies of judges: Self-governing assemblies of judges | Supreme Court; Yearbook of Estonian Courts: Year 2024 – Yearbook of Estonian Courts.

1.2.21 National Audit Office

The principal activity of the National Audit Office is auditing. In 2024, the Audit Department of the National Audit Office completed 20 audits and overviews plus several memoranda. More in-depth attention was paid to education, the labour sector, social protection, and health care; infrastructure, energy, and the environment; internal security and national defence; information technology; local governments; and state accounting and the regularity of transactions. The Analysis Department of the National Audit Office prepared the National Audit Office's annual report on performance-based budgeting, two audit reports, and two overviews, in addition to producing brief analyses of state-owned companies (for example, the airline Nordica).

Major works in 2024

Overview of the use and preservation of state assets from 2023–2024. Five years of performance-based budgeting: reform results and necessary further decisions

The National Audit Office highlighted that the current budgeting is artificial, impractical, and obtaining a clear picture of the state's finances has become even more difficult. Estonia began preparing the state budget on a performance basis because, according to the Ministry of Finance's promise, it was supposed to provide the *Riigikogu* and the government with a better tool for deciding on state income, expenditure, and potential savings. The National Audit Office's analysis shows that this has not happened in five years. The state budget appears to be performance-based, but in requesting and deciding on budget expenditure, neither ministries, the government nor the *Riigikogu* focus on past or expected results. The budget reform has also not clarified precisely where and why nearly 20 billion euros per year is currently being used.

Accuracy of the 2023 annual accounts and regularity of transactions of the state

Estonia's 2023 annual accounts fairly reflected the state's financial position in all material respects, as well as the economic results and cash flows for the reporting period. According to the National Audit Office, the state's financial transactions were substantially carried out in accordance with the State Budget Act, the 2023 State Budget Act, and the 2023 State Budget Amendment Act. The National Audit Office issued a remark concerning the Ministry of Defence, as the ministry had reported in the 2023 budget execution report defence assets worth a total of 189.9 million euros that were planned to be brought to Estonia but had not actually arrived in Estonia by the end of the reporting year.

Joint overview of the Rail Baltica project by the national audit offices of Estonia, Latvia, and Lithuania

The highest audit authorities of Estonia, Latvia, and Lithuania examined the implementation of the Rail Baltica project at both national and international levels. The audit showed that the projected costs of implementing the Rail Baltica project have increased more than fourfold. According to the draft of the new cost-benefit analysis, the estimated development cost of the Rail Baltica project has risen from 5.8 billion euros in 2017 to 23.8 billion euros in 2023.

To comply with the project deadline set in the European Union regulation – 2030 – and to manage the increased costs, Estonia, Latvia, and Lithuania have decided to implement the Rail Baltica project in two phases. The first phase of the Rail Baltica project will be carried out in a reduced scope; for example, local stops will be built later or to a minimal functional extent and in some sections only one pair of rails will be laid instead of two. This means that the additional funding required for the entire project is reduced to 10.1 billion euros: 1.8 billion euros for Estonia, 4.4 billion euros for Latvia, and 3.9 billion euros for Lithuania. At the time of the audit, there was no schedule for the second phase.

* * *

In addition, the National Audit Office prepared separate reports covering defence-related procurements, teachers' compliance with qualification requirements and their subject competence, the State Forest Management Centre's timber sales under framework agreements at agreed prices, the state's activities in ensuring the quality of health care services, and so on.

* * *

Representatives of the National Audit Office participated in the sittings of the State Budget Control Select Committee of the *Riigikogu*, and in the sittings of standing committees. Auditor General Janar Holm gave a speech presenting the annual report at the plenary session of the Parliament, answered questions from members of the *Riigikogu*, sent memoranda, published articles, and presented the results of the National Audit Office's work at conferences both in Estonia and internationally. The Auditor General also issued several memoranda addressing the Minister of Education and Research's attempts to resolve matters by decree that could only be addressed by amending the state budget through the *Riigikogu*. Auditor General Janar Holm and Chancellor of Justice Ülle Madise expressed a joint position that the preparation of the state budget requires significant reform.

* * *

The task of the Development and Administration Service is to support the principal activity of the National Audit Office. Support includes quality and methodological assistance to audits, development of data analytics, human resources, external relations, use of information technology, building management and administration, financial management and accounting, and legal advisory services. The development projects in the area of data analytics included in particular the development of an automated data exchange for the national aggregated annual accounts.

In the field of external relations, the National Audit Office's mandate as chair of the EUROSAI IT Working Group (ITWG) was extended for 2024–2027. Two major events were organised: the EUROSAI ITWG virtual spring meeting and a hybrid-format annual meeting in Norway. In June, the Auditor General visited Kyiv, where meetings were held with the Verkhovna Rada of Ukraine and the National Audit Office of Ukraine.

At the end of 2024, there were 80 people in employment or service relationship with the National Audit Office, 77

of whom were actively employed. As of the end of 2024, there were 34 per cent of men and 66 per cent of women among employees. The average age of the employees was approximately 44 years.

1.2.22 Office of the President of the Republic

The Office of the President of the Republic supports the President of the Republic in performing duties arising from the Constitution and law. The Office organises national and international communication of the President of the Republic, the information exchange with the media, the public and other partners, prepares legislation, and performs other tasks.

Proclaiming laws and other decisions

In 2024, the President of the Republic proclaimed 73 laws and refused to proclaim two laws. The *Riigikogu* passed a previously unannounced law in an amended form. In December 2023, the law, which had been adopted but left unannounced for the second time, was referred by the President of the Republic to the Supreme Court with a proposal to declare it unconstitutional. In April 2024, the Supreme Court accepted the proposal of the head of state.

The head of state made six decisions concerning the composition of the Government of the Republic: dismissing and appointing new ministers, designating Kristen Michal as a candidate for the Prime Minister, appointing the Government of the Republic led by him, and dismissing the previous government.

Appointment to office and granting of military ranks

The President made 45 decisions on appointment and removal of ambassadors extraordinary and plenipotentiary of the Republic of Estonia and two decisions on appointment and four decisions on removal of judges. The President issued 19 decrees to grant military ranks to servicemen. In connection with the appointment of a member of the Foresight Council, the head of state issued two decrees.

Awarding of decorations

The President of the Republic donated 151 national decorations for the anniversary of the Republic. Additionally, one state decoration was donated to a Ukrainian soldier and 30 decorations were donated in connection with the state visit of Finland to the Republic of Estonia. In 2024, the President donated a total of 182 state decorations by three decisions.

Pardon

The Pardon Committee reviewed the materials of 72 convicted offenders, granting a pardon to one person. Four resolutions on granting a pardon were prepared.

National activities

During the year, the head of state gave many different speeches, greetings, and addresses. There were also national meetings with representatives of various fields, the members of the Government and the *Riigikogu*. The Office of the President of the Republic organised the celebrations of important anniversaries of the statehood of the Republic of Estonia, as well as events important for valuing our language and culture.

The head of state also continued activities as patron of the Estonian Home Decoration Association, the Lennart Meri Conference, the Human Rights Conference, and the Carolin Illenzeer Foundation. Under the President's patronage, the first stage of compiling a database of individuals who fled Estonia during the Second World War, organised by the Estonian Institute of Historical Memory, was completed, allowing researchers to continue work with data on approximately 65,000 refugees.

In 2024, the head of state visited many regions of Estonia and met with representatives of local governments, entrepreneurs, and other promoters and leaders of local life in different regions of Estonia. Meetings emphasised the education sector, particularly engineering and vocational education, as well as industry and entrepreneurship. In addition to numerous shorter visits, the President made more extensive visits to Rapla County, South-East Estonia, Ida-Viru County, and Viljandi County, conducted tours on the main islands, and visited companies located in Tallinn.

International communication

The head of state made 22 foreign visits and hosted presidents of other countries on ten occasions. In total, 32 visits took place: one outgoing state visit to the Republic of Botswana and official visits to the Republic of Iraq, the Republic of Cyprus, the Republic of Türkiye, and the Hashemite Kingdom of Jordan. The remaining (16) visits were working visits. The geographical scope of the visits expanded (to Africa and the Middle East), and the tradition of making at least one annual solidarity visit to Ukraine continued. A visit to Germany took place, which included a delegation of Estonian digital enterprises and representatives of the cultural sector. From the perspective of the internationalisation of Estonian science, an important visit was made to Geneva, during which Estonia's accession ceremony to the European Organization for Nuclear Research (CERN) took place. In addition to entrepreneurs, representatives of universities were also included in the head of state's foreign visits.

In May, the new President of Finland, Alexander Stubb, made a state visit to Estonia. Official visits were made by the President of Ukraine, Volodymyr Zelenskyy; King Felipe VI of Spain; President Tharman Shanmugaratnam of Singapore; and President Bajram Begaj of Albania. Working visits were made by the President of the Swiss Confederation, Viola Amherd, and the President of Iceland, Guðni Th. Jóhannesson. During the meeting of Joint Expeditionary Force leaders held in Tallinn, the President met with the heads of state of Finland and Lithuania and the Prime Minister of the United Kingdom, Keir Starmer.

The most significant multilateral event of the year was, as traditionally, the UN General Assembly in New York. The President also participated in the Three Seas Initiative Summit in Vilnius, the meeting of the heads of state of Eastern and Central European countries in Riga, and the Yalta European Strategy Conference in Ukraine. The head of state took part in the Arraiolos Group meeting in Kraków and in the regular 3B Presidents' meeting in Klaipėda. In August, the Presidents of Estonia, Latvia, and Lithuania made a support visit to Moldova.

Letters of credence

In 2024, 27 foreign ambassadors handed over their letters of credence to the President of the Republic. The head of state signed the letters of credence of Estonian ambassadors (including co-accreditations) on 43 occasions.

1.2.23 Office of the Chancellor of Justice

The Office of the Chancellor of Justice is responsible for supporting the activities of the Chancellor of Justice in the performance of duties arising from the Constitution and the laws.

The function of the Chancellor of Justice is to oversee the compliance of legislative acts with the Constitution and the laws, verify respect for the fundamental rights and freedoms of people by authorities and officials performing public functions, perform the function of the ombudsman for children, and to serve as a preventive authority of the Republic of Estonia as a state party to the UN convention against mistreatment of people. The Chancellor of Justice oversees respect for fundamental rights and freedoms in the organisation of the covert collection, processing, use and supervision of personal data and related information by the authorities of executive power.

The Chancellor of Justice performs the functions of the Estonian National Human Rights Institution (NHRI). The Chancellor of Justice stands for ensuring that all disabled people can exercise their fundamental rights and freedoms on an equal footing with others.

Once a year, the Chancellor of Justice submits to the *Riigikogu* an annual review of the performance of duties assigned to them by law. The overview is published on the website of the Chancellor of Justice Chancellor of Justice Annual Review 2023/2024.

The Chancellor of Justice submitted a written overview of the activities of 2023–2024 until 1 September 2024 to the *Riigikogu* during the autumn session of 2024 and also made a respective oral presentation.

The presentation and the subsequent questions of the members of the *Riigikogu* and the answers of the Chancellor of Justice can be viewed in the online environment of the *Riigikogu*: Shorthand record – *Riigikogu*.

1.2.24 Results of internal and external assessments of the internal audit units of ministries

The head of each organisation is always responsible for the internal control system, including internal audit. The conduct of internal audits, and particularly their added value, depends primarily on the understanding that an independent, competent internal audit is a useful management tool for achieving the organisation's objectives, as it allows assessment of the effectiveness of the internal control system. It is important that decision-makers understand the importance of high-quality internal audit in ensuring that Estonian public control mechanisms are sufficiently strong and effective.

Historically, internal audit developed to support the management of large international corporations by assessing the functioning of internal control systems in separate units. Estonian state institutions and enterprises are relatively small and compact. Under the Government of the Republic Act, a position of internal auditor or an internal audit unit is established under the direct supervision of the head of an executive branch institution on a needs basis. The form of internal audit, whether carried out by an internal employee or unit, outsourced or provided through another solution, is at the discretion of the organisation.

The Estonian public sector internal audit follows the Internal Auditing Standards developed by the Institute of Internal Auditors (IIA), which require that the quality of the internal audit function is assessed at least once every five years by an external independent specialist, in addition to a periodic internal assessment.

For 2024, eight of the 11 ministries submitted an activity report of their internal audit units. According to the reports, no internal or external quality assessments were conducted last year.

From January 2025, new internal audit standards, including quality assessment rules, will enter into force. It makes sense to evaluate their implementation only after a few years. Thus, in the coming years, quality assessments of the internal audit units of ministries are rather not planned.

2 Consolidated and unconsolidated annual accounts

2.1 Balance sheet

In millions of euros

	Consolidated			Unconsolidated			Note
	31/12/2024	31/12/2023	31/12/2022	31/12/2024	31/12/2023	31/12/2022	
Assets							
Current assets							
Cash	2,723.4	2,365.2	2,496.4	1,590.8	1,428.2	1,415.1	a2
Financial investments	1,812.4	1,141.7	1,609.1	1,794.6	1,125.0	1,598.1	a3
Tax, state fee and fine receivables	1,826.3	1,467.2	1,387.5	1,918.8	1,537.8	1,454.2	a4
Other receivables and prepayments	1,851.8	2,066.4	1,676.8	1,403.9	1,347.3	1,034.0	a5
Derivatives	90.0	59.7	199.8	0.0	0.0	0.0	a18
Inventories	1,415.2	660.6	714.4	755.4	37.9	40.0	a7
Intangible current assets	74.5	216.5	444.1	0.0	0.0	0.0	a12
Biological assets	98.0	69.2	62.2	0.8	3.1	3.1	a14
Total current assets	**9,891.6**	**8,046.5**	**8,590.3**	**7,464.3**	**5,479.3**	**5,544.5**	
Non-current assets							
Holdings in foundations	0.0	0.0	0.0	549.7	524.1	430.8	a8
Holdings in subsidiaries and associates	87.6	90.7	89.4	4,505.4	4,514.4	4,490.0	a9
Financial investments	766.9	634.8	480.0	729.2	602.2	453.0	a3
Other receivables and prepayments	761.9	795.7	941.4	1,032.8	1,040.9	1,193.2	a5
Derivatives	213.3	257.8	496.5	0.0	0.0	0.0	a18
Investment property	103.2	98.3	83.2	37.2	36.9	37.0	a10
Property, plant and equipment	12,536.7	11,351.3	10,803.2	4,292.7	3,843.2	3,471.5	a11
Intangible non-current assets	430.3	385.5	333.2	240.0	215.9	180.3	a12
Biological assets	1,875.4	2,411.5	2,170.3	7.4	28.0	27.7	a14
Total non-current assets	**16,775.3**	**16,025.6**	**15,397.2**	**11,394.4**	**10,805.6**	**10,283.5**	
Total assets	**26,666.9**	**24,072.1**	**23,987.5**	**18,858.7**	**16,284.9**	**15,828.0**	

	Consolidated			Unconsolidated			Note
	31/12/2024	31/12/2023	31/12/2022	31/12/2024	31/12/2023	31/12/2022	
Liabilities and net assets							
Current liabilities							
Prepayments of taxes, state fees and fines received	721.0	658.4	700.2	744.9	677.9	716.6	a4
Trade payables	609.3	572.4	532.0	284.5	209.0	218.6	
Payables to employees	225.3	215.2	188.5	85.8	83.3	71.7	
Tax, state fee and fine liabilities	506.3	463.0	435.5	487.4	442.4	418.5	a4
Other liabilities and prepayments received	3,595.5	3,133.7	2,639.3	4,208.8	3,694.5	3,087.7	a15
Provisions	319.9	378.1	855.6	154.4	137.7	387.7	a16
Loan liabilities	1,383.2	1,103.1	1,327.8	1,114.5	580.3	417.8	a17
Derivatives	22.6	67.8	169.1	0.0	0.0	0.0	a18
Total current liabilities	**7,383.1**	**6,591.7**	**6,848.0**	**7,080.3**	**5,825.1**	**5,318.6**	
Non-current liabilities							
Provisions	4,961.4	4,624.0	4,111.1	4,870.1	4,521.9	4,025.7	a16
Loan liabilities	8,308.9	7,096.5	5,621.5	6,142.2	5,195.2	4,542.5	a17
Other liabilities and prepayments received	123.3	120.8	119.5	129.7	130.1	132.5	a15
Derivatives	4.7	16.6	32.1	0.0	0.0	0.0	a18
Total non-current liabilities	**13,398.3**	**11,857.9**	**9,884.2**	**11,142.0**	**9,847.2**	**8,700.7**	
Total liabilities	**20,781.4**	**18,449.6**	**16,732.2**	**18,222.2**	**15,672.3**	**14,019.3**	
Net assets							
Minority shareholding	**314.5**	**303.5**	**301.9**	**0.0**	**0.0**	**0.0**	
Net assets of the state							
Stabilisation Reserve Fund and ownership reform reserve	505.0	491.6	474.3	505.0	491.6	474.3	a20
Hedging reserve	145.6	141.6	698.4	0.0	0.0	0.0	a18
Other reserves	14.6	13.3	12.5	0.0	0.0	0.0	
Hybrid bonds	398.5	0.0	0.0	0.0	0.0	0.0	a17
Accumulated surplus or deficit	4,507.3	4,672.5	5,768.2	131.4	121.0	1,334.4	
Total net assets of the state	**5,571.0**	**5,319.0**	**6,953.4**	**636.4**	**612.6**	**1,808.7**	
Total net assets	**5,885.5**	**5,622.5**	**7,255.3**	**636.4**	**612.6**	**1,808.7**	
Total liabilities and net assets	**26,666.9**	**24,072.1**	**23,987.5**	**18,858.7**	**16,284.9**	**15,828.0**	

2.2 Statement of financial performance

In millions of euros

	Consolidated		Unconsolidated		Note
	2024	2023	2024	2023	
Income from operations					
Taxes and social security contributions	13,814.7	12,427.4	13,967.7	12,582.9	a4
Goods and services sold	4,173.9	4,398.6	431.9	520.9	a21
Grants received	1,299.0	1,317.0	1,200.7	1,255.5	a19
Other income	287.2	432.2	213.6	221.3	a22
Total income from operations	**19,574.8**	**18,575.2**	**15,813.9**	**14,580.6**	
Operating expenses					
Grants awarded	–7,822.2	–7,602.0	–8,404.2	–8,086.0	a19
Pass-through taxes, state fees, fines	–4,789.0	–4,432.2	–4,789.0	–4,432.2	a4
Change in doubtful tax, state fee and fine receivables	–49.4	–39.5	–49.4	–39.5	a4
Labour costs	–2,607.7	–2,498.9	–1,452.8	–1,431.0	a23
Management expenses	–2,895.5	–2,733.0	–1,074.4	–964.4	a24
Depreciation and change in value of non-current assets	–937.6	–1,449.3	–357.2	–357.0	a25
Other expenditure	–282.0	–594.3	–130.9	–136.6	a26
Total operating expenses	**–19,383.4**	**–19,349.2**	**–16,257.9**	**–15,446.7**	
Operating result	**191.4**	**–774.0**	**–444.0**	**–866.1**	
Surplus/deficit from change in fair value of biological assets	**–507.3**	**248.4**	**–22.9**	**0.3**	a14
Financial income and expenditure					a27
Profit/loss from financial investments	–6.8	2.1	242.4	178.6	
Interest expense	–511.1	–391.0	–459.2	–338.7	
Income from deposits and securities	163.4	93.4	157.9	67.7	
Other financial income	4.5	4.7	3.9	4.2	
Other financial expenses	–0.4	–0.3	0.0	0.0	
Total financial income and expenses	**–350.4**	**–291.1**	**–55.0**	**–88.2**	
Surplus or deficit of the reporting period	**–666.3**	**–816.7**	**–521.9**	**–954.0**	
Incl. the share of state in surplus/deficit	**–690.2**	**–837.8**	**–521.9**	**–954.0**	
Incl. the share of minority shareholding of surplus/deficit	**23.9**	**21.1**	**0.0**	**0.0**	

2.3 Cash flow statement

In millions of euros

	Consolidated		Unconsolidated		Note
	2024	2023	2024	2023	
Cash flow from principal activities					
Operating result	**191.4**	**–774.0**	**–444.0**	**–866.1**	
Depreciation and change in value of non-current assets	937.6	1,449.3	357.2	357.0	a25
Profit/loss from non-current assets sold	–23.5	–28.0	–20.6	–26.4	a22
Revenue from government grants received for acquisition of non-current assets	–663.3	–798.4	–586.7	–751.3	a19
Expenditure on government grants awarded for acquisition of non-current assets	330.8	460.5	627.2	672.3	a19
Other non-financial income and expenses	–51.6	–288.7	–0.2	–0.2	
Total adjusted operating result	**721.4**	**20.7**	**–67.1**	**–614.7**	
Net change in current assets	–293.6	–406.1	–517.6	–167.1	
Net change in liabilities	733.3	165.3	552.7	–27.0	
Total cash flows from principal activities	**1,161.1**	**–220.1**	**–32.0**	**–808.8**	
Cash flows from investment activities					
Investments in non-current assets	–2,182.7	–1,958.5	–814.0	–733.0	a13, a17
Capital gains from non-current assets sold	37.3	36.9	29.3	34.3	a5, a10, a11, a14
Government grants received for the acquisition of non-current assets	788.7	790.7	708.4	747.9	a19
Government grants invested for acquisition of non-current assets	–352.3	–451.6	–702.0	–686.8	a19
Paid upon acquisition of liquid financial investments	–8,784.8	–1,583.2	–8,783.7	–1,576.1	
Received from sale of liquid financial investments	8,121.5	2,063.9	8,121.0	2,061.6	
Paid upon acquisition of other financial investments	–132.0	–171.1	–140.9	–190.4	a3, a5
Paid upon acquisition of holdings (minus the cash acquired)	0.0	–3.3	–82.4	–168.8	a8, a9
Received and granted from transfer, sale and liquidation of holdings and other financial investments (minus the cash disposed of)	36.0	32.8	144.2	143.6	a3, a7 a8, a9
Dividends received	5.1	2.7	272.0	223.8	a9
Dividends paid	–12.8	–19.2	0.0	0.0	a9A
Loans issued	–28.5	–33.8	–0.1	–0.1	a6
Repayments of loans received	79.3	155.1	11.5	11.3	a6
Financial income received	154.3	85.0	116.7	53.0	
Total cash flows from investment activities	**–2,270.9**	**–1,053.6**	**–1,120.0**	**–79.7**	
Cash flows from financing activities					
Received from assumption of loan liabilities	4,424.1	3,088.1	3,933.3	1,531.4	a17
Received from hybrid bonds issued	391.7	0.0	0.0	0.0	a17
Repayments of loan liabilities	–2,944.9	–1,859.4	–2,452.6	–720.7	a17
Interest paid and other financial expenses	–362.1	–221.9	–245.0	–140.6	
Change in deposits by customers	–40.8	135.7	78.9	231.5	a15
Total cash flows from financing activities	**1,468.0**	**1,142.5**	**1,314.6**	**901.6**	
Net cash flows	**358.2**	**–131.2**	**162.6**	**13.1**	
Cash and cash equivalents at the beginning of the period	2,365.2	2,496.4	1,428.2	1,415.1	a2
Cash and cash equivalents at the end of the period	2,723.4	2,365.2	1,590.8	1,428.2	a2
Change in cash and cash equivalents	**358.2**	**–131.2**	**162.6**	**13.1**	

2.4 Statement of changes in net assets

In millions of euros

A. Consolidated report

	Net assets of the state							Minority shareholding	Total	Note
	Stabilisation Reserve Fund	Ownership Reform Reserve Fund	Hybrid bonds	Hedging reserve	Other reserves	Accumulated surplus or deficit	Total			
Balance as of 31/12/2022	**423.9**	**50.4**	**0.0**	**698.4**	**12.5**	**5,768.2**	**6,953.4**	**301.9**	**7,255.3**	
Exchange rate differences attributable to foreign subsidiaries and impact of other comprehensive income of associates					0.8		**0.8**	0.3	**1.1**	
Revaluation of risk hedging instruments				–556.8			**–556.8**	–0.6	**–557.4**	a18
Actuarial gains and losses in provisions for pensions						–237.3	**–237.3**		**–237.3**	a16
Transfer of assets to other general government sector entities						–6.6	**–6.6**		**–6.6**	
Revaluation of property, plant and equipment						1.9	**1.9**		**1.9**	a11
Surplus or deficit of the reporting period						–837.8	**–837.8**	21.1	**–816.7**	
Total surplus or deficit of the reporting period	**0.0**	**0.0**	**0.0**	**–556.8**	0.8	**–1,079.8**	**–1,635.8**	**20.8**	**–1,615.0**	
Holdings consolidated for the first time						1.4	**1.4**		**1.4**	
Dividends paid							**0.0**	–19.2	**–19.2**	a9A
Reallocation	16.3	1.0				–17.3	**0.0**		**0.0**	a20
Balance as of 31/12/2023	**440.2**	**51.4**	**0.0**	**141.6**	**13.3**	**4,672.5**	**5,319.0**	**303.5**	**5,622.5**	
Exchange rate differences attributable to foreign subsidiaries and impact of other comprehensive income of associates					1.3		**1.3**	–0.1	**1.2**	
Revaluation of risk hedging instruments				4.0			**4.0**		**4.0**	a18
Actuarial gains and losses in provisions for pensions						–168.0	**–168.0**		**–168.0**	a16
Revaluation of investment property						0.1	**0.1**		**0.1**	a10
Revaluation of property, plant and equipment						5.8	**5.8**		**5.8**	a11
Surplus or deficit of the reporting period						–690.2	**–690.2**	23.9	**–666.3**	
Total surplus or deficit of the reporting period	**0.0**	**0.0**	**0.0**	**4.0**	**1.3**	**–852.3**	**–847.0**	**23.8**	**–823.2**	
Initial recognition of defence-related stocks						707.8	**707.8**		**707.8**	a7
Hybrid bonds			391.7				**391.7**		**391.7**	a17
Interest on hybrid bonds			6.8			–14.7	**–7.9**		**–7.9**	a17
Impact of the end of controlling influence						7.4	**7.4**		**7.4**	a9A
Dividends paid							**0.0**	–12.8	**–12.8**	a9A
Reallocation	13.1	0.3				–13.4	**0.0**		**0.0**	a20
Balance as of 31/12/2024	**453.3**	**51.7**	**398.5**	**145.6**	**14.6**	**4,507.3**	**5,571.0**	**314.5**	**5,885.5**	

B. Unconsolidated report

	Stabilisation Reserve Fund	Ownership Reform Reserve Fund	Accumulated surplus or deficit	Total	Note
Balance as of 31/12/2022	**423.9**	**50.4**	**1,334.4**	**1,808.7**	
Actuarial gains and losses in provisions for pensions			–237.3	**–237.3**	a16
Transfer of assets to other general government sector entities			–6.6	**–6.6**	
Revaluation of property, plant and equipment			1.8	**1.8**	a11
Surplus or deficit of the reporting period			–954.0	**–954.0**	
Total surplus or deficit of the reporting period	**0.0**	**0.0**	**–1,196.1**	**–1,196.1**	
Reallocation	16.3	1.0	–17.3	**0.0**	a20
Balance as of 31/12/2023	**440.2**	**51.4**	**121.0**	**612.6**	
Actuarial gains and losses in provisions for pensions			–168.0	**–168.0**	a16
Revaluation of investment property			0.1	**0.1**	a10
Revaluation of property, plant and equipment			5.8	**5.8**	a11
Surplus or deficit of the reporting period			–521.9	**–521.9**	
Total surplus or deficit of the reporting period	**0.0**	**0.0**	**–684.0**	**–684.0**	
Initial recognition of defence-related stocks			707.8	**707.8**	a7
Reallocation	13.1	0.3	–13.4	**0.0**	a20
Balance as of 31/12/2024	**453.3**	**51.7**	**131.4**	**636.4**	

2.5 State budget implementation report

In thousands of euros

	Initial budget	Final budget	Implementation of the budget	Implementation of the budget 2023	Implementation of the budget minus final budget
(A) BUDGET OF REVENUES AND EXPENDITURES					
TOTAL STATE BUDGET REVENUE	**16,803,969**	**16,845,819**	**16,230,994**	**14,934,959**	**–614,825**
Taxes and social security contributions	14,088,740	14,075,990	13,975,901	12,810,633	–100,089
Incl. domestic VAT	350,519	332,226	339,329	290,538	7,104
Grants received	1,744,938	1,744,938	1,180,764	1,106,566	–564,175
State fees	92,478	92,478	92,240	86,982	–238
Income from economic activities	356,549	356,549	339,674	433,882	–16,875
Income from non-current assets and inventories sold	45,435	45,435	28,866	26,761	–16,569
Fines and other fines to the extent of asset	21,481	21,481	28,639	23,695	–7,158
Environmental charges	140,351	140,351	100,847	103,442	–39,504
Other income	47,507	47,507	55,856	59,968	–8,349
Interest and dividend income	266,488	321,088	428,207	283,030	107,119
TOTAL STATE BUDGET EXPENDITURE	**–17,683,810**	**–18,545,509**	**–16,636,031**	**–15,896,750**	**1,909,478**
Incl. funds with limits	–4,686,126	–5,153,202	–4,607,393	–4,407,503	545,809
Incl. depreciation and revaluation of non-current assets	–347,165	–347,165	–357,167	–357,022	–10,001
Incl. domestic VAT expense	–216,799	–211,259	–216,834	–188,692	–5,575
REVENUE MINUS EXPENDITURE IN THE STATE BUDGET	**–879,841**	**–1,699,690**	**–405,037**	**–961,791**	**1,294,653**
(B) BUDGET FOR INVESTMENTS	**–817,298**	**–1,152,803**	**–915,480**	**–701,558**	**–237,322**
Incl. funds with limits	–474,914	–632,133	–576,237	–407,640	–55,896
Incl. domestic VAT expense	–133,711	–120,958	–122,490	–101,829	–1,532
TOTAL STATE BUDGET EXPENDITURE AND INVESTMENTS	**–18,501,108**	**–19,698,312**	**–17,551,511**	**–16,598,307**	**2,146,801**
REVENUE MINUS EXPENDITURE AND INVESTMENTS IN THE STATE BUDGET	**–1,697,140**	**–2,852,493**	**–1,320,517**	**–1,663,348**	**1,531,976**

	Initial budget	Final budget	Implementation of the budget	Implementation of the budget 2023	Implementation of the budget minus final budget
REVENUE ADJUSTMENT IN STATE BUDGETARY POSITION			**94,864**	**–18,043**	
Adjustment of revenue from the sale of emission allowances			105,394	–26,010	
Grants received for financing activities			–10,530	0	
Carrying amount of non-current assets sold			0	7,967	
TOTAL REVENUE IN STATE BUDGETARY POSITION			**16,325,858**	**14,916,916**	
EXPENDITURE ADJUSTMENT IN STATE BUDGETARY POSITION			**422,021**	**522,321**	
Depreciation			357,167	357,022	
Adjustment in the consolidated section by defence-related inventories and the acquisition of property, plant and equipment accounted for differently			73,070	–101,251	
Adjustment by payments of provisions			–198	267,906	
Adjustment by formation of provisions			293	5	
Adjustment by the change in inventories			–9,755	–2,234	
Adjustment by the exchange rate changes			1,445	874	
TOTAL EXPENDITURE IN STATE BUDGETARY POSITION			**–16,214,010**	**–15,374,429**	
TOTAL STATE BUDGETARY POSITION			**–803,632**	**–1,159,070**	
REVENUE ADJUSTMENT ACCORDING TO THE STATEMENT OF FINANCIAL PERFORMANCE			**–35,729**	**–103,535**	
Taxes and social security contributions			290,721	32,471	
Doubtful taxes, state fees, fines			49,370	39,521	
Revenue from domestic taxes			–340,993	–292,309	
Non-monetary grants and grants for financing transactions received			19,990	148,978	
Carrying amount of non-current assets sold			–7,956	0	
Surplus/deficit from the change in fair value of biological assets			–22,882	321	
Surplus/deficit from the sale and revaluation of holdings			–29,571	–45,189	
Surplus/deficit from the sale and revaluation of financial investments			–3,672	11,311	
Financial income from the exchange rate change			518	–316	
Interest income from discounting the receivables			1,402	1,677	
TOTAL REVENUE IN THE STATEMENT OF FINANCIAL PERFORMANCE			**16,195,265**	**14,831,424**	

	Initial budget	Final budget	Implementation of the budget	Implementation of the budget 2023	Implementation of the budget minus final budget
EXPENDITURE ADJUSTMENT ACCORDING TO THE STATEMENT OF FINANCIAL PERFORMANCE			**–81,103**	**111,314**	
Transfer of taxes and social security contributions			–35,445	–18,445	
Doubtful taxes, state fees, fines			–49,370	–39,521	
Domestic tax expenses			340,993	292,309	
VAT expenses recorded in investments and financial transactions			–122,495	–101,846	
Adjustment by payments of provisions			127,274	380,245	
Adjustment by formation of provisions			–144,463	–231,928	
Interest expense from discounted provisions			–180,526	–160,656	
Non-monetary grants awarded and management expenses			–17,071	–8,845	
TOTAL EXPENDITURE IN THE STATEMENT OF FINANCIAL PERFORMANCE			**–16,717,134**	**–15,785,435**	
TOTAL SURPLUS/DEFICIT			**–521,869**	**–954,011**	
(C) BUDGET FOR FINANCING TRANSACTIONS	**1,355,445**	**1,355,610**	**828,494**	**1,322,688**	**–527,116**
Incl. funds with limits	–184,845	–163,805	–208,625	–273,883	–44,820
Incl. domestic VAT expense	–9	–9	–6	–17	3
(D) CASH FLOWS					
TOTAL CASH FLOWS FROM REVENUE			**16,697,042**	**15,123,850**	
Total state budget revenue			16,230,994	14,934,959	
Adjustment for receipt of revenue cash flow			466,048	188,891	
TOTAL CASH FLOWS FROM EXPENDITURE			**–16,426,459**	**–15,598,584**	
Total state budget expenditure			–16,636,031	–15,896,750	
Adjustment for payment of expenditure cash flow			209,572	298,166	
CASH FLOWS FROM INVESTMENTS			**–936,481**	**–834,827**	
Total state budget investments			–915,480	–701,558	
Adjustment for payment of investment cash flow			–21,000	–133,269	
CASH FLOWS FROM THE FINANCING TRANSACTIONS			**828,494**	**1,322,688**	

	Initial budget	Final budget	Implementation of the budget	Implementation of the budget 2023	Implementation of the budget minus final budget
TOTAL CASH FLOWS			**162,596**	**13,128**	
RIIGIKOGU					
INCOME	**0**	**0**	**158**	**205**	**158**
Income from economic activities	0	0	2	2	2
Grants received	0	0	85	52	85
Income from non-current assets and inventories sold	0	0	0	2	0
Other income	0	0	71	150	71
EXPENDITURE	**–35,065**	**–36,038**	**–32,826**	**–30,901**	**3,212**
Incl. funds with limits	–21,779	–22,657	–19,513	–17,405	3,144
Incl. VAT	–1,486	–1,486	–986	–738	500
INVESTMENTS	**–4,993**	**–1,907**	**–671**	**–825**	**1,236**
Incl. funds with limits	–4,093	–1,006	–557	–688	449
Incl. VAT	–900	–900	–114	–138	787
ADJUSTMENTS			**–96**	**–471**	
Capitalised remuneration (reduction of expenditure)			17	0	
Capitalised remuneration (increase in investment)			–17	0	
Remuneration of members of the *Riigikogu* (provision for compensation at the end of employment)			0	–471	
Interest expense on provisions			–96	0	
OFFICE OF THE PRESIDENT OF THE REPUBLIC					
INCOME	**28**	**28**	**44**	**149**	**16**
State fees	0	0	1	0	1
Income from economic activities	28	28	44	40	16
Grants received	0	0	0	109	0
EXPENDITURE	**–5,990**	**–6,223**	**–5,965**	**–5,753**	**258**
Incl. funds with limits	–4,953	–5,170	–4,845	–4,724	325
Incl. VAT	–304	–305	–351	–302	–45

	Initial budget	Final budget	Implementation of the budget	Implementation of the budget 2023	Implementation of the budget minus final budget
INVESTMENTS	**0**	**–403**	**–491**	**–420**	**–89**
Incl. funds with limits	0	–403	–403	–246	0
Incl. VAT	0	0	–89	–70	–89
ADJUSTMENTS			**44**	**52**	
National grants received			0	19	
Interest expense on provisions			–316	–299	
Public sector special pensions and compensation at the end of employment			360	331	
Capitalised remuneration (reduction of expenditure)			0	2	
Capitalised remuneration (increase in investment)			0	–2	
NATIONAL AUDIT OFFICE					
INCOME	**0**	**0**	**1**	**0**	**1**
Grants received	0	0	1	0	1
EXPENDITURE	**–6,009**	**–6,592**	**–5,653**	**–5,757**	**940**
Incl. funds with limits	–5,541	–6,125	–5,198	–5,328	927
Incl. VAT	–248	–248	–224	–224	24
INVESTMENTS	**0**	**–62**	**–75**	**–78**	**–13**
Incl. funds with limits	0	–62	–62	–65	0
Incl. VAT	0	0	–14	–13	–14
ADJUSTMENTS			**–1**	**–16**	
Interest expense on provisions			–1	–16	
OFFICE OF THE CHANCELLOR OF JUSTICE					
INCOME	**0**	**0**	**22**	**5**	**22**
Grants received	0	0	22	5	22
EXPENDITURE	**–3,463**	**–3,671**	**–3,388**	**–3,264**	**284**
Incl. funds with limits	–3,181	–3,361	–3,109	–3,030	253
Incl. VAT	–141	–141	–108	–104	33
ADJUSTMENTS			**–2**	**–29**	

	Initial budget	Final budget	Implementation of the budget	Implementation of the budget 2023	Implementation of the budget minus final budget
Interest expense on provisions			–2	–29	
SUPREME COURT					
INCOME	**351**	**351**	**393**	**360**	**42**
State fees	310	310	279	290	–31
Income from economic activities	3	3	41	4	38
Grants received	38	38	45	44	7
Fines and other fines to the extent of asset	0	0	10	0	10
Other income	0	0	18	22	18
EXPENDITURE	**–6,953**	**–7,228**	**–6,840**	**–6,971**	**387**
Incl. funds with limits	–4,220	–4,394	–4,087	–4,394	308
Incl. VAT	–132	–129	–131	–145	–2
INVESTMENTS	**0**	**0**	**0**	**–46**	**0**
Incl. funds with limits	0	0	0	–38	0
Incl. VAT	0	0	0	–8	0
ADJUSTMENTS			**–428**	**–611**	
National grants received			11	6	
Interest expense on provisions			–367	–550	
Public sector special pensions and pension increases			–71	–67	
GOVERNMENT OF THE REPUBLIC					
EXPENDITURE	**–3,141,185**	**–3,226,867**	**–2,989,247**	**–2,891,766**	**237,620**
Incl. funds with limits	–794,316	–882,207	–689,134	–709,013	193,073
EU national contribution	–357,725	–357,725	–318,172	–374,461	39,553
Reserve fund of the Government of the Republic	–114,281	–192,899	0	0	192,899
Support fund for local governments	–583,490	–592,764	–594,095	–647,389	–1,331
Incl. funds with limits	–544,909	–554,182	–554,008	–601,643	174
Incl. compensation for expenses incurred due to performing state functions	–39,709	–39,709	–41,049	–46,874	–1,340
Incl. funds with limits	–1,127	–1,127	–961	–1,127	166

	Initial budget	Final budget	Implementation of the budget	Implementation of the budget 2023	Implementation of the budget minus final budget
Budget equalisation fund of local governments (with limits)	–135,126	–135,126	–135,126	–107,370	0
Transferable taxes to local governments	–1,950,563	–1,948,353	–1,941,854	–1,762,546	6,499
GOVERNMENT OFFICE					
INCOME	**6,043**	**6,043**	**2,029**	**982**	**4,014**
Income from economic activities	0	0	1	1	1
Grants received	6,043	6,043	2,028	981	4,014
EXPENDITURE	**–24,305**	**–26,553**	**–18,200**	**–17,951**	**8,352**
Incl. funds with limits	–13,338	–15,279	–13,364	–14,860	1,914
Performance area: EFFECTIVE STATE	**–21,976**	**–25,400**	**–17,037**	**–16,996**	**8,363**
Incl. funds with limits	–13,338	–15,279	–13,364	–14,860	1,914
Supporting the activities of the Government of the Republic and the Prime Minister	**–21,976**	**–25,400**	**–17,037**	**–16,996**	**8,363**
Incl. funds with limits	–13,338	–15,279	–13,364	–14,860	1,914
VAT	**–2,328**	**–1,153**	**–1,164**	**–956**	**–11**
INVESTMENTS	**0**	**–176**	**–67**	**–150**	**109**
Incl. funds with limits	0	–96	–55	–118	41
Incl. VAT	0	0	–12	–25	–12
ADJUSTMENTS			**106**	**75**	
National grants received			106	109	
Foreign aid received for intermediation to state agencies			0	191	
Pass-through foreign aid and co-financing provided to state agencies			0	–225	
Area of government of the MINISTRY OF EDUCATION AND RESEARCH					
INCOME	**126,848**	**126,848**	**103,164**	**170,729**	**–23,684**
State fees	66	66	68	69	2
Income from economic activities	11,788	11,788	14,036	13,822	2,248
Grants received	114,951	114,951	87,986	156,512	–26,965
Income from non-current assets and inventories sold	0	0	922	105	922

	Initial budget	Final budget	Implementation of the budget	Implementation of the budget 2023	Implementation of the budget minus final budget
Fines and other fines to the extent of asset	0	0	7	0	7
Other income	29	29	145	222	116
Interest and dividend income	14	14	0	–1	–14
EXPENDITURE	**–1,086,020**	**–1,224,577**	**–997,924**	**–935,551**	**226,654**
Incl. funds with limits	–888,603	–934,721	–837,639	–753,839	97,081
Performance area: ESTONIAN LANGUAGE AND IDENTITY	**–11,235**	**–13,688**	**–9,439**	**–7,959**	**4,249**
Incl. funds with limits	–8,573	–9,830	–7,920	–7,300	1,910
Language programme	**–11,235**	**–13,688**	**–9,439**	**–7,959**	**4,249**
Incl. funds with limits	–8,573	–9,830	–7,920	–7,300	1,910
Strengthening the reputation and status of the Estonian language	–1,022	–1,082	–1,009	–931	73
Incl. funds with limits	–1,022	–1,082	–1,009	–931	73
Developing language infrastructure and language technologies	–5,786	–6,553	–5,465	–4,723	1,088
Incl. funds with limits	–4,836	–5,464	–4,694	–4,252	770
Supporting the Estonian language learning and assessment and multilingualism	–4,427	–6,052	–2,965	–2,305	3,088
Incl. funds with limits	–2,715	–3,284	–2,217	–2,118	1,067
Performance area: EDUCATED AND ACTIVE POPULATION	**–814,900**	**–946,916**	**–743,085**	**–704,347**	**203,830**
Incl. funds with limits	–667,063	–707,933	–625,707	–563,149	82,226
Education and youth programme	**–814,900**	**–946,916**	**–743,085**	**–704,347**	**203,830**
Incl. funds with limits	–667,063	–707,933	–625,707	–563,149	82,226
Organising and developing the education network	–26,814	–29,887	–25,156	–59,134	4,730
Incl. funds with limits	–22,221	–27,106	–22,435	–22,231	4,672
Ensuring access to general and vocational education	–298,124	–319,736	–290,673	–269,666	29,063
Incl. funds with limits	–277,174	–287,208	–263,098	–241,917	24,111
Ensuring access to higher education	–273,953	–280,303	–274,207	–242,621	6,096
Incl. funds with limits	–267,999	–270,761	–268,632	–236,410	2,129
Developing adult education and creating learning opportunities	–16,129	–19,228	–7,048	–5,753	12,180
Incl. funds with limits	–151	–209	–100	–93	109
Promoting the international competitiveness of education	–40,480	–114,854	–40,538	–39,428	74,316

	Initial budget	Final budget	Implementation of the budget	Implementation of the budget 2023	Implementation of the budget minus final budget
Incl. funds with limits	–1,685	–1,957	–1,775	–2,243	182
Curriculum and school organisation development activities	–28,746	–32,046	–25,778	–28,666	6,269
Incl. funds with limits	–20,484	–22,912	–18,484	–18,511	4,428
Ensuring equal opportunities in education	–71,820	–92,115	–45,300	–33,608	46,815
Incl. funds with limits	–64,410	–82,651	–39,407	–29,338	43,244
Supporting the development of teachers and heads of educational institutions	–9,275	–6,407	–4,560	–3,937	1,847
Incl. funds with limits	–365	–454	–402	–618	52
Developing the skills system and skills forecasting system OSKA	–4,327	–3,557	–3,438	–3,159	120
Incl. funds with limits	–1,388	–1,397	–1,365	–1,379	31
Linking learning to the labour market needs	–32,902	–34,060	–17,739	–8,637	16,321
Incl. funds with limits	–5,236	–6,562	–4,316	–4,800	2,246
Supporting youth entrepreneurship and own initiative (HOOG)	–2,570	–5,479	–1,772	–3,052	3,707
Incl. funds with limits	–191	–219	–170	–186	49
Supporting young people's civic participation and protecting their rights (OSA)	–853	–1,122	–760	–815	362
Incl. funds with limits	–853	–892	–760	–815	132
Developing the accessibility and quality of youth work (ISE)	–4,642	–5,213	–4,371	–4,350	842
Incl. funds with limits	–4,465	–5,147	–4,332	–4,175	815
Ensuring equal opportunities for young people in society (KINDLUS)	–4,263	–2,909	–1,747	–1,520	1,162
Incl. funds with limits	–440	–458	–431	–433	27
Performance area: RESEARCH AND DEVELOPMENT AND ENTREPRENEURSHIP	**–232,678**	**–233,169**	**–220,155**	**–198,149**	**13,015**
Incl. funds with limits	–203,573	–205,089	–194,925	–174,315	10,163
Scientific system programme	**–215,495**	**–214,458**	**–202,491**	**–174,451**	**11,967**
Incl. funds with limits	–201,923	–203,249	–193,085	–157,025	10,163
Supporting the development of research institutions and the research community	–200,104	–196,783	–186,350	–155,563	10,433
Incl. funds with limits	–186,584	–185,775	–177,023	–142,702	8,752
Ensuring the quality and accessibility of research infrastructure	–15,391	–17,675	–16,140	–18,887	1,534

	Initial budget	Final budget	Implementation of the budget	Implementation of the budget 2023	Implementation of the budget minus final budget
Incl. funds with limits	–15,339	–17,473	–16,062	–14,323	1,411
Knowledge transfer programme	**–17,183**	**–18,712**	**–17,664**	–23,698	**1,048**
Incl. funds with limits	–1,650	–1,840	–1,840	–17,290	0
Supporting knowledge transfer between sectors	–17,183	–18,712	–17,664	–23,698	1,048
Incl. funds with limits	–1,650	–1,840	–1,840	–17,290	0
Performance area: EFFECTIVE STATE	**–9,874**	**–13,772**	**–9,759**	**–9,606**	**4,013**
Incl. funds with limits	–9,394	–11,869	–9,086	–9,074	2,783
Archiving programme	**–9,874**	**–13,772**	**–9,759**	**–9,606**	**4,013**
Incl. funds with limits	–9,394	–11,869	–9,086	–9,074	2,783
Collecting, preserving and providing access to archival materials	–9,874	–13,772	–9,759	–9,606	4,013
Incl. funds with limits	–9,394	–11,869	–9,086	–9,074	2,783
VAT	**–17,333**	**–17,033**	**–15,486**	**–15,490**	**1,546**
INVESTMENTS	**–24,666**	**–38,871**	**–22,658**	**–79,198**	**16,213**
Incl. funds with limits	–14,998	–27,284	–16,424	–14,131	10,861
Organising and developing the education network (incl. RKAS funds)	–10,814	–10,853	–7,921	–54,632	2,932
Incl. funds with limits	–10,814	–10,820	–7,889	–7,405	2,932
Total other investments	–6,784	–20,780	–10,684	–11,457	10,095
Incl. funds with limits	–4,183	–16,464	–8,535	–6,726	7,929
VAT	–7,068	–7,238	–4,052	–13,109	3,186
FINANCING TRANSACTIONS	**245**	**245**	**24**	**54**	**–220**
Incl. funds with limits	–7	–7	–6	–11	1
Incl. VAT	–1	–1	–1	–2	0
Loan liabilities	–7	–7	–6	–11	1
Incl. funds with limits	–7	–7	–6	–11	1
Loan receivables	253	253	32	67	–221
ADJUSTMENTS			**–25,449**	**571**	
Non-monetary grants received			0	0	
Difference between internal grants received and awarded			0	–3	
Foreign aid co-financing received from other areas of government			459	448	

	Initial budget	Final budget	Implementation of the budget	Implementation of the budget 2023	Implementation of the budget minus final budget
Surplus/deficit from the revaluation of biological assets			–22,882	321	
Non-monetary grants awarded			–1,828	–192	
Carrying amount of non-current assets sold			–1,195	0	
Foreign aid awarded to other areas of government (reversed income)			18	19	
Foreign aid and co-financing intermediated to other areas of government (reversed expenses)			–22	–23	
Doubtful receivables (reversed income)			49	25	
Doubtful receivables (reversed expenses)			–49	–25	
Area of government of the MINISTRY OF JUSTICE					
INCOME	**45,114**	**45,114**	**52,809**	**53,881**	**7,695**
State fees	29,235	29,235	31,707	31,130	2,472
Income from economic activities	2,935	2,935	6,338	4,152	3,403
Grants received	3,171	3,171	3,145	5,918	–26
Income from non-current assets and inventories sold	0	0	2	1	2
Fines and other fines to the extent of asset	861	861	4,451	1,607	3,590
Other income	8,912	8,912	7,166	11,072	–1,746
EXPENDITURE	**–230,846**	**–247,508**	**–225,308**	**–221,567**	**22,200**
Incl. funds with limits	–172,194	–181,257	–168,131	–168,242	13,126
Performance area: RULE OF LAW	**–218,265**	**–235,791**	**–215,422**	**–212,311**	**20,369**
Incl. funds with limits	–172,194	–181,257	–168,131	–168,242	13,126
Programme: Reliable and effective judicial area	**–218,265**	**–235,791**	**–215,422**	**–212,311**	**20,369**
Incl. funds with limits	–172,194	–181,257	–168,131	–168,242	13,126
Shaping legal policy and ensuring the quality of legislative drafting	–9,480	–11,570	–7,890	–10,277	3,680
Incl. funds with limits	–9,328	–10,972	–7,617	–10,071	3,355
Implementing the field of intellectual property	–4,904	–6,240	–4,631	–4,563	1,609
Incl. funds with limits	–2,381	–2,599	–2,076	–2,090	522
Developing criminal policy and implementation, incl. prevention	–39,541	–42,815	–38,714	–37,476	4,101
Incl. funds with limits	–27,153	–27,271	–26,303	–24,518	968

	Initial budget	Final budget	Implementation of the budget	Implementation of the budget 2023	Implementation of the budget minus final budget
Organising the enforcement of penalties	–76,638	–83,666	–77,892	–78,321	5,774
Incl. funds with limits	–74,519	–79,034	–74,644	–76,713	4,390
Ensuring justice, legal registers and legal services	–85,581	–88,653	–84,106	–79,425	4,547
Incl. funds with limits	–57,124	–59,199	–55,616	–52,921	3,583
Central IT services for other areas of government	–2,120	–2,846	–2,189	–2,247	657
Incl. funds with limits	–1,689	–2,183	–1,875	–1,927	308
VAT	**–12,582**	**–11,717**	**–9,886**	**–9,256**	**1,831**
INVESTMENTS	**–1,386**	**–7,181**	**–5,262**	**–7,163**	**1,919**
Incl. funds with limits	–1,116	–4,051	–2,976	–2,087	1,075
Incl. VAT	–250	–460	–843	–1,096	–382
FINANCING TRANSACTIONS	**0**	**0**	**585**	**0**	**585**
Holdings in public sector and associated entities	0		585	0	585
ADJUSTMENTS			**–9,347**	**–9,753**	
Foreign aid co-financing received from other state agencies			222	584	
Foreign aid intermediated to other areas of government (reversed income)			0	63	
Foreign aid and co-financing intermediated to other areas of government			0	–74	
Revaluation of holdings			729	0	
Public sector special pensions and pension increases			–3,419	–4,055	
Interest expense on pension provisions			–6,878	–6,271	
Doubtful receivables (reversed income)			1	1	
Doubtful receivables (reversed expenses)			–1	–1	
Capitalised remuneration (reduction of expenditure)			6,140	5,108	
Capitalised remuneration (increase in investment)			–6,140	–5,108	
Area of government of the MINISTRY OF DEFENCE					
INCOME	**135,618**	**135,618**	**177,777**	**44,066**	**42,160**
Income from economic activities	1,360	1,360	2,142	3,370	782
Grants received	114,351	114,351	168,052	38,787	53,701
Income from non-current assets and inventories sold	19,661	19,661	5,626	413	–14,035

	Initial budget	Final budget	Implementation of the budget	Implementation of the budget 2023	Implementation of the budget minus final budget
Fines and other fines to the extent of asset	205	205	675	1,272	470
Other income	40	40	1,006	255	966
Interest and dividend income	0	0	276	–30	276
EXPENDITURE	**–1,111,458**	**–1,257,349**	**–1,047,110**	**–1,005,604**	**210,240**
Incl. funds with limits	–844,690	–815,653	–729,732	–791,536	85,921
Performance area: SECURITY AND NATIONAL DEFENCE	**–1,016,578**	**–1,163,163**	**–931,745**	**–918,459**	**231,418**
Incl. funds with limits	–844,690	–815,653	–729,732	–791,536	85,921
Programme: Military national defence and deterrence	**–1,016,578**	**–1,163,163**	**–931,745**	**–918,459**	**231,418**
Incl. funds with limits	–844,690	–815,653	–729,732	–791,536	85,921
Force generation: land forces	–186,408	–192,864	–191,274	–235,899	1,589
Incl. funds with limits	–176,467	–182,403	–170,843	–213,569	11,560
Force generation: navy	–21,828	–45,694	–28,289	–40,644	17,405
Incl. funds with limits	–20,262	–40,207	–22,902	–33,676	17,306
Force generation: air forces	–22,491	–17,791	–16,447	–24,586	1,344
Incl. funds with limits	–21,502	–16,802	–14,991	–21,367	1,812
Force generation: other units	–554,023	–510,078	–337,116	–382,515	172,962
Incl. funds with limits	–402,228	–326,228	–296,027	–293,460	30,201
Defence readiness	–17,091	–23,709	–21,021	–15,059	2,688
Incl. funds with limits	–12,357	–19,824	–17,709	–14,548	2,115
Engaging allies and international cooperation	–43,890	–61,221	–52,837	–47,325	8,384
Incl. funds with limits	–43,524	–56,442	–49,756	–46,013	6,686
Presence of allies in Estonia	–11,734	–9,611	–7,828	–22,779	1,783
Incl. funds with limits	–11,731	–9,603	–7,630	–22,779	1,973
Intelligence and early warning	–57,846	–64,899	–56,308	–55,903	8,591
Incl. funds with limits	–57,846	–64,899	–56,308	–55,903	8,591
Will to defend	–31,060	–35,686	–32,437	–29,823	3,248
Incl. funds with limits	–30,651	–35,017	–31,994	–29,049	3,023
National defence human assets	–56,413	–51,136	–48,980	–51,908	2,156
Incl. funds with limits	–56,076	–50,442	–48,603	–51,291	1,839

	Initial budget	Final budget	Implementation of the budget	Implementation of the budget 2023	Implementation of the budget minus final budget
Defence investment management	–13,795	–150,474	–139,208	–12,018	11,266
Incl. funds with limits	–12,046	–13,784	–12,968	–9,880	816
VAT	**–94,880**	**–94,186**	**–115,364**	**–87,145**	**–21,178**
INVESTMENTS	**–454,048**	**–611,032**	**–524,775**	**–282,718**	**86,257**
Incl. funds with limits	–309,641	–406,735	–387,591	–222,898	19,144
Purchase and renovation of buildings and facilities	–96,223	–190,480	–160,783	–49,216	29,697
Incl. funds with limits	–77,030	–110,089	–104,487	–48,723	5,602
Allied infrastructure	–13,750	–19,395	–19,154	–45,339	241
Incl. funds with limits	–13,750	–19,300	–19,063	–44,693	236
Purchase of lands	0	–16,359	–14,334	–6,194	2,025
Incl. funds with limits	0	–16,359	–14,334	–6,194	2,025
Defence-related special equipment	–192,492	–282,427	–239,650	–76,197	42,777
Incl. funds with limits	–192,492	–241,671	–235,492	–68,263	6,178
Other investments	–13,555	–11,712	–9,229	0	2,483
Incl. funds with limits	–13,555	–11,712	–9,229	0	2,483
Radars on renewable energy statistics from trade in transferred funds	0	–1,581	–960	–7,840	621
Air monitoring equipment for the Western Estonian measure	–28,300	0	0	0	0
Radar infrastructure of the North Eastern Estonian measure	–11,507	0	0	0	0
Defence investments programme	0	0	0	–45,686	0
Incl. funds with limits	0	0	0	–45,686	0
Total other investments	–29,836	–23,985	–19,261	–19,001	4,724
Incl. funds with limits	–12,815	–7,605	–4,986	–9,340	2,619
VAT	–68,385	–65,093	–61,404	–33,245	3,688
ADJUSTMENTS			**–69,790**	**–45,602**	
Public sector special pensions and pension increases			–39,106	–38,848	
Interest expense on provisions			–29,776	–28,480	
Carrying amount of non-current assets sold			–4,298	0	
Foreign aid co-financing received from other areas of government			0	44	
Non-monetary foreign aid received			15,447	29,241	

	Initial budget	Final budget	Implementation of the budget	Implementation of the budget 2023	Implementation of the budget minus final budget
Non-monetary domestic grants received			769	0	
Non-monetary grants awarded			–4,050	–1,615	
Expenditure incurred with non-monetary grants			–8,776	–5,945	
Area of government of the MINISTRY OF CLIMATE					
INCOME	**1,270,993**	**1,325,593**	**989,793**	**802,313**	**–335,799**
State fees	36,232	36,232	37,815	15,900	1,583
Income from economic activities	293,115	293,115	278,916	374,238	–14,199
Grants received	693,589	693,589	392,244	209,372	–301,345
Income from non-current assets and inventories sold	15	15	295	13,900	280
Fines and other fines to the extent of asset	974	974	809	597	–165
Environmental charges	139,327	139,327	99,601	102,222	–39,726
Other income	26,455	26,455	26,550	10,599	95
Interest and dividend income	81,286	135,886	153,563	75,486	17,677
EXPENDITURE	**–1,189,618**	**–1,562,228**	**–805,354**	**–482,745**	**756,874**
Incl. funds with limits	–196,041	–298,886	–257,807	–186,450	41,079
Performance area: AGRICULTURE AND FISHERY	**–3,679**	**–4,341**	**–3,757**	**–7,682**	**584**
Incl. funds with limits	–3,503	–3,513	–3,055	–4,718	458
Programme: Fisheries	**–3,679**	**–4,341**	**–3,757**	**–7,682**	**584**
Incl. funds with limits	–3,503	–3,513	–3,055	–4,718	458
Managing and conservation of fish stocks and fisheries resources	–3,679	–4,341	–3,757	–7,682	584
Incl. funds with limits	–3,503	–3,513	–3,055	–4,718	458
Performance area: ENVIRONMENT	**–166,686**	**–491,083**	**–110,465**	**–130,112**	**380,618**
Incl. funds with limits	–70,816	–85,965	–70,908	–76,063	15,057
Programme for environmental protection and exploitation	**–166,686**	**–491,083**	**–110,465**	**–130,112**	**380,618**
Incl. funds with limits	–70,816	–85,965	–70,908	–76,063	15,057
Climate change mitigation and adaptation	–58,074	–354,491	–10,815	–12,830	343,677
Incl. funds with limits	–2,008	–1,935	–1,544	–2,607	391
Improving air quality	–12,103	–15,842	–8,120	–4,634	7,722

	Initial budget	Final budget	Implementation of the budget	Implementation of the budget 2023	Implementation of the budget minus final budget
Incl. funds with limits	–4,661	–5,605	–4,614	–4,281	991
Ensuring radiation safety	–1,630	–2,044	–1,714	–2,406	330
Incl. funds with limits	–1,261	–1,436	–1,342	–1,586	94
Promoting resource efficiency and eco-innovation	–12,532	–10,599	–9,666	–11,413	933
Incl. funds with limits	–1,506	–1,920	–1,317	–1,796	603
Ensuring environmental impact assessment and mitigation	–2,775	–4,304	–3,545	–2,276	760
Incl. funds with limits	–1,068	–1,289	–1,159	–951	130
Industrial emissions and chemicals policy-making	–2,890	–2,575	–1,975	–2,250	600
Incl. funds with limits	–1,805	–2,496	–1,916	–2,177	580
Organising waste management	–7,078	–5,955	–4,738	–5,697	1,216
Incl. funds with limits	–3,996	–4,592	–3,589	–3,928	1,003
Management of the exploitation and conservation of the subsoil resources	–2,031	–1,943	–1,651	–1,935	291
Incl. funds with limits	–1,598	–1,855	–1,586	–1,645	269
Targeting the protection of the marine environment	–3,012	–3,923	–2,708	–3,087	1,215
Incl. funds with limits	–2,822	–3,540	–2,450	–3,002	1,090
Ensuring the sustainable use and protection of water	–15,959	–25,334	–14,615	–27,755	10,718
Incl. funds with limits	–12,618	–14,662	–11,937	–11,830	2,726
Ensuring biodiversity protection	–17,493	–22,832	–16,214	–18,522	6,618
Incl. funds with limits	–10,333	–12,582	–10,741	–10,828	1,841
Guiding forestry development	–13,488	–14,822	–13,086	–13,203	1,737
Incl. funds with limits	–12,956	–14,193	–12,604	–12,760	1,588
Organising land operations	0	0	0	–4,911	0
Incl. funds with limits	0	0	0	–3,492	0
Spatial data capture, analysis and making it available	0	0	0	–5,762	0
Incl. funds with limits	0	0	0	–5,221	0
Providing weather data, forecasts and warnings	–4,885	–5,856	–4,978	–5,409	878
Incl. funds with limits	–3,423	–3,705	–3,342	–3,510	363
Guiding the development of environmental awareness and education	–6,956	–13,486	–9,452	–8,022	4,034
Incl. funds with limits	–5,792	–10,151	–7,314	–6,451	2,836

	Initial budget	Final budget	Implementation of the budget	Implementation of the budget 2023	Implementation of the budget minus final budget
Central IT services for other areas of government	–5,779	–7,077	–7,187	0	–110
Incl. funds with limits	–4,967	–6,004	–5,451	0	553
Performance area: ENERGY	**–80,658**	**–77,301**	**–47,771**	–18,225	**29,530**
Incl. funds with limits	–7,396	–24,745	–13,349	–2,658	11,397
Energy and Mineral Resources Programme	**–80,658**	**–77,301**	**–47,771**	–18,225	**29,530**
Incl. funds with limits	–7,396	–24,745	–13,349	–2,658	11,397
Ensuring the supply of electricity and gas	–539	–1 522	–1,311	–255	211
Incl. funds with limits	–517	–556	–439	–235	117
Regulation of the transport fuels sector	–147	–272	–235	–90	37
Incl. funds with limits	–140	–225	–204	–84	21
Efficient production and transmission of heat	–262	–377	–264	–106	113
Incl. funds with limits	–252	–326	–232	–98	94
Increasing the energy efficiency	–5,388	–1,038	–793	–1,792	245
Incl. funds with limits	–334	–1,111	–930	–195	181
Increasing the share of renewable energy in final consumption	–69,276	–64,781	–40,247	–13,692	24,535
Incl. funds with limits	–1,541	–16,320	–7,678	–425	8,642
Exploration and exploitation of the subsoil resources	–3,017	–5,950	–2,118	–975	3,832
Incl. funds with limits	–2,849	–3,857	–1,745	–679	2,112
Geological mapping and the subsoil competence	–2,029	–3,360	–2,803	–1,314	557
Incl. funds with limits	–1,762	–2,350	–2,121	–943	229
Performance area: DIGITAL SOCIETY	**0**	**0**	**0**	–59	**0**
Incl. funds with limits	0	0	0	–57	0
Digital society programme	**0**	**0**	**0**	–59	**0**
Incl. funds with limits	0	0	0	–57	0
Performance area: RESEARCH AND DEVELOPMENT AND ENTREPRENEURSHIP	**–165,418**	**–79,603**	**–75,527**	**–39,496**	**4,076**
Incl. funds with limits	–5,827	–13,825	–8,723	–11,428	5,102
Knowledge transfer programme	**0**	**0**	**0**	**–72**	**0**
Incl. funds with limits	0	0	0	–71	0

	Initial budget	Final budget	Implementation of the budget	Implementation of the budget 2023	Implementation of the budget minus final budget
Programme: Construction	**–165,418**	**–79,603**	**–75,527**	**–39,359**	**4,076**
Incl. funds with limits	–5,827	–13,825	–8,723	–11,293	5,102
E-construction	–5,361	–3,056	–2,556	–2,871	500
Incl. funds with limits	–1,144	–478	–397	–1,125	81
Developing the quality of the built environment and the construction sector	–1,538	–4,163	–5,281	–427	–1,118
Incl. funds with limits	–721	–1,948	–1,296	–238	652
Housing policy	–158,518	–72,384	–67,690	–36,061	4,694
Incl. funds with limits	–3,962	–11,399	–7,030	–9,930	4,369
Entrepreneurial environment programme	**0**	**0**	**0**	**–65**	**0**
Incl. funds with limits	0	0	0	–63	0
Performance area: TRANSPORT	**–756,963**	**–894,600**	**–550,152**	**–275,823**	**344,448**
Incl. funds with limits	–108,498	–170,838	–161,774	–91,526	9,065
Transport and mobility programme	**–756,963**	**–894,600**	**–550,152**	**–275,823**	**344,448**
Incl. funds with limits	–108,498	–170,838	–161,774	–91,526	9,065
Development and maintenance of rail transport infrastructure	–433,139	–547,874	–260,021	–111,365	287,853
Incl. funds with limits	–728	–32,697	–32,689	–27,313	8
Development and maintenance of water transport infrastructure	–32,312	–62,910	–47,056	–27,847	15,854
Incl. funds with limits	–15,234	–34,319	–27,258	–11,427	7,061
Development and maintenance of air transport infrastructure	–10,303	–10,559	–10,941	–5,659	–382
Incl. funds with limits	–10,295	–10,520	–10,515	–5,165	5
Development and maintenance of road transport infrastructure	–227,757	–200,602	–182,234	–70,245	18,367
Incl. funds with limits	–71,703	–68,785	–67,962	–30,912	823
Urban environment promoting eco-mobility	–41,258	–11,418	–11,273	–5,952	145
Incl. funds with limits	–230	–158	–124	–2,434	34
Safe and sustainable transport system	–12,193	–61,237	–38,627	–54,755	22,610
Incl. funds with limits	–10,308	–24,360	–23,226	–14,275	1,134
VAT	**–16,215**	**–15,300**	**–17,683**	**–11,348**	**–2,382**
INVESTMENTS	**–178,528**	**–283,557**	**–191,437**	**–128,904**	**92,120**
Incl. funds with limits	–74,867	–85,223	–77,960	–67,086	7,263

	Initial budget	Final budget	Implementation of the budget	Implementation of the budget 2023	Implementation of the budget minus final budget
Summary project of the renovation of national roads	–62,799	–66,254	–65,015	–58,617	1 238
Incl. funds with limits	–59,869	–60,814	–60,807	–57,327	7
Rail Baltic development	–20,247	–73,631	–51,352	–10,868	22,280
Libatse–Nurme 2 + 2 road	–22,100	0	0	0	0
Pärnu–Uulu 2+2 road	0	–7,967	–5,797	–15,056	2,170
Sauga–Pärnu 2+2 road	0	–9,802	–8,041	–1,377	1,761
Total other investments	–41,921	–98,076	–28,476	–22,653	69,600
Incl. funds with limits	–14,998	–24,409	–17,154	–9,759	7,255
VAT	–31,462	–27,827	–32,756	–20,333	–4,929
FINANCING TRANSACTIONS	**–10,650**	**–19,130**	**–18,860**	**2,047**	**270**
Incl. funds with limits	–4,800	–8,600	–8,600	0	0
Loan receivables	0	0	0	2,047	0
Incl. funds with limits	0	0	0	0	0
Holdings in public sector and associated entities	–4,000	–7,000	–6,730	0	270
Incl. funds with limits	–4,000	–7,000	–7,000	0	0
Government grants awarded for the financing activities	–6,650	–12,130	–12,130	0	0
Incl. funds with limits	–800	–1,600	–1,600	0	0
ADJUSTMENTS			**–42,772**	**–59,193**	
Environmental and pollution charges recorded as implementation of the budget of the Government of the Republic			–14,785	–14,832	
Foreign aid co-financing received from other areas of government			821	917	
Foreign aid intermediated to other areas of government (reversed income)			2	0	
Foreign aid and co-financing intermediated to other areas of government (reversed expenses)			–2	–155	
Doubtful environmental charges, fine liabilities, and income from economic activities (reversed income)			–82	477	
Doubtful environmental charges, fine liabilities, and income from economic activities (reversed expenses)			82	–477	
Non-monetary grants received			1,994	34	
Non-monetary grants awarded			–158	–364	

	Initial budget	Final budget	Implementation of the budget	Implementation of the budget 2023	Implementation of the budget minus final budget
Carrying amount of non-current assets sold			–30	0	
Interest expense on provisions			–22	–16	
Revaluation of holdings			–30,592	–44,778	
Area of government of the MINISTRY OF CULTURE					
INCOME	**13,315**	**13,315**	**15,254**	**10,209**	**1,938**
State fees	7	7	9	8	2
Income from economic activities	2,372	2,372	3,258	3,264	887
Grants received	10,936	10,936	11,980	6,932	1,044
Other income	0	0	5	5	5
Interest and dividend income	0	0	1	1	1
EXPENDITURE	**–361,480**	**–473,453**	**–376,298**	**–363,861**	**97,156**
Incl. funds with limits	–290,716	–344,068	–302,138	–307,248	41,930
Performance area: COHESIVE SOCIETY	**–16,535**	**–19,979**	**–14,058**	**–11,275**	**5,921**
Incl. funds with limits	–5,422	–12,874	–8,378	–9,857	4,496
Integration, including adaptation programme	**–16,535**	**–19,979**	**–14,058**	**–11,275**	**5,921**
Incl. funds with limits	–5,422	–12,874	–8,378	–9,857	4,496
Developing and implementing integration, incl. adaptation policy	–16,310	–19,677	–13,884	–11,205	5,793
Incl. funds with limits	–5,197	–12,572	–8,204	–9,787	4,368
Supporting fellow citizens	–225	–302	–174	–70	128
Incl. funds with limits	–225	–302	–174	–70	128
Performance area: CULTURE AND SPORTS	**–342,803**	**–451,405**	**–360,725**	**–350,364**	**90,680**
Incl. funds with limits	–285,294	–331,194	–293,760	–297,391	37,434
Cultural programme	**–296,253**	**–388,391**	**–300,927**	**–298,369**	**87,464**
Incl. funds with limits	–242,808	–272,254	–237,910	–249,196	34,344
Supporting and recognising creative persons	–3,559	–3,559	–3,455	–3,152	104
Incl. funds with limits	–291	–291	–256	–290	35
Developing and implementing literary policy	–10,410	–10,691	–10,350	–8,732	341
Incl. funds with limits	–7,292	–7,311	–7,258	–5,772	54

	Initial budget	Final budget	Implementation of the budget	Implementation of the budget 2023	Implementation of the budget minus final budget
Developing and implementing performing arts policy	–48,281	–54,401	–48,214	–48,319	6,187
Incl. funds with limits	–42,030	–42,150	–41,920	–45,278	230
Developing and implementing audiovisual policy	–20,604	–23,211	–18,341	–16,792	4,871
Incl. funds with limits	–16,717	–19,324	–14,566	–13,166	4,758
Developing and implementing music policy	–18,472	–19,127	–18,689	–18,584	438
Incl. funds with limits	–14,584	–15,234	–14,909	–14,959	326
Developing and implementing arts policy	–5,983	–6,447	–6,320	–6,496	127
Incl. funds with limits	–2,268	–2,702	–2,699	–3,022	3
Developing and implementing architecture and design policy	–2,630	–2,672	–2,594	–2,467	78
Incl. funds with limits	–368	–410	–399	–362	11
Developing and implementing media policy	–44,176	–45,289	–45,244	–47,333	45
Incl. funds with limits	–44,176	–45,289	–45,244	–47,333	45
Developing and implementing library policy	–37,129	–45,815	–39,093	–44,663	6,722
Incl. funds with limits	–37,129	–40,815	–34,093	–44,663	6,722
Developing and implementing folk culture policy	–11,414	–12,313	–11,281	–14,777	1,032
Incl. funds with limits	–7,651	–8,324	–7,546	–11,180	778
Developing and implementation museum and heritage conservation policy	–53,071	–116,218	–58,784	–55,306	57,434
Incl. funds with limits	–48,975	–63,187	–49,879	–47,499	13,308
Digitising the cultural sector	–20	–2,197	–889	–224	1,308
Incl. funds with limits	–20	–42	0	–224	41
Promoting the internationalisation of culture	–7,621	–7,989	–7,546	–4,856	443
Incl. funds with limits	–7,547	–7,872	–7,431	–4,811	441
Developing and implementing creative sector policy	–1,830	–1,867	–1,867	–1,200	0
Incl. funds with limits	0	0	0	0	0
Cross-cutting support and development for culture	–31,054	–36,596	–28,260	–25,468	8,335
Incl. funds with limits	–13,762	–19,302	–11,711	–10,635	7,591
Sports programme	**–46,549**	**–63,014**	**–59,798**	**–51,995**	**3,216**
Incl. funds with limits	–42,486	–58,940	–55,850	–48,194	3,090
Supporting and developing competitive sports	–42,942	–46,222	–43,391	–44,660	2 831

	Initial budget	Final budget	Implementation of the budget	Implementation of the budget 2023	Implementation of the budget minus final budget
Incl. funds with limits	–38,878	–42,158	–39,443	–40,859	2,715
Supporting and developing fair sports and sports security	–360	–371	–360	–309	11
Incl. funds with limits	–360	–360	–360	–309	0
Promoting organised physical activity	–3,247	–16,422	–16,047	–7,026	375
Incl. funds with limits	–3,247	–16,422	–16,047	–7,026	375
VAT	**–2,142**	**–2,070**	**–1,515**	**–2,222**	**555**
INVESTMENTS	**–43**	**–1,154**	**–573**	**–187**	**580**
Incl. funds with limits	–43	–752	–344	–133	408
Incl. VAT	0	–29	–98	–22	–69
FINANCING TRANSACTIONS	**0**	**0**	**–447**	**0**	**–447**
Holdings in public sector and associated entities	0	0	–447	0	–447
ADJUSTMENTS			**44,867**	**40,496**	
Tax revenue received			45,352	37,898	
Pass-through tax revenue, the difference between accrued and cash expenses			–1,164	3,046	
Non-monetary government grants received			5	5	
Foreign aid received for intermediation to state agencies			8	0	
Foreign aid co-financing received from other areas of government			384	59	
Foreign aid and co-financing awarded to other areas of government			–9	0	
Non-monetary swap, gain on sale of non-current assets			0	1,094	
Non-monetary swap, acquisition of non-current assets			0	–1,100	
Doubtful receivables (reversed income)			10	1	
Doubtful receivables (reversed expenses)			–10	–1	
Revaluation of holdings			292	–506	
Area of government of the MINISTRY OF ECONOMIC AFFAIRS AND COMMUNICATIONS					
INCOME	**271,265**	**271,265**	**145,143**	**383,023**	**–126,123**
State fees	5,543	5,543	5,522	21,079	–21
Income from economic activities	19,853	19,853	14,172	18,547	–5,681

	Initial budget	Final budget	Implementation of the budget	Implementation of the budget 2023	Implementation of the budget minus final budget
Grants received	245,420	245,420	94,461	305,253	–150,959
Income from non-current assets and inventories sold	0	0	46	118	46
Fines and other fines to the extent of asset	33	33	45	296	12
Other income	83	83	339	11,827	256
Interest and dividend income	334	334	30,558	25,903	30,225
EXPENDITURE	**–1,417,668**	**–1,314,695**	**–1,175,224**	**–1,071,752**	**139,471**
Incl. funds with limits	–190,678	–226,879	–160,926	–337,892	65,953
Performance area: TRANSPORT	**0**	**0**	**0**	**–251,887**	**0**
Incl. funds with limits	0	0	0	–136,875	0
Transport competitiveness and mobility programme	**0**	**0**	**0**	**–251,887**	**0**
Incl. funds with limits	0	0	0	–136,875	0
Development and maintenance of rail transport infrastructure	0	0	0	–35,061	0
Incl. funds with limits	0	0	0	–558	0
Development and maintenance of water transport infrastructure	0	0	0	–28,713	0
Incl. funds with limits	0	0	0	–14,269	0
Development and maintenance of air transport infrastructure	0	0	0	–5,041	0
Incl. funds with limits	0	0	0	–5,176	0
Development and maintenance of road transport infrastructure	0	0	0	–43,724	0
Incl. funds with limits	0	0	0	–26,603	0
Urban environment promoting eco-mobility	0	0	0	–6,487	0
Incl. funds with limits	0	0	0	–132	0
Safe and sustainable transport system	0	0	0	–53,382	0
Incl. funds with limits	0	0	0	–13,929	0
Developing and promoting mobility services	0	0	0	–79,480	0
Incl. funds with limits	0	0	0	–76,207	0
Performance area: ENERGY	**0**	**0**	**0**	**–63,692**	**0**
Incl. funds with limits	0	0	0	–27,069	0
Energy and Mineral Resources Programme	**0**	**0**	**0**	**–63,692**	**0**
Incl. funds with limits	0	0	0	–27,069	0

	Initial budget	Final budget	Implementation of the budget	Implementation of the budget 2023	Implementation of the budget minus final budget
Ensuring the supply of electricity and gas	0	0	0	–23,081	0
Incl. funds with limits	0	0	0	–19,465	0
Transport fuel regulation and fuel stock preservation	0	0	0	–5,386	0
Incl. funds with limits	0	0	0	–5,379	0
Efficient production and transmission of heat	0	0	0	–26,747	0
Incl. funds with limits	0	0	0	–338	0
Increasing the energy efficiency	0	0	0	–880	0
Incl. funds with limits	0	0	0	–215	0
Increasing the share of renewable energy in final consumption	0	0	0	–4,047	0
Incl. funds with limits	0	0	0	–400	0
Exploration and exploitation of the subsoil resources	0	0	0	–2,260	0
Incl. funds with limits	0	0	0	–373	0
Geological mapping and the subsoil competence	0	0	0	–1,292	0
Incl. funds with limits	0	0	0	–899	0
Performance area: DIGITAL SOCIETY	**–150,225**	**–123,324**	**–94,878**	**–89,834**	**28,446**
Incl. funds with limits	–61,639	–75,853	–58,807	–61,292	17,047
Digital society programme	**–150,225**	**–123,324**	**–94,878**	**–89,834**	**28,446**
Incl. funds with limits	–61,639	–75,853	–58,807	–61,292	17,047
Development leaps for the digital economy	–3,025	–4,773	–4,830	–4,986	–57
Incl. funds with limits	–1,530	–2,348	–2,174	–2,405	174
Strengthening the digital state	–95,895	–89,567	–65,810	–57,177	23,756
Incl. funds with limits	–45,124	–53,062	–40,032	–35,371	13,029
National cyber security governance and co-ordination	–1,526	–2,003	–960	–1,260	1,043
Incl. funds with limits	–1,017	–1,490	–752	–1,104	739
Developing capacity to analyse trends, risks and impacts	–327	–653	–517	–289	135
Incl. funds with limits	–302	–594	–493	–279	102
Ensuring cyber security	–14,241	–17,586	–14,756	–11,086	2,830
Incl. funds with limits	–10,661	–13,686	–11,283	–7,651	2,403
Ensuring the rule of law	–3,105	–4,831	–4,308	–14,562	523

	Initial budget	Final budget	Implementation of the budget	Implementation of the budget 2023	Implementation of the budget minus final budget
Incl. funds with limits	–2,724	–4,342	–3,771	–14,215	572
Developing access networks	–25,226	–3,722	–3,526	–331	196
Incl. funds with limits	–140	–165	–151	–130	14
Developing the 5G infrastructure and services	–6,881	–190	–171	–143	19
Incl. funds with limits	–140	–166	–151	–138	14
Performance area: RESEARCH AND DEVELOPMENT AND ENTREPRE-NEURSHIP	**–283,307**	**–213,986**	**–153,182**	**–204,271**	**60,804**
Incl. funds with limits	–121,972	–142,995	–95,281	–108,598	47,715
Knowledge transfer programme	**–113,779**	**–111,696**	**–65,271**	–102,094	**46,426**
Incl. funds with limits	–76,028	–84,640	–50,672	–59,160	33,969
Fostering innovation, digital and green transition of enterprises	–110,882	–109,926	–63,809	–100,808	46,117
Incl. funds with limits	–75,595	–84,094	–50,425	–58,699	33,669
Developing research and technology intensive start-ups	–2,897	–1,771	–1,462	–1,286	309
Incl. funds with limits	–434	–546	–246	–461	299
Construction programme	**0**	**0**	**0**	**–24,364**	**0**
Incl. funds with limits	0	0	0	–9,161	0
E-construction	0	0	0	–1,710	0
Incl. funds with limits	0	0	0	–513	0
Developing the quality of the built environment and the construction sector	0	0	0	–1,486	0
Incl. funds with limits	0	0	0	–1,090	0
Housing policy	0	0	0	–21,169	0
Incl. funds with limits	0	0	0	–7,559	0
Programme: Entrepreneurial environment	**–169,529**	**–102,290**	**–87,911**	**–77,813**	**14,378**
Incl. funds with limits	–45,943	–58,355	–44,609	–40,276	13,746
Promoting the development of entrepreneurship	–32,990	–31,575	–26,112	–20,996	5,462
Incl. funds with limits	–22,399	–27,645	–22,741	–14,290	4,903
Promoting business competitiveness and exports	–127,827	–59,347	–54,345	–49,275	5,002
Incl. funds with limits	–14,919	–19,445	–14,496	–18,949	4,949
Fostering technology and development intensive investments	–8,711	–11,368	–7,453	–7,543	3,914

	Initial budget	Final budget	Implementation of the budget	Implementation of the budget 2023	Implementation of the budget minus final budget
Incl. funds with limits	–8,625	–11,266	–7,372	–7,037	3,894
Performance area: WELFARE	**–961,815**	**–955,821**	**–917,801**	**–441,200**	**38,020**
Incl. funds with limits	–7,068	–8,030	–6,839	–4,058	1,192
Labour market programme	**–959,537**	**–953,249**	**–916,054**	**–440,293**	**37,195**
Incl. funds with limits	–5,675	–6,286	–5,571	–3,373	716
Labour market development	–1,160	–1,413	–1,188	–991	225
Incl. funds with limits	–1,136	–1,386	–1,168	–886	218
Active and passive labour market measures	–952,247	–943,924	–907,825	–435,371	36,100
Incl. funds with limits	–530	–568	–505	–199	63
Developing the quality of working life	–6,130	–7,912	–7,042	–3,930	870
Incl. funds with limits	–4,008	–4,333	–3,898	–2,287	435
Gender equality and equal treatment programme	**–2,278**	**–2,572**	**–1,747**	**–907**	**825**
Incl. funds with limits	–1,393	–1,744	–1,268	–685	476
Developing the field of equal treatment	–726	–979	–741	–352	239
Incl. funds with limits	–594	–749	–552	–308	197
Developing the field of gender equality	–1,552	–1,593	–1,006	–555	586
Incl. funds with limits	–799	–994	–715	–377	279
VAT	**–22,319**	**–21,565**	**–9,364**	**–20,868**	**12,201**
INVESTMENTS	**–34,267**	**–36,006**	**–28,177**	**–95,308**	**7,829**
Incl. funds with limits	–14,177	–15,618	–10,866	–48,381	4,752
IT investments	–28,303	–30,372	–22,683	–15,888	7,689
Incl. funds with limits	–14,177	–14,828	–10,454	–8,335	4,373
2022 supplementary budget IT investments	0	0	0	–4,492	0
Incl. funds with limits	0	0	0	–4,492	0
Summary project of the renovation of national roads	0	0	0	–32,488	0
Incl. funds with limits	0	0	0	–32,393	0
Rail Baltic development	0	0	0	–8,265	0
Pärnu–Uulu 2+2 road	0	0	0	–9,987	0
Total other investments	0	–790	–412	–8,557	378

	Initial budget	Final budget	Implementation of the budget	Implementation of the budget 2023	Implementation of the budget minus final budget
Incl. funds with limits	0	–790	–412	–3,161	378
VAT	–5,964	–4,843	–5,082	–15,632	–239
FINANCING TRANSACTIONS	**–186,145**	**–108,400**	**–98,733**	**–171,791**	**9,667**
Incl. funds with limits	–180,000	–180,000	–180,000	–273,800	0
Short-term financial investments	0	0	100	141	100
Holdings in public sector and associated entities	–80,000	–55,000	–55,000	–168,800	0
Incl. funds with limits	–80,000	–55,000	–55,000	–168,800	0
Long-term financial investments, incl. holdings in international organisations	0	–75,000	–125,000	–106,000	–50,000
Incl. funds with limits	0	–75,000	–125,000	–105,000	–50,000
Government grants awarded for the financing activities	–106,145	21,600	81,167	102,868	59,567
Incl. funds with limits	–100,000	–50,000	0	0	50,000
ADJUSTMENTS			**307,347**	**146,174**	
Taxes and social security contributions			310,553	149,006	
Non-monetary government grants received			0	20	
Foreign aid received for intermediation to state agencies			4,216	13,995	
Foreign aid co-financing received from other state agencies			400	599	
Pass-through tax revenue, the difference between accrued and cash expenses			–1,828	–1,066	
Foreign aid and co-financing awarded to other areas of government			–5,994	–16,381	
Area of government of the MINISTRY OF REGIONAL AFFAIRS AND AGRICULTURE					
INCOME	**444,058**	**444,058**	**372,520**	**375,813**	**–71,538**
State fees	1,564	1,564	1,388	1,393	–176
Income from economic activities	12,759	12,759	18,066	12,428	5,306
Grants received	406,724	406,724	321,896	345,466	–84,828
Income from non-current assets and inventories sold	21,500	21,500	21,904	10,856	404
Fines and other fines to the extent of asset	13	13	19	40	6
Environmental charges	1,024	1,024	1,294	1,262	270

	Initial budget	Final budget	Implementation of the budget	Implementation of the budget 2023	Implementation of the budget minus final budget
Other income	84	84	607	582	523
Interest and dividend income	390	390	7,346	3,786	6,956
EXPENDITURE	**–737,246**	**–684,326**	**–635,190**	**–561,235**	**49,136**
Incl. funds with limits	–236,437	–278,408	–258,474	–178,726	19,935
Performance area: AGRICULTURE AND FISHERY	**–496,308**	**–421,103**	**–399,949**	**–421,991**	**21,155**
Incl. funds with limits	–68,590	–77,631	–67,952	–78,318	9,679
Programme: Agriculture, food, and rural affairs	**–482,969**	**–411,376**	**–390,784**	**–403,263**	**20,592**
Incl. funds with limits	–65,740	–74,193	–64,753	–75,609	9,440
Ensuring the good agricultural environment	–64,892	–57,651	–55,527	–53,498	2,124
Incl. funds with limits	–4,641	–5,503	–4,481	–5,362	1,021
Ensuring plant health, animal health and welfare	–26,827	–28,158	–23,979	–25,458	4,179
Incl. funds with limits	–10,038	–12,028	–10,461	–9,327	1,567
Rural and coastal development	–46,411	–27,333	–25,494	–29,840	1,839
Incl. funds with limits	–4,424	–5,469	–4,465	–4,464	1,003
Food safety	–11,588	–14,262	–11,943	–11,435	2,319
Incl. funds with limits	–9,015	–9,449	–8,677	–8,857	772
Land use	–10,250	–9,986	**–9,260**	–9,721	726
Incl. funds with limits	–2,119	–2,463	–2,062	–2,095	400
Land improvement	–12,142	–10,831	–9,829	–9,521	1,002
Incl. funds with limits	–3,281	–3,331	–3,199	–3,653	132
Plant breeding and plant propagating material	–12,568	–16,087	–13,181	–11,623	2,907
Incl. funds with limits	–8,527	–9,127	–7,731	–7,081	1,396
Breeding of farm animals	–5,231	–5,331	–5,182	–5,330	149
Incl. funds with limits	–5,041	–5,135	–5,031	–5,113	104
Competitiveness of farmers and food industries	–116,129	–75,325	–73,204	–79,602	2,121
Incl. funds with limits	–8,131	–8,231	–7,725	–8,792	506
Change of generations	–17,395	–12,947	–12,626	–4,764	321
Incl. funds with limits	–483	–732	–642	–1,133	90
Risk management and balance of agricultural markets	–118,566	–118,444	–117,719	–130,039	725

	Initial budget	Final budget	Implementation of the budget	Implementation of the budget 2023	Implementation of the budget minus final budget
Incl. funds with limits	–2,774	–3,415	–2,782	–13,161	633
Joint action and co-operation	–2,538	–1,552	–1,322	–1,329	230
Incl. funds with limits	–760	–932	–821	–826	112
Export capacity and the image of Estonian food	–2,015	–1,887	–1,583	–2,847	304
Incl. funds with limits	–1,123	–1,282	–1,111	–2,420	171
Organic farming	–36,418	–31,581	–29,936	–28,256	1,645
Incl. funds with limits	–5,381	–7,096	–5,563	–3,325	1,533
Programme: Fisheries	**–13,339**	**–9,727**	**–9,165**	**–18,728**	**563**
Incl. funds with limits	–2,850	–3,438	–3,199	–2,709	239
Commercial fishing	–5,264	–3,191	–3,143	–6,913	48
Incl. funds with limits	–1,034	–1,241	–1,234	–1,343	7
Treatment of live aquatic resources	–3,331	–1,912	–1,888	–9,592	24
Incl. funds with limits	–396	–448	–447	–507	2
Aquaculture	–1,042	–451	–433	–1,144	18
Incl. funds with limits	–163	–167	–166	–264	1
Implementing the EMFF environmental measures	–2,637	–1,397	–1,372	–523	26
Incl. funds with limits	–211	–258	–255	–234	3
Management and conservation of fish stocks	–1,065	–2,776	–2,330	–556	446
Incl. funds with limits	–1,046	–1,324	–1,097	–361	226
Performance area: WELFARE	**0**	**0**	**0**	**–17**	**0**
Incl. funds with limits	0	0	0	–16	0
Social welfare programme	**0**	**0**	**0**	**–17**	**0**
Incl. funds with limits	0	0	0	–16	0
Performance area: DIGITAL SOCIETY	**0**	**0**	**0**	**–903**	**0**
Incl. funds with limits	0	0	0	–902	0
Digital society programme	**0**	**0**	**0**	**–903**	**0**
Incl. funds with limits	0	0	0	–902	0
Ensuring the rule of law	0	0	0	–903	0
Incl. funds with limits	0	0	0	–902	0

	Initial budget	Final budget	Implementation of the budget	Implementation of the budget 2023	Implementation of the budget minus final budget
Performance area: EFFECTIVE STATE	**–103,229**	**–101,927**	**–79,893**	**–59,729**	**22,034**
Incl. funds with limits	–37,378	–48,114	–40,555	–24,725	7,560
Programme: Regional policy	**–103,229**	**–101,927**	**–79,893**	**–59,729**	**22,034**
Incl. funds with limits	–37,378	–48,114	–40,555	–24,725	7,560
Regional policy, development of regions and cross-border co-operation	–53,442	–45,749	–40,782	–42,918	4,967
Incl. funds with limits	–19,933	–25,509	–20,772	–11,804	4,737
Local government policy and financing	–30,916	–33,670	–19,497	–7,332	14,173
Incl. funds with limits	–2,042	–4,720	–4,543	–5,319	176
Designing and organising spatial planning policy	–4,798	–5,483	–3,828	–1,874	1,655
Incl. funds with limits	–4,740	–5,264	–3,711	–1,847	1,553
Organising land operations	–6,343	–9,365	–7,941	–3,630	1,424
Incl. funds with limits	–3,730	–5,663	–4,890	–2,117	773
Spatial data capture, analysis and making available	–7,731	–7,661	–7,845	–3,974	–185
Incl. funds with limits	–6,932	–6,959	–6,638	–3,639	321
Performance area: RESEARCH AND DEVELOPMENT AND ENTREPRE-NEURSHIP	**0**	**0**	**0**	**–10**	**0**
Incl. funds with limits	0	0	0	–9	0
Entrepreneurial environment programme	**0**	**0**	**0**	**–10**	**0**
Incl. funds with limits	0	0	0	–9	0
Performance area: TRANSPORT	**–130,485**	**–154,091**	**–150,099**	**–74,764**	**3,993**
Incl. funds with limits	–130,469	–152,663	–149,967	–74,757	2,696
Programme: Public transport	**–130,485**	**–154,091**	**–150,099**	**–74,764**	**3,993**
Incl. funds with limits	–130,469	–152,663	–149,967	–74,757	2,696
Developing and promoting public transport service	–130,485	–154,091	–150,099	–74,764	3,993
Incl. funds with limits	–130,469	–152,663	–149,967	–74,757	2,696
VAT	**–7,224**	**–7,204**	**–5,250**	**–3,822**	**1,954**
INVESTMENTS	**–6,134**	**–19,324**	**–13,018**	**–12,778**	**6,306**
Incl. funds with limits	–3,015	–4,553	–3,295	–3,645	1,258
Incl. VAT	–568	–1,067	–2,028	–1,715	–961

	Initial budget	Final budget	Implementation of the budget	Implementation of the budget 2023	Implementation of the budget minus final budget
FINANCING TRANSACTIONS	**3,900**	**41,840**	**42,000**	**20,966**	**160**
Incl. funds with limits	0	24,840	–20,000	0	–44,840
Loan receivables	3,900	3,900	3425	2,240	–475
Holdings in public sector and associated entities	0	44,840	24,840	0	–20,000
Incl. funds with limits	0	44,840	–20,000	0	–64,840
Government grants awarded for the financing activities	0	–6,900	13,735	18,726	20,635
Incl. funds with limits	0	–20,000	0	0	20,000
ADJUSTMENTS			**–733,834**	**–290,181**	
Foreign aid co-financing received from other state agencies			385	408	
Received for intermediation to other state agencies			2,222	4,173	
Grant and equalisation fund for local governments (reflected in the section of the budget of the Government of the Republic)			–729,221	–289,784	
Doubtful receivables (reversed income)			52	26	
Doubtful receivables (reversed expenses)			–52	–26	
Carrying amount of non-current assets sold			–2,364	0	
Foreign aid and co-financing awarded to other state agencies			–2,773	–4,878	
Non-monetary government grants awarded			–2,083	–100	
Area of government of the MINISTRY OF FINANCE					
INCOME	**14,313,787**	**14,301,037**	**14,262,155**	**13,055,029**	**–38,882**
Taxes and social security contributions	14,088,740	14,075,990	13,975,901	12,810,633	–100,089
Grants received	27,933	27,933	24,262	27,575	–3,672
State fees	670	670	642	1,146	–28
Income from economic activities	836	836	1,188	1,553	352
Income from non-current assets and inventories sold	53	53	64	132	11
Fines and other fines to the extent of asset	370	370	223	1,194	–147
Other income	10,720	10,720	17,845	22,187	7,125
Interest and dividend income	184,465	184,465	242,031	190,609	57,566
EXPENDITURE	**–446,220**	**–478,448**	**–478,801**	**–371,565**	**–354**

	Initial budget	Final budget	Implementation of the budget	Implementation of the budget 2023	Implementation of the budget minus final budget
Incl. funds with limits	–121,043	–139,658	–123,359	–120,321	16,299
Performance area: EFFECTIVE STATE	**–439,464**	**–471,869**	**–472,138**	**–366,053**	**–269**
Incl. funds with limits	–121,043	–139,658	–123,359	–120,321	16,299
Programme: Public finance	**–331,486**	**–334,979**	**–354,168**	**–250,877**	**–19,189**
Incl. funds with limits	–61,938	–65,062	–61,336	–58,726	3,727
Budgetary policy-making	–14,329	–14,448	–14,011	–12,335	437
Incl. funds with limits	–5,495	–6,130	–4,865	–3,805	1,265
Organisation and supervision of public finances	–258,649	–256,294	–281,631	–181,480	–25,337
Incl. funds with limits	–1,436	–1,386	–1,241	–1,276	145
Tax and customs policy-making	–1,669	–2,269	–1,203	–1,582	1,066
Incl. funds with limits	–1,662	–1,542	–1,203	–1,537	339
Tax and customs administration	–56,839	–61,968	–57,323	–55,479	4,645
Incl. funds with limits	–53,344	–56,004	–54,026	–52,107	1,978
Programme: Administrative policy	**–99,982**	**–126,592**	**–109,555**	**–72,305**	**17,037**
Incl. funds with limits	–51,266	–64,643	–53,949	–46,157	10,694
Formulation of public administration and personnel policy	–25,856	–38,941	–31,401	–3,609	7,540
Incl. funds with limits	–3,070	–7,538	–3,063	–2,913	4,476
Provision of support services and implementation of grants in the State Shared Service Centre	–21,865	–25,120	–21,536	–19,767	3,584
Incl. funds with limits	–12,158	–13,964	–12,600	–10,994	1,364
Developing and organising ICT at the Information Technology Centre of the Ministry of Finance	–30,594	–35,213	–33,859	–28,138	1,354
Incl. funds with limits	–16,436	–20,081	–18,158	–14,451	1,924
Organisation of central support services for the common building of ministries	–8,759	–10,555	–8,653	–6,985	1,902
Incl. funds with limits	–8,655	–10,451	–8,488	–6,906	1,963
National statistics and the relevant policy-making	–12,908	–16,764	–14,106	–13,807	2,657
Incl. funds with limits	–10,947	–12,608	–11,641	–10,892	967
Programme: Regional policy	**0**	**0**	**0**	**–36,021**	**0**
Incl. funds with limits	0	0	0	–8,898	0

	Initial budget	Final budget	Implementation of the budget	Implementation of the budget 2023	Implementation of the budget minus final budget
Regional policy, development of regions and cross-border co-operation	0	0	0	–32,775	0
Incl. funds with limits	0	0	0	–5,756	0
Local government policy and financing	0	0	0	–2,108	0
Incl. funds with limits	0	0	0	–2,019	0
Designing and organising spatial planning policy	0	0	0	–1,138	0
Incl. funds with limits	0	0	0	–1,123	0
Programme: Financial policy	**–7,996**	**–10,298**	**–8,415**	**–6,849**	**1,883**
Incl. funds with limits	–7,838	–9,952	–8,074	–6,541	1,879
Financial policy-making	–1,250	–1,763	–1,414	–1,046	349
Incl. funds with limits	–1,246	–1,759	–1,366	–1,014	393
Financial information policy-making	–6,746	–8,535	–7,002	–5,803	1,534
Incl. funds with limits	–6,593	–8,194	–6,708	–5,527	1,486
VAT	**–6,755**	**–6,578**	**–6,663**	**–5,512**	**–85**
INVESTMENTS	**–30,688**	**–27,728**	**–24,190**	**–22,603**	**3,537**
Incl. funds with limits	–19,384	–21,196	–18,541	–15,797	2,656
IT investments	–22,610	–20,252	–16,511	–12,032	3,741
Incl. funds with limits	–19,144	–17,305	–15,294	–9,007	2,011
Total other investments	–2,640	–3,786	–3,321	–6,790	465
Incl. funds with limits	–240	–3,891	–3,247	–6,790	645
VAT	–5,438	–3,690	–4,358	–3,781	–668
FINANCING TRANSACTIONS	**1,548,095**	**1,441,055**	**825,656**	**1,240,640**	**–615,399**
Incl. funds with limits	–38	–38	–19	–72	19
Loan liabilities	1,567,962	1,460,923	1,480,716	810,621	19,793
Incl. funds with limits	–38	–38	–19	–72	19
Short-term financial investments	0	0	–662,640	485,574	–662,640
Long-term financial investments, incl. holdings in international organisations	–26,910	–26,910	–211	–62,301	26,699
Loan receivables	7,050	7,050	7,795	6,760	745
VAT	–8	–8	–4	–14	3

	Initial budget	Final budget	Implementation of the budget	Implementation of the budget 2023	Implementation of the budget minus final budget
ADJUSTMENTS			**–7,406,505**	**–7,660,724**	
Difference between accrued and cash tax revenue			292,788	40,078	
Non-monetary government grants received			27	102	
Non-monetary government grants awarded			–1	–58	
Pass-through taxes (reflected in other sections of the budget)			–7,413,472	–6,896,240	
Grant and equalisation fund for local governments (reflected in the section of the budget of the Government of the Republic)			0	–464,975	
European Union payments (reflected in the section of the budget of the Government of the Republic)			–285,231	–339,632	
Doubtful taxes (reversed income)			42,042	32,110	
Doubtful fines (reversed income)			24	20	
Doubtful late interest and other income (reversed income)			6,230	5,677	
Doubtful taxes, fines, and late interest (reversed expenses)			–48,297	–37,807	
Foreign aid intermediated to other areas of government (reversed income)			3,326	4,708	
Foreign aid co-financing received from other areas of government			617	763	
Foreign aid and co-financing intermediated to other areas of government			–4,489	–5,470	
Carrying amount of non-current assets sold			–70	0	
Capitalised labour costs (increase in investment)			0	–27	
Capitalised labour costs (reduction of expenditure)			0	27	
Area of government of the MINISTRY OF THE INTERIOR					
INCOME	**88,309**	**88,309**	**62,192**	**60,425**	**–26,117**
State fees	16,428	16,428	13,346	14,354	–3,082
Income from economic activities	3,712	3,712	5,759	5,342	2,046
Grants received	44,490	44,490	19,685	20,249	–24,805
Income from non-current assets and inventories sold	3,963	3,963	13	14	–3,950
Fines and other fines to the extent of asset	19,015	19,015	22,391	18,662	3,376
Other income	702	702	998	1,804	297
EXPENDITURE	**–534,499**	**–597,956**	**–552,192**	**–549,992**	**45,764**
Incl. funds with limits	–459,351	–512,880	–477,460	–477,417	35,421

	Initial budget	Final budget	Implementation of the budget	Implementation of the budget 2023	Implementation of the budget minus final budget
Performance area: INTERNAL SECURITY	**–492,365**	**–555,098**	**–511,278**	**–512,029**	**43,820**
Incl. funds with limits	–443,573	–495,803	–462,297	–461,257	33,506
Programme: Internal security	**–492,365**	**–555,098**	**–511,278**	**–512,029**	**43,820**
Incl. funds with limits	–443,573	–495,803	–462,297	–461,257	33,506
Designing a safe environment	–16,297	–19,549	–18,890	–17,103	659
Incl. funds with limits	–15,861	–18,834	–18,336	–16,539	498
Preventing accidents, crime, and damage to property	–13,692	–13,923	–9,423	–15,028	4,501
Incl. funds with limits	–12,267	–12,254	–8,427	–12,873	3,827
Issuing licences for activities and weapons	–2,286	–2,607	–2,592	–2,409	14
Incl. funds with limits	–2,102	–2,288	–2,243	–2,159	44
Involving internal security volunteers	–4,275	–7,485	–7,559	–7,779	–74
Incl. funds with limits	–4,256	–7,427	–7,502	–7,655	–76
Receiving emergency and information messages and dispatching assistance	–11,701	–13,660	–12,356	–11,859	1,304
Incl. funds with limits	–10,945	–12,153	–11,692	–11,153	461
Improving the efficiency of criminal proceedings	–42,685	–40,171	–37,121	–35,534	3,049
Incl. funds with limits	–41,041	–37,868	–35,512	–34,193	2,356
Ensuring public order	–75,964	–83,418	–78,586	–75,787	4,832
Incl. funds with limits	–72,336	–78,989	–74,982	–71,445	4,007
Demining	–4,574	–7,236	–6,626	–5,537	609
Incl. funds with limits	–4,273	–6,920	–5,934	–4,998	987
Rescue on land and inland waterways	–85,662	–97,002	–89,794	–83,256	7,208
Incl. funds with limits	–81,037	–90,783	–84,491	–78,183	6,293
Provision of assistance in the Estonian rescue area	–16,023	–18,341	–15,869	–14,669	2,473
Incl. funds with limits	–12,390	–13,972	–12,368	–10,217	1,604
Ensuring constitutional order	–43,661	–50,592	–50,461	–62,119	131
Incl. funds with limits	–43,469	–50,400	–50,248	–61,804	152
Fight against serious and organised crime	–41,386	–42,496	–40,787	–39,997	1,708
Incl. funds with limits	–37,731	–39,681	–38,032	–37,361	1,649
Civil protection, crisis preparedness and response	–4,189	–12,814	–9,275	–11,476	3,539

	Initial budget	Final budget	Implementation of the budget	Implementation of the budget 2023	Implementation of the budget minus final budget
Incl. funds with limits	–3,853	–12,476	–8,475	–10,896	4,001
Border management	–54,684	–59,905	–55,626	–55,255	4,279
Incl. funds with limits	–41,365	–45,032	–42,201	–43,811	2 831
Security and personal protection	–9,865	–11,353	–10,970	–10,656	383
Incl. funds with limits	–9,712	–11,118	–10,739	–10,397	379
Designing and implementing migration and citizenship policies	–10,815	–12,414	–10,717	–11,854	1,697
Incl. funds with limits	–7,783	–9,828	–8,686	–8,520	1,142
Serious identification of persons and issuing of documents	–19,652	–22,293	–19,073	–19,774	3,220
Incl. funds with limits	–11,955	–13,896	–12,388	–12,207	1,509
Migration monitoring	–7,295	–9,402	–8,359	–8,712	1,042
Incl. funds with limits	–6,106	–7,668	–7,071	–7,731	597
Level training and in-service training at the Estonian Academy of Security Sciences	–22,910	–24,071	–21,994	–18,116	2,077
Incl. funds with limits	–20,723	–18,970	–18,583	–14,917	387
Research, development, and innovation of the Estonian Academy of Security Sciences	–2,749	–4,084	–2,953	–2,747	1,131
Incl. funds with limits	–2,740	–3,243	–2,495	–2,348	748
Provision of ICT services outside the area of government of the Ministry of the Interior	–1,999	–2,283	–2,247	–2,363	36
Incl. funds with limits	–1,628	–2,002	–1,892	–1,849	110
Performance area: COHESIVE SOCIETY	**–17,759**	**–19,538**	**–16,749**	**–17,065**	**2,789**
Incl. funds with limits	–15,778	–17,077	–15,163	–16,159	1,915
Programme: Estonian community programme	**–5,215**	**–4,988**	**–4,509**	–5,057	**479**
Incl. funds with limits	–4,415	–4,759	–4,292	–5,013	467
Supporting community development	–4,410	–4,106	–3,630	–3,977	476
Incl. funds with limits	–3,611	–3,879	–3,416	–3,935	463
Ensuring religious freedom	–805	–883	–879	–1,080	4
Incl. funds with limits	–803	–880	–876	–1,077	4
Programme: Smart population census	**–7,357**	**–9,363**	**–7,053**	–6,769	**2,310**
Incl. funds with limits	–6,177	–7,131	–5,683	–5,907	1,448

	Initial budget	Final budget	Implementation of the budget	Implementation of the budget 2023	Implementation of the budget minus final budget
Increasing the quality of population registration data	–4,001	–5,032	–3,872	–3,740	1,161
Incl. funds with limits	–3,438	–3,942	–3,206	–3,361	736
Improving the user-friendliness of the population register	–3,356	–4,330	–3,181	–3,029	1,149
Incl. funds with limits	–2,738	–3,189	–2,477	–2,547	712
Programme: Financing of political parties	**–5,187**	**–5,187**	**–5,187**	–5,239	**0**
Incl. funds with limits	–5,187	–5,187	–5,187	–5,239	0
Financing of political parties	–5,187	–5,187	–5,187	–5,239	0
Incl. funds with limits	–5,187	–5,187	–5,187	–5,239	0
VAT	**–24,375**	**–23,320**	**–24,165**	**–20,897**	**–845**
INVESTMENTS	**–65,382**	**–78,327**	**–46,266**	**–55,162**	**32,061**
Incl. funds with limits	–24,626	–50,762	–30,283	–38,501	20,479
Means of transport	–27,971	–17,975	–11,013	–9,862	6,962
Incl. funds with limits	–9,370	–17,961	–10,999	–9,261	6,962
Other investments	0	–11,780	–4,977	0	6,803
Incl. funds with limits	0	–7,588	–4,110	0	3,479
Total other investments	–26,186	–42,016	–22,046	–36,175	19,970
Incl. funds with limits	–15,256	–25,213	–15,174	–29,241	10,038
VAT	–11,224	–6,557	–8,230	–9,124	–1,674
ADJUSTMENTS			**–100,703**	**–163,150**	
Non-monetary grants received			1,749	572	
Foreign aid co-financing received from other state agencies			210	604	
Foreign aid received for intermediating to other state agencies			827	578	
Foreign aid and co-financing awarded to other state agencies			–1,065	–685	
Forwarding of traffic fines (recorded as implementation of the budget of the Government of the Republic)			–210	–24	
Doubtful fines (reversed income)			1,170	1 238	
Doubtful fines (reversed expenses)			–1,170	–1,238	
Doubtful other receivables (reversed income)			4	0	
Doubtful other receivables (reversed expenses)			–4	0	

	Initial budget	Final budget	Implementation of the budget	Implementation of the budget 2023	Implementation of the budget minus final budget
Non-monetary government grants awarded and expenditure incurred with non-monetary grants			–176	–572	
Capitalised labour costs (increase in investment)			–1,473	–1,520	
Capitalised labour costs (reduction of expenditure)			1,473	1,520	
Adjustment by payment of special pensions and pension increases			703	375	
Public sector special pensions and pension increases			–57,300	–118,957	
Interest expense on provisions			–45,442	–45,039	
Area of government of the MINISTRY OF SOCIAL AFFAIRS					
INCOME	**74,743**	**74,743**	**65,256**	**162,825**	**–9,487**
State fees	424	424	323	310	–101
Income from economic activities	7,788	7,788	6,947	8,935	–840
Grants received	66,039	66,039	57,273	152,864	–8,766
Income from non-current assets and inventories sold	0	0	0	0	0
Fines and other fines to the extent of asset	10	10	8	36	–2
Other income	483	483	705	681	222
EXPENDITURE	**–7,217,231**	**–7,260,204**	**–7,072,502**	**–7,467,013**	**187,702**
Incl. funds with limits	–328,962	–367,417	–331,292	–364,471	36,125
Performance area: WELFARE	**–4,710,435**	**–4,723,180**	**–4,592,466**	**–5,061,997**	**130,714**
Incl. funds with limits	–122,075	–141,246	–120,649	–125,649	20,597
Labour market programme	**–17,262**	**–17,711**	**–16,988**	**–473,151**	**723**
Incl. funds with limits	–2,112	–2,720	–2,532	–6,811	187
Labour market development	0	0	0	–1,233	0
Incl. funds with limits	0	0	0	–1,127	0
Active and passive labour market measures	–347	0	0	–452,247	0
Incl. funds with limits	0	0	0	–322	0
Developing the quality of working life	–16,503	–17,250	–16,585	–17,241	665
Incl. funds with limits	–1,777	–2,336	–2,188	–3,609	148
Coping and working life of people with special needs	–412	–461	–403	–2,430	58

	Initial budget	Final budget	Implementation of the budget	Implementation of the budget 2023	Implementation of the budget minus final budget
Incl. funds with limits	–335	–384	–344	–1,753	40
Programme for the elderly	**–3,537,231**	**–3,538,897**	**–3,501,493**	**–3,426,233**	**37,404**
Incl. funds with limits	–6,556	–7,889	–6,661	–10,071	1,227
Supporting the well-being of the elderly and their participation in society	–651	–593	–235	–3,935	357
Incl. funds with limits	–132	–175	–173	–3,935	1
Designing the pension system and paying benefits	–3,536,580	–3,538,304	–3,501,258	–3,422,299	37,046
Incl. funds with limits	–6,424	–7,714	–6,488	–6,136	1,226
Social welfare programme	**–154,170**	**–158,383**	**–140,364**	**–162,907**	**18,019**
Incl. funds with limits	–68,378	–80,373	–71,389	–72,214	8,984
Designing long-term care policies, empowering local governments	–14,135	–9,309	–6,481	–6,919	2,828
Incl. funds with limits	–4,200	–4,997	–3,851	–4,384	1,147
Ensuring access to welfare services, supporting subsistance	–140,034	–149,074	–133,883	–155,988	15,191
Incl. funds with limits	–64,178	–75,375	–67,538	–67,830	7,837
Programme for children and families	**–1,001,126**	**–1,006,857**	**–932,836**	**–998,399**	**74,021**
Incl. funds with limits	–44,400	–49,434	–39,358	–35,424	10,076
Benefits and allowances for children and families	–950,781	–952,132	–891,900	–960,503	60,232
Incl. funds with limits	–5,624	–6,834	–5,904	–6,038	930
Support services for children and families in need	–34,364	–33,992	–26,989	–25,018	7,003
Incl. funds with limits	–27,251	–29,490	–22,689	–19,866	6,801
Developing and providing measures to support children and families	–2,439	–5,253	–2,675	–2,840	2,578
Incl. funds with limits	–2,045	–2,439	–2,165	–1,921	273
Developing the area of children and families and victim support	–5,122	–6,059	–3,734	–2,334	2,324
Incl. funds with limits	–3,080	–3,646	–2,735	–1,804	911
Services for victims and perpetrators of violence	–8,420	–9,422	–7,538	–7,703	1,884
Incl. funds with limits	–6,399	–7,026	–5,865	–5,795	1,161
Gender equality and equal treatment programme	**–646**	**–1,331**	**–784**	**–1,307**	**547**
Incl. funds with limits	–628	–831	–709	–1,129	122
Developing the field of equal treatment	0	0	0	–303	0
Incl. funds with limits	0	0	0	–295	0

	Initial budget	Final budget	Implementation of the budget	Implementation of the budget 2023	Implementation of the budget minus final budget
Developing the field of gender equality	0	0	0	–443	0
Incl. funds with limits	0	0	0	–303	0
Commissioner for Gender Equality and Equal Treatment	–646	–1,331	–784	–561	547
Incl. funds with limits	–628	–831	–709	–532	122
Performance area: HEALTH	**–2,499,492**	**–2,529,232**	**–2,472,892**	**–2,396,426**	**56,339**
Incl. funds with limits	–206,888	–226,171	–210,643	–238,822	15,528
Health supportive environment programme	**–9,781**	**–13,909**	**–10,973**	**–10,303**	**2,936**
Incl. funds with limits	–6,642	–8,775	–8,147	–7,639	627
Creating an environment that supports and improves health	–1,021	–2,072	–969	–953	1,103
Incl. funds with limits	–996	–1,271	–871	–881	400
Health risks related to water, air, noise, and radiation	–3,052	–4,153	–3,158	–2,864	996
Incl. funds with limits	–2,019	–2,599	–2,477	–2,281	122
Safety of chemicals and risk reduction	–977	–1,935	–1,829	–1,730	106
Incl. funds with limits	–936	–1,653	–1,624	–1,644	29
Product and service safety and risk reduction	–4,731	–5,749	–5,017	–4,756	731
Incl. funds with limits	–2,692	–3,252	–3,175	–2,833	77
Healthy choices programme	**–26,124**	**–34,355**	**–26,304**	**–25,858**	**8,050**
Incl. funds with limits	–23,930	–26,116	–22,340	–20,646	3,776
Organising health risk prevention and health promotion activities	–8,756	–15,099	–9,355	–9,644	5,744
Incl. funds with limits	–7,252	–8,296	–6,207	–5,823	2,089
Mental health promotion	–3,757	–5,278	–3,496	–2,549	1,782
Incl. funds with limits	–3,723	–4,774	–3,290	–2,412	1,485
Promoting a balanced diet and physical activity	–1,206	–1,042	–864	–1,223	178
Incl. funds with limits	–553	–583	–575	–431	8
Preventing and reducing drug use	–5,418	–5,909	–5,602	–6,036	307
Incl. funds with limits	–5,416	–5,439	–5,293	–5,644	147
Preventing the spread of infectious diseases (HIV, TB, and hepatitis)	–6,987	–7,027	–6,987	–6,405	40
Incl. funds with limits	–6,986	–7,024	–6,976	–6,336	48
Human-centred health care programme	**–2,463,587**	**–2,480,968**	**–2,435,615**	**–2,360,265**	**45,353**

	Initial budget	Final budget	Implementation of the budget	Implementation of the budget 2023	Implementation of the budget minus final budget
Incl. funds with limits	–176,316	–191,280	–180,156	–210,538	11,124
Developing people-centred health care	–3,392	–5,222	–3,459	–7,646	1,762
Incl. funds with limits	–3,079	–3,885	–2,852	–5,071	1,034
People's health education and protection of fundamental rights	–46,233	–42,966	–37,721	–2,245	5,245
Incl. funds with limits	–14,863	–14,908	–9,664	0	5,245
Staff capacity, management, and accountability	–7,605	–7,657	–5,712	–8,223	1,946
Incl. funds with limits	–5,430	–5,482	–5,268	–6,415	214
Redesigning the health care service models	–11,421	–12,447	–10,305	–87,333	2,141
Incl. funds with limits	–8,029	–12,436	–10,502	–17,097	1,934
Quality of the health system and patient safety	–3,486	–5,429	–4,408	–3,259	1,020
Incl. funds with limits	–3,082	–4,462	–3,736	–2,630	726
Reducing health inequalities and ensuring health insurance coverage	–2,378,335	–2,385,860	–2,358,717	–2,223,298	27,142
Incl. funds with limits	–134,682	–140,822	–139,515	–157,427	1,307
Developing the medicine and medical devices sector	–926	–1,435	–946	–823	488
Incl. funds with limits	–904	–1,154	–840	–761	314
Access to medicines, blood products, medical devices	–9,461	–14,288	–9,872	–9,216	4,416
Incl. funds with limits	–3,954	–4,466	–4,335	–4,214	131
Preventing the spread of infectious diseases (vaccination, antimicrobial resistance)	–2,728	–5,666	–4,474	–18,223	1,192
Incl. funds with limits	–2,293	–3,665	–3,445	–16,922	220
VAT	**–7,304**	**–7,792**	**–7,144**	**–8,590**	**648**
INVESTMENTS	**–11,375**	**–23,478**	**–16,709**	**–17,999**	**6,769**
Incl. funds with limits	–5,725	–6,844	–4,576	–6,507	2,268
Incl. VAT	–1,970	–2,770	–2,950	–2,983	–179
ADJUSTMENTS			**5,050 864**	**5,136,877**	
Taxes and social security contributions			5,069,213	4,912,047	
Surplus/deficit from revaluation of holdings			0	95	
Pass-through tax revenue, the difference between accrued and cash expenses			–3,898	–5,656	
Interest expense of provisions			–97,621	–79,995	

	Initial budget	Final budget	Implementation of the budget	Implementation of the budget 2023	Implementation of the budget minus final budget
Foreign aid co-financing received from other state agencies			1 526	892	
Foreign aid and co-financing intermediated to other areas of government			0	–1,985	
Foreign aid intermediated to other areas of government (reversed income)			0	1,428	
Doubtful receivables (reversed income)			–47	55	
Doubtful receivables (reversed expenses)			47	–55	
Four per cent payments of funded pension in the expenditure of the budget, elimination			0	270,482	
Formation of pension provisions			–44,567	–67,725	
Payments of pension provisions (elimination from expenses)			126,211	107,293	
Area of government of the MINISTRY OF FOREIGN AFFAIRS					
INCOME	**13,497**	**13,497**	**10,931**	**5,585**	**–2,566**
State fees	2,000	2,000	1,286	1,435	–714
Income from economic activities	0	0	4	4	4
Grants received	11,254	11,254	8,982	3,465	–2,272
Income from non-current assets and inventories sold	243	243	0	128	–243
Other income	0	0	643	605	643
Interest and dividend income	0	0	15	–52	15
EXPENDITURE	**–128,555**	**–131,593**	**–118,132**	**–114,379**	**13,460**
Incl. funds with limits	–110,084	–114,181	–100,723	–105,511	13,458
Performance area: FOREIGN POLICY	**–127,524**	**–130,562**	**–116,781**	**–113,306**	**13,781**
Incl. funds with limits	–110,084	–114,181	–100,723	–105,511	13,458
Foreign policy and development co-operation programme	**–127,524**	**–130,562**	**–116,781**	**–113,306**	**13,781**
Incl. funds with limits	–110,084	–114,181	–100,723	–105,511	13,458
Strengthening Estonia’s security environment	–29,741	–29,467	–26,610	–27,959	2,857
Incl. funds with limits	–27,735	–27,396	–24,174	–26,146	3,221
Estonia’s foreign policy engagement on global issues	–22,353	–23,726	–22,320	–20,584	1,406
Incl. funds with limits	–20,348	–21,655	–19,885	–19,119	1,770
Resolving legal, consular, sanction, and strategic goods issues	–20,117	–21,076	–19,758	–18,380	1,319

	Initial budget	Final budget	Implementation of the budget	Implementation of the budget 2023	Implementation of the budget minus final budget
Incl. funds with limits	–18,112	–18,836	–17,104	–16,745	1,732
Promoting and protecting Estonia's foreign economic interests	–22,601	–22,007	–18,758	–12,718	3,249
Incl. funds with limits	–12,178	–13,044	–11,440	–10,637	1,604
Development cooperation and humanitarian aid coordination	–32,713	–34,285	–29,335	–33,666	4,950
Incl. funds with limits	–31,711	–33,250	–28,119	–32,863	5,130
VAT	**–1,031**	**–1,031**	**–1,351**	**–1,073**	**–320**
INVESTMENTS	**–5,789**	**–23,597**	**–16,527**	**–12,959**	**7,070**
Incl. funds with limits	–3 230	–7,548	–5,351	–10,016	2,197
Incl. VAT	–482	–484	–461	–537	23
ADJUSTMENTS			**47**	**11**	
Foreign aid co-financing received from other state agencies			47	11	

Explanations to the state budget implementation report are given in Note a31. Initial and final budget – see Note a31A, a31B.

2.6 Accounting methods and valuation principles

These annual accounts have been prepared in accordance with the Estonian financial reporting standard and the State Budget Act. The basic requirements of the Estonian financial reporting standard have been set forth in the Accounting Act and supplemented with the guidelines issued by the Estonian Accounting Standards Board, incl. the public sector financial accounting and reporting guidelines. The Estonian financial reporting standard is based on internationally acknowledged financial reporting standards, including the International Public Sector Accounting Standards.

In the unconsolidated annual accounts of the state, state accounting entities have been consolidated line-by-line and include, pursuant to the Accounting Act, all ministries within their area of government, the Government Office of Estonia and the constitutional institutions – the *Riigikogu*, the President of the Republic, the National Audit Office, the Chancellor of Justice, and the Supreme Court. According to the State Budget Act, state accounting entities are also administrative subjects of the state budget concerning whom the state budget implementation report has been prepared. The list of the state accounting entities included in the unconsolidated annual accounts of the state has been disclosed in Note a1 A to the annual accounts.

In the unconsolidated annual accounts of the state, the financial data of the foundations and subsidiaries which are under the controlling influence of the state, and the profit-making state agency State Forest Management Centre have been consolidated line-by-line in addition to the unconsolidated financial data of the state. The list of the foundations and subsidiaries included in the consolidated report and their major economic indicators have been disclosed in Note a1 B to the report.

The annual accounts have been prepared in accordance with the cost principle, except for held-for-trading securities, financial assets and liabilities held for resale, derivative transactions and biological assets grown for profit, which are reported in their fair value.

Functional and presentation currency

The functional currency is the currency of the primary economic environment. The presentation currency is the euro. The reports have been rounded to the nearest hundred thousand, except for the state budget implementation report, which has been rounded to the nearest thousand.

Classification of assets and liabilities into current and non-current

In the balance sheet, assets and liabilities have been classified into current and non-current based on whether a liability is expected to be held for up to one year or longer, calculated from the balance sheet date.

Cash and cash equivalents

The cash item in the balance sheet includes cash at hand, bank account balances (except for overdraft) and short-term deposits or deposits terminated before maturity with a remaining term of up to one year. The interests accrued and not received on deposits by the balance sheet date are recognised as accrued income.

Financial investments

Short-term financial investments include securities held for short-term trading (shares, bonds, fund units, etc.) and securities with a fixed maturity date within 12 months after the balance sheet date. Long-term financial investments reflect securities unlikely to be sold within the nearest 12 months (except for holdings where the reporting entity exercises controlling influence, given by voting right starting from 20 per cent of holdings) and securities with a fixed maturity date of more than 12 months after the balance sheet date.

Financial investments (except for debt instruments held to maturity) are recorded in their fair value if it can be estimated reliably. The stock market price of the balance sheet day is used as fair value. If fair value cannot be estimated reliably, financial investments are recorded according to the adjusted cost method (i.e. the original cost less write-downs if the value covered by the investment has dropped below the book value).

Financial investments into bonds and other debt instruments held until the maturity date are recognised at adjusted cost by using the effective interest rate.

Purchases and sales of financial investments are recognised on the transaction date.

Tax, state fee, fine and other receivables

Tax, state fee, fine and other receivables are recognised in the balance sheet according to the amortised cost method. Receivables are recognised in the balance sheet as the right of claim arises and are estimated based on collectible amounts. Certain receivables are originally recognised off-balance-sheet upon determining, until their receipt is considered likely (tax decisions, court judgements). If possible, the receivables from each customer are evaluated separately for each specific customer, taking into account any available information about the customer's solvency. The recoverability of a large number of receivables of the same category is evaluated on a group basis, taking into account the statistics of previous periods on the receipt of similar receivables. Doubtful receivables are written down to their doubtless collectible value. The receivables received in the reporting period and charged to costs are recognised as a reduction in the expenditure on doubtful receivables in the reporting period. Irrecoverable receivables were withdrawn from the balance sheet. A receivable is treated as irrecoverable if the management board is of the opinion that it is impossible to recover the receivable.

Long-term receivables are recognised at present value of the consideration receivable, taking into account the interest income on the receivable in the following periods, using the effective interest rate method.

Tax receivables and tax penalties are evaluated individually if total receivables per customer exceed 60 thousand euros. In estimating the remaining tax and interest receivables as doubtful, the following approximate method is used: receivables from legal persons have been written down by 100 per cent if their payment deadline is overdue by more than 180 days; receivables from natural persons have been written down by 100 per cent if their payment deadline is overdue by more than 360 days.

Derivatives

Derivatives are recognised at fair value and the fair value change is generally recognised in the statement of financial performance. If the goals of hedging and the strategy for hedging transactions have been determined, the link between a derivative considered a hedging instrument and the hedged object has been documented at the time of entry into the transaction, and the derivative is deemed very efficient in terms of hedging throughout the validity of the derivative, the effective portion of the fair value change can be recognised in net assets as a change in hedging reserve.

Inventories

Finished goods and work-in-progress are recognised at manufacturing costs, which include direct and indirect manufacturing expenses. Other inventories are recognised at cost, which comprises the purchase price and other directly attributable expenditure related to acquisition. Expensing inventories, either the FIFO or the average weighted cost principle is used.

Inventories are written down to the estimated net realisable value if it is lower than their cost. If the net realisable value of inventories previously written down increases, the future write-down is cancelled.

By way of exception, defence-related inventories (other than strategic inventories), which are used exclusively for military purposes, were recorded as expenditure upon acquisition. As of 31 December 2024, defence-related inventories (ammunition and ballistic equipment) were recognised as inventory for the first time (see Change in accounting policies).

Holdings in foundations and non-profit associations

The balance sheet of the reporting entity shows holdings in foundations and non-profit associations where the reporting entity has dominant influence. Influence is considered controlling if the reporting entity has the right to appoint or remove most of the members of the entity's supervisory board. Holdings are recognised in the unconsolidated report at deemed cost (see the relevant explanation). In the consolidated reports, the foundations and non-profit associations under controlling influence have been consolidated line-by-line.

Holdings in subsidiaries and associates

A subsidiary is considered to be under controlling influence if the reporting entity owns more than 50 per cent of the voting shares of the subsidiary, is able to control the subsidiary's operating and financial policy or has the right to appoint or remove most of the members of the supervisory board.

An associate is an undertaking where 20 to 50 per cent of the voting shares are held. Holdings in the shares of subsidiaries and associates are recognised in the unconsolidated reports at deemed cost (see the relevant explanation).

In consolidated reports, the subsidiaries under controlling influence have been consolidated line-by-line and associates are recorded based on the equity method.

Deemed cost

In case of holdings acquired before 31 December 2003, deemed cost is defined as its value according to the equity method because there is no reliable information on the cost in previous periods, and in case of holdings acquired after 31 December 2003, as cost. Deemed cost is written down if the share owned by the entity holding the holdings in the investee drops below the value of the holdings as given in the owner's balance sheet. The write-downs made are reversed in the future reporting periods, but not higher than the deemed cost.

Consolidation

The activity of entities under controlling or significant influence is recognised in the consolidated report from the beginning to the end of the controlling or significant influence. The acquisition of entities under controlling or significant influence is recognised using the purchase method where the assets and liabilities of the holdings acquired are evaluated at fair value, except for the acquisitions made under joint control, which are recorded at book value.

In the consolidated report, the financial indicators of entities under controlling influence are added up line-by-line, whereas mutual assets, liabilities, net assets, revenue, expenditure, and unrealised gains and losses of the entities included in the consolidation have been eliminated.

In the consolidated report, entities under significant influence are recorded using the equity method.

Investment property

Investment property includes real estate objects (land, buildings, facilities) held for renting or for increasing market value, which the reporting entity or any other public sector entity does not use in its principal activity. Investment property is recorded using the cost method (at cost, less accumulated depreciation and write-downs).

Property, plant and equipment

Assets with an expected useful life longer than one year and cost starting from 10,000 euros are accounted for as property, plant and equipment. The limit applied from 2023, with the previous one being 5,000 euros. As a result of the increase in the limits, items of property, plant and equipment with a cost of between 5,000 euros and 9,999 euros were de-recognised from the balance sheet at the beginning of 2023, with the residual value recognised as an expenditure

under the item 'Depreciation and change in value of non-current assets', or groups of property, plant and equipment with a similar residual life were formed and continued to be accounted for as a group in the balance sheet.

The cost of property, plant and equipment includes expenditure needed for utilisation, except the taxes, state fees, training and travel expenses related to the acquisition, which are recorded as expenditure of the reporting period upon accrual. The subsidiaries who prepare their financial statements according to the international financial reporting standards capitalise the loan expenses into the cost of non-current assets. All other entities do not capitalise their loan expenses but record these under interest expense as accrued. Reconstruction costs of non-current assets, which comply with the definition of property, plant and equipment, are added to the cost of non-current assets.

Property, plant and equipment are recorded at cost less accumulated depreciation and write-downs due to impairment. The linear method is used for calculating depreciation. The depreciation rate is established separately for each non-current asset, depending on its useful life. Land, items of artistic value and museum exhibits that do not decrease in value over time are not depreciated. Average depreciation rates are given in Note a11 to the annual accounts.

Intangible assets

Assets of no physical substance with an expected useful life longer than one year and cost starting from 10,000 euros are accounted for as intangible non-current assets. The limit was applied in a similar way to the limit for property, plant and equipment from 2023.

Intangible non-current assets are recorded at cost less accumulated depreciation and write-downs due to impairment. The linear method is used for calculating depreciation of intangible non-current assets. The depreciation rate is established separately for each non-current asset, depending on its useful life. Average depreciation rates are given in Note a12 to the annual accounts.

Expenditure on research and development is recognised as expenditure when incurred.

The emission allowance acquired is recorded at cost as intangible current or non-current assets depending on their estimated realisation period. Emission allowances allocated free of charge by the state are recorded at zero cost basis.

Biological assets

Biological assets grown for sale are accounted for in their fair value, less expenditure on the sale. If it is not possible to reliably determine the fair value, it is recorded at cost, less depreciation and write-downs. If there is no reliable information available on the cost, the biological assets are recognised at zero cost basis.

Biological assets used in activities other than those for which they are held for sale are recorded at cost, less depreciation and write-downs due to impairment.

The fair value of realisable state forest is recognised as the difference between the projected ten-year average forest management income and expenses divided by the difference between the state forest manager's market interest rate and the projected five-year average inflation rate of the forest sector.

Revaluation

Property, plant and equipment and investment property acquired before 2004 have been revalued on a one-off basis. The need for revaluation stemmed from accounting deficits in previous periods as well as from pre-1996 hyperinflation. Revaluations were made to a greater extent in 2005.

Due to the ongoing land reform, the recording of the revaluation will continue for the land measured in the reporting year and entered in the land cadastre which has previously not been registered. Orphan assets transferred to the public sector due to the absence of a successor are also recorded as revaluation.

Market price is primarily used for revaluating assets. In case of objects with no market value (particular public sector objects which have no active market), the depreciated replacement cost method is used. Valuations are conducted by experts in the field. In simplified terms, land can be revalued by using the land taxation price.

Museum objects have not been revalued due to their large number and the difficulty of finding a reliable market price. Most museum objects are not recognised as non-current assets because they were acquired in previous periods (before 2004) or received as donations and inheritances for which fair value has not been assessed.

Leased assets

Finance lease is a lease contract that transfers all of the material risks and benefits incidental to ownership of an asset to the lessee. Other lease contracts are recognised as operating lease. In the unconsolidated report, lease contracts between entities under collective controlling influence are always recognised as operating leases (lease receivables and liabilities, income and expenses are eliminated in the consolidated report).

(a) The reporting entity is the lessee

Finance lease is recognised in the balance sheet at the fair value of the leased assets and liabilities or the present value of the minimum lease payments if the latter is lower. Assets leased under finance lease are depreciated similarly to non-current assets acquired, unless there is reasonable assurance that the lessee will obtain ownership of the assets by the end of the lease term – in such a case, the asset is depreciated either during the lease period or the useful life, whichever is shorter. Finance lease payments are divided into principal repayments that reduce the outstanding liability and interest expense.

Operating lease payments are recognised as an expense on a straight-line basis over the lease term.

(b) The reporting entity is the lessor

Assets leased out under a finance lease are recognised in the balance sheet as a receivable in the amount of the net investment made in finance lease. Lease payments received from the lessee are divided into principal repayments of the finance lease receivable and interest income.

Assets leased out under operating lease are recognised in the balance sheet as usual, similarly to other non-current assets. Operating lease payments are recognised as an income on a straight-line basis over the lease term.

Financial liabilities

Financial liabilities (trade payables and payables to employees, tax liabilities, loan liabilities, other liabilities) are initially recognised at fair value and subsequently recorded at adjusted cost using the effective interest rate method.

Hybrid bonds

Hybrid bonds are recorded within equity, as they have no maturity date and the issuer (Eesti Energia AS, see also Note a17) may, at its discretion, defer interest payments fully or partially. Hybrid bonds are recorded in equity at the received amount, less directly related transaction costs. Accrued interest is also recognised in equity, while paid interest is recorded as a disbursement from equity. In the cash flow statement, receipts and payments related to hybrid bonds are reported under cash flows from financing activities.

Transactions via the EFSF

The European Financial Stability Facility (EFSF) is not an independent legal entity, but a joint venture between the Member States of the European Union. Therefore, the part of the bonds issued by the EFSF, corresponding to a Member State's quota, is recorded as a debt liability of the Member State (see Note a17). The part of the loans granted through the EFSF to countries in difficulty, corresponding to the Member State's quota, is recorded as a loan receivable of the Member State (see Note a6). According to the Eurostat guidelines, long-term interest receivables and liabilities for which the Member States had allowed deferred payments are also recognised on the same basis. Interest income and expense are not recognised in the statement of financial performance.

The remaining maximum possible amount guaranteed for the issuance of loan instruments is recognised as an off-balance sheet liability (see Note a30 B).

Service concession arrangements

Non-profit public entities recognise the assets and related liabilities completed under long-term cooperation agreements in the balance sheet when the public sector entity controls or regulates which public services the contractor provides to whom and for which price and has control over the infrastructure at the end of the agreement period. The corresponding liabilities are recorded in the loan liabilities group (together with finance lease liabilities).

Provisions and contingent liabilities

Provisions are recognised in the balance sheet as liabilities arising before the balance sheet date, which have a legal or contractual basis or result from the reporting entity's past practice, which requires the disposal of assets and the amount of which can be measured reliably but whose final cost or payment date is uncertain. Provisions have been assessed based on the management board's assessment, experience and, if necessary, expert judgement. Long-term provisions are discounted at the discount rate of 4 per cent.

If it is expected that the expenditure necessary for the implementation of the provision is reimbursed (for example, by the provider of support), the corresponding benefits will also be recorded as a receivable if the reimbursement is considered to be practically certain.

Commitments, guarantees, and other obligations that under certain circumstances may result in future liabilities as well as liabilities the amount of which cannot be reliably estimated are disclosed in the notes to the annual accounts under contingent (off-balance sheet) liabilities.

Pension provisions

Pension provisions are calculated for the former and current employees of the state and their family members who have a statutory right for special pensions or a pension increase which exceeds the ordinary state pension. The projected unit credit method is used to calculate pension provisions, according to which each year of service on which the pension is based creates an additional unit for receiving a pension. In estimating the pension payment period, the life expectancy forecasts by Statistics Estonia are used. Estimates of changes in the average salaries and wages and average pension prepared by the Ministry of Finance are used to estimate the size of the pension. In addition, the year of retirement and official rank at retirement are evaluated and employee turnover is taken into account in the calculation of pension provisions.

As the actuarial gains and losses may fluctuate significantly year by year, they are recognised directly as the change in net assets. When allocating pension provisions, the amount considered to be related to service in the current year is recognised under labour costs (see Note a16, a23).

Grants received and awarded

Grants received are funds not directly received in exchange for goods or services. Grants awarded are considered to be funds given for which no goods or services are directly received.

Grants are broken down into social benefits, government grants, and operating grants.

Social benefits are benefits for natural persons, except for business purposes. Social benefits are recognised as an expense in the period for which the benefits are intended to be paid.

Government grants are earmarked for specific purposes and subject to certain conditions, which involve project-based targeting and reporting. Government grants are not recognised as revenue or expenditure until there is reasonable

assurance that the recipient of the grant meets the conditions attached to the grant and that the grant will be awarded. Government grants are recognised on a gross basis.

Recognition of government grants for operating expenses is based on the matching principle. Revenue from government grants is recognised in proportion to the related expenditure. Government grants for assets are recognised as income in the period in which the assets are acquired.

Operating grants are grants received and awarded, which are awarded to the beneficiary in pursuance of its statutory functions and objectives as defined in its development documents, and are not subject to specific conditions of use. Operating grants are recognised when paid or received.

Reserves

Reserves are groups of net assets formed for specific purposes on the basis of legislation. The formation and use of reserves are recognised as a change between accumulated surplus/profit and reserves (except for the hedging reserve (see 'Derivatives'), foreign exchange differences arising from the conversion of foreign subsidiaries and other comprehensive profits of associates).

Recognition of transactions in foreign currency

Transactions in foreign currency are recorded by applying the European Central Bank exchange rates officially quoted at the date of the transaction. Monetary financial assets and liabilities denominated in foreign currencies and non-monetary financial assets and liabilities recognised at fair value have been converted into euros according to the official exchange rates of the European Central Bank at the balance sheet date. Foreign exchange gains and losses are recognised in the statement of financial performance as revenue and expenditure for the period, except for foreign exchange differences arising from the conversion of foreign subsidiaries, see 'Reserves'.

Accounting for revenue

Revenue from taxes, state fees and fines collected is recognised on an accrual basis in accordance with the submitted tax returns and other documents reflecting the generation of revenue. Pass-through taxes are recognised simultaneously as an expense and a liability to the tax recipient during the income recognition period by reducing the respective expense and liability by the portion of the tax receivables assessed as doubtful. Based on the doubtfulness of receipt, certain receivables are initially recognised off-balance sheet and recognised as income on receipt. Receivables determined on the basis of tax rulings are recognised as income upon expiry of the term for appealing the tax ruling. State fees may be recognised on a cash basis if the rate is up to 100 euros per transaction, the period between the receipt of the fees and the performance of the transaction is short or it is difficult to determine the accrual basis of recognition. If receivables are registered off-balance sheet at the time of their occurrence, the aggregate amounts calculated on the basis of the balance of off-balance sheet receivables are recognised as balance sheet receivables and income at the end of the year, using appropriate methods to determine estimated receivables.

Revenue from the sale of products is recognised when all material risks and benefits of ownership have been transferred to the buyer and the revenue and transaction costs can be measured reliably. Revenue from the sale of services is recognised when the service is provided based on the stage of completion method. Interest income is calculated on an accrual basis based on the effective interest rate. Dividend income is calculated when the dividends are declared.

Accounting for expenditure

Expenditure is recognised on an accrual basis. Non-refundable taxes and state fees paid on the acquisition of non-current assets or inventories (for example, VAT if the buyer is a limited taxable person who cannot account for VAT as input VAT) are recognised as expenditure at the time of acquisition and are not included in the cost of the assets.

The report of the state does not eliminate the tax expense calculated on the salaries and wages by the state agencies and the corresponding tax revenue calculated by the Tax and Customs Board on consolidation because employees are treated as recipients of the taxes calculated on the salaries and wages and as taxable persons. Excise duty on fuel is not eliminated either, because it is not indicated separately on the invoices submitted by fuel sellers. Taxes, state fees, and other charges within the consolidation group have been eliminated.

Change of accounting principles

In the consolidated and unconsolidated financial statements of the state, defence-related inventories (ammunition and ballistic equipment) were, as of 31 December 2024, recognised for the first time as assets, whereas until 31 December 2024, they had been recorded as acquisition expenses (see Note a24). The exception for recognising defence inventories as an expense upon acquisition, which was valid until 31 December 2024, was established under the Public Sector Accounting and Reporting Guidelines, taking into account the Defence Forces' warehouse databases, which did not allow distinction between new and previously used inventories (returned from exercises and missions). Inventory accounting has since been improved. As of 31 December 2024, the Defence Forces reported inventories in warehouses valued at 707.8 million euros, recognised for the first time on the balance sheet as inventory and net asset change (see also Note A7). Reliable data for retrospective recognition of inventories are unavailable. Inventories acquired up to 31 December 2024 have not been reversed from expenses.

In the state's consolidated accounting financial statements, the recognition of renewable energy fees and renewable energy subsides has been adjusted retrospectively. Under the law, electricity sellers add a renewable energy fee to sales invoices, which they do not record as revenue, but transfer to the state-owned subsidiary AS Elering. AS Elering pays subsidies from the collected fees to renewable energy producers. The price of the renewable energy fee is determined by AS Elering based on the estimated volume of renewable energy production and the legally prescribed amount of subsidies. Any excess amount may only be used by AS Elering to pay renewable energy subsidies and cover the administrative costs of managing the subsidies. AS Elering does not recognise collected renewable energy fees or subsidies as

its own income or expenses but, acting as a state agent, records the amounts received as a liability and reduces it when claims from producers arise. In the current annual report, the principle was applied that this is a government-mandated support scheme; therefore, renewable energy fees collected by AS Elering are included in the state's consolidated electricity sales revenue (in an amount equal to the subsidies), and renewable energy subsidies are recognised in the state's consolidated expenditure (as subsidies awarded). The remaining excess funds are recorded as a liability in the state's balance sheet (unchanged, see also Note a15). In 2024, AS Elering accounted 82.2 million euros in renewable energy fees from sellers (91.1 million euros in 2023) and 83.8 million euros in renewable energy subsidies and administrative fees (76.9 million euros in 2023). Since the state's consolidation group includes both electricity sellers and renewable energy producers (primarily the Eesti Energia group), some fees and subsidies have been eliminated in the consolidated annual accounts of the state. Fees of 12.2 million euros were collected from outside the state consolidation group (13.1 million euros in 2023) and subsidies of 60.8 million euros were paid (54.3 million euros in 2023). To ensure comparability, the 2023 figures have been adjusted as follows: electricity sales revenue was increased by 75.6 million euros to reflect collected renewable energy fees, received subsidies were reduced by 21.3 million euros (renewable energy subsidies received within the state consolidation group), and granted subsidies were increased by 54.3 million euros.

Post-balance sheet date events

The annual accounts reflect all the essential circumstances that influenced the evaluation of assets and liabilities were obvious during the time period between the balance sheet date and finalisation of the annual accounts but are associated with the transactions made during the accounting period or earlier periods.

Post-balance sheet date events which have not been taken into consideration when evaluating assets and liabilities but which may have a significant impact on the results of the next financial year are disclosed in the Notes to the annual accounts.

State budget implementation report

The state budget and the report on its implementation include state accounting entities included in the unconsolidated annual accounts of the state (see Note a1 A).

The state budget implementation report has been prepared on an accrual basis since 2017 and is comparable to the state's unconsolidated statement of financial performance and the state's unconsolidated statement of movements in non-current assets, incl. acquisition of property, plant and equipment and intangible non-current assets. Financing transactions are comparable to items recognised in the state's unconsolidated cash flow statement.

The numbers are expressed to the nearest thousand euros.

The structure of the report corresponds to that presented in the state budget. Revenue and expenditure in the state budget are recognised based on the accounting principles used in budgeting. Revenue and expenditure that were not budgeted or were budgeted differently from the accounting principles are recorded as adjustments of the state budget revenue and expenditure. The aggregated part of the state budget implementation report also presents the adjustment of state budget revenue and expenditure in order to find the budgetary position. The guidelines for the calculation of the budgetary position are governed by the European Standard of Accounts.

In preparing the accrual-based budget, the accounting principles similar to those of accounting are generally applied. Differences compared to the accounting principles used in accounting are described and the implementation of the state budget is compared with the other unconsolidated state reports and their notes in Note a31 explaining the state budget implementation report.

The report presents the initial and final budget. The initial budget reflects the State Budget Act adopted by the *Riigikogu* before the budget year. The final budget includes adjustments decided or revealed during the accounting year, i.e. amendments under the Supplementary Budget Act and the State Budget Amendment Act, changes in classification and allocations from reserves by the Government of the Republic, limits arising from the carry-over of balances from the previous accounting year to the current year, actual revenue, actual revenue generated from economic activities, and so on (see Note a31).

2.7 Notes (a1–a31)

Note a1 Consolidated entities

A. Unconsolidated report

In millions of euros

The unconsolidated report includes public accounting entities together with the institutions of their area of government (state budget institutions).

Area of government	Assets 31/12/2024	Liabilities 31/12/2024	Indicators of the statement of financial performance 2024			Assets 31/12/2023	Liabilities 31/12/2023	Indicators of the statement of financial performance 2023			Assets 31/12/2022	Liabilities 31/12/2022
			Income from operations	Operating expenses	Financial income and expenses			Income from operations	Operating expenses	Financial income and expenses		
Riigikogu	21.6	4.2	0.2	–32.9	–0.1	22.5	4.5	0.2	–31.5	0.0	22.6	3.2
President of the Republic	4.9	9.0	0.0	–5.7	–0.3	4.6	8.8	0.2	–5.5	–0.3	4.5	8.5
National Audit Office	0.3	0.5	0.0	–5.7	0.0	0.3	0.6	0.0	–5.8	0.0	0.4	0.6
Chancellor of Justice	0.0	0.3	0.0	–3.4	0.0	0.0	0.3	0.0	–3.3	0.0	0.0	0.1
Supreme Court	6.8	12.1	0.4	–6.9	–0.4	7.0	9.7	0.4	–7.0	–0.6	7.2	14.4
Government Office	13.4	4.5	2.1	–18.2	0.0	12.4	2.8	1.3	–18.2	0.0	13.0	2.9
Ministry of Education and Research	533.9	144.8	78.8	–1,003.0	0.0	591.3	176.9	171.0	–948.3	0.0	544.3	165.9
Ministry of Justice	57.6	171.7	52.8	–223.2	–6.1	52.7	211.3	54.5	–221.7	–6.3	45.6	200.7
Ministry of Defence	2,817.2	1,604.7	189.4	–1,160.4	–29.5	1,500.2	1,134.5	73.4	–1,085.3	–28.5	1,073.8	857.5
Ministry of Climate	4,882.6	703.1	838.7	–852.7	122.9	4,834.3	582.9	728.1	–518.7	30.7	2,116.9	113.1
Ministry of Culture	220.1	54.3	61.0	–377.6	0.3	225.3	55.2	49.3	–360.8	–0.5	212.3	63.6
Ministry of Economic Affairs and Communications	1,426.3	126.0	428.8	–1,187.2	30.6	1,292.3	165.3	519.9	–1,103.9	25.9	3,877.8	557.0
Ministry of Regional Affairs and Agriculture	692.9	417.9	365.4	–1,371.1	7.2	728.7	408.6	376.3	–857.5	3.9	595.3	338.9
Ministry of Finance	8,307.2	11,745.4	14,364.9	–7,955.8	–36.5	7,173.0	10,181.6	12,947.5	–7,940.9	12.4	7,424.1	8,997.5
Ministry of the Interior	268.7	1,332.3	65.1	–617.1	–45.4	256.7	1,230.3	62.3	–677.5	–45.0	271.5	1,209.1
Ministry of Social Affairs	581.3	3,028.3	5,135.9	–6,997.7	–97.6	613.1	2,796.5	5,077.2	–7,167.6	–79.9	534.7	2,546.4
Ministry of Foreign Affairs	158.1	12.1	11.0	–118.6	0.0	145.3	16.2	5.6	–114.9	–0.1	148.7	7.5
Eliminations	–1,134.2	–1,148.9	–5,803.5	5,679.3	–0.1	–1,174.8	–1,313.7	–5,486.3	5,621.7	0.1	–1,064.7	–1,067.6
Total	**18,858.7**	**18,222.3**	**15,791.0**	**–16,257.9**	**–55.0**	**16,284.9**	**15,672.3**	**14,580.9**	**–15,446.7**	**–88.2**	**15,828.0**	**14,019.3**

In the table above, the change in the fair value of biological assets is also included in income from operations. The report is comparable to the state budget implementation report (see Note a31 M).
On 1 July 2023, the work in the areas of government of several ministries was reorganised. The Ministry of the Environment was renamed the Ministry of Climate and the Ministry of Rural Affairs was renamed the Ministry of Regional Affairs and Agriculture. The functions concerning the field of regional affairs performed by the Ministry of Finance were transferred to the area of government of the Ministry of Regional Affairs and Agriculture, the functions concerning the field of employment and social affairs performed by the Ministry of Social Affairs were transferred to the area of government of the Ministry of Economic Affairs and Communications, and the functions concerning the field of energy, construction, and transport performed by the Ministry of Economic Affairs and Communications were transferred to the area of government of the Ministry of Climate. As a result, the reporting lines of some government agencies were also changed, incl. the Transport Administration moved from the area of government of the Ministry of Economic Affairs and Communications to the area of government of the Ministry of Climate, the Labour Inspectorate from the area of government of the Ministry of Social Affairs to the area of government of the Ministry of Economic Affairs and Communications, and the Land Board from the area of government of the Ministry of the Environment to the area of government of the Ministry of Regional Affairs and Agriculture. Due to the reorganisation of functions, the 2024 figures of the areas of government are not comparable with the 2023 figures.
As of 1 January 2025, organisational changes were also implemented. In this context, the Ministry of Justice was renamed the Ministry of Justice and Digital Affairs. In this annual report, the designation in use until 31 December 2024 is predominantly applied.

The figures for the area of government of the Ministry of Defence for 2024 and 2023, as published in the table above, have been adjusted in the consolidated state report. The Ministry of Defence relied on the moment of acquisition of ownership of the expenditure and acquisitions of non-current assets related to defence inventories and assets, however, in preparing the consolidated report of the state, it was determined that, for the purposes of recognising the expenditure, acquisitions of non-current assets, and related income in these amounts, the rewards and risks associated with the assets were not yet transferred to the area of government of the Ministry of Defence. Accordingly, the related transactions were recognised in the following year (2024 and 2025, respectively). All goods subject to adjustment as of 31 December 2023 arrived at their destination during 2024. Goods subject to adjustment as of 31 December 2024 arrived in Estonia in the first quarter of 2025.

Adjustment of the data of the area of government of the Ministry of Defence in the consolidated report of the state

	2024			2023		
	Area of government of the Ministry of Defence	Adjustment	In the consolidated report of the state	Area of government of the Ministry of Defence	Adjustment	In the consolidated report of the state
Assets	2,817.2	12.5	2,829.7	1,500.2	32.9	1,533.1
Liabilities	1,604.7	–10.0	1,594.7	1,134.5	–110.0	1,024.5
Income from operations	189.4	24.3	213.7	73.4	–24.3	49.1
Operating expenses	–1,160.4	–144.8	–1,305.2	–1,085.3	167.2	–918.1

B. Consolidated report

In the consolidated report, the respective data of foundations and companies under the controlling influence of the state have been added line-by-line to the unconsolidated data, whereas mutual balances have been eliminated. Companies with a 20 per cent to 50 per cent share of ownership are accounted for in the consolidated report using the equity method.

B1. State holdings in foundations

In millions of euros

Foundations consolidated with a 100 per cent of holdings

	Assets 31/12/2024	State equity capital 31/12/2024	Indicators of the statement of financial performance 2024					Assets 31/12/2023	State equity capital 31/12/2023	Indicators of the statement of financial performance 2023					Assets 31/12/2022	State equity capital 31/12/2022
			Income from operations	Incl. grants awarded from the general government sector	Operating expenses	Incl. grants awarded	Surplus/deficit of the state			Income from operations	Incl. grants awarded from the general government sector	Operating expenses	Incl. grants awarded	Surplus/deficit of the state		
Total foundations	**2,043.9**	**1,263.8**	**1,337.7**	**397.4**	**–1,280.0**	**–144.9**	**78.4**	**1,959.5**	**1,157.3**	**1,288.1**	**439.6**	**–1,200.1**	**–145.0**	**98.6**	**1,854.8**	**968.0**
Foundations in the general government sector	**2,026.1**	**1,254.6**	**1,326.4**	**393.4**	**–1,268.8**	**–140.1**	**78.4**	**1,938.5**	**1,148.8**	**1,281.7**	**437.7**	**–1,193.6**	**–144.2**	**98.6**	**1,836.8**	**959.1**
SA Eesti Koostöö Kogu	0.1	0.0	0.3	0.3	–0.3	–0.1	0.0	0.1	0.0	0.3	0.2	–0.3	–0.1	0.0	0.1	0.1
SA Vabariigi Presidendi Kultuurirahastu	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
SA Eesti Teadusagentuur	52.9	47.3	99.6	98.8	–92.2	–85.0	8.7	41.2	38.6	82.9	82.5	–72.5	–66.9	11.2	31.3	27.3
SA Kutsekoda	1.8	1.2	3.7	3.4	–3.5	–0.9	0.3	1.4	1.0	3.4	3.1	–3.2	–0.8	0.3	1.1	0.7
Spordikoolituse ja Teabe SA	0.7	0.1	12.8	12.7	–12.8	–12.0	0.0	0.7	0.1	12.6	12.6	–12.6	–11.8	0.0	0.5	0.1
SA Teaduskeskus Ahhaa	9.9	8.7	4.6	1.5	–4.9	0.0	–0.2	9.3	8.9	5.1	2.1	–4.5	–0.2	0.6	9.3	8.2
SA Euroopa Kool	2.6	1.5	7.3	4.7	–6.7	0.0	0.6	2.1	0.8	6.6	4.2	–6.3	0.0	0.4	1.6	0.4
SA Rahvusvaheline Kaitseuuringute Keskus	6.7	2.3	3.5	2.7	–3.2	0.0	0.5	5.7	1.8	2.5	1.8	–2.3	0.0	0.4	5.5	1.4
SA CR14	24.5	7.9	8.2	6.2	–7.7	–0.1	0.7	9.7	7.7	9.9	5.5	–7.6	0.0	2.3	7.6	5.4
Sakala Teatrimaja SA	0.9	0.3	0.4	0.3	–0.4	0.0	0.0	0.4	0.3	0.4	0.3	–0.4	0.0	0.0	0.4	0.3
SA Eesti Filmi Instituut (group)	11.3	1.4	13.8	13.2	–13.9	–11.5	0.4	5.1	0.9	12.7	12.1	–12.9	–10.3	0.1	6.7	0.8
SA Virumaa Muuseumid	4.9	4.5	3.0	1.7	–3.0	0.0	0.0	5.1	4.5	2.7	1.6	–2.7	0.0	–0.1	4.9	4.5
Tartu Jaani Kirik SA	0.1	0.1	0.2	0.1	–0.2	0.0	0.0	0.1	0.1	0.1	0.0	–0.1	0.0	0.0	0.1	0.1
Eesti Laulu- ja Tantsupeo SA	2.7	2.6	2.2	1.7	–2.3	–1.0	0.0	2.7	2.6	7.2	5.0	–5.9	–1.5	1.3	1.4	1.3
SA Eesti Draamateater	10.0	6.1	6.9	3.1	–7.2	0.0	–0.2	8.9	6.3	6.5	3.1	–6.6	0.0	0.1	8.1	6.2
SA Rakvere Teatrimaja	7.6	6.3	4.0	2.2	–4.3	0.0	–0.1	7.0	6.4	4.1	2.3	–4.0	0.0	0.2	6.6	6.2
SA Vene Teater	6.8	5.4	4.0	2.8	–4.2	0.0	–0.2	7.1	5.6	4.2	2.8	–4.2	0.0	0.0	7.4	5.6
SA Ugala Teater	11.6	10.6	3.9	2.1	–4.3	0.0	–0.3	11.4	10.9	4.0	2.0	–4.4	0.0	–0.4	11.7	11.3

	Assets 31/12/2024	State equity capital 31/12/2024	Indicators of the statement of financial performance 2024					Assets 31/12/2023	State equity capital 31/12/2023	Indicators of the statement of financial performance 2023					Assets 31/12/2022	State equity capital 31/12/2022
			Income from operations	Incl. grants awarded from the general government sector	Operating expenses	Incl. grants awarded	Surplus/deficit of the state			Income from operations	Incl. grants awarded from the general government sector	Operating expenses	Incl. grants awarded	Surplus/deficit of the state		
SA Tehvandi Spordikeskus	34.0	30.5	8.9	5.4	−7.6	0.0	1.5	31.7	28.9	6.0	3.0	−7.0	0.0	−1.0	30.9	29.9
SA Jõulumäe Tervisespordikeskus	5.6	5.4	1.9	1.1	−2.0	0.0	0.0	5.6	5.5	2.7	2.2	−1.5	0.0	1.3	5.0	4.2
SA Kultuurileht	0.9	0.5	4.9	4.2	−4.9	0.0	0.0	0.9	0.4	4.5	3.8	−4.5	0.0	0.1	0.7	0.4
SA Endla Teater	6.4	5.3	4.8	3.1	−4.2	0.0	0.6	5.8	4.7	4.2	2.3	−4.4	0.0	−0.2	5.9	4.8
SA Teater Vanemuine	14.4	11.1	13.8	9.7	−15.2	0.0	−1.1	14.9	12.2	12.7	9.6	−14.3	0.0	−1.4	15.8	13.7
SA Eesti Noorsooteater	1.3	0.3	4.7	3.5	−4.6	0.0	0.2	0.5	0.1	4.8	3.7	−4.6	0.0	0.2	0.3	−0.1
SA Narva Muuseum	18.2	17.5	1.7	1.2	−2.0	0.0	−0.3	18.6	17.7	4.6	4.0	−2.3	0.0	2.2	17.2	15.5
SA Haapsalu ja Läänemaa Muuseumid (group)	5.2	5.1	1.5	1.0	−1.9	0.0	−0.4	5.6	5.5	1.4	0.8	−1.9	0.0	−0.5	6.3	6.0
SA Eesti Tervishoiu Muuseum	1.1	1.0	1.4	1.0	−1.4	0.0	0.1	1.1	0.9	1.4	1.1	−1.3	0.0	0.1	1.0	0.8
SA Eesti Vabaõhumuuseum	11.8	11.3	4.6	3.1	−4.5	0.0	0.2	12.0	11.1	5.4	3.9	−4.5	0.0	0.9	11.0	10.2
SA Eesti Kontsert	18.9	16.9	10.4	6.6	−10.8	0.0	−0.1	18.7	17.0	10.7	6.9	−10.2	0.0	0.7	17.9	16.3
SA Eesti Riiklik Sümfooniaorkester	1.8	1.3	4.6	4.0	−4.5	0.0	0.2	1.6	1.1	4.8	4.0	−4.8	0.0	0.1	1.4	1.0
SA Hiiumaa Muuseumid	0.4	0.2	0.5	0.3	−0.5	0.0	0.0	0.2	0.2	0.4	0.3	−0.5	0.0	−0.1	0.3	0.2
SA Eesti Filharmoonia Kammerkoor	0.7	0.4	1.7	1.3	−1.6	0.0	0.1	0.6	0.4	1.8	1.3	−1.7	0.0	0.1	0.4	0.3
SA Pärnu Muuseum	1.4	1.2	1.3	1.2	−1.2	0.0	0.1	1.2	1.0	1.4	1.1	−1.3	0.0	0.1	1.0	0.9
SA Eesti Kunstimuuseum	23.9	23.1	13.0	10.2	−12.6	0.0	0.6	23.2	22.4	12.7	10.0	−12.2	0.0	0.5	23.1	21.9
SA Eesti Meremuuseum	16.9	16.0	8.3	5.4	−7.8	0.0	0.6	16.6	15.4	9.2	6.4	−8.7	0.0	0.6	15.6	14.7
SA Saaremaa Muuseum	15.2	15.0	1.6	0.9	−1.6	0.0	0.0	15.1	14.9	3.1	2.5	−1.8	0.0	1.3	14.0	13.6
SA Eesti Ajaloomuuseum	14.7	14.3	4.1	3.4	−4.2	0.0	0.0	14.8	14.3	3.7	3.0	−4.2	0.0	−0.4	15.2	14.8
SA Eesti Spordi- ja Olümpiamuuseum	0.8	0.6	1.3	1.1	−1.3	0.0	0.0	0.7	0.6	1.2	1.0	−1.2	0.0	0.0	0.7	0.6
SA Tartu Kunstimuuseum (established 2024)	1.7	1.6	1.3	1.2	−1.2	0.0	0.1	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0

	Assets 31/12/2024	State equity capital 31/12/2024	Indicators of the statement of financial performance 2024					Assets 31/12/2023	State equity capital 31/12/2023	Indicators of the statement of financial performance 2023					Assets 31/12/2022	State equity capital 31/12/2022
			Income from operations	Incl. grants awarded from the general government sector	Operating expenses	Incl. grants awarded	Surplus/deficit of the state			Income from operations	Incl. grants awarded from the general government sector	Operating expenses	Incl. grants awarded	Surplus/deficit of the state		
SA Eesti Tarbekunsti- ja Disainimuuseum (established in 2024)	0.7	0.6	0.7	0.7	−0.6	0.0	0.1	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
SA Eesti Arhitektuurimuuseum (established in 2024)	0.6	0.5	0.8	0.7	−0.6	0.0	0.2	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Ettevõtluse ja Innovatsiooni SA	557.2	317.3	73.6	68.3	−72.9	−8.9	12.2	545.4	255.1	94.3	86.9	−91.6	−25.2	10.9	545.1	143.4
Riigiside SA	14.0	11.9	8.8	3.5	−9.4	0.0	−0.4	17.7	12.3	12.1	5.6	−10.4	0.0	2.0	13.4	10.3
Eesti Interneti SA (consolidated since 2023)	2.4	2.0	1.5	0.0	−1.1	−0.1	0.4	2.0	1.6	1.2	0.0	−1.1	−0.1	0.1	0.0	0.0
SA Eesti Maaelumuuseumid	11.1	10.8	4.6	4.1	−3.1	0.0	1.6	9.7	9.2	3.3	2.6	−2.9	0.0	0.5	8.9	8.7
Maaelu Edendamise SA	267.0	131.3	5.8	0.0	−4.3	0.0	4.9	294.1	151.3	7.7	1.7	−7.1	0.0	3.7	307.4	147.6
Environmental Investment Centre	64.6	13.1	10.1	9.7	−12.5	−4.5	−1.6	71.3	14.7	10.2	9.7	−17.0	−10.5	−6.1	77.7	20.8
Integratsiooni SA	6.4	1.4	13.3	13.3	−13.3	−1.9	0.3	6.9	1.2	10.7	10.7	−11.1	−1.9	−0.1	7.3	1.3
SA Kodanikuühiskonna Sihtkapital	1.4	0.3	2.9	2.8	−2.9	−2.1	0.1	1.8	0.2	2.8	2.7	−2.8	−2.2	0.1	1.4	0.1
Jõgeva Haigla SA	3.3	2.2	9.2	0.0	−9.0	0.0	0.3	3.0	1.9	8.1	0.0	−8.1	0.0	0.0	2.8	1.9
Eesti Puuetega Inimeste Fond SA	0.1	0.1	1.5	1.5	−1.6	−1.4	0.0	0.1	0.1	1.5	1.5	−1.5	−1.4	0.0	0.1	0.1
Tartu Ülikooli Kliinikum SA (group)	321.5	193.1	433.5	2.4	−422.9	−0.2	9.8	314.4	183.3	401.3	13.9	−386.3	−0.1	11.8	265.2	180.6
Põhja-Eesti Regionaalhaigla SA (group)	300.3	193.1	368.7	6.9	−364.5	−0.1	3.0	297.3	190.1	379.0	58.2	−336.8	−0.2	40.0	261.2	150.1
Viljandi Haigla SA	101.2	76.1	88.1	38.1	−57.0	0.0	32.2	50.3	43.9	59.4	18.0	−46.6	0.0	13.1	34.0	30.8
Haapsalu Neuroloogiline Rehabilitatsioonikeskus SA	10.3	9.2	8.7	0.1	−7.6	0.0	1.3	8.9	7.9	8.5	0.8	−6.7	0.0	1.9	6.7	6.0
SA Eesti Tervishoiu Pildipank	6.6	6.1	3.1	0.0	−2.0	0.0	1.2	5.1	4.9	2.2	0.0	−2.5	0.0	−0.3	6.7	5.3
SA Koeru Hooldekeskus (transferred to local government in 2023)	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.6	0.0	2.7	0.3	−2.9	0.0	−0.2	2.7	2.3
SA Eesti Rahvusvahelise Arengukoostöö Keskus	7.0	0.6	16.8	14.9	−16.8	−10.3	0.2	2.5	0.3	14.8	13.0	−14.8	−11.0	0.2	8.2	0.2

	Assets 31/12/2024	State equity capital 31/12/2024	Indicators of the statement of financial performance 2024					Assets 31/12/2023	State equity capital 31/12/2023	Indicators of the statement of financial performance 2023					Assets 31/12/2022	State equity capital 31/12/2022
			Income from operations	Incl. grants awarded from the general government sector	Operating expenses	Incl. grants awarded	Surplus/deficit of the state			Income from operations	Incl. grants awarded from the general government sector	Operating expenses	Incl. grants awarded	Surplus/deficit of the state		
Non-government foundations	**17.8**	**9.2**	**11.3**	**4.0**	**–11.2**	**–4.8**	**0.0**	**21.0**	**8.5**	**6.4**	**1.9**	**–6.5**	**–0.8**	**0.0**	**18.0**	**8.9**
SA Tallinna Teaduspark Tehnopol (group)	17.8	9.2	11.3	4.0	–11.2	–4.8	0.0	21.0	8.5	6.4	1.9	–6.5	–0.8	0.0	18.0	8.9

B2. State holdings in subsidiaries and associates

In millions of euros

Name of undertaking	Share of holdings (%)	Assets 31/12/2024	State equity capital 31/12/2024	Indicators of the income statement 2024			Assets 31/12/2023	State equity capital 31/12/2023	Indicators of the income statement 2023			Assets 31/12/2022	State equity capital 31/12/2022
				Operating income	Operating expenses	State profit/ loss			Operating income	Operating expenses	State profit/ loss		
Total state subsidiaries		**13,195.3**	**7,432.8**	**3,091.9**	**–3,188.8**	**–243.2**	**13,074.8**	**7,546.2**	**4,073.1**	**–3,949.5**	**24.5**	**13,353.7**	**8,248.0**
Total subsidiaries in the general government sector		**2,373.2**	**1,495.5**	**575.4**	**–393.5**	**165.6**	**2,080.8**	**1,341.3**	**462.9**	**–376.8**	**69.1**	**1,862.4**	**1,234.8**
Eesti Raudtee AS (to the general government sector in 2023)	100	596.5	176.1	69.1	–69.7	0.0	489.8	176.1	64.3	–64.6	0.0	417.4	176.1
Eesti Keskkonnauuringute Keskus OÜ (to the general government sector in 2023)	100	7.1	6.1	11.1	–10.8	0.3	9.1	5.8	10.1	–10.2	–0.1	6.9	5.9
ALARA AS	100	1.4	1.3	0.7	–0.8	–0.1	1.5	1.4	8.4	–8.5	–0.1	1.6	1.5
AS Eesti Liinirongid	100	220.5	127.5	64.1	–65.2	–4.6	215.0	132.2	59.5	–60.0	–4.3	220.4	136.5
AS Eesti Varude Keskus	100	392.0	385.2	14.8	–14.1	1.4	392.2	384.9	35.7	–33.4	2.4	323.1	314.4

Name of undertaking	Share of holdings (%)	Assets 31/12/2024	State equity capital 31/12/2024	Indicators of the income statement 2024			Assets 31/12/2023	State equity capital 31/12/2023	Indicators of the income statement 2023			Assets 31/12/2022	State equity capital 31/12/2022
				Operating income	Operating expenses	State profit/ loss			Operating income	Operating expenses	State profit/ loss		
OÜ Rail Baltic Estonia	100	249.2	198.0	136.9	–40.3	96.9	123.5	94.1	55.7	–23.3	32.3	74.7	61.7
TS Laevad OÜ (subsidiary of Tallinna Sadam AS)	67.03	96.5	39.0	37.6	–27.9	5.5	100.9	33.5	36.7	–26.9	5.2	107.4	28.3
Riigi Kinnisvara AS	100	758.2	515.7	208.2	–130.3	67.7	695.9	465.2	160.7	–117.4	34.3	658.1	462.0
AS Hoolekandeteenused (group)	100	51.8	46.6	32.9	–34.4	–1.5	52.9	48.1	31.8	–32.5	–0.6	52.8	48.4
Total non-government subsidiaries		**10,822.1**	**5,937.3**	**2,516.5**	**–2,795.3**	**–408.8**	**10,994.0**	**6,204.9**	**3,610.2**	**–3,572.7**	**–44.6**	**11,491.3**	**7,013.2**
State Forest Management Centre	100	2,773.0	2,729.3	–208.1	–183.1	–408.3	3,316.2	3,279.0	572.1	–185.1	378.6	3,008.7	2,983.8
Eesti Energia AS (group)	100	5,129.9	2,205.6	1,887.7	–1,822.3	–4.3	4,823.0	1,892.9	2,164.5	–2,546.9	–435.3	5,506.2	2,953.1
Elering AS	100	1,619.2	409.7	225.9	–208.2	15.7	1,467.8	414.0	254.8	–226.5	28.0	1,460.9	399.5
Tallinna Sadam AS (group, together with TS Laevad OÜ)	67.03	629.9	253.1	121.1	–91.9	12.8	606.2	253.2	119.0	–94.4	10.6	621.2	255.4
AS Raudtee Varad (group)	100	26.7	10.9	14.7	–21.3	–22.4	67.2	33.3	26.6	–46.0	–19.2	153.2	52.5
Tallinna Lennujaam AS (group)	100	261.2	133.9	78.7	–74.3	0.5	264.4	133.5	72.1	–63.4	8.5	258.3	125.0
Lennuliiklusteeninduse AS	100	43.3	16.9	31.2	–24.1	6.4	34.1	10.6	18.3	–21.0	–3.1	31.7	13.6
Saarte Liinid AS	100	63.8	28.9	11.8	–10.0	1.6	63.2	27.2	11.3	–9.5	1.7	63.1	25.5
Eesti Post AS (group)	100	140.3	59.5	144.9	–143.9	–0.6	133.2	60.0	134.5	–134.1	–1.3	123.8	67.7
Eesti Loots AS (liquidated in 2024)	0	0.0	0.0	0.0	0.0	0.0	0.4	0.3	3.4	–4.5	–2.7	15.6	11.5
Teede Tehnokeskus AS	100	2.2	1.9	2.9	–2.9	0.0	2.5	1.9	3.1	–3.0	0.1	2.3	1.8
Metrosert AS	100	16.0	14.5	8.6	–7.3	1.5	9.1	8.0	9.0	–5.2	3.9	4.6	4.1
KredEx Krediidikindlustus AS	100	39.2	21.6	1.4	–1.7	0.8	38.3	20.8	1.8	–1.9	1.5	37.7	19.4
Nordic Aviation Group AS (group, bankrupt, see Note a9)	0	0.0	0.0	84.3	–103.6	–20.5	64.9	13.0	110.7	–128.7	–18.3	82.9	31.3

Name of undertaking	Share of holdings (%)	Assets 31/12/2024	State equity capital 31/12/2024	Indicators of the income statement 2024			Assets 31/12/2023	State equity capital 31/12/2023	Indicators of the income statement 2023			Assets 31/12/2022	State equity capital 31/12/2022
				Operating income	Operating expenses	State profit/ loss			Operating income	Operating expenses	State profit/ loss		
Transpordi Varahaldus OÜ	100	48.9	32.7	12.5	–13.3	–2.0	69.6	34.7	12.5	–21.3	–10.6	85.6	45.3
Eesti Loto AS	100	20.7	11.4	93.7	–82.2	10.0	23.3	13.9	88.1	–73.5	12.4	25.3	15.8
AS Vireen	100	6.2	5.9	2.7	–2.4	0.3	7.2	5.7	2.9	–2.8	0.0	7.3	5.7
Eesti Põllumajandusloomade Jõudlus-kontrolli AS	93.3	1.6	1.5	1.8	–1.8	0.0	1.6	1.5	1.7	–1.6	0.1	1.5	1.3
Eesti Vanglatööstus AS (liquidated in 2024)	0	0.0	0.0	0.7	–1.0	–0.3	1.8	1.4	3.8	–3.3	0.5	1.4	0.9
Total state associates		**19.2**	**7.5**	**16.1**	**–15.2**	**0.4**	**18.8**	**7.7**	**15.2**	**–13.8**	**0.6**	**18.9**	**7.9**
Ökosil AS	35	1.7	0.5	0.6	–0.6	0.0	1.7	0.5	0.8	–0.8	0.0	1.7	0.5
AS Levira (group)	51	17.5	7.0	15.5	–14.6	0.4	17.1	7.2	14.4	–13.0	0.6	17.2	7.4
Total associates of the state subsidiaries		**2,875.1**	**80.1**	**741.1**	**–745.9**	**2.4**	**2,744.9**	**83.0**	**685.2**	**–699.8**	**0.5**	**2,533.3**	**81.5**
RB Rail AS (Latvia)	33.3	62.9	2.3	26.4	–26.3	–0.1	65.2	2.4	24.7	–24.6	–0.1	38.9	2.5
Enefit Jordan B.V. (Jordan, Estonia)	65	0.3	0.0	0.0	–11.4	0.0	0.4	0.0	0.0	–9.8	0.0	0.3	0.0
Attarat Mining Co BV, Attarat Power Holding Co BV (group), Attarat Operation & Maintenance Co BV (Netherlands, Jordan)	10	2,791.5	72.5	684.6	–682.1	0.8	2,655.3	73.9	627.4	–635.2	–1.6	2,472.1	72.6
Orica Eesti OÜ	35	9.4	1.9	22.4	–19.4	1.1	14.3	3.8	25.7	–24.0	1.7	15.1	3.7
Insignificant holdings of Eesti Energia AS			0.6			0.1	0.0	0.6			0.1		0.5
AS Green Marine	51	11.0	2.7	7.7	–6.7	0.5	9.7	2.2	7.4	–6.2	0.4	6.9	2.1
Baltic RCC OÜ (insignificant holdings of AS Elering)			0.1			0.0		0.1			0.0		0.1

Nordic Aviation Group AS (bankrupt, see Note A9) remained unaudited as of 31 December 2023 and 31 December 2024.

Note a2

Cash and cash equivalents

In millions of euros

	Consolidated			Unconsolidated		
	31/12/2024	**31/12/2023**	**31/12/2022**	**31/12/2024**	**31/12/2023**	**31/12/2022**
Cash	0.8	1.0	1.2	0.1	0.1	0.1
Cash in transit	0.5	0.9	2.7	0.3	0.2	0.1
Bank accounts in banks	1,582.0	1,351.6	1,811.0	1,029.6	811.6	874.1
Term deposits in banks	1,140.1	1,011.7	681.5	560.8	616.3	540.8
Total cash	**2,723.4**	**2,365.2**	**2,496.4**	**1,590.8**	**1,428.2**	**1,415.1**
Interest income of the reporting period (see Note a27)	89.9	63.5	2.5	54.0	33.2	1.0

Balances of the current accounts of the non-state institutions included in the cash pooling system of the Ministry of Finance (State Treasury) are recorded among public money (cash and cash equivalents) and deposits received (see Note a15):

	Consolidated			Unconsolidated		
	31/12/2024	**31/12/2023**	**31/12/2022**	**31/12/2024**	**31/12/2023**	**31/12/2022**
Töötukassa	679.4	650.5	609.0	679.4	650.5	609.0
Tervisekassa	614.8	623.6	508.3	614.8	623.6	508.3
Organisations not included in the public sector report	11.6	21.8	25.7	11.6	21.8	25.7
Public foundations and companies (consolidated in the report using the line-by-line method)	0.0	0.0	0.0	7.5	4.3	3.5
Total	**1,305.8**	**1,295.9**	**1,143.0**	**1,313.3**	**1,300.2**	**1,146.5**

The State Treasury keeps money of other persons on the basis of a deposit agreement and pays them interest on the balance. Minimum liquidity buffer requirements have been established for the liquidity reserve (see Note a20 C).

Note a3

Financial investments

In millions of euros

	Consolidated			Unconsolidated		
	31/12/2024	**31/12/2023**	**31/12/2022**	**31/12/2024**	**31/12/2023**	**31/12/2022**
Short-term financial investments						
Shares of exchange-traded fund	10.1	0	0	10.1	0.0	0.0
Bonds in trading portfolio	1,802.3	1,141.7	1,609.1	1,784.5	1,125.0	1,598.1
Total short-term financial investments	**1,812.4**	**1,141.7**	**1,609.1**	**1,794.6**	**1,125.0**	**1,598.1**
Incl. recorded at fair value	1,812.4	1,141.7	1,609.1	1,794.6	1,125.0	1,598.1
Long-term financial investments						
Holdings in international organisations	278.1	277.4	215.3	278.1	277.4	215.3

	Consolidated			Unconsolidated		
	31/12/2024	31/12/2023	31/12/2022	31/12/2024	31/12/2023	31/12/2022
Venture capital fund holding	483.3	352.4	260.4	451.1	324.8	237.7
Unlisted shares	1.6	1.4	0.7	0.0	0.0	0.0
Other long-term financial investments	3.9	3.6	3.6	0.0	0.0	0.0
Total long-term financial investments	766.9	634.8	480.0	729.2	602.2	453.0
Incl. recorded at fair value	483.3	352.4	260.4	451.1	324.8	237.7
Incl. recorded at adjusted cost	283.6	282.4	219.6	278.1	277.4	215.3
Income earned from bonds and shares of exchange-traded fund (see Note a27)	65.9	40.4	–12.0	65.0	39.2	–10.6
Distribution of bonds by issuer						
Euro area governments	496.9	359.3	408.5	491.4	355.0	406.2
Credit institutions	1,306.9	773.7	1,192.8	1,303.2	770.0	1,191.9
Undertakings	8.6	8.7	7.8	0.0	0.0	0.0
Total bonds	**1,812.4**	**1,141.7**	**1,609.1**	**1,794.6**	**1,125.0**	**1,598.1**

Unlisted shares and units, as well as other long-term financial investments, included new share acquisitions in 2024 amounting to 0.2 million euros (0.7 million euros invested in 2023).

Holdings in international organisations

	31/12/2024	31/12/2023	31/12/2022
European Bank for Reconstruction and Development (EBRD)	5.3	5.3	5.3
European Investment Bank (EIB)	27.9	27.9	27.9
Nordic Investment Bank (NIB)	12.9	12.9	12.9
Council of Europe Development Bank (CEB)	2.2	0.8	0.8
International Development Association (IDA)	1.0	1.0	1.0
European Financial Stability Facility (EFSF)	0.1	0.1	0.1
European Stability Mechanism (ESM)	204.7	204.7	148.8
International Bank for Reconstruction and Development (IBRD)	9.7	8.7	7.6
Three Seas Initiative Investment Fund	14.3	16.0	10.9
Total holdings in international organisations	**278.1**	**277.4**	**215.3**

The balance sheet includes cash contributions to the equity capital of international organisations.

The contingent liabilities of the state from holdings in international organisations are presented in Note a30 A.

Additional contributions to international holdings in 2024 totalled 3.8 million euros (62.4 million euros in 2023). Repayments of 3.6 million euros were received.
Revaluations of holdings amounted to 0.5 million euros (–0.3 million euros in 2023).

Venture capital fund holdings

	Consolidated			Unconsolidated		
	31/12/2024	31/12/2023	31/12/2022	31/12/2024	31/12/2023	31/12/2022
SmartCap Venture Capital Fund	248.7	175.1	92.2	248.7	175.1	92.2
SmartCap Green Fund	105.0	101.9	99.7	105.0	101.9	99.7
SmartCap Defence Fund	50.0	0.0	0.0	50.0	0.0	0.0

	Consolidated			Unconsolidated		
	31/12/2024	31/12/2023	31/12/2022	31/12/2024	31/12/2023	31/12/2022
EstFund	47.4	47.8	45.8	47.4	47.8	45.8
Baltic Innovation Fund	32.2	27.6	22.7	0.0	0.0	0.0
Total venture capital fund holdings	**483.3**	**352.4**	**260.4**	**451.1**	**324.8**	**237.7**
Surplus/deficit of venture capital funds for the reporting period (see Note a27)	3.1	–15.0	–2.4	1.2	–15.8	–3.0

SmartCap Venture Capital Fund invests in venture capital funds that develop innovative Estonian enterprises with international growth potential or in international venture capital funds that help to modernise Estonian economy and develop the local capital market. Additionally, 75.0 million euros (101.9 million euros in 2023) were allocated to the fund in 2024. The fund earned a loss of 1.6 million euros in 2024 (loss of 19.0 million euros in 2023).
The SmartCap Green Fund invests in innovative and/or research-intensive Estonian green technology companies. The fund earned a profit of 3.1 million euros in 2024 (profit of 2.2 million euros in 2023). The SmartCap Green Fund is a part of the Estonian Recovery and Resilience plan of the European Recovery and Resilience Facility, and Estonia received 100 million euros in 2023 to cover this investment, which is reflected in the grant income received in 2023.
The SmartCap Defence Fund was established in 2024, with the state contributing 50.0 million euros. The fund was opened for investments in 2025. Its objective is to develop Estonia's defence industry and create innovative defence and security capabilities.
EstFund, a sub-fund of the European Investment Fund, invests in early-stage entrepreneurs to provide venture capital. No additional funds were allocated to the fund in 2024 (1.0 million euros were allocated in 2023). In 2024, the fund earned a profit of 0.3 million euros (profit of 1.0 million euros in 2023).
In the consolidated report, an investment by the Ettevõtluse ja Innovatsiooni Sihtasutus in the Baltic Innovation Fund is added. In 2024, additionally 3.0 million euros were transferred to the fund (5.2 million euros in 2023). A profit of 1.9 million euros (0.8 million euros in 2023) was calculated on the fund resources. 0.3 million euros were recovered from the fund (1.1 million euros in 2023).

Note a4

Taxes, state fees, fines

In millions of euros

A. Tax, state fee and fine receivables

	Consolidated			Unconsolidated		
	31/12/2024	31/12/2023	31/12/2022	31/12/2024	31/12/2023	31/12/2022
VAT	**576.9**	**516.6**	**505.5**	**588.8**	**520.9**	**521.2**
Incl. in gross amount	719.9	652.1	637.0	731.8	656.4	652.7
Incl. doubtful receivables	–143.0	–135.5	–131.5	–143.0	–135.5	–131.5
Social tax	**418.9**	**384.5**	**364.4**	**443.3**	**407.5**	**384.3**
Incl. in gross amount	478.6	439.5	415.9	502.9	462.5	435.8
Incl. doubtful receivables	–59.7	–55.0	–51.5	–59.6	–55.0	–51.5
Personal income tax	**299.7**	**251.1**	**242.7**	**313.4**	**264.0**	**253.7**
Incl. in gross amount	324.9	275.5	264.7	338.7	288.4	275.7
Incl. doubtful receivables	–25.2	–24.4	–22.0	–25.3	–24.4	–22.0
Fringe benefits and corporate income tax	**329.2**	**122.5**	**96.5**	**356.8**	**136.9**	**96.8**
Incl. in gross amount	350.9	144.5	118.5	378.5	158.9	118.8
Incl. doubtful receivables	–21.7	–22.0	–22.0	–21.7	–22.0	–22.0

	Consolidated			Unconsolidated		
	31/12/2024	31/12/2023	31/12/2022	31/12/2024	31/12/2023	31/12/2022
Excise duties	**111.0**	**109.2**	**95.8**	**112.4**	**110.3**	**96.8**
Incl. in gross amount	113.4	112.7	101.1	114.8	113.8	102.1
Incl. doubtful receivables	–2.4	–3.5	–5.3	–2.4	–3.5	–5.3
Other taxes	**44.8**	**40.9**	**40.6**	**49.2**	**44.9**	**44.0**
Incl. in gross amount	50.2	46.2	46.0	54.6	50.2	49.3
Incl. doubtful receivables	–5.4	–5.3	–5.4	–5.4	–5.3	–5.3
Natural resource use and pollution charges	**18.4**	**15.9**	**16.6**	**27.5**	**26.8**	**31.9**
Incl. in gross amount	19.1	16.9	17.2	28.2	27.8	32.5
Incl. doubtful receivables	–0.7	–1.0	–0.6	–0.7	–1.0	–0.6
Fines	**10.3**	**7.2**	**6.4**	**10.3**	**7.2**	**6.5**
Incl. in gross amount	18.6	15.5	14.9	18.6	15.5	15.0
Incl. doubtful receivables	–8.3	–8.3	–8.5	–8.3	–8.3	–8.5
Consideration adjudicated based on court judgments	**12.5**	**14.2**	**14.4**	**12.5**	**14.2**	**14.4**
Incl. in gross amount	13.7	15.5	15.5	13.7	15.5	15.5
Incl. doubtful receivables	–1.2	–1.3	–1.1	–1.2	–1.3	–1.1
Tax penalties	**4.6**	**5.1**	**4.6**	**4.6**	**5.1**	**4.6**
Incl. in gross amount	46.4	46.9	46.6	46.4	46.9	46.6
Incl. doubtful receivables	–41.8	–41.8	–42.0	–41.8	–41.8	–42.0
Total tax, state fee and fine receivables	**1,826.3**	**1,467.2**	**1,387.5**	**1,918.8**	**1,537.8**	**1,454.2**
Incl. in gross amount	2,135.7	1,765.3	1,677.4	2,228.2	1,835.9	1,744.0
Incl. doubtful receivables	–309.4	–298.1	–289.9	–309.4	–298.1	–289.8

In 2024, tax receivables in the amount of 30.3 million euros (24.2 million euros in 2023) and tax penalties, fines, and non-compliance levies in the amount of 6.4 million euros (5.7 million euros in 2023) were assessed as irrecoverable and written off the balance sheet by the Tax and Customs Board.

B. Prepayments of taxes, fines and state fees received

	Consolidated			Unconsolidated		
	31/12/2024	31/12/2023	31/12/2022	31/12/2024	31/12/2023	31/12/2022
VAT	213.5	172.8	181.5	226.0	179.9	188.4
Personal income tax	176.8	219.6	206.8	176.8	219.6	206.8
Other taxes, state fees, fines	13.9	8.5	8.8	14.0	8.5	8.9
Prepayment account balances	316.8	257.5	303.1	328.1	269.9	312.5
Total prepayments of taxes, state fees and fines received	**721.0**	**658.4**	**700.2**	**744.9**	**677.9**	**716.6**

C. Tax, state fee and fine liabilities

	Consolidated			Unconsolidated		
	31/12/2024	**31/12/2023**	**31/12/2022**	**31/12/2024**	**31/12/2023**	**31/12/2022**
VAT	15.8	16.0	13.1	0.0	0.0	0.0
Social tax	190.5	175.9	163.6	189.6	175.1	163.0
Personal income tax	185.4	163.3	153.1	184.9	162.8	152.7
Unemployment insurance premiums	29.5	27.2	25.4	29.5	27.2	25.4
Funded pension contributions	66.1	61.8	57.6	66.1	61.8	57.6
Other taxes	14.9	14.7	19.1	13.2	11.5	16.2
Environmental charges and fees	4.1	4.1	3.6	4.1	4.0	3.6
Total tax, state fee, and fine liabilities	**506.3**	**463.0**	**435.5**	**487.4**	**442.4**	**418.5**

The majority of liabilities are pass-through taxes and other charges. In the consolidated report, the tax liabilities of establishments abroad to other countries are added.

Within the public sector, social tax is passed on to Tervisekassa, personal income tax, land tax, and environmental charges to local governments, unemployment insurance payments to Töötukassa, and excise duties and gambling tax to the Cultural Endowment.

Outside the public sector, funded pension payments are passed on to private pension insurance funds, payments related to customs procedures are passed on to the European Commission.

D. Revenue and expenditure

	Revenue				Expenditure from pass-through income				Expenditure from doubtful receivables			
	Consolidated		Unconsolidated		Consolidated		Unconsolidated		Consolidated		Unconsolidated	
	2024	2023	2024	2023	2024	2023	2024	2023	2024	2023	2024	2023
Taxes and social security contributions	**13,814.7**	**12,427.4**	**13,967.7**	**12,582.9**	**–4,772.6**	**–4,415.9**	**–4,772.6**	**–4,415.9**	**–42.1**	**–32.1**	**–42.1**	**–32.1**
Taxes on goods and services	**4,499.3**	**4,167.3**	**4,595.2**	**4,260.2**	**–51.8**	**–47.5**	**–51.8**	**–47.5**	**–23.3**	**–13.8**	**–23.3**	**–13.8**
VAT	3,439.3	3,123.1	3,503.0	3,190.4	0.0	0.0	0.0	0.0	–23.3	–14.2	–23.3	–14.2
Fuel excise duty	512.3	490.3	515.2	493.3	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Alcohol excise duty	252.7	262.4	252.7	262.4	–17.6	–18.0	–17.6	–18.0	0.0	0.0	0.0	0.0
Tobacco excise duty	249.7	251.4	249.7	251.4	0.0	0.0	0.0	0.0	0.0	0.4	0.0	0.4
Electricity excise duty	1.2	0.9	9.9	7.7	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Excise duty on packaging	0.2	0.2	0.2	0.2	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Advertising tax in Tallinn	6.4	6.3	6.4	6.3	–6.4	–6.3	–6.4	–6.3	0.0	0.0	0.0	0.0
Gambling tax	37.5	32.7	58.1	48.5	–27.8	–23.2	–27.8	–23.2	0.0	0.0	0.0	0.0
Social tax and social security contributions	**5,392.7**	**5,071.9**	**5,392.7**	**5,071.9**	**–2,739.3**	**–2,580.6**	**–2,739.3**	**–2,580.6**	**–12.5**	**–10.8**	**–12.5**	**–10.8**
Social tax	4,902.1	4,607.2	4,902.1	4,607.2	–2,249.2	–2,116.6	–2,249.2	–2,116.6	–11.9	–10.2	–11.9	–10.2
Incl. for pension insurance	2,972.7	2,796.0	2,972.7	2,796.0	–324.5	–309.4	–324.5	–309.4	–7.2	–6.2	–7.2	–6.2
Incl. for health insurance	1,929.4	1,811.2	1,929.4	1,811.2	–1,924.7	–1,807.2	–1,924.7	–1,807.2	–4.7	–4.0	–4.7	–4.0
Unemployment insurance premiums	311.6	293.0	311.6	293.0	–311.0	–292.4	–311.0	–292.4	–0.6	–0.5	–0.6	–0.5
Funded pension contributions	179.0	171.7	179.0	171.7	–179.1	–171.6	–179.1	–171.6	0.0	–0.1	0.0	–0.1
Income tax	**3,823.3**	**3,094.3**	**3,873.1**	**3,148.0**	**–1,889.3**	**–1,698.7**	**–1,889.3**	**–1,698.7**	**–6.1**	**–7.4**	**–6.1**	**–7.4**
Personal income tax	2,693.9	2,388.3	2,693.9	2,388.3	–1,889.3	–1,698.7	–1,889.3	–1,698.7	–4.7	–5.2	–4.7	–5.2
Corporate income tax	1,129.4	706.0	1,179.2	759.7	0.0	0.0	0.0	0.0	–1.4	–2.2	–1.4	–2.2
Property taxes	**54.7**	**53.3**	**62.0**	**62.2**	**–58.6**	**–59.1**	**–58.6**	**–59.1**	**–0.2**	**–0.1**	**–0.2**	**–0.1**

	Revenue				Expenditure from pass-through income				Expenditure from doubtful receivables			
	Consolidated		Unconsolidated		Consolidated		Unconsolidated		Consolidated		Unconsolidated	
	2024	2023	2024	2023	2024	2023	2024	2023	2024	2023	2024	2023
Land tax	49.9	48.4	57.2	57.3	–58.6	–59.1	–58.6	–59.1	–0.2	–0.1	–0.2	–0.1
Heavy goods vehicle tax	4.8	4.9	4.8	4.9	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Taxes on foreign trade	**44.7**	**40.6**	**44.7**	**40.6**	**–33.6**	**–30.0**	**–33.6**	**–30.0**	**0.0**	**0.0**	**0.0**	**0.0**
Customs duty	44.7	40.6	44.7	40.6	–33.6	–30.0	–33.6	–30.0	0.0	0.0	0.0	0.0
Tax penalties (see Note a22)	**18.9**	**19.1**	**18.9**	**19.1**	**0.0**	**0.0**	**0.0**	**0.0**	**–5.8**	**–5.2**	**–5.8**	**–5.2**
State fees (see Note a21)	**91.7**	**86.5**	**92.2**	**87.0**	**–1.4**	**–1.5**	**–1.4**	**–1.5**	**0.0**	**0.0**	**0.0**	**0.0**
On register entries	53.7	47.9	53.8	48.1	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Based on the Identity Documents Act and the Citizenship Act	11.8	12.7	11.8	12.7	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
On court case procedures	10.1	10.6	10.1	10.6	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Other state fees	16.1	15.3	16.5	15.6	–1.4	–1.5	–1.4	–1.5	0.0	0.0	0.0	0.0
Fines and other fines to the extent of asset (see Note a22)	**33.6**	**27.7**	**29.9**	**25.0**	**–0.2**	**0.0**	**–0.2**	**0.0**	**–1.2**	**–1.3**	**–1.2**	**–1.3**
Pollution charges and compensation for environmental damage (see Note a22)	**25.2**	**22.7**	**36.8**	**34.2**	**–0.7**	**–0.4**	**–0.7**	**–0.4**	**0.0**	**0.0**	**0.0**	**0.0**
Natural resource use charges (see Note a22)	**40.6**	**40.4**	**63.9**	**69.7**	**–14.1**	**–14.4**	**–14.1**	**–14.4**	**0.2**	**–0.4**	**0.2**	**–0.4**
Road usage charges (see Note a22)	**26.3**	**21.0**	**26.4**	**21.0**	**0.0**	**0.0**	**0.0**	**0.0**	**0.0**	**0.0**	**0.0**	**0.0**
Monitoring charges (see Note a22)	**1.4**	**1.3**	**2.3**	**3.5**	**0.0**	**0.0**	**0.0**	**0.0**	**0.0**	**0.0**	**0.0**	**0.0**
Universal postal service charges (see Note a22)	**0.0**	**0.0**	**0.6**	**0.7**	**0.0**	**0.0**	**0.0**	**0.0**	**0.0**	**0.0**	**0.0**	**0.0**
Receivables adjudicated based on non-compliance levies and court judgments (see Note a22)	**8.0**	**10.5**	**8.0**	**10.5**	**0.0**	**0.0**	**0.0**	**0.0**	**–0.5**	**–0.5**	**–0.5**	**–0.5**
Total taxes, state fees, fines	**14,060.4**	**12,656.6**	**14,246.7**	**12,853.6**	**–4,789.0**	**–4,432.2**	**–4,789.0**	**–4,432.2**	**–49.4**	**–39.5**	**–49.4**	**–39.5**

Revenue from taxes, state fees and fines eliminated on consolidation

	Consolidated		Unconsolidated	
	2024	2023	2024	2023
VAT	403.0	357.8	339.3	290.5
Pollution charges and compensation for environmental damage	11.6	11.5	0.0	0.0
Natural resource use charges	23.3	29.3	0.0	0.0
Corporate income tax	49.8	53.7	0.0	0.0
Land tax	8.9	10.7	1.6	1.9
Other revenue from taxes, state fees and fines	34.6	29.3	0.2	0.2
Total eliminated revenue from taxes, state fees and fines	**531.2**	**492.3**	**341.1**	**292.6**

Tax expense calculated on salaries and wages and fringe benefits (see Note a23) and the corresponding revenue from social tax and social security contributions have not been eliminated on consolidation because for this expenditure, employees have been treated as counterparties. Moreover, fuel excise duty paid on the purchase of fuel has not been eliminated as it is received by the Tax and Customs Board through private sector fuel vendors, who do not reflect it in their sales invoices.

Note a5

Other receivables and prepayments

In millions of euros

	Consolidated			Unconsolidated		
	31/12/2024	31/12/2023	31/12/2022	31/12/2024	31/12/2023	31/12/2022
Short-term receivables and prepayments	**1,851.8**	**2,066.4**	**1,676.8**	**1,403.9**	**1,347.3**	**1,034.0**
Trade receivables	401.0	435.6	504.6	30.5	23.0	22.4
In gross amount	412.7	445.3	516.0	31.0	23.3	22.7
Doubtful receivables	–11.7	–9.7	–11.4	–0.5	–0.3	–0.3
Interest receivables	23.7	22.8	9.4	16.3	17.0	7.3
Other accrued income	26.2	29.1	33.0	0.0	0.4	0.5
Loan receivables (see Note a6)	95.6	72.8	73.2	8.7	9.3	8.4
Outstanding government grants (see Note a19 A)	774.8	882.8	716.8	771.7	879.8	716.3
Other receivables	13.3	33.3	40.8	12.1	16.1	10.2
Security deposits	46.7	187.4	46.2	0.7	0.7	0.9
Prepayments and recoveries of taxes, state fees, and fines	5.0	29.8	11.3	0.3	0.4	0.3
Government grant prepayments (see Note a19 B)	187.2	130.8	142.6	310.3	176.8	197.9
Recoveries from dedicated funds	0.0	0.0	0.0	0.0	5.6	0.0
Prepaid expenses	278.3	242.0	98.9	253.3	218.2	69.8
Long-term receivables and prepayments	**761.9**	**795.7**	**941.4**	**1,032.8**	**1,040.9**	**1,193.2**

	Consolidated			Unconsolidated		
	31/12/2024	31/12/2023	31/12/2022	31/12/2024	31/12/2023	31/12/2022
Loan receivables (see Note a6)	625.1	689.5	815.9	501.6	515.6	530.6
Interest receivables (see Note a6)	39.8	34.1	30.3	39.8	34.1	30.3
Dedicated funds	0.0	0.0	0.0	317.9	359.3	472.2
Trade receivables	0.4	0.5	0.4	0.4	0.4	0.4
Outstanding government grants (see Note a19 A)	6.0	6.0	6.0	6.0	6.0	6.0
Other receivables	6.0	11.7	5.8	1.1	0.9	0.8
Government grant pre-payments (see Note a19 B)	0.0	0.0	0.0	36.5	23.8	22.0
Deferred corporate income tax receivables	4.2	4.5	3.8	0.0	0.0	0.0
Prepaid expenses	80.4	49.4	79.2	129.5	100.8	130.9
Total receivables and prepayments	**2,613.7**	**2,862.1**	**2,618.2**	**2,436.7**	**2,388.2**	**2,227.2**

In the consolidated cash flow statement, proceeds from the sale of non-current assets have been adjusted by a decrease in receivables of 0.8 million euros (an increase of 0.1 million euros in 2023) and by 0.7 million euros in the unconsolidated statement (an increase of 0.1 million euros in 2023).

Of the long-term future expenditure prepayments, defence prepayments amount to 66.4 million euros (44.6 million euros as of 31 December 2023) and of the short-term future expenditure prepayments, 218.9 million euros (198.9 million euros as of 31 December 2023).

Dedicated funds are managed by the state, through foundations and a subsidiary under controlling influence, granting and guaranteeing loans to the business sector and housing associations for the purpose of housing improvement.

In 2024, additional contributions to the funds amounted to 12.1 million euros (25.1 million euros in 2023). A total of 94.9 million euros (including 5.6 million euros from short-term receivables) (143.6 million euros in 2023) was recovered. In the unconsolidated cash flow statement, inflows and outflows of earmarked funds are recorded under investing activities along with movements in other financial investments.

Dedicated funds

	Unconsolidated		
	31/12/2024	31/12/2023	31/12/2022
Loan, security and export transaction funds managed by Ettevõtluse ja Innovatsiooni Sihtasutus	183.8	217.6	313.9
Reinsurer's deposit managed by AS KredEx Krediidikindlustus	15.4	15.0	14.8
Rural development trust funds managed by Maaelu Edendamise SA	118.7	126.7	143.5
Total dedicated funds	**317.9**	**359.3**	**472.2**

Revenue and expenditure from dedicated funds (see Note a27)

	Unconsolidated	
	2024	2023
Loan, security and export transaction funds managed by Ettevõtluse ja Innovatsiooni Sihtasutus	29.7	8.7
Reinsurer's deposit managed by AS KredEx Krediidikindlustus	0.4	0.4
Rural development trust funds managed by Maaelu Edendamise SA	5.7	1.9
Total revenue and expenditure from dedicated funds	**35.8**	**11.0**

Note a6

Loans issued

In millions of euros

	Consolidated			Unconsolidated		
	Short-term part	Long-term part	Total	Short-term part	Long-term part	Total
Balance as of 31/12/2022	**73.2**	**815.9**	**889.1**	**8.4**	**530.6**	**539.0**
Incl. in gross amount	81.3	905.4	**986.7**	8.8	546.2	**555**
Incl. reduced by discounting	0	–14.9	**–14.9**	0	–14.9	**–14.9**
Incl. doubtful receivables	–8.1	–74.6	**–82.7**	–0.4	–0.7	**–1.1**
Loan movements 2023	**–0.4**	**–126.4**	**–126.8**	**0.9**	**–15.0**	**–14.1**
Loans issued	9.0	24.8	**33.8**	0.1	0.0	**0.1**
Received	–153.1	–2.0	**–155.1**	–9.1	–2.2	**–11.3**
Offset against loan liabilities (see Note a17)	0.0	–4.8	**–4.8**	0.0	–4.8	**–4.8**
Doubtful receivables	–3.7	1.3	**–2.4**	0.0	0.2	**0.2**
Increase from interest calculations	0.0	1.7	**1.7**	0.0	1.7	**1.7**
Reclassification	147.4	–147.4	**0.0**	9.9	–9.9	**0.0**
Balance as of 31/12/2023	**72.8**	**689.5**	**762.3**	**9.3**	**515.6**	**524.9**
Incl. in gross amount	82.5	777.2	**859.7**	9.7	529.5	**539.2**
Incl. reduced by discounting	0.0	–13.2	**–13.2**	0.0	–13.3	**–13.3**
Incl. doubtful receivables	–9.7	–74.5	**–84.2**	–0.4	–0.6	**–1.0**
Loan movements 2024	**22.8**	**–64.4**	**–41.6**	**–0.6**	**–14.0**	**–14.6**
Loans issued	0.1	28.4	**28.5**	0.1	0.0	**0.1**
Received	–77.8	–1.5	**–79.3**	–10.1	–1.4	**–11.5**
Offset against loan liabilities (see Note a17)	0.0	–4.8	**–4.8**	0.0	–4.8	**–4.8**
Doubtful receivables (see Note a26)	–5.6	18.3	**12.7**	0.1	0.1	**0.2**
Increase from interest calculations	0.0	1.4	**1.4**	0.0	1.4	**1.4**
Decrease from end of controlling influence	–0.1	0.0	**–0.1**	0.0	0.0	**0.0**
Reclassification	106.2	–106.2	**0.0**	9.3	–9.3	**0.0**
Balance as of 31/12/2024	**95.6**	**625.1**	**720.7**	**8.7**	**501.6**	**510.3**
Incl. in gross amount	107.4	702.6	**810.0**	9.0	514.0	**523.0**
Incl. reduced by discounting	0.0	–11.8	**–11.8**	0.0	–11.8	**–11.8**
Incl. doubtful receivables	–11.8	–65.7	**–77.5**	–0.3	–0.6	**–0.9**

Major (unconsolidated) receivables of the state:

1) loans issued by the Estonian state through the EFSF in the total amount of 442.3 million euros (447.1 million euros at the end of 2023) (programmes for supporting Greece, Ireland, and Portugal). The corresponding amount is also recorded under the state's loan liabilities (see Note a17). In addition, the Greek programme includes long-term interest receivables (see Note a5) and interest payables (see Note a15) resulting from loans in the amount of 39.8 million euros (34.1 million euros at the end of 2023);

2) instalment receivables for land that was privatised on the basis of the Land Reform Act which have been secured by mortgages on the same lands in a total amount of 24.9 million euros (26.8 million euros at the end of 2023);

3) outstanding student loan receivables purchased from banks in the amount of 0.1 million euros (also 0.1 million euros at the end of 2023). The balances of student loans in banks are recorded as contingent liabilities of the state (see Note a30) as they may become receivables from the state in the event of non-payment;
4) 42.1 million euros (48.5 million euros at the end of 2023) to the Environmental Investment Centre for co-financing needed for the implementation of water management projects of local governments;
5) 0.9 million euros to Ettevõtluse ja Innovatsiooni Sihtasutus for on-lending to businesses (2.3 million euros at the end of 2023).

Major (consolidated) loan receivables of the state in addition to the (unconsolidated) loan receivables of the state listed in sections 1 to 3:
6) loan receivables of Ettevõtluse ja Innovatsiooni Sihtasutus in the amount of 78.1 million euros (95.5 million euros at the end of 2023);
7) loan receivables of Maaelu Edendamise SA in the amount of 127.9 million euros (133.8 million euros at the end of 2023);
8) loan receivables of Environmental Investment Centre in the amount of 43.2 million euros (50.3 million euros at the end of 2023).

The loan receivable of Ettevõtluse ja Innovatsiooni SA from the bankrupt Nordic Aviation Group AS was 7.0 million euros as of 31 December 2024. At the end of 2024, this was assessed as unlikely to be collected and recognised as an expense (see Note a26). Due to the termination of the consolidation of Nordic Aviation Group AS, the loan receivable was recognised in the state consolidated balance sheet in an amount equal to the previously written down doubtful receivable.

Note a7

Inventories

In millions of euros

	Consolidated			Unconsolidated		
	31/12/2024	31/12/2023	31/12/2022	31/12/2024	31/12/2023	31/12/2022
Mobilisation stockpile	1.6	1.6	1.6	1.6	1.6	1.6
State operation stockpile for emergencies	160.5	161.4	137.8	1.6	1.8	0.6
Stocks of liquid fuel	180.0	171.0	167.8	0.0	0.0	0.0
Defence-related inventories	707.8	0.0	0.0	707.8	0.0	0.0
Other stocks of raw material and other materials	146.7	134.5	170.9	42.3	32.3	36.0
Work-in-progress	87.5	78.3	45.2	0.0	0.0	0.0
Finished goods	42.0	40.0	49.1	2.1	2.2	1.8
Goods purchased for sale	31.8	40.2	54.3	0.0	0.0	0.0
Reclassified assets held for sale	56.8	32.9	86.4	0.0	0.0	0.0
Prepayments for inventories	0.5	0.7	1.3	0.0	0.0	0.0
Total inventories	**1,415.2**	**660.6**	**714.4**	**755.4**	**37.9**	**40.0**

As of 31 December 2024, defence-related inventories (ammunition and ballistic equipment) were recognised for the first time as inventory, amounting to a total of 707.8 million euros (see also changes of the accounting principles and the statement of changes in net asset). These inventories had previously been recorded as the management expenses (defence-related equipment and materials) until 31 December 2024 (see Note a24).

Liquid fuel stocks are the state's strategic stocks held by AS Eesti Varude Keskus on the basis of the Liquid Fuel Stocks Act. The operational emergency reserves of the state include natural gas stocks acquired by AS Eesti Varude Keskus in the amount of 156.8 million euros (same at the end of 2023).

The expenses of the write-downs of inventories and reversals is recognised under other expenditure (see Note a26).

Reclassified assets held for sale

	2024	2023
Balance at the beginning of the period	**32.9**	**86.4**
Reclassified		
Property, plant and equipment	57.2	22.0
Investment property	0.0	0.9
Intangible non-current assets	0.0	1.0
Inventories	0.0	1.0
Trade and other receivables	0.0	1.2
Cash	–6.3	0.0
Sold in residual value	–24.7	–79.2
Written down	–2.3	–0.4
Balance at the end of the period	**56.8**	**32.9**
Liabilities directly associated with reclassified assets held for sale (see Note a15)		
Loan liabilities	0.0	4.3
Trade and other payables	0.0	4.9
Total liabilities related to assets held for sale	**0.0**	**9.2**

Major reclassifications in 2024: OÜ Transpordi Varahaldus reclassified aircrafts with a value of 39.7 million euros as held for sale related to the bankruptcy of Nordic Aviation Group. Riigi Kinnisvara AS reclassified real estate with a value of 15.0 million euros as held for sale.
In 2023, reclassifications were made by Eesti Energia group (16.1 million euros related to the sale of two district heating businesses), AS Raudtee Varad (formerly AS Operail; 6.3 million euros), and Riigi Kinnisvara AS (3.7 million euros).
In 2024, proceeds of 16.4 million euros were received from the sale of Eesti Energia group's district heating businesses (holdings). The profit from the sale of 4.2 million euros is recognised as income from the sale of holdings (see Note a27).

Note a8

Holdings in foundations

In millions of euros

A. Consolidated report

A list of foundations consolidated line-by-line and key economic indicators are presented in Note a1 B1.

B. Unconsolidated report

	Included in the general government sector	Not included in the general government sector	Total
Balance as of 31/12/2022	**422.5**	**8.3**	**430.8**
Monetary contributions	100.8	0.0	**100.8**
Non-monetary payments	–2.2	0.0	**–2.2**
Write-downs and reversals of write-downs (see Note a27)	–5.3	0.0	**–5.3**
Balance as of 31/12/2023	**515.8**	**8.3**	**524.1**
Monetary contributions	70.4	0.0	**70.4**
Monetary payments	–44.8	0.0	**–44.8**
Non-monetary contributions and payments	1.3	0.0	**1.3**
Write-downs and reversals of write-downs (see Note a27)	–1.3	0.0	**–1.3**
Balance as of 31/12/2024	**541.4**	**8.3**	**549.7**

Movements in 2024:
The state made financial contributions of 50.0 million euros to Ettevõtluse ja Innovatsiooni SA and 20.0 million euros to Maaelu Edendamise SA.

Within the area of government of the Ministry of Culture, three new foundations were established to replace existing state agencies, to which 0.4 million euros were transferred and assets and liabilities with a net value of 1.8 million euros were transferred in non-monetary manner.
A monetary payment of 44.8 million euros was received from Maaelu Edendamise SA.
A non-monetary contribution of 0.5 million euros was received from SA CR14.

Movements in 2023:

A monetary contribution of 100.8 million euros was made to Ettevõtluse ja Innovatsiooni SA.
The transfer of holding in SA Koeru Hooldekeskus to the local government amounting to 2.2 million euros (also recorded as a direct decrease in net assets) is recorded as a non-monetary payment.

Note a9

Holdings in subsidiaries and associates

In millions of euros

A. Consolidated report

A list of subsidiaries and associates recognised using the equity method, consolidated line-by-line, and key economic indicators are presented in Note a1 B2.

Movements in 2024:

In November 2024, the Management Board of Nordic Aviation Group declared insolvency, ceased business operations, and filed a petition with the court to initiate bankruptcy proceedings. In December 2024, the court appointed an interim trustee in bankruptcy for the group and prohibited transactions without the trustee's consent. The court declared Nordic Aviation Group bankrupt in January 2025. Based on the bankruptcy, the state's controlling influence was deemed to have ceased as of 31 December 2024 in this annual report. The revenue and expenditure of Nordic Aviation Group for 2024 have been consolidated line-by-line, while its assets, liabilities, and net assets have been removed from the report as of 31 December 2024.

Assets, liabilities, and net assets removed as of 31 December 2024 due to bankruptcy of Nordic Aviation Group

	Assets	Liabilities and net assets
Cash	1.6	
Receivables and prepayments paid	27.9	
Inventories	0.8	
Property, plant and equipment	27.5	
Intangible non-current assets	0.7	
Trade payables		36.0
Employee-related liabilities		2.1
Other liabilities and prepayments received		3.2
Provisions		17.6
Loan liabilities		7.0
Net assets		–7.4
Total	**58.5**	**58.5**

AS Raudtee Varad (group) was engaged in freight transport on the Estonian railway and in rolling stock maintenance and repair under the trade name Operail. In December 2024, a sales transaction was completed in which the group's business operations (including the trade name) were sold to a private sector entrepreneur. The legal entity remaining with the state continues to manage uncollected claims and settle liabilities with the aim of liquidating the group. Revenue from the sale of holdings amounted to 19.1 million euros, of which 16.3 million euros was received in cash (minus 0.2 million euros paid out) and 2.6 million euros was paid directly by the buyer to the bank for Operail's loan liabilities. The loss on sales amounted to 13.8 million euros.

Assets, liabilities, and net assets removed as of 31 December 2024 due to the partial sale of AS Operail

	Assets	Liabilities and net assets
Cash	0.2	
Receivables and prepayments paid	0.5	
Inventories	11.6	
Property, plant and equipment	24.2	

	Assets	Liabilities and net assets
Intangible non-current assets	0.1	
Trade and other payables		0.4
Provisions		0.5
Loan liabilities		2.8
Net assets		32.9
Total	**36.6**	**36.6**

Movements in 2023:
In 2023, the Eesti Energia group sold two subsidiaries with their registered office in Latvia. The revenue from sales amounted to 33.4 million euros, of which 1.4 million euros were not received, and the profit on sales was 0.9 million euros.

Assets, liabilities, and net assets removed in 2023 due to the sale of subsidiaries of Eesti Energia group

	Assets	Liabilities and net assets
Cash	1.5	
Receivables	4.2	
Inventories	12.2	
Property, plant and equipment	18.1	
Trade and other payables		3.5
Net assets		32.5
Total	**36.0**	**36.0**

Tallinna Sadam AS paid dividends to minority holding in the amount of 6.3 million euros in 2024 (same as in 2023) and the Eesti Energia group paid 6.5 million euros (12.9 million euros in 2023).

Associates

	2024	2023
Balance at the beginning of the year	**90.7**	**89.4**
Dividends received	–5.1	–2.7
Sold at selling price	0.0	0.0
Profit from sales	0.0	0.0
Profit/loss based on the equity method (see Note a27)	2.8	1.2
Monetary contributions	0.0	3.3
Effect of foreign exchange rate differences on the total profit of the associates directly reflected in the net asset reserves	–0.8	–0.5
Balance at the end of the year	**87.6**	**90.7**

B. Unconsolidated report

	Government subsidiaries	Non-government subsidiaries	Associates	Total
Balance as of 31/12/2022	**666.2**	**3,817.2**	**6.6**	**4,490.0**
Reclassification	175.6	–175.6	0.0	**0.0**
Monetary contributions	68.0	0.0	0.0	**68.0**
Non-monetary contributions and payments	1.2	–4.9	0.0	**–3.7**
Write-downs and reversals of write-downs (see Note a27)	0.0	–39.9	0.0	**–39.9**
Balance as of 31/12/2023	**911.0**	**3,596.8**	**6.6**	**4,514.4**
Reclassification	0.0	0.0	0.0	**0.0**
Monetary contributions	7.0	5.0	0.0	**12.0**
Monetary payments	0.0	–0.9	0.0	**–0.9**
Non-monetary contributions and payments	10.3	–2.1	0.0	**8.2**
Write-downs and reversals of write-downs (see Note a27)	0.0	–28.3	0.0	**–28.3**
Balance as of 31/12/2024	**928.3**	**3,570.5**	**6.6**	**4,505.4**

Further clarifications on government holdings

Movements in 2024:
A monetary contribution of 7.0 million euros was made to OÜ Rail Baltic Estonia.
Non-monetary contributions and payments of 10.3 million euros occurred with Riigi Kinnisvara AS.
Movements in 2023:
In 2023, AS Eesti Raudtee and OÜ Eesti Keskkonnauuringute Keskus were classified as government undertakings.
A monetary contribution of 68.0 million euros was made to AS Eesti Varude Keskus.
Non-monetary contributions were made to AS Riigi Kinnisvara in the amount of 0.9 million euros and to AS Hoolekandeteenused in the amount of 0.3 million euros.

Further clarifications on non-government holdings

Movements in 2024:
A monetary contribution of 5.0 million euros was made to AS Metrosert.
Total monetary payments of 0.9 million euros were received from the liquidated companies, AS Eesti Vanglatööstus and AS Eesti Loots.
Non-monetary contributions and payments of –1.6 million euros occurred with Riigimetsa Majandamise Keskus. Upon the liquidation of AS Eesti Vanglatööstus, assets and liabilities with a net value of 0.5 million euros were taken over.
Write-downs of holdings included the removal of Nordic Aviation Group AS holdings of 13.0 million euros and a reduction in AS Raudtee Varad holdings of 22.4 million euros.
Movements in 2023:
AS Eesti Loots was liquidated. Its activities, incl. assets and liabilities, were taken over by the Estonian State Fleet. In the unconsolidated report of the state, the holding decreased by 8.5 million euros. Of this amount, property, plant and equipment amounted to 8.6 million euros, inventories to 0.1 million euros, and liabilities to 0.2 million euros.
Contributions and payments were made to the State Forest Management Centre in the form of plots of land, with the holding increasing by 3.7 million euros.
AS Eesti Post paid dividends with a stamp collection by the book value of 0.1 million euros. The fair value of the stamp collection was not assessed. The amount is recognised directly as a decrease in investments and an increase in property, plant and equipment.
Major write-downs of holdings: AS Raudtee Varad (former AS Operail) –19.2 million euros, AS Nordic Aviation Group –18.3 million euros, Lennuliiklusteeninduse AS –3.1 million euros.

Dividend income from subsidiaries and associates

Payer of dividends	**2024**	**2023**
State Forest Management Centre	119.6	75.0
Eesti Energia AS	72.0	68.9
AS Elering	20.0	13.5
AS Tallinna Sadam	12.9	12.9
AS Eesti Loto	12.4	14.3
AS Eesti Post	0.0	6.2
Other subsidiaries	0.2	0.1
Riigi Kinnisvara AS (general government sector)	34.3	32.1
AS Levira (associate)	0.6	0.8
Total income from dividends (see Note a27)	**272.0**	**223.8**

Note a10

Investment property

In millions of euros

	Consolidated		**Unconsolidated**	
	2024	**2023**	**2024**	**2023**
Balance at the beginning of the period	**98.3**	**83.2**	**36.9**	**37.0**
Cost	128.1	112.6	37.8	40.0
Accumulated depreciation	–29.8	–29.4	–0.9	–3.0
Movements in the reporting period	**4.9**	**15.1**	**0.3**	**–0.1**
Depreciation and write-downs (see Note a25)	–2.5	–2.4	–0.1	–0.1
Sales at selling price	–0.4	–0.2	0.0	–0.1
Profit/loss from sales (see Note a22)	0.3	0.2	–0.1	0.1
Acquisitions and improvements (see Note a13)	1.4	1.4	0.0	0.0

	Consolidated		Unconsolidated	
	2024	2023	2024	2023
Non-monetary contributions and payments	0.0	0.0	0.0	–0.4
Non-monetary government grants awarded	–0.1	0.0	0.0	0.0
Reclassification with property, plant and equipment and inventories	6.1	16.1	0.4	0.4
Revaluation (see the statement of changes in net assets)	0.1	0.0	0.1	0.0
Balance at the end of the period	**103.2**	**98.3**	**37.2**	**36.9**
Cost	144.1	128.1	39.0	37.8
Accumulated depreciation	–40.9	–29.8	–1.8	–0.9
Incl. carrying amount of non-current assets under operating lease	45.9	68.5	28.8	31.3
Incl. carrying amount of non-current assets pledged to cover loans	6.0	8.5	0.0	0.0
Income from constituting the right of superficies, user fees, lease and rent	22.3	19.9	9.2	7.1
Administrative expenses of investment property	–0.8	–1.3	0.0	–0.1

Deferred lease income from continuing leases is disclosed in Note a30 D.

Note a11

Property, plant and equipment

In millions of euros

A. Consolidated report

	Land	Buildings and facilities	Defence-related non-current assets	Plant and equipment	Other non-current assets	Work-in-progress and prepayments	Total
Balance as of 31/12/2022	**873.8**	**5,449.5**	**377.9**	**2,915.6**	**117.2**	**1,069.2**	**10,803.2**
Cost	873.8	9,052.4	887.9	5,768.6	216.6	1,069.2	17,868.5
Accumulated depreciation	0.0	–3,602.9	–510.0	–2,853.0	–99.4	0.0	–7,065.3
Total movements 2023	**–0.1**	**256.7**	**59.8**	**–401.0**	**1.2**	**631.5**	**548.1**
Acquisitions and improvements (see Note a13)	20.8	56.4	4.6	142.5	6.7	1,726.7	1,957.7
Depreciation and write-downs (see Note a25)	–0.1	–493.8	–68.8	–783.6	–15.8	–7.6	–1,369.7
Sales at selling price	–34.3	0.0	0.0	–2.2	0.0	0.0	–36.5
Profit from sales (see Note a22)	26.3	0.0	0.0	1.4	0.0	0.0	27.7
Non-monetary government grants received	0.0	6.9	11.6	8.4	0.0	0.0	26.9
Non-monetary government grants awarded	–0.2	–0.9	–1.2	–0.1	0.0	0.0	–2.4
Decrease from end of controlling influence	–0.1	0.0	0.0	–17.7	–0.1	–0.4	–18.3
Exchange rate differences from currency revaluation	–0.1	0.0	0.0	0.7	0.0	0.5	1.1
Non-monetary contributions and payments transferred and received	0.0	–1.8	0.0	0.0	0.0	0.0	–1.8
Reclassification	–14.0	689.7	113.6	249.6	10.4	–1,087.8	–38.5
Revaluation (see the statement of changes in net assets)	1.6	0.2	0.0	0.0	0.0	0.1	1.9
Balance as of 31/12/2023	**873.7**	**5,706.2**	**437.7**	**2,514.6**	**118.4**	**1,700.7**	**11,351.3**
Cost	873.7	9,673.2	1,001.3	5,919.7	214.5	1,700.7	19,383.1

	Land	Buildings and facilities	Defence-related non-current assets	Plant and equipment	Other non-current assets	Work-in-progress and prepayments	Total
Accumulated depreciation		–3,967.0	–563.6	–3,405.1	–96.1		–8,031.8
Average depreciation rate		**5%**	**7%**	**13%**	**7%**		
Carrying amount of non-current assets leased under finance lease	0.0	11.3	0.0	112.1	0.0	0.0	123.4
Carrying amount of non-current assets under operating lease	168.3	22.8	0.0	10.3	0.1	0.0	201.5
Carrying amount of non-current assets pledged to cover loans	0.5	93.6	0.0	43.9	0.0	0.0	138.0
Total movements 2024	**49.1**	**220.2**	**69.9**	**5.7**	**4.8**	**835.7**	**1,185.4**
Acquisitions and improvements (see Note a13)	45.3	22.0	9.2	91.4	7.3	1,959.1	2,134.3
Depreciation and write-downs (see Note a25)	–3.5	**–380.6**	–64.1	–276.6	–12.7	**–114.6**	–852.1
Sales at selling price	–23.6	–7.2	0.0	–5.3	0.0	0.0	–36.1
Profit from sales (see Note a22)	20.9	0.9	0.0	1.4	0.0	0.0	23.2
Non-monetary government grants received	0.3	1.7	7.5	1.8	0.1	0.0	11.4
Non-monetary government grants awarded	–2.2	–2.0	–4.0	0.0	0.0	0.0	–8.2
Decrease from end of controlling influence	0.0	–1.4	0.0	–27.9	–0.3	0.0	–29.6
Exchange rate differences from currency revaluation	0.2	0.0	0.0	0.3	0.0	0.1	0.6
Reclassification	6.1	586.7	121.3	220.6	10.4	–1,009.0	–63.9
Revaluation (see the statement of changes in net assets)	5.6	0.1	0.0	0.0	0.0	0.1	5.8
Balance as of 31/12/2024	**922.8**	**5,926.4**	**507.6**	**2,520.3**	**123.2**	**2,536.4**	**12,536.7**
Cost	922.8	10,108.4	1,132.5	6,029.9	227.4	2,536.4	20,957.4
Accumulated depreciation		–4,182.0	–624.9	–3,509.6	–104.2		–8,420.7
Average depreciation rate		**4%**	**6%**	**5%**	**6%**		
Carrying amount of non-current assets leased under finance lease	0.0	20.8	0.0	72.7	0.0	0.0	93.5
Carrying amount of non-current assets under operating lease	168.9	19.0	0.0	0.1	0.1	0.0	188.1
Carrying amount of non-current assets pledged to cover loans	0.5	86.8	0.0	37.0	0.0	0.0	124.3

B. Unconsolidated report

	Land	Buildings and facilities	Defence-related non-current assets	Plant and equipment	Other non-current assets	Work-in-progress and prepayments	Total
Balance as of 31/12/2022	**203.2**	**2,386.6**	**377.9**	**221.8**	**29.0**	**253.0**	**3,471.5**
Cost	203.2	3,903.4	887.9	621.1	69.1	253.0	5,937.7
Accumulated depreciation	0.0	–1,516.8	–510.0	–399.3	–40.1		–2,466.2
Total movements 2023	**4.7**	**128.5**	**59.8**	**–15.7**	**0.6**	**193.8**	**371.7**
Acquisitions and improvements (see Note a13)	15.5	1.9	4.6	38.8	3.7	596.5	661.0
Depreciation and write-downs (see Note a25)	0.0	–187.1	–68.8	–45.8	–6.7	0.0	–308.4

	Land	Buildings and facilities	Defence-related non-current assets	Plant and equipment	Other non-current assets	Work-in-progress and prepayments	Total
Sales at selling price	–34.3	0.0	0.0	0.0	0.0	0.0	–34.3
Profit from sales (see Note a22)	26.3	0.0	0.0	0.0	0.0	0.0	26.3
Non-monetary government grants received	0.0	6.3	11.6	6.1	0.0	0.0	24.0
Non-monetary government grants awarded	–0.3	–0.9	–1.2	–0.4	0.0	0.0	–2.8
Non-monetary contributions and payments transferred and received	–4.3	0.8	0.0	7.7	0.1	0.0	4.3
Reclassification	0.1	307.5	113.6	–22.2	3.5	–402.7	–0.2
Revaluation (see the statement of changes in net assets)	1.7	0.0	0.0	0.1	0.0	0.0	1.8
Balance as of 31/12/2023	**207.9**	**2,515.1**	**437.7**	**206.1**	**29.6**	**446.8**	**3,843.2**
Cost	207.9	4,132.8	1,001.3	570.8	64.7	446.8	6,424.3
Accumulated depreciation		–1,617.7	–563.6	–364.7	–35.1		–2,581.1
Average depreciation rate		**5%**	**7%**	**8%**	**10%**		
Carrying amount of non-current assets under operating lease	0.5	0.2	0.0	0.0	0.0	0.0	0.7
Total movements 2024	**37.3**	**104.8**	**69.9**	**15.0**	**–0.9**	**223.4**	**449.5**
Acquisitions and improvements (see Note a13)	36.7	2.1	9.2	35.6	2.7	674.7	761.0
Depreciation and write-downs (see Note a25)	0.0	–192.2	–64.1	–40.7	–4.4	–0.3	–301.7
Sales at selling price	–23.3	–5.2	–0.1	0.0	0.0	0.0	–28.6
Profit from sales (see Note a22)	20.8	–0.2	0.1	0.0	0.0	0.0	20.7
Non-monetary government grants received	0.3	1.7	7.4	1.7	0.1	0.0	11.2
Non-monetary government grants awarded	–2.2	–2.0	–4.0	0.0	0.0	0.0	–8.2
Non-monetary contributions and payments transferred and received	–1.2	–7.2	0.0	0.0	–1.6	0.0	–10.0
Reclassification	0.5	307.8	121.4	18.3	2.3	–451.0	–0.7
Revaluation (see the statement of changes in net assets)	5.7	0.0	0.0	0.1	0.0	0.0	5.8
Balance as of 31/12/2024	**245.2**	**2,619.9**	**507.6**	**221.1**	**28.7**	**670.2**	**4,292.7**
Cost	245.2	4,330.0	1,132.5	603.1	66.3	670.2	7,047.3
Accumulated depreciation		–1,710.1	–624.9	–382.0	–37.6		–2,754.6
Average depreciation rate		**5%**	**6%**	**7%**	**7%**		
Carrying amount of non-current assets under operating lease	0.5	0.2	0.0	0.0	0.0	0.0	0.7

As non-monetary government grants, the state received assets from outside the public sector for 9.2 million euros (24.0 million euros in 2023). As non-monetary government grants, the state awarded assets outside the public sector for 4.0 million euros (1.2 million euros in 2023).

Deferred lease income from continuing leases is disclosed in Note a30 D.

Note a12

Intangible assets

In millions of euros

A. Intangible non-current assets

	Consolidated		Unconsolidated	
	2024	**2023**	**2024**	**2023**
Balance at the beginning of the period	**385.5**	**333.2**	**215.9**	**180.3**
Cost	872.3	770.3	538.6	468.5
Accumulated depreciation	–486.8	–437.1	–322.7	–288.2
Total movements	**44.8**	**52.3**	**24.1**	**35.6**
Acquisitions and improvements (see Note a13)	126.6	132.0	79.2	84.4
Depreciation and write-downs (see Note a25)	–83.0	–77.2	–55.4	–48.5
Reclassification	0.6	–1.7	0.3	–0.3
Exchange rate differences from currency revaluation	1.4	–0.8	0.0	0.0
Changes related to acquisition and end of controlling influence	–0.8	0.0	0.0	0.0
Balance at the end of the period	**430.3**	**385.5**	**240.0**	**215.9**
Cost	977.2	872.3	604.8	538.6
Accumulated depreciation	–546.9	–486.8	–364.8	–322.7
Average depreciation rate	**9.0%**	**9.4%**	**9.7%**	**9.6%**

Computer software is registered as (unconsolidated) intangible non-current assets in the financial statements of the state.

In addition to computer software, contractual rights of Eesti Energia AS in the amount of 23.2 million euros (22.1 million euros at the end of 2023) are also recognised as significant assets in the consolidated report.

State subsidiaries recognise goodwill generated upon the acquisition of subsidiaries in the total amount of 24.0 million euros (24.7 million euros at the end of 2023). As subsidiaries prepare their financial statements in accordance with International Financial Reporting Standards (IFRS), goodwill is not amortised.

B. Intangible current assets

	Consolidated	
	2024	**2023**
Balance at the beginning of the period	**216.5**	**444.1**
Acquisitions	3.6	213.6
Calculated to cover greenhouse gas emissions (see Note a16 C)	–140.2	–429.0
Sold and divested	–5.5	–13.3
Exchange rate differences from currency revaluation	0.1	1.1
Balance at the end of the period	**74.5**	**216.5**

Emission allowance credits and certificates of origin purchased by the Eesti Energia AS group are recognised as intangible current assets.

Note a13

Investments by area of activity

In millions of euros

A. Consolidated report

	Investment property	Land	Buildings and facilities	Information and communication equipment	Plant and equipment	Other property, plant and equipment	Unfinished construction and prepayments	Intangible non-current assets	Total
2023 (see Note a10, a11, a12)	**1.4**	**20.8**	**56.4**	**23.0**	**119.5**	**11.3**	**1,726.7**	**132.0**	**2,091.1**
Transport	1.1	8.3	1.3	0.1	20.0	0.8	293.1	12.6	337.3
Fuel and energy	0.0	1.9	33.1	2.4	43.0	0.9	794.9	19.0	895.2
Agriculture and forestry	0.0	3.4	0.2	0.2	3.3	0.0	23.7	6.7	37.5
Other	0.3	0.0	11.8	5.4	4.3	0.2	34.2	20.9	77.1
National defence	0.0	6.1	0.1	1.9	1.1	4.8	355.7	2.3	372.0
Health care	0.0	0.0	8.2	1.6	29.3	0.8	56.7	5.5	102.1
Education	0.0	0.0	0.2	0.7	2.4	0.7	60.3	4.5	68.8
Public order and security	0.0	0.0	0.3	3.2	13.9	2.5	15.9	19.5	55.3
Leisure time, culture, religion	0.0	1.1	0.5	0.0	0.7	0.4	10.9	1.1	14.7
General government sector services	0.0	0.0	0.6	6.1	0.4	0.2	78.2	26.4	111.9
Environmental protection	0.0	0.0	0.1	0.1	1.1	0.0	0.8	0.6	2.7
Social protection	0.0	0.0	0.0	1.3	0.0	0.0	2.3	12.9	16.5
2024 (see Note a10, a11, a12)	**1.4**	**45.3**	**22.0**	**22.8**	**68.6**	**16.5**	**1,959.1**	**126.6**	**2,262.3**
Transport	0.0	22.4	2.8	0.7	20.5	1.0	411.7	8.9	468.0
Fuel and energy	0.0	0.7	12.6	1.6	12.6	1.4	849.1	27.4	905.4
Agriculture and forestry	0.0	7.8	0.0	0.5	1.5	0.1	25.0	5.2	40.1
Other	0.0	0.0	4.4	3.0	3.7	0.2	20.1	21.0	52.4
National defence	0.0	14.3	0.3	1.4	0.7	9.6	487.7	3.1	517.1
Health care	1.4	0.1	0.8	0.7	16.0	0.3	35.2	2.9	57.4
Education	0.0	0.0	0.4	0.3	1.4	0.8	13.0	4.6	20.5
Public order and security	0.0	0.0	0.3	1.1	9.7	1.3	20.1	15.2	47.7
Leisure time, culture, religion	0.0	0.0	0.3	0.0	0.3	1.6	9.5	2.3	14.0
General government sector services	0.0	0.0	0.0	13.3	0.4	0.2	83.5	22.5	119.9
Environmental protection	0.0	0.0	0.1	0.1	1.8	0.0	3.4	0.8	6.2
Social protection	0.0	0.0	0.0	0.1	0.0	0.0	0.8	12.7	13.6

In the cash flow statement, the acquisition of non-current assets has been adjusted by an increase in the trade payables for non-current assets by 3.1 million euros (increase of 77.9 million euros in 2023).

B. Unconsolidated report

	Land	Buildings and facilities	Information and communication equipment	Plant and equipment	Other property, plant and equipment	Unfinished construction and prepayments	Intangible non-current assets	Total
2023 (see Note a10, a11, a12)	**15.5**	**1.9**	**15.9**	**22.9**	**8.3**	**596.5**	**84.4**	**745.4**
Transport	8.2	0.6	0.0	1.2	0.3	147.9	1.0	159.2
Agriculture and forestry	0.0	0.0	0.2	1.0	0.0	0.0	5.7	6.9
Other	0.0	0.2	2.8	1.6	0.0	3.8	12.1	20.5
National defence	6.2	0.1	1.6	1.1	4.8	355.5	2.3	371.6
Education	0.0	0.1	0.7	2.3	0.5	59.6	4.3	67.5
Public order and security	0.0	0.7	3.2	13.9	2.5	16.1	19.5	55.9
General government sector services	0.0	0.2	6.1	0.3	0.1	12.4	25.6	44.7
Leisure time, culture, religion	1.1	0.0	0.0	0.0	0.0	0.5	0.4	2.0
Environmental protection	0.0	0.0	0.0	0.7	0.1	0.7	0.5	2.0
Social protection	0.0	0.0	1.3	0.0	0.0	0.0	12.9	14.2
Health care	0.0	0.0	0.0	0.8	0.0	0.0	0.1	0.9
2024 (see Note a10, a11, a12)	**36.7**	**2.1**	**18.0**	**17.6**	**11.9**	**674.7**	**79.2**	**840.2**
Transport	22.4	0.6	0.0	1.9	0.1	125.7	2.2	152.9
Agriculture and forestry	0.0	0.0	0.5	0.2	0.0	0.0	4.6	5.3
Other	0.0	0.3	1.9	1.4	0.0	3.9	14.2	21.7
National defence	14.3	0.3	0.8	0.8	9.6	491.2	3.1	520.1
Education	0.0	0.4	0.3	1.4	0.7	12.8	4.4	20.0
Public order and security	0.0	0.3	1.1	9.7	1.3	20.3	15.2	47.9
General government sector services	0.0	0.0	13.3	0.4	0.2	17.1	21.8	52.8
Leisure time, culture, religion	0.0	0.1	0.0	0.0	0.0	0.4	0.3	0.8
Environmental protection	0.0	0.1	0.0	0.8	0.0	3.3	0.7	4.9
Social protection	0.0	0.0	0.1	0.0	0.0	0.0	12.7	12.8
Health care	0.0	0.0	0.0	1.0	0.0	0.0	0.0	1.0

In the cash flow statement, the acquisition of non-current assets has been adjusted by an increase in the trade payables for non-current assets by 26.2 million euros (increase of 12.4 million euros in 2023).

Note a14

Biological assets

In millions of euros

A. Classification of biological assets by type

	Consolidated			Unconsolidated		
	31/12/2024	**31/12/2023**	**31/12/2022**	**31/12/2024**	**31/12/2023**	**31/12/2022**
State forest to be sold	1,961.8	2,470.6	2,223.5	8.0	30.9	30.6
Animals	0.3	0.3	0.2	0.2	0.2	0.2
Plants and plantations	11.3	9.8	8.8	0.0	0.0	0.0
Total biological assets	**1,973.4**	**2,480.7**	**2,232.5**	**8.2**	**31.1**	**30.8**
Incl. current assets	98.0	69.2	62.2	0.8	3.1	3.1
Incl. non-current assets	1,875.4	2,411.5	2,170.3	7.4	28.0	27.7

B. Movements in biological assets

	Consolidated		Unconsolidated	
	2024	2023	2024	2023
Balance at the beginning of the period	**2,480.7**	**2,232.5**	**31.1**	**30.8**
Total movements	**–507.3**	**248.2**	**–22.9**	**0.3**
Sold at selling price	0.0	–0.3	0.0	0.0
Profit from the sale of biological assets	0.0	0.1	0.0	0.0
Surplus/deficit from change in fair value	–507.3	248.4	–22.9	0.3
Balance at the end of the period	**1,973.4**	**2,480.7**	**8.2**	**31.1**

C. Volumes of state forest and indicators used to determine the fair value of state forest to be sold

	Unit of measure	Consolidated			Unconsolidated		
		31/12/2024	31/12/2023	31/12/2022	31/12/2024	31/12/2023	31/12/2022
Volume indicators							
Area under managed forests	thousand hectares	715.8	723.2	726.7	7.4	7.4	7.4
Estimated volume of managed forests	thousand solid m^3	110,094.5	111,311.2	112,049.6	1,561.9	1,561.9	1,561.9
Area under non-managed forests	thousand hectares	353.3	339.6	336.1	1.0	1.0	1.0
Estimated volume of non-managed forests	thousand solid m^3	75,996.7	72,859.0	71,413.9	238.7	238.7	238.7
Forecasts used to estimate forest value							
Average estimated annual timber sales volume	thousand m^3	3,434.9	3,594.7	3,709.0	25.0	29.0	29.0
Average estimated timber sales price	EUR/m^3	57.4	53.4	51.8	75.0	75.0	75.0
Average estimated forest management revenue per year	million euros	195.4	197.9	192.1	1.9	2.2	2.2
Average estimated annual expenditure on forest management	million euros	–109.5	–140.9	–140.9	–1.5	–1.5	–1.5
Discount rate	%	7.14	4.70	4.60	7.14	4.70	4.60
Inflation rate in the forestry sector	%	2.70	2.39	2.30	2.70	2.39	2.30

The primary manager of the state forest is the State Forest Management Centre. The unconsolidated report recognises the forest managed by Luua Forestry School.

The State Forest Management Centre plans cutting in such a way that mature forest is cut as evenly as possible. Actual sales volume (thousand m^3) decreased by 10.4 per cent in 2024 compared with the previous year (an increase of 4.7 per cent in 2023).

Comparison of inputs used in assessing the value of the forest of the State Forest Management Centre with actual indicators

	Unit of measure	Actual 2024	Estimate average of 2025–2034	Actual 2023	Estimate average of 2024–2033
Annual sales volume	thousand m^3	3,517.5	3,409.9	3,923.9	3,565.7
Forest management income per unit	EUR/m^3	70.7	57.3	77.3	54.9
Forest management expenditure per unit	EUR/m^3	40.4	32.1	47.5	39.1
Inflation rate in the forestry sector	%	–22.0	2.70	–8.0	2.39

Timber sales volume and average price at the State Forest Management Centre

	2024		2023	
	EUR/m³	Volume (thousand m³)	EUR/m³	Volume (thousand m³)
Sale of cutting right	22.3	42.0	22.1	12.9
Sale of timber	73.0	3,178.2	79.2	3,595.5
Sale of slash	24.0	0.6	35.2	1.1
Sale of wood chips	50.6	339.4	56.7	328.4

Forest land area by principal tree species at the State Forest Management Centre

In hectares

	2024			2023		
	Non-managed forest	Managed forest	Total area	Non-managed forest	Managed forest	Total area
Pine	172,683	257,913	**430,596**	163,154	266,429	**429,583**
Spruce	53,216	171,156	**224,372**	51,241	170,360	**221,601**
Birch	90,878	217,311	**308,189**	89,206	219,275	**308,481**
Aspen	17,098	29,474	**46,572**	16,745	28,558	**45,303**
Black alder	10,674	14,920	**25,594**	10,581	14,179	**24,760**
Grey alder	4,290	15,865	**20,155**	4,257	15,210	**19,467**
Others	3,540	1,789	**5,329**	3,501	1,763	**5,264**
Total	**352,379**	**708,428**	**1,060,807**	**338,685**	**715,774**	**1,054,459**

Forest stock by principal tree species at the State Forest Management Centre

In thousands of m³

	2024			2023		
	Non-managed forest	Managed forest	Total	Non-managed forest	Managed forest	Total
Pine	37,758.2	48,260.8	**86,019.0**	35,557.3	49,751.0	**85,308.3**
Spruce	11,818.1	22,196.2	**34,014.4**	11,372.2	22,200.5	**33,572.6**
Birch	17,456.4	30,176.6	**47,633.0**	17,131.7	30,002.7	**47,134.5**
Aspen	4,858.1	3,575.9	**8,434.0**	4,737.0	3,482.1	**8,219.1**
Black alder	2,479.0	2,206.5	**4,685.6**	2,450.8	2,206.5	**4,657.3**
Grey alder	714.5	1,875.7	**2,590.2**	705.4	1,875.7	**2,581.1**
Others	673.7	240.8	**914.5**	665.8	230.7	**896.5**
Total	**75,758.0**	**108,532.6**	**184,290.6**	**72,620.3**	**109,749.3**	**182,369,5**

D. Mineral reserves

Mineral resources	Unit of measure	31/12/2024			31/12/2023		
		Active consumption supplies	Rate of fee for exploitation per unit (in euros)	Stock price (in millions of euros)	Active consumption supplies	Rate of fee for exploitation per unit (in euros)	Stock price (in millions of euros)
Oil shale	million tonnes	883.7	3.2	2,810.0	909.4	3.2	2,919.1
Limestone for cement	million m³	56.1	3.2	178.5	56.3	3.0	170.4
Technological limestone	million m³	23.5	3.2	74.7	23.6	3.0	71.5
Construction limestone	million m³	104.4	3.0	312.1	104.9	2.9	299.0
Filler limestone	million m³	15.5	1.2	18.5	11.9	1.2	13.7
High-quality construction limestone	million m³	39.9	3.0	119.4	28.0	2.9	79.9

Mineral resources	Unit of measure	31/12/2024			31/12/2023		
		Active consumption supplies	Rate of fee for exploitation per unit (in euros)	Stock price (in millions of euros)	Active consumption supplies	Rate of fee for exploitation per unit (in euros)	Stock price (in millions of euros)
Low-quality construction limestone	million m³	31.9	1.9	60.6	26.8	1.8	48.5
Technological dolomite	million m³	12.1	3.3	40.4	12.1	3.3	40.5
Finishing dolomite	million m³	2.7	3.2	8.6	2.7	3.1	8.4
Construction dolomite	million m³	54.0	3.0	161.4	56.5	2.9	160.9
High-quality construction dolomite	million m³	6.6	3.0	19.9	3.4	2.9	9.6
Low-quality construction dolomite	million m³	23.3	1.9	43.7	14.7	1.8	26.0
Filler dolomite	million m³	14.1	1.2	17.1	14.1	1.2	16.2
Crystalline building block	million m³	1,245.1	2.4	3,025.5	1,245.1	2.3	2,888.5
Cement clay	million m³	14.9	1.0	15.0	14.9	1.0	14.3
Ceramic clay	million m³	9.9	0.9	9.1	9.9	0.9	8.7
Ceramite clay	million m³	7.8	1.1	8.6	7.9	1.0	8.2
Building gravel	million m³	60.0	2.9	175.9	63.6	2.8	179.4
Filler gravel	million m³	7.3	0.6	4.4	6.2	0.6	3.7
Technological sand	million m³	5.9	2.8	16.4	6.0	2.6	15.6
Building sand	million m³	284.0	1.9	550.9	285.7	1.9	528.5
Filler sand	million m³	196.5	0.6	110.0	168.7	0.5	89.4
Sea mud (for treatment purposes)	thousand tonnes	1,407.7	0.0	0.0	1,407.7	0.0	0.0
Lake mud (for fertilisation)	thousand tonnes	170.9	0.0	0.0	170.9	0.0	0.0
Lake mud (for treatment purposes)	thousand tonnes	1,127.3	0.0	0.0	1,127.9	0.0	0.0
Lake lime	thousand m³	731.0	0.0	0.0	731.0	0.0	0.0
Slightly decomposed peat	million tonnes	49.0	2.0	99.4	49.0	1.9	93.6
Well decomposed peat	million tonnes	164.8	2.2	362.5	163.5	2.2	359.7
Total				**8,242.7**			**8,053.5**

Mineral reserves are not recognised in the balance sheet. Exploitation fee is accounted for as revenue in the state report in the year of extraction of the respective resources. In 2024, the state (consolidated) received income from the fees for mining rights of minerals in the amount of 30.2 million euros (30.6 million euros in 2023). The state (unconsolidated) earned 47.2 million euros of income (53.6 million euros in 2023).

Note a15

Other liabilities and prepayments received

In millions of euros

	Consolidated			Unconsolidated		
	31/12/2024	31/12/2023	31/12/2022	31/12/2024	31/12/2023	31/12/2022
Other short-term liabilities and prepayments received	**3,595.4**	**3,133.7**	**2,639.3**	**4,208.8**	**3,694.5**	**3,087.7**

	Consolidated			Unconsolidated		
	31/12/2024	31/12/2023	31/12/2022	31/12/2024	31/12/2023	31/12/2022
Interest payable	90.1	61.9	25.7	74.7	46.3	18.2
Other accruals	17.3	14.8	24.4	0.2	1.0	0.3
Grant commitments (see Note a19 B)	241.6	281.6	266.3	353.2	384.4	353.9
Renewable energy fees for the provision of subsidies (see Note a19 B)	18.8	20.4	6.2	0.0	0.0	0.0
Guarantee fees	43.5	37.1	41.0	32.9	26.4	32.8
Customer deposits	1,330.0	1,370.8	1,235.1	2,051.7	1,972.8	1,741.3
Grant repayment liabilities	10.1	17.8	12.8	10.0	17.7	12.8
Liabilities on sale of assets (see Note a7)	0.0	9.2	54.0	0.0	0.0	0.0
Liability from emissions trading transactions	79.8	0.0	0.0	0.0	0.0	0.0
Other liabilities	57.6	59.9	18.1	24.7	18.4	17.7
Prepayments received for grants (see Note a19 A)	1,688.9	1,243.3	917.2	1,656.5	1,225.0	906.8
Other deferred income	17.7	16.9	38.5	4.9	2.5	3.9
Long-term liabilities and pre-payments received	**123.3**	**120.8**	**119.5**	**129.7**	**130.1**	**132.5**
Trade payables	11.9	9.0	6.4	2.0	1.7	1.4
Grant commitments (see Note a19 B)	0.0	0.0	0.0	46.2	50.3	54.6
Interest payable (see Note a17 B)	39.8	34.1	30.3	39.8	34.1	30.3
Other liabilities	6.2	10.9	16.1	0.6	0.5	0.6
Prepayments received for grants (see Note a19 A)	40.3	42.5	44.8	40.3	42.5	44.8
Deferred corporate income tax liabilities	18.8	13.7	12.9	0.0	0.0	0.0
Other deferred income	6.3	10.6	9.0	0.8	1.0	0.8
Total other liabilities and pre-payments received	**3,718.7**	**3,254.5**	**2,758.8**	**4,338.5**	**3,824.6**	**3,220.2**

Customer deposits include deposits from other public sector entities that are part of the cash pooling system of the State Treasury in the bank (see Note a2). In addition, the money of the customers is deposited in accounts opened with the e-State Treasury system.

The balance of renewable energy fees, which may only be used to provide renewable energy subsidies, is presented on a separate line and added to the liabilities for grant commitments in Note a19 B (see also changes in accounting principles).

Note a16

Provisions

In millions of euros

	Consolidated			Unconsolidated		
	Short-term	Long-term	Total	Short-term	Long-term	Total
Balance as of 31/12/2022	**855.6**	**4,111.1**	**4,966.7**	**387.7**	**4,025.7**	**4,413.4**
Pension provisions	110.3	4,014.3	**4,124.6**	110.1	4,013.8	**4,123.9**
Environmental protection provisions	431.3	13.9	**445.2**	0.0	0.3	**0.3**

	Consolidated			Unconsolidated		
	Short-term	Long-term	Total	Short-term	Long-term	Total
Provisions for guarantee liabilities and loan securities	12.2	44.1	**56.3**	0.7	0.0	**0.7**
Provisions for legal costs	3.4	4.0	**7.4**	2.5	0.0	**2.5**
State liability of the second pillar funded pension	270.5	0.0	**270.5**	270.5	0.0	**270.5**
Provision for the second pillar payments received from insurance funds	0.7	9.2	**9.9**	0.7	9.2	**9.9**
Other provisions	27.2	25.6	**52.8**	3.2	2.4	**5.6**
Movements in 2023	**–477.5**	**512.9**	**35.4**	**–250.0**	**496.2**	**246.2**
Formation	262.7	485.5	**748.2**	–0.1	469.1	**469.0**
Expenditure	–874.2	–0.6	**–874.8**	–383.5	0.0	**–383.5**
Interest expense calculated	0.0	162.0	**162.0**	0.0	160.7	**160.7**
Reclassification	134.0	–134.0	**0.0**	133.6	–133.6	**0.0**
Balance as of 31/12/2023	**378.1**	**4,624.0**	**5,002.1**	**137.7**	**4,521.9**	**4,659.6**
Pension provisions	136.5	4,508.6	**4,645.1**	135.3	4,508.0	**4,643.3**
Environmental protection provisions	206.4	15.9	**222.3**	0.0	0.3	**0.3**
Provisions for guarantee liabilities and loan securities	8.4	48.5	**56.9**	0.5	0.0	**0.5**
Provisions for legal costs	1.6	4.5	**6.1**	0.1	0.0	**0.1**
Provision for the second pillar payments received from insurance funds	0.7	8.5	**9.2**	0.7	8.5	**9.2**
Other provisions	24.5	38.0	**62.5**	1.1	5.1	**6.2**
Movements in 2024	**–58.2**	**337.4**	**279.2**	**16.7**	**348.2**	**364.9**
Formation	129.8	318.6	**448.4**	0.0	312.5	**312.5**
Expenditure	–333.3	0.0	**–333.3**	–128.1	0.0	**–128.1**
Interest expense calculated	0.0	182.2	**182.2**	0.0	180.5	**180.5**
Change from end of controlling influence	–0.5	–17.6	**–18.1**	0.0	0.0	**0.0**
Reclassification	145.8	–145.8	**0.0**	144.8	–144.8	**0.0**
Balance as of 31/12/2024	**319.9**	**4,961.4**	**5,281.3**	**154.4**	**4,870.1**	**5,024.5**
Pension provisions	153.3	4,857.1	**5,010.4**	152.3	4,856.5	**5,008.8**
Environmental protection provisions	126.4	21.5	**147.9**	0.0	0.5	**0.5**
Provisions for guarantee liabilities and loan securities	9.4	43.5	**52.9**	0.3	0.0	**0.3**
Provisions for legal costs	1.8	6.7	**8.5**	0.1	0.0	**0.1**
Provision for the second pillar payments received from insurance funds	0.6	7.9	**8.5**	0.6	7.9	**8.5**
Other provisions	28.4	24.7	**53.1**	1.1	5.2	**6.3**

A. Public sector pension provisions

	At the beginning of the year	Disbursements	Interest expense calculated	Formation	At the end of the year
Total in 2023	**4,123.9**	**–108.0**	**160.6**	**466.8**	**4,643.3**
Pensions for police and border guard officials and rescue officers	1,970.2	–44.2	77.0	198.8	2,201.8
Pensions for servicemen	1,152.7	–22.7	45.2	131.6	1,306.8
Pensions for judges, prosecutors and the Chancellor of Justice	293.7	–6.7	11.4	33.3	331.7
Parliamentary pensions	101.5	–8.2	3.8	14.2	111.3
Special pensions for other officials	16.5	–0.9	0.6	1.1	17.3

	At the beginning of the year	Disbursements	Interest expense calculated	Formation	At the end of the year
Pension increases for pensioners under the Civil Service Act	333.5	–25.3	12.4	67.7	388.3
Pension increases for employees under the Civil Service Act	255.8	0.0	10.2	20.1	286.1
Total in 2024	**4,643.3**	**–127.2**	**180.3**	**312.4**	**5,008.8**
Pensions for police and border guard officials and rescue officers	2,201.8	–52.7	85.7	210.6	2,445.4
Pensions for servicemen	1,306.8	–27.8	51.2	54.9	1,385.1
Pensions for judges, prosecutors and the Chancellor of Justice	331.7	–7.9	12.9	–22.1	314.6
Parliamentary pensions	111.3	–9.1	4.1	9.2	115.5
Special pensions for other officials	17.3	–0.9	0.6	–0.7	16.3
Pension increases for pensioners under the Civil Service Act	388.3	–28.8	14.4	44.6	418.5
Pension increases for employees under the Civil Service Act	286.1	0.0	11.4	15.9	313.4

As of the end of 2024, public sector pension provisions were calculated for a total of 32,612 people (32,400 people at the end of 2023). Of them, 15,597 had retired (15,093 pensioners at the end of 2023).

As the actuarial gains and losses on pension provisions may fluctuate significantly year by year, they are accounted for directly as the change in net assets. In 2024, a total loss of 168.0 million euros was recorded (loss of 237.3 million euros in 2023). Actuarial loss is affected by the change in long-term forecast of the average salaries and wages and the pension index. Amounts accrued for the current period are recognised under labour costs (see Note a23).

In the consolidated report, pension provisions in the Eesti Energia group are added.

B. Environmental protection provisions

	Consolidated		Unconsolidated	
	2024	2023	2024	2023
Balance at the beginning of the period	**222.3**	**445.2**	**0.3**	**0.3**
Formation	65.5	206.4	0.2	0.0
Interest expense calculated	0.8	0.8	0.0	0.0
Expenditure	–140.6	–430.1	0.0	0.0
Balance at the end of the period	**148.0**	**222.3**	**0.5**	**0.3**

Environmental protection provisions have been formed mainly in the Eesti Energia group, incl. for closing the ash fields of mining areas and power plants and for purchasing emission allowances. Of the expenditure, 140.2 million euros are emission allowances expensed to cover greenhouse gas emissions (429.0 million euros in 2023, see Note a12).

C. Provisions for guarantee liabilities and loan securities

The state (unconsolidated) recognises provisions to cover insurance losses for AS KredEx Krediidikindlustus.

Provisions for guarantee liabilities and loan securities in Ettevõtluse ja Innovatsiooni Sihtasutus, Maaelu Edendamise SA, and AS KredEx Krediidikindlustus are reflected in the consolidated report. In 2024, the corresponding provisions were reduced by 2.3 million euros (increased by 4.7 million euros in 2023) and disbursements were made in the amount of 1.7 million euros (4.1 million euros in 2023).

D. Provision for the second pillar payments received from insurance funds

Under the Funded Pensions Act, insurers can opt out of making the second pillar pension contributions by transferring the amount of the guaranteed values agreed in the insurance contracts to the state. The receipts are recognised as provisions. No receipts occurred in 2024 and 2023. The state made payments of 0.7 million euros in both years.

E. Other provisions

AS Eesti Loto forms short-term provisions for the payment of the prize fund. In 2024, 49.3 million euros were paid from provisions (46.8 million euros in 2023), new provisions were formed in the amount of 48.6 million euros (45.7 million euros in 2023), and the balance at the end of the year was 3.8 million euros (4.5 million euros by the end of 2023).

Other provisions also include various provisions, incl. for the payment of rewards, compensation for health damage, dismantling of assets, covering unfavourable contracts, reorganising operations.

Note a17

Loan liabilities

In millions of euros

A. Consolidated report

A1. Division of loan liabilities by residual term

	Bonds	Loans	Finance lease	Total
Balance as of 31/12/2022	**3,736.2**	**3,097.0**	**116.1**	**6,949.3**
Up to 1 year	1,075.2	239.4	13.2	**1,327.8**
1 to 5 years	133.9	1,052.3	58.4	**1,244.6**
More than 5 years	2,527.1	1,805.3	44.5	**4,376.9**
Balance as of 31/12/2023	**3,691.9**	**4,406.8**	**100.9**	**8,199.6**
Up to 1 year	519.9	566.9	16.3	**1,103.1**
1 to 5 years	126.3	1,792.3	48.9	**1,967.5**
More than 5 years	3,045.7	2,047.6	35.7	**5,129.0**
Balance as of 31/12/2024	**5,338.3**	**4,265.5**	**88.3**	**9,692.1**
Up to 1 year	982.8	384.0	16.4	**1,383.2**
1 to 5 years	167.2	2,124.0	36.2	**2,327.4**
More than 5 years	4,188.3	1,757.5	35.7	**5,981.5**

A2. Movements in loan liabilities and interest expense

	Bonds	Loans	Finance lease	Total
Balance as of 31/12/2022	**3,736.2**	**3,097.0**	**116.1**	**6,949.3**
Received	1,321.3	1,766.8	21.1	**3,109.2**
Reclassification	0.0	0.0	–4.4	**–4.4**
Offset against loan receivables	0.0	–4.8	0.0	**–4.8**
Repayment	–1,382.1	–444.6	–32.7	**–1,859.4**
Depreciation of loan cost	16.5	–8.1	0.7	**9.1**
Exchange rate differences from currency revaluation	0.0	0.5	0.1	**0.6**
Balance as of 31/12/2023	**3,691.9**	**4,406.8**	**100.9**	**8,199.6**
Received	3,933.3	490.8	13.9	**4,438.0**
Offset	0.0	–4.8	–2.6	**–7.4**
Repayment	–2,292.2	–631.6	–21.1	**–2,944.9**
Decrease from end of controlling influence	0.0	0.0	–2.8	**–2.8**
Depreciation of loan cost	5.3	4.2	0.0	**9.5**
Exchange rate differences from currency revaluation	0.0	0.1	0.0	**0.1**
Balance as of 31/12/2024	**5,338.3**	**4,265.5**	**88.3**	**9,692.1**
Interest expense 2023	**–89.7**	**–125.9**	**–6.0**	**–221.6**
Average interest rate (%)	2.4%	3.4%	5.5%	2.9%
Interest expense 2024	**–144.7**	**–187.7**	**–6.7**	**–339.1**
Average interest rate (%)	3.2%	4.3%	7.1%	3.8%

Subsidiaries that prepare their financial statements in accordance with the International Financial Reporting Standards capitalised interest expense on loans into the cost of property, plant and equipment in the amount of 62.6 million euros (33.6 million euros in 2023) (see Note a27).

Assets acquired under finance lease are recognised in Note a11. Guarantees issued as loan securities and pledged assets are recognised in Note a30. The carrying amount of non-current assets pledged to cover loans is recognised in Notes a10 and a11.

Liabilities related to assets held for sale (see Note a7) and early terminated finance lease agreements are recorded as a reclassification of finance lease.

The loan receivables offset the reduction in the amount of debt liabilities corresponding to the Estonian government's share under the EFSF Framework Agreement (see Note a17 B).

Hybrid bonds

In 2024, the Eesti Energia group raised 400.0 million euros of additional capital through a green hybrid bond offering on the London Stock Exchange. The transaction costs of the bond issue amounted to 8.3 million euros. The capital raised through the bonds can only be invested in green projects. The bonds have no maturity date and the issuer has the right to defer interest payments in full or in part. The interest rate on the bonds is 7.875%, decreasing to 5.165% from 2034 and 5.415% from 2049.
In 2024, interest expenses of 14.7 million euros were recognised, of which 7.9 million euros were paid. The accrued interest payable for future periods amounted to 6.8 million euros as of the end of the year.

B. Unconsolidated report

B1. Division of loan liabilities by residual term

	Bonds	Loans	Finance lease	Total
Balance as of 31/12/2022	**2,831.5**	**2,128.7**	**0.1**	**4,960.3**
Up to 1 year	349.7	68.0	0.1	**417.8**
1 to 5 years	0.0	498.2	0.0	**498.2**
More than 5 years	2,481.8	1,562.5	0.0	**4,044.3**
Balance as of 31/12/2023	**3,509.5**	**2,266.0**	**0.0**	**5,775.5**
Up to 1 year	512.3	68.0	0.0	**580.3**
1 to 5 years	0.0	646.1	0.0	**646.1**
More than 5 years	2,997.2	1,551.9	0.0	**4,549.1**
Balance as of 31/12/2024	**5,163.4**	**2,093.3**	**0.0**	**7,256.7**
Up to 1 year	975.1	139.4	0.0	**1,114.5**
1 to 5 years	0.0	740.3	0.0	**740.3**
More than 5 years	4,188.3	1,213.6	0.0	**5,401.9**

B2. Movements in loan liabilities and interest expense

	Bonds	Loans	Finance lease	Total
Balance as of 31/12/2022	**2,831.5**	**2,128.7**	**0.1**	**4,960.3**
Received	1,321.4	210.0	0.0	**1,531.4**
Depreciation of loan cost	9.3	0.0	0.0	**9.3**
Repayment	–652.7	–67.9	–0.1	**–720.7**
Offset against loan receivables	0.0	–4.8	0.0	**–4.8**
Balance as of 31/12/2023	**3,509.5**	**2,266.0**	**0.0**	**5,775.5**
Received	3,933.3	0.0	0.0	**3,933.3**
Depreciation of loan cost	5.2	0.1	0.0	**5.3**
Repayment	–2,284.6	–168.0	0.0	**–2,452.6**
Offset against loan receivables	0.0	–4.8	0.0	**–4.8**
Balance as of 31/12/2024	**5,163.4**	**2,093.3**	**0.0**	**7,256.7**
Interest expense in 2023 (see Note a27)	**–65.5**	**–50.5**		**–116.0**
Average interest rate	2.1%	2.3%		2.2%
Interest expense in 2024 (see Note a27)	**–136.6**	**–62.9**		**–199.5**
Average interest rate	3.2%	2.9%		3.1%

Among loans, the amount of debt liabilities corresponding to the share of the Estonian state arising from the EFSF Framework Agreement is 442.3 million euros (447.1 million euros at the end of 2023), which were lent on the basis of the European Union support programme. Long-term interest liabilities amounting to 39.8 million euros are added to loan liabilities (34.1 million euros at the end of 2023) (see Note a15). These liabilities are also recognised as receivables from countries who have borrowed from the EFSF (see Note a6).

Bonds as of 31/12/2024:

Settlement date	Balance	Weighted average yield	Maturity date
12/07/2024	50.0	3.650%	13/01/2025
12/07/2024	35.0	3.650%	13/01/2025
15/07/2024	50.0	3.640%	15/01/2025
14/08/2024	50.0	3.410%	14/02/2025
12/09/2024	15.0	3.370%	12/02/2025
12/09/2024	20.0	3.320%	12/03/2025
12/09/2024	50.0	3.320%	12/03/2025
08/10/2024	75.0	2.960%	08/05/2025
14/10/2024	100.0	3.120%	14/03/2025
13/11/2024	65.0	2.880%	13/05/2025
10/12/2024	50.0	3.060%	10/01/2025
04/04/2024	144.0	3.601%	02/04/2025
27/09/2024	90.0	3.172%	02/04/2025
27/09/2024	190.0	2.862%	25/09/2025
16/09/2024	200.0	3.300%	16/09/2026
03/06/2020	1,500.0	0.235%	10/06/2030
05/10/2022	1,000.0	4.023%	12/10/2030
06/06/2023	500.0	3.618%	12/10/2030
10/01/2024	1,000.0	3.348%	17/01/2034
Total	**5,184.0**		

Bonds as of 31/12/2023:

Settlement date	Balance	Weighted average yield	Maturity date
14/11/2023	30.0	3.990%	15/01/2024
01/12/2023	4.0	3.980%	01/02/2024
21/12/2023	5.0	3.990%	21/03/2024
28/03/2023	125.0	3.324%	28/03/2024
28/09/2023	81.0	4.088%	28/03/2024
25/04/2023	72.0	3.680%	25/04/2024
28/09/2023	204.0	4.111%	27/09/2024
03/06/2020	1,500.0	0.235%	10/06/2030
05/10/2022	1,000.0	4.023%	12/10/2030
06/06/2023	500.0	3.618%	12/10/2030
Total	**3,521.0**		

Loans received as of 31 December 2024, in addition to the EFSF Framework Agreement liability:

Contract date	Lender	Loan balance	Interest rate	Maturity
17/12/2014	EIB	25.7	3M Euribor + 0.204%	16/07/2025
17/12/2014	EIB	20.0	3M Euribor + 0.273%	20/07/2030
02/12/2016	EIB	29.3	3M Euribor + 0.204%	16/07/2025
02/12/2016	EIB	95.0	3M Euribor + 0.273%	20/07/2030
29/04/2021	EIB	94.0	3M Euribor + 0.066%	30/01/2032
26/03/2020	NIB	747.7	6M Euribor + 0.32%	30/03/2035
09/06/2020	CEB	200.0	3M Euribor + 0.23%	05/05/2036
11/05/2021	European Commission's temporary Support to mitigate Unemployment Risks in an Emergency (SURE)	140.0	0%	04/07/2029
11/05/2021	European Commission's temporary Support to mitigate Unemployment Risks in an Emergency (SURE)	90.0	0.75%	04/01/2047
22/06/2023	EIB	210.0	6M Euribor + 0.179%	19/12/2033
Total		**1,651.7**		

Loans received as of 31 December 2023, in addition to the EFSF Framework Agreement liability:

Contract date	Lender	Loan balance	Interest rate	Maturity
17/12/2014	EIB	51.4	3M Euribor + 0.204%	16/07/2025
17/12/2014	EIB	20.0	3M Euribor + 0.273%	20/07/2030
02/12/2016	EIB	58.6	3M Euribor + 0.204%	16/07/2025
02/12/2016	EIB	195.0	3M Euribor + 0.273%	20/07/2030
29/04/2021	EIB	107.0	3M Euribor + 0.066%	30/01/2032
26/03/2020	NIB	747.7	6M Euribor + 0.32%	30/03/2035
09/06/2020	CEB	200.0	3M Euribor + 0.23%	05/05/2036
11/05/2021	European Commission's temporary Support to mitigate Unemployment Risks in an Emergency (SURE)	140.0	0%	04/07/2029
11/05/2021	European Commission's temporary Support to mitigate Unemployment Risks in an Emergency (SURE)	90.0	0.75%	04/01/2047
22/06/2023	EIB	210.0	6M Euribor + 0.179%	19/12/2033
	Total	**1,819.7**		

Note a18

Derivatives

In millions of euros

	Consolidated					
	31/12/2024		31/12/2023		31/12/2022	
	Assets	Liabilities	Assets	Liabilities	Assets	Liabilities
Forward, futures, and long-term contracts for the purchase of electricity – cash flow hedging instruments	165.4	14.2	152.3	41.2	399.8	0.1
Forward, futures, and long-term contracts for the purchase of electricity – trading derivatives through the statement of financial performance	123.6	4.2	131.1	1.6	206.4	0.8
Forward and futures contracts for the purchase of gas – cash flow hedging instruments	3.6	0.0	0.0	15.2	6.0	0.0
Forward and futures contracts for the purchase of gas – trading derivatives through the statement of financial performance	1.8	0.0	3.3	5.6	58.6	60.3
Swap and forward contracts for the sale of liquid fuel – cash flow hedging instruments	0.0	1.9	4.4	–0.1	3.5	89.8

	Consolidated					
	31/12/2024		31/12/2023		31/12/2022	
	Assets	Liabilities	Assets	Liabilities	Assets	Liabilities
Swap and forward contracts for the sale of liquid fuel – trading derivatives through the statement of financial performance	0.2	1.0	4.0	9.1	0.4	0.4
Universal electricity service	0.0	0.0	9.1	0.0	0.0	37.1
Green certificates – trading derivatives through the statement of financial performance	2.9	5.6	4.4	10.2	7.0	9.4
Other derivatives	0.0	0.1	0.0	1.6	0.0	3.3
Interest rate swap contracts – cash flow hedging instruments	5.8	0.0	8.9	0.0	0.0	0.0
Interest rate swap contracts – through the statement of financial performance	0.0	0.3	0.0	0.0	14.6	0.0
Total derivatives	**303.3**	**27.3**	**317.5**	**84.4**	**696.3**	**201.2**
Incl. short-term part	90.0	22.6	59.7	67.8	199.8	169.1
Incl. long-term part	213.3	4.7	257.8	16.6	496.5	32.1

Hedging reserve

	2024	2023
Hedging reserve at the beginning of the period	**141.6**	**698.4**
Change in the market value of derivatives	–31.8	–438.8
Recorded as a reduction in income from operations (+)	11.1	48.2
Recorded as an increase (+) or reduction (–) in operating expenses	28.9	–162.1
Recorded as a decrease (–) or increase (+) in interest expense	–4.2	–3.5
Minority interest in hedging instruments	0.0	–0.6
Hedging reserve at the end of the period	**145.6**	**141.6**

Note a19

Grants received and awarded

In millions of euros

A. Grants received

A1. Consolidated report

	Balance as of 31/12/2022		Calculated revenue 2023	Balance as of 31/12/2023		Calculated revenue 2024	Balance as of 31/12/2024	
	Receivables (Note a5)	Prepayments received (Note a15)		Receivables (Note a5)	Prepayments received (Note a15)		Receivables (Note a5)	Prepayments received (Note a15)
From European Union funds	709.4	879.1	1,236.2	870.3	1,097.4	1,083.7	756.0	1,454.6
Other foreign aid	12.4	32.7	55.9	17.8	141.8	185.0	23.9	230.2
Domestic grants	1.0	50.2	24.9	0.7	46.6	30.3	0.9	44.4
Total grants received	**722.8**	**962.0**	**1,317.0**	**888.8**	**1,285.8**	**1,299.0**	**780.8**	**1,729.2**

Foreign grants received from European Union funds was recovered in the amount of 17.8 million euros (35.1 million euros in 2023), of which intermediated foreign aid was 13.3 million euros (5.7 million euros in 2023) (reflected as a decrease in revenue).

Domestic grants received in 2023 have been retrospectively reduced by 21.3 million euros (intragroup renewable energy subsidies eliminated; see also changes in accounting principles).

A1.1. Income from grants received by area of activity

	2024				2023			
	For operating expenses	Intermediated for operating expenses	For acquisition of non-current assets	For intermediated acquisition of non-current assets	For operating expenses	Intermediated for operating expenses	For acquisition of non-current assets	For intermediated acquisition of non-current assets
Agriculture	12.5	226.7	5.2	51.9	11.8	235.6	7.2	59.8
Transport	9.4	0.1	220.4	14.1	6.6	0.0	139.3	53.4
Housing	0.0	0.0	0.4	64.4	0.0	0.0	0.1	39.5
Other	34.3	24.5	115.1	29.3	27.7	32.2	167.2	54.4
Environmental protection	8.0	3.0	4.2	10.8	16.4	5.2	3.7	12.5
Education	35.2	48.9	0.1	0.5	28.8	39.4	63.2	20.3
Health care	12.2	0.2	27.3	0.4	11.5	1.0	75.6	21.6
Social protection	14.3	4.2	5.0	0.2	21.3	15.3	0.6	8.8
General government sector services	34.4	5.0	19.1	13.4	29.3	6.2	23.9	6.6
National defence	15.8	119.9	69.1	4.1	9.1	0.4	35.6	0.0
Leisure time, culture, religion	11.2	4.1	–0.2	2.1	8.5	3.1	0.2	1.1
Public order and security	11.7	0.1	6.2	0.2	8.9	0.3	3.6	0.2
Total income from grants received	**199.0**	**436.7**	**471.9**	**191.4**	**179.9**	**338.7**	**520.2**	**278.2**

Intermediated grants in the amount of 628.1 million euros (a total of 616.9 million euros in 2023) reflect grants received from European Union funds and other foreign aid, which the state did not use for its operating expenses or for the acquisition of non-current assets but passed on to beneficiaries outside the state (also recorded as grants awarded, see Part B).

Grants received for the acquisition of non-current assets and intermediation of the acquisition of non-current assets are recognised as cash flows from investment activities. The cash flow statement also takes into account the decrease in government grants received for the acquisition of non-current assets by 113.7 million euros (an increase of 163.8 million euros in 2023) and the increase in prepayments received by 23.1 million euros (183.0 million euros in 2023). Government grants received for the acquisition of non-current assets are also reduced by non-monetary government grants (see Note a11).

A2. Unconsolidated report

	Balance as of 31/12/2022		Calculated revenue 2023	Balance as of 31/12/2023		Calculated revenue 2024	Balance as of 31/12/2024	
	Receivables (Note a5)	Prepayments received (Note a15)		Receivables (Note a5)	Prepayments received (Note a15)		Receivables (Note a5)	Prepayments received (Note a15)
From European Union funds	709.1	871.9	1,188.6	869.7	1,087.1	1,000.0	756.2	1,434.3
Other foreign aid	12.2	28.9	52.1	15.2	133.5	181.4	20.6	217.6
Domestic grants	1.0	50.8	14.8	0.9	46.9	19.3	0.9	44.9
Total grants received	**722.3**	**951.6**	**1,255.5**	**885.8**	**1,267.5**	**1,200.7**	**777.7**	**1,696.8**

A2.1. Income from grants received by area of activity

	2024				2023			
	For operating expenses	Intermediated for operating expenses	For acquisition of non-current assets	For intermediated acquisition of non-current assets	For operating expenses	Intermediated for operating expenses	For acquisition of non-current assets	For intermediated acquisition of non-current assets
Agriculture	11.8	226.9	3.5	53.5	10.2	237.0	7.1	59.9
Transport	2.5	6.6	65.4	168.6	1.8	4.0	58.1	125.8
Housing	0.0	0.0	0.0	64.8	0.0	0.0	0.0	39.6
Other	14.6	39.5	9.7	58.9	10.9	48.0	122.5	64.1
Environmental protection	6.1	4.8	2.8	12.2	7.9	14.2	0.6	15.6
Education	31.0	52.3	0.1	0.5	25.7	41.9	63.3	20.3
Health care	3.1	0.2	0.3	27.2	4.0	1.4	1.1	94.6
General government sector services	26.2	11.4	19.0	13.4	23.5	10.3	20.5	10.0
Social protection	13.8	4.6	5.0	0.2	21.2	15.3	0.8	8.5
National defence	14.7	119.9	69.1	4.1	8.1	0.7	32.6	1.4
Leisure time, culture, religion	4.3	7.4	–0.3	2.1	4.8	3.9	0.0	1.0
Public order and security	12.1	0.2	6.4	0.2	9.0	0.4	3.7	0.2
Total income from grants received	**140.2**	**473.8**	**181.0**	**405.7**	**127.1**	**377.1**	**310.3**	**441.0**

Intermediated grants in the amount of 879.5 million euros (a total of 818.1 million euros in 2023) reflect grants received from European Union funds and other foreign aid and income from emission allowance trading which the state did not use for its operating expenses or for the acquisition of non-current assets but passed on to beneficiaries outside the state (also recorded as grants awarded, see Part B).
Grants received for the acquisition of non-current assets and intermediation of the acquisition of non-current assets are recognised as cash flows from investment activities. The cash flow statement also takes into account the decrease in government grants received for the acquisition of non-current assets by 112.2 million euros (an increase of 161.5 million euros in 2023) and the increase in prepayments received by 20.7 million euros (182.1 million euros in 2023). Government grants received for the acquisition of non-current assets are also reduced by non-monetary government grants (see Note a11).

B. Grants awarded

B1. Consolidated report

	Balance as of 31/12/2022		Calculated expenditure 2023	Balance as of 31/12/2023		Calculated expenditure 2024	Balance as of 31/12/2024	
	Prepayments paid (Note a5)	Liabilities (Note a15)		Prepayments paid (Note a5)	Liabilities (Note a15)		Prepayments paid (Note a5)	Liabilities (Note a15)
From European Union funds	15.4	144.6	–604.0	34.4	175.3	–807.8	102.1	155.6
Other foreign aid	17.6	3.1	–12.9	2.9	3.2	–96.0	0.4	0.4
Domestic grants	109.6	124.8	–6,985.1	93.5	123.5	–6,918.4	84.7	104.4
Total grants awarded	**142.6**	**272.5**	**–7,602.0**	**130.8**	**302.0**	**–7,822.2**	**187.2**	**260.4**

Retrospectively, the balance of renewable energy fees has been added to liabilities, which may only be used for renewable energy subsides (see Note a15). Grants provided in 2023 have been retrospectively increased by 54.3 million euros in renewable energy subsidies (see also changes in accounting principles).

B1.1. Grants awarded by area of activity

	2024			2023		
	Social benefits	For operating expenses	For acquisition of non-current assets	Social benefits	For operating expenses	For acquisition of non-current assets
Social protection	–3,917.0	–929.8	–0.2	–3,654.5	–935.2	–10.5
Education	–36.0	–1,075.9	–11.5	–29.6	–975.6	–49.5
Agriculture	0.0	–252.2	–60.6	0.0	–271.1	–70.2
Transport	0.0	–118.8	–25.4	0.0	–127.4	–63.9
Housing	0.0	–0.3	–64.8	0.0	–0.6	–63.0
Other	0.0	–136.1	–33.7	0.0	–182.6	–55.5
General government sector services	–0.1	–462.6	–42.2	–0.1	–501.7	–40.7
Environmental protection	–0.2	–16.6	–26.9	0.0	–17.5	–23.0
Leisure time, culture, religion	–1.1	–172.7	–46.9	–1.1	–168.0	–45.8
National defence	–18.1	–190.3	–12.5	–15.8	–63.8	–8.3
Health care	–0.6	–151.9	–1.3	–0.9	–182.3	–27.2
Public order and security	–0.1	–11.0	–4.8	0.0	–13.7	–2.9
Total expenditure of grants awarded	**–3,973.2**	**–3,518.2**	**–330.8**	**–3,702.0**	**–3,439.5**	**–460.5**

In the cash flow statement, government grants awarded for the acquisition of non-current assets have been adjusted by non-monetary government grants (see Note a11). In addition, a decrease of 24.2 million euros in government grants for the acquisition of non-current assets (an increase of 11.7 million euros in 2023) and an increase of 5.6 million euros in prepayments (5.2 million euros in 2023) have been taken into account.

B2. Unconsolidated report

	Balance as of 31/12/2022		Calculated expenditure 2023	Balance as of 31/12/2023		Calculated expenditure 2024	Balance as of 31/12/2024	
	Prepayments paid (Note a5)	Liabilities (Note a15)		Prepayments paid (Note a5)	Liabilities (Note a15)		Prepayments paid (Note a5)	Liabilities (Note a15)
From European Union funds	29.0	192.2	–805.1	72.9	228.9	–1,059.2	200.6	212.5
Other foreign aid	15.3	3.5	–13.0	0.7	3.7	–96.0	0.4	0.6
Domestic grants	175.6	212.8	–7,267.9	127.0	202.1	–7,249.0	145.8	186.3
Total grants awarded	**219.9**	**408.5**	**–8,086.0**	**200.6**	**434.7**	**–8,404.2**	**346.8**	**399.4**

B2.1. Expenditure of grants awarded by area of activity

	2024			2023		
	Social benefits	For operating expenses	For acquisition of non-current assets	Social benefits	For operating expenses	For acquisition of non-current assets
Social protection	–3,942.8	–930.6	–0.3	–3,654.5	–935.7	–12.8
Education	–35.8	–1,100.4	–11.5	–29.6	–1,001.4	–50.3
Agriculture	0.0	–249.3	–62.3	0.0	–270.1	–70.3
Transport	0.0	–222.8	–216.7	0.0	–219.3	–153.5
Housing	0.0	–0.8	–65.1	0.0	–1.0	–63.6
Other	0.0	–138.2	–91.8	0.0	–212.9	–77.1
General government sector services	–0.1	–480.0	–43.4	–0.1	–511.4	–49.2

	2024			2023		
	Social benefits	For operating expenses	For acquisition of non-current assets	Social benefits	For operating expenses	For acquisition of non-current assets
Leisure time, culture, religion	–0.9	–264.3	–52.1	–1.1	–255.6	–50.8
Environmental protection	0.0	–30.3	–28.6	0.0	–37.8	–23.6
Health care	–0.5	–153.0	–38.1	–0.9	–183.7	–107.1
National defence	–18.1	–197.5	–12.5	–15.8	–68.7	–11.1
Public order and security	–0.1	–11.5	–4.8	0.0	–14.1	–2.9
Total grants awarded	**–3,998.3**	**–3,778.7**	**–627.2**	**–3,702.0**	**–3,711.7**	**–672.3**

Grants awarded for the acquisition of non-current assets are recognised under cash flows from investment activities. In the cash flow statement, government grants awarded for the acquisition of non-current assets have been adjusted by non-monetary government grants (see Note a11). In addition, an increase of 7.7 million euros in the government grant liabilities for the acquisition of non-current assets (increase of 8.7 million euros in 2023) and an increase of 90.7 million euros in prepayments (increase of 26.0 million euros in 2023) have been taken into account.

B2.2. Social benefits by benefit type

	2024	2023
Pensions	–2,845.0	–2,544.8
Support for pensioners living alone	–18.0	–12.7
Family allowances	–791.8	–858.9
Social tax and funded pension payments paid by the state in special cases	–94.4	–92.7
For disabled persons	–145.9	–77.0
Education allowance	–30.7	–24.1
Pension provisions for public sector employees (see Notes a16 A, a23)	–44.6	–67.7
Other support	–27.9	–24.1
Total social benefits	**–3,998.3**	**–3,702.0**

B.2.3. Grants provided for operating expenses and acquisition of non-current assets by recipient

	2024		2023	
	For operating expenses	For acquisition of non-current assets	For operating expenses	For acquisition of non-current assets
To local governments	–815.9	–69.7	–839.2	–129.0
To Tervisekassa	–423.9	0.0	–426.6	–1.0
To Töötukassa	–596.0	0.0	–565.4	0.0
To public universities	–356.3	–9.1	–308.5	–19.9
To other legal persons in public law	–127.5	–32.5	–123.4	–41.0
To other entities included in the general government sector	–524.1	–290.7	–484.2	–266.6
To other public sector entities not included in the general government sector	–22.2	–35.4	–56.5	–20.0
To private sector foundations and non-profit associations	–153.0	**–64.2**	–148.9	–46.8
To private sector residents	–304.8	–117.2	–346.3	–145.6
To non-residents	–455.0	–8.4	–412.7	–2.4
Total	**–3,778.7**	**–627.2**	**–3,711.7**	**–672.3**

Of the grants awarded to non-residents, payments to the European Union budget amounted to 285.2 million euros (343.8 million euros in 2023).

Note a20

Reserves

In millions of euros

A. Stabilisation Reserve Fund

The Stabilisation Reserve Fund is a set of assets formed from state budget funds and other receipts determined on the basis of legislation, which is regulated on the basis of sections 71–74 of the State Budget Act.

The objective of the Stabilisation Reserve Fund is the reduction of economic risks; the prevention or mitigation of socio-economic crises; the resolution or prevention of an emergency situation, a state of emergency, a state of war or other extraordinary situation or a crisis with material effect, or performance of the obligations provided for in a collective self-defence agreement; the resolution and prevention of a financial crisis that may cause difficulties due to liquidity or solvency for the financial institutions or significant disruptions in the payment and settlement systems.

There were no withdrawals from the Stabilisation Reserve Fund in the year under review or in the comparable period.

	2024	2023
Balance at the beginning of the period	**440.2**	**423.9**
Financial income from reserve investment	13.1	16.3
Balance at the end of the period	**453.3**	**440.2**

Clause 71 (2) 2) of the State Budget Act and subsections 38 (7)–(10) of the Accounting Act regulate the calculation of unconsolidated cash flow surplus of the state and its distribution. The *Riigikogu* may decide to transfer it to the Stabilisation Reserve Fund if the unconsolidated surplus/deficit of the state for the financial year is positive and the adjusted unconsolidated cash flow is in surplus.

Accounting of unconsolidated cash flow surplus/deficit of the state

	2024	2023
Total cash flows from principal activities	–32.0	–808.8
Total cash flows from investment activities	–1,120.0	–79.7
Less cash flows from the investing liquid financial assets and funds of the Stabilisation Reserve Fund	655.0	–485.5
Repayments of long-term debt liabilities, interest paid, and other financial expenses	–2,697.6	–861.3
Total	**–3,194.6**	**–2,235.3**

B. Ownership reform reserve fund

The ownership reform reserve fund is formed based on the Use of Privatisation Proceeds Act.

	2024	2023
Balance at the beginning of the period	**51.4**	**50.4**
Income from privatisation of land	3.7	4.6
Compensation for expenses related to the organisation of privatisation	–3.4	–3.6
Balance at the end of the period	**51.7**	**51.4**

C. Liquidity reserve of the State Treasury

	31/12/2024	31/12/2023	31/12/2022
Liquidity reserve (liquid assets)	2,886.5	2,071.0	2,536.6
Demand deposits of customers in the State Treasury (liabilities)	2,041.5	1,952.5	1,718.1
Difference between liquidity reserve and demand deposits	**845.0**	**118.5**	**818.5**

The State Treasury considers the liquidity reserve to be money on bank accounts, bonds in the trading portfolio and interest receivables calculated on them. The State Treasury keeps the funds of the Stabilisation Reserve Fund separate from the liquidity reserve. The size of the liquidity reserve has been reduced by the size of the ownership reform reserve fund.

Note a21

Goods and services sold

In millions of euros

	Consolidated		Unconsolidated	
	2024	**2023**	**2024**	**2023**
State fees (see Note a4)	**91.7**	**86.5**	**92.2**	**87.0**
Income from economic activities	**4,082.2**	**4,312.1**	**339.7**	**433.9**
Income from sale of electricity	1,590.6	1,740.4	0.0	0.0
Income from sale of gas	109.8	103.0	0.0	0.0
Income from health care	835.1	743.1	6.8	8.5
Income from transport services	278.2	292.6	9.6	5.6
Income from agriculture and forestry	258.2	313.1	9.3	8.7
Income from mining, processing industry and construction	184.6	212.3	0.0	0.0
Income from communication services	133.0	121.9	2.2	1.8
Income from heat energy sold	69.0	53.4	0.0	0.1
Lease and rent	43.0	40.0	1.5	1.1
Payments for the right of superficies and right of use	24.9	20.1	15.9	11.4
Sale of emission allowance credits	254.7	360.0	254.6	360.0
Fairway dues	11.1	8.9	11.1	8.9
Income from educational activities	27.0	25.4	12.1	11.8
Income from cultural, sports and recreational activities	42.9	41.9	3.5	3.4
Income from social assistance activities	10.3	9.5	0.2	0.1
Guarantee fees, insurance premiums, contract fees	10.7	10.1	0.0	0.0
Interest income earned in principal activity on loans issued	12.9	15.7	0.0	0.0
Other goods and services sold	186.2	200.7	12.9	12.5
Total goods and services sold	**4,173.9**	**4,398.6**	**431.9**	**520.9**

In the 2023 consolidated report, income from the sale of electricity has been increased by 75.6 million euros due to changes in the accounting principles for renewable energy fees (see changes in accounting principles).

Note a22

Other income

In millions of euros

	Consolidated		Unconsolidated	
	2024	**2023**	**2024**	**2023**
Profit/loss from investment property sold (see Note a10)	0.3	0.2	–0.1	0.1
Profit/loss from property, plant and equipment sold (see Note a11)	23.2	27.7	20.7	26.3
Profit/loss from biological assets sold (see Note a14)	0.0	0.1	0.0	0.0
Interest income on debt (incl. tax penalties, see Note a4)	21.3	23.2	19.1	20.6
Fines (see Note a4)	33.6	27.7	29.9	25.0
Pollution charges and compensation for environmental damage (see Note a4)	25.2	22.7	36.8	34.2
Natural resource use charges (see Note a4)	40.6	40.4	63.9	69.7
Universal postal service charges (see Note a4)	0.0	0.0	0.6	0.7
Compensation awarded by court judgments (see Note a4)	8.0	10.5	8.0	10.5
Road usage charge (see Note a4)	26.3	21.0	26.4	21.0

	Consolidated		Unconsolidated	
	2024	2023	2024	2023
Profit/loss from sale of inventories	21.1	9.3	0.3	0.3
Profit from revaluation of derivatives	56.8	225.7	0.0	0.0
Other income	30.8	23.7	8.0	12.9
Total other revenue	**287.2**	**432.2**	**213.6**	**221.3**

Note a23

Labour costs

In millions of euros

	Consolidated		Unconsolidated	
	2024	2023	2024	2023
Expenditure of salaries and wages				
Persons elected and appointed to a position	–27.9	–27.1	–27.9	–27.1
Officials	–516.5	–498.6	–516.5	–498.6
Members of supervisory boards and management boards	–18.5	–17.0	0.0	0.0
Employees	–1,304.7	–1,190.1	–444.6	–398.7
Total salaries and wages of full-time employees	**–1,867.6**	**–1,732.8**	**–989.0**	**–924.4**
Salaries and wages of temporary and external employees	–34.6	–36.5	–20.5	–22.0
Special pensions and pension increases	–99.9	–161.9	–99.9	–161.9
Total expenditure of salaries and wages	**–2,002.1**	**–1,931.2**	**–1,109.4**	**–1,108.3**
Average number of employees (in full-time equivalents)				
Persons elected and appointed to a position	366	363	366	363
Officials	16,356	16,246	16,356	16,246
Members of supervisory boards and management boards	271	240	0	0
Employees	42,217	42,215	14,929	14,446
Total average number of employees	**59,210**	**59,064**	**31,651**	**31,055**
Other labour costs				
Fringe benefits	–14.2	–16.4	–7.7	–7.9
Taxes and social security contributions	–635.8	–591.9	–343.3	–321.5
Capitalised production	44.4	40.6	7.6	6.7
Total other labour costs	**–605.6**	**–567.7**	**–343.4**	**–322.7**
Total labour costs	**–2,607.7**	**–2,498.9**	**–1,452.8**	**–1,431.0**

Provisions for special pensions and pension increases (see Note a16 A) are recognised as an expense in the labour expense group, except for pension increase adjustments paid to retired persons under the Civil Service Act, which are recorded in the social benefits group (see Note a19 B) because it is not possible to distinguish between pension increases earned in the state and in other legal persons in public law.

Actuarial gains and losses arising from the calculation of special pensions and pension increases are recognised directly as changes in net assets and not through the statement of financial performance.

Labour costs by area of activity are presented in Note a28.

The average number of employees increased the most in 2024 compared with the previous year in the area of government of the Ministry of Defence (by 158 employees), the Ministry of the Interior (by 118 employees), and the Ministry of Education and Research (by 388 employees, including due to the reorganisation of school management between local governments and the state).

Note a24

Management expenses

In millions of euros

	Consolidated		Unconsolidated	
	2024	**2023**	**2024**	**2023**
Production costs	–1,163.9	–1,120.0	–1.0	0.3
Medicines and medical services	–193.0	–176.9	–10.2	–10.2
Management expenses of property, buildings and premises	–194.9	–185.8	–190.4	–182.1
Management expenses of vehicles	–155.9	–191.4	–46.8	–45.3
Management expenses of facilities	–166.0	–136.7	–58.3	–57.6
Defence-related equipment and materials	–389.0	–210.1	–388.8	–210.4
Information and communication technology expenses	–145.2	–127.0	–95.3	–84.1
Administration costs	–104.5	–101.0	–50.3	–51.0
Social services	–15.1	–78.1	–19.0	–106.9
Management expenses of fixtures and fittings	–47.7	–59.8	–29.1	–36.1
Communication, culture and leisure time expenses	–62.6	–66.7	–11.2	–14.7
Travel expenses (except for training trips)	–60.7	–58.4	–54.1	–51.6
Change in provisions for security and guarantee losses	2.6	–5.9	0.0	0.0
Research and development	–28.9	–25.0	–20.2	–17.7
Costs of organising teaching resources and training	–31.1	–31.2	–22.6	–24.3
Management expenses of work machinery and equipment	–28.4	–30.6	–6.0	–6.5
Other special equipment and materials	–10.6	–31.5	–8.5	–7.5
Foodstuffs and catering services	–24.6	–25.8	–15.0	–16.2
Transport services	–12.0	–12.1	–5.3	–4.3
Employee training expenses (incl. training trips)	–23.5	–23.7	–12.7	–11.4
Special clothing and uniforms	–14.6	–10.0	–8.5	–5.6
Other miscellaneous management expenses	–25.9	–25.3	–21.1	–21.2
Total management expenses	**–2,895.5**	**–2,733.0**	**–1,074.4**	**–964.4**

Management expenses by area of activity are presented in Note a28.

From 2024, many social services have been reclassified into the social benefits group. Services with higher volumes were reclassified to include care, rehabilitation, and restorative care services reimbursed by the state to individuals through hospitals and social welfare institutions (the cost of these services (unconsolidated) was 71.1 million euros in 2024 and 74.2 million euros in 2023). Expenditures in 2023 have not been reclassified in this report.

Note a25

Depreciation and change in value of non-current assets

In millions of euros

	Consolidated		Unconsolidated	
	2024	**2023**	**2024**	**2023**
On investment property (see Note a10)	–2.5	–2.4	–0.1	–0.1
On property, plant and equipment (see Note a11)	–852.1	–1,369.7	–301.7	–308.4
On intangible non-current assets (see Note a12)	–83.0	–77.2	–55.4	–48.5
Total depreciation and change in value of non-current assets	**–937.6**	**–1,449.3**	**–357.2**	**–357.0**

Depreciation and change in the value of non-current assets by area of activity are presented in Note a28.

Note a26

Other expenditure

In millions of euros

	Consolidated		Unconsolidated	
	2024	**2023**	**2024**	**2023**
Expenditure related to state secrets	–124.9	–133.3	–124.9	–133.3
Expenditure on doubtful loan receivables (see Note a6)	5.7	–2.4	0.2	0.2
Expenditure on other doubtful receivables	–8.4	–1.0	–3.8	–0.7
Write-down of inventories	–4.3	–16.9	–0.1	–0.1
Expenditure on emission allowances	–60.4	–205.4	0.0	0.0
Loss from revaluation of derivatives	–64.8	–218.9	0.0	0.0
Other expenditure	–24.9	–16.4	–2.3	–2.7
Total other expenditure	**–282.0**	**–594.3**	**–130.9**	**–136.6**

Note a27

Financial income and expenses

In millions of euros

	Consolidated		Unconsolidated	
	2024	**2023**	**2024**	**2023**
Profit/loss from financial investments	**–6.8**	**2.1**	**242.4**	**178.6**
Surplus/deficit from foundations (see Note a8)	0.0	0.0	–1.3	–5.3
Dividends from subsidiaries (see Note a9)	0.0	0.0	271.4	223.0
Dividends from associates (see Note a9)	0.0	0.0	0.6	0.8
Write-downs of holdings of subsidiaries and reversals of write-downs (see Note a9)	0.0	0.0	–28.3	–39.9
Surplus/deficit from the sale of holdings (see Note a3, a9)	–9.6	0.9	0.0	0.0
Surplus/deficit from associates (see Note a9)	2.8	1.2	0.0	0.0
Interest expense	**–511.1**	**–391.0**	**–459.2**	**–338.7**
From loan liabilities (see Note a17)	–276.6	–188.0	–199.5	–116.0
From discounted liabilities (incl. provisions, see Note a16)	–182.4	–162.0	–180.5	–160.7
From deposits	–52.0	–41.1	–79.1	–62.2
From other liabilities	–0.1	0.1	–0.1	0.2
Income from deposits and securities	**163.4**	**93.4**	**157.9**	**67.7**
Interest income from deposits (see Note a2)	89.9	63.5	54.0	33.2
Profit/loss from bonds and shares of exchange-traded fund (see Note a3)	65.9	40.4	65.0	39.2
Profit/loss from venture capital funds (see Note a3)	3.1	–15.0	1.2	–15.8
Profit/loss from dedicated funds (see Note a5)	0.0	0.0	35.8	11.0
Other financial income and expenses	4.5	4.5	1.8	0.1
Other financial income	**4.5**	**4.7**	**3.9**	**4.2**
Interest income from loans	4.0	4.4	3.9	4.2
Other financial income	0.5	0.3	0.0	0.0
Other financial expenses	**–0.4**	**–0.3**	**0.0**	**0.0**
Total financial income and expenses	**–350.4**	**–291.1**	**–55.0**	**–88.2**

Note a28

Expenditure by area of activity

In millions of euros

A. Consolidated report

	2024					2023				
	Labour costs	**Management expenses**	**Depreciation and change in value**	**Other expenditure**	**Total**	**Labour costs**	**Management expenses**	**Depreciation and change in value**	**Other expenditure**	**Total**
General government sector services	226.2	160.0	75.9	260.9	**723.0**	211.1	139.8	66.9	161.4	**579.2**
National defence	179.9	499.4	94.3	66.5	**840.1**	165.2	312.7	97.6	64.7	**640.2**
Public order and security	416.5	92.7	27.2	56.3	**592.7**	406.6	91.4	29.1	68.9	**596.0**
Economy	655.7	1,642.2	647.3	221.3	**3,166.5**	626.5	1,632.5	1,160.3	523.0	**3,942.3**
Environmental protection	51.9	19.9	4.8	0.3	**76.9**	47.8	31.4	5.3	0.7	**85.2**
Housing and utilities	0.6	0.2	0.0	0.0	**0.8**	0.6	0.5	0.0	0.1	**1.2**
Health care	543.0	265.6	38.3	5.9	**852.8**	481.8	246.4	38.6	5.7	**772.5**
Leisure time, culture, religion	92.9	109.5	12.9	0.1	**215.4**	89.4	105.5	14.7	0.0	**209.6**
Education	267.9	75.0	25.7	1.8	**370.4**	235.1	79.5	25.5	0.0	**340.1**
Social protection	173.1	31.0	11.2	180.4	**395.7**	234.8	93.3	11.3	161.1	**500.5**
Total expenditure	**2,607.7**	**2,895.5**	**937.6**	**793.5**	**7,234.3**	**2,498.9**	**2,733.0**	**1,449.3**	**985.6**	**7,666.8**

B. Unconsolidated report

	2024					2023				
	Labour costs	**Management expenses**	**Depreciation and change in value**	**Other expenditure**	**Total**	**Labour costs**	**Management expenses**	**Depreciation and change in value**	**Other expenditure**	**Total**
General government sector services	209.0	115.0	37.6	279.7	**641.3**	198.3	103.6	33.5	178.1	**513.5**
National defence	174.5	502.6	93.2	67.7	**838.0**	161.1	318.9	96.6	64.7	**641.3**
Public order and security	416.5	166.8	27.2	56.3	**666.8**	406.6	160.5	29.1	68.9	**665.1**
Economy	158.9	116.7	159.7	4.1	**439.4**	143.1	109.1	157.2	1.9	**411.3**
Environmental protection	40.2	16.6	3.1	0.2	**60.1**	37.1	22.7	3.3	0.6	**63.7**
Health care	29.9	22.1	0.7	0.1	**52.8**	28.9	22.9	1.1	0.1	**53.0**
Leisure time, culture, religion	19.5	15.4	1.9	0.0	**36.8**	19.7	17.0	3.1	0.0	**39.8**
Education	254.6	93.4	25.1	1.8	**374.9**	223.7	96.7	24.9	–0.1	**345.2**
Social protection	149.7	25.8	8.7	180.2	**364.4**	212.5	113.0	8.2	161.1	**494.8**
Total expenditure	**1,452.8**	**1,074.4**	**357.2**	**590.1**	**3,474.5**	**1,431.0**	**964.4**	**357.0**	**475.3**	**3,227.7**

Other expenditure includes other operating expenses, interest expense and other financial expenses. The change in public service pension provisions affecting labour costs and interest expense is reflected under social protection expenditure (see Note a23).

Note a29

Transactions with public sector entities and related entities

In millions of euros

A. Assets and liabilities related to other public sector entities and related entities

	Consolidated			Unconsolidated		
	31/12/2024	31/12/2023	31/12/2022	31/12/2024	31/12/2023	31/12/2022
Assets	**430.4**	**593.4**	**881.2**	**5,964.3**	**6,048.1**	**6,318.9**
Current assets	**304.6**	**457.6**	**739.1**	**466.6**	**528.2**	**798.0**
Cash and bank accounts	12.3	170.4	454.7	12.3	170.4	454.7
Tax, state fee and fine receivables	130.7	119.3	105.8	223.6	190.0	172.5
Other receivables and prepayments	161.6	167.9	178.6	230.7	167.8	170.8
Non-current assets	**125.8**	**135.8**	**142.1**	**5,497.7**	**5,519.9**	**5,520.9**
Holdings in foundations	0.0	0.0	0.0	549.7	524.1	430.8
Holdings in subsidiaries and associates	85.2	88.3	87.0	4,505.4	4,514.4	4,490.0
Other receivables and prepayments	40.6	47.5	55.1	442.6	481.4	600.1
Liabilities	**1,853.0**	**1,830.0**	**1,644.9**	**2,795.0**	**2,646.5**	**2,342.1**
Current liabilities	**1,812.4**	**1,787.2**	**1,599.8**	**2,707.9**	**2,553.1**	**2,242.2**
Prepayments of taxes, state fees and fines received	21.2	22.1	17.9	45.7	41.6	34.3
Trade payables	9.6	10.6	11.9	24.4	24.7	27.3
Deferred taxes	415.8	376.9	352.3	415.8	376.9	352.3
Other liabilities and prepayments received	1,365.8	1,377.6	1,217.7	2,221.8	2,109.4	1,827.6
Provisions	0.0	0.0	0.0	0.2	0.5	0.7
Non-current liabilities	**40.6**	**42.8**	**45.1**	**87.1**	**93.4**	**99.9**
Other liabilities and prepayments received	40.6	42.8	45.1	87.1	93.4	99.9

B. Income and expenditure from other public sector entities and related entities

	Consolidated		Unconsolidated	
	2024	2023	2024	2023
Income from operations	**1,198.4**	**1,097.6**	**491.4**	**490.8**
Taxes and social security contributions	256.6	250.5	409.5	406.0
Goods and services sold	896.5	808.9	12.8	11.5
Grants received	29.7	25.8	19.7	18.0
Other income	15.6	12.4	49.4	55.3
Operating expenses	**–6,938.7**	**–6,640.4**	**–7,786.4**	**–7,437.2**
Grants awarded	–2,649.4	–2,668.9	–3,349.9	–3,292.6
Pass-through taxes, state fees, fines	–4,250.4	–3,919.7	–4,250.4	–3,919.7
Labour costs	–0.2	–0.3	–0.3	–0.3

	Consolidated		Unconsolidated	
	2024	2023	2024	2023
Management expenses	–36.2	–51.2	–183.8	–224.4
Other operating expenses	–2.5	–0.3	–2.0	–0.2
Operating result	**–5,740.3**	**–5,542.8**	**–7,295.0**	**–6,946.4**
Financial income and expenses	**–43.3**	**–31.9**	**205.2**	**138.9**
Profit/loss from financial investments	2.8	1.3	242.4	178.6
Other financial income and expenses	–46.1	–33.2	–37.2	–39.7
Surplus or deficit of the reporting period	**–5,783.6**	**–5,574.7**	**–7,089.8**	**–6,807.5**

The consolidated report includes the transactions of the reported entities with local governments and other legal persons in public law and the entities under their controlling influence, as well as with related entities of all public sector entities (companies and foundations under significant influence).

The unconsolidated report includes the transactions of the reported entities with subsidiaries under controlling influence and foundations, local governments and other legal persons in public law and the entities under their controlling influence as well as with related entities of all public sector entities (companies and foundations under significant influence).

Note a30

Contingent liabilities and assets

In millions of euros

	Consolidated		Unconsolidated	
	31/12/2024	31/12/2023	31/12/2024	31/12/2023
Contingent liabilities	**9,464.7**	**8,056.7**	**9,125.1**	**8,261.5**
Unpaid ownership interest in international financial institutions (see Note a30 A)	2,044.1	2,035.3	2,044.1	2,035.3
Balance of student loans issued by banks (see Note a6)	34.2	34.5	34.2	34.5
Non-current assets pledged as loan security (see Notes a8, a9)	130.3	146.5	0.0	0.0
Current assets pledged as loan security	37.5	24.6	0.0	0.0
Contingent liabilities in connection with legal proceedings	113.1	370.4	55.3	321.8
Guarantees given (see Note a30 B)	2,045.5	2,032.7	1,684.3	1,679.4
Grant commitments (see Note a30 C)	1,715.4	969.4	3,017.6	2,235.3
Continuing operating lease liabilities (see Note a30 D)	69.7	83.2	993.7	993.3
Delivery contracts and investment liabilities (see Note a30 E)	3,274.9	2,360.1	1,295.9	961.9
Contingent receivables	**326.5**	**406.3**	**5.4**	**10.4**
Continuing operating lease receivables (see Note a30 D)	326.5	406.3	5.4	10.4

A. Holdings in international financial institutions

	EBRD	EIB	NIB	CEB	IBRD	MIGA	ESM	3SIIF*	Total
As of 31/12/2023									
Bonds	0.0	0.0	0.0	0.0	0.2	0.1	0.0	0.0	**0.3**
Callable capital	23.8	187.8	68.9	18.4	141.2	0.9	1,586.1	0.0	**2,027.1**
Paid-in capital	0.0	0.0	0.0	2.8	1.1	0.0	0.0	4.0	**7.9**
Received from bonus issue	1.0	5.4	3.9	0.6	3.2	0.0	0.0	0.0	**14.1**
Total	**24.8**	**193.2**	**72.8**	**21.8**	**145.7**	**1.0**	**1,586.1**	**4.0**	**2,049.4**
As of 31/12/2024									

	EBRD	EIB	NIB	CEB	IBRD	MIGA	ESM	3SIIF*	Total
Bonds	0.0	0.0	0.0	0.0	0.2	0.1	0.0	0.0	**0.3**
Callable capital	23.8	187.8	68.9	18.4	150.2	0.9	1,586.1	0.0	**2,036.1**
Paid-in capital	0.0	0.0	0.0	1.4	0.6	0.0	0.0	5.7	**7.7**
Received from bonus issue	1.0	5.4	3.9	0.6	4.1	0.0	0.0	0.0	**15.0**
Total	**24.8**	**193.2**	**72.8**	**20.4**	**155.1**	**1.0**	**1,586.1**	**5.7**	**2,059.1**

*3SIIF: Three Seas Initiative Investment Fund (see also Note a3).

The amount paid for holdings is reflected in the balance sheet (see Note a3). The state is required to redeem the bonds and callable capital at the request of an international financial organisation. No interest is calculated on them.

B. Guarantees given

Loan issuer	Loan recipient	Consolidated		Unconsolidated	
		31/12/2024	31/12/2023	31/12/2024	31/12/2023
EFSF	Euro zone member states in funding difficulties	1,552.6	1,547.8	1,552.6	1,547.8
European Commission	Member states to mitigate the risk of unemployment in an emergency situation	48.7	48.7	48.7	48.7
European Commission	European Single Resolution Board	22.0	22.0	22.0	22.0
European Commission	Ukraine loan guarantee	7.4	7.4	7.4	7.4
EIB	Project-based investment loans and securities	1.1	1.1	1.1	1.1
EIB	SA Põhja-Eesti Regionaalhaigla	52.2	52.2	52.2	52.2
Banks, leasing companies, foreign companies	Guarantees for business and housing loans, export guarantees by Ettevõtluse ja Innovatsiooni Sihtasutus	271.8	262.0	0.0	0.0
Estonian banks and leasing companies	Guarantees for rural loans by Maaelu Edendamise SA	74.6	85.3	0.0	0.0
Other		15.1	6.2	0.3	0.2
Total		**2,045.5**	**2,032.7**	**1,684.3**	**1,679.4**

C. Grant liabilities

Agreements with recipients for the intermediation of foreign aid and for domestic grants

	Consolidated		Unconsolidated	
	31/12/2024	31/12/2023	31/12/2024	31/12/2023
From European Union funds	946.4	368.6	1,689.4	1,182.9
Other foreign aid	1.6	6.2	1.6	7.0
Domestic grants	767.4	594.6	1,326.6	1,045.4
Total	**1,715.4**	**969.4**	**3,017.6**	**2,235.3**

D. Continuing operating lease liabilities and receivables

	Consolidated		Unconsolidated	
	31/12/2024	31/12/2023	31/12/2024	31/12/2023
Lease liabilities				
Up to 1 year	32.1	36.6	158.7	137.3
1 to 5 years	34.5	42.5	352.2	270.5

	Consolidated		Unconsolidated	
	31/12/2024	31/12/2023	31/12/2024	31/12/2023
More than 5 years	3.1	4.1	482.8	585.5
Total	**69.7**	**83.2**	**993.7**	**993.3**
Lease receivables				
Up to 1 year	17.9	19.7	0.9	1.2
1 to 5 years	55.9	51.3	0.9	4.6
More than 5 years	252.7	335.3	3.6	4.6
Total	**326.5**	**406.3**	**5.4**	**10.4**

Information on the carrying amount of leased assets is provided in Notes a10 and a11.

E. Delivery contracts and investment liabilities

Large-scale delivery contracts signed and investment liabilities agreed

	Consolidated		Unconsolidated	
	31/12/2024	31/12/2023	31/12/2024	31/12/2023
Investment liabilities by Riigi Kinnisvara AS	260.3	135.8	0.0	0.0
Transport and transport infrastructure liabilities	1,039.5	624.4	56.2	92.1
Liabilities for acquisition of defence-related assets	1,174.7	837.9	1,174.7	837.9
Electricity production and supply liabilities	746.5	725.1	0.0	0.0
Other delivery contracts	53.9	36.9	65.0	31.9
Total delivery contracts and investment liabilities	**3,274.9**	**2,360.1**	**1,295.9**	**961.9**

Note a31

Explanations to the state budget implementation report

The state budget implementation report includes all state accounting entities included in the unconsolidated annual accounts of the state together with state agencies under their control (see Note a1 A). The report is prepared on an accrual basis and is comparable to the state's unconsolidated statement of financial performance. The structure and accounting policies of the report correspond to the structure and accounting policies of the 2024 State Budget Act.

The structure of the 2024 state budget is similar to the 2023 state budget. Expenditure in the areas of government of the ministries is broken down according to the performance areas, the programmes under them, and the activities within the programmes. Investments for the acquisition of property, plant and equipment and intangible non-current assets are presented by investment project in each area of government for projects with a value of 10.0 million euros or more. Other investments are shown on a single line. The VAT expenditure is broken down into VAT on expenditure, investment, and financing transactions and added to the total of expenditure, investment, and financing transactions, respectively.

In 2024, the accounting principles of the state budget were amended as follows. In the case of the sale of non-current assets, the written-off residual value of the sold asset is no longer recorded as a reduction in income. In addition, the accounting of provisions has been adjusted. Only pension provisions are recorded on a cash basis, while all other provisions are recorded on an accrual basis. The 2023 state budget performance data have not been adjusted due to the change in accounting principles.

Actual 2023 comparative data within the same area of government have been reallocated compared to the data presented in annual accounts of the state for 2023 if programme activities were changed or investment projects were distinguished in 2024. Due to reorganisations, in the 2023 state budget performance data, expenditure of certain activities that remained under an area of government in insignificant amounts (where such activities did not exist in 2024) have been combined under a common programme cost line. On 1 July 2023, the work in the areas of government of several ministries was reorganised (see Note a1 A). Due to the redistribution of responsibilities, the 2024 and 2023 state budget

performance data are not comparable across the sub-sections of areas of government, as in the 2023 data these activities were divided between two ministries' areas of responsibility.

The report starts with the consolidated part. The data is then broken down according to the constitutional institutions, the Government of the Republic, the Government Office, and the areas of government of the ministries. In all parts of the report, the budget and budget implementation are broken down according to their economic content into revenue, expenditure, investments (acquisitions of property, plant and equipment and intangible non-current assets), and financial transactions (transactions in financial assets and liabilities to be budgeted). Separate disclosure is provided for expenditures, investments, and financing transactions with limits, which are restricted to be exceeded. Total expenditure, investments, and financial transactions include the following resources which are not considered as funds with limits:

1) estimated resources with the limits set on the basis of a separate law or contract, the amounts planned in the state budget may be exceeded (such as pensions);
2) expenditure, investments, and financial operations financed from revenue, for which the budgetary limit arises when revenue is received, irrespective of the amounts planned in the state budget;
3) expenditure of non-monetary depreciation and change in value of non-current assets;
4) the VAT expenditure arising from the expenditure, investments, and financing transactions subject to limits.

The consolidated part of the report recognises the actual budgetary position separately. In order to account for this, the revenue and expenditure of the state budget have been adjusted in accordance with the rules for calculating the budgetary position, which are derived from the guidelines for the calculation of the budgetary position of the European Standard of Accounts.

After the calculation of the budgetary position, the consolidated part contains items that need to be used for adjusting state budget revenue and expenditure in order to reach the revenue and expenditure recognised in the statement of financial performance, which were not taken into account in the state budget or were accounted for in the state budget in a different way from the accounting policies.

In the parts of the report (by area of government), the revenues and expenditures included in the statement of financial performance, which are considered outside the state budget are recognised in the section 'Adjustments'.

The report is presented in thousands of euros. Revenue and cash-generating financing transactions are recorded with a plus sign and expenditures, investments, and financing transactions with cash outflows with a minus sign.

Domestic transactions have been eliminated from the consolidated part, except for the domestic tax revenue and expenditure which have been eliminated as adjustments in order to calculate the revenue and expenditure recognised in the statement of financial performance. In data by area of government, intra-area transactions are generally not eliminated because an internal transaction incurs an expenditure for one government agency, which used the state budget limit, and revenue for another agency, which in turn serves as a basis for revenue-dependent expenditure limit. Intermediation of grants and aid within the area of government has been eliminated from revenue and expenditure. Foreign aid mediated to the agencies of other areas of government and their co-financing has also been eliminated from expenditure and co-financing of foreign aid received from the agencies of other areas of government has been eliminated from revenue. Eliminations related to other areas of government have also been included as adjustments because they are not eliminated in the statement of financial performance of the area of government.

The report presents the initial and final budget. The initial budget reflects the 2024 State Budget Act adopted by the *Riigikogu* on 8 December 2023. According to this, the volume of the state budget revenue was 16,804.0 million euros, the volume of expenditure was 17,683.8 million euros, the volume of investments was 817.3 million euros, and the volume of financing transactions was 1,355.4 million euros.

The final budget includes changes made to the budget during the year, including the transfer of the surplus budget from 2023 to the budget for 2024. The final budget carried over from 2023 turned out to be 1,581.0 million euros.

A. Budget carried over from 2023 to 2024

In thousands of euros

Area of government	Budget balances subject to limits	Balances of economic activities and domestic grants	Balances from the sale of emission allowances	Balances of foreign aid and co-financing	Total	Incl. changes after the approval of the 2023 annual report
Government of the Republic	189,697	0	0	0	189,697	424
Riigikogu	2,566	1	0	74	2,642	–75
President of the Republic	564	0	0	0	564	0
National Audit Office	744	0	0	0	744	0
Chancellor of Justice	180	7	0	0	187	0
Supreme Court	187	19	0	0	206	0
Government Office	1,870	0	0	2	1,872	0

Area of government	Budget balances subject to limits	Balances of economic activities and domestic grants	Balances from the sale of emission allowances	Balances of foreign aid and co-financing	Total	Incl. changes after the approval of the 2023 annual report
Ministry of Education and Research	91,490	15,575	0	61,528	168,594	0
Ministry of Justice	15,174	2,809	0	1,183	19,166	0
Ministry of Defence	66,988	269	0	95,337	162,593	0
Ministry of Climate	63,233	24,216	396,825	96,631	580,905	–5,000
Ministry of Culture*	48,732	45,999	0	602	95,333	–424
Ministry of Economic Affairs and Communications	71,645	5,114	0	1,807	78,566	–200
Ministry of Regional Affairs and Agriculture	33,345	5,783	214	1,524	40,867	0
Ministry of Finance	34,676	1,479	41,581	3,350	81,086	0
Ministry of the Interior	69,764	6,658	0	4,530	80,952	–275
Ministry of Social Affairs	36,979	8,158	0	2,117	47,255	0
Ministry of Foreign Affairs	9,859	11,146	0	8,727	29,732	–6,781
Total	**737,694**	**127,233**	**438,620**	**277,413**	**1,580,959**	**–12,331**

*Within the area of government of the Ministry of Culture, the balances of domestic grants include the budget carried over in the amount of 44,783 thousand euros, that arose from the support scheme for the construction of the Estonian National Museum. The construction was financed through the Cultural Endowment, but the building belongs to Riigi Kinnisvara AS. In the unconsolidated report of the state, funds received from the Cultural Endowment are recognised as a grant prepayment, which is amortised to revenue over the rental period.

In the 2023 report, a total of 1,593.3 million euros was proposed for the budget to be carried over to 2023. In 2024, the budget of the transferred funds was modified mainly by the decisions of the Government of the Republic to suspend expenditure in 2024 and to plan it in the years following 2024.

The budget carried over to 2024 does not include in the aggregate part of the budget implementation report the balances arising from reductions in expenditure and acquisitions of non-current assets under the area of government of the Ministry of Defence. Taking into account that such expenditure and acquisitions of non-current assets incurred in the consolidated accounts in 2024, the transferred budget should be higher by 189,871 thousand euros, including an increase in the established balances of 165,599 thousand euros, and an increase in the foreign aid balances of 24,272 thousand euros (see also Note a31 M).

B. Formation of the final budget

In thousands of euros

	Revenue	Expenditure, investments and VAT expense	Financing transactions
Initial budget	**16,803,969**	**–18,501,108**	**1,355,445**
Carried over from previous year (see Note a31 A)		–1,577,159	–3,800
Changes under the Supplementary Budget Act	41,850	126,493	0
Budgeted grants		1,732,943	11,995
Grants actually received and bridge financing opened		–1,577,051	–8,030
Budgeted co-financing of foreign aid		157,586	
Co-financing of foreign aid actually used		–87,584	
Budgeted revenue from economic activities		46,586	
Actual revenue from economic activities		–59,689	
Budgeted revenue from the sale of emission allowances		269,362	
Actual revenue from sale of emission allowances		–254,633	
Other revenue planned in the budget to cover expenditure		29,643	
Actual other revenue to cover expenditure		–2,567	

	Revenue	Expenditure, investments and VAT expense	Financing transactions
Budgeted use of the ownership reform reserve fund		2,000	
Actual allocation from the ownership reform reserve fund		–3,133	
Final budget	**16,845,819**	**–19,698,312**	**1,355,610**

In the final budget, expenditure, investments, and VAT expense increased by 1,197.2 million euros compared to the initial budget.

On 29 May 2024, the *Riigikogu* adopted the 2024 State Budget Amendment Act, which adjusted the allocation of expenditures, investments, and financing transactions among the areas of government.

On 19 June 2024, the *Riigikogu* adopted the 2024 Supplementary Budget Act, increasing income by 41,850 thousand euros, reducing expenditure by 103,751 thousand euros, and reducing investments by 22,741 thousand euros.

On 5 December 2024, the *Riigikogu* adopted the second 2024 State Budget Amendment Act, which adjusted the allocation of expenditure, investment, and financing transactions among the areas of government.

In addition, the funds provided on the basis of the orders of the Government of the Republic (quarterly breakdowns) and from the reserve fund of the Government of the Republic and the earmarked reserve allocated to the Minister of Finance to be used at the latter's discretion and from the ownership reform reserve fund have been redistributed between areas of government in the final budget. The expenditure dependent on the revenue forecast by the State Budget Act will be reimbursed in the final budget and replaced by budget generated by revenues. The actual revenue-dependent budget is obtained at the receipt of revenue (grants received), in opening bridge financing for projects financed by foreign aid, or the generation of revenue (revenue from economic activities, revenue from the sale of emission allowances, other revenue). The formation of the final budget is summarised in the table below.

C. Comparison of the items in the statement of financial performance and the consolidated part of the state budget implementation report

In thousands of euros

Item	2024			2023		
	Implementation of the budget	Statement of financial performance	Difference	Implementation of the budget	Statement of financial performance	Difference
Revenue						
Taxes and social security contributions	**13,975,901**	**13,967,671**	**–8,230**	**12,810,633**	**12,582,904**	**–227,728**
Goods and services sold	**431,914**	**431,914**	**0**	**520,864**	**520,864**	**0**
State fees	92,240			86,982		
Income from economic activities	339,674			433,882		
Grants received	**1,180,764**	**1,200,754**	**19,990**	**1,106,566**	**1,255,544**	**148,978**
Other income	**214,208**	**213,579**	**–629**	**213,866**	**221,277**	**7,411**
Income from non-current assets and inventories sold	28,866			26,761		
Fines and other fines to the extent of asset	28,639			23,695		
Environmental charges	100,847			103,442		
Other income from operations	55,856			59,968		
Interest and dividend income	**428,207**		**–428,207**	**283,030**		**–283,030**
Revenue not included in state budget revenue	**–35,729**		**35,729**	**–103,535**		**103,535**
Items in the statement of financial performance not recorded as separate items in the state budget						

Item	2024			2023		
	Implementation of the budget	Statement of financial performance	Difference	Implementation of the budget	Statement of financial performance	Difference
Operating result from change in fair value of biological assets		–22,882	–22,882		321	321
Profit/loss from financial investments		242,409	242,409		178,612	178,612
Income from deposits and securities		157,918	157,918		67,668	67,668
Other financial income		3,901	3,901		4,232	4,232
Total revenue	**16,195,265**	**16,195,265**	**0**	**14,831,424**	**14,831,424**	**0**
Expenditure						
State budget expenditure	**–16,636,031**			**–15,896,750**		
Expenditure not included in the state budget expenditure	**–81,103**			**111,314**		
Expenditure in the statement of financial performance						
Grants awarded		–8,404,231			–8,086,033	
Doubtful taxes, state fees, fines		–49,370			–39,521	
Pass-through taxes, state fees, fines		–4,789,012			–4,432,207	
Labour costs		–1,452,832			–1,431,016	
Management expenses		–1,074,402			–964,395	
Depreciation and change in value of non-current assets		–357,167			–357,022	
Other expenditure		–130,873			–136,520	
Interest expense		–459,249			–338,722	
Total expenditure	**–16,717,134**	**–16,717,134**	**0**	**–15,785,435**	**–15,785,435**	**0**
Total operating result	**–521,869**	**–521,869**	**0**	**–954,011**	**–954,011**	**0**

In the budget, tax revenue and pass-through taxes are planned according to the rules for calculating the budgetary position: the position is considered to be tax revenue and transfers from pass-through taxes, which are adjusted for three tax types with a one-month shift in the receipt and transfer of tax revenue, i.e. the receipts and transfers of the first month of the year are excluded and receipts and transfers of the first month of the next year are added. The difference between expenditure on the transfer of cash-basis tax revenue and taxes compared to the expenditure on the transfer of accrual-basis tax revenue and taxes as recognised in the statement of financial performance is recognised as an adjustment of the revenue from taxes and social security contributions and the expenditure on the transfer of taxes and social security contributions, respectively, according to the statement of financial performance.

Domestic tax revenue and expenditure eliminated in the statement of financial performance are not eliminated during the preparation of the budget (see 'Revenue and expenditure adjustment according to the statement of financial performance'). Actual tax receipts, the effect of their one-month shift and domestic taxes and a comparison with the statement of financial performance are set out in Part D of this Note.

State budget revenue does not include local taxes and state budget expenditure does not include transfers to local governments. While local taxes are collected by the Tax and Customs Board and these are recorded as tax revenue and deferred tax expenditure in the statement of financial performance, in the state budget implementation report they are presented as an adjustment to the corresponding revenue and expenditure on the basis of the statement of financial performance.

No plans are made in the budget for doubtful taxes, state fees and fines (net revenue is planned, on a cash-basis in case of taxes). As they are recognised as an expense and not as reduction of revenue in the statement of financial performance, they are recognised as an adjustment of the revenue and expenditure in the state budget implementation report.

No non-monetary transactions other depreciation and changes in the value of non-current assets are planned in the state budget as income or expenditure (2023 data also include write-off of the residual value of non-current assets sold as a reduction in income). Therefore, various write-offs, revaluations and their reversals, non-monetary grants received

and awarded, and foreign exchange gains and losses are also reflected under adjustments made on the basis of the statement of financial performance.

Of financial income, interest and dividend income are planned in the state budget. The state budget does not foresee non-monetary financial income or gains/losses on the sale and revaluation of financial investments and holdings (except for gains from venture capital funds and earmarked funds).

Expenditure from the formation and revaluation of provisions and adjustments of expenditure have been recognised in the budget as expenditure on the same principle as accounting, except for pension provisions and interest expenses accrued on provisions. The costs of forming pension provisions and interest expenses arising from discounting provisions are not included in state budget expenditure. Instead, the estimated payments of pension provisions have been recorded as expenditure. According to the accounting principles used in budgeting, the implementation of the budget is also presented. Costs of forming pension provisions and interest expenses accrued on provisions are reported in the section of adjustments, while reversing pension provision payments that were included in budget expenditure.

D. Classification of taxes into the state budget revenue, state budget expenditure and adjustments

In thousands of euros

Type of tax revenue	Final budget	Revenue in the statement of financial performance	Tax receipt	Difference between revenue and receipts in the statement of financial performance
Income tax	3,349,643	3,867,001	3,558,364	308,637
Social tax	4,962,834	4,890,151	4,854,220	35,931
Unemployment insurance premiums	313,000	311,038	308,775	2,263
Funded pension contributions	186,000	179,062	178,033	1,029
VAT	4,066,699	3,479,659	3,785,154	–305,495
Excise duties	1,033,514	1,027,747	1,025,995	1,752
Heavy goods vehicle tax	4,900	4,752	4,749	4
Customs duty	42,300	44,711	44,830	–119
Land tax	58,000	57,005	58,465	–1,460
Gambling tax	59,100	58,094	57,134	961
Total taxes	**14,075,990**	**13,919,220**	**13,875,719**	**43,501**
Adjustment by one-month shift in receipts			**100,182**	
VAT received in January			–350,160	
Excise duties received in January			–107,307	
Social tax received in January			–421,651	
VAT received in January of next year			411,319	
Excise duties received in January of next year			111,250	
Social tax received in January of next year			456,732	
Total with adjustments	**14,075,990**	**13,919,220**	**13,975,901**	**–56,681**
Reversal of domestically eliminated tax revenue and expenditure in the statement of financial performance		**340,993**		
VAT expense on operating expenses		216,834		
VAT expense on acquisition of non-current assets		122,490		
VAT expense on financing transactions		6		
Land tax		1,567		

Type of tax revenue	Final budget	Revenue in the statement of financial performance	Tax receipt	Difference between revenue and receipts in the statement of financial performance
Heavy goods vehicle tax		13		
Excise duties		4		
Customs duty		80		
Total	**14,075,990**	**14,260,213**	**13,975,901**	**284,312**
Budget and implementation of tax revenue included in the budgetary position				
Income tax	3,349,643	3,867,001	3,558,364	308,637
Social tax	4,962,834	4,890,151	4,889,300	850
Unemployment insurance premiums	313,000	311,038	308,775	2,263
Funded pension contributions	186,000	179,062	178,033	1,029
VAT	4,066,699	3,818,988	3,846,313	–27,324
Excise duties	1,033,514	1,027,752	1,029,939	–2,187
Heavy goods vehicle tax	4,900	4,766	4,749	17
Customs duty	42,300	44,790	44,830	–40
Land tax	58,000	58,571	58,465	106
Gambling tax	59,100	58,094	57,134	961
Total budget and implementation of tax revenue included in the budgetary position	**14,075,990**	**14,260,213**	**13,975,901**	**284,312**

According to the calculation above, 13,975,901 thousand euros were considered tax revenue in state budget revenue and 384,312 thousand euros were considered tax revenue recognised outside the state budget revenue (total of 14,260,213 thousand euros). In addition, in the state budget implementation report, the revenue from local taxes (Tallinn advertising tax) of 6,409 thousand euros is included as an adjustment of revenue on the basis of the statement of financial performance under the heading 'Taxes and social security contributions'.

Type of pass-through tax revenue	Final budget	Expenditure in the statement of financial performance	Transfers for pass-through	Difference between expenditure and transfers of the statement of financial performance
Income tax – to the local governments	–1,874,172	–1,889,273	–1,868,363	–20,910
Social tax – to the registrar of funded pension	–332,000	–324,516	–321,051	–3,465
Unemployment insurance premium – to Töötukassa	–313,000	–311,038	–308,724	–2,313
Funded pension contribution – to the registrar of funded pension	–166,000	–179,062	–178,196	–866
Land tax – to the local governments	–58,000	–58,587	–58,495	–92
Social tax – to Tervisekassa	–1,948,536	–1,924,728	–1,910,227	–14,502
Excise duties – to the Cultural Endowment of Estonia	–17,675	–17,583	–17,505	–78
Gambling tax – to the Cultural Endowment of Estonia	–28,250	–27,769	–26,802	–967

Type of pass-through tax revenue	Final budget	Expenditure in the statement of financial performance	Transfers for pass-through	Difference between expenditure and transfers of the statement of financial performance
Customs duty – to the European Union	–31,725	–33,593	–32,940	–652
Total pass-through taxes	**–4,769,358**	**–4,766,149**	**–4,722,304**	**–43,845**
Adjustment by one-month shift in receipts			**–14,817**	
Health insurance part of social tax received in January			164,888	
Health insurance part of social tax received in January of next year			–179,824	
Excise duties paid in January			1,622	
Excise duties paid in January of next year			–1,503	
Total adjusted pass-through taxes	**–4,769,358**	**–4,766,149**	**–4,737,120**	**–29,029**
Budget and implementation of pass-through tax revenue included in the budgetary position				
Income tax – to the local governments	–1,874,172	–1,889,273	–1,868,363	–20,910
Social tax – to the registrar of funded pension	–332,000	–324,516	–321,051	–3,465
Unemployment insurance premium – to Töötukassa	–313,000	–311,038	–308,724	–2,313
Funded pension contribution – to the registrar of funded pension	–166,000	–179,062	–178,196	–866
Land tax – to the local governments	–58,000	–58,587	–58,495	–92
Social tax – to Tervisekassa	–1,948,536	–1,924,728	–1,925,162	434
Excise duties – to the Cultural Endowment of Estonia	–17,675	–17,583	–17,386	–197
Gambling tax – to the Cultural Endowment of Estonia	–28,250	–27,769	–26,802	–967
Customs duty – to the European Union	–31,725	–33,593	–32,940	–652
Total budget and implementation of pass-through tax revenue included in the budgetary position	**–4,769,358**	**–4,766,149**	**–4,737,120**	**–29,029**

According to the calculation above, 4,737,120 thousand euros were recognised as expenditure of pass-through taxes and 29,029 thousand euros as adjustments outside expenditure of state budget (4,766,149 thousand euros in total) in the state budget implementation report. In addition, the state budget implementation report includes as an adjustment to expenditure on the basis of the statement of financial performance under the heading 'Transfer of taxes and social security contributions' a transfer of local tax revenue (Tallinn advertising tax) of 6,417 thousand euros.

E. Comparison between the acquisition of non-current assets and the state budget implementation report

In thousands of euros

Investments in acquisition of non-current assets	2024		2023	
	Implementation of the budget	Acquisitions in the statement of movement in non-current assets	Implementation of the budget	Acquisitions in the statement of movement in non-current assets
Investments in the state budget implementation report	–915,480		–701,558	

Investments in acquisition of non-current assets	2024		2023	
	Implementation of the budget	Acquisitions in the statement of movement in non-current assets	Implementation of the budget	Acquisitions in the statement of movement in non-current assets
Acquisition of property, plant and equipment (see Note a13)		–760,986		–661,030
Acquisition of intangible non-current assets (see Note a13)		–79,181		–84,365
Change in prepayments		47,176		145,668
Domestic VAT expense on acquisition of non-current assets		–122,490		–101,829
Total	**–915,480**	**–915,480**	**–701,558**	**–701,558**

The investments recognised in the state budget implementation report are comparable with the data on the unconsolidated acquisition of the non-current assets of the state. Prepayments for non-current assets are not considered as investments in the implementation of the state budget. Acquisitions of non-current assets are taken into account in the implementation of the budget upon the acquisition of non-current assets, incl. construction work in progress in accordance with the instruments of the work performed.

In the sections of the report of areas of government, total labour costs capitalised into the acquisition of non-current assets in the total amount of 7,629 thousand euros (6,675 thousand euros in 2023) have been recognised as labour cost in the state budget expenditure, and labour costs have been reduced and investments increased in adjustments. In the consolidated part of the state budget, labour costs capitalised into the acquisition cost of non-current assets are recognised as investments, not as labour costs, similarly to other financial statements, although they are planned as labour costs in the budget. In 2023, the adjustments of the area of government of the Ministry of Culture still reflects non-current assets in the amount of 1,100 thousand euros acquired as a result of swap, which is also included in investments in the consolidated part of the state budget.

For the difference between the investments of the Ministry of Defence and the investments reported in the aggregated part of the implementation of the state budget, see Note a31 M.

F. Financing transactions recognised as budget implementation

In thousands of euros

Type of financing transaction	2024	2023
Purchase of bonds	–8,783,654	–1,576,046
Sale of bonds	8,121,015	2,061,620
Contributions to venture capital funds	–125,000	–102,910
Contributions to holdings in state foundations	–70,447	–100,800
Contributions to holdings in state companies	–12,000	–68,000
Received from the sale and liquidation of holdings	45,695	0
Contributions to holdings in international organisations	–3,801	–62,301
Repayments from holdings in international organisations	3,590	0
Contributions to the dedicated funds of state foundations	–12,130	–25,091
Recoveries from the dedicated funds of state	94,903	143,596
Loans issued	–104	–60
Repayments of loans issued	11,455	11,315
Received from government bonds issued	3,933,310	1,321,354
Redemption of government bonds	–2,284,602	–652,688
Loans received	0	210,000
Repayments of loans received	–167,973	–67,973
Repayments of finance lease liabilities	–25	–83
Change in deposits	78,942	231,450
Change in provision for the second pillar payments received from insurance funds	–673	–679

Type of financing transaction	2024	2023
Domestic VAT expense	–6	–17
Total	**828,494**	**1,322,688**

Financing transactions received and paid are generally comparable to the corresponding items in the government's unconsolidated cash flow statement for cash flows from investment and financing activities.

In the parts of the report of the areas of government, all the transactions in the table above are recorded as financial transactions, except for the change in deposits and the provision for the second pillar withdrawals from insurance funds. The change in deposits mainly occurs in the area of government of the Ministry of Finance as the State Treasury holds deposits of various central and general government entities (incl. funds of Tervisekassa and Töötukassa).

G. Revenue and expenditure adjustment in the state's budgetary position

State budget revenue and expenditure are generally planned according to the same principles as the rules for calculating the statistical budgetary position, but with some exceptions.

Revenue from the sale of emission allowances is taken into account in the budgetary position with a one-year time shift. In the state budget, the revenue for the budget year is planned. Therefore, the total revenue from the sale of emission allowances has been increased by 105,394 thousand euros (decreased by 26,010 thousand euros in 2023) in the position.

Dividend income may be taken into account in the position to the maximum extent of the dividend payer's operating profit for the previous period, from which income tax expense paid to the state on dividends is deducted. The effect of one-off revenue and expenditure still included in operating profit must be removed. Any dividend income in excess of this is considered a super dividend. The positions for 2024 and 2023 did not require adjustment for super dividends.

In 2024, the position was also reduced by 10,530 thousand euros for European Union grants directed to financing activities, which had been recorded as revenue and acquisition of financial investments both in the state budget and in accounting. According to the rules for position accounting, funds received for financing activities are not recognised as income.

In the case of provisions, the position takes into account only payments as expenditure and not the costs of their formation. Therefore, the costs of forming the provisions that were calculated in the state budget have been withdrawn in the calculation of the position on the same principle as accounting and the payments of the same provisions have been recorded as expenditure.

The budgetary position is affected by the acquisition of property, plant and equipment and intangible non-current assets, not by their subsequent registering as expenditure. Therefore, depreciation of non-current assets has been retrospectively accounted for in the position. From 2024 onwards, it is no longer necessary to adjust the residual value of sold non-current assets, as this is no longer included in the reduction of state budget income (adjusted 7,967 thousand euros in 2023).

The budgetary position is further influenced by the acquisition of property, plant and equipment at the time of the acquisition, not at their subsequent registering as expenditure. In the state budget, inventories are treated as expenditure on a similar basis to accounting (not upon acquisition) when inventories are taken into use. An exception is defence-related inventories, which have been recognised in the state budget and also in the accounts as an acquisition cost on the basis of their recurring movement in and out of storage.

In the 2024 state budget performance report, adjustments were also made for the area of government of the Ministry of Defence concerning the acquisition of defence-related inventories and property, plant and equipment (excluding intermediated assets financed by foreign aid). These were recognised based on documentation confirming the transfer of ownership, although the goods had not yet arrived at the contractually specified destination. In the consolidated annual report of state accounting, these acquisitions were recorded with a one-year delay. Eurostat reviewed Estonia's deficit calculation and concluded that Statistics Estonia must base the deficit calculation on the data submitted by the Ministry of Defence and may not take into account adjustments made during the consolidation of the state's consolidated annual report. Consequently, in the state budgetary position, expenditures and acquisitions of property, plant and equipment have been adjusted in 2024 by 73,070 thousand euros and in 2023 by –101,251 thousand euros.

H. Budget carried over from 2024 to 2025

In thousands of euros

Area of government	Budget balances subject to limits	Balances of economic activities and domestic grants	Balances from the sale of emission allowances	Balances of foreign aid and co-financing	Total
Government of the Republic	72,551	0	0	0	72,551

Area of government	Budget balances subject to limits	Balances of economic activities and domestic grants	Balances from the sale of emission allowances	Balances of foreign aid and co-financing	Total
Riigikogu	3,091	1	0	9	3,101
President of the Republic	258	0	0	0	258
National Audit Office	620	0	0	0	620
Chancellor of Justice	237	0	0	0	237
Supreme Court	306	37	0	0	343
Government Office	1,505	0	0	0	1,505
Ministry of Education and Research	98,593	17,886	0	66,584	183,063
Ministry of Justice	11,118	5,247	0	1,557	17,921
Ministry of Defence	102,228	5,713	784	194,002	302,727
Ministry of Climate	44,972	14,157	534,021	161,454	754,603
Ministry of Culture*	40,248	43,493	5,864	403	90,007
Ministry of Economic Affairs and Communications	67,617	9,503	12,210	2,075	91,405
Ministry of Regional Affairs and Agriculture	19,750	5,480	15,070	2,148	42,448
Ministry of Finance	14,063	1,004	3,133	3,576	21,775
Ministry of the Interior	50,487	7,045	0	2,038	59,570
Ministry of Social Affairs	38,130	7,716	0	3,500	49,346
Ministry of Foreign Affairs	15,461	3,768	0	1,064	20,293
Total	**581,234**	**121,050**	**571,082**	**438,410**	**1,711,775**

*Within the area of government of the Ministry of Culture, the balances of domestic grants include the budget carried over in the amount of 42,695 thousand euros including rental expenses for the Estonian National Museum (see also Note a31 A).

Budget balances subject to limits are carried over by order of the minister of the area of government or the head of a constitutional institution, and in the case of the Government Office, by the State Secretary, for the execution of expenditures, investments, and financing transactions, in accordance with transfer rules established on the basis of the State Budget Act. Budget balances with limits may be carried over to the extent of 100 per cent only once (to the following year) if they are needed for the same purpose (planned in the previous year).

The balance accrued for revenue-dependent expenditure and investments is transferred by 100 per cent. This includes the balances of prepayments received for foreign aid and related co-financing, for which the issuer of the aid has determined the intended use of the amounts granted. Every state agency has the right to use the revenue received from economic activities to carry out its activities at its own discretion. Domestic grants are mainly received from other general government sector entities (for example, the Cultural Endowment, etc.). Their use is also earmarked and subject to reporting verification. The revenue from the sale of emission allowances is invested in environmental protection projects in accordance with the Atmospheric Air Protection Act (section 161).

I. Movements in the reserve of the Government of the Republic

The reserve allocated to the Government of the Republic by the state budget is reflected in the initial budget under the item 'Reserves of the Government of the Republic'. The reserve allocated to agencies is recorded as an increase in the final budget of the agencies and a decrease in the final budget of the Government of the Republic. The budget of the Government of the Republic partly consists of earmarked funds, the allocation of which to agencies for activities approved by the Government of the Republic has been decided by a directive of the Minister of Finance.

In thousands of euros

	Reserve of the Government of the Republic, except for earmarked funds	Earmarked funds	Total reserve of the Government of the Republic
Initial budget	21,876	90,405	112,281
Carried over from 2023	144,164	45,533	189,697
Changes under the Supplementary Budget Act	–5,000	–34,330	–39,330
Changes under the State Budget Amendment Act	74,364	–1,150	73,214
Reallocation by decision of the Government of the Republic	–57,061	57,061	0
Allocated for agencies (see Part J, K)	–21,954	–121,009	–142,963
Balance at the end of the year	**156,389**	**36,510**	**192,899**
Returned from agencies to the reserve (see Part J, K)	1,389	3,552	4,942
Balance after return	**157,778**	**40,062**	**197,840**

J. Use of the reserve of the Government of the Republic in 2024

In thousands of euros

Area of government	Order number	Purpose	Carried over from 2023	Allocated in 2024	Used in 2024	Balance	For agencies for the following year	Returned to the reserve
Government Office	123	Organisation of the Joint Expeditionary Force Leaders' Summit	0	600	265	335	0	335
Ministry of Justice	90	ELA USA, Inc., payment of the costs of legal proceedings No 2018-42	74	0	74	0	0	0
Ministry of Defence	52	Soviet monument removal from public spaces	1,261	0	231	1,029	0	1,029
Ministry of Climate	225	Operating expenses and small investments for the provision of pilot services	514	0	514	0	0	0
Ministry of Climate	240	Expenditure on icebreaking services for winter navigation and minor investments for vessels	833	0	820	13	0	13
Ministry of Economic Affairs and Communications	21	Assessment of new circumstances in the accident of cruise ferry *Estonia*	0	1,200	364	836	836	0
Ministry of Regional Affairs and Agriculture	243	Ensuring the functioning of public transport	2,259	0	2,259	0	0	0
Ministry of Regional Affairs and Agriculture	77	African swine fever control measures and eradication of disease outbreaks	0	1,231	1,166	65	65	0
Ministry of Regional Affairs and Agriculture	171	Development and subsidisation of public transport	0	18,286	16,574	1,712	1,712	0
Ministry of the Interior	76	Ensuring security for the visit of the President of Ukraine	0	357	357	0	0	0
Ministry of the Interior	123	Organisation of the Joint Expeditionary Force Leaders' Summit	0	250	239	11	0	11
Ministry of Foreign Affairs	123	Organisation of the Joint Expeditionary Force Leaders' Summit	0	30	30	0	0	0
Total			**4,941**	**21,954**	**22,893**	**4,002**	**2,613**	**1,389**

K. Use of the earmarked fund reserve in 2024

In thousands of euros

Area of government	Directive number	Purpose	Carried over from 2023	Allocated in 2024	Used in 2024	Balance	For agencies for the following year	Returned to the reserve
Chancellery of the *Riigikogu*	74	Compensating for IT shortages	0	102	102	0	0	0
Chancellery of the *Riigikogu*	104	Preparation for e-voting and m-voting and ensuring their sustainability	0	100	56	44	44	0
Office of the President	35	Compensating for IT shortages	44	0	41	4	0	4
Office of the President	88	Strengthening cyber security measures	0	30	12	18	18	0
Office of the President	94	Connection to the district heating network	0	26	26	0	0	0
Supreme Court	73	Compensating for IT shortages	0	7	0	7	7	0
Government Office	197	Compensating for IT shortages	27	0	27	0	0	0
Government Office	108	Development of strategic communication in broad-based national defence, including civil protection	0	145	5	141	141	0
Ministry of Education and Research	123	Ineligible expenditure under foreign aid programmes	0	216	216	0	0	0
Ministry of Education and Research	126	Costs and investments for energy-saving measures in school buildings	0	543	0	543	0	543
Ministry of Justice	162	Ensuring cyber security and enhancing information security capabilities	422	0	422	0	0	0
Ministry of Justice	138	Implementation of energy-saving measures	0	363	363	0	0	0
Ministry of Defence	49	Building the capacity of a cyber training ground	206	0	206	0	0	0
Ministry of Defence	103	Compensating for IT shortages	452	0	452	0	0	0
Ministry of Defence	149	Auditing ICT services	20	0	0	20	0	20
Ministry of Defence	77	ICT cyber security expenditure	0	961	873	88	88	0
Ministry of Climate	71	Compensating for IT shortages	1,010	0	1,010	0	0	0
Ministry of Climate	79	Disclosing environmental status and the INSPIRE data	365	0	365	0	0	0
Ministry of Climate	164	Research and development survey of the subsoil resources	1,881	0	894	987	0	987
Ministry of Climate	171	Ensuring of the balance of the revenue and expenditure of AS Eesti Raudtee	0	0	–1	1	0	1
Ministry of Climate	177	Signing of the research partnership agreement with universities for the adoption of EU 2030 climate targets	182	0	123	59	0	59
Ministry of Climate	70	Icebreaking works and winter navigation	0	2,379	2,343	36	36	0

Area of government	Directive number	Purpose	Carried over from 2023	Allocated in 2024	Used in 2024	Balance	For agencies for the following year	Returned to the reserve
Ministry of Climate	75	IT operating expenses	0	228	83	145	145	0
Ministry of Climate	76	Enhancing the climate resilience of electricity distribution networks	0	15,700	7,064	8,636	8,636	0
Ministry of Climate	114	Implementation of ministry reorganisation projects	0	700	649	51	51	0
Ministry of Climate	117	Implementation of ICT cyber security projects	0	607	30	577	577	0
Ministry of Climate	119	Costs and investments of the state fleet	0	11,529	8,149	3,380	3,380	0
Ministry of Climate	122	Implementation of measures arising from the regulations of the Transport Administration	0	37	37	0	0	0
Ministry of Climate	123	Ineligible expenditure under foreign aid programmes	0	3,138	3,138	0	0	0
Ministry of Climate	129	Ensuring of the balance of the revenue and expenditure of AS Eesti Raudtee	0	30,685	30,685	0	0	0
Ministry of Climate	143	Implementation of energy-saving measures	0	59	59	0	0	0
Ministry of Culture	70	Piloting a research and development programme on Estonian culture	1,300	0	1,207	93	0	93
Ministry of Culture	96	Language training and other support for Ukrainian war refugees	2,630	0	2,174	456	0	456
Ministry of Culture	115	Energy efficiency works in the building of the Estonian Sports and Olympic Museum	20	0	20	0	0	0
Ministry of Culture	184	Compensating for IT shortages	130	0	50	80	0	80
Ministry of Culture	188	Fee for the discovery of an archaeological find	7	0	7	0	0	0
Ministry of Culture	20	Supporting international cultural and sporting events	0	2,000	1,942	58	0	58
Ministry of Culture	32	Creation and dissemination of Russian-language media content	0	1,000	1,000	0	0	0
Ministry of Culture	61	International protection and temporary protection recipients' adaptation programme, Estonian language training	0	4,033	447	3,585	3,553	33
Ministry of Culture	68	ICT cyber security costs of the Estonian Public Broadcasting	0	106	68	38	38	0
Ministry of Culture	116	IT costs of the National Library of Estonia	0	102	102	0	0	0
Ministry of Culture	123	Ineligible expenditure under foreign aid programmes	0	3	3	0	0	0
Ministry of Culture	131	Energy efficiency works on the building used by SA Eesti Spordi- ja Olüm-piamuuseum	0	64	64	0	0	0
Ministry of Economic Affairs and Communications	59	Management expenses of the structural funds	0	511	511	0	0	0

Area of government	Directive number	Purpose	Carried over from 2023	Allocated in 2024	Used in 2024	Balance	For agencies for the following year	Returned to the reserve
Ministry of Economic Affairs and Communications	75	ICT equipment for public buildings	532	0	312	221	0	221
Ministry of Economic Affairs and Communications	77	Compensating for IT shortages	1,424	0	1,181	243	0	243
Ministry of Economic Affairs and Communications	101	Underwater investigations of the passenger ferry *Estonia*	0	0	–5	5	0	5
Ministry of Economic Affairs and Communications	148	Management of software for computer workstations within the area of government of the Ministry of Justice	325	0	212	113	0	113
Ministry of Economic Affairs and Communications	179	Compensating for IT shortages	283	0	249	34	0	34
Ministry of Economic Affairs and Communications	185	Implementation of ICT projects	3,023	0	2,731	292	0	292
Ministry of Economic Affairs and Communications	91	Expenditure and investment of the digital society performance area	0	315	57	258	258	0
Ministry of Economic Affairs and Communications	112	Development of comprehensive national defence, including civil protection	0	1,264	765	499	499	0
Ministry of Economic Affairs and Communications	123	Ineligible expenditure under foreign aid programmes	0	144	144	0	0	0
Ministry of Economic Affairs and Communications	136	IT system development for implementing the directive on the continuity of essential services	0	150	150	0	0	0
Ministry of Economic Affairs and Communications	1	Organisation of cyber security and digital state related events and meetings, and court costs	0	392	80	312	312	0
Ministry of Regional Affairs and Agriculture	62	Compensating for ICT shortages	50	0	50	0	0	0
Ministry of Regional Affairs and Agriculture	80	Modernising crop fertilisation standards	259	0	259	0	0	0
Ministry of Regional Affairs and Agriculture	170	Signing the framework agreement on the transposition of the EU 2030 climate targets with universities	73	0	0	73	0	73
Ministry of Regional Affairs and Agriculture	199	Energy efficiency work	2	0	2	0	0	0

Area of government	Directive number	Purpose	Carried over from 2023	Allocated in 2024	Used in 2024	Balance	For agencies for the following year	Returned to the reserve
Ministry of Regional Affairs and Agriculture	29	Compensation to local governments for property tax reduction arising from regular land valuation	0	1,000	1,000	0	0	0
Ministry of Regional Affairs and Agriculture	33	Population measures for Ukrainian war refugees	0	348	288	60	60	0
Ministry of Regional Affairs and Agriculture	62	Local governments' care costs when the share of elderly in care homes significantly exceeds the national average in Estonia	0	1,300	1,300	0	0	0
Ministry of Regional Affairs and Agriculture	102	Additional costs arising from the verification and approval of accounting in 2023 for the implementation of EU funds	0	101	101	0	0	0
Ministry of Regional Affairs and Agriculture	109	ICT cyber security costs	0	128	68	60	60	0
Ministry of Regional Affairs and Agriculture	110	Modernisation of internal and external websites	0	24	22	2	2	0
Ministry of Regional Affairs and Agriculture	123	Ineligible expenditure under foreign aid programmes	0	445	445	0	0	0
Ministry of Regional Affairs and Agriculture	130	Energy efficiency works on office buildings	0	21	19	2	2	0
Ministry of Regional Affairs and Agriculture	135	Implementation of the directive on the continuity of proactive government services	0	11	0	11	11	0
Ministry of Finance	20	Compensating for IT shortages	1,089	0	1,089	0	0	0
Ministry of Finance	52	Energy efficiency assessment of public sector buildings	2	0	0	2	0	2
Ministry of Finance	111	Energy efficiency assessment of public sector buildings	300	0	154	146	0	146
Ministry of Finance	114	IT investments accompanying the implementation of amendments to the Income Tax Act	97	0	97	0	0	0
Ministry of Finance	9	ICT cyber security expenditure	0	300	290	10	10	0
Ministry of Finance	43	Operating costs of broad-based national defence	0	438	437	2	2	0
Ministry of Finance	45	IT investments	0	452	452	0	0	0
Ministry of Finance	47	Anti-money laundering activities	0	190	167	23	23	0
Ministry of Finance	125	Research activities	0	73	0	73	73	0

Area of government	Directive number	Purpose	Carried over from 2023	Allocated in 2024	Used in 2024	Balance	For agencies for the following year	Returned to the reserve
Ministry of Finance	127	Development of a work register for implementing the directive on the continuity of proactive government services	0	30	2	28	28	0
Ministry of the Interior	34	Construction of the state border	453	0	453	0	0	0
Ministry of the Interior	135	Ensuring cyber security	313	0	313	0	0	0
Ministry of the Interior	138	Implementation of the automatic biometric identification system	123	0	123	0	0	0
Ministry of the Interior	166	Construction of the state border	1,783	0	1,783	0	0	0
Ministry of the Interior	174	Calls related to the crisis in Ukraine in the Ukraine call centre and state helpline 1247	2	0	2	0	0	0
Ministry of the Interior	194	Implementation of the automatic biometric identification system	958	0	958	0	0	0
Ministry of the Interior	50	Costs and investments for developing broad-based national defence, including civil protection	0	7,834	6,819	1,014	1,014	0
Ministry of the Interior	95	Construction of the eastern border and infrastructure investments	0	9,855	3,115	6,740	6,740	0
Ministry of the Interior	100	Ensuring cyber security	0	221	88	133	133	0
Ministry of the Interior	113	Implementation of energy-saving measures	0	226	166	60	60	0
Ministry of the Interior	124	Implementation of energy-saving measures	0	82	76	6	6	0
Ministry of the Interior	132	Implementation of the automatic biometric identification system	0	900	106	795	795	0
Ministry of the Interior	133	Expenditure related to Ukrainian war refugees	0	4,806	3,989	817	817	0
Ministry of the Interior	134	Implementation of the directive on the continuity of proactive government services	0	44	11	33	33	0
Ministry of Social Affairs	66	1 million genomes in the Digital Europe programme	23	0	23	0	0	0
Ministry of Social Affairs	69	Preparing for emergencies and national defence in health care sector	699	0	699	0	0	0
Ministry of Social Affairs	133	Compensating for IT shortages and ensuring the sustainability of ICT services	461	0	461	0	0	0
Ministry of Social Affairs	152	Framework research partnership agreement for the transposition of the climate targets	73	0	0	73	0	73
Ministry of Social Affairs	181	ICT costs for creating remote workstations	0	0	–1	1	0	1
Ministry of Social Affairs	44	Development of comprehensive national defence, including civil protection	0	3,829	3,693	136	121	15
Ministry of Social Affairs	52	Expenditure related to Ukrainian war refugees	0	7,617	3,725	3,892	3,892	0

Area of government	Directive number	Purpose	Carried over from 2023	Allocated in 2024	Used in 2024	Balance	For agencies for the following year	Returned to the reserve
Ministry of Social Affairs	69	Expenditure related to Ukrainian war refugees	0	436	155	281	281	0
Ministry of Social Affairs	87	Cyber security training for public cloud services	0	85	85	0	0	0
Ministry of Social Affairs	96	Management of health care reserves and enhancing the crisis resilience of health care service providers	0	1,220	0	1,220	1,220	0
Ministry of Social Affairs	123	Ineligible expenditure under foreign aid programmes	0	11	11	0	0	0
Ministry of Social Affairs	128	Energy efficiency works on buildings	0	43	43	0	0	0
Ministry of Foreign Affairs	50	Applied research in Russia, Asia and the Arctic	804	0	803	1	0	1
Ministry of Foreign Affairs	154	Compensating for ICT shortages	350	0	350	0	0	0
Ministry of Foreign Affairs	78	ICT cyber security costs and investments	0	270	178	92	92	0
Ministry of Foreign Affairs	90	Applied research related to Russia, Asia, and the Arctic, and research on the history of diplomacy	0	1,031	234	797	797	0
Total			**22,200**	**121,009**	**105,604**	**37,605**	**34,053**	**3,552**

L. Use of the ownership reform reserve fund in 2024

In thousands of euros

Funds are allocated from the ownership reform reserve fund of the Government of the Republic in accordance with the regulation established on the basis of the Use of Privatisation Proceeds Act.

Area of government	Order/ directive number	Purpose	Carried over from 2023	Allocated in 2024	Used in 2024	Balance	Carried over to the following year	Returned to the reserve
Ministry of Climate	187	Preparations for assessing land	98	0	94	4	0	4
Ministry of Culture	186	Costs of architectural monuments returned under the owner-ship reform	165	0	0	165	165	0
Ministry of Culture	454	Costs of architectural monuments returned under the owner-ship reform	470	0	470	0	0	0
Ministry of Culture	349	Costs of architectural monuments returned under the owner-ship reform	2,436	0	941	1,495	1,495	0

Area of government	Order/ directive number	Purpose	Carried over from 2023	Allocated in 2024	Used in 2024	Balance	Carried over to the following year	Returned to the reserve
Ministry of Culture	275	Costs of architectural monuments returned under the ownership reform	3,000	0	490	2,510	2,510	0
Ministry of Culture	246	Costs of architectural monuments returned under the ownership reform	0	3,000	0	3,000	3,000	0
Ministry of Regional Affairs and Agriculture	65	Expenses related to land reform	180	0	158	22	22	0
Ministry of Regional Affairs and Agriculture	135	Returning unlawfully expropriated land	34	0	1	33	33	0
Ministry of Regional Affairs and Agriculture	165	Expenses related to land reform	103	0	9	94	94	0
Ministry of Regional Affairs and Agriculture	455	Implementing land reform and creating an environment and conditions necessary for the development of entrepreneurship	1,285	0	1,051	234	234	0
Ministry of Regional Affairs and Agriculture	16	Constituting the right of superficies	257	0	2	255	255	0
Ministry of Finance	10	To local governments	6	0	0	6	6	0
Ministry of Finance	34, 456, 62, 248	Performing the functions of the ownership and land reform	40	31	32	39	39	0
Ministry of Finance	108, 55, 456, 96, 248	Maintenance expenses of apartments relinquished to the state	717	22	34	705	45	660
Ministry of Finance	279	Compensation for unlawfully expropriated property and for unused privatisation securities	304	0	0	304	304	0
Ministry of Finance	45	IT development and maintenance of information systems related to the regular land assessment	304	0	138	166	166	0
Ministry of Finance	96	Launch of a national grant measure for local governments for housing restructuring	3,000	0	0	3,000	0	3,000
Ministry of Finance	362	Carrying out the regular land assessment and taking the results into use	50	0	49	0	0	0
Ministry of Finance	66	Repayment of debt related to the privatisation of RAS Agrotarve shares based on a court decision	0	48	5	43	43	0
Ministry of Finance	167	Archiving of Tallinn City Government property and land reform case files	0	32	2	30	30	0
Total			**12,449**	**3,133**	**3,475**	**12,107**	**8,443**	**3,664**

M. Comparison of the statement of financial performance of state accounting entities recorded in Note a1 with the state budget implementation report

2024

	Indicators of the statement of financial performance				Indicators of the state budget implementation report			
	Income from operations	**Operating expenses**	**Financial income and expenses**	**Operating result**	**Revenue**	**Expenditure**	**Adjustments**	**Operating result**
Riigikogu	158	–32,923	–96	–32,861	158	–32,923	–96	–32,861
President of the Republic	44	–5,693	–316	–5,965	44	–6,053	44	–5,965
National Audit Office	1	–5,666	–1	–5,666	1	–5,666	–1	–5,666
Chancellor of Justice	22	–3,388	–2	–3,368	22	–3,388	–2	–3,368
Supreme Court	404	–6,911	–367	–6,875	393	–6,840	–428	–6,875
Government Office	2,134	–18,209	–3	–16,078	2,029	–18,212	106	–16,078
Ministry of Education and Research	78,787	–1,003,049	0	–924,262	103,164	–1,001,977	–25,449	–924,262
Ministry of Justice	52,850	–223,249	–6,149	–176,548	52,809	–226,150	–3,207	–176,548
Ministry of Defence	189,420	–1,160,446	–29,501	–1,000,527	177,777	–1,108,514	–69,790	–1,000,527
Ministry of Climate	838,707	–852,746	122,950	108,910	989,793	–838,111	–42,772	108,910
Ministry of Culture	60,997	–377,565	293	–316,275	15,254	–376,396	44,867	–316,275
Ministry of Economic Affairs and Communications	428,842	–1,187,218	30,558	–727,817	145,143	–1,180,306	307,347	–727,817
Ministry of Regional Affairs and Agriculture	365,386	–1,371,104	7,187	–998,531	372,520	–637,218	–733,834	–998,531
Ministry of Finance	14,364,859	–7,955,841	–36,532	6,372,486	14,262,155	–483,164	–7,406,505	6,372,486
Ministry of the Interior	65,099	–617,118	–45,442	–597,461	62,192	–560,422	–99,231	–597,461
Ministry of Social Affairs	5,135,939	–6,997,659	–97,612	–1,959,332	65,256	–7,075,452	5,050 864	–1,959,332
Ministry of Foreign Affairs	10,963	–118,593	15	–107,616	10,931	–118,593	47	–107,616
Eliminations	–5,803,576	5,679,493	0	–124,083	–28,647	–2,956,646	2,861,210	–124,083
Total	**15,791,037**	**–16,257,886**	**–55,020**	**–521,869**	**16,230,994**	**–16,636,031**	**–116,832**	**–521,869**

2023

In thousands of euros

	Indicators of the statement of financial performance				Indicators of the state budget implementation report			
	Income from operations	**Operating expenses**	**Financial income and expenses**	**Operating result**	**Revenue**	**Expenditure**	**Adjustments**	**Operating result**
Riigikogu	205	–31,509	0	–31,304	205	–31,038	–471	–31,304
President of the Republic	168	–5,490	–299	–5,621	149	–5,823	53	–5,621
National Audit Office	0	–5,783	–2	–5,785	0	–5,770	–16	–5,785
Chancellor of Justice	5	–3,292	–1	–3,289	5	–3,264	–29	–3,289
Supreme Court	367	–7,045	–550	–7,228	360	–6,978	–611	–7,228
Government Office	1,282	–18,198	–3	–16,919	982	–17,976	75	–16,919
Ministry of Education and Research	170,957	–948,318	–1	–777,362	170,729	–948,661	571	–777,362
Ministry of Justice	54,499	–221,654	–6,271	–173,426	53,881	–222,662	–4,644	–173,426

	Indicators of the statement of financial performance				Indicators of the state budget implementation report			
	Income from operations	**Operating expenses**	**Financial income and expenses**	**Operating result**	**Revenue**	**Expenditure**	**Adjustments**	**Operating result**
Ministry of Defence	73,382	–1,085,256	–28,510	–1,040,385	44,066	–1,038,849	–45,602	–1,040,385
Ministry of Climate	728,051	–518,702	30,692	240,042	802,313	–503,078	–59,193	240,042
Ministry of Culture	49,258	–360,830	–506	–312,078	10,209	–363,883	41,596	–312,078
Ministry of Economic Affairs and Communications	519,850	–1,103,940	25,903	–558,187	383,023	–1,087,384	146,174	–558,187
Ministry of Regional Affairs and Agriculture	376,286	–857,542	3,939	–477,318	375,813	–562,950	–290,181	–477,318
Ministry of Finance	12,947,521	–7,940,941	12,392	5,018,972	13,055,029	–375,360	–7,660,698	5,018,972
Ministry of the Interior	62,257	–677,538	–45,039	–660,321	60,425	–559,115	–161,630	–660,321
Ministry of Social Affairs	5,077,167	–7,167,562	–79,900	–2,170,295	162,825	–7,469,996	5,136,877	–2,170,295
Ministry of Foreign Affairs	5,648	–114,917	–52	–109,320	5,585	–114,917	11	–109,320
Eliminations	–5,485,992	5,621,805	0	135,813	–190,641	–2,579,043	2,905,497	135,813
Total	**14,580,911**	**–15,446,713**	**–88,209**	**–954,011**	**14,934,959**	**–15,896,750**	**7,780**	**–954,011**

Differences in the state budget revenue and expenditure compared to the statement of financial performance are reflected in the sections of the state budget implementation report on the areas of government of the constitutional institutions, the Government of the Republic, the Government Office, and the ministries as adjustments similar to those presented in the consolidated part of the report. The differences in accounting policies are described in Part C of this Note 'Comparison of the items in the statement of financial performance and the consolidated part of the state budget implementation report'.

The figures for the area of government of the Ministry of Defence differ from those calculated in the consolidated state report, including differences in the figures reported in both the statement of financial performance and the state budget implementation. The Ministry of Defence proceeded from the moment of acquisition of ownership of the expenditure and acquisitions of non-current assets related to defence inventories and assets , however, during the preparation of the consolidated report of the state, it was found that in certain cases, as of the end of the year, the benefits and risks related to inventories and assets had not yet been transferred to the area of government of the Ministry of Defence, therefore, revenue, expenditure, and acquisitions of non-current assets (investments) are recognised in the corresponding amounts in the following year (see also explanations in Note a1 A).
reflected

Adjustment of the revenue and expenditure of the area of government of the Ministry of Defence in the state budget implementation report

	Indicators of the statement of financial performance				Indicators of the state budget implementation report			
	Income from operations	**Operating expenses**	**Financial income and expenses**	**Operating result**	**Revenue**	**Expenditure**	**Adjustments**	**Operating result**
2024								
Ministry of Defence	189,420	–1,160,446	–29,501	–1,000,527	177,777	–1,108,514	–69,790	–1,000,527
Adjustment	24,272	–144,751	0	–120,479	24,272	–144,751	0	–120,479
In the consolidated report of the state	213,692	–1,305,197	–29,501	–1,121,006	202,049	–1,253,265	–69,790	–1,121,006
2023								
Ministry of Defence	73,382	–1,085,256	–28,510	–1,040,385	44,066	–1,038,849	–45,602	–1,040,385
Adjustment	–24,272	167,175	0	142,903	–24,272	167,175	0	142,903

	Indicators of the statement of financial performance				Indicators of the state budget implementation report			
	Income from operations	Operating expenses	Financial income and expenses	Operating result	Revenue	Expenditure	Adjustments	Operating result
In the consolidated report of the state	49,110	–918,081	–28,510	–897,482	19,794	–871,674	–45,602	–897,482

Adjustment of the investments of the Ministry of Defence in the state budget implementation report

	2024	2023
Ministry of Defence	–524,775	–282,718
Adjustment	–16,954	22,696
In the consolidated report of the state	–541,730	–260,022
Incl. acquisition of non-current assets	–520,246	–371,896
Incl. change in prepayments	39,920	145,120
Incl. VAT expenses	–61,404	–33,245

3 Information on local governments

3.1 Balance sheet

In millions of euros

	Consolidated			Unconsolidated			Note
	31/12/2024	31/12/2023	31/12/2022	31/12/2024	31/12/2023	31/12/2022	
Assets							
Current assets							
Cash	512.6	457.1	432.6	263.8	241.4	241.1	
Financial investments	5.7	6.8	7.3	5.6	6.7	7.0	
Tax and fine receivables	189.0	167.9	157.7	189.0	167.9	157.7	b2
Other receivables and prepayments	159.6	194.6	172.5	91.6	124.8	109.2	b3
Inventories	19.5	18.5	17.9	0.5	0.6	0.5	
Total current assets	**886.4**	**844.9**	**788.0**	**550.5**	**541.4**	**515.5**	
Non-current assets							
Holdings in foundations and non-profit associations	0.0	0.0	0.0	42.1	39.0	38.0	b4
Holdings in subsidiaries and associates	190.5	188.0	99.6	533.2	517.3	434.8	b5
Financial investments	1.5	2.5	3.1	0.0	0.0	0.0	
Other receivables and prepayments	15.5	4.8	22.5	62.6	59.4	71.8	b3
Investment property	157.3	155.2	155.9	102.2	104.6	104.2	b6
Property, plant and equipment	6,002.4	5,854.0	5,654.0	4,070.9	3,952.2	3,773.4	b7
Intangible non-current assets	9.1	9.0	9.1	2.1	2.8	2.9	
Biological assets	1.8	1.8	1.8	1.8	1.8	1.8	
Total non-current assets	**6,378.1**	**6,215.3**	**5,946.0**	**4,814.9**	**4,677.1**	**4,426.9**	
Total assets	**7,264.5**	**7,060.2**	**6,734.0**	**5,365.4**	**5,218.5**	**4,942.4**	

	Consolidated			Unconsolidated			Note
	31/12/2024	31/12/2023	31/12/2022	31/12/2024	31/12/2023	31/12/2022	
Liabilities and net assets							
Current liabilities							
Trade payables	160.0	165.6	172.6	104.5	121.0	119.8	
Payables to employees	202.0	186.9	156.9	145.0	134.6	111.7	
Deferred taxes	89.6	82.8	72.4	63.5	59.7	51.0	
Other liabilities and prepayments received	59.3	71.8	54.4	75.7	59.6	47.0	b9
Provisions	4.3	2.2	1.5	0.1	0.4	0.6	
Loan liabilities	180.6	150.9	147.4	157.5	126.4	120.8	b10
Total current liabilities	**695.8**	**660.2**	**605.2**	**546.3**	**501.7**	**450.9**	
Non-current liabilities							
Loan liabilities	1,231.9	1,122.9	972.8	1,120.0	1,002.0	849.5	b10
Other liabilities and prepayments received	6.3	5.7	3.2	11.5	12.3	11.4	b9
Provisions	12.8	12.0	13.4	2.5	0.0	0.1	
Total non-current liabilities	**1,251.0**	**1,140.6**	**989.4**	**1,134.0**	**1,014.3**	**861.0**	
Total liabilities	**1,946.8**	**1,800.8**	**1,594.6**	**1,680.3**	**1,516.0**	**1,311.9**	
Net assets							
Minority shareholding	**3.0**	**2.8**	**3.1**	**0.0**	**0.0**	**0.0**	
Local governments Net assets							
Reserves	0.4	0.4	0.4	0.4	0.4	0.4	
Accumulated surplus or deficit	5,314.3	5,256.2	5,135.9	3,684.7	3,702.1	3,630.1	
Total net assets of local governments	**5,314.7**	**5,256.6**	**5,136.3**	**3,685.1**	**3,702.5**	**3,630.5**	
Total net assets	**5,317.7**	**5,259.4**	**5,139.4**	**3,685.1**	**3,702.5**	**3,630.5**	
Total liabilities and net assets	**7,264.5**	**7,060.2**	**6,734.0**	**5,365.4**	**5,218.5**	**4,942.4**	

3.2 Statement of financial performance

In millions of euros

	Consolidated		Unconsolidated		Note
	2024	2023	2024	2023	
Income from operations					
Tax revenue	1,969.0	1,776.7	1,969.0	1,776.7	b2
Grants received	1,035.7	1,130.0	925.2	993.5	b11
Goods and services sold	1,072.1	994.3	224.1	212.5	b12
Other income	38.8	36.5	33.2	31.1	b13
Total income from operations	**4,115.6**	**3,937.5**	**3,151.5**	**3,013.8**	
Operating expenses					
Labour costs	–2,121.0	–1,963.5	–1,524.8	–1,434.1	b14
Management expenses	–986.0	–999.8	–703.8	–730.1	b15
Grants awarded	–349.3	–312.1	–510.6	–420.8	b11
Depreciation and change in value of non-current assets	–347.3	–365.6	–226.7	–243.4	b16
Other expenditure	–222.6	–216.9	–176.8	–172.0	b17
Total operating expenses	**–4,026.2**	**–3,857.9**	**–3,142.7**	**–3,000.4**	
Operating result	**89.4**	**79.6**	**8.8**	**13.4**	
Financial income and expenditure					
Profit/loss from holdings	9.0	72.2	9.4	84.5	b4, b5
Interest expense	–59.5	–45.2	–52.0	–38.4	b10
Income from deposits and securities	10.6	7.0	5.0	4.7	
Other financial income	0.6	0.3	2.5	2.7	
Total financial income and expenses	**–39.3**	**34.3**	**–35.1**	**53.5**	
Corporate income tax	**–0.5**	**–1.5**	**0.0**	**0.0**	
Surplus or deficit of the reporting period	**49.6**	**112.4**	**–26.3**	**66.9**	
Incl. the share of local governments of surplus/deficit	**49.4**	**112.8**	**–26.3**	**66.9**	
Incl. the share of minority shareholding of surplus/deficit	**0.2**	**–0.4**			

3.3 Cash flow statement

In millions of euros

	Consolidated		Unconsolidated		Note
	2024	2023	2024	2023	
Cash flow from principal activities					
Operating result	**89.4**	**79.6**	**8.8**	**13.4**	
Depreciation and change in value of non-current assets	347.3	365.6	226.7	243.4	b16
VAT expense on acquisitions of non-current assets	66.0	73.7	60.9	63.6	b17
Profit/loss from non-current assets sold	–13.2	–11.4	–11.7	–10.2	b13
Government grants received for the acquisition of non-current assets	–107.7	–177.9	–93.9	–135.9	b11
Government grants awarded for the acquisition of non-current assets	15.9	13.9	84.9	45.0	b11
Total adjusted operating result	**397.7**	**343.5**	**275.7**	**219.3**	
Net change in current assets	–15.0	–10.8	–17.5	–3.9	
Net change in liabilities	14.1	43.0	6.8	34.4	
Total cash flows from principal activities	**396.8**	**375.7**	**265.0**	**249.8**	
Cash flows from investment activities					
Investments in non-current assets	–550.6	–616.8	–414.4	–473.7	b8
Capital gains from non-current assets sold	18.3	16.6	16.3	15.4	b6, b7, b3
Government grants received for the acquisition of non-current assets	104.9	150.2	89.3	115.3	
Government grants awarded for acquisition of non-current assets	–8.5	–13.0	–37.0	–45.1	
Paid upon the acquisition of holdings and end of controlling influence	0.0	–3.0	–15.9	–8.5	b4, b5
Received from the sale and liquidation of holdings	0.9	0.7	1.1	0.3	b4, b5
Dividends received	5.6	3.6	7.7	10.7	b5
Paid upon the acquisition of financial investments	–1.1	–0.5	0.0	0.0	
Received from the sale of financial investments	2.2	1.2	0.0	0.0	
Loans issued	–0.5	–0.6	–2.0	–0.1	
Repayments of loans received	0.4	1.9	7.7	13.3	
Interest received and other financial revenue	12.1	7.2	8.5	7.5	
Total cash flows from investment activities	**–416.3**	**–452.5**	**–338.7**	**–364.9**	
Cash flows from financing activities					
Loan liabilities received	327.0	309.3	313.7	294.3	b10
Repayments of loan liabilities	–192.2	–163.2	–165.4	–141.7	b10
Income tax paid on dividends	–0.5	–1.5	0.0	0.0	
Interest paid and other financial expenses	–59.3	–43.3	–52.2	–37.2	b10
Total cash flows from financing activities	**75.0**	**101.3**	**96.1**	**115.4**	
Net cash flows					
Cash and cash equivalents at the beginning of the period	457.1	432.6	241.4	241.1	
Cash and cash equivalents at the end of the period	512.6	457.1	263.8	241.4	
Change in cash and cash equivalents	**55.5**	**24.5**	**22.4**	**0.3**	

3.4 Statement of changes in net assets

In millions of euros

A. Consolidated report

	Net assets of local governments			Minority shareholding	Total	Note
	Cash reserve	Accumulated surplus or deficit	Total			
Balance as of 31/12/2022	**0.4**	**5,135.9**	**5,136.3**	**3.1**	**5,139.4**	
Revaluation of investment property		1.6	**1.6**		**1.6**	b6
Revaluation of property, plant and equipment		3.6	**3.6**		**3.6**	b7
Surplus or deficit of the reporting period		112.8	**112.8**	–0.4	**112.4**	
Total surplus or deficit of the reporting period	**0.0**	**118.0**	**118.0**	**–0.4**	**117.6**	
Holdings consolidated for the first time		0.2	**0.2**	0.1	**0.3**	
Receiving holdings from other general government sector entities		2.1	**2.1**		**2.1**	
Balance as of 31/12/2023	**0.4**	**5,256.2**	**5,256.6**	**2.8**	**5,259.4**	
Revaluation of investment property		0.9	**0.9**		**0.9**	b6
Revaluation of property, plant and equipment		7.8	**7.8**		**7.8**	b7
Surplus or deficit of the reporting period		49.4	**49.4**	0.2	**49.6**	
Total surplus or deficit of the reporting period	**0.0**	**58.1**	**58.1**	**0.2**	**58.3**	
Balance as of 31/12/2024	**0.4**	**5,314.3**	**5,314.7**	**3.0**	**5,317.7**	

B. Unconsolidated report

	Cash reserve	Accumulated surplus or deficit	Total	Note
Balance as of 31/12/2022	**0.4**	**3,630.1**	**3,630.5**	
Revaluation of investment property		1.6	**1.6**	b6
Revaluation of property, plant and equipment		3.3	**3.3**	b7
Surplus or deficit of the reporting period		66.9	**66.9**	
Total surplus or deficit of the reporting period	**0.0**	**71.8**	**71.8**	
Adjustment of the cost of holdings	0.0	0.2	**0.2**	
Balance as of 31/12/2023	**0.4**	**3,702.1**	**3,702.5**	
Revaluation of investment property		0.8	**0.8**	b6
Revaluation of property, plant and equipment		7.2	**7.2**	b7
Surplus or deficit of the reporting period		–26.3	**–26.3**	
Total surplus or deficit of the reporting period	**0.0**	**–17.4**	**–17.4**	
Adjustment of the cost of holdings		0.9	**0.9**	b4
Balance as of 31/12/2024	**0.4**	**3,684.7**	**3,685.1**	

3.5 Accounting methods and valuation principles

This additional information provides an overview of the financial position and results of local governments.

The list of local governments and the entities under their controlling influence and key financial indicators are provided in Note b1 to the report.

As of October 2017, there are 79 local governments in Estonia, and all of these are included in this report.

The consolidated report also includes foundations, non-profit associations and subsidiaries under the controlling influence of the local governments (333 entities; 341 entities in the comparable period).

The report is based on the data provided by the reporting entities in accordance with the public sector financial accounting and reporting guidelines. Reporting entities use accounting principles similar to those of the state (see 2.6. Accounting methods and valuation principles).

In the unconsolidated report, the data of local governments are presented on a consolidated line-by-line basis, with receivables, liabilities, revenue and expenditure between them eliminated. Holdings in foundations, non-profit associations and companies under controlling and significant influence are recognised at deemed cost.

In the consolidated report, the details of local governments are added to the data of the entities under their controlling influence on a line-by-line basis, and the assets, liabilities, net assets, revenue and expenditure between the entities covered by the report have been eliminated.

The report is presented in millions of euros.

3.6 Notes (b1–b21)

Note b1

Entities consolidated in the report

In millions of euros

A. Local governments

	Consolidated report										Unconsolidated report									
	31/12/2024		2024			31/12/2023		2023			31/12/2024		2024			31/12/2023		2023		
	Assets	Net assets	Income from operations	Operating expenses	Operating result	Assets	Net assets	Income from operations	Operating expenses	Operating result	Assets	Net assets	Income from operations	Operating expenses	Operating resut	Assets	Net assets	Income from operations	Operating expenses	Operating result
Total	**7,264.5**	**5,317.7**	**4,115.6**	**–4,026.2**	**49.6**	**7,060.2**	**5,259.4**	**3,937.5**	**–3,857.9**	**112.4**	**5,365.4**	**3,685.1**	**3,151.5**	**–3,142.7**	**–26.3**	**5,218.5**	**3,702.5**	**3,013.8**	**–3,000.4**	**66.9**
Eliminations	57.3	20.4	93.8	–93.1	3.4	64.1	80.1	91.4	–88.9	4.4	11.4	13.8	–48.2	50.7	2.3	9.0	10.8	–48.1	48.2	0.2
Harju County	**3,518.4**	**2,600.3**	**1,981.8**	**–1,923.5**	**48.5**	**3,371.8**	**2,501.6**	**1,908.3**	**–1,826.0**	**136.9**	**2,713.4**	**1,895.7**	**1,549.5**	**–1,565.7**	**–26.9**	**2,621.2**	**1,919.6**	**1,498.3**	**–1,466.9**	**101.8**
Anija Rural Municipality Government	32.4	24.7	15.8	–15.6	0.0	32.5	–24.8	15.1	–16.3	–1.6	19.1	11.6	14.6	–14.1	0.2	18.9	11.4	13.7	–14.6	–1.1
Harku Rural Municipality Government	138.5	107.7	54.2	–48.9	4.2	131.0	103.2	48.1	–45.6	1.7	100.1	72.5	48.8	–42.9	5.0	92.9	67.2	43.1	–39.9	2.4
Jõelähtme Rural Municipality Government	38.3	22.4	20.7	–21.8	–1.7	40.2	24.0	20.4	–21.8	–1.8	27.4	13.9	19.0	–20.0	–1.5	28.9	15.4	18.6	–19.8	–1.5
Keila Town Government	49.6	32.1	29.0	–28.0	0.4	48.7	31.7	28.1	–27.3	0.3	39.4	26.7	26.3	–25.7	0.4	37.7	26.2	25.9	–25.1	0.4
Kiili Rural Municipality Government	34.0	23.9	19.5	–19.6	–0.4	31.1	24.4	17.0	–17.2	–0.3	6.9	–2.4	18.1	–21.5	–3.7	7.1	1.3	15.8	–19.2	–3.5
Kose Rural Municipality Government	43.5	30.9	21.8	–21.7	–0.4	44.6	31.3	21.5	–22.6	–1.5	31.1	19.5	20.0	–21.5	–1.7	33.3	21.2	19.9	–20.9	–1.4
Kuusalu Rural Municipality Government	23.2	12.8	16.1	–16.4	–0.8	23.7	13.6	15.5	–15.6	–0.5	16.4	7.0	15.1	–15.2	–0.5	16.4	7.5	14.5	–14.4	–0.3

	Consolidated report										Unconsolidated report									
	31/12/2024		2024			31/12/2023		2023			31/12/2024		2024			31/12/2023		2023		
	Assets	Net assets	Income from operations	Operating expenses	Operating result	Assets	Net assets	Income from operations	Operating expenses	Operating result	Assets	Net assets	Income from operations	Operating expenses	Operating resut	Assets	Net assets	Income from operations	Operating expenses	Operating result
Loksa Town Government	10.2	5.9	5.7	−6.0	−0.5	10.2	6.1	5.7	−5.7	−0.1	8.2	4.3	5.4	−5.5	−0.3	8.1	4.4	5.5	−5.3	0.1
Lääne-Harju Rural Municipality Government	71.4	53.9	32.7	−33.2	−1.1	71.4	55.0	32.6	−32.7	−0.6	38.7	22.3	30.3	−30.3	−0.6	37.9	22.9	29.0	−29.8	−1.3
Maardu Town Government	62.5	54.2	32.6	−31.1	1.3	61.2	52.8	30.9	−31.8	−1.2	36.0	31.2	30.6	−29.5	1.0	35.4	30.1	29.4	−30.4	−1.1
Raasiku Rural Municipality Government	33.0	26.3	13.0	−12.4	0.4	33.2	25.7	12.4	−12.1	−0.1	27.1	20.4	13.0	−12.4	0.3	27.5	20.1	12.4	−12.1	0.1
Rae Rural Municipality Government	152.5	101.8	76.2	−75.6	−0.8	148.2	102.6	68.6	−73.8	−6.0	123.1	75.8	69.4	−70.0	−0.9	116.8	76.7	62.2	−69.1	−7.2
Saku Rural Municipality Government	106.9	59.1	36.4	−40.7	−5.8	98.0	64.9	34.1	−37.2	−3.9	68.1	24.6	32.1	−35.8	−4.9	57.8	29.5	29.9	−32.1	−2.8
Saue Rural Municipality Government	128.7	77.0	67.4	−63.6	1.9	121.5	74.6	60.7	−61.3	−2.0	82.4	32.3	63.6	−65.4	−3.9	80.8	35.8	57.5	−61.7	−5.8
Tallinn City Government	2,446.7	1,863.8	1,472.9	−1,426.1	48.0	2,337.3	1,817.0	1,433.5	−1,342.8	153.7	1,972.8	1,460.4	1,081.7	−1,098.6	−19.1	1,912.8	1,478.1	1,063.2	−1,016.5	123.9
Viimsi Rural Municipality Government	147.0	103.8	67.8	−62.8	3.8	139.0	99.5	64.1	−62.2	0.8	116.6	75.6	61.5	−57.3	3.3	108.9	71.8	57.7	−56.0	0.9
Hiiu County	**65.8**	**49.7**	**28.9**	**−26.6**	**1.6**	**64.6**	**48.1**	**26.5**	**−26.1**	**−0.2**	**49.0**	**33.5**	**26.4**	**−23.5**	**2.3**	**47.2**	**31.2**	**23.1**	**−24.5**	**−1.9**
Hiiumaa Rural Municipality Government	65.8	49.7	28.9	−26.6	1.6	64.6	48.1	26.5	−26.1	−0.2	49.0	33.5	26.4	−23.5	2.3	47.2	31.2	23.1	−24.5	−1.9
Ida-Viru County	**661.2**	**517.4**	**385.0**	**−383.9**	**−4.7**	**660.4**	**519.0**	**389.5**	**−374.9**	**8.7**	**424.1**	**310.1**	**248.4**	**−246.1**	**−1.7**	**424.6**	**311.7**	**258.7**	**−244.6**	**10.9**
Alutaguse Rural Municipality Government	46.5	44.1	18.0	−18.4	−0.2	46.8	44.2	18.4	−18.3	0.1	38.3	36.7	14.4	−14.2	0.1	38.2	36.5	14.5	−14.4	0.1

	Consolidated report										Unconsolidated report									
	31/12/2024		2024			31/12/2023		2023			31/12/2024		2024			31/12/2023		2023		
	Assets	Net assets	Income from operations	Operating expenses	Operating result	Assets	Net assets	Income from operations	Operating expenses	Operating result	Assets	Net assets	Income from operations	Operating expenses	Operating resut	Assets	Net assets	Income from operations	Operating expenses	Operating result
Jõhvi Rural Municipality Government	62.8	52.1	25.8	–26.6	–1.7	65.3	53.8	23.8	–25.4	–2.7	41.1	30.5	25.1	–25.8	–1.1	43.1	31.7	22.9	–24.6	–2.0
Kohtla-Järve Town Government	143.9	90.7	133.5	–134.8	–3.5	149.5	94.2	133.5	–128.6	2.7	50.8	17.2	57.9	–59.0	–2.5	55.8	19.6	59.4	–56.1	2.1
Lüganuse Rural Municipality Government	44.0	36.5	17.2	–17.1	–0.8	43.4	37.3	17.8	–18.7	–1.8	20.3	13.5	14.2	–14.2	–0.2	19.4	13.8	14.9	–15.8	–1.2
Narva City Government	260.7	210.0	139.3	–136.2	1.7	256.4	208.0	146.2	–132.5	12.6	198.8	154.2	94.2	–90.9	1.7	194.6	152.5	105.1	–90.6	13.5
Narva-Jõesuu Town Government	28.2	25.6	15.4	–14.4	1.0	24.7	22.2	13.6	–13.6	–0.1	17.1	15.1	11.9	–10.8	1.1	16.0	14.0	10.6	–10.5	0.1
Sillamäe Town Government	54.8	40.7	24.6	–25.0	–0.9	55.6	41.5	25.8	–26.6	–1.3	43.5	30.1	20.4	–20.5	–0.5	43.9	30.5	21.8	–22.5	–1.0
Toila Rural Municipality Government	20.3	17.7	11.2	–11.4	–0.3	18.7	17.8	10.4	–11.2	–0.8	14.2	12.8	10.3	–10.7	–0.3	13.6	13.1	9.5	–10.1	–0.7
Järva County	**178.7**	**144.8**	**72.2**	**–70.1**	**1.2**	**180.9**	**143.5**	**67.0**	**–70.3**	**–4.1**	**116.8**	**86.1**	**65.7**	**–65.8**	**–0.3**	**120.3**	**86.2**	**60.9**	**–63.3**	**–3.3**
Järva Rural Municipality Government	41.1	31.6	22.2	–22.4	–0.2	41.3	31.8	21.6	–22.8	–1.5	29.5	21.1	20.3	–20.4	0.5	29.2	20.6	19.6	–20.7	–1.3
Paide Town Government	85.3	73.7	26.7	–23.8	2.6	85.4	71.0	23.1	–24.0	–1.1	40.6	30.9	22.4	–21.9	0.3	42.7	30.5	19.4	–19.6	–0.4
Türi Rural Municipality Government	52.3	39.5	23.3	–23.9	–1.2	54.2	40.7	22.3	–23.5	–1.5	46.7	34.1	23.0	–23.5	–1.1	48.4	35.1	21.9	–23.0	–1.6
Jõgeva County	**140.6**	**100.9**	**68.2**	**–68.1**	**–1.4**	**139.7**	**101.5**	**63.2**	**–65.3**	**–3.1**	**87.3**	**53.0**	**58.6**	**–59.3**	**–1.1**	**86.9**	**54.1**	**54.1**	**–57.2**	**–4.2**
Jõgeva Rural Municipality Government	55.9	37.9	31.2	–31.0	–0.5	56.4	37.9	27.6	–29.4	–2.3	41.1	24.7	27.1	–27.1	–0.7	42.8	25.3	24.8	–26.6	–2.4

	Consolidated report										Unconsolidated report									
	31/12/2024		2024			31/12/2023		2023			31/12/2024		2024			31/12/2023		2023		
	Assets	Net assets	Income from operations	Operating expenses	Operating result	Assets	Net assets	Income from operations	Operating expenses	Operating result	Assets	Net assets	Income from operations	Operating expenses	Operating resut	Assets	Net assets	Income from operations	Operating expenses	Operating result
Mustvee Rural Municipality Government	23.3	17.5	11.7	−12.1	−0.6	23.3	17.7	11.5	−11.5	0.0	15.1	9.9	10.6	−10.9	0.3	14.4	9.7	10.2	−10.2	−0.2
Põltsamaa Rural Municipality Government	61.4	45.5	25.3	−25.0	−0.3	60.0	45.9	24.1	−24.4	−0.8	31.1	18.4	20.9	−21.3	−0.7	29.7	19.1	19.1	−20.4	−1.6
Lääne County	**113.6**	**81.1**	**50.3**	**−51.3**	**−2.4**	**116.8**	**83.6**	**49.5**	**−51.5**	**−3.1**	**78.4**	**50.6**	**45.4**	**−46.5**	**−2.3**	**80.8**	**52.7**	**43.9**	**−45.6**	**−1.2**
Haapsalu City Government	74.0	54.0	30.3	−31.6	−2.0	76.6	56.2	30.5	−32.1	−2.1	48.7	31.2	26.3	−27.2	−1.6	50.4	32.8	26.0	−27.1	−0.2
Lääne-Nigula Rural Municipality Government	35.9	23.9	18.2	−18.2	−0.6	36.8	24.5	17.5	−18.0	−1.1	26.0	16.2	17.3	−17.8	−0.9	27.0	17.0	16.4	−17.1	−1.1
Vormsi Rural Municipality Government	3.7	3.2	1.8	−1.5	0.2	3.4	2.9	1.5	−1.4	0.1	3.7	3.2	1.8	−1.5	0.2	3.4	2.9	1.5	−1.4	0.1
Lääne-Viru County	**297.3**	**234.7**	**152.9**	**−143.7**	**7.3**	**288.3**	**227.4**	**134.8**	**−137.0**	**−3.9**	**228.1**	**170.6**	**141.1**	**−131.8**	**7.8**	**217.8**	**162.5**	**122.1**	**−124.9**	**−4.1**
Haljala Rural Municipality Government	31.7	24.4	10.2	−10.2	−0.2	30.6	24.6	9.1	−10.1	−1.2	26.1	18.9	9.6	−9.3	0.1	24.7	18.8	8.5	−9.1	−0.8
Kadrina Rural Municipality Government	21.9	17.9	12.1	−12.0	0.0	22.5	18.0	11.1	−11.3	−0.3	16.4	12.8	11.0	−10.8	0.1	16.8	12.7	10.0	−10.1	−0.2
Rakvere Town Government	100.7	84.3	48.8	−38.1	10.2	92.6	74.0	36.1	−34.8	0.5	66.3	53.4	43.4	−33.1	10.1	57.8	43.4	29.5	−29.6	−0.4
Rakvere Rural Municipality Government	17.0	13.6	12.5	−12.2	0.1	17.4	13.5	12.5	−12.6	−0.1	17.0	13.6	12.5	−12.2	0.1	17.4	13.5	12.5	−12.6	−0.1
Tapa Rural Municipality Government	48.7	36.1	25.4	−26.2	−1.2	49.7	37.3	24.0	−25.5	−2.0	34.6	22.5	22.6	−23.3	−1.1	35.5	23.5	21.5	−22.7	−1.5

	Consolidated report										Unconsolidated report									
	31/12/2024		2024			31/12/2023		2023			31/12/2024		2024			31/12/2023		2023		
	Assets	Net assets	Income from operations	Operating expenses	Operating result	Assets	Net assets	Income from operations	Operating expenses	Operating result	Assets	Net assets	Income from operations	Operating expenses	Operating resut	Assets	Net assets	Income from operations	Operating expenses	Operating result
Vinni Rural Municipality Government	23.8	16.8	16.0	–16.1	–0.4	23.5	17.3	15.5	–15.9	–0.3	19.6	12.7	15.4	–15.6	–0.4	19.2	13.1	14.8	–15.4	–0.8
Viru-Nigula Rural Municipality Government	21.4	17.6	12.0	–13.3	–1.4	22.7	19.1	13.2	–12.2	0.9	19.0	15.2	11.8	–13.0	–1.3	20.1	16.5	13.0	–11.9	1.0
Väike-Maarja Rural Municipality Government	32.1	24.0	15.9	–15.6	0.2	29.3	23.6	13.3	–14.6	–1.4	29.1	21.5	14.8	–14.5	0.2	26.3	21.0	12.3	–13.5	–1.3
Pärnu County	**546.7**	**434.8**	**319.7**	**–304.2**	**12.5**	**505.8**	**408.5**	**296.5**	**–288.3**	**5.6**	**389.7**	**311.0**	**210.2**	**–201.3**	**7.8**	**365.2**	**302.9**	**191.1**	**–190.4**	**0.2**
Häädemeeste Rural Municipality Government	20.1	13.0	12.2	–12.8	–0.9	21.6	13.8	12.1	–11.1	0.8	16.2	11.0	11.9	–12.4	–0.7	17.3	11.6	11.1	–10.7	0.2
Kihnu Rural Municipality Government	3.8	3.4	1.8	–2.0	–0.2	4.1	3.7	1.6	–1.9	–0.4	3.8	3.4	1.8	–2.0	–0.2	4.1	3.7	1.6	–1.9	–0.4
Lääneranna Rural Municipality Government	34.4	28.3	13.4	–11.1	1.7	33.4	26.6	11.4	–10.8	–0.1	20.3	15.1	12.7	–13.0	–0.4	21.6	15.5	10.8	–10.2	0.5
Põhja-Pärnumaa Rural Municipality Government	29.2	22.2	19.2	–19.4	–0.5	29.5	22.6	18.3	–19.5	–1.4	23.8	17.0	18.5	–18.5	–0.2	23.9	17.2	17.8	–18.5	–0.9
Pärnu City Government	388.0	315.4	235.1	–221.4	12.6	344.5	288.9	213.1	–205.3	6.9	269.5	226.8	128.7	–119.5	9.3	241.8	217.4	112.8	–112.5	0.8
Saarde Rural Municipality Government	23.1	17.7	11.7	–11.3	0.2	22.0	17.4	11.3	–11.0	0.2	18.3	13.2	10.3	–9.7	0.4	17.1	12.7	9.9	–9.6	0.2
Tori Rural Municipality Government	48.1	34.8	26.3	–26.2	–0.4	50.7	35.5	28.7	–28.7	–0.4	37.8	24.5	26.3	–26.2	–0.4	39.4	24.8	27.1	–27.0	–0.2
Põlva County	**120.2**	**90.6**	**61.2**	**–60.1**	**0.2**	**119.2**	**90.2**	**56.4**	**–60.3**	**–4.1**	**84.5**	**60.4**	**53.9**	**–52.5**	**0.7**	**82.2**	**59.6**	**48.5**	**–53.2**	**–5.4**

	Consolidated report										Unconsolidated report									
	31/12/2024		2024			31/12/2023		2023			31/12/2024		2024			31/12/2023		2023		
	Assets	Net assets	Income from operations	Operating expenses	Operating result	Assets	Net assets	Income from operations	Operating expenses	Operating result	Assets	Net assets	Income from operations	Operating expenses	Operating resut	Assets	Net assets	Income from operations	Operating expenses	Operating result
Kanepi Rural Municipality Government	14.2	10.0	11.1	−10.3	0.7	13.1	9.2	9.7	−10.7	−1.1	13.1	9.0	11.1	−10.3	0.7	12.0	8.2	9.7	−10.7	−1.1
Põlva Rural Municipality Government	78.7	59.5	35.1	−35.0	−0.5	79.2	60.1	32.7	−34.2	−1.6	51.5	37.3	30.6	−30.4	−0.2	50.8	37.5	27.7	−29.6	−2.3
Räpina Rural Municipality Government	27.3	21.1	15.0	−14.8	0.0	26.9	20.9	14.0	−15.4	−1.4	19.9	14.1	12.2	−11.8	0.2	19.4	13.9	11.1	−12.9	−2.0
Rapla County	**179.0**	**130.0**	**83.4**	**−83.8**	**−2.6**	**179.7**	**132.5**	**79.8**	**−82.4**	**−4.3**	**120.7**	**75.7**	**77.7**	**−76.6**	**−0.3**	**118.7**	**76.0**	**74.7**	**−75.7**	**−2.2**
Kehtna Rural Municipality Government	22.8	18.7	13.4	−13.3	0.0	23.4	18.7	13.0	−12.9	0.1	19.3	15.4	12.5	−11.8	0.6	19.2	14.8	12.2	−11.6	0.4
Kohila Rural Municipality Government	56.5	40.9	19.5	−19.6	−0.7	56.8	41.5	17.8	−19.5	−2.2	26.7	13.5	18.3	−17.6	0.2	26.0	13.3	16.8	−17.5	−1.1
Märjamaa Rural Municipality Government	38.1	27.1	18.8	−18.8	−0.7	38.5	27.9	17.4	−18.1	−1.4	24.4	13.7	16.8	−16.6	−0.2	24.2	13.9	15.5	−16.1	−0.9
Rapla Rural Municipality Government	61.6	43.3	31.7	−32.1	−1.2	61.0	44.4	31.6	−31.9	−0.8	50.3	33.1	30.1	−30.6	−0.9	49.3	34.0	30.2	−30.5	−0.6
Saare County	**200.4**	**152.6**	**119.3**	**−115.5**	**2.5**	**196.7**	**149.9**	**108.6**	**−108.4**	**−0.6**	**141.2**	**104.3**	**81.4**	**−79.2**	**1.1**	**139.7**	**103.1**	**74.2**	**−73.8**	**−0.2**
Muhu Rural Municipality Government	7.6	6.9	4.7	−4.4	0.3	7.2	6.4	4.3	−4.2	0.1	7.4	6.7	4.7	−4.4	0.3	7.2	6.4	4.3	−4.2	0.1
Ruhnu Rural Municipality Government	2.4	2.3	0.8	−0.7	0.1	2.2	2.1	0.8	−0.7	0.2	2.2	2.1	0.8	−0.7	0.1	2.1	2.0	0.8	−0.7	0.2
Saaremaa Rural Municipality Government	190.4	143.4	113.8	−110.4	2.1	187.3	141.4	103.5	−103.5	−0.9	131.6	95.5	75.9	−74.1	0.7	130.4	94.7	69.1	−68.9	−0.5
Tartu County	**690.2**	**387.6**	**441.0**	**−451.7**	**−20.1**	**669.4**	**404.9**	**412.3**	**−428.1**	**−20.7**	**565.9**	**275.7**	**404.4**	**−416.5**	**−20.4**	**545.3**	**293.1**	**379.0**	**−399.2**	**−24.6**

	Consolidated report										Unconsolidated report									
	31/12/2024		2024			31/12/2023		2023			31/12/2024		2024			31/12/2023		2023		
	Assets	Net assets	Income from operations	Operating expenses	Operating result	Assets	Net assets	Income from operations	Operating expenses	Operating result	Assets	Net assets	Income from operations	Operating expenses	Operating resut	Assets	Net assets	Income from operations	Operating expenses	Operating result
Elva Rural Municipality Government	56.8	34.9	35.9	−36.2	−1.2	55.2	36.5	33.2	−35.4	−2.2	33.2	12.2	33.2	−33.4	−0.7	30.6	12.9	30.2	−32.4	−1.5
Kambja Rural Municipal Government	46.3	27.7	33.9	−34.1	−0.6	35.6	26.9	31.1	−30.9	0.2	44.5	26.0	32.7	−32.9	−0.6	33.8	25.2	30.0	−29.8	0.1
Kastre Rural Municipality Government	27.2	17.1	16.0	−16.3	−0.6	24.7	16.9	14.9	−14.8	0.0	22.9	12.9	14.8	−15.1	−0.6	20.4	12.6	13.9	−13.7	0.0
Luunja Rural Municipality Government	21.4	12.1	13.6	−12.5	0.7	22.2	11.4	12.8	−13.4	−0.9	17.4	8.1	13.3	−12.1	0.8	18.1	7.3	12.3	−13.4	−1.4
Nõo Rural Municipality Government	21.4	15.3	10.6	−10.7	−0.2	21.4	15.6	9.6	−10.2	−0.7	17.2	11.1	10.1	−10.1	−0.2	17.1	11.4	9.0	−9.7	−0.8
Peipsiääre Rural Municipality Government	18.6	12.4	12.7	−13.1	−0.7	19.0	12.9	11.9	−12.7	−0.9	15.1	9.1	11.0	−11.4	−0.7	15.6	9.7	10.4	−11.1	−0.9
Tartu City Government	443.5	239.0	284.5	−296.3	−17.8	440.0	256.6	267.1	−279.2	−15.8	375.9	181.3	256.4	−270.4	−19.4	373.3	200.6	242.3	−259.1	−20.4
Tartu Rural Municipality Government	55.0	29.1	33.8	−32.5	0.3	51.3	28.1	31.7	−31.5	−0.4	39.7	15.0	32.9	−31.1	1.0	36.4	13.4	30.9	−30.0	0.3
Viljandi County	**182.3**	**125.7**	**110.0**	**−108.4**	**−0.4**	**184.8**	**126.3**	**104.2**	**−106.0**	**−3.4**	**150.1**	**96.1**	**102.1**	**−100.4**	**−0.1**	**152.3**	**96.4**	**96.7**	**−98.0**	**−2.9**
Mulgi Rural Municipality Government	26.1	17.1	17.8	−17.3	0.2	26.1	17.0	16.9	−16.9	−0.3	21.6	13.2	15.8	−15.1	0.4	21.3	12.8	14.9	−14.9	−0.3
Põhja-Sakala Rural Municipality Government	41.6	32.2	21.0	−21.1	−0.4	43.0	32.7	20.5	−20.0	0.2	29.9	21.6	18.8	−18.8	−0.2	31.0	21.9	18.2	−17.4	0.5
Viljandi Town Government	64.2	42.5	41.3	−40.3	0.2	66.2	42.4	39.6	−40.5	−1.5	55.5	34.1	38.6	−37.8	0.1	57.7	34.1	37.1	−37.9	−1.4

	Consolidated report										Unconsolidated report									
	31/12/2024		2024			31/12/2023		2023			31/12/2024		2024			31/12/2023		2023		
	Assets	Net assets	Income from operations	Operating expenses	Operating result	Assets	Net assets	Income from operations	Operating expenses	Operating result	Assets	Net assets	Income from operations	Operating expenses	Operating resut	Assets	Net assets	Income from operations	Operating expenses	Operating result
Viljandi Rural Municipality Government	50.4	33.9	29.9	−29.7	−0.4	49.5	34.2	27.2	−28.6	−1.8	43.1	27.2	28.9	−28.7	−0.4	42.3	27.6	26.5	−27.8	−1.7
Valga County	**120.1**	**97.7**	**63.0**	**−60.7**	**1.7**	**122.0**	**96.0**	**62.3**	**−61.9**	**0.8**	**75.8**	**56.6**	**56.5**	**−53.5**	**2.2**	**76.1**	**54.4**	**56.0**	**−55.6**	**−0.1**
Otepää Rural Municipality Government	19.6	16.2	16.3	−16.2	0.0	20.2	16.2	15.2	−16.3	−0.8	15.6	13.1	14.2	−14.1	0.0	15.9	13.1	13.9	−13.8	0.0
Tõrva Rural Municipality Government	28.9	21.4	14.5	−13.7	0.5	28.9	20.9	13.6	−13.3	0.1	13.4	7.2	13.0	−12.0	0.7	12.5	6.5	11.6	−12.7	−1.2
Valga Rural Municipality Government	71.6	60.1	32.2	−30.8	1.2	72.9	58.9	33.5	−32.3	1.5	46.8	36.3	29.3	−27.4	1.5	47.7	34.8	30.5	−29.1	1.1
Võru County	**192.7**	**149.4**	**84.9**	**−81.5**	**2.3**	**196.0**	**146.3**	**87.2**	**−82.5**	**3.5**	**129.0**	**91.9**	**78.4**	**−74.7**	**2.6**	**131.2**	**88.2**	**80.6**	**−75.7**	**3.9**
Antsla Rural Municipality Government	19.3	15.4	10.6	−8.9	1.6	18.5	14.1	9.1	−8.5	0.5	17.4	13.6	10.6	−8.9	1.6	16.4	12.0	9.1	−8.5	0.5
Rõuge Rural Municipality Government	25.1	17.0	12.2	−11.5	0.5	25.8	16.5	11.6	−11.9	−0.6	24.4	16.4	11.8	−10.9	0.7	24.9	15.7	10.8	−11.2	−0.7
Setomaa Rural Municipality Government	11.4	7.4	8.1	−8.0	0.0	11.4	7.4	7.7	−8.1	−0.6	11.2	7.1	7.9	−7.7	0.0	11.0	7.1	7.3	−7.9	−0.7
Võru Town Government	93.5	69.8	29.3	−28.9	−0.3	96.6	69.1	31.8	−30.7	0.6	39.7	22.0	24.7	−24.3	−0.2	42.3	21.2	27.5	−26.0	1.0
Võru Rural Municipality Government	43.4	39.8	24.7	−24.2	0.5	43.7	39.2	27.0	−23.3	3.6	36.3	32.8	23.4	−22.9	0.5	36.6	32.2	25.9	−22.1	3.8

B. Holdings in foundations and non-profit associations

In the consolidated annual report, the following foundations and non-profit associations have been consolidated line-by-line with a holding rate of 100%:

	31/12/2024		2024			31/12/2023		2023		
	Assets	Net assets	Income from operations	Operating expenses	Operating result	Assets	Net assets	Income from operations	Operating expenses	Operating result
Total foundations and non-profit associations	**468.9**	**373.0**	**528.0**	**–509.5**	**17.8**	**452.9**	**351.3**	**500.0**	**–471.3**	**27.6**
Foundations and non-profit associations included in the general government sector	**460.0**	**367.2**	**509.8**	**–491.9**	**17.2**	**442.9**	**344.9**	**482.9**	**–454.3**	**27.6**
SA Ida-Viru Keskhaigla	72.2	53.0	75.1	–75.2	–0.3	72.3	53.3	73.5	–71.8	1.4
SA Pärnu Haigla	52.8	37.1	82.8	–80.0	2.7	51.2	34.4	77.7	–72.2	5.4
SA Tallinna Lastehaigla	29.9	24.0	49.0	–49.1	0.3	29.5	23.7	46.9	–43.8	3.2
Kiili Varahalduse SA	20.3	19.3	7.4	–3.9	3.4	17.5	15.8	6.7	–3.2	3.5
Narva Haigla SA	19.7	15.4	37.1	–36.9	0.2	19.2	15.2	34.9	–33.8	1.1
Veskimöldre Haridusmaja SA	19.5	19.3	6.8	–1.1	5.7	15.4	13.6	4.7	–0.7	4.0
Kuressaare Haigla SA	17.0	13.6	25.0	–24.4	0.7	15.2	12.1	21.9	–21.4	0.5
SA Tallinna Kultuurikatel	16.9	16.4	1.8	–2.1	–0.4	17.3	16.8	1.6	–2.0	–0.4
Raadi SA	9.8	6.7	1.0	–1.2	–0.4	10.7	7.1	0.8	–1.1	–0.5
MTÜ Põhja-Eesti Ühistranspordikeskus	9.7	5.2	40.4	–39.9	0.7	8.7	4.5	38.5	–38.3	0.2
SA Ida-Viru Investeeringute Agentuur	8.9	8.8	1.8	–1.8	0.0	8.6	8.6	1.0	–1.1	–0.1
SA Paide Spordikeskus	8.7	6.8	3.1	–0.7	2.3	5.4	3.4	0.5	–0.7	–0.2
SA Elva Kultuur	8.3	4.9	1.1	–1.3	–0.4	8.8	5.4	1.1	–1.3	–0.4
SA Hiiumaa Sadamad	6.5	6.4	0.4	–0.7	–0.3	6.9	6.7	1.0	–0.7	0.4
MTÜ Rakvere Haigla	6.4	6.4	0.0	0.0	0.0	6.4	6.4	0.0	0.0	0.0
SA Tallinna Haigla Arendus	6.1	5.8	1.9	–1.3	0.6	9.2	5.2	5.2	–3.3	1.9
MTÜ Pärnumaa Ühistranspordikeskus	5.4	2.9	15.3	–15.3	0.1	4.5	2.8	15.1	–15.1	0.0
Tallinna Ettevõtlusinkubaatorid SA	5.0	3.2	1.8	–1.5	0.3	3.1	2.9	1.3	–1.3	0.1
SA Märjamaa Valla Spordikeskus	4.6	4.5	0.4	–0.7	–0.2	4.8	4.7	0.4	–0.6	–0.2
SA Põltsamaa Tervis	4.6	2.5	2.8	–2.5	0.2	4.4	2.3	2.5	–2.3	0.1
Lääne-Saare Kultuurivara SA	4.1	4.1	0.1	–0.3	–0.1	4.3	4.2	0.1	–0.3	–0.2
SA Tallinna Lauluväljak	4.0	3.6	1.2	–1.4	–0.1	4.0	3.7	1.8	–1.4	0.3
SA Eesti Kaevandusmuuseum	3.9	3.9	0.5	–0.6	–0.2	4.1	4.0	0.4	–0.6	–0.2
SA Perekodu	3.5	3.1	2.9	–3.0	–0.1	3.5	3.1	2.5	–2.5	0.0
SA Võru Spordikeskus	3.3	2.6	0.9	–0.8	0.0	3.5	2.6	0.8	–0.7	0.1
SA Narva-Jõesuu Hooldekodu	3.1	2.7	3.1	–2.9	0.2	2.9	2.5	2.6	–2.6	0.0
Luunja Varahalduse SA	3.0	2.9	0.7	–0.8	–0.1	3.1	3.0	1.2	–0.9	0.2
MTÜ Mulgi Elamuskeskus	3.0	2.4	0.3	–0.3	–0.1	3.1	2.5	0.6	–0.4	0.2
MTÜ Võrumaa Omavalitsuste Liit	2.9	2.9	0.1	–0.1	0.0	3.0	2.9	0.2	–0.2	0.0
SA Tartu 2024	2.9	2.7	12.7	–12.1	0.6	2.3	2.1	5.0	–3.9	1.1
SA Paide Haldus	2.8	2.8	0.3	–0.5	–0.2	3.0	3.0	1.2	–1.5	–0.3
SA Tallinna Tehnika- ja Teaduskeskus	2.6	2.5	0.6	–0.7	–0.1	2.7	2.6	0.6	–0.6	0.0
SA Tartu Eluasemefond	2.6	2.1	0.2	–0.1	0.0	2.5	2.1	0.2	–0.1	0.0
SA Anija Mõisa Haldus	2.4	2.4	0.2	–0.4	–0.2	2.6	2.5	0.4	–0.5	0.0
SA Alutaguse Hoolekeskus	2.2	2.0	2.0	–2.0	0.0	2.2	2.0	1.8	–1.7	0.1
MTÜ Lõuna-Eesti Erihooldusteenuste Keskus	2.1	1.2	2.1	–2.0	0.1	2.1	1.1	2.0	–1.8	0.1
MTÜ Lääne-Viru Omavalitsuste Liit	2.0	0.6	2.2	–2.3	–0.1	0.9	0.8	1.6	–1.1	0.6
SA Ajakeskus Wittenstein	2.0	1.9	0.6	–0.7	–0.1	2.1	2.0	0.7	–0.9	–0.1

	31/12/2024		2024			31/12/2023		2023		
	Assets	Net assets	Income from operations	Operating expenses	Operating result	Assets	Net assets	Income from operations	Operating expenses	Operating result
Muhu Hooldekeskuse SA	1.9	1.8	0.9	−0.9	0.0	1.9	1.8	0.7	−0.7	0.0
SA Hiiu Maakonna Hooldekeskus Tohvri	1.9	1.8	1.3	−1.2	0.0	1.9	1.8	2.9	−1.2	1.7
SA Lõhavere Ravi- ja Hooldekeskus	1.9	1.8	1.5	−1.4	0.1	1.8	1.7	1.3	−1.3	0.1
SA Narva Linna Arendus	1.9	1.9	1.4	−1	0.4	1.5	1.0	0.7	−0.8	0
Hooldekodu Saaremaa Valss SA	1.8	1.7	3.1	−1.7	1.4	0.4	0.3	1.7	−1.5	0.2
SA Anija Valla Spordimaailm	1.8	1.8	0.4	−0.6	−0.2	2.0	1.9	0.5	−0.7	−0.1
SA Sillamäe Haigla	1.8	1.6	2.1	−2.0	0.2	1.6	1.4	1.8	−1.5	0.2
SA Rapla Spordirajatised	1.7	1.7	0.5	−0.5	0.0	1.8	1.7	0.4	−0.5	0.0
Harjumaa Omavalitsuste Liit	1.5	1.4	1.9	−2.0	−0.1	1.6	1.5	1.5	−1.2	0.3
Kuremaa Elamuskeskus SA	1.5	1.1	1.8	−1.4	0.3	0.9	0.8	0.7	−0.6	0.1
SA Mustvee Tervis	1.5	0.9	1.0	−1.0	−0.1	1.6	1.0	0.9	−1.0	−0.1
SA Mäetaguse Arengufond	1.5	1.5	0.0	0.0	0.1	1.4	1.4	0.0	0.0	0.0
SA Saadjärve	1.5	1.5	0.5	−0.6	−0.1	1.7	1.6	0.5	−0.6	−0.1
MTÜ Kuressaare Campus	1.4	1.4	0.1	−0.2	−0.1	1.5	1.5	0.1	−0.2	−0.1
MTÜ Pärnumaa Omavalitsuste Liit	1.4	1.3	1.2	−1.2	0.0	1.4	1.3	2.2	−1.2	1.0
SA Luunja Jõesadam	1.4	1.4	0.2	−0.2	0.0	1.4	1.4	0.5	−0.2	0.3
SA Võru Kannel	1.4	1.3	1.0	−1.0	0.1	1.3	1.3	1.0	−1.0	0.0
Vastseliina Piiskopilinnuse SA	1.4	1.4	0.6	−0.6	0.0	1.4	1.4	0.4	−0.4	0.0
SA Lääneranna Hoolekanne	1.3	0.7	0.8	−0.7	0.1	1.3	0.6	0.7	−0.7	−0.1
SA Otepää Tervisekeskus	1.3	1.1	1.5	−1.6	0.0	1.4	1.1	1.6	−1.6	0.0
SA Holstre-Polli Spordikeskus	1.2	1.1	0.6	−0.4	0.2	1.1	0.9	0.4	−0.4	0.0
SA Kuressaare Teater	1.2	0.8	0.7	−0.7	0.0	0.9	0.8	0.7	−0.8	−0.1
SA Taheva Sanatoorium	1.2	1.1	1.4	−1.3	0.0	1.2	1.1	1.3	−1.2	0.1
Võrumaa Arenduskeskus SA	1.2	0.1	3.0	−2.9	0.0	0.2	0.1	1.5	−1.4	0.1
Pannjärve Tervisespordikeskuse SA	1.1	1.0	0.5	−0.5	0.0	1.4	1.0	0.9	−0.5	0.4
SA Hooldekodu Härmalõng	1.1	0.9	1.4	−1.4	0.0	1.0	0.9	1.2	−1.2	0.0
SA Kalevipoja Koda	1.1	1.1	0.2	−0.2	−0.1	1.2	1.1	0.1	−0.3	−0.1
SA Põhja-Läänemaa Turismi- ja Spordi-objektide Halduskeskus	1.1	1.1	0.3	−0.2	0.2	1.1	0.9	0.7	−0.1	0.6
SA Põltsamaa Sport	1.1	1.1	0.6	−0.6	−0.1	1.2	1.1	0.6	−0.6	−0.1
SA Tartu Vaimse Tervise Hooldekeskus	1.1	0.8	2.7	−2.7	0.0	1.0	0.8	2.5	−2.4	0.0
SA Valgehobusemäe Suusa- ja Puhkekeskus	1.1	1.0	0.4	−0.5	−0.1	1.2	1.0	0.6	−0.5	0.0
MTÜ Ida-Virumaa Omavalitsuste Liit	1.0	0.1	0.9	−1.1	−0.1	1.4	0.2	0.6	−0.7	0.0
SA Peipsiveere Hooldusravikeskus	1.0	0.9	1.7	−1.7	0.0	1.0	0.8	1.4	−1.4	0.0
SA Rõngu Hooldekodu	1.0	0.7	1.6	−1.4	0.1	0.2	0.1	1.0	−0.9	0.1
Jõhvi Hooldekeskus SA	0.9	0.8	1.1	−1.1	0.0	1.0	0.8	1.1	−1.0	0.1
MTÜ Eesti Linnade ja Valdade Liit	0.9	0.7	2.1	−2.0	0.1	0.7	0.6	1.6	−2.2	−0.6
SA Harju Ettevõtlus- ja Arenduskeskus	0.9	0.5	0.7	−0.6	0.0	0.9	0.4	1.2	−1.2	0.0
SA Kilingi-Nõmme Tervise- ja Hool-duskeskus	0.9	0.7	1.5	−1.4	0.2	0.7	0.6	1.3	−1.1	0.2
SA Narva-Jõesuu Peremajad	0.9	0.9	0.2	−0.2	0.0	0.0	0.0	0.0	0.0	0.0
SA Räpina Sadamad ja Puhkealad	0.9	0.9	0.1	−0.1	0.0	0.0	0.0	0.1	−0.1	0.0
MTÜ Tartumaa Jäätmearendus	0.8	0.8	0.0	−0.1	−0.1	0.8	0.8	0.0	−0.1	−0.1
SA Tartumaa Turism	0.8	0.2	1.0	−1.0	0.0	0.3	0.2	1.0	−0.9	0.1
MTÜ Järvamaa Ühistranspordi Keskus	0.7	0.5	2.2	−2.2	0.0	0.7	0.5	2.4	−2.4	0.0

	31/12/2024		2024			31/12/2023		2023		
	Assets	Net assets	Income from operations	Operating expenses	Operating result	Assets	Net assets	Income from operations	Operating expenses	Operating result
SA Hiiumaa Arenduskeskus	0.7	0.4	0.8	−0.8	0.0	0.6	0.4	1.1	−1.1	0.0
SA Ida-Viru Ettevõtluskeskus	0.7	0.2	2.6	−2.5	0.0	0.7	0.1	2.4	−2.4	0.0
SA Järvamaa	0.7	0.6	1.0	−0.8	0.1	0.5	0.4	1.4	−1.0	0.4
SA Viljandimaa Arenduskeskus	0.7	−0.1	0.9	−1.0	0.0	0.3	0.0	0.8	−0.8	0.0
Tartumaa Ühistranspordikeskus MTÜ	0.7	0.1	8.6	−8.5	0.1	0.6	0.0	7.8	−7.9	−0.1
SA Kiviõli Tervisekeskus	0.6	0.3	1.8	−1.8	0.0	0.5	0.3	1.5	−1.5	0.0
SA RAEK	0.6	0.1	1.5	−1.5	0.0	0.1	0.0	0.5	−0.5	0.0
SA Tartu Kultuurkapital	0.6	0.4	0.2	−0.3	0.0	0.6	0.4	0.2	−0.3	−0.1
SA Valgamaa Arenguagentuur	0.6	0.5	1.0	−0.9	0.1	0.5	0.4	0.9	−0.8	0.0
MTÜ Ida-Viru Ühistranspordikeskus	0.5	0.0	7.4	−7.4	0.0	2.0	0.0	9.3	−7.7	1.5
MTÜ Kagu Ühistranspordikeskus	0.5	0.1	6.7	−6.7	0.0	1.1	0.1	7.6	−7.6	0.0
Narva Linnaelamu SA	0.5	0.2	1.7	−1.7	0.0	0.4	0.2	1.4	−1.4	0.0
SA A. H. Tammsaare Muuseum Vargamäel	0.5	0.4	0.2	−0.2	0.0	0.4	0.4	0.2	−0.2	0.0
SA Aarike Hooldekeskus	0.5	0.5	1.2	−1.2	0.0	0.5	0.5	1.0	−1.0	0.0
SA Iisaku Kihelkonna Muuseum	0.5	0.5	0.2	−0.2	0.0	0.5	0.4	0.2	−0.1	0.0
SA Mooste Mõis	0.5	0.5	0.3	−0.2	0.1	0.4	0.4	0.2	−0.2	0.1
SA Pärnumaa Arenduskeskus	0.5	0.2	1.3	−1.2	0.0	0.4	0.2	1.0	−0.9	0.0
SA Rannarahva Muuseum	0.5	0.4	0.6	−0.6	0.0	0.5	0.4	0.7	−0.6	0.1
SA Räpina Inkubatsioonikeskus	0.5	0.5	0.2	−0.3	0.0	0.5	0.5	0.7	−0.2	0.5
SA Sõmerpalu Hooldekodu	0.5	0.5	0.6	−0.7	0.0	0.5	0.5	0.6	−0.5	0.0
Tõstamaa Mõis SA	0.5	0.4	0.2	−0.2	0.0	0.5	0.4	0.1	−0.1	0.0
MTÜ Maakondlikud Arenduskeskused	0.4	0.2	2.2	−2.2	0.0	0.2	0.2	2.2	−2.7	−0.5
MTÜ Tartumaa Omavalitsuste Liit	0.4	−0.1	2.3	−2.4	−0.1	0.1	0.0	0.7	−0.8	−0.1
MTÜ Virumaa Laste ja Perede Tugikeskus	0.4	0.3	0.7	−0.7	0.0	0.4	0.3	0.7	−0.6	0.1
SA Abja Haigla	0.4	0.2	1.4	−1.4	0.0	0.4	0.2	1.3	−1.2	0.0
SA Läänemaa	0.4	0.2	0.9	−0.9	0.0	0.2	0.1	0.8	−0.8	0.0
MTÜ Jõgevamaa Ühistranspordikeskus	0.3	0.0	2.6	−2.6	0.0	0.9	0.0	3.1	−3.1	0.0
MTÜ Setomaa Liit	0.3	0.2	0.5	−0.5	0.0	0.3	0.2	0.4	−0.4	0.0
MTÜ Viljandimaa Ühistranspordikeskus	0.3	0.1	4.2	−4.2	0.0	0.2	0.0	4.2	−4.2	0.0
SA Kultuuri- ja Hariduskeskus Viimsi Artium	0.3	0.1	1.8	−1.9	−0.1	0.3	0.2	1.9	−1.8	0.1
SA Nõo Hooldekodu	0.3	0.3	0.6	−0.6	0.0	0.3	0.2	0.6	−0.6	0.0
SA Tartu Keskkonnahariduse Keskus	0.3	0.2	1.1	−1.1	0.0	0.3	0.2	1.1	−1.1	0.0
SA Valga Isamaalise Kasvatuse Püsiekspositsioon	0.3	0.3	0.3	−0.3	0.0	0.3	0.3	0.4	−0.3	0.1
Vaivara Kalmistud SA	0.3	0.2	0.5	−0.6	0.0	0.3	0.3	0.5	−0.5	0.0
Valgamaa Ühistranspordikeskus MTÜ	0.3	0.1	3.0	−3.0	0.0	0.3	0.0	3.0	−3.0	0.0
Huvitegevuse ja Noorsootöö SA	0.2	0.1	1.1	−1.0	0.0	0.2	0.1	1.0	−1.0	0.0
MTÜ Raplamaa Omavalitsuste Liit	0.2	0.1	0.8	−0.8	0.0	0.2	0.1	0.5	−0.5	0.0
MTÜ Valguskaabel	0.2	0.2	0.0	−0.1	−0.1	0.3	0.3	0.0	−0.1	−0.1
Põlvamaa Arenduskeskus SA	0.2	0.2	0.7	−0.7	0.1	0.1	0.1	0.8	−0.8	0.0
SA Haanjamaa Sport	0.2	0.2	0.1	−0.1	0.0	0.3	0.2	0.2	−0.2	0.0
SA Tartu Loomemajanduskeskus	0.2	0.1	0.7	−0.7	0.0	0.3	0.1	1.0	−1.0	0.0
SA Tartu Perekodu Käopesa	0.2	0.1	1.2	−1.1	0.0	0.2	0.1	1.1	−1.2	0.0
SA Tõstamaa Hooldekodu	0.2	0.2	0.8	−0.8	0.0	0.2	0.2	0.7	−0.6	0.0

	31/12/2024		2024			31/12/2023		2023		
	Assets	Net assets	Income from operations	Operating expenses	Operating result	Assets	Net assets	Income from operations	Operating expenses	Operating result
Türi Arengu SA	0.2	0.2	0.3	−0.4	0.0	0.2	0.2	0.4	−0.4	0.0
MTÜ Antsla Tervisekeskus	0.1	0.1	0.7	−0.7	0.0	0.2	0.1	0.6	−0.6	0.0
MTÜ Eesti Jäätmehoolduskeskus	0.1	0.1	0.3	−0.3	0.0	0.1	0.0	0.6	−0.7	0.0
MTÜ Mulgi Kultuuri Instituut	0.1	0.1	0.1	−0.1	0.0	0.1	0.1	0.1	−0.1	0.0
MTÜ Viljandimaa Omavalitsuste Liit	0.1	0.1	0.5	−0.5	0.0	0.1	0.1	0.5	−0.5	0.0
Pakri Saarte Arenduse SA	0.1	−0.1	0.0	0.0	0.0	0.1	−0.1	0.0	0.0	0.0
SA Alutagusemaa	0.1	0.1	0.2	−0.1	0.0	0.0	0.0	0.1	−0.1	0.0
SA Eesti Piimandusmuuseum	0.1	0.1	0.3	−0.3	0.0	0.1	0.1	0.3	−0.3	0.0
SA Illuka Arengufond	0.1	0.0	0.0	0.0	0.0	0.3	0.0	0.0	0.0	0.0
SA Juuru ja Hageri Kihelkonna Muuseum	0.1	0.1	0.2	−0.1	0.0	0.1	0.1	0.1	−0.1	0.0
SA Jõgevamaa Arendus- ja Ettevõtluskeskus	0.1	0.0	0.8	−0.8	0.0	0.1	0.0	0.7	−0.7	0.0
SA Kadrina Spordikeskus	0.1	0.0	0.4	−0.4	0.0	0.1	0.0	0.4	−0.4	0.0
SA Põlva Sport	0.1	0.1	0.1	−0.1	0.0	0.1	0.1	0.1	−0.1	0.0
SA Rõuge Jäähall	0.1	0.1	0.0	0.0	0.0	0.1	0.1	0.0	0.0	0.0
SA Saare Arenduskeskus	0.1	0.1	0.6	−0.6	0.0	0.1	0.1	0.5	−0.5	0.0
SA Tartu Ärinõuandla	0.1	0.1	0.4	−0.4	0.0	0.2	0.1	0.5	−0.6	0.0
SA Veriora Noortekas	0.1	0.1	0.1	−0.1	0.0	0.1	0.1	0.1	−0.1	0.0
SA Õpilasmalev	0.1	0.1	0.8	−0.8	0.0	0.1	0.1	0.8	−0.8	0.0
Vaivara Sinimägede SA	0.1	0.1	0.1	−0.1	−0.1	0.2	0.1	0.3	−0.2	0.1
Ääsmäe Kultuuri- ja Spordi SA	0.1	0.1	0.0	−0.1	0.0	0.1	0.1	0.1	−0.1	0.0
Other entities with total assets of less than 0.1 million euros (41 entities)	0.0	−0.1	5.0	−4.9	0.0	2.0	1.3	9.6	−10.0	−0.5
Non-government foundations	**8.9**	**5.8**	**18.2**	**−17.6**	**0.6**	**10.0**	**6.4**	**17.1**	**−17.0**	**0.0**
SA Tallinna Hambapolikliinik	6.0	4.3	13.7	−13.2	0.5	6.0	3.8	12.5	−12.5	0.0
MTÜ Lääne-Viru Jäätmekeskus	1.9	0.8	2.5	−2.4	0.1	1.8	0.7	2.4	−2.3	0.1
MTÜ Võru Jäätmekeskus	0.8	0.5	1.0	−1.0	0.0	0.5	0.4	1.1	−1.0	0
MTÜ Raplamaa Jäätmekäitluskeskus	0.1	0.1	0.4	−0.4	0.0	0.2	0.1	0.4	−0.4	0.0
SA Piusa	0.1	0.1	0.1	−0.1	0.0	0.1	0.1	0.1	−0.1	0.0
SA Alatskivi Loss	0.0	0.0	0.2	−0.2	0.0	0.0	0.0	0.1	−0.2	0.0
SA Keila Leht	0.0	0.0	0.1	−0.1	0.0	0.0	0.0	0.1	−0.1	0.0
SA Kõue Varahaldus	0.0	0.0	0.2	−0.2	0.0	1.4	1.3	0.4	−0.4	−0.1

Government entities grouped together into a single line: Haiba Lastekodu SA, Kuressaare Hambapolikliinik SA, MTÜ Järvamaa Omavalitsuste Liit, MTÜ Läänemaa Omavalitsuste Liit, MTÜ Põlvamaa Omavalitsuste Liit, MTÜ Rakvere Noorte Sport, MTÜ Saarte Geopark, MTÜ Südamaa Vabavald, MTÜ Valgamaa Omavalitsuste Liit, MTÜ Võru Noortekeskus, MTÜ Väikesaarte Liit, SA Alatskivi Tervisekeskus, SA Elva Laste- ja Perekeskus, SA Elva Teenused, SA Haapsalu Hoolekandekeskus, SA Hiiemäe Kurjuse Ohvrite Leinapark, SA Jõhvi Lennuväli, SA Kallaste Arendus, SA Kukruse Polaarmõis, SA Loksa Kultuur, SA Loksa Sport, SA Lääne-Viru Arenduskeskus, SA Maardu Teenused, SA Maidla Maja, SA Narva Sadam, SA Narva-Jõesuu Sadam, SA Raplamaa Omavalitsuste Arengufond, SA Rõuge Energiakeskus, SA Rõuge Valla Turism, SA Räpina Kultuurkapital, SA Sõmerpalu Teenuskeskus, SA Turvaline Saaremaa, SA Uderna Hooldekodu, SA Vara Sport, SA Võru Pensionäride Päevakeskus, SA Võsu Kuurort, SA Ülenurme Areng, Tallinna Vee-ettevõtjate Järelevalve SA, Tilsi Perekodu SA, Vääna Mõisakooli SA.

C. Subsidiaries

The following companies are consolidated line-by-line in the consolidated report:

31/12/2024		31/12/2024		2024			31/12/2023		2023		
	Share of holdings (%)	Assets	Equity capital	Income from operations	Operating expenses	Profit/loss	Assets	Equity capital	Income from operations	Operating expenses	Profit/loss
Total subsidiaries		**1,971.5**	**1,651.0**	**774.2**	**–710.0**	**59.5**	**1,907.1**	**1,577.4**	**707.8**	**–670.2**	**30.5**
Government subsidiaries		**817.5**	**652.5**	**591.1**	**–528.8**	**61.5**	**735.3**	**572.5**	**516.9**	**–481.7**	**32.9**
Tallinna Linnatranspordi AS	100	314.2	244.1	177.9	–129.3	48.0	267.1	196.0	136.4	–116.8	18.2
Lääne-Tallinna Keskhaigla AS	100	88.9	74.1	122.1	–118.1	4.9	84.4	69.2	116.9	–108.0	9.1
Ida-Tallinna Keskhaigla AS	100	77.7	46.8	178.0	–168.7	9.1	69.5	37.7	164.5	–156.7	7.4
OÜ Strantum	100	62.9	57.9	8.1	–8.8	–0.8	63.6	58.0	7.5	–8.0	–0.6
AS Lahevesi	100	36.2	35.2	2.7	–3.2	–0.6	37.2	35.8	3.9	–3.2	0.7
Viimsi Haldus OÜ	100	34.5	20.8	5.6	–5.3	0.0	33.1	17.8	5.4	–5.5	–0.4
AS Matsalu Veevärk	100	26	25.2	1.3	–2.4	–1.1	27.1	26.2	1.2	–2.5	–1.3
Keila Vesi AS	100	16.8	12.0	3.6	–3.4	0.0	0.0	0.0	0.0	0.0	0.0
Põltsamaa Vallavara OÜ	100	16.1	12.3	2.1	–1.2	0.9	14.8	11.4	1.8	–1.1	0.5
OÜ Tapa Vesi	100	15.9	15.5	1.5	–1.7	–0.2	16.1	15.7	1.2	–1.7	–0.5
AS Rakvere Haigla	100	15.0	12.3	23.5	–22.7	0.7	14.6	11.6	20.6	–20.8	–0.3
AS Põhja-Sakala Haldus	100	10.1	9.9	1.9	–2.2	–0.2	10.4	10.1	2.1	–2.4	–0.4
Laagri Haridus- ja Spordikeskus OÜ	100	9.2	7.8	7.4	–7.2	0.2	9.3	7.5	6.5	–6.6	–0.1
Alutaguse Haldus OÜ	100	9.1	8.7	1.5	–1.9	–0.5	9.6	9.2	1.8	–2.1	–0.3
Järvamaa Haigla AS	100	8.3	5.2	12.7	–13.2	–0.6	8.8	5.8	13.4	–13.1	0.3
OÜ Saarde Kommunaal	100	7.8	7.6	0.8	–1.1	–0.3	8.0	7.9	0.8	–1.1	–0.2
OÜ Kroodi Vesi	100	5.1	5.0	0.2	–0.4	–0.2	5.2	5.2	0.2	–0.5	–0.3
OÜ Mulgi Vallahaldus	100	5.0	4.6	0.6	–0.8	–0.2	2.7	2.4	0.5	–0.5	0.0
AS Narva-Jõesuu Kommunaal	100	4.0	3.7	1.6	–1.8	–0.2	5.8	5.5	1.5	–1.8	–0.3
Haapsalu Linnahooldus OÜ	100	3.8	3.4	0.9	–1.1	–0.2	4.1	3.6	1.3	–1.2	0.1
Lääneranna Haldus OÜ	100	3.7	2.5	2.5	0.0	2.5	0.0	0.0	0.0	0.0	0.0
OÜ Saue Spordirajatised	100	3.6	3.5	0.4	–0.6	–0.2	3.7	3.7	0.4	–0.6	–0.1
OÜ Keila Tervisekeskus	100	3.2	3.0	1.7	–1.5	0.2	3.1	2.5	1.2	–1.4	–0.2
SA Koeru Hooldekeskus	100	3.1	2.6	4.9	–4.4	0.4	2.6	2.1	1.4	–1.4	0
AS Maardu Elamu	100	3.1	2.8	2.1	–2.0	0.1	3.0	2.8	2.1	–2.0	0.2
OÜ Rõuge Kommunaalteenus	100	2.7	2.6	0.4	–0.5	–0.1	2.9	2.7	0.7	–0.5	0.2
Tõrva Tervisekeskus OÜ	100	2.7	1.9	1.2	–1.1	0.1	3.2	1.9	2.1	–0.9	1.2
OÜ OSK Grupp	100	2.6	2.1	2.0	–2.1	–0.1	2.6	2.2	1.8	–2.0	–0.1
OÜ Tartu Valla Haldus	100	2.6	1.3	2.0	–2.2	–0.2	1.8	1.4	2.1	–2.3	–0.2
OÜ Setomaa Haldus	100	2.4	2.4	0.4	–0.5	–0.1	2.6	2.4	0.7	–0.5	0.2
Räpina Haigla AS (group)	100	2.4	2.3	2.2	–2.2	0.0	2.4	2.3	2.0	–1.9	0.1
Taristuhaldus OÜ	100	1.9	1.9	0.3	–0.4	–0.1	2.0	2.0	0.3	–0.4	–0.1
OÜ Tallinna Perearstikeskus	100	1.8	1.3	3.9	–3.5	0.4	1.2	0.9	3.0	–2.7	0.3
Maali Üürimaja OÜ	51	1.7	0.2	0.1	–0.1	–0.1	1.7	0.2	0.1	–0.1	–0.1
OÜ Narva-Jõesuu Vesi	100	1.6	1.6	0.0	–0.1	0.0	0.0	0.0	0.0	0.0	0.0
OÜ Oru Kultuurisaal	100	1.6	1.6	0.1	–0.2	0.0	1.6	1.6	0.1	–0.1	0.0
Koksvere Maja OÜ	51	1.2	0.3	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Rannapere Pansionaat AS	100	1.1	0.9	1.5	–1.5	0.0	1.1	0.9	1.4	–1.4	0.1

31/12/2024		31/12/2024		2024			31/12/2023		2023		
	Share of holdings (%)	Assets	Equity capital	Income from operations	Operating expenses	Profit/loss	Assets	Equity capital	Income from operations	Operating expenses	Profit/loss
Karjaküla Sotsiaalkeskus OÜ	100	1.0	0.9	0.9	−0.8	0.1	1.0	0.9	0.8	−0.7	0.0
OÜ Lääne-Nigula Hooldekodud	100	1.0	0.5	0.3	0.0	0.2	0.8	0.2	0.0	0.0	0.0
Kuremaa Enveko OÜ	100	0.8	0.4	1.1	−1.2	−0.1	0.7	0.5	0.9	−1.0	−0.1
Kadrina Kommunaal OÜ	100	0.7	0.7	0.4	−0.4	0.0	0.7	0.7	0.5	−0.5	0.0
Valtu Spordimaja OÜ	100	0.7	0.5	0.2	−0.6	−0.3	0.8	0.8	0.4	−0.4	−0.1
Märjamaa Haigla AS	100	0.6	0.4	1.7	−1.7	0.0	0.6	0.4	1.5	−1.4	0.0
OÜ Vigala Hooldekodu	100	0.6	0.5	0.5	−0.5	0.0	0.5	0.5	0.5	−0.4	0.1
Jõgeva Sotsiaalkeskus Elukaar OÜ	100	0.5	0.5	1.0	−1.0	0.1	0.5	0.4	0.9	−0.9	0.0
Ülenurme Teed OÜ	100	0.5	0.4	1.0	−1.0	0.0	0.5	0.3	1.1	−1.1	0.0
Olme OÜ	100	0.4	0.2	0.7	−0.7	0.0	0.4	0.2	0.7	−0.7	0.0
Elva Varahalduse OÜ	100	0.3	0.2	0.8	−0.8	0.0	0.2	0.2	0.8	−0.8	0.0
OÜ Otepää Kommunaal	100	0.2	0.0	0.4	−0.3	0.0	0.2	0.0	0.4	−0.4	0.0
Väike-Maarja Tervisekeskus OÜ	100	0.2	0.1	0.6	−0.6	0.0	0.2	0.1	0.5	−0.5	0.0
Mustvee Haldus OÜ	100	0.1	0.1	0.3	−0.3	0.0	1.3	1.1	0.7	−0.5	0.2
OÜ Maardu Teenused	100	0.1	0.0	0.2	−0.2	0.0	0.0	0.0	0.0	0.0	0.0
Roela Soojus OÜ	100	0.1	0.1	0.2	−0.2	0.0	0.0	0.0	0.0	0.0	0.0
Tamsalu Perearstid OÜ	100	0.1	0.1	0.6	−0.6	0.0	0.0	0.0	0.0	0.0	0.0
Digisaar OÜ	100	0.0	0.0	0.1	−0.1	0.0	0.0	0.0	0.1	−0.1	0.0
Luunja Sport OÜ	100	0.0	0.0	0.2	−0.2	0.0	0.0	0.0	0.2	−0.2	0.0
OÜ Sõnumitooja	100	0.0	0.0	0.2	−0.2	0.0	0.0	0.0	0.0	0.0	0.0
Tallinna Linnahalli AS	0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	−0.3	−0.3
Urvaste Valla Veevärk OÜ	100	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Vastseliina Hambaravi OÜ	100	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Total non-government subsidiaries		**1,154.0**	**998.5**	**183.1**	**−181.2**	**−2.0**	**1,171.8**	**1,004.9**	**190.9**	**−188.5**	**−2.4**
AS Tartu Veevärk	100	109.2	69.3	15.6	−12.7	2.7	107.2	66.9	15.6	−12.6	2.9
Järve Biopuhastus OÜ (group)	100	82.6	66.9	9.2	−10.4	−1.8	81.5	68.7	9.1	−10.6	−2.0
Pärnu Vesi AS	100	71.0	67.2	8.8	−8.8	−0.1	57.4	53.5	7.9	−7.8	0.0
AS Emajõe Veevärk	100	60.9	56.4	6.2	−6.4	−0.3	57.5	55.4	7	−5.7	1.3
Narva Vesi AS	100	54.2	52.8	6.5	−7.2	−0.7	53.0	51.5	5.2	−7.1	−1.9
Võru Vesi AS	100	48.6	43.2	3.8	−3.8	−0.1	47.8	42.2	3.6	−3.9	−0.5
Saku Maja AS	100	46.2	41.7	5.2	−5.9	−0.9	47.4	42.6	5.2	−6.2	−1.1
Viimsi Vesi AS	100	38.9	37.3	4.2	−4.2	0.0	37.7	35.8	4.2	−4.0	0.1
Paide Vesi AS	100	37.1	35.3	3.4	−3.0	0.3	37.1	35.0	2.8	−2.9	−0.2
Kohila Maja OÜ	100	34.5	32.2	1.4	−2.1	−0.8	35.6	33.0	1.0	−2.0	−1.1
Rakvere Vesi AS	100	33.4	30.5	2.8	−2.7	−0.1	34.1	30.6	3.9	−2.7	1.0
Kuressaare Veevärk AS	100	33.0	30.6	4.0	−4.3	−0.4	33.2	30.6	2.9	−4.0	−1.1
Elveso AS	100	31.0	27.4	8.0	−6.7	1.2	33.0	27.4	8.4	−6.8	1.7
Kovek AS	100	26.8	26.2	3.0	−3.1	−0.1	26.7	26.3	2.7	−2.8	−0.1
Põlva Vesi AS	100	24.3	19.9	2.1	−2.3	−0.4	25.2	20.3	2.5	−2.2	0.1
AS Maardu Vesi	100	22.8	19.8	1.5	−1.0	0.4	22.2	19.4	1.0	−1.1	−0.2
Tallinna Jäätmete Taaskasutuskeskus AS	100	22.0	9.9	13.4	−13.3	0.0	23.0	9.9	14.6	−14.4	0.1

31/12/2024		31/12/2024		2024			31/12/2023		2023		
	Share of holdings (%)	Assets	Equity capital	Income from operations	Operating expenses	Profit/loss	Assets	Equity capital	Income from operations	Operating expenses	Profit/loss
Valga Vesi AS	100	21.6	20.7	1.9	−2.4	−0.6	22.3	21.3	2.0	−2.4	−0.5
Kuressaare Soojus AS	100	20.0	17.2	6.2	−6.2	−0.1	20.2	17.3	6.9	−6.1	0.8
Raven OÜ	100	19.0	18.0	1.6	−1.4	0.2	18.2	17.3	1.0	−1.4	−0.4
Põltsamaa Vesi OÜ	100	17.1	15.7	1.0	−1.6	−0.7	17.6	16.3	2.0	−1.9	0.1
Haapsalu Veevärk AS	100	16.8	16.1	2.3	−2.6	−0.4	17.2	16.4	2.1	−2.6	−0.5
Estonia Spa Hotels AS	100	15.2	6.8	10.6	−9.1	1.0	15.1	6.5	10.5	−9.2	0.8
Viljandi Veevärk AS	100	14.1	13.8	3.2	−3.1	0.1	13.7	13.5	3.2	−3.2	0.0
Loo Vesi OÜ	100	14.0	13.5	0.8	−1.0	−0.3	13.4	10.8	2.0	−2.2	−0.3
OÜ Kose Vesi	100	14.0	13.0	3.6	−2.1	1.5	12.2	11.0	2.0	−2.0	0.0
OÜ Tõrva Veejõud	100	14.0	13.5	0.8	−1.0	−0.3	14.5	13.7	1.2	−1.0	0.1
Jõgeva Veevärk OÜ	100	12.0	11.3	1.2	−1.3	−0.1	12.2	11.4	1.3	−1.2	0.0
Mako AS	100	12.0	11.8	0.8	−1.0	−0.2	12.3	12.0	0.5	−1.0	−0.5
Sillamäe Veevärk AS	100	11.9	10.0	1.6	−2.1	−0.6	12.6	10.6	1.6	−2.1	−0.5
Ramsi VK OÜ	100	11.1	10.4	0.7	−0.8	−0.1	10.5	9.3	0.6	−0.8	−0.2
Kiili KVH OÜ	100	9.9	9.3	1	−1.1	−0.2	10.2	9.5	0.9	−1.1	−0.2
OÜ Paikre	100	9.8	7.8	5.0	−4.6	0.4	9.5	7.4	4.9	−4.4	0.5
AS Tallinna Arendused	100	9.7	9.5	2.1	−1.6	0.5	9.3	9.0	2.3	−1.5	0.8
Kärdla Veevärk AS	100	9.1	8.8	0.6	−1.0	−0.3	9.2	9.2	0.7	−0.9	−0.2
AS Järva Haldus	100	8.1	7.2	1.4	−1.6	−0.1	8.2	7.4	1.5	−1.6	−0.2
Kuusalu Soojus OÜ	100	7.8	6.8	1.2	−1.4	−0.3	8.3	7.1	1.3	−1.4	−0.2
Kehtna Vesi OÜ	100	7.7	7.5	0.5	−0.8	−0.3	7.8	7.6	0.5	−0.9	−0.3
Haljala Soojus AS	100	7.1	6.9	0.8	−1.1	−0.3	7.4	7.2	0.8	−1.1	−0.4
Kadrina Soojus AS	100	6.1	5.7	1.0	−1.2	−0.2	6.3	5.8	1.0	−1.1	−0.1
OÜ Tartu Veekeskus	100	5.9	3.4	2.7	−2.5	0.1	6.0	3.3	2.7	−2.3	0.3
Rakvere Soojus AS	51	5.8	5.1	3.1	−2.8	0.3	5.5	4.8	3.2	−3.0	0.2
Rapla Vesi AS	100	5.5	4.3	1.3	−1.2	0.1	5.5	4.2	1.2	−1.0	0.2
Häädemeeste VK AS	100	5.4	3.4	0.4	−0.5	−0.3	5.6	3.5	1.2	−0.5	0.6
Türi Linnavara OÜ	100	5.2	5.1	0.4	−0.3	0.1	5.2	5.0	0.2	−0.3	−0.1
OÜ Pandivere Vesi	100	5.0	4.6	0.6	−0.6	−0.1	5.1	4.7	0.6	−0.6	−0.1
Haapsalu Linna Spordibaasid OÜ	100	4.8	3.8	2.2	−2.1	0.1	4.8	3.7	2.1	−2.1	0.0
Aseri Kommunaal OÜ	100	4.1	4.1	0.2	−0.3	−0.1	4.3	4.2	0.2	−0.3	−0.1
Põlva Soojus AS	100	3.9	3.2	2.2	−2.2	0.0	3.9	3.0	2.6	−2.6	0.0
Vekanor AS	100	3.4	3.1	0.6	−0.6	0.0	3.4	3.1	0.7	−0.7	0.0
Loksa Haljastus OÜ	100	2.8	2.5	0.4	−0.5	−0.1	2.9	2.6	0.3	−0.5	−0.2
OÜ Võru Tervisekeskus	100	2.8	2.8	0.1	−0.2	−0.1	2.9	2.9	0.1	−0.2	−0.1
Kiviõli Soojus AS	100	2.7	2.1	2.2	−2.2	0.0	2.5	2.1	2.1	−2.1	0.0
AS Tartu Turg	100	2.6	1.2	1.0	−0.9	0.1	2.7	1.1	1.0	−0.9	0.1
Otepää Veevärk AS	100	2.5	2.3	0.9	−0.9	0.0	4.2	3.4	1.0	−1.3	−0.3
OÜ Velko AV	100	2.1	2	1.2	−1.1	0.1	2.1	1.9	1.2	−1.3	−0.1
Revekor AS	100	2.1	1.7	1.3	−1.4	−0.1	2.3	1.8	1.7	−1.7	0.0
Voka Vara OÜ	52	2.0	0.6	0.6	−0.3	0.4	0.4	0.2	0.0	0.0	0.0
Elva Soojus OÜ	100	1.9	1.3	0.9	−0.9	−0.1	2.0	1.4	1.1	−1.1	0.0
OÜ MEHNTACK	100	1.9	1.7	0.8	−1.0	−0.2	2.0	1.8	1.0	−1.0	0.0
Kitsas 16 Kodu OÜ	51	1.7	0.1	0.1	−0.1	−0.1	1.7	0.1	0.1	−0.1	−0.1

31/12/2024		31/12/2024		2024			31/12/2023		2023		
	Share of holdings (%)	Assets	Equity capital	Income from operations	Operating expenses	Profit/loss	Assets	Equity capital	Income from operations	Operating expenses	Profit/loss
Vinni Spordikompleks AS	100	1.7	1.6	0.9	−0.8	0.1	1.7	1.5	1.2	−0.9	0.2
Haapsalu Linnamajanduse AS	100	1.5	0.8	0.5	−0.5	0.0	1.6	0.8	0.5	−0.5	0.0
Otepää Soojus OÜ	100	1.5	1.1	0.2	−0.2	0.0	0.0	0.0	0.0	0.0	0.0
OÜ Maardu Linnavarahooldus	100	1.4	0.9	2.1	−2.0	0.1	1.2	0.8	2.1	−2.0	0.2
Vaks OÜ	100	1.3	1.2	0.3	−0.3	0.0	1.5	1.3	0.3	−0.3	0.0
Tamsalu Kalor AS	100	1.2	1.1	0.9	−0.8	0.1	1.1	1.0	0.9	−0.9	0.0
OÜ Saaremaa Prügila	100	1.1	1.1	0.1	−0.2	−0.1	1.1	1.1	0.1	−0.2	0.0
Lääne-Nigula Varahaldus AS	100	0.9	0.8	0.7	−0.7	0.0	0.9	0.8	0.7	−1.0	−0.3
Lihula Soojus OÜ	100	0.8	0.7	0.3	−0.2	0.0	0.8	0.7	0.2	−0.2	0.0
SuFe OÜ	100	0.6	0.6	0.2	−0.2	0.0	0.6	0.6	0.2	−0.3	0.0
Hiiumaa Jäätmejaam OÜ	100	0.5	0.5	0.4	−0.5	0.0	0.6	0.5	0.3	−0.4	−0.1
Meke Sillamäe AS	100	0.5	0.3	1.2	−1.1	0.0	0.5	0.2	1.1	−1.1	0.0
Transservis-N AS	100	0.5	0.4	0.1	−0.3	−0.1	0.6	0.5	0.3	−0.3	0.0
Järvakandi Soojus OÜ	100	0.4	0.3	0.2	−0.2	0.0	0.4	0.3	0.2	−0.2	0.0
Lehe 5 Kodu OÜ	100	0.4	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
OÜ Narva Jäätmekäitluskeskus	100	0.4	0.3	0.9	−0.8	0.1	0.3	0.2	0.8	−0.8	0.0
Jõgeva Valla Perearstikeskus OÜ	100	0.2	0.1	0.6	−0.5	0.1	0.1	0.0	0.3	−0.3	0.0
Kenadron OÜ	100	0.1	0.1	0.1	−0.1	0.0	0.2	0.1	0.1	−0.1	0.0
Kuressaare Bussijaam OÜ	100	0.1	0.1	0.2	−0.2	0.0	0.1	0.1	0.2	−0.2	0.0
Lääne-Nigula Perearstikeskus OÜ	100	0.1	0.1	0.3	−0.2	0.1	0.1	0.1	0.1	−0.1	0.0
Mulgi Perearstikeskus OÜ	100	0.1	0.1	0.5	−0.5	0.0	0.2	0.1	0.5	−0.4	0.1
Subsidiaries grouped together into a single line (14 entities)		0.0	0.0	0.2	−0.3	0.0	35.4	28.7	8.1	−6.8	−0.4

Non-government entities grouped together into a single line (mainly reclassified, merged or sold to the general government sector):

Esku Maja OÜ, Iivakivi AS, Karjamõisa Maja OÜ, Keila Vesi AS, Koksvere Maja OÜ, OÜ Otepää Üürimajad, OÜ Pürolüüsitehas, OÜ Sõnumitooja, Roela Soojus OÜ, Sadama üürimaja OÜ, Setomaa Perearst OÜ, Sindi Vesi OÜ, Tallinna Soojus AS, Tamsalu Perearstid OÜ.

D. Local government holdings in associates

	Share of holdings (%)	Local government equity capital		
	31/12/2024	31/12/2024	31/12/2023	31/12/2023
Total		**190.5**	**188.0**	**99.6**
Tallinna Vesi AS	55.1	87.8	89.5	89.5
AS Utilitas Tallinn Soojus	33.3	90.2	85.9	0.0
Keila Alushariduse OÜ	34.0	0.2	0.2	0.2
AS Lõuna-Eesti Haigla (group)	49.0	5.6	5.3	4.0
AS Valga Haigla (group)	49.0	4.2	3.9	3.3

	Share of holdings (%)	Local government equity capital		
	31/12/2024	31/12/2024	31/12/2023	31/12/2023
AS Põlva Haigla	49.0	2.4	2.5	1.9
Väätsa Prügila AS	0.0	0.0	0.6	0.6
Other entities with equity capital less than 0.1 million euros		0.1	0.1	0.1

Grouped together into a single line: OÜ Küste, OÜ Saatse Pansionaat, Kihnu Põllumajanduse OÜ, Kihnu Majanduse OÜ, Team Paldiski OÜ, Pärnu Päikesepark 1 OÜ, Pärnu Päikesepark 2 OÜ, Pärnu Päikesepark 3 OÜ, Pärnu Päikesepark 4 OÜ, OÜ Aiasaaduste Väärinduskeskus. Majority holding in hospitals is owned by the state. In 2024, the holding in Väätsa Prügila AS was sold. In 2023, Tallinn City Government acquired 33.3% of the shares of AS Utilitas Tallinna Soojus through a non-monetary contribution of 100% with the shares of AS Tallinna Soojus (see Note b5).

Note b2

Taxes, state fees, fines

In millions of euros

A. Tax and fine receivables

	31/12/2024	31/12/2023	31/12/2022
Tax receivables	**185.1**	**164.0**	**154.0**
Personal income tax	183.7	162.8	152.7
Land tax	0.3	0.3	0.4
Local taxes	1.1	0.9	0.9
Incl. in gross amount	1.7	1.5	1.5
Incl. doubtful receivables	–0.6	–0.6	–0.6
Environmental charge receivables	**3.7**	**3.7**	**3.6**
Fine receivables	**0.2**	**0.2**	**0.1**
Incl. in gross amount	0.3	0.3	0.4
Incl. doubtful receivables	–0.1	–0.1	–0.3
Total tax and fine receivables	**189.0**	**167.9**	**157.7**

B. Revenue from taxes, state fees and fines

	Consolidated		Unconsolidated	
	2024	2023	2024	2023
Tax revenue	**1,969.0**	**1,776.7**	**1,969.0**	**1,776.7**
Personal income tax	1,889.3	1,698.7	1,889.3	1,698.7
Land tax	58.6	59.1	58.6	59.1
Local taxes	**21.1**	**18.9**	**21.1**	**18.9**
Parking charges	10.0	8.9	10.0	8.9
Advertising tax	8.1	7.7	8.1	7.7
Road and street closure fees	3.0	2.3	3.0	2.3
State fees (see Note b12)	**1.8**	**2.1**	**1.9**	**2.1**
Environmental charges (see Note b13)	**14.1**	**14.4**	**14.1**	**14.4**
Fees for mining rights	9.6	10.0	9.6	10.0
Fees for the special use of water	4.5	4.4	4.5	4.4
Pollution charges (see Note b13)	**0.7**	**0.4**	**0.7**	**0.4**

	Consolidated		Unconsolidated	
	2024	2023	2024	2023
Fines and other fines to the extent of asset (see Note b13)	**4.2**	**3.8**	**3.2**	**2.5**
Total revenue from taxes, state fees and fines	**1,989.8**	**1,797.4**	**1,988.9**	**1,796.1**

The Tax and Customs Board acts as the collector and remitter of income tax, land tax, and environmental charges. Local taxes, fees and fines imposed on the basis of the law are generally collected by local governments themselves. Tax receivables collected through an intermediary are recorded on the basis of the notifications submitted by the intermediary in the amounts likely to be received.

Note b3

Other receivables and prepayments

In millions of euros

	Consolidated			Unconsolidated		
	31/12/2024	31/12/2023	31/12/2022	31/12/2024	31/12/2023	31/12/2022
Short-term receivables and prepayments	**159.6**	**194.6**	**172.5**	**91.6**	**124.8**	**109.2**
Trade receivables	72.5	75.6	74.4	17.7	18.0	19.2
Incl. in gross amount	76.9	80.9	79.5	21.2	21.8	22.8
Incl. doubtful receivables	–4.4	–5.3	–5.1	–3.5	–3.8	–3.6
Loan receivables	0.2	0.2	1.9	7.2	7.3	8.4
Outstanding government grants	45.3	77.4	64.7	39.6	60.6	53.9
Other receivables	12.5	11.8	10.8	3.0	2.8	3.1
Prepaid and deferred taxes	18.4	19.2	11.4	13.7	14.6	6.8
Prepaid expenses	10.7	10.4	9.3	10.4	21.5	17.8
Long-term receivables and prepayments	**15.5**	**4.8**	**22.5**	**62.6**	**59.4**	**71.8**
Loan receivables	2.5	2.4	20.0	48.2	55.4	67.4
Other receivables and prepayments	13.0	2.4	2.5	14.4	4.0	4.4
Total receivables and prepayments	**175.1**	**199.4**	**195.0**	**154.2**	**184.2**	**181.0**

Of other long-term receivables, 10.6 million euros consists of a prepayment to AS Tallinna Vesi (in addition, a short-term prepayment of 1.5 million euros). In 2024, the City of Tallinn transferred stormwater facilities with a value of 13.0 million euros free of charge to AS Tallinna Vesi, recognising them as prepaid expenses to be expensed over the period of the management agreement between the City of Tallinn and AS Tallinna Vesi.

Note b4

Holdings in foundations and non-profit associations

In millions of euros

A. Consolidated report

The list of foundations and non-profit associations consolidated line-by-line is presented in Note b1 B.

B. Unconsolidated report

	Included in the general government sector	Not included in the general government sector	Total
Balance as of 31/12/2022	**34.3**	**3.7**	**38.0**
Reclassification	1.6	–1.6	0.0
Monetary contributions and payments	–0.1	0.0	–0.1
Non-monetary contributions and payments	–1.5	0.0	–1.5
Write-downs and reversals of write-downs	2.6	0.0	2.6
Balance as of 31/12/2023	**36.9**	**2.1**	**39.0**
Adjustment of the acquisition cost of holdings	0.9	0.0	0.9
Monetary contributions and payments	1.5	0.0	1.5
Non-monetary contributions and payments	1.7	–1.3	0.4
Write-downs and reversals of write-downs	0.1	0.2	0.3
Balance as of 31/12/2024	**41.1**	**1.0**	**42.1**

Note b5

Holdings in subsidiaries and associates

In millions of euros

A. Consolidated report

The list of subsidiaries consolidated line-by-line is provided in Note b1 C. The list of associates recognised using the equity method is provided in Note b1 D.

In 2023, the City of Tallinn participated in the establishment of the new company, AS Utilitas Tallinna Soojus, giving 100% of the shares of its subsidiary AS Tallinna Soojus as a non-monetary contribution and receiving 33.34% of the shares of AS Utilitas Tallinna Soojus. The value of the contribution was estimated at 77.8 million euros. Due to the transformation of the subsidiary into an associate, financial lease receivables decreased by 18.0 million euros, property, plant and equipment by 0.9 million euros, cash by 3.0 million euros and liabilities by 1.9 million euros, and profit on the transaction by 57.8 million euros.

Associates

	2024	2023
Balance at the beginning of the period	**188.0**	**99.6**
Dividends received	–5.6	–3.6
Received from sales	–0.9	0.0
Profit from sales	0.3	0.0
Profit by equity method	8.7	14.2
Non-monetary contributions and revaluation	0.0	77.8
Balance at the end of the period	**190.5**	**188.0**

B. Unconsolidated report

	Government subsidiaries	Non-government subsidiaries	Associates	Total
Balance as of 31/12/2022	**86.4**	**269.7**	**78.7**	**434.8**
Monetary contributions and payments	2.1	6.4	0.0	8.5
Non-monetary contributions and payments	0.0	–74.7	77.7	3.0
Profit on revaluation of non-monetary contribution	0.0	71.6	0.0	71.6
Proceeds from sales	0.0	–0.2	0.0	–0.2
Profit from sales	0.0	0.2	0.0	0.2
Reclassification	41.3	–41.3	0.0	0.0

	Government sub-sidiaries	Non-government subsidiaries	Associates	Total
Write-downs and reversals of write-downs	–0.6	0.0	0.0	–0.6
Balance as of 31/12/2023	**129.2**	**231.7**	**156.4**	**517.3**
Monetary contributions and payments	4.5	9.7	0.0	14.2
Non-monetary contributions and payments	–0.7	1.9	0.0	1.2
Profit on revaluation of non-monetary con-tribution	0.0	0.0	0.0	0.0
Proceeds from sales	0.0	0.0	–0.9	–0.9
Profit from sales	0.0	0.0	0.9	0.9
Reclassification	7.3	–7.3	0.0	0.0
Write-downs and reversals of write-downs	0.7	–0.2	0.0	0.5
Balance as of 31/12/2024	**141.0**	**235.8**	**156.4**	**533.2**

In 2023, the City of Tallinn established a new company, AS Utilitas Tallinna Soojus, together with OÜ Utilitas. The city acquired 33.34% of the company by making a non-monetary contribution in the form of shares in AS Tallinna Soojus, valued at 77.8 million euros. The value of the shares in the city's unconsolidated balance sheet before the transaction was 6.2 million euros, the profit from the revaluation of the contribution was 71.6 million euros.

Dividends on holdings

	2024	2023
From subsidiaries	2.1	7.1
From associates	5.6	3.6
Total dividend income	**7.7**	**10.7**

Note b6

Investment property

In millions of euros

	Consolidated		Unconsolidated	
	2024	2023	2024	2023
Balance at the beginning of the period	**155.2**	**155.9**	**104.6**	**104.2**
Cost	234.0	230.8	169.3	166.9
Accumulated depreciation	–78.8	–74.9	–64.7	–62.7
Total movements	**2.1**	**–0.7**	**–2.4**	**0.4**
Acquisitions and improvements (see Note b8)	0.3	2.1	0.3	2.1
Non-monetary government grants received and awarded	0.3	0.1	0.3	0.1
Depreciation and write-downs	–6.2	–7.9	–4.4	–6.1
Sales at selling price	–6.4	–5.4	–5.9	–4.7
Profit from sales	4.1	3.0	3.6	2.4
Changes related to acquisition and end of controlling influ-ence	0.0	0.3	0.0	0.0
Reclassification	9.1	5.5	2.9	5.0
Revaluation	0.9	1.6	0.8	1.6
Balance at the end of the period	**157.3**	**155.2**	**102.2**	**104.6**
Cost	240.9	234.0	169.4	169.3
Accumulated depreciation	–83.6	–78.8	–67.2	–64.7
Incl. leased under operating lease, carrying amount	63.4	64.7	56.4	57.6
Incl. pledged, carrying amount	8.2	6.7	0.3	0.1

	Consolidated		Unconsolidated	
	2024	2023	2024	2023
Revenue and expenditure				
Income from constituting the right of superficies, user fees, lease and rent	17.4	15.1	14.4	12.2
Administrative expenses of investment property	–4.9	–5.0	–3.7	–3.9

Note b7

Property, plant and equipment

In millions of euros

A. Consolidated report

	Land	Buildings and facilities	Plant and equipment	Other non-current assets	Work-in-progress and prepayments	Total
Balance as of 31/12/2022	**528.3**	**4,452.9**	**352.0**	**55.3**	**265.5**	**5,654.0**
Cost	528.3	7,426.7	726.3	114.0	265.5	9,060.8
Accumulated depreciation		–2,973.8	–374.3	–58.7		–3,406.8
Total movements 2023	**5.1**	**169.2**	**–1.5**	**0.0**	**27.2**	**200.0**
Acquisitions and improvements (see Note b8)	3.4	75.3	30.5	4.2	445.9	559.3
Non-monetary government grants received	2.3	2.5	1.1	0.1	0.0	6.0
Depreciation and write-downs	0.0	–283.0	–56.6	–12.5	–3.2	–355.3
Sales at selling price	–6.9	–3.3	–0.8	0.0	0.0	–11.0
Profit from sales	6.4	1.5	0.5	0.0	0.0	8.4
Changes due to acquisition and end of controlling influence	–1.1	0.0	0.0	0.0	–4.2	–5.3
Non-monetary contributions and payments	0.0	1.8	0.0	0.0	0.0	1.8
Non-monetary government grants awarded	0.0	–0.3	0.0	0.0	–0.1	–0.4
Revaluation	2.4	1.2	0.0	0.0	0.0	3.6
Reclassification	–1.4	373.5	23.8	8.2	–411.2	–7.1
Balance as of 31/12/2023	**533.4**	**4,622.1**	**350.5**	**55.3**	**292.7**	**5,854.0**
Cost	533.4	7,789.9	729.4	107.5	292.7	9,452.9
Accumulated depreciation		–3,167.8	–378.9	–52.2		–3,598.9
Average depreciation rate (%)		**3.7%**	**7.8%**	**11.3%**		
Incl. leased under the finance lease terms, carrying amount		43.8	19.2	0.0	0.0	63.0
Incl. leased under operating lease, carrying amount	2.7	112.7	1.0	0.2	0.0	116.6
Incl. pledged, carrying amount	5.8	194.6	1.5	0.0	0.0	201.9
Total movements 2024	**15.1**	**131.0**	**42.7**	**5.8**	**–46.2**	**148.4**
Acquisitions and improvements (see Note b8)	2.7	40.2	36.1	4.0	414.1	497.1
Non-monetary government grants received	6.5	2.8	0.1	0.1	0.1	9.6
Depreciation and write-downs	–0.2	–275.2	–53.5	–8.6	–1.3	–338.8
Sales at selling price	–7.9	–15.8	–1.0	0.0	0.0	–24.7
Profit from sales	7.1	1.2	0.8	0.0	0.0	9.1
Non-monetary government grants awarded	–0.3	–1.3	0.0	0.0	–0.4	–2.0
Revaluation	6.5	1.3	0.0	0.0	0.0	7.8
Reclassification	0.7	377.8	60.2	10.3	–458.7	–9.7

	Land	Buildings and facilities	Plant and equipment	Other non-current assets	Work-in-progress and prepayments	Total
Balance as of 31/12/2024	**548.5**	**4,753.1**	**393.2**	**61.1**	**246.5**	**6,002.4**
Cost	548.5	8,039.0	793.3	118.2	246.5	9,745.5
Accumulated depreciation		–3,285.9	–400.1	–57.1		–3,743.1
Average depreciation rate (%)		**3.5%**	**7.0%**	**7.6%**		
Incl. leased under the finance lease terms, carrying amount	0.0	58.0	10.7	0.0	0.0	68.7
Incl. leased under operating lease, carrying amount	8.7	116.6	1.7	0.1	0.0	127.1
Incl. pledged, carrying amount	3.0	170.5	1.1	0.0	0.0	174.6

B. Unconsolidated report

	Land	Buildings and facilities	Plant and equipment	Other non-current assets	Work-in-progress and prepayments	Total
Balance as of 31/12/2022	**499.3**	**2,985.9**	**49.4**	**47.4**	**191.4**	**3,773.4**
Cost	499.3	5,311.0	117.5	91.1	191.4	6,210.3
Accumulated depreciation		–2,325.1	–68.1	–43.7		–2,436.9
Total movements 2023	**7.2**	**124.1**	**5.9**	**–0.3**	**41.9**	**178.8**
Acquisitions and improvements (see Note b8)	3.1	67.6	7.8	3.2	337.9	419.6
Non-monetary government grants received	2.3	1.9	0.1	0.0	0.0	4.3
Depreciation and write-downs	0.0	–212.9	–11.4	–10.5	–1.7	–236.5
Sales at selling price	–6.6	–3.7	–0.3	0.0	0.0	–10.6
Profit from sales	6.1	1.4	0.3	0.0	0.0	7.8
Non-monetary government grants awarded	0.0	–2.7	0.0	0.0	–0.2	–2.9
Non-monetary contributions and payments	–0.1	–1.0	0.0	0.0	0.0	–1.1
Revaluation	2.2	1.1	0.0	0.0	0.0	3.3
Reclassification	0.2	272.4	9.4	7.0	–294.1	–5.1
Balance as of 31/12/2023	**506.5**	**3,110.0**	**55.3**	**47.1**	**233.3**	**3,952.2**
Cost	506.5	5,569.8	119.4	85.9	233.3	6,514.9
Accumulated depreciation		–2,459.8	–64.1	–38.8		–2,562.7
Average depreciation rate (%)		**3.9%**	**9.6%**	**11.9%**		
Incl. leased under the finance lease terms, carrying amount	0.0	53.9	1.5	0.0	0.0	55.4
Incl. leased under operating lease, carrying amount	4.6	89.5	0.4	0.3	0.0	94.8
Incl. pledged, carrying amount	2.5	11.6	0.0	0.0	0.0	14.1
Total movements 2024	**14.6**	**126.4**	**15.0**	**5.1**	**–42.4**	**118.7**
Acquisitions and improvements (see Note b8)	2.4	39.0	5.2	2.5	298.9	348.0
Non-monetary government grants received	6.5	2.4	0.0	0.1	0.1	9.1
Depreciation and write-downs	–0.2	–204.1	–9.0	–7.0	–1.2	–221.5
Sales at selling price	–7.7	–15.5	–0.1	0.0	0.0	–23.3
Profit from sales	7.0	1.0	0.1	0.0	0.0	8.1
Non-monetary government grants awarded	–0.3	–4.6	–0.3	–0.1	–0.7	–6.0
Non-monetary contributions and payments	0.0	–0.3	0.3	0.0	0.0	0.0
Revaluation	6.4	0.8	0.0	0.0	0.0	7.2

	Land	Buildings and facilities	Plant and equipment	Other non-current assets	Work-in-progress and prepayments	Total
Reclassification	0.5	307.7	18.8	9.6	–339.5	–2.9
Balance as of 31/12/2024	**521.1**	**3,236.4**	**70.3**	**52.2**	**190.9**	**4,070.9**
Cost	521.1	5,756.3	139.9	95.5	190.9	6,703.7
Accumulated depreciation		–2,519.9	–69.6	–43.3		–2,632.8
Average depreciation rate (%)		**3.6%**	**6.9%**	**7.7%**		
Incl. leased under the finance lease terms, carrying amount	0.0	67.8	1.2	0.0	0.0	69.0
Incl. leased under operating lease, carrying amount	9.1	91.6	0.4	0.2	0.0	101.3

Note b8

Acquisition of property, plant and equipment and intangible non-current assets and investment property by area of activity

In millions of euros

	Consolidated		Unconsolidated	
	2024	2023	2024	2023
Education	148.5	154.1	136.3	145.6
Transport	138.7	139.3	82.0	125.8
Other	28.9	26.3	14.0	16.4
Water supply	28.8	33.2	0.8	1.0
Other housing and utilities	24.2	29.6	20.1	21.8
Leisure time, culture, religion	83.1	92.5	76.2	87.0
Environmental protection	12.7	18.8	6.8	9.2
Health care	22.7	54.7	0.7	2.5
Social protection	3.8	6.8	3.3	6.2
General government sector services	7.0	6.9	6.9	5.5
Public order and security	1.4	1.2	1.3	1.2
Total non-current assets acquired	**499.8**	**563.4**	**348.4**	**422.2**

In the consolidated cash flow statement, the acquisition of non-current assets has been adjusted for an increase in trade payables by 1.4 million euros (an increase of 4.0 million euros in 2023).

In the unconsolidated cash flow statement, the acquisition of non-current assets has been adjusted by a decrease in trade payables in the amount of 9.2 million euros (an increase of 4.9 million euros in 2023).

For non-monetary transactions, the adjustments affecting the cash flow statement are also recognised in Notes b11 (acquisitions from finance lease transactions) and b12 (acquisitions through government grants where the cash was transferred directly to the supplier).

In the cash flow statement, acquisition of non-current assets includes VAT expense on acquisitions of non-current assets (see Note b17).

Note b9

Other liabilities and prepayments received

In millions of euros

	Consolidated			Unconsolidated		
	31/12/2024	31/12/2023	31/12/2022	31/12/2024	31/12/2023	31/12/2022
Other short-term liabilities and prepayments received	**59.3**	**71.8**	**54.4**	**75.7**	**59.6**	**47.0**
Interest payable	3.0	3.3	1.8	2.0	2.3	1.1
Other accruals	1.0	0.5	0.4	0.3	0.0	0.1
Government grant liabilities	11.0	6.4	3.7	40.6	10.2	6.7
Other liabilities	7.5	8.7	6.9	5.8	5.8	4.6
Prepayments for government grants	29.3	44.6	33.3	24.2	39.1	31.7
Other deferred income	7.5	8.3	8.3	2.8	2.2	2.8
Non-current liabilities and pre-payments received	**6.3**	**5.7**	**3.2**	**11.5**	**12.3**	**11.4**
Government grant liabilities	0.0	0.0	0.0	7.1	8.7	10.6
Trade payables	4.0	3.5	1.7	3.2	2.5	0.4
Other liabilities	0.8	0.8	0.9	0.1	0.0	0.0
Deferred income	1.5	1.4	0.6	1.1	1.1	0.4
Total other liabilities and prepay-ments received	**65.6**	**77.5**	**57.6**	**87.2**	**71.9**	**58.4**

Note b10

Loan liabilities

In millions of euros

A. Consolidated report

A1. Loan liabilities by residual term

	Bonds	Loans	Finance lease	Total
Balance as of 31/12/2022	**45.9**	**1,006.8**	**67.5**	**1,120.2**
Up to 1 year	10.1	129.2	8.1	147.4
1 to 5 years	16.5	489.5	17.8	523.8
More than 5 years	19.3	388.1	41.6	449.0
Balance as of 31/12/2023	**35.8**	**1,168.5**	**69.5**	**1,273.8**
Up to 1 year	9.9	132.1	8.9	150.9
1 to 5 years	7.5	573.7	16.9	598.1
More than 5 years	18.4	462.7	43.7	524.8
Balance as of 31/12/2024	**26.0**	**1,325.4**	**61.1**	**1,412.5**
Up to 1 year	2.2	172.5	5.9	180.6
1 to 5 years	6.3	608.7	17.4	632.4
More than 5 years	17.5	544.2	37.8	599.5

A2. Movements in loan liabilities and interest expense

	Bonds	Loans	Finance lease	Total
Balance as of 31/12/2022	**45.9**	**1,006.8**	**67.5**	**1,120.2**
Received	0.0	309.3	11.2	**320.5**
Repayment	–10.1	–143.9	–9.2	**–163.2**

	Bonds	Loans	Finance lease	Total
Change due to acquisition and end of controlling influence	0.0	–3.7	0.0	**–3.7**
Balance as of 31/12/2023	**35.8**	**1,168.5**	**69.5**	**1,273.8**
Received	0.0	327.0	3.9	**330.9**
Repayment	–9.8	–170.1	–12.3	**–192.2**
Balance as of 31/12/2024	**26.0**	**1,325.4**	**61.1**	**1,412.5**
Interest expense 2023	–1.5	–41.3	–2.0	–44.8
Average interest rate (%)	3.7%	3.8%	2.9%	3.7%
Interest expense 2024	–1.3	–55.2	–2.6	–59.1
Average interest rate (%)	4.2%	4.4%	4.0%	4.4%

B. Unconsolidated report

B1. Loan liabilities by residual term

	Bonds	Loans	Finance lease	Total
Balance as of 31/12/2022	**45.7**	**866.9**	**57.7**	**970.3**
Up to 1 year	9.9	107.6	3.3	120.8
1 to 5 years	16.5	413.3	11.7	441.5
More than 5 years	19.3	346.0	42.7	408.0
Balance as of 31/12/2023	**35.8**	**1,033.1**	**59.5**	**1,128.4**
Up to 1 year	9.9	112.9	3.6	126.4
1 to 5 years	7.5	488.5	11.3	507.3
More than 5 years	18.4	431.7	44.6	494.7
Balance as of 31/12/2024	**26.0**	**1,197.6**	**53.9**	**1,277.5**
Up to 1 year	2.2	151.6	3.7	157.5
1 to 5 years	6.3	533.3	11.8	551.4
More than 5 years	17.5	512.7	38.4	568.6

B2. Movements in loan liabilities and interest expense

	Bonds	Loans	Finance lease	Total
Balance as of 31/12/2022	**45.7**	**866.9**	**57.7**	**970.3**
Received	0.0	294.3	5.5	**299.8**
Repayment	–9.9	–128.1	–3.7	**–141.7**
Balance as of 31/12/2023	**35.8**	**1,033.1**	**59.5**	**1,128.4**
Received	0.0	313.7	0.9	**314.6**
Repayment	–9.8	–149.2	–6.5	**–165.5**
Balance as of 31/12/2024	**26.0**	**1,197.6**	**53.9**	**1,277.5**
Interest expense 2023	–1.5	–35.3	–1.6	–38.4
Average interest rate (%)	3.7%	3.7%	2.7%	3.7%
Interest expense 2024	–1.3	–48.5	–2.2	–52.0
Average interest rate (%)	4.2%	4.3%	3.9%	4.3%

Non-current assets leased under finance lease and pledged as security for loans are recognised in Notes b6 and b7. Information on mortgages established and current assets pledged to secure loans is provided in Note b21.

C. Interest expense

	Consolidated		Unconsolidated	
	2024	2023	2024	2023
On loan liabilities	–59.1	–44.8	–52.0	–38.4
On derivatives	0.1	0.0	0.1	0.0
On discounted liabilities	–0.5	–0.4	–0.1	0.0
Total interest expense	**–59.5**	**–45.2**	**–52.0**	**–38.4**

Note b11

Grants received and awarded

In millions of euros

A. Grants received

	Consolidated		Unconsolidated	
	2024	2023	2024	2023
Foreign aid	**50.6**	**125.2**	**36.5**	**89.2**
From European Union funds	44.0	118.7	30.8	83.9
Other foreign aid	6.6	6.5	5.7	5.3
Domestic grants	**985.1**	**1,004.8**	**888.7**	**904.3**
From state budget	955.7	984.9	859.2	889.0
From state foundations and companies	4.2	6.5	3.1	3.5
From other public sector entities	17.9	5.5	20.3	6.5
From private sector residents	7.3	7.9	6.1	5.3
Total grants received	**1,035.7**	**1,130.0**	**925.2**	**993.5**

Local governments receive most of the foreign aid through the state. In the consolidated report, 9.7 million euros were received directly from foreign partners (6.8 million euros in 2023), and in the unconsolidated report 6.0 million euros (5.4 million euros in 2023).

Grants received by area of activity

	Consolidated				Unconsolidated			
	2024		2023		2024		2023	
	For operating expenses	For acquisition of non-current assets	For operating expenses	For acquisition of non-current assets	For operating expenses	For acquisition of non-current assets	For operating expenses	For acquisition of non-current assets
Education	576.3	17.2	549.7	38.4	575.2	17.2	548.3	38.5
Transport	103.8	27.0	106.2	54.5	37.0	25.5	36.6	54.3
General government sector services	150.1	5.0	128.0	2.2	141.1	3.8	122.8	1.1
Social protection	53.7	0.3	125.6	1.6	54.0	0.2	124.6	1.6
Leisure time, culture, religion	21.5	30.5	18.4	19.8	13.1	29.4	13.1	17.6
Health care	2.3	1.6	2.9	27.0	0.5	0.1	0.6	0.7
Other	13.1	12.1	14.0	10.3	3.3	9.0	3.8	8.5
Housing and utilities	1.2	10.8	1.0	17.5	1.1	6.0	1.5	8.6
Environmental protection	4.0	1.2	4.2	5.3	4.0	0.7	4.2	3.7
National defence	1.3	1.3	1.5	0.7	1.3	1.3	1.5	0.7

	Consolidated				Unconsolidated			
	2024		2023		2024		2023	
	For operating expenses	For acquisition of non-current assets	For operating expenses	For acquisition of non-current assets	For operating expenses	For acquisition of non-current assets	For operating expenses	For acquisition of non-current assets
Public order and security	0.7	0.7	0.6	0.6	0.7	0.7	0.6	0.6
Total grants received	**928.0**	**107.7**	**952.1**	**177.9**	**831.3**	**93.9**	**857.6**	**135.9**

In the consolidated report, 6.9 million euros (5.1 million euros in 2023) were received on the non-monetary basis for the acquisition of non-current assets (grants were transferred directly to suppliers) and 9.9 million euros as transferred assets (6.3 million euros in 2023) (see Notes b6, b7).
In the unconsolidated report, 3.2 million euros (1.7 million euros in 2023) were received on the non-monetary basis for the acquisition of non-current assets (grants were transferred directly to suppliers) and 9.4 million euros as transferred assets (7.9 million euros in 2023) (see Notes b6, b7).

Government grants received for acquisition of non-current assets have been adjusted by the change in prepayments received and receivables in the cash flow statement.

B. Grants awarded

	Consolidated		Unconsolidated	
	2024	2023	2024	2023
Family allowances	–10.1	–18.9	–10.4	–19.2
Subsistence benefit	–38.5	–45.6	–38.5	–45.6
Other social welfare benefits	–51.5	0.0	–62.9	0.0
Benefits for disabled people	–4.4	–8.7	–4.6	–8.8
Education allowance	–4.3	–4.3	–4.3	–4.3
Social tax paid on social benefits	–4.4	–4.1	–4.4	–4.1
Social welfare services and benefits for the elderly	–40.3	–42.7	–50.6	–51.1
Other social benefits	–8.5	–13.2	–8.4	–13.0
Government grants for operating expenses	–171.4	–160.7	–241.6	–229.7
Government grants awarded for acquisition of non-current assets	–15.9	–13.9	–84.9	–45.0
Total grants awarded	**–349.3**	**–312.1**	**–510.6**	**–420.8**

In 2024, the recognition of services provided under the Social Welfare Act was changed (applied voluntarily, mandatory from 2025). In addition to subsistence benefits, all support and services provided under the Social Welfare Act (regardless of whether the support is paid directly to individuals or to organisations providing services) were reclassified from operating expenses and other social benefits groups as social welfare support, , provided that their provision does not involve a public procurement process and the payment of support or provision of services is carried out based on regulations established by the local government.

Grants awarded by area of activity

	Consolidated		Unconsolidated	
	2024	2023	2024	2023
Social protection	–158.8	–135.1	–183.8	–146.7
Transport	–92.5	–90.3	–179.5	–137.3
Leisure time, culture, religion	–46.2	–43.3	–57.8	–54.9
Education	–26.6	–22.1	–49.0	–39.8
Housing and utilities	–13.1	–7.7	–18.0	–12.0
Other	–4.9	–4.6	–8.6	–10.2
Environmental protection	–2.2	–4.4	–3.3	–5.5
General government sector services	–3.0	–3.1	–6.5	–6.8

	Consolidated		Unconsolidated	
	2024	2023	2024	2023
Health care	–0.7	–0.9	–2.8	–7.0
Public order and security	–1.3	–0.6	–1.3	–0.6
Total grants awarded	**–349.3**	**–312.1**	**–510.6**	**–420.8**

In the cash flow statement, government grants awarded for the acquisition of non-current assets have been reduced by non-monetary government grants (see Notes b6, b7). Changes in prepayments and liabilities of government grants awarded for acquisition of non-current assets have also been taken into account.

Note b12

Goods and services sold

In millions of euros

	Consolidated		Unconsolidated	
	2024	2023	2024	2023
State fees (see Note b2)	**1.8**	**2.1**	**1.9**	**2.1**
Revenue from health care	**636.5**	**573.0**	**20.3**	**17.8**
Income of hospitals	588.0	530.3	0.0	0.0
Other income from health care	48.5	42.7	20.3	17.8
Income from housing and utilities	**171.8**	**169.2**	**40.2**	**37.5**
Lease and rent	40.5	37.0	28.9	25.0
Income from utilities	118.7	116.8	9.2	10.0
Other income from housing and utilities	12.6	15.4	2.1	2.5
Income from educational activities	**82.3**	**74.5**	**79.1**	**71.1**
Income from catering service	19.8	16.8	19.3	16.2
Kindergarten attendance fees	37.7	34.7	37.7	34.7
Other income from educational activities	24.8	23.0	22.1	20.2
Other goods and services sold	**179.7**	**175.5**	**82.6**	**84.0**
Income from transport services	14.3	12.4	6.0	5.5
Income from culture and leisure time activities	43.4	37.6	29.0	25.7
Income from social assistance activities	59.8	61.2	35.4	38.6
Other goods and services sold	62.2	64.3	12.2	14.2
Total goods and services sold	**1,072.1**	**994.3**	**224.1**	**212.5**

Note b13

Other income

In millions of euros

	Consolidated		Unconsolidated	
	2024	2023	2024	2023
Profit/loss from non-current assets sold (see b6, b7)	13.2	11.4	11.7	10.2
Income from providing natural resources for use (see Note b2)	14.1	14.4	14.1	14.4
Fines (see Note b2)	4.2	3.8	3.2	2.5
Pollution charges (see Note b2)	0.7	0.4	0.7	0.4
Interest income on debt	0.2	0.2	0.1	0.1

	Consolidated		Unconsolidated	
	2024	2023	2024	2023
Other income	6.4	6.3	3.4	3.5
Total other revenue	**38.8**	**36.5**	**33.2**	**31.1**

In the cash flow statement, receipts from the sale of non-current assets have been adjusted for changes in receivables, in the consolidated report a decrease of 0.3 million euros (a decrease of 1.3 million euros in 2023), in the unconsolidated report 0 euros (a decrease of 1.3 million euros in 2022).

Note b14

Labour costs

In millions of euros

	Consolidated		Unconsolidated	
	2024	2023	2024	2023
Expenditure of salaries and wages				
Persons elected and appointed to a position	–15.9	–15.1	–15.9	–15.1
Officials	–88.6	–83.3	–88.6	–83.3
Members of supervisory boards and management boards	–12.1	–11.6	0.0	0.0
Employees	–1,434.8	–1,326.7	–1,010.7	–950.5
Total salaries and wages of full-time employees	**–1,551.4**	**–1,436.7**	**–1,115.2**	**–1,048.9**
Total salaries and wages of temporary and external employees	–34.0	–31.2	–23.3	–21.9
Total expenditure of salaries and wages	**–1,585.4**	**–1,467.9**	**–1,138.5**	**–1,070.8**
Average number of employees (in full-time equivalents)				
Persons elected and appointed to a position	196	248	196	248
Officials	3,108	3,063	3,108	3,063
Members of supervisory boards and management boards	326	303	0	0
Employees	63,728	63,553	48,095	48,121
Total average number of employees	**67,358**	**67,167**	**51,399**	**51,432**
Other labour costs				
Fringe benefits	–3.5	–3.1	–1.7	–1.7
Taxes and social security contributions	–533.4	–493.4	–384.8	–361.7
Capitalised production	1.3	0.9	0.2	0.1
Total other labour costs	**–535.6**	**–495.6**	**–386.3**	**–363.3**
Total labour costs	**–2,121.0**	**–1,963.5**	**–1,524.8**	**–1,434.1**

Labour costs by area of activity are presented in Note b18.

Note b15

Management expenses

In millions of euros

	Consolidated		Unconsolidated	
	2024	2023	2024	2023
Management expenses of property, buildings and premises	–225.0	–225.4	–195.7	–195.2
Management expenses of facilities	–164.5	–163.9	–159.6	–160.2

	Consolidated		Unconsolidated	
	2024	2023	2024	2023
Medical supplies and services	–127.8	–121.6	–5.8	–7.4
Foodstuffs and catering services	–67.4	–65.2	–57.9	–56.9
Cost of teaching materials and training	–55.9	–51.3	–56.3	–51.8
Management expenses of work machinery, equipment and fixtures and fittings	–48.1	–50.9	–28.5	–29.3
Communication, culture and leisure time expenses	–50.0	–49.3	–40.2	–42.1
Management expenses of vehicles	–44.8	–45.7	–15.1	–14.2
Information and communication technology expenses	–48.5	–44.8	–36.6	–33.8
Production costs	–34.1	–33.6	–0.5	–0.4
Transport services	–29.3	–33.1	–35.7	–35.3
Social services	–18.3	–32.0	–22.8	–42.1
Administration costs	–29.3	–31.0	–19.9	–21.6
Training costs of labour force	–14.3	–14.7	–10.8	–11.7
Research and development	–5.8	–6.3	–4.8	–4.9
Other miscellaneous management expenses	–22.9	–31.0	–13.6	–23.2
Total management expenses	**–986.0**	**–999.8**	**–703.8**	**–730.1**

Management expenses by area of activity are presented in Note b18.

Note b16

Depreciation of non-current assets

In millions of euros

	Consolidated		Unconsolidated	
	2024	2023	2024	2023
Depreciation of investment property (see Note b6)	–6.2	–7.9	–4.4	–6.1
Depreciation of property, plant and equipment (see Note b7)	–338.8	–355.3	–221.5	–236.5
Depreciation of intangible non-current assets	–2.3	–2.4	–0.8	–0.8
Total depreciation of non-current assets	**–347.3**	**–365.6**	**–226.7**	**–243.4**

Depreciation of non-current assets by area of activity is presented in Note b18.

Note b17

Other expenditure

In millions of euros

	Consolidated		Unconsolidated	
	2024	2023	2024	2023
VAT expense on operating expenses	–139.1	–130.9	–111.0	–105.0
VAT expense on acquisition of non-current assets	–66.0	–73.7	–60.9	–63.6
Other tax and state fee expenses	–12.2	–8.7	–0.4	–0.7
Expenditure on doubtful receivables	–2.3	–1.4	–1.3	–1.1
Other expenditure	–3.0	–2.2	–3.2	–1.6
Total other expenditure	**–222.6**	**–216.9**	**–176.8**	**–172.0**

Note b18

Expenditure by area of activity

In millions of euros

A. Consolidated report

	2024					2023				
	Labour costs	Management expenses	Depreciation and change in value	Other expenditure	Total	Labour costs	Management expenses	Depreciation and change in value	Other expenditure	Total
General government sector services	141.5	43.3	14.2	64.4	**263.4**	137.1	42.8	16.3	47.8	**244.0**
Public order and security	5.9	2.4	0.2	0.8	**9.3**	5.6	2.6	0.4	0.8	**9.4**
Economy	130.7	154.5	118.5	39.2	**442.9**	117.8	159.1	125.9	44.8	**447.6**
Environmental protection	23.5	105.8	15.3	25.7	**170.3**	21.2	115.0	16.0	25.6	**177.8**
Housing and utilities	60.2	94.6	58.9	20.4	**234.1**	56.1	96.3	60.5	19.2	**232.1**
Health care	412.3	178.3	26.0	31.2	**647.8**	363.7	174.2	27.5	34.7	**600.1**
Leisure time, culture, religion	119.7	91.0	38.6	23.4	**272.7**	111.5	87.3	41.2	20.9	**260.9**
Education	1,089.4	264.1	68.9	69.0	**1,491.4**	1,029.5	257.5	70.6	61.3	**1,418.9**
Social protection	137.8	52.0	6.7	8.0	**204.5**	121.0	65.0	7.2	7.0	**200.2**
Total expenditure	**2,121.0**	**986.0**	**347.3**	**282.1**	**3,736.4**	**1,963.5**	**999.8**	**365.6**	**262.1**	**3,591.0**

B. Unconsolidated report

	2024					2023				
	Labour costs	Management expenses	Depreciation and change in value	Other expenditure	Total	Labour costs	Management expenses	Depreciation and change in value	Other expenditure	Total
General government sector services	135.5	40.7	14.0	64.1	**254.3**	132.1	40.2	16.2	47.2	**235.7**
Public order and security	5.9	2.7	0.2	0.8	**9.6**	5.6	2.9	0.2	0.8	**9.5**
Economy	34.0	93.7	82.7	33.5	**243.9**	31.6	96.1	91.1	41.5	**260.3**
Environmental protection	9.8	95.5	5.0	20.8	**131.1**	8.7	104.2	5.5	21.6	**140.0**
Housing and utilities	24.5	56.9	17.6	12.6	**111.6**	22.2	57.5	18.5	12.4	**110.6**
Health care	17.6	4.0	2.0	0.7	**24.3**	16.1	5.5	1.9	1.0	**24.5**
Leisure time, culture, religion	105.1	81.7	33.1	21.8	**241.7**	97.7	80.4	35.4	19.8	**233.3**
Education	1,081.0	280.4	66.6	68.5	**1,496.5**	1,020.4	275.0	68.6	60.8	**1,424.8**
Social protection	111.4	48.2	5.5	6.0	**171.1**	99.7	68.3	6.0	5.3	**179.3**
Total expenditure	**1,524.8**	**703.8**	**226.7**	**228.8**	**2,684.1**	**1,434.1**	**730.1**	**243.4**	**210.4**	**2,618.0**

Other expenditure includes other operating expenses, interest expense and other financial expenses.

Note b19

Transactions with public sector entities and related entities

In millions of euros

A. Receivables and liabilities with other public sector entities and related entities

	Consolidated			Unconsolidated		
	31/12/2024	31/12/2023	31/12/2022	31/12/2024	31/12/2023	31/12/2022
Assets	**308.0**	**311.8**	**279.9**	**319.1**	**328.4**	**314.4**
Current assets	**297.3**	**311.7**	**279.8**	**258.3**	**270.8**	**244.7**
Tax, state fee and fine receivables	187.9	166.9	156.7	187.9	166.9	156.7
Other receivables and prepayments	109.4	144.8	123.1	70.4	103.9	88.0
Non-current assets	**10.7**	**0.1**	**0.1**	**60.8**	**57.6**	**69.7**
Other receivables and prepayments	10.7	0.1	0.1	60.8	57.6	69.7
Liabilities	**175.7**	**190.0**	**178.8**	**158.3**	**151.0**	**139.2**
Current liabilities	**135.5**	**142.8**	**124.4**	**131.6**	**118.6**	**101.4**
Trade payables	12.9	15.3	21.1	15.3	18.2	22.0
Deferred taxes	89.6	82.8	72.4	63.5	59.7	51.0
Other liabilities and prepayments received	26.5	37.9	23.8	49.5	37.1	24.6
Loan liabilities	6.5	6.8	7.1	3.3	3.6	3.8
Non-current liabilities	**40.2**	**47.2**	**54.4**	**26.7**	**32.4**	**37.8**
Loan liabilities	39.3	46.1	53.1	19.2	23.3	26.8
Other liabilities and prepayments received	0.9	1.1	1.3	7.5	9.1	11.0

B. Income and expenditure from other public sector entities

	Consolidated		Unconsolidated	
	2024	2023	2024	2023
Income from operations	**3,606.6**	**3,457.5**	**2,920.3**	**2,802.0**
Taxes and social security contributions	1,954.3	1,764.1	1,954.3	1,764.1
Goods and services sold	618.4	562.2	37.7	39.7
Grants received	1,018.4	1,115.5	913.0	982.7
Other income	15.5	15.7	15.3	15.5
Operating expenses	**–342.4**	**–333.6**	**–558.6**	**–502.8**
Grants awarded	–18.0	–11.5	–265.6	–204.5
Management expenses	–108.8	–107.9	–120.8	–129.4
Other operating expenses	–215.6	–214.2	–172.2	–168.9
Operating result	**3,264.2**	**3,123.9**	**2,361.7**	**2,299.2**
Financial income and expenditure	**6.6**	**11.8**	**10.6**	**14.1**
Profit/loss from holdings	9.0	14.2	9.4	12.7
Other financial income and expenditure	–2.4	–2.4	1.2	1.4
Surplus or deficit of the reporting period	**3,270.8**	**3,135.7**	**2,372.3**	**2,313.3**

The consolidated report includes the transactions of the entities included in the group with the state and other legal persons in public law (except for local governments) with the companies, foundations and non-profit associations under their controlling influence, as well as with all public sector associates (companies and foundations under significant influence).

The unconsolidated report includes the transactions of the entities included in the group with the companies, foundations and non-profit associations under their controlling influence, as well as with the state and other legal persons in public law (except for local governments) and the companies, foundations and non-profit associations under their controlling influence and with all public sector associates (companies and foundations under significant influence).

Note b20

Transactions with other related parties that are subject to disclosure

In millions of euros

In accordance with the public sector financial accounting and reporting guidelines, the annual report discloses information on transactions that do not comply with legislation or the general requirements for internal documents of an accounting entity or with market conditions; and discloses information about transactions made with the members of the accounting entity's senior and executive management, their close family members and the foundations, non-profit associations and companies under their controlling influence.

Accordingly, the local governments have reported transactions with related parties:

	2024	2023
Liabilities	0.2	0.1
Revenue from goods and services sold	0.2	0.0
Grants awarded to foundations and non-profit associations	–1.4	–1.2
Management expenses from foundations and non-profit associations	–0.2	–0.3
Management expenses from companies	–0.3	–0.3
Management expenses from natural persons	0.0	–0.7

Note b21

Material contingent liabilities and receivables

In millions of euros

	Consolidated		Unconsolidated	
	31/12/2024	31/12/2023	31/12/2024	31/12/2023
Contingent liabilities	**686.2**	**680.0**	**453.7**	**433.4**
Delivery contracts and investment liabilities for acquisition of non-current assets	312.8	278.3	286.5	261.4
Continuing operating lease liabilities	150.4	147.6	142.9	141.8
Grant and co-financing liabilities	8.5	13.6	11.2	4.1
Non-current assets pledged as loan security (see Note b6, b7)	182.8	208.6	0.3	14.2
Current assets pledged as loan security	23.9	24.1	0.0	0.0
Other contingent liabilities	7.8	7.8	12.8	11.9
Contingent receivables	**295.9**	**131.0**	**198.9**	**56.1**
Continuing operating lease receivables	24.1	20.4	12.8	12.2
Receivables based on contracts signed for grants	271.8	110.6	186.1	43.9

The residual value of assets under operating lease and leased under the terms of finance lease is shown in Notes b6 and b7.

4 Information on the public sector and general government sector

4.1 Balance sheet

In millions of euros

	Public sector			General government sector			Note
	31/12/2024	31/12/2023	31/12/2022	31/12/2024	31/12/2023	31/12/2022	
Assets							
Current assets							
Cash	3,569.2	3,004.1	2,734.5	2,585.0	2,303.5	2,138.5	c2
Financial investments	4,338.9	3,563.4	3,811.1	2,194.1	1,377.4	1,864.2	c3
Tax, state fee and fine receivables	1,701.5	1,352.0	1,285.5	1,771.3	1,402.3	1,339.0	
Other receivables and prepayments	5,286.5	3,056.4	2,716.0	1,460.0	1,397.3	1,064.5	c4
Derivatives	90.0	59.7	199.8	0.0	0.0	0.0	a18
Inventories	1,453.8	693.7	771.9	1,180.3	441.9	432.2	
Intangible current assets	74.5	216.5	444.1	0.0	0.0	0.0	a12
Biological assets	98.5	69.6	62.6	0.8	3.1	3.1	c11
Total current assets	**16,612.9**	**12,015.4**	**12,025.5**	**9,191.5**	**6,925.5**	**6,841.5**	
Non-current assets							
Holdings in foundations and non-profit associations	0.0	0.0	0.0	16.3	17.3	19.0	c5
Holdings in subsidiaries and associates	266.6	267.6	180.4	3,982.7	4,005.6	4,183.8	c6
Financial investments	10,807.6	11,882.9	12,314.2	767.0	731.4	518.1	c3
Other receivables and prepayments	739.9	756.5	913.1	765.7	784.5	931.5	c4
Derivatives	213.3	257.8	496.5	0.0	0.0	0.0	a18
Investment property	273.5	267.0	252.5	210.1	205.7	202.2	c7
Property, plant and equipment	19,189.3	17,830.5	17,064.2	12,276.7	11,379.2	10,085.9	c8
Intangible non-current assets	479.0	429.9	374.9	321.9	291.8	242.8	c9
Biological assets	1,894.1	2,424.6	2,188.9	10.3	30.9	30.6	c11
Total non-current assets	**33,863.3**	**34,116.8**	**33,784.7**	**18,350.7**	**17,446.4**	**16,213.9**	
Total assets	**50,476.2**	**46,132.2**	**45,810.2**	**27,542.2**	**24,371.9**	**23,055.4**	

	Public sector			General government sector			Note
	31/12/2024	31/12/2023	31/12/2022	31/12/2024	31/12/2023	31/12/2022	
Liabilities and net assets							
Current liabilities							
Prepayments of taxes, state fees and fines received	701.7	636.9	682.7	706.8	642.5	695.2	
Trade payables	824.1	793.1	745.0	600.5	521.5	504.1	
Payables to employees	450.3	423.7	364.8	377.5	351.5	292.1	
Other liabilities and pre-payments received	17,330.1	15,480.2	15,315.1	2,367.1	1,901.6	1,593.3	c12
Provisions	496.0	478.4	888.0	176.9	154.2	406.2	c13
Loan liabilities	1,677.0	1,458.5	1,768.3	1,332.6	755.5	583.3	c14
Derivatives	22.6	67.8	169.1	0.0	0.0	0.0	a18
Total current liabilities	**21,501.8**	**19,338.6**	**19,933.0**	**5,561.4**	**4,326.8**	**4,074.2**	
Non-current liabilities							
Provisions	4,974.4	4,636.4	4,124.8	4,923.5	4,577.5	4,075.2	c13
Loan liabilities	9,511.2	8,186.6	6,559.4	7,692.2	6,627.6	5,729.7	c14
Other liabilities and pre-payments received	88.5	83.0	76.8	58.4	51.7	44.7	c12
Derivatives	4.7	16.6	32.1	0.0	0.0	0.0	a18
Total non-current liabilities	**14,578.8**	**12,922.6**	**10,793.1**	**12,674.1**	**11,256.8**	**9,849.6**	
Total liabilities	**36,080.6**	**32,261.2**	**30 726.1**	**18,235.5**	**15,583.6**	**13,923.8**	
Net assets							
Minority shareholding	**305.4**	**294.6**	**295.8**	**19.3**	**16.6**	**13.9**	
Net assets of public sector or general government sector							
Reserves	1,259.1	1,228.8	1,189.7	773.5	743.0	703.9	c16
Hedging reserve	145.6	141.6	698.4	0.0	0.0	0.0	a18
Other reserves	14.6	13.3	12.5	0.0	0.0	0.0	
Hybrid bonds	398.5	0.0	0.0	0.0	0.0	0.0	a17
Accumulated surplus or deficit	12,272.4	12,192.7	12,887.7	8,513.9	8,028.7	8,413.8	
Total net assets of the public sector or general government sector	**14,090.2**	**13,576.4**	**14,788.3**	**9,287.4**	**8,771.7**	**9,117.7**	
Total net assets	**14,395.6**	**13,871.0**	**15,084.1**	**9,306.7**	**8,788.3**	**9,131.6**	
Total liabilities and net assets	**50,476.2**	**46,132.2**	**45,810.2**	**27,542.2**	**24,371.9**	**23,055.4**	

4.2 Statement of financial performance

In millions of euros

	Public sector		General government sector		Note
	2024	2023	2024	2023	
Income from operations					
Taxes and social security contributions	13,576.5	12,193.4	13,664.9	12,281.8	c17
Goods and services sold	3,839.8	4,122.9	979.2	1,066.8	c18
Grants received	1,403.1	1,408.2	1,321.0	1,363.1	c15
Other income	302.2	448.2	260.2	254.4	c19
Total income from operations	**19,121.6**	**18,172.7**	**16,225.3**	**14,966.1**	
Operating expenses					
Grants awarded	–7,347.0	–6,927.2	–7,348.5	–6,945.3	c15
Labour costs	–5,263.4	–4,938.8	–4,759.3	–4,444.8	c20
Management expenses	–3,971.2	–3,787.6	–2,508.9	–2,379.9	c21
Depreciation and change in value of non-current assets	–1,335.3	–1,870.8	–836.4	–850.8	c22
Pass-through taxes, state fees, fines	–538.6	–512.5	–538.6	–512.5	c23
Doubtful taxes, state fees, fines	–49.4	–39.6	–49.4	–39.6	c23
Other expenditure	–288.8	–628.6	–137.3	–176.2	c23
Total operating expenses	**–18,793.7**	**–18,705.1**	**–16,178.4**	**–15,349.1**	
Operating result	**327.9**	**–532.4**	**46.9**	**–383.0**	
Surplus/deficit from change in fair value of biological assets	**–501.5**	**242.9**	**–22.9**	**0.5**	c11
Financial income and expenses					c24
Profit/loss from financial investments	1.8	71.8	217.9	234.3	
Interest expense	–870.8	–706.0	–451.6	–333.1	
Income from deposits and securities	623.9	486.9	161.4	81.6	
Other financial income	2.9	27.7	3.0	3.2	
Other financial expenditure	–0.5	–0.4	–0.4	–0.3	
Total financial income and expenses	**–242.7**	**–120.0**	**–69.7**	**–14.3**	
Surplus or deficit of the reporting period	**–416.3**	**–409.5**	**–45.7**	**–396.8**	
Incl. the share of public or general government sector surplus/deficit	**–440.0**	**–427.6**	**–48.3**	**–399.3**	
Incl. the share of minority shareholding of surplus/deficit	**23.7**	**18.1**	**2.6**	**2.5**	

4.3 Cash flow statement

In millions of euros

	Public sector		General government sector		Note
	2024	2023	2024	2023	
Cash flow from principal activities					
Operating result	**327.9**	**–532.4**	**46.9**	**–383.0**	
Depreciation and change in value of non-current assets	1,335.3	1,870.8	836.4	850.8	c22
Profit/loss from non-current assets sold	–36.7	–39.0	–33.8	–37.5	c19
Revenue from government grants received for acquisition of non-current assets	–664.2	–801.1	–587.6	–757.4	c15
Expenditure on government grants awarded for acquisition of non-current assets	213.7	235.0	252.5	260.2	c15
Other non-monetary adjustments	–51.5	–288.7	–5.8	–2.3	
Total adjusted operating result	**1,124.5**	**444.6**	**508.6**	**–69.2**	
Net change in current assets	–1,371.0	–303.4	–518.9	–167.1	
Net change in liabilities	839.6	84.5	566.3	–55.1	
Total cash flows from principal activities	**593.1**	**225.7**	**556.0**	**–291.4**	
Cash flows from investment activities					
Investments in non-current assets	–2,754.7	–2,580.0	–1,728.2	–1,624.9	c10
Capital gains from non-current assets sold	55.6	52.9	46.5	51.3	
Government grants received for the acquisition of non-current assets	777.0	796.3	700.9	754.8	c15
Government grants invested for acquisition of non-current assets	–236.9	–245.5	–269.8	–286.4	c15
Paid upon the acquisition of financial investments	–9,832.4	–2,579.7	–9,527.9	–2,257.8	
Received from the sale of financial investments	10,173.6	3,264.5	8,696.6	2,536.2	
Paid upon the acquisition of holdings	0.0	–3.3	–14.9	–6.5	c6
Dividends received	10.6	6.3	245.4	202.5	c6
Dividends paid, reductions from acquisition or end of controlling interest, and reclassification	–12.8	–19.2	0.0	0.0	
Received from the sale and liquidation of holdings and reclassification of holdings into the general government sector	33.0	29.4	1.9	41.1	
Loans issued	–29.0	–34.2	–30.1	–29.2	
Repayments of loans received	72.5	150.3	72.3	149.7	
Financial income received	193.4	450.6	141.8	67.0	
Total cash flows from investment activities	**–1,550.1**	**–711.6**	**–1,665.5**	**–402.2**	
Cash flows from financing activities					
Loan liabilities received	4,751.2	3,397.1	4,305.7	1,932.3	c14
Received from hybrid bonds issued	391.7	0.0	0.0	0.0	a17
Repayments of loan liabilities	–3,225.5	–2,109.3	–2,675.1	–924.8	c14
Interest paid and other financial expenses	–395.3	–532.3	–239.6	–148.9	
Total cash flows from financing activities	**1,522.1**	**755.5**	**1,391.0**	**858.6**	
Net cash flows					
Cash and cash equivalents at the beginning of the period	3,004.1	2,734.5	2,303.5	2,138.5	c2
Cash and cash equivalents at the end of the period	3,569.2	3,004.1	2,585.0	2,303.5	c2
Change in cash and cash equivalents	**565.1**	**269.6**	**281.5**	**165.0**	

4.4 Statement of changes in net assets

In millions of euros

A. Public sector

	Net assets of the public sector						Minority share-holding	Total	Note
	Reserves (see Note c16)	Hedging re-serve	Other re-serves	Hybrid bonds	Accumulated surplus or deficit	Total			
Balance as of 31/12/2022	**1,189.7**	**698.4**	**12.5**	**0.0**	**12,887.7**	**14,788.3**	**295.8**	**15,084.1**	
Revaluation of investment property					1.7	**1.7**		**1.7**	c7
Revaluation of property, plant and equipment					5.8	**5.8**		**5.8**	c8
Actuarial gains and losses in provisions for pensions					–237.3	**–237.3**		**–237.3**	a16
Revaluation of risk hedging instruments		–556.8				**–556.8**	–0.6	**–557.4**	a18
Exchange rate differences attributable to foreign subsidiaries and impact of other comprehensive income of associates			0.8	0.0		**0.8**	0.3	**1.1**	
Surplus or deficit of the reporting period					–427.6	**–427.6**	18.1	**–409.5**	
Total surplus or deficit of the reporting period	**0.0**	**–556.8**	**0.8**	**0.0**	**–657.4**	**–1,213.4**	**17.8**	**–1,195.6**	
Holdings consolidated for the first time					1.5	**1.5**	0.2	**1.7**	
Dividends paid						**0.0**	–19.2	**–19.2**	
Reallocation	39.1				–39.1	**0.0**		**0.0**	c16
Balance as of 31/12/2023	**1,228.8**	**141.6**	**13.3**	**0.0**	**12,192.7**	**13,576.4**	**294.6**	**13,871.0**	
Revaluation of investment property					1.2	**1.2**		**1.2**	c7
Revaluation of property, plant and equipment					16.3	**16.3**		**16.3**	c8
Actuarial gains and losses in provisions for pensions					–168.0	**–168.0**		**–168.0**	a16
Revaluation of risk hedging instruments		4.0				**4.0**		**4.0**	a18
Exchange rate differences attributable to foreign subsidiaries and impact of other comprehensive income of associates			1.3			**1.3**	–0.1	**1.2**	
Surplus or deficit of the reporting period					–440.0	**–440.0**	23.7	**–416.3**	
Total surplus or deficit of the reporting period	**0.0**	**4.0**	**1.3**	**0.0**	**–590.5**	**–585.2**	**23.6**	**–561.6**	
Hybrid bonds				391.7		**391.7**		**391.7**	a17
Interest on hybrid bonds				6.8	–14.7	**–7.9**		**–7.9**	a17
Initial recognition of defence-related stocks					707.8	**707.8**		**707.8**	a7
Dividends paid						**0.0**	–12.8	**–12.8**	
Impact of the end of controlling influence					7.4	**7.4**		**7.4**	a9
Reallocation	30.3				–30.3	**0.0**		**0.0**	c16
Balance as of 31/12/2024	**1,259.1**	**145.6**	**14.6**	**398.5**	**12,272.4**	**14,090.2**	**305.4**	**14,395.6**	

B. General government sector

	Reserves	Accumulated surplus or deficit	Total net assets of the general government sector	Minority share-holding	Total	Note
Balance as of 31/12/2022	**703.9**	**8,413.8**	**9,117.7**	**13.9**	**9,131.6**	
Revaluation of investment property		1.7	**1.7**		**1.7**	c7
Revaluation of property, plant and equipment		5.5	**5.5**		**5.5**	c8
Actuarial gains and losses in provisions for pensions		–237.3	**–237.3**		**–237.3**	a16
Surplus or deficit of the reporting period		–399.3	**–399.3**	2.5	**–396.8**	
Total surplus or deficit of the reporting period	**0.0**	**–629.4**	**–629.4**	**2.5**	**–626.9**	
Reclassification and adjustment of holdings into the general government sector		283.4	**283.4**	0.2	**283.6**	
Reallocation	39.1	–39.1	**0.0**		**0.0**	c16
Balance as of 31/12/2023	**743.0**	**8,028.7**	**8,771.7**	**16.6**	**8,788.3**	
Revaluation of investment property		1.2	**1.2**		**1.2**	c7
Revaluation of property, plant and equipment		15.7	**15.7**		**15.7**	c8
Actuarial gains and losses in provisions for pensions		–168.0	**–168.0**		**–168.0**	a16
Surplus or deficit of the reporting period		–48.3	**–48.3**	2.6	**–45.7**	
Total surplus or deficit of the reporting period	**0.0**	**–199.4**	**–199.4**	**2.6**	**–196.8**	
Initial recognition of defence-related stocks		707.8	**707.8**		**707.8**	a7
Reclassification and adjustment of holdings into the general government sector		7.3	**7.3**	0.1	**7.4**	
Reallocation	30.3	–30.3	**0.0**		**0.0**	c16
Balance as of 31/12/2024	**773.3**	**8,514.1**	**9,287.4**	**19.3**	**9,306.7**	

4.5 Accounting methods and valuation principles

The public sector report includes the state, local governments, other legal persons in public law and persons under their direct or indirect controlling influence (entities listed in Notes a1, b1 and c1).

The general government sector report includes the state (unconsolidated report), local governments (unconsolidated report) and other legal persons in public law belonging to the general government sector (see Note c1 A, unconsolidated data). Furthermore, the general government sector includes foundations, non-profit associations and companies under the controlling influence of all the aforementioned legal persons in public law which receive more than half of their revenue in the form of grants from other general government sector entities and are not sufficiently free to make commercial decisions under market conditions. In defining the general government sector, the principles established by the International Monetary Fund GFS (Government Finance Statistics) and by the European Union ESA (the European System of Accounts) are applied.

The report is based on the reports submitted by the entities presented in Notes a1, b1 and c1 in accordance with the public sector financial accounting and reporting guidelines (see 2.6. Accounting methods and valuation principles). Receivables, liabilities, income and expenses between the reported entities have been eliminated.

The report is presented in millions of euros.

4.6 Notes (c1–c27)

Note c1

Entities consolidated in the report

In millions of euros

The public sector report consolidates all reporting entities, including the state, local governments, other legal persons in public law and entities under the controlling influence of all the above persons (see Notes a1, b1 and c1).

The general government sector report includes consolidated government agencies (see Note a1 A), local governments (unconsolidated, see Note b1 A), other legal persons in public law belonging to the general government sector (unconsolidated, see Note c1 A), general government foundations, non-profit associations and subsidiaries under the controlling influence of the state, local governments and other legal persons in public law (see Notes a1 B, b1 B, b1 C, c1 B).

This Note contains data on legal persons that are not included in the reports of the state or local governments but are consolidated in the public sector or in the general government sector in addition to the state and local governments.

A. Other legal persons in public law

	31/12/2024		2024			31/12/2023		2023		
	Assets	Net assets	Income from operations	Operating expenses	Operating result	Assets	Net assets	Income from operations	Operating expenses	Operating result
Total	**18,759.6**	**3,194.1**	**4,195.9**	**–4,131.6**	**212.5**	**17,347.8**	**2,981.8**	**3,937.1**	**–3,771.9**	**304.3**
Included in the general government sector	**3,072.2**	**2,566.3**	**4,181.3**	**–4,093.3**	**159.5**	**2,880.2**	**2,407.1**	**3,925.2**	**–3,736.3**	**241.7**
Tervisekassa	851.1	722.5	2,360.9	–2,362.3	22.9	842.8	699.6	2,244.0	–2,147.5	115.5
Eesti Töötukassa	736.4	590.7	907.3	–912.6	21.9	703.6	568.8	857.9	–850.4	29.3
Estonian Academy of Arts	36.6	29.7	20.4	–20.7	–0.2	36.4	29.9	18.2	–17.5	0.7
Estonian Academy of Music and Theatre	22.0	19.7	13.8	–13.2	0.6	21.0	19.3	12.8	–12.2	0.7
Estonian University of Life Sciences	89.0	77.5	60.3	–54.8	5.9	82.5	71.6	43.9	–50.3	–6.1
Tallinn University	82.3	59.4	73.0	–67.1	6.5	73.5	52.9	64.4	–56.3	8.0
Tallinn University of Technology	189.3	133.4	158.8	–156.6	4.2	164.7	129.2	141.1	–140.0	2.6
University of Tartu	385.9	289.2	312.9	–300.0	15.8	364.6	273.4	277.4	–274.5	4.5
Estonian Academy of Sciences	7.4	6.9	3.6	–3.5	0.2	7.2	6.7	3.4	–3.5	0.0
National Institute of Chemical Physics and Biophysics	22.2	16.4	8.1	–7.7	0.6	20.5	15.8	7.7	–7.7	0.2
Estonian Public Broadcasting	41.1	35.7	48.9	–47.9	1.4	39.8	34.3	50.2	–49.5	0.9
National Library of Estonia	87.3	76.6	37.0	–16.3	21.0	61.6	55.6	41.6	–16.6	25.1
Estonian National Opera	11.8	9.5	18.3	–17.5	0.9	11.0	8.7	17.2	–17.2	0.0
Cultural Endowment of Estonia	49.7	43.9	45.6	–43.3	3.4	44.5	40.5	41.4	–27.4	14.6
Defence League	61.8	57.9	61.3	–59.2	2.4	60.2	55.5	56.1	–55.8	0.5
Guarantee Fund	393.9	393.7	42.1	–0.5	52.2	341.6	341.5	38.4	–0.3	45.3
Chamber of Notaries	2.1	1.9	1.7	–1.9	–0.2	2.3	2.1	1.6	–1.8	–0.2
Estonian Auditors' Association	0.9	0.9	0.0	–0.9	0.0	0.9	0.9	0.7	–0.7	0.0
Estonian Bar Association	0.8	0.3	6.2	–6.2	0.0	0.8	0.3	6.1	–6.0	0.1
Estonian Chamber of Enforcement Officers and Trustees in Bankruptcy	0.6	0.5	1.1	–1.1	0.0	0.7	0.5	1.1	–1.1	0.0
Chamber of Estonian Patent Attorneys	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Not included in the general government sector	**15,687.4**	**627.8**	**14.6**	**–38.3**	**53.0**	**14,467.6**	**574.7**	**11.9**	**–35.6**	**62.6**
Eesti Pank and Finantsinspektsioon	15,687.4	627.8	14.6	–38.3	53.0	14,467.6	574.7	11.9	–35.6	62.6

Holdings of other legal persons in public law in foundations and non-profit associations

	31/12/2024		2024			31/12/2023		2023		
	Assets	Net assets	Income from operations	Operating expenses	Operating result	Assets	Net assets	Income from operations	Operating expenses	Operating result
Total	**36.2**	**31.8**	**31.1**	**–23.7**	**7.4**	**29.3**	**24.3**	**18.2**	**–22.2**	**–4.0**
Included in the general government sector	**2.0**	**1.2**	**9.3**	**–9.0**	**0.2**	**2.1**	**0.9**	**8.3**	**–8.1**	**0.2**
Eesti Kunstiakadeemia SA	0.2	0.2	0.3	–0.3	0.0	0.3	0.2	0.2	–0.2	0.0
SA Eesti Muusika- ja Teatriakadeemia Fond	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
SA Eesti Maaülikooli Joosep Tootsi Fond	0.0	0.0	0.1	–0.1	0.0	0.0	0.0	0.1	–0.1	0.0
SA Eesti Maaülikooli Mahekeskus	0.1	0.1	0.1	–0.1	0.0	0.1	0.1	0.1	–0.1	0.0
SA Artur Nilsoni Fond	0.1	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
MTÜ Eesti Maaülikooli Spordiklubi	0.2	0.2	0.7	–0.7	0.1	0.2	0.1	0.6	–0.6	0.0
SA Tallinna Ülikooli Rahastu	0.1	0.1	0.0	0.0	0.0	0.2	0.1	0.1	–0.1	0.0
MTÜ Tallinna Ülikooli Spordiklubi	0.0	0.0	0.2	–0.2	0.0	0.0	0.0	0.2	–0.2	0.0
MTÜ TTÜ Spordiklubi	0.1	–0.2	1.7	–1.7	0.0	0.1	–0.2	1.5	–1.5	0.0
MTÜ TTÜ Kultuurikeskus	0.0	0.0	0.3	–0.2	0.0	0.0	0.0	0.3	–0.3	0.0
Läänemaa Elukeskkonna Tuleviku-uuringute SA	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
MTÜ Tartu Ülikooli Üliõpilasmaja	0.3	0.2	1.1	–1.1	0.0	0.4	0.2	0.8	–0.8	0.0
MTÜ Tartu Ülikooli Akadeemiline Spordiklubi	0.7	0.5	4.3	–4.2	0.0	0.8	0.4	4.1	–3.9	0.2
MTÜ Tartu Välismaalaste Teenuskeskus	0.0	0.0	0.1	–0.1	0.0	0.0	0.0	0.1	–0.1	0.0
Universities Estonia	0.2	0.1	0.4	–0.3	0.1	0.0	0.0	0.2	–0.2	0.0
Not included in the general government sector	**34.2**	**30.6**	**21.8**	**–14.7**	**7.2**	**27.2**	**23.4**	**9.9**	**–14.1**	**–4.2**
SA Tartu Teaduspark	5.5	4.1	2.5	–2.4	0.0	5.4	4.1	2.2	–2.0	0.1
SA Järvselja Õppe- ja Katsemetskond	21.7	21.6	7.5	–1.3	6.3	15.4	15.3	–3.6	–1.4	–5.0
MTÜ Dormitorium	1.7	1.4	1.5	–1.5	0.0	1.7	1.4	1.4	–1.4	0.1
MTÜ Tartu Üliõpilasküla	3.0	2.1	5.4	–5.0	0.5	2.4	1.6	5.1	–4.6	0.5
MTÜ TTÜ Üliõpilasküla	2.3	1.4	4.9	–4.5	0.4	2.3	1.0	4.8	–4.7	0.1

B. Holdings of other legal persons in public law in subsidiaries

	Share of holdings (%)	31/12/2024		2024			31/12/2023		2023		
		Assets	Net assets	Income from operations	Operating expenses	Operating result	Assets	Net assets	Income from operations	Operating expenses	Operating result
Total		**4.7**	**3.8**	**2.3**	**–2.4**	**–0.3**	**4.5**	**3.6**	**1.4**	**–1.3**	**0.0**
Included in the general government sector		**0.6**	**0.6**	**0.0**	**–0.2**	**–0.3**	**0.5**	**0.5**	**0.0**	**–0.1**	**–0.1**
UniTartu Ventures OÜ	100	0.6	0.6	0.0	–0.2	–0.3	0.5	0.5	0.0	–0.1	–0.1
Not included in the general government sector		**4.1**	**3.2**	**2.3**	**–2.2**	**0.0**	**4.0**	**3.1**	**1.4**	**–1.2**	**0.1**
OÜ Muusa Majutus	100	3.3	2.8	0.6	–0.4	0.1	3.3	2.7	0.6	–0.4	0.1
OÜ Eerika Farm	100	0.5	0.4	0.8	–0.8	0.0	0.6	0.4	0.8	–0.8	0.0
E-Kyla Arendus OÜ	100	0.1	0.0	0.0	0.0	0.0	0.1	0.0	0.0	0.0	0.0
OÜ Torni Hostel	100	0.2	0.0	0.9	–0.9	0.0	0.0	0.0	0.0	0.0	0.0
E-dok OÜ	100	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Estonian Multiomics Company OÜ	100	0.0	0.0	0.0	–0.1	–0.1	0.0	0.0	0.0	0.0	0.0

Note c2

Cash and cash equivalents

In millions of euros

	Public sector			General government sector		
	31/12/2024	31/12/2023	31/12/2022	31/12/2024	31/12/2023	31/12/2022
Cash	23.3	18.8	19.6	1.8	2.1	2.0
Bank accounts in banks	2,024.3	1,656.1	1,819.6	1,599.5	1,329.1	1,390.3
Term deposits in banks	1,521.6	1,329.2	895.3	983.7	972.3	746.2
Total cash	**3,569.2**	**3,004.1**	**2,734.5**	**2,585.0**	**2,303.5**	**2,138.5**
Interest income from cash and cash equivalents (see Note c24)	108.4	69.5	8.9	80.4	49.5	1.2

The general government sector funds in the amount of 12.3 million euros were deposited with Eesti Pank as of 31 December 2024 (170.4 million euros as of 31 December 2023).

Note c3

Financial investments

In millions of euros

	Public sector			General government sector		
	31/12/2024	31/12/2023	31/12/2022	31/12/2024	31/12/2023	31/12/2022
Short-term financial investments	**4,338.9**	**3,563.4**	**3,811.1**	**2,194.1**	**1,377.4**	**1,864.2**
Holdings in exchange-tradedfunds	10.1	0.0	0.0	10.1	0.0	0.0
Bonds at fair value	3,660.2	2,931.1	3,188.6	1,785.2	1,125.6	1,598.8
Held-to-maturity bonds at depreciated cost	393.1	245.0	258.1	393.1	245.0	258.1
Short-term loans against securities	114.8	143.2	178.4	0.0	0.0	0.0
Listed shares	160.7	244.1	185.8	5.7	6.8	7.1
Other short-term financial investments	0.0	0.0	0.2	0.0	0.0	0.2
Long-term financial investments	**10,807.6**	**11,882.9**	**12,314.2**	**767.0**	**731.4**	**518.1**
Term deposits in banks	0.0	1.6	1.6	0.0	1.6	1.6
Holding in exchange-traded funds at fair value	0.1	0.1	0.1	0.0	0.0	0.0
Bonds at fair value	1.1	0.6	0.4	1.0	0.6	0.4
Held-to-maturity bonds at depreciated cost	0.0	95.6	35.7	0.0	95.6	35.7
Securities held for monetary policy purposes	9,318.4	10,456.8	10,987.8	0.0	0.0	0.0
Holdings in international organisations	458.1	452.8	388.1	278.1	277.4	215.3
Holding in venture capital funds (see Note a3)	483.3	352.4	260.5	483.3	352.4	260.5
Listed shares	0.3	0.1	0.1	0.3	0.1	0.1
Unlisted shares	2.2	1.9	0.8	0.5	0.1	0.1
Other long-term financial investments	544.1	521.0	639.1	3.8	3.6	4.4
Total financial investments	**15,146.5**	**15,446.3**	**16,125.3**	**2,961.1**	**2,108.8**	**2,382.3**
Incl. recorded at fair value	4,305.7	3,528.4	3,635.5	2,275.5	1,485.5	1,866.9

	Public sector			General government sector		
	31/12/2024	31/12/2023	31/12/2022	31/12/2024	31/12/2023	31/12/2022
Incl. recorded at adjusted cost	10,840.8	11,917.9	12,489.8	685.6	623.3	515.4
Income from bonds in the reporting period (see Note c24)	7.6	72.5	154.5	76.1	35.4	–10.4

Securities held for monetary policy purposes include securities acquired by Eesti Pank under the covered bond purchase programme for euro area residents, the public sector purchase programme, and the pandemic emergency purchase programme to mitigate the economic impact of the pandemic. The securities are recorded at depreciated cost. The risks materialised are managed between euro area central banks in proportion to their holdings in the European Central Bank. The market value of these securities as of 31 December 2024 was 8,411.5 million euros (9,377.5 million euros as of 31 December 2023).
In addition, the state's holdings in international organisations (see Note A3), the respective holdings of Eesti Pank amount to 180.1 million euros (175.4 million euros as of 31 December 2023), including holdings in the European Central Bank in the amount of 103.5 million euros (95.3 million euros as of 31 December 2023), and holdings (reserve position) in the International Monetary Fund (IMF) in the amount of 76.3 million euros (79.9 million euros as of 31 December 2023).
Other long-term financial investments include foreign exchange reserves transferred by Eesti Pank to the European Central Bank in the amount of 120.9 million euros (113.7 million euros as of 31 December 2023), the account of SDR, the unit of account of the IMF in the amount of 375.4 million euros (361.2 million euros as of 31 December 2023), and the IMF concessional lending fund for low-income countries of 43.9 million euros (42.5 million euros as of 31 December 2023). Loans to euro area credit institutions related to monetary policy operations are distributed by euro area central banks in proportion to their holdings in the European Central Bank.

Note c4

Other receivables and prepayments

In millions of euros

	Public sector			General government sector		
	31/12/2024	31/12/2023	31/12/2022	31/12/2024	31/12/2023	31/12/2022
Short-term receivables and prepayments	**5,286.5**	**3,056.4**	**2,716.0**	**1,460.0**	**1,397.3**	**1,064.5**
Trade receivables	421.3	448.6	497.3	91.6	85.8	66.4
In gross amount	437.9	463.8	514.1	96.9	90.8	71.6
Doubtful receivables	–16.6	–15.2	–16.8	–5.3	–5.0	–5.2
Interest receivables	88.0	108.4	76.7	19.8	20.5	9.3
Other accrued income	38.5	23.8	55.1	1.4	1.3	1.2
Loan receivables	89.5	66.3	68.6	93.2	65.4	70.8
Outstanding government grants (see Note c15)	786.1	893.0	724.4	782.2	889.6	723.8
Intra-Eurosystem receivables	3,363.6	934.5	1,004.9	0.0	0.0	0.0
Paid security deposits	46.9	187.5	46.3	1.2	1.2	1.3
Other receivables	24.9	68.1	57.2	19.3	23.2	16.2
Prepaid government grants	139.1	74.9	77.1	182.4	78.6	88.4
Other prepaid expenses	288.6	251.3	108.4	268.9	231.7	87.1
Long-term receivables and prepayments	**739.9**	**756.5**	**913.1**	**765.7**	**784.5**	**931.5**
Loan receivables	588.6	646.2	783.5	606.4	674.1	794.6
Interest receivables (see Note a6)	39.8	34.1	30.3	39.8	34.1	30.3
Dedicated funds (see Note a5)	0.0	0.0	0.0	15.4	15.0	14.8
Outstanding government grants (see Note c15)	6.0	6.0	6.0	6.0	6.0	6.0
Other receivables and prepaid expenses for future periods	105.5	70.2	93.3	98.1	55.3	85.8
Total receivables and prepayments	**6,026.4**	**3,812.9**	**3,629.1**	**2,225.7**	**2,181.8**	**1,996.0**

Intra-Eurosystem receivables comprise the receivables of Eesti Pank to the Eurosystem related to cross-border payments amounting to 2,075.8 million euros (0 euros as of 31 December 2023), the distribution of euro banknotes amounting to 1,029.9 million euros (858.8 million euros as of 31 December 2023), and other intra-Eurosystem receivables, mainly arising from the difference of monetary income collected from and allocated to Eurosystem national central banks, amounting to 257.9 million euros (75.7 million euros as of 31 December 2023).
Defence-related prepaid expenses for future periods, see Note a5.

Note c5

Holdings in foundations and non-profit associations

A. Public sector

In the public sector report, foundations and non-profit associations (see Notes a1 B1, b1 B, c1 B) are consolidated line-by-line.

B. General government sector

	31/12/2024	31/12/2023	31/12/2022
State holdings (see Note a8)	8.3	8.3	8.3
Local government holdings (see Note b4)	1.0	2.1	3.7
Holdings of other legal persons in public law	7.0	6.9	7.0
Total holdings in foundations and non-profit associations	**16.3**	**17.3**	**19.0**

Note c6

Holdings in subsidiaries and associates

In millions of euros

	Public sector			General government sector		
	31/12/2024	31/12/2023	31/12/2022	31/12/2024	31/12/2023	31/12/2022
State holdings (see Note a9)	87.6	90.7	89.4	3,577.1	3,603.4	3,823.8
Holdings of state foundations and companies in the general government sector	0.0	0.0	0.0	8.9	8.9	9.0
Local government holdings (see Note b5)	190.5	188.0	99.6	392.2	388.0	348.4
Holdings of other legal persons in public law	0.7	0.7	0.6	4.5	5.3	2.8
Eliminations between sectors	–12.2	–11.8	–9.2	0.0	0.0	–0.2
Total holdings in subsidiaries and associates	**266.6**	**267.6**	**180.4**	**3,982.7**	**4,005.6**	**4,183.8**

Movements in holdings

	Public sector	General government sector		
	Associates	Subsidiaries	Associates	Total
Balance as of 31/12/2022	**180.4**	**4,096.1**	**87.7**	**4,183.8**
Monetary contributions and payments	3.3	6.5	0.0	6.5
Non-monetary contributions and payments	77.8	–79.8	77.8	–2.0
Profit on revaluation of non-monetary contribution (see Note b5 B)	0.0	71.6	0.0	71.6
Proceeds from sales	0.2	0.2	0.0	0.2
Profit/loss from sale	–0.2	–0.2	0.0	–0.2

	Public sector	General government sector		
	Associates	Subsidiaries	Associates	Total
Reclassification	0.0	–214.3	0.0	–214.3
Dividends received	–6.3	0.0	0.0	0.0
Profit/loss based on the equity method (see Note c24)	12.9	0.0	0.0	0.0
Effect of foreign exchange rate differences on the total profit of the associates directly reflected in the net asset reserves	–0.5	0.0	0.0	0.0
Write-downs and reversals of write-downs (see Note c24)	0.0	–39.9	–0.1	–40.0
Balance as of 31/12/2023	**267.6**	**3,840.2**	**165.4**	**4,005.6**
Monetary contributions and payments	0.0	13.9	0.0	13.9
Non-monetary contributions and payments	0.0	–0.5	0.0	–0.5
Proceeds from sales	–0.9	0.0	–0.9	–0.9
Profit/loss from sale	0.3	0.0	0.9	0.9
Reclassification of the general government sector	0.0	–7.9	0.0	–7.9
Dividends received	–10.6	0.0	0.0	0.0
Profit/loss based on the equity method (see Note c24)	11.0	0.0	0.0	0.0
Effect of foreign exchange rate differences on the total profit of the associates directly reflected in the net asset reserves	–0.8	0.0	0.0	0.0
Write-downs and reversals of write-downs (see Note c24)	0.0	–28.4	0.0	–28.4
Balance as of 31/12/2024	**266.6**	**3,817.3**	**165.4**	**3,982.7**

As of the beginning of 2024, six local government owned companies and one company owned by another legal person in public-law were reclassified to the general government sector, with total net assets of 7.9 million euros.
As of the beginning of 2023, two state and 18 local government companies were reclassified to the general government sector, with total net assets of 214.3 million euros.

Dividend income from holdings

	Public sector		General government sector	
	2024	2023	2024	2023
From subsidiaries	0.0	0.0	239.2	198.1
From associates	10.6	6.3	6.2	4.4
Total dividend income from holdings	**10.6**	**6.3**	**245.4**	**202.5**

Note c7

Investment property

In millions of euros

	Public sector		General government sector	
	2024	2023	2024	2023
Balance at the beginning of the period	**267.0**	**252.5**	**205.7**	**202.2**
Cost	380.6	361.5	287.8	281.9
Accumulated depreciation	–113.6	–109.0	–82.1	–79.7
Total movements	**6.5**	**14.5**	**4.4**	**3.5**
Acquisitions and improvements	1.5	3.5	1.5	2.1
Depreciation and write-downs	–9.1	–10.8	–6.9	–8.3
Sales at selling price	–6.8	–5.6	–6.4	–5.5

	Public sector		General government sector	
	2024	2023	2024	2023
Profit from sales	4.4	3.2	4.1	3.1
Reclassification	15.1	22.0	11.0	10.3
Government grants received and awarded	0.2	0.2	0.1	0.1
Non-monetary contributions received and transferred	0.0	0.0	–0.2	0.0
Changes due to acquisition and loss of controlling influence	0.0	0.3	0.0	0.0
Revaluation	1.2	1.7	1.2	1.7
Balance at the end of the period	**273.5**	**267.0**	**210.1**	**205.7**
Cost	403.4	380.6	298.7	287.8
Accumulated depreciation	–129.9	–113.6	–88.6	–82.1
Incl. leased under operating lease, carrying amount	118.3	138.2	108.0	112.5
Incl. pledged to cover loans, carrying amount	13.3	14.2	4.0	4.0
Revenue and expenditure				
Income from lease and rent, right of superficies and usufruct	47.4	40.7	33.1	26.5
Administrative expenses of investment property	–5.3	–6.0	–4.8	–5.3

Note c8

Property, plant and equipment

In millions of euros

A. Public sector

	Land	Buildings and facilities	Defence-related non-current assets	Plant and equipment	Other non-current assets	Work-in-progress and prepayments	Total
Balance as of 31/12/2022	**1,425.4**	**10,361.2**	**383.8**	**3,318.5**	**212.4**	**1,362.9**	**17,064.2**
Cost	1,425.4	17,236.3	898.8	6,736.7	400.6	1,362.9	28,060.7
Accumulated depreciation		–6,875.1	–515.0	–3,418.2	–188.2		–10,996.5
Total movements 2023	**3.5**	**426.5**	**57.4**	**–405.3**	**0.8**	**683.4**	**765.2**
Acquisitions and improvements	23.8	138.8	4.6	186.5	13.2	2,216.4	2,583.3
Depreciation and write-downs	–0.1	–801.4	–71.2	–857.3	–31.3	–10.8	–1,772.1
Sales at selling price	–40.6	–3.2	0.0	–3.1	0.0	0.0	–46.9
Profit from sales	32.2	1.5	0.0	1.9	0.0	0.0	35.6
Non-monetary government grants received	0.5	8.8	11.6	9.5	0.2	0.0	30.6
Non-monetary government grants awarded	0.0	–0.3	–1.2	0.0	0.0	–0.1	–1.6
Reclassification	–15.2	1,080.6	113.6	274.2	18.8	–1,518.0	–46.0
Changes due to acquisition and end of controlling influence	–1.1	0.0	0.0	–17.7	–0.1	–4.6	–23.5
Exchange rate differences from currency revaluation	–0.1	0.0	0.0	0.7	0.0	0.5	
Revaluation	4.1	1.7	0.0	0.0	0.0	0.0	5.8
Balance as of 31/12/2023	**1,428.9**	**10,787.7**	**441.2**	**2,913.2**	**213.2**	**2,046.3**	**17,830.5**
Cost	1,428.9	18,242.0	1,009.1	6,870.6	387.9	2,046.3	29,984.8
Accumulated depreciation		–7,454.3	–567.9	–3,957.4	–174.7		–12,154.3
Average depreciation rate		**4.5%**	**7.5%**	**12.6%**	**7.9%**		
Leased under the finance lease, carrying amount		54.3	0.0	131.6	0.1		186.0

	Land	Buildings and facilities	Defence-related non-current assets	Plant and equipment	Other non-current assets	Work-in-progress and prepayments	Total
Leased under operating lease, carrying amount	171.2	131.0	0.0	11.2	0.3		313.7
Pledged to cover loans, carrying amount	5.8	207.8	0.0	44.1	0.0		257.7
Total movements 2024	**61.3**	**360.3**	**70.7**	**51.3**	**12.7**	**802.5**	**1,358.8**
Acquisitions and improvements	46.8	66.8	9.3	141.7	15.4	2,414.1	2,694.1
Depreciation and write-downs	–3.7	–681.3	–64.9	–342.1	–23.9	–116.1	–1,232.0
Sales at selling price	–30.8	–23.6	0.0	–6.5	0.0	0.0	–60.9
Profit from sales	27.5	2.4	0.0	2.3	0.0	0.0	32.2
Non-monetary government grants received	1.3	2.5	9.0	1.9	0.2	0.1	15.0
Non-monetary government grants awarded	0.0	0.0	–4.0	0.0	0.0	0.0	–4.0
Reclassification	7.4	991.4	121.3	281.5	21.2	–1,495.8	–73.0
Changes due to acquisition and end of controlling influence	0.0	–1.4	0.0	–27.8	–0.3	0.0	–29.5
Exchange rate differences from currency revaluation	0.2	0.0	0.0	0.3	0.0	0.1	0.6
Revaluation	12.6	3.5	0.0	0.0	0.1	0.1	16.3
Balance as of 31/12/2024	**1,490.2**	**11,148.0**	**511.9**	**2,964.5**	**225.9**	**2,848.8**	**19,189.3**
Cost	1,490.2	18,958.9	1,141.9	7,054.3	413.7	2,848.8	31,907.8
Accumulated depreciation		–7,810.9	–630.0	–4,089.8	–187.8		–12,718.5
Average depreciation rate		**3.7%**	**6.0%**	**4.9%**	**6.0%**		
Leased under the finance lease, carrying amount		78.1	0.0	83.6	0.1		161.8
Leased under operating lease, carrying amount	177.7	130.3	0.0	1.7	0.2		309.9
Pledged to cover loans, carrying amount	3.1	177.7	0.0	37.0	0.0		217.8

B. General government sector

	Land	Buildings and facilities	Defence-related non-current assets	Plant and equipment	Other non-current assets	Work-in-progress and prepayments	Total
Balance as of 31/12/2022	**797.1**	**7,133.7**	**383.8**	**817.7**	**199.3**	**754.3**	**10,085.9**
Cost	797.1	11,936.3	898.8	1,873.1	354.5	754.3	16,614.1
Accumulated depreciation		–4,802.6	–515.0	–1,055.4	–155.2		–6,528.2
Total movements 2023	**13.1**	**893.6**	**57.4**	**45.3**	**2.5**	**281.4**	**1,293.3**
Acquisitions and improvements	19.8	121.1	4.6	113.0	10.6	1,302.8	1,571.9
Depreciation and write-downs	–0.1	–529.6	–71.2	–144.9	–27.8	–3.3	–776.9
Sales at selling price	–40.6	–4.0	0.0	–0.8	0.0	0.0	–45.4
Profit from sales	32.2	1.5	0.0	0.5	0.0	0.0	34.2
Non-monetary contributions and payments	–3.6	1.0	0.0	7.7	0.1	0.0	5.2
Non-monetary government grants received	0.5	9.0	11.6	9.5	0.2	0.0	30.8
Non-monetary government grants awarded	0.0	–0.3	–1.2	0.0	0.0	–0.2	–1.7
Reclassification	0.9	1,293.5	113.6	60.2	19.4	–1,017.9	469.7
Changes due to acquisition and end of controlling influence	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Revaluation	4.0	1.4	0.0	0.1	0.0	0.0	5.5

	Land	Buildings and facilities	Defence-related non-current assets	Plant and equipment	Other non-current assets	Work-in-progress and prepayments	Total
Balance as of 31/12/2023	**810.2**	**8,027.3**	**441.2**	**863.0**	**201.8**	**1,035.7**	**11,379.2**
Cost	810.2	13,438.8	1,009.1	1,946.5	347.0	1,035.7	18,587.3
Accumulated depreciation		–5,411.5	–567.9	–1,083.5	–145.2		–7,208.1
Average depreciation rate		**4.2%**	**7.5%**	**7.6%**	**7.9%**		
Leased under the finance lease, carrying amount		43.0	0.0	86.3	0.1		129.4
Leased under operating lease, carrying amount	3.1	107.0	0.0	0.4	0.3		110.8
Pledged to cover loans, carrying amount	3.3	88.7	0.0	0.0	0.0		92.0
Total movements 2024	**51.6**	**324.4**	**70.7**	**66.6**	**9.5**	**374.7**	**897.5**
Acquisitions and improvements	38.0	48.4	9.2	106.7	10.0	1,445.6	1,657.9
Depreciation and write-downs	–0.1	–537.2	–64.9	–131.0	–20.5	–1.8	–755.5
Sales at selling price	–30.6	–21.5	0.0	–1.1	0.0	0.0	–53.2
Profit from sales	27.4	1.2	0.0	0.9	0.0	0.0	29.5
Non-monetary contributions and payments	0.1	2.8	0.0	0.5	0.0	0.0	3.4
Non-monetary government grants received	1.3	2.1	9.1	1.9	0.2	0.0	14.6
Non-monetary government grants awarded	0.0	–1.5	–4.0	–0.2	0.0	0.0	–5.7
Reclassification	3.0	827.2	121.3	88.8	19.7	–1,069.2	–9.2
Revaluation	12.5	2.9		0.1	0.1	0.1	15.7
Balance as of 31/12/2024	**861.8**	**8,351.7**	**511.9**	**929.6**	**211.3**	**1,410.4**	**12,276.7**
Cost	861.8	14,043.2	1,141.9	2,073.7	368.4	1,410.4	19,899.4
Accumulated depreciation		–5,691.5	–630.0	–1,144.1	–157.1		–7,622.7
Average depreciation rate		**4.1%**	**6.0%**	**6.6%**	**5.7%**		
Leased under the finance lease, carrying amount		57.3	0.0	74.9	0.1		132.3
Leased under operating lease, carrying amount	9.1	118.7	0.0	0.4	0.2		128.4
Pledged to cover loans, carrying amount	0.6	67.2	0.0	0.0	0.0		67.8

Note c9

Intangible non-current assets

In millions of euros

	Public sector		General government sector	
	2024	2023	2024	2023
Balance at the beginning of the period	**429.9**	**374.9**	**291.8**	**242.8**
Cost	971.3	863.4	700.9	604.6
Accumulated depreciation	–541.4	–488.5	–409.1	–361.8
Total movements	**49.1**	**55.0**	**30.1**	**49.0**
Acquisitions and improvements	141.9	145.1	103.1	110.8
Depreciation and write-downs	–94.2	–87.9	–74.0	–65.6
Reclassification	0.8	–1.4	1.0	3.8

	Public sector		General government sector	
	2024	2023	2024	2023
Exchange rate differences from currency revaluation	1.4	–0.8	0.0	0.0
Changes due to acquisition and end of controlling influence	–0.8	0.0	0.0	0.0
Balance at the end of the period	**479.0**	**429.9**	**321.9**	**291.8**
Cost	1,085.9	971.3	783.7	700.9
Accumulated depreciation	–606.9	–541.4	–461.8	–409.1
Average depreciation rate (%)	**9.2%**	**9.6%**	**10.0%**	**10.0%**

Note c10

Acquisition of property, plant and equipment and intangible non-current assets and investment property by area of activity

In millions of euros

	Public sector		General government sector	
	2024	2023	2024	2023
Transport	605.8	476.2	540.4	426.8
Fuel and energy	908.8	899.9	1.3	32.6
Other	115.9	139.1	52.1	54.4
Housing and utilities	53.7	62.6	22.7	26.7
Environmental protection	18.8	21.5	13.1	12.5
Education	205.2	256.4	205.7	257.1
Leisure time, culture, religion	121.4	135.6	119.2	133.9
National defence	521.1	377.7	525.4	379.2
Public order and security	48.5	56.3	48.5	56.5
Health care	81.5	155.7	80.7	155.3
Social protection	26.1	30.1	26.1	30.0
General government sector services	130.7	120.8	127.3	119.8
Total non-current assets acquired	**2,837.5**	**2,731.9**	**1,762.5**	**1,684.8**

In the cash flow statement of the public sector, the acquisition of non-current assets has been adjusted by an increase in trade payables in the amount of 2.3 million euros (an increase of 85.9 million euros in 2023).
In the cash flow statement of the general government sector, the acquisition of non-current assets has been adjusted by an increase in trade payables in the amount of 27.2 million euros (increase of 48.5 million euros in 2023).

In the cash flow statement, the acquisition of non-current assets has also been adjusted by incurring finance lease liabilities (see Note c14) and capitalised interest expense (see Note c24).

Note c11

Biological assets

In millions of euros

	Public sector		General government sector	
	2024	2023	2024	2023
Balance at the beginning of the period	**2,494.2**	**2,251.5**	**34.0**	**33.7**
Sales at selling price	–0.2	–0.4	–0.2	–0.4

	Public sector		General government sector	
	2024	2023	2024	2023
Profit from sales	0.1	0.2	0.2	0.2
Change in fair value	–501.5	242.9	–22.9	0.5
Balance at the end of the period	**1,992.6**	**2,494.2**	**11.1**	**34.0**
Incl. current assets	98.5	69.6	0.8	3.1
Incl. non-current assets	1,894.1	2,424.6	10.3	30.9

Growing forest ready for cutting accounts for 1,980.6 million euros of the biological assets of the public sector as of the end of the reporting period (2,438.8 million euros as of 31 December 2023), including 87.2 million euros recognised as a short-term part (59.8 million euros as of 31 December 2023). The majority of it is made up by growing forest ready for cutting (see Note a14).
Growing forest ready for cutting amounts to 10.6 million euros of the biological assets of the general government sector as of the end of the reporting period (33.5 million euros as of 31 December 2023), including 0.8 million euros recognised as a short-term part (3.1 million euros as of 31 December 2023).

Note c12

Other liabilities and prepayments received

In millions of euros

	Public sector			General government sector		
	31/12/2024	31/12/2023	31/12/2022	31/12/2024	31/12/2023	31/12/2022
Other short-term liabilities and prepayments received	**17,330.1**	**15,480.2**	**15,315.1**	**2,367.1**	**1,901.6**	**1,593.3**
Tax, state fee and fine liabilities	90.6	86.2	83.2	71.8	65.6	66.3
Interest payable	96.7	95.6	55.1	61.0	32.8	17.9
Other accruals	44.9	21.7	33.3	1.5	1.5	0.8
Grant liabilities	306.3	309.3	276.9	322.1	320.8	324.6
Renewable energy charges for the provision of subsidies	18.8	20.4	6.2	0.0	0.0	0.0
Banknotes in circulation	4,352.1	4,027.8	4,071.6	0.0	0.0	0.0
Customer deposits	10,390.7	9,429.6	9,601.9	34.1	86.2	108.8
Security deposits	47.9	41.3	45.4	38.4	31.0	36.8
Liabilities on sale of assets (see Note a15)	0.0	9.2	54.0	0.0	0.0	0.0
Liability arising from emissions quota swap transaction (see Note a15)	79.8	0.0	0.0	0.0	0.0	0.0
Other liabilities	71.0	76.0	32.8	36.7	37.9	32.2
Prepayments received for government grants (see Note c15)	1,787.7	1,319.1	991.3	1,779.1	1,308.7	982.8
Other deferred income	43.6	44.0	63.4	22.4	17.1	23.1
Long-term liabilities and prepayments received	**88.5**	**83.0**	**76.8**	**58.4**	**51.7**	**44.7**
Trade payables	15.0	11.4	6.8	7.0	5.9	3.6
Interest payables (see Note a17)	39.8	34.1	30.3	39.8	34.1	30.3
Deferred corporate income tax liabilities (see Note a15)	18.8	13.7	12.9	0.0	0.0	0.0
Other liabilities	3.1	11.8	13.3	1.5	1.4	1.5
Other deferred income	11.8	12.0	13.5	10.1	10.3	9.3
Total other liabilities and prepayments received	**17,418.6**	**15,563.2**	**15,391.9**	**2,425.5**	**1,953.3**	**1,638.0**

Since joining the Eurosystem, Eesti Pank recognises euro banknotes in circulation according to the basis for allocation of euro banknotes to the national central banks in the Eurosystem, which is the holdings of each national central bank in the European Central Bank. The difference between the value of the banknotes actually issued by a central bank and the value resulting from the allocation of banknotes gives rise to remunerated intra-Eurosystem balances (see Note c4).
Customer deposits in bank accounts of Estonian banks opened with Eesti Pank, including those to cover the mandatory reserve, overnight deposits and funds that are not freely available, totalled 9,896.6 million euros (8,973.1 million euros as of 31 December 2023), and the offsetting entry of units of account of International Monetary Fund (IMF) amounted to 370.6 million euros (359.2 million euros as of 31 December 2023).

Note c13

Provisions

In millions of euros

	Public sector			General government sector		
	Short-term	Long-term	Total	Short-term	Long-term	Total
Balance as of 31/12/2022	**888.0**	**4,124.8**	**5,012.8**	**406.2**	**4,075.2**	**4,481.4**
Pension provisions	381.6	4,023.5	**4,405.1**	381.3	4,023.0	**4,404.3**
Environmental protection provisions	431.5	26.8	**458.3**	0.0	0.3	**0.3**
Provisions for legal costs	3.2	4.0	**7.2**	3.2	4.0	**7.2**
Provisions for guarantee liabilities and loan securities	15.9	44.1	**60.0**	9.4	44.1	**53.5**
Other provisions	55.8	26.4	**82.2**	12.3	3.8	**16.1**
Total movements 2023	**–409.6**	**511.6**	**102.0**	**–252.0**	**502.3**	**250.3**
Formation of provisions	331.0	484.0	**815.0**	6.4	474.4	**480.8**
Disbursements and uses	–874.7	–0.7	**–875.4**	–391.4	0.0	**–391.4**
Interest on discounted provisions	0.0	162.4	**162.4**	0.0	160.7	**160.7**
Reclassification	134.1	–134.1	**0.0**	133.0	–132.8	**0.2**
Balance as of 31/12/2023	**478.4**	**4,636.4**	**5,114.8**	**154.2**	**4,577.5**	**4,731.7**
Pension provisions	137.2	4,517.0	**4,654.2**	136.0	4,516.5	**4,652.5**
Environmental protection provisions	206.6	27.8	**234.4**	0.0	0.3	**0.3**
Provisions for legal costs	2.3	4.6	**6.9**	2.1	4.5	**6.6**
Provisions for guarantee liabilities and loan securities	99.3	48.5	**147.8**	6.9	48.5	**55.4**
Other provisions	33.0	38.5	**71.5**	9.2	7.7	**16.9**
Total movements 2024	**17.6**	**338.0**	**355.6**	**22.7**	**346.0**	**368.7**
Formation of provisions	210.7	320.1	**530.8**	12.6	310.1	**322.7**
Disbursements and uses	–339.2	–0.5	**–339.7**	–134.5	0.0	**–134.5**
Changes from end of controlling influence	–0.5	–17.6	**–18.1**	0.0	0.0	**0.0**
Interest on discounted provisions	0.0	182.6	**182.6**	0.0	180.5	**180.5**
Reclassification	146.6	–146.6	**0.0**	144.6	–144.6	**0.0**
Balance as of 31/12/2024	**496.0**	**4,974.4**	**5,470.4**	**176.9**	**4,923.5**	**5,100.4**
Pension provisions	153.9	4,865.0	**5,018.9**	152.9	4,864.3	**5,017.2**
Environmental protection provisions	127.3	31.6	**158.9**	0.0	0.5	**0.5**
Provisions for legal costs	4.0	9.2	**13.2**	3.3	9.2	**12.5**
Provisions for guarantee liabilities and loan securities	178.4	43.5	**221.9**	8.1	43.4	**51.5**
Other provisions	32.4	25.1	**57.5**	12.6	6.1	**18.7**

In the public sector, the provisions for guarantee liabilities and loan securities include the provision by Eesti Pank for risks related to financial investments in the amount of 169.0 million euros (90.9 million euros as of 31 December 2023).

Note c14

Loan liabilities

In millions of euros

A. Public sector

Loan liabilities by residual term

	Bonds	Loans	Finance lease	Total
Balance as of 31/12/2022	**3,782.1**	**4,363.4**	**182.2**	**8,327.7**
Up to 1 year	1,085.2	661.6	21.5	**1,768.3**
1 to 5 years	150.5	1,532.6	76.2	**1,759.3**
More than 5 years	2,546.4	2,169.2	84.5	**4,800.1**
Balance as of 31/12/2023	**3,727.8**	**5,748.4**	**168.9**	**9,645.1**
Up to 1 year	529.8	903.4	25.3	**1,458.5**
1 to 5 years	133.9	2,354.7	65.7	**2,554.3**
More than 5 years	3,064.1	2,490.3	77.9	**5,632.3**
Balance as of 31/12/2024	**5,364.2**	**5,676.0**	**148.0**	**11,188.2**
Up to 1 year	985.0	669.6	22.4	**1,677.0**
1 to 5 years	173.4	2,720.3	52.1	**2,945.8**
More than 5 years	4,205.8	2,286.1	73.5	**6,565.4**

Movements in loan liabilities

	Bonds	Loans	Finance lease	Total
Balance as of 31/12/2022	**3,782.1**	**4,363.4**	**182.2**	**8,327.7**
Received	1,321.4	2,075.7	32.4	**3,429.5**
Revaluations	0.0	0.5	0.1	**0.6**
Reclassification	0.0	0.0	–4.4	**–4.4**
Changes due to acquisition and end of controlling influence	0.0	–3.3	0.0	**–3.3**
Offset against loan receivables (see Note a17)	0.0	–4.8	0.0	**–4.8**
Repayment	–1,392.2	–675.0	–42.1	**–2,109.3**
Depreciation of loan cost	16.5	–8.1	0.7	**9.1**
Balance as of 31/12/2023	**3,727.8**	**5,748.4**	**168.9**	**9,645.1**
Received	3,933.3	817.9	17.9	**4,769.1**
Changes due to acquisition and end of controlling influence	0.0	0.0	–2.8	**–2.8**
Exchange rate differences from currency revaluation	0.0	0.1	0.1	**0.2**
Offset (see Note a17)	0.0	–4.8	–2.6	**–7.4**
Repayment	–2,302.2	–889.8	–33.5	**–3,225.5**
Depreciation of loan cost	5.3	4.2	0.0	**9.5**
Balance as of 31/12/2024	**5,364.2**	**5,676.0**	**148.0**	**11,188.2**
Interest expense in 2023 (see Note c24)	–91.2	–165.2	–7.9	–264.3
Average interest rate	2.4%	3.3%	4.5%	2.9%
Interest expense in 2024 (see Note c24)	–146.0	–240.8	–9.2	–396.0
Average interest rate	3.2%	4.2%	5.8%	3.8%

B. General government sector

Loan liabilities by residual term

	Bonds	Loans	Finance lease	Total
Balance as of 31/12/2022	**2,925.9**	**3,261.4**	**125.7**	**6,313.0**
Up to 1 year	359.8	211.5	12.0	**583.3**
1 to 5 years	16.5	1,022.3	35.2	**1,074.0**
More than 5 years	2,549.6	2,027.6	78.5	**4,655.7**
Balance as of 31/12/2023	**3,593.8**	**3,665.6**	**123.7**	**7,383.1**
Up to 1 year	522.1	219.9	13.5	**755.5**
1 to 5 years	7.7	1,288.1	35.8	**1,331.6**
More than 5 years	3,064.0	2,157.6	74.4	**5,296.0**
Balance as of 31/12/2024	**5,238.0**	**3,674.3**	**112.5**	**9,024.8**
Up to 1 year	977.4	344.8	10.4	**1,332.6**
1 to 5 years	54.8	1,412.2	37.2	**1,504.2**
More than 5 years	4,205.8	1,917.3	64.9	**6,188.0**

Movements in loan liabilities

	Bonds	Loans	Finance lease	Total
Balance as of 31/12/2022	**2,925.9**	**3,261.4**	**125.7**	**6,313.0**
Received	1,321.4	610.9	10.9	**1,943.2**
Reclassification	0.0	46.0	1.1	**47.1**
Changes due to acquisition and end of controlling influence	9.3	0.1	0.0	**9.4**
Depreciation of loan cost	0.0	–4.8	0.0	**–4.8**
Repayment	–662.8	–248.0	–14.0	**–924.8**
Balance as of 31/12/2023	**3,593.8**	**3,665.6**	**123.7**	**7,383.1**
Received	3,933.3	372.4	5.4	**4,311.1**
Reclassification	0.0	5.2	0.0	**5.2**
Offset (see Note a17)	0.0	–4.8	–0.1	**–4.9**
Depreciation of loan cost	5.3	0.1	0.0	**5.4**
Repayment	–2,294.4	–364.2	–16.5	**–2,675.1**
Balance as of 31/12/2024	**5,238.0**	**3,674.3**	**112.5**	**9,024.8**
Interest expense in 2023 (see Note c24)	–67.9	–98.5	–5.7	–172.1
Average interest rate	2.1%	2.8%	4.6%	2.5%
Interest expense in 2024 (see Note c24)	–138.7	–126.9	–6.1	–271.7
Average interest rate	3.1%	3.5%	5.2%	3.3%

For information on loan securities, pledged assets and assets leased under finance lease, see Notes c27, c7, c8.

Note c15

Grants received and awarded

In millions of euros

A. Grants received

A.1. Public sector

	Balance as of 31/12/2022		Calculated revenue 2023	Balance as of 31/12/2023		Calculated revenue 2024	Balance as of 31/12/2024	
	Receivables (see Note a3)	Prepayments received (see Note a15)		Receivables (see Note a3)	Prepayments received (see Note a15)		Receivables (see Note a3)	Prepayments received (see Note a15)
From European Union funds	713.5	919.2	1,274.6	875.4	1,154.0	1,143.1	769.1	1,550.4
Other foreign aid	16.6	69.1	79.1	23.2	161.3	202.4	22.8	232.2
Domestic grants	0.3	3.0	54.5	0.4	3.8	57.6	0.2	5.1
Total grants received	**730.4**	**991.3**	**1,408.2**	**899.0**	**1,319.1**	**1,403.1**	**792.1**	**1,787.7**

Due to the accounting of renewable energy subsidies, public sector grants received for 2023 have been retrospectively reduced by 21.3 million euros (domestic grants recorded as operating expenses; see Note a19).

Income from grants received by area of activity

	2024				2023			
	Income for operating expenses	Revenue for intermediating operating expenses	Income for acquisition of non-current assets	Income for intermediating acquisition of non-current assets	Income for operating expenses	Income for intermediating operating expenses	Income for acquisition of non-current assets	Income for intermediating acquisition of non-current assets
Agriculture	13.7	225.5	7.2	50.3	13.3	234.1	9.7	57.4
Transport	9.2	0.2	229.2	4.3	6.0	0.1	182.6	12.3
Other	48.0	12.5	116.3	29.3	45.7	15.7	177.1	44.9
Education	122.3	26.4	0.8	0.2	99.4	26.9	81.9	0.5
Housing and utilities	0.3	0.0	1.3	64.6	0.2	0.0	3.7	36.7
Environmental protection	11.7	1.8	5.1	10.0	21.7	2.0	5.8	10.5
General government sector services	79.2	4.1	31.7	2.1	71.1	4.8	28.6	2.1
Health care	3.3	0.0	28.0	0.0	5.8	0.2	97.0	1.1
Social protection	14.6	0.2	0.6	0.0	28.1	2.1	4.2	4.3
Leisure time, culture, religion	10.0	3.2	0.8	1.1	6.2	2.3	0.6	0.7
National defence	17.7	120.0	70.8	4.1	9.7	0.2	35.6	0.0
Public order and security	15.0	0.0	6.2	0.2	11.4	0.1	3.6	0.2
Total grants received	**345.0**	**393.9**	**498.0**	**166.2**	**318.6**	**288.5**	**630.4**	**170.7**

During the reporting period, 17.7 million euros of foreign aid (35.3 million euros in 2023) were recovered due to violation of the requirements, including 10.7 million euros of foreign aid intermediated outside the public sector (2.9 million euros in 2023) (recognised as a reduction in revenue).

Intermediated grants in the amount of 560.1 million euros (459.2 million euros in 2023) reflect grants received from European Union funds and other foreign aid which the public sector did not use for its operating expenses or for acquisition of non-current assets but passed on to beneficiaries outside the public sector (also recorded as grants awarded, see section B).

In the cash flow statement, government grants received for the acquisition of non-current assets have been adjusted by non-monetary government grants (see Note c8). In addition, cash flows from investment activities have been adjusted by an increase in government grant prepayments received of non-current assets by 24.8 million euros (an increase of 182.8 million euros in 2023) and a decrease in receivables by 106.9 million euros (an increase of 156.8 million euros in 2022).

A2. General government sector

	Balance as of 31/12/2022		Calculated revenue 2023	Balance as of 31/12/2023		Calculated revenue 2024	Balance as of 31/12/2024	
	Receivables (see Note a3)	Received prepayments (see Note a15)		Receivables (see Note a3)	Prepayments received (see Note a15)		Receivables (see Note a3)	Prepayments received (see Note a15)
From European Union funds	712.9	914.7	1,229.6	875.1	1,148.8	1,062.4	765.0	1,545.3
Other foreign aid	16.6	65.3	78.7	20.2	156.1	201.5	22.9	228.7
Domestic grants	0.3	2.8	54.8	0.3	3.8	57.1	0.3	5.1
Total grants received	**729.8**	**982.8**	**1,363.1**	**895.6**	**1,308.7**	**1,321.0**	**788.2**	**1,779.1**

Income from grants received by area of activity

	2024				2023			
	Income for operating expenses	Income for intermediating operating expenses	Income for acquisition of non-current assets	Income for intermediating acquisition of non-current assets	Income for operating expenses	Income for intermediating operating expenses	Income for acquisition of non-current assets	Income for intermediating acquisition of non-current assets
Agriculture	13.0	225.7	7.2	50.3	13.0	234.2	9.7	57.4
Transport	8.8	0.4	228.2	5.0	5.8	0.1	173.0	13.0
Other	45.3	10.1	19.0	50.8	44.3	15.9	141.4	45.3
Education	122.2	26.6	0.8	0.2	99.2	27.1	81.9	0.5
Environmental protection	11.5	2.0	3.6	11.5	19.7	4.0	0.0	16.6
Housing and utilities	0.3	0.0	0.7	64.6	0.1	0.0	3.8	36.8
Social protection	14.5	0.3	0.6	0.0	28.1	2.1	4.2	4.3
Health care	3.3	0.0	28.0	0.0	5.8	0.2	96.9	1.2
Leisure time, culture, religion	10.2	3.2	0.8	1.1	6.4	2.3	0.6	0.7
General government sector services	79.0	4.3	31.7	2.1	71.2	4.8	27.7	3.0
National defence	17.7	120.0	70.8	4.1	9.7	0.2	35.6	0.0
Public order and security	15.0	0.0	6.3	0.2	11.4	0.1	3.6	0.2
Total grants received	**340.8**	**392.6**	**397.7**	**189.9**	**314.7**	**291.0**	**578.4**	**179.0**

Pass-through income in the amount of 582.5 million euros (470.0 million euros in 2023) reflects grants received from European Union funds and other foreign aid and revenue from the sale of emission allowances, which the state did not use for its operating expenses or for acquisition of non-current assets but passed on to beneficiaries outside the general government sector (also recorded as government grants awarded, see section B).
In the cash flow statement, government grants received for the acquisition of non-current assets have been adjusted by non-monetary government grants (see Note c8). In addition, cash flows from investment activities have been adjusted by an increase in government grants prepayments received of non-current assets by 21.3 million euros (an increase of 182.4 million euros in 2023) and a decrease in receivables by 106.7 million euros (an increase of 154.1 million euros in 2023).

B. Grants awarded

	Public sector		General government sector	
	2024	2023	2024	2023
Pensions	–2,845.1	–2,544.8	–2,845.1	–2,544.8
Compensation for temporary incapacity for work	–153.9	–155.2	–153.9	–155.2
Compensation of medicines and medical devices	–260.3	–237.6	–260.3	–237.6
Other health insurance benefits	–528.2	–467.2	–532.9	–471.5
Unemployment insurance benefits	–191.3	–179.0	–191.3	–179.0
Family allowances	–801.8	–877.7	–801.8	–877.7
Subsistence benefit	–56.5	–58.4	–56.5	–58.4
Other benefits and services established by the Social Welfare Act	–50.4	0.0	–50.4	0.0
Benefits for the unemployed	–60.5	–59.9	–60.5	–59.9

	Public sector		General government sector	
	2024	2023	2024	2023
Benefits for disabled people	–115.1	–84.5	–115.1	–84.5
Work ability allowance	–467.9	–427.1	–467.9	–427.1
Social welfare services and benefits for the elderly	–39.7	–41.8	–39.7	–41.8
Education allowance	–60.1	–53.1	–60.1	–53.1
Social tax and funded pension paid in special cases	–171.0	–165.8	–171.0	–165.8
Formation of public sector pension provisions	–44.6	–67.7	–44.6	–67.7
Other social benefits	–46.8	–48.2	–47.0	–48.2
Government grants for operating expenses	–1,240.1	–1,224.2	–1,197.9	–1,212.8
Government grants awarded for acquisition of non-current assets	–213.7	–235.0	–252.5	–260.2
Total grants awarded	**–7,347.0**	**–6,927.2**	**–7,348.5**	**–6,945.3**

Due to renewable energy subsidies accounting, public sector grants provided in 2023 have been retrospectively increased by 53.5 million euros (earmarked funding for operating expenses; see Note a19).
In 2024, the chart of accounts for social benefits was reorganised (application of changes in 2024 was voluntary). Under the Social Welfare Act, these benefits and services are now recorded in a separate account group. Previously, they were included across different account groups, including operating expenses. Retrospective correction of prior data is not possible.

In the cash flow statement, government grants awarded for the acquisition of non-current assets have been adjusted by non-monetary government grants (see Note c8).
In addition, the cash flow statement of the public sector takes into account an increase of 10.0 million euros in government grant liabilities for the acquisition of non-current assets (a decrease of 6.9 million euros in 2023) and an increase of 3.0 million euros in prepayments paid (an increase of 5.2 million euros in 2023).
Moreover, the cash flow statement of the general government takes into account an increase of 14.2 million euros in government grant liabilities for the acquisition of non-current assets (an increase of 26.3 million euros in 2023) and an increase of 37.2 million euros in prepayments (an increase of 1.6 million euros in 2023).

Grants awarded for operating expenses and acquisition of non-current assets by area of activity

	Public sector				General government sector			
	2024		2023		2024		2023	
	For operating expenses	For acquisition of non-current assets	For operating expenses	For acquisition of non-current assets	For operating expenses	For acquisition of non-current assets	For operating expenses	For acquisition of non-current assets
Agriculture	–247.4	–58.7	–266.7	–67.1	–247.5	–58.8	–267.7	–67.1
Transport	–105.6	–5.4	–110.7	–14.7	–116.2	–6.5	–121.2	–15.5
Other	–118.5	–32.3	–161.9	–47.8	–62.0	–61.3	–135.7	–58.7
Education	–120.1	–0.2	–106.7	–0.7	–120.5	–0.2	–107.1	–0.7
Environmental protection	–10.5	–18.5	–9.9	–14.7	–11.6	–24.1	–12.9	–24.9
Housing and utilities	–3.7	–74.4	–4.2	–64.5	–3.7	–76.7	–3.4	–65.7
Social protection	–19.1	0.0	–22.8	–4.3	–19.1	0.0	–22.8	–4.4
Health care	–11.3	–0.1	–8.7	–1.4	–11.3	–0.1	–8.9	–1.4
Leisure time, culture, religion	–148.0	–6.0	–139.4	–6.9	–149.2	–6.3	–140.9	–7.8
General government sector services	–317.6	–5.9	–375.7	–9.9	–318.5	–6.3	–374.7	–11.0
National defence	–133.9	–8.1	–11.7	–1.2	–133.9	–8.1	–11.7	–1.2
Public order and security	–4.4	–4.1	–5.8	–1.8	–4.4	–4.1	–5.8	–1.8
Total grants awarded	**–1,240.1**	**–213.7**	**–1,224.2**	**–235.0**	**–1,197.9**	**–252.5**	**–1,212.8**	**–260.2**

Due to renewable energy subsidies accounting, grants awarded in 2023 have been retrospectively increased by 53.5 million euros.

Grants to non-residents, including membership fees, amounted to 499.8 million euros in the public sector (544.7 million euros in 2023), of which 308.1 million euros (369.5 million euros in 2023) were meant for the area of activity of the general government sector services in the public sector.
Grants to non-residents, including membership fees, amounted to 495.9 million euros in the general government sector (543.2 million euros in 2023), of which 307.0 million euros (368.4 million euros in 2023) were meant for the area of activity of the general government sector services.

Note c16

Reserves

In millions of euros

	Balance as of 31/12/2022	Formation/decrease 2023	Balance as of 31/12/2023	Formation/decrease 2024	Balance as of 31/12/2024
Stabilisation Reserve Fund (see Note a20)	423.9	16.3	440.2	13.1	453.3
Other state reserves (see Note a20)	50.4	1.0	51.4	0.3	51.7
Local government reserves	0.4	0.0	0.4	0.0	0.4
Legal reserve and risk reserve of Tervisekassa	137.2	21.8	159.0	16.9	175.9
Legal reserve of Töötukassa	92.0	0.0	92.0	0.0	92.0
Total general government sector reserves	**703.9**	**39.1**	**743.0**	**30.3**	**773.3**
Legal reserve of Eesti Pank	485.8	0.0	485.8	0.0	485.8
Total public sector reserves	**1,189.7**	**39.1**	**1,228.8**	**30.3**	**1,259.1**

The legal reserve of Tervisekassa must form at least 6% of the budget and the risk reserve at least 2% of the size of the health insurance budget.

The legal reserve of Töötukassa must form at least 10% of the size of its assets.

Based on the Bank of Estonia Act, at least 25% of the annual profit is directed to the increase of the legal reserve every year.

Note c17

Taxes and social security contributions

In millions of euros

	Public sector		General government sector		Expenditure on pass-throughs (see Note c23)		Expenditure on doubtful receivables (see Note c23)	
	2024	2023	2024	2023	2024	2023	2024	2023
Social tax and social security contributions	**5,392.7**	**5,071.9**	**5,392.7**	**5,071.9**	**–503.6**	**–481.0**	**–12.5**	**–10.8**
Social tax for pension insurance	2,972.7	2,796.0	2,972.7	2,796.0	–324.5	–309.4	–7.2	–6.2
Social tax for health insurance	1,929.4	1,811.2	1,929.4	1,811.2	0.0	0.0	–4.7	–4.0
Unemployment insurance premiums	311.6	293.0	311.6	293.0	0.0	0.0	–0.6	–0.5
Funded pension contributions	179.0	171.7	179.0	171.7	–179.1	–171.6	0.0	–0.1
Taxes on goods and services	**4,262.7**	**3,936.0**	**4,300.0**	**3,966.5**	**0.0**	**0.0**	**–23.3**	**–13.8**
VAT	3,188.0	2,879.3	3,193.1	2,884.1	0.0	0.0	–23.3	–14.2
Excise duty	1,016.1	1,005.1	1,027.7	1,015.0	0.0	0.0	0.0	0.4
On alcohol	252.7	262.4	252.7	262.4	0.0	0.0	0.0	0.0
On tobacco	249.7	251.4	249.7	251.4	0.0	0.0	0.0	0.4
On fuel	512.3	490.2	515.2	493.3	0.0	0.0	0.0	0.0
On electricity	1.2	0.9	9.9	7.7	0.0	0.0	0.0	0.0
Other excise duties	0.2	0.2	0.2	0.2	0.0	0.0	0.0	0.0
Gambling tax	37.5	32.7	58.1	48.5	0.0	0.0	0.0	0.0
Parking charges	10.0	8.9	10.0	8.9	0.0	0.0	0.0	0.0
Advertising tax	8.1	7.7	8.1	7.7	0.0	0.0	0.0	0.0
Road and street closure fees	3.0	2.3	3.0	2.3	0.0	0.0	0.0	0.0

	Public sector		General government sector		Expenditure on pass-throughs (see Note c23)		Expenditure on doubtful receivables (see Note c23)	
	2024	2023	2024	2023	2024	2023	2024	2023
Income tax	**3,822.5**	**3,092.4**	**3,866.8**	**3,141.9**	**0.0**	**0.0**	**–6.1**	**–7.4**
Personal income tax	2,693.9	2,388.3	2,693.9	2,388.3	0.0	0.0	–4.7	–5.2
Corporate income tax	1,128.6	704.1	1,172.9	753.6	0.0	0.0	–1.4	–2.2
Property tax	**53.9**	**52.5**	**60.7**	**60.9**	**0.0**	**0.0**	**–0.2**	**–0.1**
Land tax	49.1	47.6	55.9	56.0	0.0	0.0	–0.2	–0.1
Heavy goods vehicle tax	4.8	4.9	4.8	4.9	0.0	0.0	0.0	0.0
Customs duty	**44.7**	**40.6**	**44.7**	**40.6**	**–33.6**	**–30.0**	**0.0**	**0.0**
Total taxes	**13,576.5**	**12,193.4**	**13,664.9**	**12,281.8**	**–537.2**	**–511.0**	**–42.1**	**–32.1**

Social security contributions are passed on to funded pension funds and customs duties to the European Commission.

Note c18

Goods and services sold

In millions of euros

	Public sector		General government sector	
	2024	2023	2024	2023
State fees	**93.1**	**88.1**	**93.6**	**88.6**
Income from economic activities	**3,746.7**	**4,034.8**	**885.6**	**978.2**
Income from sale of electricity	1,544.8	1,585.2	7.5	8.4
Income from sale of gas	109.5	103.0	0.0	0.0
Income from transport services	288.8	301.8	64.2	60.4
Income from agriculture and forestry	260.3	315.3	9.7	9.2
Income from mining, processing industry and construction	184.6	212.4	0.0	0.2
Income from heat energy sold	90.5	76.7	7.2	8.0
Income from educational activities	131.3	121.8	134.0	124.4
Income from communication services	130.6	119.3	2.7	2.5
Lease and rent	79.4	75.3	40.7	38.8
Income from health care	97.8	95.5	87.4	85.5
Income from water and sewerage services	84.1	80.0	11.3	9.3
Income from culture and arts	62.1	58.4	60.9	57.3
Income from social assistance activities	53.7	50.2	53.7	50.1
Income from sports and recreational activities	30.8	27.6	26.7	23.6
Sale of emission allowance credits	254.7	360.3	254.6	360.0
Sale of rights	35.0	28.1	25.1	18.6
Other goods and services sold	308.7	423.9	99.9	121.9
Total goods and services sold	**3,839.8**	**4,122.9**	**979.2**	**1,066.8**

Note c19

Other income

In millions of euros

	Public sector		General government sector	
	2024	**2023**	**2024**	**2023**
Profit/loss from non-current assets sold (see Notes c7, c8, c11)	36.7	39.0	33.8	37.5
Interest income from deferred taxes	18.8	18.7	18.9	19.1
Compensation awarded by court judgments	8.1	10.7	8.1	10.6
Fines and other fines to the extent of asset	37.6	30.6	37.5	31.3
Income from providing natural resources for use	37.8	37.7	63.4	69.4
Pollution charges and compensation for environmental damage	19.5	19.2	36.5	34.0
Road usage charges	26.2	20.8	26.3	20.9
Profit/loss from sale of inventories	20.0	10.4	18.9	8.7
Profit from revaluation of derivatives	56.8	225.7	0.0	0.0
Other income	40.7	35.4	16.8	22.9
Total other income	**302.2**	**448.2**	**260.2**	**254.4**

Note c20

Labour costs

In millions of euros

	Public sector		General government sector	
	2024	**2023**	**2024**	**2023**
Expenditure of salaries and wages				
Persons elected and appointed to a position	–43.8	–42.2	–43.8	–42.2
Officials	–612.2	–589.0	–612.2	–589.0
Members of supervisory boards and management boards	–35.5	–33.5	–20.4	–19.2
Employees	–3,107.2	–2,842.2	–2,723.6	–2,470.0
Total salaries and wages of full-time employees	**–3,798.7**	**–3,506.9**	**–3,400.0**	**–3,120.4**
Salaries and wages of temporary and external employees	–87.0	–85.0	–82.4	–79.5
Special pensions and pension increases (see Note a23)	–99.9	–161.9	–99.9	–161.9
Total expenditure of salaries and wages	**–3,985.6**	**–3,753.8**	**–3,582.3**	**–3,361.8**
Average number of employees (in full-time equivalents)				
Persons elected and appointed to a position	562	611	562	611
Officials	19,670	19,525	19,670	19,525
Members of supervisory boards and management boards	668	613	414	388
Employees	117,413	116,895	104,911	103,450
Total average number of employees	**138,313**	**137,644**	**125,557**	**123,974**
Other labour costs				
Fringe benefits	–20.9	–22.7	–17.3	–17.0
Taxes and social security contributions	–1,304.1	–1,205.4	–1,174.5	–1,078.9
Capitalised production	47.2	43.1	14.8	12.9
Total other labour costs	**–1,277.8**	**–1,185.0**	**–1,177.0**	**–1,083.0**
Total labour costs	**–5,263.4**	**–4,938.8**	**–4,759.3**	**–4,444.8**

Labour costs by area of activity are presented in Note c25.

Note c21

Management expenses

In millions of euros

	Public sector		General government sector	
	2024	**2023**	**2024**	**2023**
Production costs	–1,190.5	–1,148.7	–10.6	–9.2
Management expenses of property, buildings and premises	–410.7	–396.7	–433.3	–433.4
Medical supplies and services	–305.0	–284.7	–302.3	–280.7
Management expenses of facilities	–314.0	–281.8	–226.8	–226.8
Management expenses of vehicles	–205.6	–241.7	–120.7	–118.7
Defence-related equipment and materials	–390.8	–210.6	–390.6	–210.8
Information and communication technology expenses	–218.6	–194.2	–184.4	–162.9
Administration costs	–154.3	–149.7	–122.1	–119.7
Management expenses of work machinery, equipment and fixtures and fittings	–133.7	–149.0	–109.4	–124.2
Communication, culture and leisure time expenses	–129.2	–132.5	–119.7	–123.6
Social services	–34.0	–121.7	–34.0	–121.8
Foodstuffs and catering services	–94.1	–93.1	–92.5	–91.5
Cost of teaching materials and training	–121.6	–89.1	–121.6	–89.4
Travel expenses	–75.9	–73.8	–72.0	–69.7
Staff training expenses	–41.8	–41.4	–36.1	–34.3
Other special equipment and materials	–21.7	–41.1	–18.2	–38.1
Transport services	–38.4	–39.4	–33.2	–32.5
Research and development	–32.7	–30.4	–29.2	–26.5
Special clothing and uniforms	–19.5	–14.6	–17.2	–13.5
Change in provisions for security and guarantee losses	2.6	–5.6	2.9	–5.1
Other miscellaneous management expenses	–41.7	–47.8	–37.9	–47.5
Total management expenses	**–3,971.2**	**–3,787.6**	**–2,508.9**	**–2,379.9**

Management expenses by area of activity are presented in Note c25.

Decrease in social service expenditure, see Note a26.

Note c22

Depreciation and change in value of non-current assets

In millions of euros

	Public sector		General government sector	
	2024	**2023**	**2024**	**2023**
Depreciation of investment property (see Note c7)	–9.1	–10.8	–6.9	–8.3
Depreciation of property, plant and equipment (see Note c8)	–1,232.0	–1,772.1	–755.5	–776.9
Depreciation of intangible non-current assets (see Note c9)	–94.2	–87.9	–74.0	–65.6
Total depreciation and change in value of non-current assets	**–1,335.3**	**–1,870.8**	**–836.4**	**–850.8**

Depreciation and change in value by area of activity are presented in Note c25.

Note c23

Other expenditure

In millions of euros

	Public sector		General government sector	
	2024	**2023**	**2024**	**2023**
Expenditure on doubtful tax, state fee and fine receivables	**–49.4**	**–39.6**	**–49.4**	**–39.6**
Tax receivables (see Note c17)	–42.1	–32.1	–42.1	–32.1
Interest receivables on deferred taxes	–5.8	–5.2	–5.8	–5.2
Receivables adjudicated based on court judgment	–0.5	–0.5	–0.5	–0.5
Fine receivables	–1.2	–1.3	–1.2	–1.3
Natural resource use and pollution charges	0.2	–0.5	0.2	–0.5
Expenditure on passing on taxes, state fees and fines	**–538.6**	**–512.5**	**–538.6**	**–512.5**
Transfer of tax revenue (see Note c17)	–537.2	–511.0	–537.2	–511.0
Pass-through state fees	–1.4	–1.5	–1.4	–1.5
Other expenditure	**–288.8**	**–628.6**	**–137.3**	**–176.2**
Expenditure on doubtful loan receivables	5.7	–2.4	5.8	–2.3
Expenditure on other doubtful receivables	–9.5	–2.5	–4.8	–1.7
Expenditure related to state secrets	–124.9	–133.3	–124.9	–133.3
Expenditure on emission allowances	–60.4	–205.4	0.0	0.0
Write-down of inventories	–5.4	–47.1	–3.9	–30.4
Loss from revaluation of derivatives	–64.8	–218.9	0.0	0.0
Other expenditure	–29.5	–19.0	–9.5	–8.5

Note c24

Financial income and expenditure

In millions of euros

	Public sector		General government sector	
	2024	**2023**	**2024**	**2023**
Operating result from holdings (see Note c6)	**1.8**	**71.8**	**217.9**	**234.3**
By equity method	11.0	12.9	0.0	0.0
Profit/loss from sale and liquidation	–9.2	58.9	0.9	71.8
Dividend income	0.0	0.0	245.4	202.5
Write-downs and reversals of write-downs	0.0	0.0	–28.4	–40.0
Interest expense	**–870.8**	**–706.0**	**–451.6**	**–333.1**
On loan liabilities (see Note c14)	–396.0	–264.2	–271.7	–172.1
Capitalised interest expense	62.6	33.6	1.7	0.5
On discounted liabilities	–182.8	–162.4	–180.5	–160.7
Interest expense of Eesti Pank on intra-Eurosystem balances	–353.1	–311.8	0.0	0.0
On other liabilities	–1.5	–1.2	–1.1	–0.8
Income from deposits and securities	**623.9**	**486.9**	**161.4**	**81.6**
Interest income from cash and cash equivalents (see Note c2)	108.4	69.5	80.4	49.5
Interest income from bonds (see Note c3)	7.6	49.3	76.1	46.7
Interest income of Eesti Pank on intra-Eurosystem balances	153.5	76.9	0.0	0.0
Profit from sale and revaluation of shares	77.6	–11.8	3.6	–14.7
Net financial income of Eesti Pank	257.4	287.3	0.0	0.0

	Public sector		General government sector	
	2024	2023	2024	2023
Other income from deposits and securities	19.4	15.7	1.3	0.1
Other financial income	**2.9**	**27.7**	**3.0**	**3.2**
Interest income from loans	0.3	0.3	1.3	1.4
Interest income on discounted receivables	1.6	1.8	1.6	1.9
Other financial income	1.0	25.6	0.1	–0.1
Other financial expenses	**–0.5**	**–0.4**	**–0.4**	**–0.3**
Total financial income and expenses	**–242.7**	**–120.0**	**–69.7**	**–14.3**

The public sector entry 'Interest income from bonds' reflects, among other things, the net interest income of Eesti Pank from various securities and derivative transactions totalling –69.4 million euros (1.4 million euros in 2023).

Note c25

Expenditure by area of activity

In millions of euros

A. Public sector

	2024					2023				
	Labour costs	Management expenses	Depreciation	Other expenditure	Total	Labour costs	Management expenses	Depreciation	Other expenditure	Total
General government sector services	397.8	209.4	92.3	615.5	**1,315.0**	376.1	188.1	85.6	470.2	**1,120.0**
National defence	214.2	513.7	98.1	67.8	**893.8**	197.5	324.2	103.2	64.7	**689.6**
Public order and security	424.0	95.4	27.5	56.4	**603.3**	413.7	94.0	29.6	68.9	**606.2**
Economy	788.8	1,780.2	766.2	**225.0**	**3,560.2**	746.0	1,775.7	1,286.7	525.9	**4,334.3**
Environmental protection	75.5	117.6	20.1	0.8	**214.0**	69.0	134.2	21.3	1.8	**226.3**
Housing and utilities	61.8	76.3	59.0	2.2	**199.3**	57.6	75.1	60.6	1.9	**195.2**
Health care	967.8	424.5	64.4	8.6	**1,465.3**	857.1	402.7	66.1	37.4	**1,363.3**
Leisure time, culture, religion	263.4	215.3	56.1	1.1	**535.9**	250.5	207.3	61.1	0.6	**519.5**
Education	1,719.4	416.9	127.4	1.6	**2,265.3**	1,580.1	405.1	132.4	1.9	**2,119.5**
Social protection	350.7	121.9	24.2	181.1	**677.9**	391.2	181.2	24.2	161.7	**758.3**
Total expenditure	**5,263.4**	**3,971.2**	**1,335.3**	**1,160.1**	**11,730.0**	**4,938.8**	**3,787.6**	**1,870.8**	**1,335.0**	**11,932.2**

B. General government sector

	2024					2023				
	Labour costs	Management expenses	Depreciation	Other expenditure	Total	Labour costs	Management expenses	Depreciation	Other expenditure	Total
General government sector services	373.4	212.1	90.6	262.3	**938.4**	353.9	198.5	83.9	158.3	**794.6**
National defence	214.2	520.4	98.1	67.8	**900.5**	197.5	334.6	103.2	64.7	**700.0**
Public order and security	424.1	97.4	27.5	56.3	**605.3**	413.7	95.8	29.6	68.9	**608.0**
Economy	364.9	337.5	317.2	9.6	**1,029.2**	327.1	363.6	317.3	14.9	**1,022.9**
Environmental protection	63.2	108.1	10.9	0.2	**182.4**	58.0	125.5	12.1	0.7	**196.3**
Housing and utilities	34.2	65.4	22.8	0.9	**123.3**	30.3	64.5	23.7	0.7	**119.2**
Health care	957.8	432.7	63.7	8.6	**1,462.8**	848.0	412.1	65.6	37.4	**1,363.1**
Leisure time, culture, religion	257.7	168.4	54.4	1.0	**481.5**	245.4	164.7	59.3	0.4	**469.8**
Education	1,719.1	441.8	127.0	1.6	**2,289.5**	1,579.7	435.5	131.9	1.9	**2,149.0**
Social protection	350.7	125.1	24.2	181.0	**681.0**	391.2	185.1	24.2	161.7	**762.2**
Total expenditure	**4,759.3**	**2,508.9**	**836.4**	**589.3**	**8,693.9**	**4,444.8**	**2,379.9**	**850.8**	**509.6**	**8,185.1**

Other expenditure includes other operating expenses, interest expense and other financial expenses. The change in public service pension provisions affecting labour costs is reflected under the area of activity of social protection (see Note a23).

Note c26

Transactions with public sector entities and related entities

In millions of euros

A. Receivables and liabilities with other public sector entities and related entities

	Public sector			General government sector		
	31/12/2024	31/12/2023	31/12/2022	31/12/2024	31/12/2023	31/12/2022
Assets	**18.4**	**4.8**	**5.8**	**188.9**	**291.4**	**587.0**
Current assets	**7.8**	**4.7**	**5.7**	**140.3**	**243.7**	**535.5**
Cash and bank accounts	0.0	0.0	0.0	12.3	170.4	454.7
Tax, state fee and fine receivables	4.7	3.1	2.8	75.0	53.5	56.3
Other receivables and prepayments	3.1	1.6	2.9	53.0	19.8	24.5
Non-current assets	**10.6**	**0.1**	**0.1**	**48.6**	**47.7**	**51.5**
Other receivables and prepayments	10.6	0.1	0.1	48.6	47.7	51.5
Liabilities	**14.2**	**8.8**	**5.7**	**84.6**	**90.0**	**159.0**
Current liabilities	**13.9**	**8.5**	**5.4**	**52.1**	**45.8**	**99.3**
Trade payables	5.9	6.9	4.4	18.7	22.4	32.1
Prepayments of taxes, state fees and fines received	1.9	0.6	0.3	7.7	6.2	12.8
Other liabilities and prepayments received	6.1	1.0	0.7	22.2	12.8	49.0
Loan liabilities	0.0	0.0	0.0	3.5	4.4	5.4
Non-current liabilities	**0.3**	**0.3**	**0.3**	**32.5**	**44.2**	**59.7**
Other liabilities and prepayments received	0.3	0.3	0.3	0.0	0.0	0.0
Loan liabilities	0.0	0.0	0.0	32.5	44.2	59.7

B. Income and expenditure from other public sector entities and related entities

	Public sector		General government sector	
	2024	2023	2024	2023
Income from operations	**17.8**	**18.7**	**156.9**	**165.5**
Taxes and social security contributions	3.6	3.9	92.1	92.3
Goods and services sold	10.2	10.7	16.2	17.5
Grants received	0.2	0.1	0.6	0.6
Other income	3.8	4.0	48.0	55.1
Operating expenses	**–47.2**	**–32.0**	**–224.9**	**–258.2**
Grants awarded	–12.6	–11.3	–81.5	–100.4
Management expenses	–34.5	–20.8	–143.4	–157.8
Other operating expenses	–0.1	0.1	0.0	0.0
Operating result	**–29.4**	**–13.3**	**–68.0**	**–92.7**
Financial income and expenses	**11.4**	**9.9**	**220.8**	**170.2**
Profit/loss from financial investments	11.4	13.0	217.9	162.6
Other financial income and expenses	0.0	–3.1	2.9	7.6
Surplus or deficit of the reporting period	**–18.0**	**–3.4**	**152.8**	**77.5**

The public sector report includes the transactions of the public sector entities with related entities (companies and foundations under significant influence).

The general government sector report includes the transactions of general government entities with subsidiaries, non-government foundations and non-profit associations, the State Forest Management Centre and companies and foundations under significant influence.

Note c27

Material contingent liabilities and assets

In millions of euros

	Public sector		General government sector	
	31/12/2024	31/12/2023	31/12/2024	31/12/2023
Contingent liabilities	**9,049.9**	**7,937.1**	**8,037.2**	**6,895.5**
Delivery contracts and investment liabilities	3,589.5	2,645.6	2,765.3	1,833.1
Liabilities in connection with holdings in international financial institutions (see Note a30 A)	2,044.9	2,035.9	2,044.2	2,035.3
Balance of student loans issued by banks (see Note a6)	34.2	34.5	34.2	34.5
Non-current assets pledged as loan security (see Note c7, c8)	231.1	271.9	71.8	96.0
Current assets pledged as loan security	52.4	39.4	1.0	0.0
Guarantees given (see also Note a30 B)	1,991.1	1,982.3	1,982.1	1,979.9
Liabilities from continuing operating lease agreements	237.3	247.8	230.7	233.3
Grant award and pass-through liabilities (based on contracts signed)	746.9	305.3	844.9	358.1
Liabilities related to court cases	114.9	370.2	57.0	321.2
Other contingent liabilities	7.6	4.2	6.0	4.1
Contingent receivables	**343.8**	**423.4**	**40.5**	**39.0**
Receivables from continuing operating lease agreements	343.8	423.4	40.5	39.0

The carrying amounts of the assets leased under operating lease and assets leased under finance lease are disclosed in Notes c7 and c8.

Signature to the consolidated annual report

The consolidated annual report of the state for the financial year that ended on 31 December 2024 consists of the management report and the consolidated and unconsolidated annual accounts of the state. Furthermore, it presents additional information on the local governments and the public sector and general government sector.

The consolidated annual report of the state was prepared by the Ministry of Finance and audited by the National Audit Office. As a result of the audit, the National Audit Office has prepared an audit report on the state's annual accounts for 2024.

The audit report of the National Audit Office is presented to the Government of the Republic together with the consolidated annual report.

/signed digitally/

Jürgen Ligi
Minister of Finance